

CASES DECIDED
IN THE
COURT OF APPEALS
OF THE
STATE OF NEW YORK

[843 NE2d 125, 809 NYS2d 485]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v ROBERT
SHULMAN, Appellant.

Argued September 6, 2005; decided October 25, 2005

SUMMARY

APPEAL, pursuant to NY Constitution, article VI, § 3 (b) and CPL 450.70 (1), from a judgment of the Suffolk County Court (Arthur G. Pitts, J.; *see* 172 Misc 2d 535), rendered July 12, 1999. The judgment convicted defendant, upon a jury verdict, of murder in the first degree and murder in the second degree, and sentenced defendant, upon a penalty phase jury determination, to death on the count of murder in the first degree, and 25 years to life imprisonment for the count of murder in the second degree.

HEADNOTES

Crimes — Arrest — Probable Cause — Capital Murder

1. In the prosecution of defendant for capital murder, the evidence offered by the People at the suppression hearing demonstrated *prima facie* that it was more probable than not that defendant murdered the three women whose deaths were being investigated and thus there was probable cause for his arrest. One of the victims was last seen alive in defendant's company, two of the victims were both killed by being severely beaten about the face and head and were disposed of as trash, minus hands or limbs, suggesting a common killer, and the trace evidence associated with the bodies of two of the victims was also present in the security booth where defendant worked. Defendant did not work as scheduled on the day that one victim's body was discovered, or on the day that another victim was last seen alive. Moreover, defendant was known to entertain prostitutes, including one of the victims, in his room, and another

prostitute had seen a work bench or table with tools, including a hacksaw and a hammer, on a porch adjacent to his room. Several prostitutes reported that defendant always had baking soda on hand in his room, and the bodies of two of the victims were sprinkled with a white powdery substance.

Crimes — Jurors — Selection of Jury — Capital Murder Trial — Ability to Serve Impartially

2. In a capital murder prosecution, the trial court did not err by rejecting defendant's for cause challenge under CPL 270.20 (1) (b) to a prospective juror, a corrections officer, who, in response to a question on the written juror questionnaire asking what life without parole meant to him, wrote "3 hots and a cot, free medical, \$50[,]000 a year wasted." The trial court, in taking into consideration all the answers that the juror provided and his willingness to put aside his personal opinions and take the law as the court gave it to him, acted within its discretion in denying the challenge.

Crimes — Jurors — Selection of Jury — Capital Murder Trial — Ability to Serve Impartially

3. In a capital murder prosecution, the trial court did not err by rejecting defendant's for cause challenge under CPL 270.20 (1) (b) to a prospective juror who, during voir dire, responded to defendant's questions probing her ability to put aside her preexisting opinion regarding defendant's guilt by stating that "I think I can" or that she would "try." Words like "think" or "try" are not talismanic words that automatically make a statement equivocal, and the juror's other answers dispelled any doubt about her ability to deliberate impartially.

Crimes — Jurors — Selection of Jury — Capital Murder Trial — Ability to Serve Impartially

4. In a capital murder prosecution, the trial court did not err by rejecting defendant's for cause challenge under CPL 270.20 (1) (b) to a prospective juror who acknowledged during voir dire that he had read a newspaper article about jury selection in the case even though the prospective jurors had been instructed, when they filled out written questionnaires two months earlier, not to read media accounts of the case. The juror's forthright acknowledgment that he had read the article displayed not a wanton disregard of a court order, but rather an honest misunderstanding of what the trial court had instructed, as he incorrectly believed that only articles detailing the underlying facts of the crimes charged were off limits.

Crimes — Jurors — Selection of Jury — Capital Murder Trial — Juror Related to Prosecutor

5. In a capital murder prosecution, the trial court did not err by rejecting defendant's for cause challenge under CPL 270.20 (1) (c) to a prospective juror whose brother-in-law, a former prosecutor with the District Attorney's Office, had attended a single meeting regarding the investigation of defendant. The meeting occurred prior to defendant's arrest, and the juror's brother-in-law never made any court appearances in defendant's case, having resigned from the office and moved to Nevada shortly after defendant's arrest and months before the start of jury selection. CPL 270.20 (1) (c), which provides a for cause challenge when a prospective juror "is related within the sixth degree by consanguinity or affinity to" certain enumerated persons, including "counsel for the people," does not encompass the tangential relationship presented here.

Crimes — Fair Trial — Capital Murder Trial — Midtrial Publicity — Midtrial Voir Dire

6. In a capital murder prosecution, the trial court did not abuse its discretion by declining defendant's request to survey the jury regarding a newspaper headline that appeared following the testimony of the People's forensic serologist and read "Link to 2 More Victims." Trial courts are afforded wide flexibility in determining what, if any, steps are required to assure a defendant's right to a fair trial in light of the particular midtrial publicity and circumstances encountered, subject to appellate review for an abuse of discretion. Here, the trial court correctly described the headline as "somewhat neutral," and found that inquiring about the headline would inevitably focus the jurors' attention on something that there was no indication any of them had seen, and that might well foster infelicitous speculation, especially as the trial court had not asked the jurors about any of the many past headlines or news accounts relating to the trial.

Crimes — Capital Murder — Multiple Murders Committed in Similar Fashion — Postmortem Conduct

7. In the capital murder prosecution of defendant for beating three women to death, cutting off their hands or limbs, and then disposing of the bodies and hands or limbs as garbage, there was sufficient evidence for the jury to convict defendant of first-degree murder for intentionally causing the death of the three women in "separate criminal transactions . . . committed in a similar fashion" (Penal Law § 125.27 [1] [a] [xi]). In all three murders, defendant brought the women to the room where he lived and killed them by repeatedly beating them about the face and head with a heavy, blunt object, using enough force to split their skulls open. Afterward, defendant hacked off the victim's hands or limbs, disposed of the bodies in garbage receptacles, and separately disposed of their severed hands or limbs in order to inhibit identification of the victims, one of whom remained unidentified at trial. The trial court did not err by refusing to instruct the jurors to disregard defendant's postmortem conduct in dismembering and discarding the bodies when determining whether he committed first-degree "similar fashion" murder. Similarity need not be shown by the killing act alone, and postmortem conduct may well be relevant. What counts is the similarity of the conduct, not whether it occurred before or after the victim's death.

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AM JUR 2d, Arrest §§ 39–41; AM JUR 2d, Homicide §§ 39, 44, 236, 443, 487, 558, 559; AM JUR 2d, Jury §§ 228–231, 266, 267, 279, 289, 291, 294, 301; AM JUR 2d, Trial §§ 196, 197, 1562.
CARMODY-WAIT 2d, Criminal Procedure §§ 172:702, 172:2882, 172:2884–172:2886, 172:2895, 172:2898, 172:2901, 172:2904.
LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 3.3, 22.3.
MCKINNEY'S, CPL 270.20 (1) (b), (c); Penal Law § 125.27 (1) (a) (xi).
NY JUR 2d, Criminal Law §§ 67, 68, 72, 1844, 2273, 2275, 2277, 2278, 2281–2284, 2310, 3783, 3786.5.

ANNOTATION REFERENCE

See ALR Index under Arrest; Capital Offenses and Punishment; Homicide; Jury and Jury Trial; Probable Cause.

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POINTS OF COUNSEL

Legal Aid Society, New York City (Andrew C. Fine, Arthur H. Hopkirk, Denise Fabiano, Laura R. Johnson, Elon Harpaz, Joanne Legano Ross and Reed Smith of counsel), for appellant. I. The evidence presented by the prosecution at the suppression hearing failed to establish the existence of probable cause for Robert Shulman's arrest, requiring suppression of all of his statements as the direct consequence of the unlawful arrest, and suppression of the items seized as the result of the execution of the warrant authorizing the search of Robert Shulman's home and Barry Shulman's car, since the warrant application was based on the illegally obtained statements. (*People v Abdullah*, 134 AD2d 503; *People v Wesley*, 83 NY2d 417; *People v Vandenbosch*, 216 AD2d 884; *People v Muggelberg*, 132 AD2d 988; *People v Centolella*, 61 Misc 2d 723; *People v McCreary*, 186 AD2d 1070; *People v Lifrieri*, 230 AD2d 754; *Frye v United States*, 293 F 1013; *People v Bouton*, 50 NY2d 130; *People v Dodt*, 61 NY2d 408.) II. The prosecution failed to establish beyond a reasonable doubt the voluntariness of the admissions extracted by rotating teams of police interrogators from a deeply disturbed, fragile, and sleep-deprived Robert Shulman in the course of nearly continuous, round-the-clock questioning that successfully exploited his psychological vulnerability. (*People v Anderson*, 42 NY2d 35; *Rogers v Richmond*, 365 US 534; *People v Huntley*, 15 NY2d 72; *Lego v Twomey*, 404 US 477; *Schneekloth v Bustamonte*, 412 US 218; *Colorado v Connelly*, 479 US 157; *People v Mateo*, 2 NY3d 383; *Hill v Anderson*, 300 F3d 679; *Nickel v Hannigan*, 97 F3d 403; *United States v Sablotny*, 21 F3d 747.) III. (A) The police's failure to videotape the entire incommunicado custodial interrogation of Robert Shulman at the police station violated his rights under New York's Due Process Clause; (b) in the alternative, the hearing court should have considered the failure to electronically record the station house interrogation as a factor in determining that the prosecu-

tion failed to meet its burden of proving beyond a reasonable doubt that the resulting statements were voluntary. (*Ashcraft v Tennessee*, 322 US 143; *California v Trombetta*, 467 US 479; *People v Lucarano*, 61 NY2d 138; *People v Martin*, 294 AD2d 850; *People v Falkenstein*, 288 AD2d 922; *People v Ferguson*, 285 AD2d 901; *People v Owens*, 185 Misc 2d 661; *People v Bartolomeo*, 53 NY2d 225; *Miranda v Arizona*, 384 US 436; *People v P. J. Video*, 68 NY2d 296.) IV. The trial court violated Robert Shulman's constitutional rights to counsel, due process of law, and a reliable capital sentencing determination when it overrode defense counsel's strategic decision to forgo a challenge to a prospective juror who believed appellant was guilty, but whose attitudes toward sentencing were favorable to the defense. (*People v LaFontaine*, 92 NY2d 470; *People v DeGina*, 72 NY2d 768; *Pierson v People*, 79 NY 424; *People v Romero*, 91 NY2d 750; *People v Goodfriend*, 64 NY2d 695; *People v Perez*, 65 NY2d 154; *People v Bradley*, 88 NY2d 901; *People v Sterling*, 210 AD2d 358; *People v Tortorici*, 92 NY2d 757; *Strickland v Washington*, 466 US 668.) V. The trial court erred when it denied the defense's challenge for cause to a juror who never provided unequivocal assurances that her opinion as to Robert Shulman's guilt would not influence her verdict and that she would render an impartial verdict based solely on the evidence. (*People v Johnson*, 94 NY2d 600; *People v Torpey*, 63 NY2d 361; *People v Blyden*, 55 NY2d 73; *People v Biondo*, 41 NY2d 483; *People v Culhane*, 33 NY2d 90; *People v Wilmarth*, 156 NY 566; *People v Nicholas*, 98 NY2d 749; *Crawford v Bounds*, 395 F2d 297; *Witherspoon v Illinois*, 391 US 510; *Wardius v Oregon*, 412 US 470.) VI. In a case that heavily relied upon the testimony of detectives, the trial court erred when it denied the defense's challenge for cause to a juror who stated on his questionnaire that he believed that police officers were more likely to tell the truth than other witnesses, reaffirmed that opinion when questioned in open court, and was never adequately rehabilitated. (*People v Johnson*, 94 NY2d 600; *People v Camacho*, 280 AD2d 609; *People v White*, 275 AD2d 913; *People v Culhane*, 33 NY2d 90; *People v Torpey*, 63 NY2d 361; *People v Blyden*, 55 NY2d 73; *People v Nicholas*, 98 NY2d 749; *People v Chambers*, 97 NY2d 417; *People v Bludson*, 97 NY2d 644.) VII. The trial court erroneously denied the defense's challenge for cause to a prospective juror whose brother-in-law was a Suffolk County homicide prosecutor who attended a meeting about the evidence in this case with the lead trial prosecutor and witnesses shortly before Robert Shulman's arrest. (*People v Branch*, 46 NY2d 645; *Hasenbein v*

Siebert, 83 AD2d 875, 56 NY2d 853; *People v Lynch*, 95 NY2d 243; *People v Whittington*, 267 AD2d 486; *People v McDermott*, 180 Misc 247; *People v Maddaus*, 17 NY2d 625; *People v Biondo*, 41 NY2d 483; *People v Culhane*, 33 NY2d 90; *People v Torpey*, 63 NY2d 361.) VIII. The trial court erroneously denied the defense's challenge for cause to a prospective juror who "violated a direct court order" by reading a newspaper article about the case between filling out his questionnaire and his individual interview two months later. (*People v Harris*, 98 NY2d 452; *People v Berg*, 59 NY2d 294; *People v Davis*, 58 NY2d 1102; *People v Mims*, 278 AD2d 822; *People v Baker*, 277 AD2d 185; *People v Guzman*, 76 NY2d 1; *People v Boulware*, 29 NY2d 135; *People v Montada*, 249 AD2d 72; *People v Torres*, 164 AD2d 923; *People v Ahmed*, 66 NY2d 307.) IX. The trial court's denial of the defense's challenge for cause requires a new trial because a juror's repeated lack of candor in giving sworn answers during jury selection rendered him unfit to serve at either the guilt or penalty phase; in the alternative, the failure to grant the challenge to this juror, a corrections officer, after he wrote that life imprisonment without possibility of parole meant, "3 hots and a cot, free medical, \$50[,1000 a year wasted," requires vacatur of the death sentence. (*People v Watson*, 216 NY 565; *People v Culhane*, 33 NY2d 90; *People v Watson*, 216 NY 565; *Blair v Armontrout*, 916 F2d 1310; *Brooks v Kemp*, 762 F2d 1383, 478 US 1016, 809 F2d 700, 483 US 1010; *People v Biondo*, 41 NY2d 483; *People v Torpey*, 63 NY2d 361; *People v Wilmarth*, 156 NY 566; *People v Johnson*, 94 NY2d 600; *People v Cahill*, 2 NY3d 14.) X. The trial court erred when it denied the defense's challenge for cause to a juror who was unable to properly exercise the sentencing discretion given to jurors in a capital case due to (1) his willingness to consider, as a factor in favor of a death sentence, his belief that a death sentence might be more merciful than life in prison, despite the Legislature's policy determination that death is the more severe sentence; and (2) his emphasis on legally inadmissible pleas for mercy from the victims' families as a form of mitigation that might persuade him to forgo imposing a death sentence for multiple intentional murders. (*People v Cahill*, 2 NY3d 14; *People ex rel. Lonschein v Warden of Queens House of Detention for Men*, 43 Misc 2d 109, 15 NY2d 663; *People v Mencher*, 13 NY2d 148; *Shepherd v People*, 25 NY 406; *Blair v Armontrout*, 916 F2d 1310; *People v Guzman*, 76 NY2d 1; *People v Mims*, 278 AD2d 822; *People v Baker*, 277 AD2d 185; *Morgan v Illinois*, 504 US 719; *People v Culhane*, 33 NY2d 90.) XI. The trial court violated Robert Shul-

man's right to a constitutionally selected jury and his full complement of peremptory challenges when it erroneously denied his challenge for cause to a juror who indicated that he would always impose the death penalty under the facts of this case. (*People v Harris*, 98 NY2d 452; *Wainwright v Witt*, 469 US 412; *People v Cahill*, 2 NY3d 14; *Sheppard v Maxwell*, 384 US 333; *People v Arnold*, 96 NY2d 358; *Morgan v Illinois*, 504 US 719; *Antwine v Delo*, 54 F3d 1357; *United States v Flores*, 63 F3d 1342; *People v Johnson*, 94 NY2d 600.) XII. In a case in which the voluntariness of appellant's statements was in dispute, the trial court erroneously restricted the defense from questioning a prospective juror who was a police detective about whether he had ever seen a colleague conduct "an interview more forcibly than what you believe was appropriate," and thereby prevented the defense from laying the foundation for a challenge for cause and interfered with the informed exercise of peremptory challenges. (*Matter of Anonymous Attorneys*, 41 NY2d 506; *Matter of Johnson v Pataki*, 91 NY2d 214; *People v Boulware*, 29 NY2d 135; *People v LaFontaine*, 92 NY2d 470; *People v Romero*, 91 NY2d 750; *Gardner v Broderick*, 392 US 273; *Matter of Matt v Larocca*, 71 NY2d 154; *People v Cronin*, 60 NY2d 430; *People v Catten*, 69 NY2d 547; *People v Baker*, 64 NY2d 1027.) XIII. The court abused its discretion and denied Robert Shulman his right to a fair trial when it refused to voir dire the jury after a newspaper article in a major daily publication revealed that Mr. Shulman was a suspect in at least two additional murders. (*Morgan v Illinois*, 504 US 719; *Irvin v Dowd*, 366 US 717; *People v Moore*, 42 NY2d 421; *People v Genovese*, 10 NY2d 478; *People v Costello*, 104 AD2d 947; *People v Swan*, 130 AD2d 6; *People v Velez*, 222 AD2d 539; *People v Sullivan*, 167 AD2d 564; *People v Mordino*, 58 AD2d 197; *People v Mott*, 94 AD2d 415.) XIV. The "similar fashion" aggravating factor, which as here interpreted permitted the jury to sentence Robert Shulman to death on the sole basis that he had committed three murders that were "somewhat like" one another, is unconstitutionally vague. (*People v Mateo*, 175 Misc 2d 192; *Godfrey v Georgia*, 446 US 420; *Espinosa v Florida*, 505 US 1079; *Maynard v Cartwright*, 486 US 356; *Ring v Arizona*, 536 US 584; *Clemons v Mississippi*, 494 US 738; *People v Nelson*, 69 NY2d 302; *Tuilaepa v California*, 512 US 967; *People v Lombardo*, 61 NY2d 97; *People v Reed*, 265 AD2d 56.) XV. The trial court's instructions on the "similar fashion" element of the serial murder charge improperly invited the jury to conclude that "similar fashion" could be proven by acts committed *after* the killings

were complete, undermining the reliability of the verdict and inviting the prosecutor's reliance on highly prejudicial nonstatutory aggravation in seeking a sentence of death. (*People v Hedgeman*, 70 NY2d 533; *People v P. J. Video*, 68 NY2d 296; *People v Case*, 42 NY2d 98; *People v Gottlieb*, 36 NY2d 629; *People v Cahill*, 2 NY3d 14; *Godfrey v Georgia*, 446 US 420; *People v Reed*, 265 AD2d 56; *Braschi v Stahl Assoc. Co.*, 74 NY2d 201; *United States v Whitridge*, 197 US 135; *People v Flynn*, 79 NY2d 879.) XVI. The trial court's dismissal of the two indicted counts of depraved indifference murder, over defense objection, was an abuse of discretion, or alternatively, an improvident exercise of discretion, where a reasonable view of the evidence warranted submission of those counts, it exposed Robert Shulman to an unwarranted risk of a capital conviction, it deprived Mr. Shulman of a fair and reliable determination by the jury of his mental culpability, and it deprived Mr. Shulman of his right to present his defense. (*Keeble v United States*, 412 US 205; *People v Green*, 56 NY2d 427; *People v Moran*, 246 NY 100; *People v Cummings*, 274 NY 336; *People v Draper*, 278 App Div 298; *People v Kulakov*, 278 AD2d 519; *People v Davis*, 165 AD2d 610; *People v Lopez*, 79 AD2d 531; *People v Boettcher*, 69 NY2d 174; *People v Barona*, 69 AD2d 797.) XVII. The trial court erred when it denied the defense's request for a jury instruction that the failure of the police to arraign Robert Shulman "without unnecessary delay" was a factor for the jury to consider in deciding whether his statements were involuntary. (*People v Alex*, 265 NY 192; *People ex rel. Maxian v Brown*, 77 NY2d 422; *People v Holland*, 48 NY2d 861; *Jackson v Denno*, 378 US 368; *People v Huntley*, 15 NY2d 72; *People v Lovello*, 1 NY2d 436; *People v Elmore*, 277 NY 397; *People v Ramos*, 99 NY2d 27; *Lego v Twomey*, 404 US 477.) XVIII. Because Robert Shulman went to trial under a statutory scheme that this Court, in *Matter of Hynes v Tomei* (92 NY2d 613 [1998]), declared unconstitutional, he is entitled to a new trial at which the prosecution would be barred from seeking a death sentence. (*United States v Jackson*, 390 US 570; *People v Mateo*, 2 NY3d 383; *People v Harris*, 98 NY2d 452; *Roseboro v North Carolina*, 403 US 948; *Sanders v North Carolina*, 403 US 948; *Williams v North Carolina*, 403 US 948; *Atkinson v North Carolina*, 403 US 948; *Parker v North Carolina*, 397 US 790; *People v Edwards*, 96 NY2d 445; *People v Smith*, 63 NY2d 41.) XIX. The standardless discretion granted to prosecutors to file death notice pursuant to CPL 250.40 leads to widely varying policies for seeking the death penalty from county to county in New York, in violation of the constitutional

guarantee of due process and the ban on cruel and unusual punishment; in the alternative, when, as here, venue to prosecute a first-degree murder case lies in more than one county and the county where a killing occurred is not in dispute, the unintended interaction of CPL 20.40 (2) (b) and 250.40 arbitrarily and unconstitutionally allows the prosecutor of a county with a minimal connection to the crime to seek a death sentence, even though the District Attorney of another county with a more direct interest in the outcome of the prosecution might, applying that community's standards, choose not to pursue a capital prosecution. (*People v Harris*, 98 NY2d 452; *Matter of Hynes v Tomei*, 92 NY2d 613; *Gregg v Georgia*, 428 US 153; *McCleskey v Kemp*, 481 US 279; *People v Cahill*, 2 NY3d 14; *Deal v United States*, 508 US 129; *Matter of Nicholas v Kahn*, 47 NY2d 24; *Matter of Big Apple Food Vendors' Assn. v Street Vendor Review Panel*, 90 NY2d 402; *Caldwell v Mississippi*, 472 US 320; *Woodson v North Carolina*, 428 US 280.) XX. Where the prosecution issued a grand jury subpoena for Robert Shulman's records from his childhood psychologist in violation of the psychologist-patient privilege, and for the improper purpose of determining whether or not to seek the death penalty, Mr. Shulman was deprived of a fair and reliable sentencing determination, as well as due process of law, and this Court should vacate the death sentence and strike the death notice. (*People v Currier*, 221 AD2d 805; *People v Natal*, 75 NY2d 379; *Perry v Fiumano*, 61 AD2d 512; *Lightman v Flaum*, 97 NY2d 128; *People v Wilkins*, 65 NY2d 172; *People v Sinski*, 88 NY2d 487; *Matter of Grand Jury Investigation of Onondaga County*, 59 NY2d 130; *Matter of Grand Jury Investigation in N.Y. County*, 98 NY2d 525; *People v Edney*, 39 NY2d 620; *Matter of Charles RR.*, 166 AD2d 763.) XXI. New York's statutorily mandated deadlock instruction is unconstitutionally coercive and undermines the reliability of capital sentencing. (*People v Cahill*, 2 NY3d 14; *Lowenfield v Phelps*, 484 US 231; *Morris v Woodford*, 273 F3d 826, 537 US 941; *Penry v Johnson*, 532 US 782; *Penry v Lynaugh*, 492 US 302; *Jones v United States*, 527 US 373; *Simmons v South Carolina*, 512 US 154; *California v Ramos*, 463 US 992; *Allen v United States*, 164 US 492; *People v Faber*, 199 NY 256.) XXII. Robert Shulman was deprived of his rights to due process, to present a defense, to confrontation and to a reliable sentencing determination when, at the pre-penalty phase competency hearing, the trial court (a) precluded Mr. Shulman's expert from testifying on the minimum standards necessary to determine client competency at the capital penalty phase, and unduly

restricted the cross-examination of the court-appointed psychiatrists, and (b) erroneously ruled that Mr. Shulman was competent to proceed with the penalty phase. (*Cooper v Oklahoma*, 517 US 348; *Medina v California*, 505 US 437; *People v Garrasi*, 302 AD2d 981; *People v Williams*, 85 NY2d 945; *Dusky v United States*, 362 US 402; *Johnson v Keane*, 974 F Supp 225; *United States v Hems*, 901 F2d 293; *United States v Cronin*, 466 US 648; *People v Tortorici*, 92 NY2d 757; *People v Christopher*, 65 NY2d 417.) XXIII. Robert Shulman was deprived of his right to a fair and reliable sentencing determination by the trial court's denial of his motion for a separate sentencing jury, where the penalty phase jury could not have put aside its overwhelming emotional response to the cumulative effect of numerous horrifying photographs of the victims, in violation of the New York death penalty statute. (*Penry v Lynaugh*, 492 US 302; *Mann v Oklahoma*, 488 US 877; *Thompson v Oklahoma*, 487 US 815; *People v Stevens*, 76 NY2d 833.) XXIV. Robert Shulman was deprived of his right to a fair and reliable sentencing determination by the trial court's refusal to discharge a juror who had learned of Mr. Shulman's postverdict suicide attempt, thereby unconstitutionally decreasing the juror's sense of responsibility for deciding to impose the death penalty. (*People v Harris*, 98 NY2d 452; *Caldwell v Mississippi*, 472 US 320; *Eddings v Oklahoma*, 455 US 104; *Lockett v Ohio*, 438 US 586; *Gardner v Florida*, 430 US 349; *Woodson v North Carolina*, 428 US 280; *Morgan v Illinois*, 504 US 719; *Turner v Murray*, 476 US 28; *Fetterly v Paskett*, 997 F2d 1295; *People v Blyden*, 55 NY2d 73.) XXV. By precluding testimony about Robert Shulman's prospective adjustment to prison if he were sentenced to life in prison without parole, the court deprived Mr. Shulman of his right to introduce relevant mitigating evidence, subjecting him to cruel and unusual punishment and denying him due process of law, and then further improperly and arbitrarily precluded the testimony of James Park, a corrections expert, denying Mr. Shulman his right to present witnesses of his own choosing in his defense. (*Skipper v South Carolina*, 476 US 1; *Eddings v Oklahoma*, 455 US 104; *Lockett v Ohio*, 438 US 586; *Chambers v Mississippi*, 410 US 284; *Jenkins v McKeithen*, 395 US 411; *Washington v Texas*, 388 US 14; *People v Gilliam*, 37 NY2d 722, 45 AD2d 744; *People v Forbes*, 87 AD2d 829; *People v McClinton*, 75 AD2d 900; *People v Arroyo*, 162 AD2d 337.) XXVI. The trial court's refusal to put mitigating factors on the verdict sheet that told the full story of Robert Shulman's history of mental illness unfairly hamstrung the defense and prevented

jurors from arriving at a reliable sentencing determination. (*Gregg v Georgia*, 428 US 153; *Lockett v Ohio*, 438 US 586; *Edwards v Oklahoma*, 455 US 104; *People v DeGina*, 72 NY2d 768; *People v Bradley*, 88 NY2d 901; *People v Sterling*, 210 AD2d 358; *Herring v New York*, 422 US 853; *People v Luis*, 189 AD2d 657; *People v Reina*, 94 AD2d 727; *People v Owens*, 69 NY2d 585.) XXVII. The prosecutor's pervasive guilt-and-penalty-phase misconduct, which included raising the specter that Robert Shulman might receive a pardon if sentenced to life without parole and invoking scripture to argue that Jesus supported the death penalty, deprived Mr. Shulman of a fair and impartial sentencing determination. (*Berger v United States*, 295 US 78; *Sawyer v Smith*, 497 US 227; *Lesko v Lehman*, 925 F2d 1527; *People v Kurtz*, 51 NY2d 380; *People v Rivera*, 74 AD2d 857; *Zant v Stephens*, 462 US 862; *People v Nevedo*, 202 AD2d 183; *People v Arthur*, 175 Misc 2d 742; *People v Johnson*, 284 NY 182; *People v Sherwood*, 271 NY 427.) XXVIII. The trial court's imbalanced and inaccurate penalty-phase instructions resulted in an unreliable verdict of death. (*Penry v Lynaugh*, 492 US 302; *Furman v Georgia*, 408 US 238; *Johnson v Mississippi*, 486 US 578; *Tuilaepa v California*, 512 US 967; *Gregg v Georgia*, 428 US 153; *Lockett v Ohio*, 438 US 586; *Taylor v Kentucky*, 436 US 478; *People v Antommarchi*, 80 NY2d 247; *Adams v Texas*, 448 US 38; *California v Brown*, 479 US 538.) XXIX. The death sentence imposed was against the weight of the evidence. (*Penry v Lynaugh*, 492 US 302; *Aldridge v Dugger*, 925 F2d 1320; *Skipper v South Carolina*, 476 US 1; *Simmons v South Carolina*, 512 US 154; *Franklin v Lynaugh*, 487 US 164; *People v Smith*, 63 NY2d 41; *People v Bleakley*, 69 NY2d 490.) XXX. New York's death penalty constitutes cruel and unusual punishment because of (a) the racial disparities and inevitable arbitrariness of the statute, (b) the real and intolerable risk of executing innocent people, and (c) its failure to contribute to any acceptable goal of punishment. (*People v Cahill*, 2 NY3d 14; *United States v Sampson*, 275 F Supp 2d 49; *United States v Quinones*, 205 F Supp 2d 256, 313 F3d 49; *United States v Ferebe*, 332 F3d 722; *McCleskey v Kemp*, 481 US 279; *People v Kern*, 75 NY2d 638; *Godfrey v Georgia*, 446 US 420; *Matter of 303 W. 42nd St. Corp. v Klein*, 46 NY2d 686; *People v Goodman*, 31 NY2d 262; *Atkins v Virginia*, 536 US 304.) XXXI. New York's lethal injection procedures create a substantial risk of prolonged and torturous executions, and thus constitute cruel and unusual punishment. (*Campbell v Wood*, 18 F3d 662; *Gregg v Georgia*, 428 US 153; *Chaney v Heckler*, 718 F2d 1174, 470 US 821; *Fierro v Gomez*,

77 F3d 301; *Louisiana ex rel. Francis v Resweber*, 329 US 459; *Campbell v Wood*, 18 F3d 662; *Weems v United States*, 217 US 349; *People v Broadie*, 37 NY2d 100; *Lackey v Texas*, 514 US 1045; *Rupe v Wood*, 863 F Supp 1307, 93 F3d 1434.)

Thomas J. Spota, District Attorney, Riverhead (*Guy Arcidiacono*, *Glenn Green*, *Michael J. Miller*, *Steven A. Hovani*, *Anne E. Oh* and *Marion Tang* of counsel), for respondent. I. Defendant's arrest was supported by probable cause. (*People v Cameron*, 6 AD3d 546; *People v Simpson*, 5 AD3d 613; *People v Prochilo*, 41 NY2d 759; *People v Rios*, 11 AD3d 641; *Brinegar v United States*, 338 US 160; *People v Oden*, 36 NY2d 382; *People v Coffey*, 12 NY2d 443; *People v Bigelow*, 66 NY2d 417; *People v McRay*, 51 NY2d 594; *People v Carrasquillo*, 54 NY2d 248.) II. Defendant's statements followed the voluntary, knowing, intelligent waiver of his constitutional rights, were not the product of an unnecessary delay of arraignment, and were properly admitted at trial. (*People v Williams*, 62 NY2d 285; *People v Tarsia*, 50 NY2d 1; *Dickerson v United States*, 530 US 428; *People v Huntley*, 15 NY2d 72; *People v Edney*, 47 AD2d 906; *People v Anderson*, 42 NY2d 35; *Clewis v Texas*, 386 US 707; *Fikes v Alabama*, 352 US 191; *People v Mateo*, 2 NY3d 383; *Arizona v Fulminante*, 499 US 279.) III. Contemporaneous recording of a defendant's confession is not mandated either by the United States Constitution or the New York State Constitution. (*People v Falkenstein*, 288 AD2d 922; *People v Owens*, 185 Misc 2d 661; *People v Martin*, 294 AD2d 850; *People v Combest*, 4 NY3d 341; *California v Trombetta*, 467 US 479; *People v Alvarez*, 70 NY2d 375; *People v Scott*, 79 NY2d 474; *People v Vilardi*, 76 NY2d 67; *People v Berk*, 88 NY2d 257.) IV. The trial court properly exercised its discretionary control over jury selection when it removed prospective juror P.G. on its own motion after having denied the prosecution's cause challenge. (*People v Mower*, 97 NY2d 239; *People v Knowles*, 88 NY2d 763; *People v LaFontaine*, 92 NY2d 470; *People v Maher*, 89 NY2d 456; *United States v Flores*, 63 F3d 1342; *People v Boozer*, 298 AD2d 261; *People v Redd*, 272 AD2d 168; *People v Gayle*, 238 AD2d 133; *People v Wilson*, 211 AD2d 136, *affd sub nom. People v Vargas*, 88 NY2d 363; *People v Boulware*, 29 NY2d 135.) V. The trial court correctly denied defendant's cause challenge to a prospective juror who gave unequivocal assurances of impartiality regarding her belief in defendant's innocence. (*People v Williams*, 63 NY2d 882; *People v Johnson*, 94 NY2d 600; *People v Torpey*, 63 NY2d 361; *People v Biondo*, 41 NY2d 483; *People v Pagan*, 191 AD2d 651; *People v Zanghi*, 256 AD2d 1120; *People v Baskett*, 250 AD2d 774; *People*

v Bosket, 168 AD2d 833.) VI. The trial court correctly denied defendant's cause challenge to a juror who plainly stated that he could follow the trial court's instructions regarding police testimony. (*People v Thigpen*, 277 AD2d 261; *People v Zachary*, 260 AD2d 514; *People v Harris*, 247 AD2d 630; *People v Chambers*, 97 NY2d 417; *People v Arnold*, 96 NY2d 358.) VII. Defendant did not preserve his current claim that prospective juror J.C. should have been excused pursuant to CPL 270.20 (1) (c) and, in any event, the trial court correctly decided that issue. (*People v Mower*, 97 NY2d 239; *People v Knowles*, 88 NY2d 763; *People v Branch*, 46 NY2d 645; *People v Stafford*, 302 AD2d 325; *People v Pickren*, 284 AD2d 727; *People v Colon*, 127 AD2d 678, 71 NY2d 410; *People v Johnson*, 261 AD2d 125; *People v Stamps*, 254 AD2d 507; *People v De Rosa*, 187 AD2d 980; *People v Williams*, 243 AD2d 833.) VIII. The trial court correctly denied a cause challenge to a prospective juror who unknowingly failed to follow one of the trial court's instructions. (*People v Rosado*, 254 AD2d 99; *People v Radtke*, 219 AD2d 739; *People v Johnson*, 217 AD2d 667; *People v Pineda*, 269 AD2d 610; *People v Robertson*, 217 AD2d 989; *People v Clarke*, 168 AD2d 686; *People v Brown*, 136 AD2d 1; *People v Velez*, 222 AD2d 539.) IX. The trial court correctly denied the cause challenge to prospective juror S.C. (*People v Williams*, 63 NY2d 882; *People v Cahill*, 2 NY3d 14; *People v LaValle*, 3 NY3d 88; *People v Blyden*, 55 NY2d 73; *People v Culhane*, 33 NY2d 90; *People v Colon*, 71 NY2d 410; *People v Stafford*, 302 AD2d 325; *People v Jones*, 299 AD2d 283.) X. The trial court correctly denied the cause challenge to prospective juror C.R. (*People ex rel. Lonschein v Warden of Queens House of Detention for Men*, 43 Misc 2d 109, 15 NY2d 663.) XI. The trial court denied defendant's cause challenge to prospective juror G.M. because he would properly consider mitigation evidence. (*People v Harris*, 98 NY2d 452; *Sellers v Ward*, 135 F3d 1333; *United States v Chandler*, 996 F2d 1073; *People v Cahill*, 2 NY3d 14.) XII. The trial court did not improperly restrict defense counsel's voir dire of prospective juror D.R. (*People v Mower*, 97 NY2d 239; *People v Udzinski*, 146 AD2d 245; *People v Boulware*, 29 NY2d 135; *People v Walston*, 277 AD2d 593; *People v Dart*, 186 AD2d 905; *People v Jean*, 75 NY2d 744; *People v Gladstone*, 112 AD2d 592; *People v Harris*, 98 NY2d 452; *People v Porter*, 226 AD2d 275; *People v Hosier*, 132 App Div 146, 196 NY 506.) XIII. Given defendant's limited request, the court appropriately refused to interrogate seated jurors about their possible exposure to an ambiguous newspaper headline. (*People v Udzinski*, 146 AD2d 245, 74 NY2d 853; *People v Robinson*, 88

NY2d 1001; *People v Gray*, 86 NY2d 10; *People v Harris*, 98 NY2d 452; *People v Stephens*, 84 NY2d 990; *In re Murchison*, 349 US 133; *People v Moore*, 42 NY2d 421; *People v Testa*, 61 NY2d 1008; *People v Velez*, 222 AD2d 539; *People v Genovese*, 10 NY2d 478.) XIV. New York's "serial murder" aggravating factor is constitutional. (*People v Robinson*, 88 NY2d 1001; *People v Gray*, 86 NY2d 10; *People v Harris*, 98 NY2d 452; *People v Stephens*, 84 NY2d 990; *People v Kello*, 96 NY2d 740; *People v Bynum*, 70 NY2d 858; *Matter of Hynes v Tomei*, 92 NY2d 613; *Weems v United States*, 217 US 349; *Trop v Dulles*, 356 US 86; *People v Scalza*, 76 NY2d 604.) XV. The court's instruction on the "similar fashion" element of the serial murder charge was entirely proper. (*People v Robinson*, 88 NY2d 1001; *People v Gray*, 86 NY2d 10; *People v Harris*, 98 NY2d 452; *People v Stephens*, 84 NY2d 990; *People v Kello*, 96 NY2d 740; *People v Hedgeman*, 70 NY2d 533; *People v Cahill*, 2 NY3d 14; *Godfrey v Georgia*, 446 US 420; *People v Mateo*, 93 NY2d 327; *People v Alvino*, 71 NY2d 233.) XVI. The trial court properly dismissed the depraved indifference murder counts because no reasonable view of the evidence supported a conviction for reckless murder. (*People v Smith*, 260 AD2d 253; *People v Garcia*, 219 AD2d 669; *People v Johnson*, 87 NY2d 357; *People v Gallagher*, 69 NY2d 525; *People v Cole*, 233 AD2d 247; *People v Keefer*, 197 AD2d 915; *People v Pozo*, 261 AD2d 144; *People v Spears*, 271 AD2d 464; *People v Kulakov*, 278 AD2d 519.) XVII. The court's instructions adequately informed the jury how to assess the voluntariness of defendant's statements. (*People v Cefaro*, 23 NY2d 283; *People v Sears*, 9 AD3d 472; *People v Haywood*, 280 AD2d 282; *People v Medina*, 146 AD2d 344, *affd on other grounds sub nom. People v Bing*, 76 NY2d 331; *People v Boulware*, 29 NY2d 135; *People v Lovello*, 1 NY2d 436; *People v Schenandoah*, 10 AD2d 342; *People v Dairsaw*, 53 AD2d 698, 46 NY2d 739; *People v Kozicky*, 275 App Div 863; *People v Greaves*, 94 NY2d 775.) XVIII. This Court's holding in *Matter of Hynes v Tomei* (92 NY2d 613 [1998]) is not controlling in this case. (*United States v Jackson*, 390 US 570; *United States v Lutz*, 420 F2d 414; *People v Graves*, 85 NY2d 1024; *People v Spencer*, 219 AD2d 259; *People v Harris*, 98 NY2d 452; *Matter of Francois v Dolan*, 95 NY2d 33; *People v Mower*, 97 NY2d 239; *People v Van Dyne*, 12 AD3d 120; *Gregg v Georgia*, 428 US 153; *Lowenfield v Phelps*, 484 US 231.) XIX. The prosecutorial discretion provision of Criminal Procedure Law § 250.40 is constitutional under the United States and New York constitutions. (*People v Harris*, 177 Misc 2d 102, 98 NY2d 452; *People v Cahill*, 2 NY3d 14; *Gregg v Geor-*

gia, 428 US 153; *People v Parker*, 41 NY2d 21; *County Court of Ulster Cty. v Allen*, 442 US 140; *People v Drayton*, 39 NY2d 580; *Society of Plastics Indus. v County of Suffolk*, 77 NY2d 761; *United States v Mazurie*, 419 US 544; *Matter of Hynes v Tomei*, 92 NY2d 613; *People v Broadie*, 37 NY2d 100.) XX. The People properly issued subpoenas for certain records and the grand jury proceeding was not defective. (*People v Natal*, 75 NY2d 379; *People v Carkner*, 213 AD2d 735; *People v Currier*, 221 AD2d 805; *People v Sinski*, 88 NY2d 487, 1018; *Silagy v Peters*, 905 F2d 986; *Stewart v Peters*, 878 F Supp 1139; *People v Davis*, 43 NY2d 17; *Gregg v Georgia*, 428 US 153.) XXI. Defendant waived any challenge to the court's actual deadlock instruction, which is, in any event, distinguishable from that struck down in *People v LaValle* (3 NY3d 88 [2004]). (*People v Mills*, 1 NY3d 269; *People v Ford*, 62 NY2d 275; *People v Richardson*, 88 NY2d 1049; *People v Williams*, 260 AD2d 799; *People v Shaffer*, 66 NY2d 663; *People v Forgione*, 134 AD2d 514; *Simmons v South Carolina*, 512 US 154; *People v McIntosh*, 178 Misc 2d 427; *People v Harris*, 177 Misc 2d 160; *Morris v Woodford*, 273 F3d 826.) XXII. The court conducted a legally sufficient CPL article 730 hearing, defendant's constitutional rights were not violated, and the People proved by a preponderance of the evidence that defendant was competent to proceed to the penalty phase of trial. (*People v Goodman*, 280 AD2d 611; *People v Marcus*, 266 AD2d 566; *People v Roussopoulos*, 261 AD2d 559; *People v Davis*, 258 AD2d 528; *People v Mendez*, 306 AD2d 143; *People v Baranek*, 287 AD2d 74; *Davis v Alaska*, 415 US 308; *Douglas v Alabama*, 380 US 415; *Pointer v Texas*, 380 US 400; *People v Parker*, 57 NY2d 136.) XXIII. The trial court was correct when it denied defendant's request to discharge the jury between the guilt and penalty phases of the trial. (*Barclay v Florida*, 463 US 939; *California v Ramos*, 463 US 992; *People v Harris*, 176 Misc 2d 967, 98 NY2d 452; *Lockhart v McCree*, 476 US 162; *Matter of Bliss v Bliss*, 66 NY2d 382; *Boyde v California*, 494 US 370.) XXIV. The court properly refused to discharge seated juror 11 during presentencing-phase questioning of sworn jurors. (*People v Harris*, 176 Misc 2d 967, 98 NY2d 452; *People v Robinson*, 88 NY2d 1001; *People v Stephens*, 84 NY2d 990; *People v Kello*, 96 NY2d 740; *People v Velasquez*, 1 NY3d 44; *People v Kinchen*, 60 NY2d 772; *People v Tarsia*, 50 NY2d 1; *People v Berg*, 59 NY2d 294; *People v Cargill*, 70 NY2d 687; *People v Williams*, 63 NY2d 882.) XXV. Defendant had no constitutional right to present to the sentencing jury unqualified opinion evidence concerning his potentially positive contribution to state prison. (*Skipper v*

South Carolina, 476 US 1; *Jones v United States*, 463 US 354; *Matter of Oswald N.*, 87 NY2d 98; *Matter of Francis S.*, 87 NY2d 554; *People v Kenny*, 30 NY2d 154; *Dougherty v Milliken*, 163 NY 527.) XXVI. The claimed omission of “three critical factors” from the verdict sheet did not deprive defendant of a fair and reliable sentencing determination. (*Lockett v Ohio*, 438 US 586; *Buchanan v Angelone*, 522 US 269; *United States v Battle*, 979 F Supp 1442, 173 F3d 1343; *Green v Georgia*, 442 US 95; *Chambers v Mississippi*, 410 US 284; *People v Mateo*, 175 Misc 2d 192; *Martini v Hendricks*, 188 F Supp 2d 505; *Green v French*, 978 F Supp 242; *People v Crimmins*, 36 NY2d 230.) XXVII. The summations for both the guilt and penalty phases were appropriate advocacy for capital punishment and did not usurp the jury’s function as the ultimate arbiter of the sentencing determination. (*People v Clemmings*, 300 AD2d 672; *Simmons v South Carolina*, 512 US 154; *People v Cahill*, 2 NY3d 14; *People v Brugman*, 199 AD2d 202; *People v Tardbania*, 72 NY2d 852; *People v Nuccie*, 57 NY2d 818; *People v Woods*, 296 AD2d 430; *People v Jenkins*, 302 AD2d 978; *People v Bruen*, 136 AD2d 648; *People v Bierenbaum*, 301 AD2d 119.) XXVIII. The trial court’s sentencing instructions assured that defendant was reliably sentenced. (*People v Fields*, 87 NY2d 821; *People v Barr*, 75 AD2d 14, 50 NY2d 999; *People v Slacks*, 90 NY2d 850; *People v Coleman*, 70 NY2d 817; *Jones v United States*, 527 US 373; *Bryan v United States*, 524 US 184; *California v Brown*, 479 US 538; *United States v Park*, 421 US 658; *Cupp v Naughten*, 414 US 141; *Boyd v United States*, 271 US 104.) XXIX. The penalty phase evidence completely justified imposition of the death penalty. (*People v Benzinger*, 36 NY2d 29; *People v Gaimari*, 176 NY 84; *People v Nucci*, 162 AD2d 725; *People v Garafolo*, 44 AD2d 86; *Lowery v Anderson*, 69 F Supp 2d 1078, 225 F3d 833.) XXX. New York’s death penalty does not violate either the State Constitution or Federal Constitution. (*Matter of Hynes v Tomei*, 92 NY2d 613; *People v Davis*, 43 NY2d 17; *Gregg v Georgia*, 428 US 153; *People v Smith*, 63 NY2d 41; *People v Scalza*, 76 NY2d 604; *People v Bright*, 71 NY2d 376; *People v Foley*, 94 NY2d 668; *People v Thompson*, 83 NY2d 477; *United States v Mazurie*, 419 US 544; *People v Broadie*, 37 NY2d 100.) XXXI. The trial court correctly denied defendant’s challenge to New York’s lethal injection procedures. (*People v Stevens*, 91 NY2d 270; *People v De Jesus*, 54 NY2d 447; *People v Hernandez*, 93 NY2d 261; *City of New York v Long Is. Airports Limousine Serv. Corp.*, 48 NY2d 469; *First Natl. Bank of Amsterdam v Shuler*, 153 NY 163; *People ex rel. Kemmler v Durston*, 119 NY 569; *In re Kemmler*, 136 US

436; *People v Kemmler*, 119 NY 580; *People v Stevens*, 91 NY2d 270; *Matter of New York State Inspection, Sec. & Law Enforcement Empls., Dist. Council 82, AFSCME, AFL-CIO v Cuomo*, 64 NY2d 233.)

Committee on Capital Punishment, Association of the Bar of the City of New York, New York City (Joshua L. Dratel of counsel), for Association of the Bar of the City of New York, amicus curiae. I. The strict scrutiny standard applies to New York substantive due process claims involving the death penalty. (*Town of Orangetown v Magee*, 88 NY2d 41; *City of Amsterdam v Helsby*, 37 NY2d 19; *Mark G. v Sabol*, 93 NY2d 710; *People v Koertge*, 182 Misc 2d 183; *People v Adams*, 53 NY2d 241; *People v P. J. Video*, 68 NY2d 296; *People v Alvarez*, 70 NY2d 375; *Furman v Georgia*, 408 US 238; *People v Scott*, 79 NY2d 474; *Cooper v Morin*, 49 NY2d 69.) II. New York’s death penalty statute does not pass the strict scrutiny test, and therefore it violates the Due Process Clause. (*People v Smith*, 63 NY2d 41; *People v Oliver*, 1 NY2d 152; *People v Hale*, 173 Misc 2d 140; *Matter of Westchester County Med. Ctr. [O’Connor]*, 72 NY2d 517; *Furman v Georgia*, 408 US 238; *Sumner v Shuman*, 483 US 66.) III. Other states, international communities and other sources show that New York’s death penalty fails the least restrictive means test and violates due process. (*Gregg v Georgia*, 428 US 153.)

OPINION OF THE COURT

READ, J.

A jury convicted defendant Robert Yale Shulman, a confessed serial killer, of several offenses, including one count of first-degree murder for intentionally causing the death of three women in “separate criminal transactions . . . committed in a similar fashion” (Penal Law § 125.27 [1] [a] [xi]). Because the People filed a notice of intent to seek the death penalty, a separate sentencing proceeding followed (*see* CPL 400.27 [1]) in which the jury concluded unanimously that defendant should be executed. As is mandated, defendant appealed directly to this Court (*see* CPL 450.70 [1]; 470.30 [2]; *see also* NY Const, art VI, § 3 [b]).

The death sentence is no longer at issue in this case. Defendant contends, and the People do not dispute, that developments before our decision in *People v LaValle* (3 NY3d 88 [2004]) require that the sentence of death be set aside. In *Matter of Hynes v Tomei* (92 NY2d 613 [1998], *cert denied* 527 US 1015 [1999]), we struck certain plea provisions from the CPL,

concluding that they created an unconstitutional two-tiered penalty level for death penalty cases (*see id.* at 620). Citing *People v Harris* (98 NY2d 452 [2002]), where “we set aside the death sentence of a defendant who went to trial while the plea provisions were in effect” (*People v Mateo*, 2 NY3d 383, 399 [2004], *cert denied* 542 US 946 [2004] [*Mateo II*]), defendant asserts that we are likewise compelled to set aside his death sentence. We agree. Accordingly, we have no occasion to consider any of defendant’s other, now academic challenges to imposition of the death penalty in this case (*see id.* at 401; *see also Harris*, 98 NY2d at 496-497).

Defendant also presses numerous grounds for reversing his convictions, to which we now turn (*see* CPL 450.70 [1]; 470.30 [2]; *see also People v LaValle*, 3 NY3d at 102-116; *Mateo II*, 2 NY3d at 401; *People v Culhane*, 33 NY2d 90, 94-95 [1973]). For the reasons that follow, we affirm defendant’s convictions.

I.

At about 8:05 A.M. on December 7, 1994, an employee of the Suffolk County Department of Public Works, while traveling on Long Island Avenue from the Department’s garage in Yaphank to a job site in the Town of Medford, noticed what appeared to be a brand-new blue Rubbermaid garbage can lying on its side amidst other debris at the road’s edge. Stopping his pickup truck to observe the garbage can more closely, he thought to himself that “somebody had dumped a bad load of meat.” Upon arriving at the job site, he told his supervisor about this discovery, and suggested that department personnel clean up the area and retrieve the garbage can for use to store their tools. On his way back from the job site to the garage later that morning, the supervisor pulled over to inspect the garbage can. He discovered a woman’s remains.

The victim’s nude body was partially covered with plastic bags, and a white towel or bath mat was wrapped around her head. A white powdery substance, later determined to be baking soda, was visible on her remains. The victim’s left leg was severed midway between the knee and groin area; both arms had been amputated; she had sustained serious blunt force trauma to the face, head, eye, nose and mouth. The victim’s left arm displayed a tattoo consisting of a red heart and a banner with the name “Adrian.” Despite extensive efforts by the police to find out who this woman was in life, to this day she remains identified only as “Jane Doe Medford.”

On April 6, 1995, employees at a recycling plant in Brooklyn, which processes refuse from New York State and elsewhere, happened upon a second dismembered nude female body. The corpse was discovered on a conveyor belt, which was halted just before its contents would have been deposited into a compactor, tied into a bale and transferred to a landfill. This victim was missing her legs; her right arm was cut off at the shoulder, while the left arm, which was severed above the wrist, displayed what appeared to be a self-administered tattoo depicting two small crosses. The head and torso were stuffed in a black plastic bag; the victim's face was badly battered. She was subsequently identified as Lisa Ann Warner.

On December 11, 1995, an employee of a sheet metal company located on Old Walt Whitman Road in Melville, New York, stopped for a lottery ticket on his way into work in the morning. At about 4:00 P.M., he discovered that he had misplaced the ticket. Fearing that he might have accidentally thrown it out, the employee launched a search that ultimately led to a dumpster located in the company's parking lot. When he and a coworker began rummaging through the dumpster to find the ticket, the employee spotted what looked like a quilt and a brand-new sleeping bag, partially encased in plastic garbage bags. He nudged the sleeping bag with a piece of wood, and felt something "hard" inside it, which he assumed was a dead animal. He then enlisted the help of another coworker, who coaxed the sleeping bag's zipper open with the piece of wood. A human foot protruded.

The victim was a female; both of her hands had been cut off just above the wrist. She had suffered severe head trauma and was nude, although a blood-soaked white tee shirt was near her head as was a blue brassiere. Her left breast bore a tattoo with the name "Melani," and just below it, what appeared to be two flowers with their stems intertwined. A powdery white substance, later identified as principally calcium carbonate, was visible on her corpse. Because there was no way to fingerprint the victim, the police released a physical description and a photograph of the tattoo to the news media, and requested help from the public in identifying her.

Acting on an anonymous tip, on December 13, 1995, Suffolk County Homicide Detective Joseph White went to an address in Hollis, Queens, where he talked to three women. They identified the victim as Melani, a fellow prostitute who, like them, worked Jamaica Avenue between 198th Street and Francis

Lewis Boulevard. Detective White eventually took statements from Camille M. and Maggie D., both of whom last saw Melani on December 8, 1995. They observed Melani, later identified as Kelly Sue Bunting, getting into an older model blue Cadillac driven by a white male. On December 14, 15 and 16, Detective White canvassed a number of area motels patronized by prostitutes, reasoning that Melani could not have been killed and dismembered in a motel room without leaving behind the conspicuous signs of a bloody encounter. He found no information to assist him in his investigation.

From his conversations with several prostitutes, however, Detective White learned that a white male who drove a blue Cadillac frequently solicited them along Jamaica Avenue. This man took the women not to a motel, but to a residence in Nassau County. He lived in a room in the rear of the first floor, which was entered from the back through a screened-in porch. He would ask the women to strip and “cook” his powdered cocaine into crack, using baking soda and water. Over time, Detective White obtained consistent statements from five different women (Dawn V., Kathleen W., Roxanne L., Virginia S. and Ann H.) about this man and his habits.

On January 2, 1996 and again on January 3, 1996, first Kathleen W. and then Dawn V. escorted Detective White to a house in Hicksville, where a 1983 blue Cadillac was parked in the driveway. From the license plate number, Detective White established that the car was registered to an individual who turned out to be defendant’s brother.

Detective White had discovered that only Sears sold the brand of sleeping bag in which Kelly Sue Bunting’s corpse was wrapped. Once he learned the name of the individual to whom the blue Cadillac was registered, he contacted Sears’s loss prevention office in Boston on January 4, 1996 to confirm that this brand of sleeping bag was indeed exclusive to Sears (it was) and to inquire whether this individual (defendant’s brother) had “any history with Sears department stores as a customer.” The Sears employee to whom Detective White spoke indicated that Sears had a record of defendant’s brother at the Hicksville address, and that he was a post office employee and a member of a postal credit union, but did not have a Sears credit card. She then “asked [the detective] if [he] was aware there was a Robert Shulman at that address” in Hicksville. This was how defendant’s name first surfaced in the Bunting investigation. Detective White learned that defendant had obtained a Sears

credit card in July 1995, although it had never been used, and that, like his brother, he was a post office employee and a member of the postal credit union.

On January 4, 1996, Detective White also initiated surveillance of the Hicksville residence, and the police took photographs of a white male who left the house and of the car in which he drove away. That same day, Kathleen W. and Dawn V., the two women who had led Detective White to the house, identified these photographs as depicting the white male who solicited prostitutes along Jamaica Avenue and the blue Cadillac that he drove. On January 6, 1996, Roxanne L. likewise identified the photographs. She further informed Detective White that this man had told her that he worked the night shift at the post office; that his brother also lived in the Hicksville residence; and that he was angry at Melani for “beat[ing] him out of” some coke that she had bought for him. On January 14, 1996, Camille M., one of the women who saw Kelly Sue Bunting on December 8, 1995, selected defendant’s photograph from a photo array of 10 individuals, and the blue Cadillac registered to his brother from a photo array of eight vehicles.

On January 16, 1996, Detective White approached postal authorities for information about the work schedules of both defendant and his brother. A postal inspector advised him that defendant’s brother worked as a mail handler at the 28th Street post office in Manhattan from 4:00 P.M. to 12:30 A.M., with Tuesdays and Wednesdays off; and that defendant worked as a mail handler at the post office in Hicksville from 10:30 P.M. to 7:00 A.M., with Sundays and Mondays off. Detective White subsequently learned from the postal inspector that defendant had not worked as scheduled on December 7, 1994 (specifically, he left work at 7:00 A.M. on December 6, 1994, and returned to work at 6:30 P.M. on December 7, 1994) and December 8, 1995. Jane Doe Medford’s body was discovered on the morning of December 7, 1994; Kelly Sue Bunting was last seen alive on December 8, 1995.

At about 2:28 P.M. on January 20, 1996, Detective White observed the white male previously identified by Kathleen W., Dawn V. and Roxanne L. from surveillance photographs drive another white male from the Hicksville residence to the train station. At this point in the Bunting investigation, Detective White knew that the automobile was registered to defendant’s brother and, based on the information from Sears, that both defendant and his brother lived at the Hicksville address. By cor-

relating the surveilled movements of these two men with the known work schedules and work locations for defendant and his brother as well as by observing whether lights were on or off in different areas of the Hicksville residence, the police were able to ascertain that the man identified by Kathleen W., Dawn V. and Roxanne L. was defendant, and that he lived in the rear of the house's first floor.

On January 25, 1996, Detective White showed the photo arrays to Maggie D., the other woman who had seen Kelly Sue Bunting on December 8, 1995. She selected defendant's photograph as depicting this individual, and the blue Cadillac registered to his brother as the car that he was driving at the time. On that same day, Detective White asked Camille M., who had selected defendant's photograph from the photo array on January 14, 1996, to look at a photo array including a photograph of defendant's brother but not defendant. She was unable to make any identification.

On January 26, 1996, Detective White met with Virginia S., who described a white male who had picked her up in the vicinity of Jamaica Avenue in a blue Cadillac about four times, and had taken her back to his place in Nassau County. She recalled having seen a work bench or table with tools, including a hacksaw and a hammer, in the screened-in porch off his room, and observed that he "always had baking soda around to cook his drugs." She also related that this man had told her that his name was "Bob," and that she had seen items in his room with the name "Bob" on them. She selected defendant's photograph and the photograph of the car registered to defendant's brother from the photo arrays.

On February 12, 1996, Ann H. recounted her single encounter with defendant to Detective White. She identified defendant and the car registered to his brother from the photo arrays. She described his room in the rear of the Hicksville residence as "filthy."

At that time, defendant was assigned to work in a small security booth at the post office in Hicksville. With the assistance of postal inspectors, on March 21, 1996, Detective White and personnel from the Suffolk County Crime Laboratory gained access to this padlocked booth just after defendant completed his shift and left for the day. Crime lab personnel photographed the booth and also vacuumed and performed tape lifts.

Defendant's brother often parked the blue Cadillac on a certain residential street in Hicksville near the train station

before taking the train into Manhattan to work. On March 22, 1996, Detective White arranged for an officer in the canine unit to check six cars (including the blue Cadillac) parked on this street with the officer's "cadaver dog," a canine certified as having successfully completed various training exercises to detect body fluids or parts or decaying flesh. The canine officer did not know in advance which car was the object of Detective White's suspicions. He walked the dog down the block past the six cars, and back up the block past five cars.¹ He informed Detective White that his dog had reacted positively to one of the cars—the blue Cadillac registered to defendant's brother.

On March 25, 1996, Detective White met with personnel from the crime lab to discuss their findings with respect to trace evidence recovered in connection with the bodies of Jane Doe Medford and Kelly Sue Bunting, and at the security booth where defendant worked. Trace evidence detected with both bodies included worn and debris-laden light blue carpet fibers, orange carpet fibers, cat hairs and foam padding. In addition, jute carpet backing was found on Kelly Sue Bunting's body and the wrappings in which she was enshrouded. These same five items—worn and debris-laden light blue carpet fibers, orange carpet fibers, cat hairs, foam padding and jute—turned up in the sweepings and tape lifts from the security booth where defendant worked. The laboratory technician told Detective White that there was a "strong associative connection" among these five items.

The Suffolk County Police arrested defendant near his Hicksville residence on April 6, 1996. Detective White placed defendant in the back seat of an unmarked police car for the trip to the police station at Yaphank, and advised him of his *Miranda* rights, which he waived. On the way, Detective White showed defendant a photograph of Kelly Sue Bunting. Defendant made several incriminating statements while simultaneously denying responsibility for her death.

Detective White and other detectives interviewed defendant at the police station. When the detectives asked him to talk about prostitutes, he replied that they hate and kill people. When they pointed out that he killed people, too, he responded that he was paying the officers' salaries, that he was a good citizen who paid taxes while the girls committed crimes and did not pay taxes, yet no one locked them up. He subsequently gave

1. Someone had entered and driven one of the cars away in the meantime.

four written statements in which he described the circumstances of the killings of Kelly Sue Bunting, Jane Doe Medford and Lisa Ann Warner; he agreed to give hair, blood and saliva samples.

Defendant claimed that after having smoked crack with Melani, he blacked out and later awakened to find her lying face down on the floor with blood everywhere, including by her head and on both his hands; that he had used tools stored on the screened-in porch to saw off her hands “so no one could identify her”; that he wrapped her body in plastic garbage bags and two sleeping bags and put the body in the trunk of his brother’s car, along with her clothes and a small brown paper bag in which he had placed her severed hands; that he discarded the paper bag in a garbage can at a fast-food restaurant and the clothes in a dumpster at another location; that he threw the body away in a dumpster at a factory near the Mid-Island post office where he once worked; that there was a lot of blood to clean up in his room, causing him to dispose of a blood-stained greenish blue carpet; and that he wished that he had cut out Melani’s tattoo once he read in the newspaper that she had been identified by it. In his own handwriting, defendant also inscribed three photographs from the Bunting investigation (two of the dumpster where Kelly Sue Bunting’s remains were discovered; one of her body at the morgue) with statements admitting to his dismemberment and disposal of the body, and signed his name.

Defendant admitted that he had killed Jane Doe Medford in his room, and again claimed that he had blacked out after smoking crack with her, only to awaken and find her unaccountably dead and bleeding from the face and head. So that she would not be identified, he used an axe and a hacksaw to dismember her body; he threw the axe and hacksaw away in the trash afterwards; he disposed of her body parts “all over the place,” and similarly discarded her belongings in various dumpsters. Because he could not dispose of her remains immediately, he sprayed her remains with an air freshener and sprinkled them with baking soda to mask the odor of decomposition.

Defendant acknowledged, inscribed and signed photographs related to the killing of Lisa Ann Warner. He admitted that he killed all the victims in his room at the Hicksville residence. According to defendant, he picked up Lisa Ann Warner along Jamaica Avenue; returned to his room and smoked crack with her; blacked out and awakened to find her dead from head wounds (but he also admitted to hitting her with a hammer); dismembered her body and disposed of her body parts and clothes in different locations.

When one of the detectives suggested to defendant that he should “[g]et away from the lie about blacking out, [which was] just not believable,” he agreed, stating that he had not blacked out but instead had “just lost control” and sometimes felt anger and rage. He recounted that he had killed Jane Doe Medford with a baseball bat; Kelly Sue Bunting with a dumbbell; and Lisa Ann Warner with a hammer. Defendant threw out these makeshift weapons immediately afterwards because he would always think that “it’s not going to happen again.” He reiterated that he cut off his victims’ limbs in his room and discarded their body parts in multiple locations in order to foil identification.

Based upon information from these postarrest confessions, on April 7 and April 8, 1996 the police executed a search warrant for defendant’s room, which was photographed, partially disassembled and transported to various divisions of the crime lab. There they discovered evidence of drug use, baking soda, calcium carbonate, air fresheners, carpet cleaners, and hundreds of apparent bloodstains on the walls, ceilings and surfaces of practically every freestanding item. Through DNA analyses, various stains were determined to be consistent with the DNA profiles of Jane Doe Medford, Lisa Ann Warner or Kelly Sue Bunting.

II.

Defendant contends, among other things, that the police lacked probable cause to arrest him; and that the trial court erred by rejecting his for cause challenges to certain prospective jurors, and abused its discretion by denying his request to question the seated jurors as to whether they had read a particular newspaper headline. Defendant also maintains that the trial court improperly instructed the jury as to the meaning of first-degree “similar fashion” murder.

A. Probable Cause

Defendant claims that the evidence offered by the People at the suppression hearing fell short of demonstrating *prima facie* that it was more probable than not that he committed the offenses being investigated. Probable cause “does not require proof sufficient to warrant a conviction beyond a reasonable doubt but merely information sufficient to support a reasonable belief that an offense has been . . . committed” by the person arrested (*People v Bigelow*, 66 NY2d 417, 423 [1985]). When

determining whether the police had probable cause to arrest, the “inquiry is not as to defendant’s guilt but as to the sufficiency for arrest purposes of the grounds for the arresting officer’s belief that [the defendant] was guilty” (*People v Coffey*, 12 NY2d 443, 452 [1963]; see CPL 140.10 [1] [b]). Further, while defendant invites us to look at each fact or circumstance considered by the police as though standing alone, “[t]he legal conclusion [as to whether probable cause existed] is to be made after considering *all* of the facts and circumstances together” (*Bigelow*, 66 NY2d at 423 [emphasis added]). A synoptic evaluation is essential because “[v]iewed singly, these may not be persuasive, yet when viewed together the puzzle may fit and probable cause found” (*id.*).

[1] Detective White testified at the suppression hearing about what the police had discovered over the course of a painstaking four-month investigation: that Kelly Sue Bunting was last seen alive in defendant’s company; that Kelly Sue Bunting and Jane Doe Medford were both killed by being severely beaten about the face and head and were disposed of as trash, minus hands or limbs, suggesting a common killer; that the trace evidence associated with the bodies of Kelly Sue Bunting and Jane Doe Medford (worn and debris-laden light blue carpet fibers, orange carpet fibers, cat hairs, jute and foam padding) was also present in the security booth where defendant worked; that defendant did not work as scheduled on December 7, 1994, the day Jane Doe Medford’s body was discovered, or December 8, 1995, the day Kelly Sue Bunting was last seen alive; that defendant was known to entertain prostitutes, including Kelly Sue Bunting, in his room, a relatively secluded spot entered through a screened-in porch where another prostitute had seen a work bench or table with tools, including a hacksaw and a hammer; and that several prostitutes reported that defendant always had baking soda on hand in his room, and that the bodies of Kelly Sue Bunting and Jane Doe Medford were sprinkled with a white powdery substance.² These multiple points of correspondence between defendant and the killings of Kelly Sue Bunting and Jane Doe Medford were evidence that it was more probable than not that defendant was the perpetrator. Accordingly, the police had a sufficient basis to arrest defendant.

2. Defendant contends that a *Frye* hearing was required to show the reliability of the dog-scent evidence presented at the suppression hearing. Because there were sufficient facts and circumstances to establish probable cause without this evidence, we need not address defendant’s argument.

B. Jury Selection

We focus upon four of defendant's jury selection claims. In three of these four claims, defendant argues that the trial court erred by rejecting his for cause challenges under CPL 270.20 (1) (b) to prospective jurors who, he asserts, possessed "a state of mind that [was] likely to preclude [them] from rendering an impartial verdict based upon the evidence adduced at the trial"; in the remaining claim, defendant contests the trial court's rejection of his for cause challenge under CPL 270.20 (1) (c). Noting that he exhausted his peremptory challenges, defendant argues that he is entitled to a new trial if the trial court committed any errors (*see* CPL 270.20 [2]). We find no error.

1. Prospective Juror S.C.

S.C. worked as a corrections officer on Rikers Island. In response to a question on the written juror questionnaire asking what life without parole meant to him, he wrote "3 hots and a cot, free medical, \$50[,]000 a year wasted." When asked about this answer during voir dire, S.C. said that he "was just being sarcastic," and that "3 hots and a cot" was "[a] saying" he had picked up at Rikers Island, which made him "feel pretty foolish now that [defense counsel] read it back to [him]." He repeatedly assured the trial court and the parties that he could be fair and impartial.

[2] Defendant assigns error to the trial court's rejection of his for cause challenge to S.C., arguing that S.C.'s representations of fairness and impartiality "lacked candor," and that his "cavalier manner" rendered him unfit to serve. By denying defendant's challenge, however, the trial court found S.C. to be truthful. As we observed long ago, "it was for the [trial] court to say, from the whole examination of the juror, including his appearance and demeanor, whether he was fit and competent to perform fairly and impartially" (*People v Carolin*, 115 NY 658, 659 [1889]; *see also People v Johnson*, 94 NY2d 600, 613 [2000] [determination of whether prospective juror is qualified is "committed largely to judgment of the Trial Judge with his peculiar opportunities to make a fair evaluation" (internal quotation marks omitted)]). Here, the trial court took "into consideration all of the answers that [the juror] provided to the Court and his willingness to put aside whatever his personal opinions might be and take the law as the Court gave it to him," and denied the challenge. The trial court acted within its discretion in making this determination.

2. Prospective Juror S.R.

According to defendant, S.R. voiced doubt about whether she could put a preexisting opinion regarding defendant's guilt, premised on media accounts, out of her mind. To support his claim, defendant points to isolated passages of voir dire where S.R. responded to his questions probing her ability to put her opinion aside by stating that "I think I can" or that she would "try."

Those responses, standing alone, did not render S.R. unfit to serve. As we have noted, words like "think" or "try" are "not . . . talismanic word[s] that automatically make[] a statement equivocal" (*People v Chambers*, 97 NY2d 417, 419 [2002]). S.R.'s other answers dispelled any doubt about her ability to deliberate impartially (*see People v Johnson*, 94 NY2d at 615 ["in considering whether a challenge for cause should have been granted, we must look not to characterizations or snippets of the voir dire but to the full record of what the challenged jurors—sworn to speak truthfully—actually said"]).

[3] The court concluded the voir dire by asking S.R. if she would want a juror with her "state of mind" to sit on a case in which either she or a loved one was on trial (*compare People v Chambers*, 97 NY2d at 419 [noting that "an additional question or two at voir dire would easily dispel any doubt as to equivocation, assure an impartial jury, and avoid the delay, and risk, of appeals"])). S.R. unhesitatingly answered "Absolutely." In light of that response as well as her many other assurances of impartiality, the trial court had ample basis for rejecting defendant's for cause challenge to S.R. (*compare People v Torpey*, 63 NY2d 361, 367 [1984] [trial court erred by denying the defendant's for cause challenge to a prospective juror who stated, among other things, "that it would 'probably not' be fair to the defendant to have somebody with her state of mind on the jury"])).

3. Prospective Juror T.V.

Defendant claims that the trial court should have granted his for cause challenge to T.V., which was based on this prospective juror's acknowledgment during voir dire that he had read a newspaper article about jury selection in the case. When prospective jurors filled out written questionnaires two months before voir dire, the trial court instructed them not to read media accounts of the case. Defendant now argues that T.V.'s supposed disregard of this instruction showed that he would not

have been able to comply with future instructions, thereby rendering him unfit for service.

[4] T.V. did nothing warranting exclusion under CPL 270.20 (1) (b). T.V.'s forthright acknowledgment that he had read the article displayed not a wanton disregard of a court order, but rather an honest misunderstanding of what the trial court had instructed. The record shows that T.V. incorrectly believed that only articles detailing the underlying facts of the crimes charged were off limits. Nor does the rest of the voir dire show that the juror was unwilling to follow the trial court's instructions. T.V. gave every indication that he could be impartial. When instructed further on the scope of the trial court's direction not to read media accounts of the case, T.V. stated that he would comply.

4. Prospective Juror J.C.

Defendant claims that J.C. should have been excluded under CPL 270.20 (1) (c), which provides a for cause challenge when a prospective juror "is related within the sixth degree by consanguinity or affinity to" certain enumerated persons, including "counsel for the people." We disagree.

[5] Prior to the commencement of trial, J.C.'s brother-in-law (the brother of J.C.'s wife) had been employed as a prosecutor by the Suffolk County District Attorney's Office. While there, he had worked in the Homicide Bureau and had attended a single meeting regarding the investigation of defendant, which occurred prior to defendant's arrest. At no point did the brother-in-law make any court appearances in defendant's case. In fact, the brother-in-law resigned from the office and moved to Nevada shortly after defendant's arrest and months before the start of jury selection. We decline to define "counsel for the people" as encompassing the tangential relationship presented here.

C. Midtrial Publicity

The trial court repeatedly cautioned the seated jurors that, while they were permitted to read newspapers during the trial, if they saw a headline mentioning the case they were not to read the associated article. The trial court also committed to save all trial-related articles as court exhibits so that the jurors might read them once the trial was over if they so chose.

At the beginning of a Monday court session, the trial court thus created as a court exhibit an article about the trial appear-

ing in Newsday the previous weekend. The headline on the article read “Link to 2 More Victims.” The article appeared following the Friday testimony of the People’s forensic serologist, in which blood matches to Kelly Sue Bunting, Jane Doe Medford and Lisa Ann Warner were discussed. Thus, a reader seeing only the headline might have thought that it referred to testimony that the jury had heard. Anyone reading the article, however, would have learned otherwise. The article discussed facts that were not before the jury, reporting that defendant faced charges in Westchester County for two murders in addition to the three of which the jury was aware, and that blood evidence found in his room matched that of two missing women, one of whom was last seen with defendant in Manhattan.

After some housekeeping measures were taken care of, defense counsel asked to be heard with regard to this court exhibit. Stating that he was “not sure exactly what the headline said,” counsel asked the trial court to read it aloud. After being handed the exhibit, the trial court stated that “[t]he headline reads, Link to Two More Victims.”

Upon hearing the headline, defense counsel made the following application:

“Your Honor, I would ask the Court to inquire of the jurors and make sure that none of them have read the headline inadvertently or [that] anyone discussed with them what appeared in the newspaper with respect to the [Newsday] article

“I think it was very, very prejudicial and potentially very damaging to [defendant] if the jurors by some way indirectly or directly found out about *the information that’s contained not in the article but just the headline*, which is an extremely provocative *headline*, and I would ask the Court to make some inquiry of the jury with regard to this exhibit” (emphasis added).

In response, the prosecutor expressed a misgiving that, by querying the jurors about the headline, “all it really is doing is calling attention to the article.” As the prosecutor put it:

“there’s been articles written about the case since the hearings began and not with respect to any particular article would we specifically ask the jurors if they read a particular article and read a particular

headline, and I just think all it does is really highlight the article and . . . peak [*sic*] their curiosity.”

After this exchange, the trial court noted that the “subheadline on the article reads, Prosecutor[:] Blood in Shulman’s Home Matches Women”; and that “[a]lthough I suppose that someone can read it and speculate that there [were] some additional victims, it, nevertheless, is somewhat neutral.” As previously noted, the article appeared during the examination of the People’s forensic serologist, who had given testimony regarding blood matches to the three victims. The trial court therefore declared that:

“I am inclined to go along with the prosecutor’s view, that if I were to inquire of the jurors about this, that I would simply be highlighting it for them and might, in fact, invite them to inquire from other people who may have read the paper or even to go back and look at the paper themselves, so I’m inclined to deny defendant’s request at this time.”

Defendant now argues that the trial court erred by not asking the jurors if they had read the headline or heard about the article’s contents from other people.³ In particular, defendant contends that the trial court was required to survey the jurors on these points, following a three-part test devised by United States Court of Appeals for the Second Circuit for a federal trial court to apply when faced with jurors’ exposure to potentially prejudicial midtrial publicity.

The Second Circuit most recently discussed this three-part test in *United States v McDonough* (56 F3d 381 [2d Cir 1995]). As articulated by the court, the inquiry is:

“ ‘first, to determine whether the coverage has a potential for unfair prejudice, second, to canvass the jury to find out if they have learned of the potentially prejudicial publicity and, third, to examine individually exposed jurors—outside the presence of the other jurors—to ascertain how much they know of the distracting publicity and what effect, if any, it has had on that juror’s ability to decide the case fairly’ ” (*id.* at 386, quoting *United States v Gaggi*,

3. Defendant’s application at trial focused solely on the headline. Moreover, defendant has never expressed any concern that the jurors, in disobedience of the trial court’s instructions, might have read the article.

811 F2d 47, 51 [2d Cir 1987], *cert denied* 482 US 929 [1987]).

In *McDonough*, an article highly critical of the defendant and skeptical about his prospects on the witness stand appeared in a local newspaper the day before he was scheduled to testify. Describing the article as “poisonous” (56 F3d at 385), the District Court embarked upon the three-part test at the defendant’s behest. The defendant disputed whether the court had taken sufficient measures to ascertain whether exposed jurors remained able to decide the case fairly, as required by the third prong of the three-part test. Reviewing the lower court’s decision for abuse of discretion and affording it deference, the Second Circuit concluded that the District Court had acted reasonably in evaluating juror impartiality, and affirmed the conviction.

We need not consider whether we would adopt the three-part test of *McDonough* in a similar case because this case is different. The trial court correctly described the ambiguous headline as “somewhat neutral”; it certainly was not “poisonous.” We have afforded trial courts wide flexibility in determining what, if any, steps are required to assure a defendant’s right to a fair trial in light of the particular midtrial publicity and circumstances encountered, subject to appellate review for an abuse of discretion (*see People v Moore*, 42 NY2d 421, 433-434 [1977], *cert denied* 434 US 987 [1977] [trial court did not abuse its discretion by refusing to take corrective measures requested by defendant to guard against potential prejudice from media reports appearing during jury selection]). Of course, in every case “the facts must be examined to determine the nature of the material placed before the jury and the likelihood that prejudice would be engendered” (*People v Brown*, 48 NY2d 388, 394 [1979]).

[6] Here, the trial prosecutor identified a very significant consideration militating against the midtrial voir dire requested by defendant, which the trial court found to be persuasive; namely, that inquiring about the headline would inevitably focus the jurors’ attention on something that there was no indication any of them had seen, and might well foster infelicitous speculation. This was especially so because the trial court had not asked the jurors about any of the many past headlines or news accounts relating to the trial. In short, we conclude that the trial judge did not abuse his discretion when he declined to survey the jury as requested by defendant.

D. First-Degree “Similar Fashion” Murder

Penal Law § 125.27 (1) (a) (xi) provides that

“[a] person is guilty of murder in the first degree when . . .

“[w]ith intent to cause the death of another person, he causes the death of such person or of a third person; and . . .

“the defendant intentionally caused the death of two or more additional persons within the state in separate criminal transactions within a period of twenty-four months when committed in a similar fashion or pursuant to a common scheme or plan.”

Defendant argues that the trial court erred by rejecting his request to instruct the jurors to disregard his postmortem conduct (specifically, the mode of dismembering and discarding of his victims’ bodies) when determining whether he committed first-degree “similar fashion” murder.⁴

The gist of defendant’s claim is that “similar fashion” relates solely to the killing acts underlying the first-degree murder charge, not to the entirety of each “separate transaction.” As defendant put it at trial, the element of “similar fashion” can be established only by reference to the “nature and type of injuries” inflicted and the “instrumentality that was used or not used” when committing the crime. He asserts that plain language compels this construction of the statute, as does the Legislature’s avowed goal of creating a death-eligible crime sufficiently narrow to pass constitutional muster. We disagree.

4. As for the actual charge, the trial court informed the jurors that, to convict for first-degree murder, they had to find eight elements, including that the three murders were committed in a similar fashion. As to that discrete determination, the trial court instructed the jurors that:

“[b]y way of guidance, I offer you the following legal definitions to aid you in your determination on this element.

“When a series of crimes are committed in a similar fashion, they have a similar modus operandi.

“Modus operandi refers to the method used in the commission of the crime.

“When crimes have a similar modus operandi, their method of commission is said to follow a repetitive pattern. A pattern is a reliable sample of traits, acts or other observable features.

“Similar means merely corresponding. Resembling in many respects, somewhat like, having a general likeness, although allowing for some degree of difference.”

Defendant's proposed construction—to have “caused the death of two or more additional persons . . . when committed in a similar fashion”—is linguistically awkward. “[C]ommitted in a similar fashion” more naturally relates back to “separate criminal transactions,” the immediately preceding phrase. “Relative or qualifying words of clauses . . . ordinarily are to be applied to the words or phrases immediately preceding, and are not to be construed as extending to others more remote, unless the intent of the statute clearly indicates otherwise” (McKinney's Cons Laws of NY, Book 1, Statutes § 254). Legislative history further supports this reading of the statute. The Assembly Codes Committee Bill Memorandum explains that subparagraph (xi) of Penal Law § 125.27 (1) (a), the death penalty statute's serial murder provision, “makes an intentional killing first degree murder when the defendant has committed two or more additional intentional killings within a 24 month period *in separate criminal transactions that were committed in a similar fashion* or pursuant to a common scheme or plan” (Mem of Assembly Codes Comm, Bill Jacket, L 1995, ch 1 [emphasis added]).

From a commonsense perspective, there is no reason to hold that similarity must be shown by the killing act alone. Indeed, in *People v Mateo* (93 NY2d 327, 333 [1999] [*Mateo I*]),⁵ we declined to adopt a comprehensive definition of similarity, because “[t]o do so . . . would ignore the relative nature and contextual considerations inherent in any analysis and application of the ‘similarity’ element” (*id.*). Thus, we anticipated that “similar fashion” could, depending upon the circumstances of an individual case, encompass more than just the actual killing acts.

Further, we specifically pointed out that, although Mateo shot all his victims, his various killings were not undertaken in a “similar fashion” because:

“the murder victims were of different ethnic and racial backgrounds and ranged in age from 16 to 20. A .45 caliber handgun, a .38 caliber handgun, a .25 caliber handgun, and a sawed-off shotgun were the varied weapons used to commit these murders. The motives for each shooting differed, as did the

5. We handed down our opinion in *Mateo I* after defendant's conviction; however, the parties and trial court considered the lower court opinions, which we subsequently affirmed, although with somewhat different reasoning.

wounds inflicted by defendant upon his victims.
Moreover, the locations of these multiple killings
were different” (*id.*).

The factors that we enumerated go well beyond the “nature and type of injuries” inflicted and the “instrumentality that was used or not used” when committing the crime, which defendant asserts should delimit similarity. Postmortem conduct may well be relevant.⁶ What counts is the similarity of the conduct, not whether it occurred before or after the victim’s death.

[7] In all three murders underlying this case, defendant brought the women to the room where he lived and killed them by repeatedly beating them about the face and head with a heavy, blunt object, variously, a baseball bat (Jane Doe Medford), a dumbbell (Kelly Sue Bunting) and a hammer (Lisa Ann Warner). Defendant used such force that he split the victims’ skulls open. Afterward, defendant hacked off the victims’ hands or limbs and disposed of the bodies in garbage receptacles. To inhibit identification of his victims, one of whom remained unidentified at trial, defendant threw away their severed hands or limbs, again as trash, in locations away from the spots where he disposed of their bodies. There was, in short, sufficient evidence for the jury to convict defendant of first-degree “similar fashion” murder.

We have considered defendant’s remaining challenges to his conviction, and conclude that they also lack merit. Accordingly, the judgment of County Court should be modified by vacating the sentence of death imposed upon conviction of murder in the first degree, and remitting to County Court for resentencing in accordance with CPL 470.30 (5) (c) and Penal Law §§ 60.06 and 70.00 (5) and, as so modified, affirmed.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT, GRAFFEO and R.S. SMITH concur.

Judgment modified, etc.

6. An extensive literature addresses the phenomenon of serial murder (*see e.g.* Steven A. Egger, *Serial Murder: An Elusive Phenomenon* [Praeger 1990]; Donald J. Sears, *To Kill Again: The Motivation and Development of Serial Murder* [Scholarly Resources Inc. 1991]; Ronald M. Holmes and Stephen T. Holmes, *Serial Murder* [Sage Publications, Inc., 2d ed 1998]). Although the cases discussed in these books disclose great variety in homicidal behavior patterns, including methods of murder, postmortem mutilation of victims often earmarks the serial killer.

[843 NE2d 140, 809 NYS2d 500]

In the Matter of the Estate of MILDRED B. MURPHY, Deceased.
BONNIE GUSTIN et al., as Executors of MILDRED B. MURPHY,
Deceased, Petitioners; EVELYN BECKMAN, Respondent, and
CONNIE MORRAL et al., Appellants.

Argued September 15, 2005; decided October 27, 2005

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered October 1, 2004. The Appellate Division affirmed a decree of the Surrogate's Court, Steuben County (Marianne Furfure, S.), which had determined that the bequests to Clair W. Manning in articles fifth and tenth of the last will and testament of Mildred B. Murphy, decedent, lapsed in their entirety due to the death of Clair W. Manning prior to the decedent's death and were not saved by the anti-lapse statute, and construed article tenth of decedent's will as an absolute, general and unconditional bequest to respondent Evelyn Beckman of the full amount of the residuary estate.

Matter of Murphy, 11 AD3d 947, reversed.

HEADNOTE**Descent and Distribution — Rights of Inheritance — Effect of Adoption**

A bequest by the testator to her adopted-out son did not lapse due to his death but, rather, passed to his issue under New York's anti-lapse statute (EPTL 3-3.3). EPTL 3-3.3 provides that when a bequest is made to the issue or siblings of the testator, and the beneficiary predeceases the testator, the gift does not lapse but vests in the beneficiary's surviving issue. Pursuant to Domestic Relations Law § 117 (2) (a), adopted-out children and their issue are strangers to a birth relative's will if it does not express a contrary intention or does not include the individual by name. Here, the testator's adopted-out child, expressly named in her will, qualified as her issue within the meaning of EPTL 3-3.3. When the testator named her adopted-out son as a beneficiary of her will, she triggered the condition in section 117 (2) that made him a non-stranger, and thus her issue, with respect to the relevant bequest. His children, therefore, were entitled to the benefit of the anti-lapse statute.

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By the Publisher's Editorial Staff

AM JUR 2d, Adoption § 175; AM JUR 2d, Wills §§ 1431-1434, 1445.

CARMODY-WAIT 2d, Payment of Shares §§ 169:62, 169:66, 169:168, 169:198, 169:199.

Opinion by ROSENBLATT, J.

6 LAW AND THE FAMILY NEW YORK (2d ed) §§ 7:73–7:80.

McKINNEY'S, Domestic Relations Law § 117 (2).

NY JUR 2d, Decedents' Estates §§ 912–915, 917; NY JUR 2d, Domestic Relations § 690.

ANNOTATION REFERENCE

See ALR Index under Adoption of Children; Anti-Lapse Statute; Lapse of Legacy or Devise.

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POINTS OF COUNSEL

Devorsetz Stinziano Gilberti Heintz & Smith, P.C., Syracuse (Kevin G. Roe of counsel), and *Welch & Zink*, Corning, for appellants. The testatrix's dispositions to her adopted-out child by name were dispositions to her issue and are subject to the anti-lapse provisions of the EPTL; adopted-out children are considered "strangers" to their natural families under the Domestic Relations Law only for the limited purpose of construing a testamentary disposition to a class. (*Matter of Robert Paul P.*, 63 NY2d 233; *Matter of Best*, 66 NY2d 151; *Matter of Seaman*, 78 NY2d 451; *Matter of Landers*, 100 Misc 635.)

Kenneth F. Joyce, Bath, *William B. Joint* and *Sayles & Evans*, Elmira (*Clover M. Drinkwater* of counsel), for respondent. The anti-lapse statute does not cause a testatrix's bequest to her adopted-out son, identified in the will by name but not by relationship, to pass to his issue where the child was adopted by strangers and the testatrix did not expressly include his issue. (*Matter of Best*, 66 NY2d 151; *Matter of Fabbri*, 2 NY2d 236; *Matter of Sawyer*, 4 AD3d 800; *Matter of Seaman*, 78 NY2d 451.)

OPINION OF THE COURT

ROSENBLATT, J.

In her will, the testator (birth mother) bequeathed real and personal property to her adopted-out son. Because she outlived him, we must decide whether the bequests lapsed or pass to his issue under New York's anti-lapse statute (EPTL 3-3.3).

In 1924, the testator, Mildred B. Murphy, gave birth to a son, Arthur. Arthur went to live with Jim E. and Mae Manning and was known throughout his childhood as Clair Willard Manning. The Mannings officially adopted him in 1944, when he was 19. Mildred had no other children. Clair and his birth mother reestablished their relationship some time after World War II.

In 1998, Mildred executed the will that is the subject of this suit. In the will, Mildred left her Keuka Lake cottage to Clair, along with \$8,000 and half of the residuary estate.¹ In addition to her bequests to Clair, she willed cash gifts to two of Clair's children. The will also provided that the remaining half of the residuary estate go to her sister-in-law, Evelyn Beckman. Clair died on March 4, 2001, survived by four children. Mildred died 11 months later, on February 14, 2002.

After the will was admitted to probate, the executors brought this construction proceeding to determine the fate of the bequests to Clair. Beckman asserts that the bequests lapsed and should become part of the residuary estate. She argues that Domestic Relations Law § 117 (2) mandates that adopted-out children be treated as strangers for the purpose of construing the will of a birth relative and that the bequests were not saved by EPTL 3-3.3. The Surrogate agreed, ruling that the gifts to Clair lapsed in their entirety and passed to Beckman with the whole of the residuary estate. The Appellate Division affirmed the decree. We granted leave and now reverse.

The appeal before us involves the interplay of EPTL 3-3.3 and Domestic Relations Law § 117 (2). EPTL 3-3.3, the anti-lapse statute, provides that when a bequest is made to the issue or siblings of the testator, and the beneficiary predeceases the testator, the gift does not lapse but vests in the beneficiary's surviving issue. The anti-lapse statute was designed "to abrogate . . . the common-law rule that a devise or legacy to [a predeceased child] lapsed and to substitute the children of the deceased child for the primary object of the testator's bounty" (*Pimel v Betjemann*, 183 NY 194, 199 [1905]). The harshness of that common-law rule, more often than not, defeated the testator's intention (*id.* at 200). We must determine whether the testator's adopted-out child, expressly named in her will, qualifies as her issue within the meaning of EPTL 3-3.3. In simplest terms, the issue is "issue."

In 1986, the Legislature revised subdivision (b) of EPTL 3-3.3, along with Domestic Relations Law § 117, defining "issue"—for

1. The relevant provision reads:

"Fifth. I give, devise and bequeath to CLAIR W. MANNING of Wellsboro, PA the real property owned by me on Keuka Lake, located at 132 and 134 West Lake Road, consisting of a cottage, extra lot and boathouse together with all of the contents and property located therein and thereon. I further give and bequeath to CLAIR W. MANNING the sum of Eight thousand dollars (\$8,000.00)."

the purpose of triggering the anti-lapse provision—to “include adopted children and their issue to the extent they would be included in a disposition to ‘issue’ ” under EPTL 2-1.3 and Domestic Relations Law § 117 (2). Domestic Relations Law § 117 (2) (a) provides:

“Except as hereinafter stated, after the making of an order of adoption, adopted children and their issue thereafter are strangers to any birth relatives for the purpose of the interpretation or construction of a disposition in any instrument, whether executed before or after the order of adoption, which does not express a contrary intention or *does not expressly include the individual by name* or by some classification not based on a parent-child or family relationship.” (Emphasis added.)

The Manning children contend that by naming their father—the adopted-out child—as a beneficiary under her will, Mildred altered his status from “stranger” to “issue” for the purposes of the anti-lapse statute with respect to that gift. Because much of Domestic Relations Law § 117 (2) (a) would lose meaning if we were to rule otherwise, we agree with this contention and reverse the Appellate Division order.

Until 1985, when we decided *Matter of Best* (66 NY2d 151 [1985]), it was not clear that adoption had any effect on the rights of adopted-out children to take under the testamentary instruments of their birth relatives, though the Legislature had limited the rights of such children in intestacy.² In *Best*, we held that an adopted-out child will not take in a class gift from a birth relative unless that child is “specifically named in a

2. Adoption did not exist at common law, and New York did not authorize it by statute until 1873 (L 1873, ch 830). That first adoption statute explicitly excluded inheritance from among the rights acquired or lost through adoptive relationships. Fourteen years later, the Legislature amended the statute to allow adopted children to inherit through both birth and adoptive lines (L 1887, ch 703). The matter stood that way through the enactment of the Domestic Relations Law and several versions of what, in 1961, became Domestic Relations Law § 117 (L 1961, ch 147). It was not until 1963 that section 117 was amended to preclude adopted-out children from inheriting through their birth relationships, except in cases of adoption by a stepparent. A further amendment in 1966 clarified section 117’s scope by expressly limiting the inheritance preclusion to intestate descent and distribution. (See generally *Matter of Seaman*, 78 NY2d 451, 455-458 [1991]; Recommendation of Law Rev Commn to 1986 Legislature, Bill Jacket, L 1986, ch 408, at 10; French, Note, *When Blood Isn’t Thicker than Water: The Inheritance Rights of Adopted-Out Children in New York*, 53 Brook L Rev 1007, 1011-1012 [1988].)

biological ancestor's will, or the gift is expressly made to issue including those adopted out of the family" (*id.* at 156).

The Legislature has amended section 117 several times since. In 1986, it adopted a modified version of the *Best* rule (L 1986, ch 408, § 1). Among the modifications, it allowed children adopted by certain other relatives within the birth family to take through class gifts under both lines. The Law Revision Commission had recommended that, where these intrafamily adoption rules did not apply, adopted-out children should be excluded from membership in "a class of persons based upon natural relationship . . . unless the will or instrument expresses a contrary intention."³ The Legislature employed this language and expanded upon it by providing that such children are strangers to a birth relative's will if it "does not express a contrary intention or does not include the individual by name." (L 1986, ch 408, § 1.) The 1987 revision added a parallel provision to section 117 (1) for intrafamily adoption in intestacy situations, although, of course, without provision for the contrary intention of the decedent (L 1987, ch 499).

We based our decision in *Best* on three major policy considerations. We emphasized the importance of maintaining the confidentiality of adoption records, preserving the stability of real property titles and assimilating the adopted child into the adoptive family (66 NY2d at 155-156). These concerns are no less substantial today than they were 20 years ago, but we note that none of them is implicated in this case. We rely here on statutory construction.

Beckman argues, and the dissent agrees, that the language of section 117 supports her position. Because section 117 specifically states that "adopted children *and their issue*" are strangers to the will unless one of the conditions is met, the "individual" to be included by name (her argument goes) is any person claiming a right under the will as issue. Beckman contends that, because Clair (although named) had died, his children may not take because *they* are not individually named.

This argument would be plausible only if we read section 117 in isolation, devoid of its relationship to EPTL 3-3.3. Indeed, as the Manning children argue, if we were to read the section as Beckman and the dissent advocate, the testator's expressed contrary intention or naming of the adopted-out child would have

3. Recommendation of Law Rev Commn to 1986 Legislature, at 37, Bill Jacket, L 1986, ch 408, at 46.

no practical or legal effect other than to allow the named individual to take the bequest. The named adopted-out child would then be in the same position as any other named nonrelative in any will. Surely the Legislature did not enact section 117 (2) (a) merely to state the obvious: that someone named in a will may inherit.

Moreover, the provisions in section 117 (1) and section 117 (2) are parallel insofar as possible, considering the inevitable differences between intestate distribution and probate of a will. This was a primary consideration in the 1987 revision, which added provisions for intestacy similar to those promulgated the year before for testamentary instruments (*Matter of Seaman*, 78 NY2d 451, 459 [1991]). In *Matter of Seaman* we held, concerning the treatment of intrafamily adoptions in section 117 (1):

“The issue’s right to inherit from the natural family was severed, however, in 1963 when the Legislature severed the adopted child’s right to so inherit. From this, it follows that when the Legislature restored the right of the adopted-out child to inherit from the natural family under the circumstances specified in Domestic Relations Law § 117 (1) (e), it also restored the right of the adopted-out child’s issue to do so” (*id.* at 456 [citations omitted]).

As a result, we concluded that it was unnecessary for the Legislature to refer expressly to the adopted-out child’s “issue” when enacting section 117 (1) (e). The statute implicitly restored inheritance rights to the issue of the adopted-out child when it restored them to the child (*id.* at 457).

The dissenting opinion reads EPTL 3-3.3’s reference to section 117 (2) as a broad reference to the classes of intrafamily adoptions that preserve birth inheritance rights, rather than as a reference to section 117 (2) (a) (dissenting op at 48). That interpretation is untenable because section 117 (2) is the subdivision of section 117 that covers adopted-out children in the testacy context. A will remains a prerequisite for anti-lapse, and section 117 (2) is the only subdivision of section 117 to which the anti-lapse statute could be referring. Our dissenting colleague contends that, by allowing testators to invoke the anti-lapse statute for their adopted-out children, our reading “does not treat the issue of adopted-out children comparably under the laws of intestacy and testacy” (dissenting op at 47). The dissenter’s argument, however, fails to note that section 117 (2) (a) is the very provision that marks the necessary differences be-

tween the two contexts. If there could be a perfect parallel, there would be no need for separate subdivisions.

The question before us is analogous to the one answered in *Seaman*, and it is *not* one of the few instances that section 117 requires us to treat differently between testacy and intestacy. To follow the legislative parallel between testamentary law and the law of intestacy as much as the necessary differences allow, we must treat the restoration of Clair's status as issue as the restoration of that status to his children as well.

We therefore conclude that, under Domestic Relations Law § 117 (2) (a), adopted children and their issue are ordinarily "strangers" to their birth relatives, and thus are excluded from class gifts. They are not "strangers" when the bequest is to a named adopted-out child—here, to Clair Manning. If "stranger" or the three "nonstranger" conditions of section 117 (2) are to have any meaning, it must mean that biological children who are not "strangers" are "issue" under the anti-lapse statute. We therefore conclude that when Mildred Murphy named her adopted-out son Clair as a beneficiary of her will, she triggered the condition in section 117 (2) that made him a nonstranger, and thus her issue, with respect to the relevant bequest. His children, therefore, are entitled to the benefit of the anti-lapse statute.

Accordingly, the order of the Appellate Division should be reversed, with costs payable out of the estate, and the matter remitted to Surrogate's Court for further proceedings in accordance with this opinion.

READ, J. (dissenting). While the majority's interpretation of the "interplay" between Domestic Relations Law § 117 (2) (a) and EPTL 3-3.3 is certainly not fanciful, it strikes me as implausible in light of relevant statutory language and history. Accordingly, I respectfully dissent.

Prior to its amendment in 1986, subdivision (1) of section 117 of the Domestic Relations Law provided that an adopted person could not inherit in intestacy from or through his biological family, except where the biological parent remarried and consented to adoption by the spouse. Subdivision (2) of section 117, however, specified that

"[t]his section [117] shall apply only to the intestate descent and distribution of real and personal property and shall not affect the right of any child to

distribution of property under the will of his natural parents or their natural or adopted kindred . . . or under any inter vivos instrument.”

In *Matter of Best* (116 Misc 2d 365 [Sur Ct, Westchester County 1982]), the Surrogate was faced with the question whether, in light of subdivision (2), a child adopted out of the family by a nonrelative could inherit as a member of a class of beneficiaries (i.e., “issue”) identified in his biological grandmother’s will. The Surrogate concluded that he could. Recognizing the jurisdictional problems presented by his interpretation of section 117 (2) as well as the risk to the confidentiality of adoption proceedings, he urged legislative study and amendment to

“limit the adopted-out child’s interest in decedents’ estates to the bloodline of his adoptive parents except in those instances when a will of a biological kindred discloses in clear language an intention to distribute a portion of the estate to the adopted-out child. To continue the existing statute without amendment will give rise to litigation, delays in the settlement of estates and the distribution of property to persons not only unknown to a testator but to unintended beneficiaries” (*id.* at 375).

In 1984, the Law Revision Commission drafted and recommended adoption of a bill to cure the so-called *Best* problem by creating a statutory default rule for construing gifts made to a class to which an adopted-out child belonged in his biological relationship prior to adoption (*see* 1984 NY Senate-Assembly Bill S 8325, A 10131). This bill amended section 117 of the Domestic Relations Law so as to permit an adopted-out child to inherit under either intestacy (subdivision [1]) or a will or inter vivos instrument (subdivision [2]) from biological kindred as he would have prior to adoption, but only if adopted by a stepparent, a birth grandparent or a descendant of a birth grandparent. The bill concomitantly amended subdivision (b) of EPTL 3-3.3, the anti-lapse statute, so that “issue,” “surviving issue” and “issue surviving” included adopted-out children “to the extent they may inherit under the provisions of section one hundred seventeen of the domestic relations law” (that is, from a stepparent, a birth grandparent or the descendant of a birth grandparent under the terms of the bill). In short, the bill created a symmetrical standard that gave adopted-out children the right to inherit in both intestacy and testacy from identical and limited categories of close kindred.

Although passed by both houses of the Legislature, the 1984 bill ultimately foundered on the shoals of strong opposition from the New York State Bar Association's Trust and Estates Law Section, which had developed a competing proposal (*see* Proposed Legislation to amend Domestic Relations Law ["DRL"] § 117 and Estates, Powers and Trusts Law ["EPTL"] §§ 2-1.3 and 3-3.3, Bill Jacket, Veto 106 of 1984, at 50). Governor Mario M. Cuomo vetoed the bill, noting ambiguities and "the substantial lack of consensus within the legal community," which argued "for further deliberate review" (Governor's Veto Mem 106, 1984 NY Legis Ann, at 403).

In 1985, we reversed the Appellate Division's order in *Best* and remitted to Surrogate's Court, concluding that "[o]nly if a child adopted out of the family is specifically named in a biological ancestor's will, or the gift is expressly made to issue including those adopted out of the family, can the child take" (*Matter of Best*, 66 NY2d 151, 156 [1985]). We left open the question of the "hybrid cases," where a child was adopted by a stepparent or a member of the biological family and different policy considerations might therefore apply (*id.* at 155 n 1).

In 1986, the Law Revision Commission drafted and recommended adoption of another version of a bill related to the *Best* dilemma (*see* 1986 NY Senate-Assembly Bill S 8366, A 10462).¹ This bill recast former subdivision (2) of section 117 as paragraph (h) of subdivision (1),² and added a new subdivision (2) to govern dispositions under wills and inter vivos instruments. The new subdivision (2) read in relevant part as follows:

“(a) As to the wills of persons dying after the thirty-first day of August, nineteen hundred eighty-six, or to inter vivos instruments executed after such date, a designation of a class of persons based upon natural relationship shall, unless the will or instrument expresses a contrary intention, be deemed to include

1. The Law Revision Commission's 1985 bill (*see* 1985 NY Senate-Assembly Bill S 5535, A 7455) on this topic, like the vetoed 1984 bill, applied both to intestacy and to class gifts under testamentary and inter vivos instruments. This bill was never acted on in either house.

2. This was the language that caused the lower courts in *Best* to conclude that the rights of an adopted-out child were terminated only with respect to intestate descent and distribution, and not under a will or inter vivos instrument. Most of this language in former subdivision (2)/new subdivision (1) (h) was deleted in the bill subsequently enacted as chapter 408 of the Laws of 1986.

an adoptive child who was a member of such class prior to adoption only if:

“(1) an adoptive parent (i) is married to the child’s natural parent, (ii) is the child’s natural grandparent, or (iii) is a descendent of such grandparent, and

“(2) the testator or creator is the child’s natural grandparent or a descendent of such grandparent.”

The 1986 bill thus limited an adopted-out child’s rights to inherit from biological kindred under a will or inter vivos instrument to the identical limited categories of close biological relatives as was the case in the vetoed 1984 bill (i.e., a stepparent, a birth grandparent or a descendant of a birth grandparent). The 1986 bill also amended subdivision (b) of EPTL 3-3.3 to provide that “issue,” “surviving issue” and “issue surviving” included adopted-out children “to the extent they may inherit under the provisions of section one hundred seventeen of the domestic relations law.”

This time around, the Law Revision Commission and the State Bar Committee on Estate and Trust Administration struck a deal. The State Bar Committee endorsed the 1986 bill so long as certain “technical changes” were made (*see* Legislation Report, Bill Jacket, L 1986, ch 408, at 65). As relevant to this case, one of those technical changes called for a new subdivision (2) (a) of section 117 and the relettering of proposed subdivision (2) (a) as (2) (b). This new subdivision (2) (a), modeled on a provision of the Uniform Adoption Act, specified that

“[e]xcept as hereinafter stated, after the making of an order of adoption, adopted children and their issue thereafter are strangers to any natural relatives for the purpose of the interpretation or construction of a disposition in any instrument, whether executed before or after the order of adoption, which does not express a contrary intention or does not expressly include the individual by name or by some classification not based on a parent-child or family relationship.”³

3. Section 14 of the Uniform Adoption Act provides that adoption decrees generally

“terminate all legal relationships between the adopted individual and his relatives, including his natural parents, so that the adopted individual thereafter is a *stranger to his former relatives*

(n. cont’d)

Chapter 408 of the Laws of 1986 reflected the technical changes required by the State Bar Committee as the price of its endorsement, including the new section 117 (2) (a).

Thus, in the 1984 bill and in the initial version of the 1986 bill, subdivision (2) (a) of section 117 consisted *only* of what was subsequently relettered subdivision (2) (b) in the bill enacted as chapter 408—the provision confining an adopted-out child’s rights to inherit from biological kindred under a will or inter vivos instrument to specified categories of close relatives. There is nothing in the legislative history of chapter 408 to suggest that the Legislature intended the addition of the refashioned subdivision (2) (a) to accomplish anything other than what the State Bar Committee envisioned; namely, a technical, not a substantive change to the original bill. There is certainly no basis for concluding that this technical change caused EPTL 3-3.3, the anti-lapse statute, to bear on Domestic Relations Law § 117 (2) in the way advocated by Clair Manning’s children and adopted by the majority. Under the majority’s interpretation, however, by making a bequest to an adopted-out child by name, a testator restores the adopted-out child to his preadoption rights of inheritance as biological kindred with respect to that bequest. Thus, the child adopted out by strangers, merely by being named in a will, achieves inheritance rights on a par with the child adopted out by close kindred. A testator will have to express the contrary intention in order to avoid this result whenever making a bequest to an adopted-out child by name. This cuts against the grain of chapter 408, which presumes that the average testator would likely only intend for the issue of a child adopted out by specified close kindred to qualify as substituted takers under the anti-lapse statute.

Nor does section 117 (2) (a) lack meaning and effect unless interpreted in conjunction with EPTL 3-3.3 in the way suggested by the majority. It is under subdivision (2) (a) that the bequests to two of Clair Manning’s four children pass. Under section 117 (2) (a), as issue of an adopted-out child they were made strangers to their birth grandmother for purposes of interpreting the dispositions in her will. Subdivision (2) (a), then, simply makes clear that notwithstanding this, these two

for all purposes including inheritance and the interpretation or construction of documents, statutes, and instruments, whether executed before or after the adoption is decreed, which do not expressly include the individual by name or by some designation not based on a parent and child or blood relationship” (Uniform Adoption Act § 14 [a] [1] [emphasis added]).

grandchildren may take by name as would any other stranger. Further, testator could have, for example, provided in her will that she intended to make her bequests to “My child, Clair Manning, as though he had never been adopted”; or she could have directed that the adoption of Clair Manning was to be disregarded for purposes of construing the dispositions in her will. In either event, she would have “express[ed] a contrary intention” under subdivision (2) (a), thus contradicting the legislative presumption that adopted-out children and their issue are strangers to their biological relatives for purposes of inheritance, except as specified in subdivision (2) (b). But, of course, she did not do this. Finally, subdivision (2) (a) also preserves bequests to an adopted-out child as a member of some classification not based on the parent-child or family relationship; for example, testator might have made a bequest to the members of her Saturday afternoon bridge club. Assuming that Clair Manning was a member of this classification, the majority’s interpretation creates some odd results. Presumably, this gift to him would not lapse if EPTL 3-3.3, in fact, saves gifts to an adopted-out child taking a bequest under the terms of Domestic Relations Law § 117 (2) (a). If the testator had made the bequest to “Clair Manning, John Doe and Jane Roe, with whom I have enjoyed playing bridge on Saturday afternoon for 25 years,” and both Clair Manning and John Doe predeceased her, the bequest to Clair Manning clearly would not lapse under the majority’s interpretation (because Clair Manning was named and because he was biological issue), but the bequest to John Doe would.

Additionally, the majority’s interpretation of Domestic Relations Law § 117 (2) (a) ignores some of its language. Section 117 (2) (a), as relevant in this case, applies to “adopted children *and their issue*” unless “*the individual*” is included by name (emphasis added). The phrase “and their issue” is superfluous under the majority’s reading of section 117 (2) (a), for the majority reads the word “individual” as synonymous with the phrase “adopted child[.]” The majority’s reading of section 117 (2) (a) also does not treat the issue of adopted-out children comparably under the laws of intestacy and testacy, the Legislature’s avowed purpose when it amended Domestic Relations Law § 117 (1) in 1987 (*see generally*, Bill Jacket, L 1987, ch 499).

Finally, although this appeal turns on statutory interpretation, nothing on the face of testator’s will indicates any intention to favor Clair Manning’s four children over her Beckman

relatives. In the will's "Ninth" paragraph decedent makes 16 separate bequests to 13 named individuals and three churches, charities or societies. Only two of Clair Manning's four children are included in any of the 13 bequests to named individuals, one for \$5,000 and the other for \$3,000; at least four of these 13 bequests (and perhaps more—it is not apparent from the face of the will or otherwise from the record) are made to Beckman relatives, two for \$10,000, the most of any of the individual bequests, and two for \$5,000. The will's executors are Beckman relatives.

In sum, statutory language and legislative history belie the notion that Domestic Relations Law § 117 (2) (a) is dependent on EPTL 3-3.3 for its meaning and effect. Clair Manning's children should not take under section 117 (2) (a) except to the extent that two of them are the named beneficiaries of specific bequests; they should not take under EPTL 3-3.3 because their father was not adopted by any of the limited categories of close kindred specified in Domestic Relations Law § 117 (2) (b). Accordingly, I would affirm the order of the Appellate Division.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, GRAFFEO and R.S. SMITH concur with Judge ROSENBLATT; Judge READ dissents and votes to affirm in a separate opinion.

Order reversed, with costs to all parties appearing separately and filing separate briefs payable out of the estate, and matter remitted to Surrogate's Court, Steuben County, for further proceedings in accordance with the opinion herein.

[844 NE2d 276, 810 NYS2d 729]

In the Matter of MARKE LANTRY, Doing Business as THOROUGH
JOB ARCHITECTURAL CONSTRUCTION SYSTEMS, Appellant, v
STATE OF NEW YORK et al., Respondents.

Argued November 15, 2005; decided December 15, 2005

SUMMARY

APPEAL, by permission of the Court of Appeals, from a judgment of the Appellate Division of the Supreme Court in the Third Judicial Department, entered November 18, 2004, in a proceeding pursuant to CPLR article 78. The Appellate Division confirmed a determination of the Commissioner of Labor, which had found that petitioner failed to pay prevailing wages and supplements, and dismissed the petition.

Matter of Lantry v State of New York, 12 AD3d 864, affirmed.

HEADNOTE

Labor — Prevailing Rate of Wages — Trade Classification — Survey of Local Contractor Practices Not Required

The Department of Labor's determination that petitioner contractor should have paid his employees engaged in the installation of preglazed windows in a public school the ironworker rate of pay, and not the lower glazier rate of pay, was neither arbitrary nor capricious. Although petitioner offered survey evidence of local contractor practices in using glaziers to install preglazed windows, the Department need not conduct surveys of local contractor practices in making a trade classification. The Labor Law does not require a specific procedure for evaluating the appropriate trade or occupation to assign to particular work, and it was appropriate for the Department to classify the work done by petitioner's employees as ironwork after considering several factors, including the nature of the task, an agreement between ironworkers and carpenters indicating that ironworkers retained jurisdiction over the installation of metal window frames into masonry, and the fact that the glaziers' union had a minimal presence in the area during the relevant time period. Moreover, although a prior determination of the Department directly conflicted with the result reached here, the Commissioner acknowledged the inconsistent decision and set forth her reasons for declining to follow its rationale and conclusion.

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By the Publisher's Editorial Staff

AM JUR 2d, Public Works and Contracts §§ 218, 221, 228.

NY JUR 2d, Public Works and Contracts §§ 90, 93, 94.

ANNOTATION REFERENCE

What projects involve work subject to state statutes

requiring payment of prevailing wages on public works projects. 10 ALR5th 337.

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POINTS OF COUNSEL

Hancock & Estabrook, LLP, Syracuse (*Stewart F. Hancock, Jr.*, *Alan J. Pierce* and *Sonya G. Bonneau* of counsel), for appellant. I. The Appellate Division's judgment should be reversed because it is predicated on and erroneously confirms the Commissioner of Labor's misapplication of the 1983 amendments to Labor Law § 220. (*Matter of Kelly v Beame*, 15 NY2d 103; *Matter of Marangos Constr. Corp. v New York State Dept. of Labor*, 216 AD2d 758; *Matter of Liquid Asphalt Distribs. Assn. v Roberts*, 116 AD2d 295; *Matter of Otis E. Serv. v Hudacs*, 185 AD2d 483; *Matter of Sierra Telcom Servs. v Hartnett*, 174 AD2d 279; *Matter of New York Tel. Co. v New York State Dept. of Labor*, 272 AD2d 741.) II. The Appellate Division erred in failing to vacate the Commissioner of Labor's determination and order, which overrules existing precedent and adopts a new rule without valid reason. (*Matter of Marangos Constr. Corp. v New York State Dept. of Labor*, 216 AD2d 758; *Matter of Kelly v Beame*, 15 NY2d 103; *Matter of Charles A. Field Delivery Serv. [Roberts]*, 66 NY2d 516.) III. The Appellate Division should have vacated the determination and order because it fails to set forth a definite, understandable rule capable of being applied in future trade classifications and that can be subject to effective judicial review. (*Matter of Marangos Constr. Corp. v New York State Dept. of Labor*, 216 AD2d 758; *People v Cull*, 10 NY2d 123; *Matter of Law Enforcement Officers Union, Dist. Council 82, AF-SCME, AFL-CIO v State of New York*, 229 AD2d 286; *Lehigh Portland Cement Co. v New York State Dept. of Envtl. Conservation*, 87 NY2d 136; *Matter of Nicholas v Kahn*, 47 NY2d 24; *Matter of General Elec. Co. v New York State Dept. of Labor*, 154 AD2d 117, 76 NY2d 946.) IV. The Department of Labor's "intrinsic nature of the work" rule for trade classifications under Labor Law § 220 was adopted in violation of the State Administrative Procedure Act and the State Constitution. (*Matter of Roman Catholic Diocese of Albany v New York State Dept. of Health*, 109 AD2d 140, 66 NY2d 948; *Matter of Cordero v Corbisiero*, 80 NY2d 771; *Matter of Schwartzfigure v Hartnett*, 83 NY2d 296; *Matter of Alca Indus. v Delaney*, 92 NY2d 775; *People*

v Cull, 10 NY2d 123; *Yaretsky v Blum*, 453 F Supp 653; *Matter of General Elec. Co. v New York State Dept. of Labor*, 154 AD2d 117; *Matter of Sunrise Manor Nursing Home v Axelrod*, 135 AD2d 293; *Matter of Maher v New York State Div. of Hous. & Community Renewal*, 158 Misc 2d 826.)

Eliot Spitzer, Attorney General, New York City (Benjamin Gutman, Daniel Smirlock, M. Patricia Smith, Patrick Barnett-Mulligan and Pico Paul Ben-Amotz of counsel), for respondents. I. The Commissioner of Labor rationally relied on the nature of the work rather than surveys in determining that installing preglazed windows is ironwork, not glaziers' work. (*Matter of General Elec. Co. v New York State Dept. of Labor*, 154 AD2d 117, 76 NY2d 946; *Matter of Chesterfield Assoc. v New York State Dept. of Labor*, 4 NY3d 597; *Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451; *Matter of Kelly v Beame*, 15 NY2d 103.) II. The flawed decision in *Matter of Cortland Glass* does not render the Commissioner of Labor's determination in this case irrational. (*Matter of Tap Elec. Contr. Serv. v Roberts*, 104 AD2d 548; *Matter of Otis E. Serv. v Hudacs*, 185 AD2d 483; *Matter of Sierra Telcom Servs. v Hartnett*, 174 AD2d 279; *Matter of Naftilos Painting & Sandblasting v Hartnett*, 173 AD2d 964; *Matter of Marangos Constr. Corp. v New York State Dept. of Labor*, 216 AD2d 758; *Matter of Currier [Woodlawn Cemetery]*, 300 NY 162; *Sam & Mary Hous. Corp. v Jo/Sal Mkt. Corp.*, 100 AD2d 901, 64 NY2d 1107; *Matter of New York Tel. Co. v New York State Dept. of Labor*, 272 AD2d 741; *Matter of International Assn. of Bridge, Structural & Ornamental Iron Workers, Local Union No. 6, AFL-CIO v State of New York*, 280 AD2d 713; *Matter of Charles A. Field Delivery Serv. [Roberts]*, 66 NY2d 516.) III. The Commissioner of Labor's assessment of the nature of the work is subject to effective, if limited, judicial review. (*Matter of General Elec. Co. v New York State Dept. of Labor*, 154 AD2d 117; *Matter of Nicholas v Kahn*, 47 NY2d 24; *Matter of Nehorayoff v Mills*, 95 NY2d 671.) IV. The Commissioner of Labor's classification principles are not rules subject to the State Administrative Procedure Act. (*Matter of New York City Tr. Auth. v New York State Dept. of Labor*, 88 NY2d 225; *Matter of Roman Catholic Diocese of Albany v New York State Dept. of Health*, 66 NY2d 948; *Matter of General Elec. Co. v New York State Dept. of Labor*, 154 AD2d 117; *Matter of Schwartzfigure v Hartnett*, 83 NY2d 296.)

OPINION OF THE COURT

GRAFFEO, J.

In this CPLR article 78 proceeding, a contractor challenges the methodology used by the Department of Labor to classify work for purposes of determining the appropriate prevailing wage rate to pay workers on public projects, arguing that the Department erred because it did not consider survey evidence of local contractor practices in making a trade classification. We hold that the Department need not conduct such surveys in order to classify work and conclude that the Commissioner's determination was neither arbitrary nor capricious.

Petitioner Marke Lantry, doing business as Thorough Job Architectural Construction Systems, subcontracted to install preglazed windows for the Ichabod Crane Central School District in Columbia County in 1997. Lantry paid his employees (who were not represented by a trade union) the glaziers' wage rate for their labor on the project. The Department's Bureau of Public Work conducted a random audit of the project and concluded that Lantry had underpaid some of his employees. With respect to the workers engaged in window installation, the Bureau asserted that they should have been compensated at the higher rate of pay for ironworkers.¹ The Bureau assessed Lantry with an underpayment of approximately \$5,400 and directed the school district to withhold certain payments from him.

Lantry responded by requesting a hearing to contest the Bureau's findings. Presuming that the Department would use a "prevailing practice in the locality" approach, which relies on surveys of local contractors to determine the trade classification of workers for wage rate purposes, Lantry sought to establish that the prevalent practice in the Capital District area was for contractors to pay their employees installing preglazed windows at the glaziers' rate, rather than the ironworkers' rate.

At the hearing, the Department's principal witness was the senior public work wage investigator, who had audited Lantry's project. He testified that in classifying a particular task into the appropriate trade or occupation, the Department generally analyzes the specific nature of the work, together with collective bargaining agreements, jurisdictional agreements and past Bureau recognition. In his 16 years as a Department investiga-

1. The Bureau also determined that other work compensated at the glaziers' rate should have been paid at the rate for masons, laborers or carpenters. Lantry did not challenge these findings.

tor, he indicated that he never examined the “prevailing practice” in a locale or elicited survey-type information from contractors. The witness explained that he classified the work done by Lantry’s employees as ironwork after considering several factors, including the nature of the task and an agreement between ironworkers and carpenters indicating that ironworkers retained jurisdiction over the installation of metal window frames into masonry.² The Department also presented testimony that revealed that the glaziers’ union had a minimal presence in the Capital District area in the mid-to-late 1990s.

In contesting the Bureau’s determination that the window installation work should have been classified as ironwork, Lantry submitted the testimony of various union and nonunion glazier contractors who claimed to have consistently treated the installation of preglazed windows as glaziers’ work and had paid the glaziers’ rate for such labor.³ A market research consultant who had been hired by the New York State Glass Association to survey the scope of work undertaken by glazier contractors also testified. Based on statistical evidence developed from this survey, he stated that most of these contractors used glaziers to install preglazed windows, although some employed ironworkers or carpenters for such tasks.

After the administrative hearing, the hearing officer issued a report and recommendation accepting the Bureau’s ironwork classification and finding of underpayment.⁴ Recognizing that the Department could rely on collective bargaining agreements in making classification determinations, the hearing officer noted that in this case the relevant agreements for glaziers and

2. The record indicates that, before preglazed windows were developed, an ironworker would first attach a metal frame to the building’s masonry walls with metal clips and screws, after which a glazier would affix the glass to the frame. Preglazed windows have the window glass installed at the factory thereby eliminating glass installation at the job site. As Lantry testified at the hearing, installation of a preglazed window now involves the attachment of the metal frame containing the window glass to the building’s masonry.

3. The nonunion contractors testified that they paid the glaziers’ rate when working on public projects. They typically paid lower wages when performing similar work in the private sector.

4. The hearing officer also concluded that Lantry’s failure to pay the prevailing wage and supplements was willful based on his failure to pay carpenters’ rates for ceiling tile work and laborers’ rates for washing and cleaning tasks. As a result of this finding of willful conduct, the hearing officer recommended that the Commissioner impose a civil penalty in the amount of 5% of the underpayment. The total amount withheld was \$15,599.68, representing wages, supplements, interest and penalties.

ironworkers both claimed jurisdiction over preglazed window installation. He therefore needed to examine other indices that the Department historically relied on to classify work, such as the nature of the work and pertinent jurisdictional agreements. The hearing officer accorded Lantry's survey evidence little weight, believing that the classification of work should not be dictated by statistics.

The Commissioner subsequently issued a determination and order adopting the hearing officer's findings of fact, conclusions of law and recommendations in their entirety. Lantry commenced this article 78 proceeding seeking to vacate the Commissioner's order. The Appellate Division confirmed the determination. We granted Lantry leave to appeal and now affirm.

Labor Law § 220 implements the constitutional mandate that contractors engaged in public projects pay their workers wages and supplements which "shall be not less than the prevailing rate for a day's work in the same trade or occupation in the locality within the state where such public work . . . is performed" (Labor Law § 220 [3]; *see also* NY Const, art I, § 17). The Commissioner is responsible for determining the prevailing wage rates for the various trades in each locality (*see* Labor Law § 220 [3]).⁵ Calculation of the prevailing rate entails a two-step process. First, the Commissioner must classify the work by assigning the task performed by an employee to a specific trade or occupation (*see* Labor Law § 220 [3-a] [a]). Second, the Commissioner must ascertain the prevailing rate for that trade or occupation in the relevant locality (*see* Labor Law § 220 [3], [5] [a]).

In the early 1980s, the Commissioner fixed prevailing wage rates by performing industry surveys of the actual wages received by trade workers in each of the state's localities (*see Matter of Liquid Asphalt Distribs. Assn. v Roberts*, 116 AD2d 295, 296 [3d Dept 1986]; *see also* Labor Law former § 220 [5]). This process, which required the Department to survey over 1,500 localities, was costly and burdensome and the Department's experience demonstrated that the prevailing wage rates that were adopted would invariably equate to collectively bargained wages. Thus, the Legislature amended the Labor Law in 1983 to authorize the Commissioner to dispense with the survey process and instead adopt the rate paid in a locality by

5. The Comptroller of the City of New York has the same responsibility within the city (*see* Labor Law § 220 [3], [5] [e]).

referring to collective bargaining agreements between labor organizations and private sector employers, provided that such agreements covered at least 30% of the workers in that trade or occupation (see Labor Law § 220 [5] [a], [c]; see also L 1983, ch 447).

Nothing in section 220 of the Labor Law mandates that the Commissioner consider actual contractor practices in a locality when classifying work. To the contrary, while the statute provides a specific process for calculating the “prevailing rate of wage” (see Labor Law § 220 [5] [a]), it does not require a specific procedure for the Commissioner to use in evaluating the appropriate trade or occupation to assign to particular work.

Lantry argues that the Commissioner’s classification of the work involved in installing preglazed windows into masonry as ironwork rather than glazier work was arbitrary and capricious. Specifically, Lantry contends that a “prevailing practice in the locality” test, based on industry survey information and contractor testimony regarding what type of workers are actually performing the task in dispute, should be the standard the Commissioner follows to classify work. Hence, Lantry asserts that the Commissioner erred in failing to credit the survey data and the testimony of the contractors that he claims confirmed that glaziers do more preglazed window installation jobs than ironworkers. We disagree.

In the absence of a statutory directive, this Court will uphold the Commissioner’s methodology as long as it is not unreasonable (see *Matter of Chesterfield Assoc. v New York State Dept. of Labor*, 4 NY3d 597, 604 [2005]). Furthermore, it is well settled that trade classifications “are a matter given to the expertise of the Department and courts are strongly disinclined to disturb them, absent a clear showing that a classification does not reflect ‘the nature of the work actually performed’ ” (*Matter of General Elec. Co. v New York State Dept. of Labor*, 154 AD2d 117, 120 [3d Dept 1990], *affd for reasons stated below* 76 NY2d 946 [1990] [citations omitted], quoting *Matter of Kelly v Beame*, 15 NY2d 103, 109 [1965]).

Here, the Commissioner outlined the analysis that the Department generally follows in classifying work. Although a number of factors may be relevant, where a union has obtained jurisdiction over a certain category of work through the collective bargaining process, the Department will typically adopt the classification assigned in the collective bargaining agreement.

But where a dispute arises between two unions that each claim jurisdiction over the same type of work, the Department necessarily expands its review to encompass other factors, such as jurisdictional agreements, past precedent, and the inherent nature and characteristics of the work in question. In neither scenario, the Commissioner observed, would the Department rely on “a survey or comparison of sheer numbers to determine the appropriate classification of work.”⁶

Courts have consistently held that the Commissioner may rely on collective bargaining agreements in making trade classifications (see e.g. *Matter of Otis E. Serv. v Hudacs*, 185 AD2d 483, 485 [3d Dept 1992]; *Matter of Sierra Telcom Servs. v Hartnett*, 174 AD2d 279, 283 [3d Dept 1992], *appeal dismissed* 79 NY2d 1039 [1992], *lv denied* 80 NY2d 757 [1992], *cert denied* 507 US 972 [1993]; *Matter of Naftilos Painting & Sandblasting v Hartnett*, 173 AD2d 964, 966 [3d Dept 1991]). The Commissioner’s use of collective bargaining agreements to classify work is consistent with the 1983 amendments to section 220 of the Labor Law, which authorized the Department to rely on collective bargaining agreements rather than survey data to determine prevailing wage rates and supplements. Although those amendments did not specifically address the Commissioner’s classification prerogative, they evince a recognition by the Legislature of the administrative burden of compiling and updating surveys and therefore support the Commissioner’s conclusion that the survey approach urged by Lantry is impractical.

Likewise, we do not find the Commissioner’s consideration of other factors, including the nature and characteristics of the work at issue—to the exclusion of survey evidence of contractor practices—to be irrational. Although underpayments sometimes occur, necessitating reimbursement of workers after the fact, the Department’s mission is to ensure that workers are paid the correct wage in the first instance. Thus, the Department and contractors need to know the trade classification for an item of work before commencement of a public project so that the appropriate prevailing rate of wages and supplements can be

6. The Commissioner does suggest in her brief, however, that empirical evidence may be relevant where “[h]istorical data that correlate with changes in the work process [establish] that the nature of the work (and therefore the trade classification) has evolved over time.” The Commissioner also indicates that numerical data could conceivably be relevant to show that a particular trade does not perform any of the work in question.

ascertained and workers compensated accordingly. It would be difficult for the Commissioner to classify work in a timely manner if she had to depend on survey data of local practices with respect to each of the more than 100 trades in the construction industry.⁷ Additionally, the Commissioner's emphasis on examining the nature of the work for trade or occupation classification is reasonable given this Court's pronouncement that the nature of the work performed is "[t]he pivotal question" in reviewing the Department's trade classifications (*Matter of Kelly v Beame*, 15 NY2d 103, 109 [1965]). In sum, contrary to Lantry's position, the Department need not compile survey evidence to determine the appropriate trade classification for a particular type of work.⁸

In this case, both the applicable glaziers' and ironworkers' collective bargaining agreements claimed jurisdiction over the installation of preglazed windows. The Commissioner therefore looked to other factors to classify the task. Primarily, the Commissioner relied on evidence of the process of installing preglazed windows into masonry openings, which involves the attachment of aluminum clips to each window with fastener screws, noting that no glazing was necessary because the window manufacturer already performed that function. The Commissioner also considered the jurisdictional agreement be-

7. The dissent indicates that the issue in this case is whether the Commissioner must rely on prevailing practice to classify work, not whether the Department has to conduct surveys. But if prevailing practice is the standard, survey evidence seems unavoidable. In any given case, a contractor could selectively bring in a cadre of witnesses who would testify favorably for the contractor. In fact, Lantry testified at the hearing in *Matter of Cortland Glass Co.* (PRC Nos. 94-8074A, 95-0790 [Jan. 10, 2000]), a case involving a similar issue, and the contractor charged in *Cortland Glass* testified at Lantry's hearing in this case. Accurate determination of prevailing practice—particularly where two unions claim jurisdiction over the same task—would therefore necessitate extensive surveying, a burden the Commissioner reasonably seeks to avoid.

8. Lantry's approach would also be unworkable because the Commissioner must classify the work in order to determine the pertinent locality. This is because the Labor Law now defines "[l]ocality" as "such areas of the state described and defined for a trade or occupation in the current collective bargaining agreements between bona fide labor organizations and employers of the private sector, performing public and private work" (Labor Law § 220 [5] [d]). Because a trade classification determines the relevant collective bargaining agreement governing a wage rate, the locality cannot be ascertained until after the Commissioner classifies the work. To do as Lantry suggests would require the Department to survey a geographical area before it knows the locality—the territorial scope of the relevant collective bargaining agreement.

tween carpenters and ironworkers, under which the ironworkers claimed jurisdiction over the installation of metal window frames into masonry, as well as evidence that the local glaziers' union had little presence in the region in the 1990s. The Commissioner had the discretion to weigh this evidence more heavily than that proffered by Lantry, which consisted largely of testimony and survey data indicating that glazier contractors considered preglazed window installation to be glaziers' work.⁹ According the Commissioner deference based on her expertise in this area, we cannot say that her classification of the task at issue as ironwork was arbitrary or capricious or inconsistent with the nature of the work.

Nevertheless, Lantry urges that the Commissioner's determination cannot be sustained because a prior determination of the Department directly conflicts with the result reached in this case. Lantry cites *Matter of Cortland Glass Co.* (PRC Nos. 94-8074A, 95-0790 [Jan. 10, 2000]), in which an Erie County contractor was charged with underpaying its employees at the glaziers' rate rather than the ironworkers' rate where they had installed preglazed windows on a public work project. After a hearing, the Department held that no underpayment occurred, concluding that the contractor properly used the glaziers' rate. The Department relied heavily on evidence indicating that the actual practice undertaken by contractors in the region was to classify such work as glaziers' work. Lantry submits that the *Cortland Glass* determination should inform the result in his case.

It is well settled that "[a] decision of an administrative agency which neither adheres to its own prior precedent nor indicates its reason for reaching a different result on essentially the same facts is arbitrary and capricious" (*Matter of Charles A. Field Delivery Serv. [Roberts]*, 66 NY2d 516, 517 [1985]). Here, however, the Commissioner acknowledged that the *Cortland Glass* decision was inconsistent with the current determination

9. The dissent states that Lantry presented survey data demonstrating that glaziers performed 94% of preglazed window installation in eastern New York. But that survey collected information exclusively from glazing companies and indicated that 94% of glazier contractors considered such work to be glaziers' work. The survey did not contemplate contractors who considered themselves to be ironwork firms or who were signatories to the ironworkers' collective bargaining agreement. If, hypothetically, a survey of such companies similarly indicated that a vast majority considered the identical task to be ironwork, under a prevailing practice test, the inquiry would devolve into an analysis of which contractors actually installed more windows.

and set forth her reasons for declining to follow its rationale and conclusion. The Commissioner explained that actual practice evidence is generally not relevant to the process of classifying work, overruling *Cortland Glass*, to the extent it held otherwise, as flawed and a departure from longstanding departmental precedent.¹⁰ We conclude that the Commissioner satisfied her obligation under *Field Delivery*.

Lantry's remaining contentions are without merit.

Accordingly, the judgment of the Appellate Division should be affirmed, with costs.

R.S. SMITH, J. (dissenting). The issue here is not whether the Department of Labor must conduct a survey every time it classifies work for purposes of the prevailing wage requirements. No one says that it must. Nor is the question whether the Department may consider collective bargaining agreements in classifying work. Of course it may. The question is whether the Department may classify work on some basis other than the "prevailing practice," or custom, as to which workers actually perform the work in question.

I am unable to discern any coherent or comprehensible alternative to the "prevailing practice" approach that the Department has long followed. The Department says that it is free to substitute what it calls the "nature of the work" test, but that test seems to me devoid of meaningful content. Thus, in sanctioning the Department's departure from the prevailing practice test, I think the majority opens the door to arbitrary decision-making.

In this case, the Department of Labor has required petitioner to pay ironworkers' wages for the installation of preglazed windows, despite overwhelming evidence that this work is customarily performed by glaziers, not ironworkers. The Department's position is that this evidence is irrelevant. The report and recommendation of the hearing officer in this case, which the Commissioner of Labor adopted, found that the Department's own decision in *Matter of Cortland Glass Co.* (PRC Nos. 94-8074A, 95-0790 [Jan. 10, 2000]) was erroneous because it

10. During the pendency of the appeal in *Cortland Glass*, the Department in its brief to the Appellate Division repudiated the posture the agency had taken in the case and sought a remand for reconsideration (see *Matter of International Assn. of Bridge, Structural & Ornamental Iron Workers, Local Union No. 6, AFL-CIO v State of New York*, 280 AD2d 713 [3d Dept 2001] [dismissing for lack of standing a petition brought by ironworker unions that sought review of *Cortland Glass*]).

“determin[ed] the prevailing practice” rather than applying what the hearing officer called “the intrinsic ‘nature of the work’ factor” in deciding how to classify the activity in question. The hearing officer quoted a dictionary definition of “intrinsic”: “belonging to the essential nature or constitution of a thing.”

Thus the Department’s decision here rests on the premise that an activity like installing preglazed windows has an “intrinsic” nature that can be determined without reference to what the prevailing practice is. The Department does not explain how the intrinsic nature of a particular kind of work is to be discovered. I would hold that the Department’s decision must be set aside, because I do not think it is possible to define the Platonic ideal of either the work of ironworkers or the work of glaziers, without considering what ironworkers and glaziers actually do.

The evidence relied on by the hearing officer in this case neither clarifies what the Department thinks the “nature of the work” test is nor offers any assurance that the test can be rationally or predictably applied. Since he considered prevailing practice irrelevant, the hearing officer discounted all evidence of who actually does the work in question—including a survey presented by petitioner that put the glaziers’ share of such work in eastern New York at 94%. The hearing officer consulted collective bargaining agreements, but found that the work in question is claimed by both glaziers and ironworkers and declined to “enter into a jurisdictional dispute between unions.” The hearing officer relied instead on an agreement between ironworkers and carpenters, to which the glaziers were not a party, in which the carpenters ceded the installation of preglazed windows to the ironworkers; this is a bit like relying on an agreement between the United States and Mexico to settle a United States-Canada border dispute.

According to the majority, the Department relied “[p]rimarily” on “evidence of the process” by which preglazed windows are installed; the majority mentions that the process involves “aluminum clips” and “fastener screws,” and that “no glazing was necessary” (majority op at 57). But the opinion of the Department’s hearing officer does not say that he relied “primarily” on this evidence, and neither he nor the majority explains how it supports the conclusion that installation of preglazed windows is intrinsically ironwork.

An attempt to find the intrinsic nature of this work by use of a dictionary will be unproductive. My dictionary defines “glazing” as “the action, process, or trade of fitting windows with glass” (Merriam-Webster’s Collegiate Dictionary [10th ed 1993]). The Department, and the majority, apparently infer from the term “preglazed” that glazing occurs when products called windows, consisting of glass and other materials, are manufactured; but why could not the dictionary definition apply equally well to the activity in which products consisting largely of glass are attached to the spaces called windows in a building? And in any event, where is the “ironwork”? Where, for that matter, is the iron? My point here is not to show that the glaziers would win the verbal debate, though perhaps they would; it is to show that this sort of sterile wordplay, divorced from the question of what workers in the real world do, is not a basis for the rational classification of work for purposes of the prevailing wage law.

The Department, and the majority, suggest that the cases support using a “nature of the work” rather than a “prevailing practice” test, but I think this is a misinterpretation of the cases. The decisions that use the term “nature of the work” support the commonsense idea that one must examine the nature of the work in order to determine what the prevailing practice is; they do not suggest that “nature of the work” and “prevailing practice” are alternatives. *Matter of Kelly v Beame* (15 NY2d 103, 109 [1965]) says that “[t]he pivotal question is the nature of the work *actually performed*” (emphasis added)—implying that actual practice is not only relevant, but dispositive (see also *Matter of General Elec. Co. v New York State Dept. of Labor*, 154 AD2d 117, 120 [3d Dept 1990], *affd on op below* 76 NY2d 946 [1990] [nature of the work test satisfied because “work envisaged by the project . . . *is performed* by electricians” (emphasis added)]; *Matter of Otis E. Serv. v Hudacs*, 185 AD2d 483, 485 [3d Dept 1992] [Department’s finding “that the workers *did enough work with pipe* to qualify as ‘pipe men’ ” upheld as reflecting “the nature of the work” (emphasis added)]). These cases contradict, rather than support, the Department’s theory that it can decide the nature of the work without determining what the prevailing practice is.

The Department, and the majority, also rely on the 1983 amendments to the prevailing wage legislation. These amendments give no support, however, to discarding the prevailing practice test for classification. The amendments relate not to classification of work but to wages and supplements, and provide

generally that the “prevailing rate of wage,” and practices with respect to supplements, shall be determined by reference to collective bargaining agreements, subject to certain limitations (*see* Labor Law § 220 [5]). The statute requiring classification of work (Labor Law § 220 [3-a] [a]) was not materially changed in 1983. I believe the 1983 amendments are irrelevant to this case.

This does not mean, of course, that collective bargaining agreements are irrelevant to job classification. It is perfectly reasonable, quite apart from the 1983 amendments, for the Department to examine collective bargaining agreements as evidence of what the prevailing practice with respect to job classification is. But if it wants to ignore prevailing practice, the Department must at least suggest some other rational way of classifying work. It has not done so.

Ultimately, the majority’s decision here rests on the rule that we will defer to the judgment of administrative agencies when, with the aid of their expertise, they interpret the legislation it is their duty to implement. I agree that we should defer to the Department if it chose to prefer one means rather than another of determining the prevailing practice—for example, to weigh survey evidence more or less heavily than the evidence of collective bargaining agreements. I would also defer to the Department in its definition of the geographical area within which the prevailing practice is to be determined; the majority may be right in saying that classification must occur before the relevant “locality,” within the meaning of the statute, can be identified (majority op at 57 n 8). But to defer to the Department’s decision to be guided by the “intrinsic nature of the work” in preference to prevailing practice is to defer to an approach that fundamentally makes no sense. Deference, in this context, is acquiescence in purely arbitrary classification, for there is no way to demonstrate that any decision about the intrinsic nature of a particular piece of work is either right or wrong.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT and READ concur with Judge GRAFFEO; Judge R.S. SMITH dissents and votes to reverse in a separate opinion.

Judgment affirmed, with costs.

[843 NE2d 1121, 810 NYS2d 381]

FOR THE PEOPLE THEATRES OF N.Y., INC., Doing Business as FAIR
THEATRE, et al., Appellants, v CITY OF NEW YORK et al.,
Respondents.

TEN'S CABARET, INC., Formerly Known as STRINGFELLOW'S OF
NEW YORK, LTD., et al., Appellants, v CITY OF NEW YORK et
al., Respondents.

Argued November 17, 2005; decided December 15, 2005

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered April 12, 2005. The Appellate Division (1) reversed, on the law, two judgments of the Supreme Court, New York County (Louis B. York, J.; op 1 Misc 3d 394; 1 Misc 3d 399), which, insofar as appealed from, had denied defendants' cross motions for summary judgment, granted plaintiffs' motions for summary judgment, declared the challenged 2001 Adult Use Amendments to the City of New York's 1995 Adult Use Zoning Ordinance unconstitutional, and permanently enjoined their enforcement, (2) denied plaintiffs' motions, (3) granted defendants' cross motions, (4) vacated the injunction, (5) declared the Adult Use Amendments constitutional, and (6) otherwise dismissed the complaints. The following question was certified by the Appellate Division: "Was the order of this Court, which reversed the judgments of the Supreme Court properly made?"

For the People Theatres of N.Y., Inc. v City of New York, 20 AD3d 1, modified.

HEADNOTE

Constitutional Law — Freedom of Speech — Zoning Amendments Restricting Adult Establishments

A question of fact was presented as to whether New York City's adult use zoning regulations, as amended in 2001 to limit superficial compliance unanticipated when the 1995 Ordinance regulating adult businesses was initially enacted, served a public purpose other than censorship and therefore did not infringe upon plaintiffs' rights of free speech under the federal and state constitutions. Because the reasonable discretion accorded most local legislative actions extends to adult use zoning, in enacting the 2001 amendments, the City was entitled to rely principally on the same evidence of negative secondary effects that supported the original ordinance. The City was not required, however, to relitigate the secondary effects of adult uses, or to produce empirical studies connecting businesses with the required 60/40 alloca-

tion to adverse secondary effects. There was a triable question of fact as to whether 60/40 businesses were so transformed in character that they no longer resembled the kinds of adult uses found to create negative secondary effects or whether these businesses' technical compliance with the 60/40 formula was merely a sham.

TOTAL CLIENT-SERVICE LIBRARY® REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Zoning and Planning §§ 373, 375.

NY JUR 2d, Buildings, Zoning, and Land Controls §§ 106–108, 250.

NEW YORK REAL PROPERTY SERVICE § 48:27.5.

ANNOTATION REFERENCE

Validity of ordinances restricting location of “adult entertainment” or sex-oriented businesses. 10 ALR5th 538.

FIND SIMILAR CASES ON WESTLAW®

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Query: adult /3 zoning & free /2 speech & allocation 60/40

POINTS OF COUNSEL

Lipsitz, Green, Fahringer, Roll, Salisbury & Cambria, LLP, New York City (*Herald Price Fahringer* and *Erica T. Dubno* of counsel), for For the People Theatres of N.Y., Inc., and another, appellants. I. The New York Supreme Court properly found that the amendments to the Zoning Resolution of the City of New York are unconstitutional and the City of New York failed to meet its burdens to sustain this unnecessary, unprecedented and unwarranted change in the zoning law. (*Matter of Town of Islip v Caviglia*, 73 NY2d 544; *Bonnie Briar Syndicate v Town of Mamaroneck*, 94 NY2d 96; *Stringfellow's of N.Y. v City of New York*, 91 NY2d 382; *Akpan v Koch*, 75 NY2d 561; *Albright v Town of Manlius*, 28 NY2d 108; *Town of Huntington v Pierce Arrow Realty Corp.*, 216 AD2d 287; *Cellular Tel. Co. v Village of Tarrytown*, 209 AD2d 57; *Salamar Bldrs. Corp. v Tuttle*, 29 NY2d 221; *Asian Ams. for Equality v Koch*, 72 NY2d 121; *McMinn v Town of Oyster Bay*, 66 NY2d 544.) II. The 2001 Zoning Resolution of the City of New York, which was enacted in violation of established zoning principles and is being used to micro-manage the operation of bookstores, constitutes an abuse of the City of New York's zoning power. (*Smith v California*, 361 US 147; *Town of Huntington v Sudano*, 42 AD2d 791, 35 NY2d 796; *Matter of Schlosser v Michaelis*, 18 AD2d 940; *Matter of West-*

bury Trombo v Board of Trustees of Vil. of Westbury, 307 AD2d 1043; *Matter of St. Onge v Donovan*, 71 NY2d 507; *North St. Book Shoppe, Inc. v Village of Endicott*, 582 F Supp 1428; *Schad v Mount Ephraim*, 452 US 61; *Bernstein v Board of Appeals of Vil. of Matinecock*, 60 Misc 2d 470; *Betty-June School v Young*, 25 Misc 2d 909; *Udell v Haas*, 21 NY2d 463.) III. There is no basis for eliminating private viewing booths, which allow patrons to view a greater variety of constitutionally protected films. (*City of New York v S&H Book Shop*, 41 AD2d 637; *Time Sq. Books v City of Rochester*, 223 AD2d 270; *Barbulean v City of Newburgh*, 168 Misc 2d 728; *People v Mitchell*, 74 Misc 2d 1053.) IV. The definition of “adult establishment” is impermissibly vague. (*People v Foley*, 94 NY2d 668; *Pringle v Wolfe*, 88 NY2d 426, 519 US 1009; *People v Stuart*, 100 NY2d 412.) V. The 2001 Zoning Resolution of the City of New York improperly endows the Commissioner of Buildings with unbridled authority to adopt rules relating to a bookstore’s “method of operation.” (*People v Mitchell*, 74 Misc 2d 1053.) VI. The new restrictions on packaging for marital aids are wholly unsupported by the record. VII. The 2001 Zoning Resolution of the City of New York impermissibly restricts the public’s access to free expression by reducing the number of outlets for any adult entertainment. (*Stringfellow’s of N.Y. v City of New York*, 91 NY2d 382; *City of New York v Black Garter*, 273 AD2d 188.) VIII. The Supreme Court properly granted summary judgment to the constitutionally protected businesses. (*JMD Holding Corp. v Congress Fin. Corp.*, 4 NY3d 373; *Falk v Goodman*, 7 NY2d 87; *Millerton Agway Coop. v Briarcliff Farms*, 17 NY2d 57; *Grecco v Corbis Sygma*, 281 AD2d 239; *Aufrichtig v Lowell*, 85 NY2d 540; *General Motors Acceptance Corp. v Clifton-Fine Cent. School Dist.*, 85 NY2d 232; *City of New York v Les Hommes*, 94 NY2d 267.) IX. Appellants join in the arguments of appellants in the related appeal.

Alonso, Andalkar & Kahn, P.C., New York City (Mark J. Alonso, Jaymee Kahn and Pritina Bhavsar of counsel), for Ten’s Cabaret, Ltd., appellant. I. The Appellate Division’s decision runs afoul of the United States Supreme Court decision in *Los Angeles v Alameda Books, Inc.* (535 US 425 [2002]). (*Chiasson v New York City Dept. of Consumer Affairs*, 138 Misc 2d 394; *Stringfellow’s of N.Y. v City of New York*, 91 NY2d 382; *Asian Ams. for Equality v Koch*, 72 NY2d 121; *Salamar Bldrs. Corp. v Tuttle*, 29 NY2d 221; *Albright v Town of Manlius*, 28 NY2d 108; *Flanigan’s Enters., Inc. of Ga. v Fulton County*, 242 F3d 976, 536 US 904; *Hickerson v City of New York*, 146 F3d 99, 525 US

1067; *Peek-A-Boo Lounge of Bradenton, Inc. v Manatee County*, 337 F3d 1251; *Renton v Playtime Theatres, Inc.*, 475 US 41.) II. The Appellate Division incorrectly determined that the 2002 adult use amendments are constitutional. (*Stringfellow's of N.Y. v City of New York*, 91 NY2d 382; *Schad v Mount Ephraim*, 452 US 61; *Young v American Mini Theatres, Inc.*, 427 US 50; *Moore v East Cleveland*, 431 US 494; *Matter of Consolidated Edison Co. of N.Y. v Public Serv. Commn. of State of N.Y.*, 47 NY2d 94; *Brandenburg v Ohio*, 395 US 444, 447 US 530; *Central Hudson Gas & Elec. Corp. v Public Serv. Comm'n of N. Y.*, 447 US 557; *Suffolk Hous. Servs. v Town of Brookhaven*, 70 NY2d 122; *People ex rel. Arcara v Cloud Books*, 68 NY2d 553.) III. The trial court correctly granted summary judgment to Ten's Cabaret, Ltd. (*Aufrichtig v Lowell*, 85 NY2d 540; *General Motors Acceptance Corp. v Clifton-Fine Cent. School Dist.*, 85 NY2d 232; *Ferrante v American Lung Assn.*, 90 NY2d 623; *Cox v Kingsboro Med. Group*, 88 NY2d 904; *Winegrad v New York Univ. Med. Ctr.*, 64 NY2d 851; *GTF Mktg. v Colonial Aluminum Sales*, 66 NY2d 965; *Zuckerman v City of New York*, 49 NY2d 557; *Friends of Animals v Associated Fur Mfrs.*, 46 NY2d 1065; *Sillman v Twentieth Century-Fox Film Corp.*, 3 NY2d 395; *Guariglia v Blima Homes*, 89 NY2d 851.)

Mehler & Buscemi, New York City (Martin P. Mehler of counsel), for Pussycat Lounge, Inc. and others, appellants. I. The claim that the 2001 amendments were merely a clarification of the City of New York's original legislative intent is demonstrably a sham. (*Matter of Town of Islip v Caviglia*, 73 NY2d 544; *Stringfellow's of N.Y. v City of New York*, 91 NY2d 382; *People ex rel. Arcara v Cloud Books*, 68 NY2d 553; *Bellanca v New York State Liq. Auth.*, 54 NY2d 228, 456 US 1006; *Schad v Mount Ephraim*, 452 US 61; *City of New York v Show World*, 178 Misc 2d 812, *affd sub nom. City of New York v Les Hommes*, 258 AD2d 284, 94 NY2d 267; *City of New York v Dezer Props.*, 95 NY2d 771; *Los Angeles v Alameda Books, Inc.*, 535 US 425.) II. The 2001 amendments violate article I, § 8 of the New York State Constitution. (*Stringfellow's of N.Y. v City of New York*, 91 NY2d 382; *Immuno AG. v Moor-Jankowski*, 77 NY2d 235; *People v P. J. Video*, 68 NY2d 296, 479 US 1001; *Matter of Town of Islip v Caviglia*, 73 NY2d 544; *People ex rel. Arcara v Cloud Books*, 68 NY2d 553; *Miller v California*, 413 US 15; *Renton v Playtime Theatres, Inc.*, 475 US 41; *DiMa Corp. v Town of Hallie*, 185 F3d 823; *Colacurcio v City of Kent*, 163 F3d 545; *J & B Entertainment, Inc. v City of Jackson*, 152 F3d 362.) III. In the unlikely event that summary judgment in favor of plaintiffs is

not reinstated on this appeal, the cases should be remanded to the trial court. (*Los Angeles v Alameda Books, Inc.*, 535 US 425; *Council of Regulated Adult Liq. Licensees v City of N.Y. Police Dept.*, 300 AD2d 17; *Stringfellow's of N.Y. v City of New York*, 91 NY2d 382; *Zuckerman v City of New York*, 49 NY2d 557.)

Michael A. Cardozo, Corporation Counsel, New York City (*Leonard Koerner, Robin Binder and Elizabeth S. Natrella* of counsel), for respondents. I. As the Appellate Division held, based on the legislative record and *Stringfellow's of N.Y. v City of New York* (91 NY2d 382 [1998]), the 2001 amendments to the City of New York's 1995 Adult Zoning Ordinance (NY City Zoning Resolution) are facially constitutional. No new study or specific empirical evidence of the well-documented negative secondary effects of adult establishments was required. (*Asian Ams. for Equality v Koch*, 72 NY2d 121; *DJL Rest. Corp. v City of New York*, 96 NY2d 91; *Matter of Town of Islip v Caviglia*, 73 NY2d 544; *Renton v Playtime Theatres, Inc.*, 475 US 41; *Young v American Mini Theatres, Inc.*, 427 US 50; *Los Angeles v Alameda Books, Inc.*, 535 US 425; *Erie v Pap's A.M.*, 529 US 277; *City of Rochester v Gutberlett*, 211 NY 309; *ILQ Invs. v Rochester*, 25 F3d 1413, 513 US 1017; *LLEH, Inc. v Wichita County, Tex.*, 289 F3d 358, 537 US 1045.) II. Plaintiffs' few other challenges to the 2001 amendments are meritless. (*Stringfellow's of N.Y. v City of New York*, 91 NY2d 382; *Matter of Town of Islip v Caviglia*, 141 AD2d 148, 73 NY2d 544; *Young v American Mini Theaters, Inc.*, 427 US 50; *People v Stuart*, 100 NY2d 412; *Broadrick v Oklahoma*, 413 US 601; *New York v Ferber*, 458 US 747; *People v Hollman*, 68 NY2d 202; *City of New York v Les Hommes*, 94 NY2d 267; *City of New York v Warehouse on Block*, 183 Misc 2d 489; *Members of City Council of Los Angeles v Taxpayers for Vincent*, 466 US 789.)

OPINION OF THE COURT

READ, J.

The issue on this appeal is whether New York City's adult use zoning regulations, as amended in 2001, serve a public purpose other than censorship and therefore do not infringe upon plaintiffs' rights of free speech under the federal and state constitutions. We conclude that, on this record, a question of fact exists, requiring further proceedings in Supreme Court.

I.

As was the case when we last reviewed adult use zoning regulations adopted by the City, "[t]he 'adult' establishments at

the center of this controversy offer various forms of sexual expression,” and include “bookstores, theaters, stores dealing in videotaped material and places of live entertainment” (*Stringfellow’s of N.Y. v City of New York*, 91 NY2d 382, 390 [1998]). This appeal travels to us in the slipstream of an extensive history, which informs the City’s rationale for the amended regulations challenged by plaintiffs.

In 1977, the City Planning Commission (CPC) concluded that adult entertainment establishments negatively affected the city’s communities. At that time, there was no zoning distinction between adult entertainment businesses and other, non-adult operations. The CPC therefore proposed new zoning regulations to identify and restrict the location of adult entertainment businesses in order to ameliorate their harmful social effects. Ultimately, however, the CPC’s proposal foundered on worries about the proposed regulations’ scope, and fears that they would only prompt adult businesses to relocate.

Although local officials throughout the five boroughs, acting on their own, closed adult businesses, the number of these establishments had mushroomed by 1993. Many set up shop in residential areas. These circumstances caused the Department of City Planning (DCP) to examine the negative social consequences of adult establishments. The DCP Study focused on three types of businesses offering sexually explicit materials or entertainment: adult or triple-X book and video stores, which often provide “peep” booths for on-premises viewing; topless/nude bars or strip clubs; and adult theaters, which offer movies or live entertainment. The DCP’s “Adult Entertainment Study,” dated September 1994, included a description of how and where these businesses operated in the city; a review of trends in the growth and development of adult businesses; a survey of adult entertainment studies performed elsewhere and adult use zoning regulations adopted in other communities; a review of previous studies and reports on adult businesses in the city; and DCP’s own survey of the impact that isolated adult businesses had on several city communities. Based on these sources, the 1994 DCP Study concluded that other cities had documented numerous “negative secondary impacts” from adult businesses, including “increased crime rates, depreciation of property values, deterioration of community character and quality of urban life”; that adult businesses had proliferated in the city in the previous 10 years; that these businesses tended to cluster; that real estate agents perceived that adult businesses lowered

nearby property values; and that adult businesses generally used large, illuminated, sexually graphic signs, which might expose minors to sexual images. In summary, the 1994 DCP Study linked these adult businesses, particularly in concentration, to adverse secondary effects in the communities in which they were located, and recommended regulating them more closely than other commercial uses.

Subsequently, the DCP applied to the CPC for an amendment to the City's Zoning Resolution to approve regulations governing "adult establishments." In its September 1995 Report approving the DCP's application and the regulations, the CPC observed that "[a]s a general matter, 'adult establishments' are intended to be *only those establishments similar in nature to the types of enterprises described and studied in the DCP Study, namely book and video stores, theaters, eating or drinking establishments and other commercial enterprises with a predominant, on-going focus on sexually explicit materials or activities*" (emphasis added). The 1995 CPC Report pointed out that the regulations were tailored to cover "this limited range of establishments," and so were designed to exclude legitimate theatrical performances and films including nudity or having a sexual theme (e.g., "Love! Valour! Compassion!," "Oh! Calcutta!") and some Off-Broadway and experimental productions; bookstores that focus on, for example, gay and lesbian themes, but which carry a stock-in-trade covering a wide range of topics (e.g., gay adoptions, biographies by and about prominent gay people, poetry and literature with gay themes, etc.) in addition to gay and lesbian erotica; general interest bookstores, such as Barnes & Noble, with a small portion of stock devoted to erotica; and art galleries displaying sexually explicit artwork.

In October 1995, the City Council adopted these regulations, which featured locational restrictions and anti-concentration provisions designed to shield the city's residential neighborhoods and the facilities and commercial areas that serve them from the negative secondary effects of adult uses. Specifically, the 1995 Ordinance barred adult businesses from residential zones, as well as from many commercial and manufacturing areas; restricted adult businesses' locations in relation to residential areas, schools, day care centers, houses of worship and each other; and limited their maximum size to 10,000 square feet.

The 1995 Ordinance defined "adult establishment" as follows: "An 'adult establishment' is a commercial establishment where a '*substantial portion*' of the establishment includes an

adult book store, adult eating or drinking establishment, adult theater, or other adult commercial establishment, or any combination thereof” (Amended Zoning Resolution § 12-10 [emphasis added]). An “adult book store” was defined as having a “substantial portion” of its “stock-in-trade” in, among other things, printed matter or video representations depicting “specified sexual activities” or “specified anatomical areas,” as those terms were also defined in the 1995 Ordinance (*id.*). An “adult eating or drinking establishment” was defined as an eating or drinking establishment “which regularly features” live performances or movies “characterized by an emphasis on” “specified sexual activities” or “specified anatomical areas,” or whose employees regularly expose “specified anatomical areas” to patrons as part of their employment, and which excludes minors (*id.*). Similarly, an “adult theater” was defined as a theater “which regularly features” movies or live performances “characterized by an emphasis on” “specified sexual activities” or “specified anatomical areas,” and which excludes minors (*id.*).

The 1995 CPC Report discussed the terms “substantial,” “which regularly features” and “characterized by an emphasis on” in the context of its efforts to craft regulations that were both broad enough to cover the kinds of establishments studied in the 1994 DCP Study—“book and video stores, theaters, eating or drinking establishments and other commercial enterprises with a predominant, on-going focus on sexually explicit materials or activities”—and narrow enough to exclude “general interest book or video stores with a section of adult materials that is modest in scale as compared to the overall size of the establishment” or “establishments which offer adult entertainment on an occasional basis, such as a monthly live performance or a nightly midnight showing at a movie theater.” Similarly, the regulations were targeted at those eating and drinking establishments where “adult entertainment [was] a principal form of entertainment at the establishment,” and at those theaters where “adult entertainment [was] the principal purpose of the theater showing the adult material.” In other words, it is not the case, as the dissent contends, that the City in 1995 intended only “to regulate businesses that devoted a substantial portion of their operations to adult entertainment” or “set out to regulate only businesses that devoted a ‘substantial portion’ of their space to adult entertainment” (dissenting op at 85, 86). The City intended to regulate businesses with a “predominant, on-going focus on sexually explicit materials or activities,” as it

was the nature or character of these kinds of enterprises, not the amount of floor area or the percentage of inventory devoted to adult uses, that created negative secondary effects. The qualifiers “substantial,”¹ “which regularly features” and “characterized by an emphasis on” were intended to make sure that the 1995 Ordinance did not inadvertently sweep too broadly.

Accordingly, the 1995 Ordinance set forth factors determinative of whether a “substantial portion” of a business was “adult”:

“(1) the amount of floor area and cellar space accessible to customers and allocated to [adult] uses; and (2) the amount of floor area and cellar space accessible to customers and allocated to [adult] uses as compared to the total floor area and cellar space accessible to customers in the establishment.” (Amended Zoning Resolution § 12-10 [Adult Establishment].)

The 1995 Ordinance further specified that, for purposes of determining whether an adult bookstore’s “stock-in-trade” reached the “substantial portion” threshold, the following factors were to be considered:

“(1) the amount of [adult] stock accessible to customers as compared to the total stock accessible to customers in the establishment; and (2) the amount of floor area and cellar space accessible to customers containing such stock; and (3) the amount of floor area and cellar space accessible to customers containing such stock as compared to the total floor area and cellar space accessible to customers in the establishment.” (*Id.*)

Subsequently, the City’s Department of Buildings, which is responsible for interpreting and enforcing the City’s Zoning Resolution, issued guidelines to clarify what constituted a “substantial portion” within the meaning of the 1995 Ordinance. In general, these guidelines provided that a business was an adult establishment if “at least 40 percent of the floor and cellar area . . . accessible to customers” was available for adult

1. In its 1995 Report, the CPC expressed its belief that “[a]s a general guideline . . . an establishment would need to have at least 40 percent of its accessible floor area used for adult purposes to make it similar to the establishments studied in the [1994] DCP Study,” but noted that “there may be exceptions to this general guideline.”

use (see Operations Policy and Procedure Notice [OPPN] Nos. 4/98, 6/98). With respect to bookstores, the guidelines also applied the 40% threshold to the store's total stock accessible or available for sale or rent (*id.*).

A number of adult businesses sued the City in state and federal court, principally challenging the 1995 Ordinance as improperly infringing upon their rights of free speech protected by the First Amendment of the Federal Constitution and article I, § 8 of the State Constitution. In *Stringfellow's*, we determined that the 1995 Ordinance was "not an impermissible attempt to regulate the content of expression but rather was aimed at the negative secondary effects caused by adult uses, a legitimate governmental purpose" (*Stringfellow's*, 91 NY2d at 399), citing our earlier decision in *Matter of Town of Islip v Caviglia* (73 NY2d 544 [1989]). Further, the 1995 Ordinance "represent[ed] a coherent regulatory scheme designed to attack the problems associated with adult establishments" (91 NY2d at 400). By "protect[ing] only those communities and community institutions that are most vulnerable to . . . adverse impacts," the 1995 Ordinance was no broader than necessary (*id.*). In addition, there were reasonable alternative avenues of communication, insofar as the 1995 Ordinance "allow[ed] adult businesses to remain in districts that permit a wide mix of commercial, retail, entertainment and manufacturing uses" and, in virtually every instance, were "within a 10-minute walk from a subway line or a major bus route" (*id.* at 403). We concluded that, based on the legislative record, the 1995 Ordinance complied with the standards set forth by the United States Supreme Court in *Renton v Playtime Theatres, Inc.* (475 US 41 [1986]), and by us in *Town of Islip*, and did not violate the plaintiffs' rights of free speech.

The 1995 Ordinance also surmounted facial First Amendment challenges in federal court. Under the authority of *Young v American Mini Theatres, Inc.* (427 US 50 [1976]) and *Renton*, which derives from *Young*, the United States Court of Appeals for the Second Circuit held in *Buzzetti v City of New York* (140 F3d 134, 141 [1998], *cert denied* 525 US 816 [1998]) that the 1995 Ordinance was a "content-neutral time, place, and manner regulation, [was] justified by substantial government interests and allow[ed] for reasonable alternative avenues of communication, and, accordingly, [did] not violate the First Amendment" (see also *Hickerson v City of New York*, 146 F3d 99 [1998], *cert denied* 525 US 1067 [1999]).

The 1995 Ordinance took effect in July 1998 after a series of judicial stays of enforcement lapsed. Numerous adult businesses reconfigured their floor areas and stock, seeking to fit within the 60/40 construct for defining “substantial portion.” The City contended, however, that these so-called 60/40 businesses were merely engaged in ploys to evade enforcement and did not, in fact, comply with the 1995 Ordinance.

In *City of New York v Les Hommes* (94 NY2d 267 [1999]), the City sought to shut down a store where only 24% of the stock consisted of adult videos, but the nonadult videos were offered only for sale, not for rent, did not turn over, had been supplemented very modestly and were located in a back room. The lower courts agreed with the City that the store’s compliance with the 1995 Ordinance was a sham; that is, despite its technical compliance with the 60/40 formula, the store’s business still centered on purveying sexually explicit materials. Based on the 1995 Ordinance’s “plain language” and the “precise guidelines” that the City had developed to enforce it, however, we reversed (*id.* at 273). In so doing, we observed that

“[i]n the end, we must enforce the City’s administrative guidelines as written. Either the stock is accessible or available, or it is not; either the appropriate amount of square footage is dedicated to nonadult uses, or it is not. Questions about whether the owner of [the store] had a good-faith desire to sell nonadult products, whether the ‘essential nature’ of [the store] is adult or nonadult, or whether the volume of nonadult stock is stable or profitable are not part of the inquiry here, where we are only called upon to determine whether items are accessible or available as stock. We cannot rewrite the City’s guidelines to include these additional considerations” (*id.*; see also *City of New York v Dezer Props.*, 95 NY2d 771 [2000] [an eating or drinking club that regularly features adult activities in less than 40% of its floor area is not an “adult establishment” within meaning of 1995 Ordinance]).²

In light of the perceived continuing subversion of the 1995 Ordinance and the unforeseen textual ambiguities and limitations that had hamstrung its enforcement efforts, in March

2. Both *Les Hommes* and *Dezer* were enforcement actions centering on statutory interpretation. They were not facial constitutional challenges.

2001 the DCP filed an application for amendments with the CPC. The CPC in August 2001 issued a report that endorsed the proposed amendments, as modified after public hearings. As the CPC Report observed, it was anticipated in 1995 that the DCP “would report back to the [CPC] and the City Council on the effect of the [1995 Ordinance] in two years time following the start of enforcement and that the [CPC] would review at that time whether any modifications [were] needed.”

The CPC Report stressed that the 2001 Amendments were “limited in nature” and did not alter the 1995 Ordinance’s location restrictions. “Instead,” they were intended “to clarify certain definitions in the [1995 Ordinance], in order to effectuate the [CPC]’s original intent,” which was “to address those establishments similar in nature to the types of enterprises described and studied in the [1994] DCP Study, namely[,] book and video stores, theaters, eating or drinking establishments and other commercial enterprises with a predominant, on-going focus on sexually explicit materials or activities” (internal quotation marks omitted).

The CPC Report disclosed that as of 2000, 101 self-identified 60/40 businesses, including triple-X book and video stores, topless bars and strip clubs and theaters offering adult entertainment, operated in locations where adult uses were prohibited. Of these 101 businesses, 75 were preexisting establishments that assumed 60/40 configurations in response to the 1995 Ordinance; the other 26 opened after the 1995 Ordinance was adopted.³

At a public hearing on the proposed amendments in October 2001, Counsel to the Criminal Justice Coordinator for then Mayor Giuliani testified that the adult entertainment industry, unwittingly abetted by the courts’ “misconstrued views and misconceptions,” had exploited loopholes in the 1995 Ordinance, which “so distort the original law passed by the Council as to make it almost meaningless.” Counsel to the DCP testified that the proposed amendments were designed to close these loopholes by “establish[ing] objective factors relating to the physical layout and method of operation” for adult bookstores and to overcome the “artificial separation of adult and non-adult sections” in adult eating and drinking establishments. Of the three

3. As is evident from these statistics, the 1995 Ordinance did not achieve its goal. We observed in *Stringfellow’s* that the City expected the 1995 Ordinance to “lead to the forced relocation of some 84% of [its] 177 adult businesses” (*Stringfellow’s*, 91 NY2d at 403).

Borough Boards that commented on the proposed amendments, Brooklyn and Queens approved and Manhattan opposed them. Of the 20 Community Boards that commented, 14 approved and five opposed the proposed amendments, and one voiced qualified opposition.

Relying on the 1994 DCP Study, the CPC Report and public testimony and comment, in October 2001 the City Council adopted the 2001 Amendments, which removed “substantial portion” from the definition of “adult establishment,” leaving the following: “An ‘adult establishment’ is a commercial establishment which is or includes an adult book store, adult eating or drinking establishment, adult theater, or other adult commercial establishment, or any combination thereof” (NY City Zoning Resolution [ZR] § 12-10 [Adult Establishment] [1]).

The “substantial portion” standard remained in place for adult video and bookstores (*id.* [1] [a]). The 2001 Amendments provided, however, that nonadult material would not be considered stock for “substantial portion” analysis if the store’s interior configuration and layout required customers to pass through an area stocked with adult material in order to reach nonadult material; there were any individual booths available for viewing adult movies or live performances; purchasing nonadult material exposed the customer to adult merchandise; nonadult material was for sale only, while adult material might be purchased or rented; more adult titles than nonadult titles were available; minors were restricted from the store as a whole or from any area offering nonadult material; signs or window displays promoting adult material were disproportionate to those promoting nonadult material, or to the proportion of floor space devoted to adult material; or “[o]ther features relating to configuration and layout or method of operation” which the Commissioner of Buildings may subsequently determine by rule “render the sale or rental of ‘adult printed or visual material’ a substantial purpose of the business conducted in such store,” subject to “scheduled implementation” with respect to “commercial establishments in existence as of [the date of adoption], as necessary” (*id.* [2] [d] [ii]). The 2001 Amendments took effect immediately, although nonconforming establishments in existence as of August 8, 2001 were afforded a one-year amortization period, subject to further extension by the Board of Standards and Appeals (ZR § 72-41).

Plaintiffs brought these actions for declaratory judgment and injunctive relief in Supreme Court in the fall of 2002, just before

the expiration of the one-year compliance period for the 2001 Amendments. Plaintiffs For the People Theatres of N.Y., Inc. and JGJ Merchandise Corporation, also known as Mixed Emotions, brought the first action. For the People Theatres is a theater that regularly features adult films, purportedly in less than 40% of its customer-accessible floor space, and operates a separate area devoted exclusively to peep booths; JGJ is a video store that sells adult videotapes, purportedly as less than 40% of its stock and customer-accessible floor area. Plaintiff Ten's Cabaret, Inc., formerly known as Stringfellow's of New York, Ltd., brought the second action. Ten's is a cabaret that regularly features adult entertainment, purportedly in less than 40% of its customer-accessible floor space, as are plaintiffs Pussycat Lounge, Inc., Church Street Café, Inc., doing business as Baby Doll, and 62-20 Queens Blvd., Inc., which brought a third action that Supreme Court consolidated with the Ten's action. Plaintiffs Ten's and Pussycat successfully moved by order to show cause for a temporary restraining order pending decision.

Plaintiffs contended that they had made considerable investments and radically altered their operations in order to convert from adult establishments into 60/40 businesses, a new type of mixed-use enterprise that blossomed as a positive response to the 1995 Ordinance. They argued principally that the 2001 Amendments violated their rights of free expression under the state and federal constitutions because the City failed to support the regulations with a study targeted at the secondary effects of this new class of 60/40 businesses. Plaintiffs moved for a preliminary injunction preventing enforcement and plaintiff Ten's additionally moved for summary judgment; the City cross-moved for summary judgment.

On September 9, 2003, Supreme Court granted summary judgment to plaintiffs declaring the 2001 Amendments unconstitutional and enjoining their enforcement; and denied the City's cross motions. In the lead *Ten's* decision, Supreme Court concluded that the City could not ground the 2001 Amendments on the 1994 DCP Study because it did not address 60/40 businesses and therefore "cannot be used as evidence to demonstrate that these establishments cause secondary effects" (*Ten's Cabaret v City of New York*, 1 Misc 3d 399, 407 [Sup Ct, NY County 2003]; see also *For the People Theatres of N.Y. v City of New York*, 1 Misc 3d 394, 397 [Sup Ct, NY County 2003] [court "not persuaded that the 2001 amendments are narrowly tailored to limit free speech, without evidence that the 1995 Ordinance

was not effective in correcting the problems,” and therefore searches the record and grants summary judgment to plaintiffs]).

On January 12, 2004, we sua sponte transferred appeals from *People Theatres* and *Ten’s* (see 1 NY3d 590, 592 [2004]) to the Appellate Division, which consolidated them. On April 12, 2005, the Appellate Division reversed Supreme Court’s judgments, on the law; denied plaintiffs’ motions; granted defendants’ cross motions; vacated the injunction; declared the 2001 Amendments constitutional; and dismissed the complaints. The Appellate Division subsequently granted leave and certified the following question to us: “Was the order of [the Appellate Division], which reversed the judgments of the Supreme Court properly made?”

II.

Los Angeles v Alameda Books, Inc. (535 US 425 [2002]), which was handed down after our decision in *Stringfellow’s*, supplies the analytical framework for this appeal. *Alameda Books* elaborated on the Supreme Court’s decision in *Renton*, on which we relied in *Stringfellow’s*. In *Renton*, the Court upheld a municipal zoning ordinance restricting the location of adult movie theaters, based on studies in other cities showing the adverse secondary effects of adult uses. Questions arose after *Renton* in the lower federal courts, however, about the quality and quantity of evidence upon which a municipality may rely to substantiate that an ordinance regulating adult businesses is designed to serve a substantial government purpose; specifically, to ameliorate the deleterious social consequences flowing from adult businesses and not to infringe upon speech. The Court granted certiorari in *Alameda Books* to answer these evidentiary questions.

The dispute in *Alameda Books* derived from an ordinance enacted by the City of Los Angeles in 1978 to prohibit the establishment of adult businesses, defined to include bookstores and arcades, within 1,000 feet of another adult business or within 500 feet of a religious institution, school or public park. This ordinance was based on a comprehensive 1977 study of adult businesses in Los Angeles and its environs, which concluded that concentrations of these enterprises led to significantly higher rates of crime (prostitution, robbery, assaults and thefts) in the areas where they were located.

The ordinance included a provision detailing how the distance between adult businesses was to be measured, which allowed

distinct adult businesses operated under common ownership to be housed in a single structure. Concerned that this “loophole permitting the concentration of multiple adult enterprises in a single structure” might “defeat the goal of the original ordinance” (535 US at 431), which was to disperse these businesses, the City Council in 1983 amended the ordinance in two important ways. First, the amendments prohibited two adult entertainment businesses from being located in the same building; second, the amendments redefined an adult bookstore and an adult arcade as separate businesses regardless of whether they operated in conjunction with another adult business at the same establishment (*Alameda Books*, 535 US at 431).

Alameda and another adult business, both of which operated an adult bookstore and an adult arcade in the same building, sued for declaratory relief and an injunction on First Amendment grounds. The District Court granted plaintiffs summary judgment and issued a permanent injunction enjoining enforcement, determining that the ordinance was not content-neutral and did not withstand strict scrutiny because Los Angeles did not offer evidence that its prohibition served a compelling government interest.

The United States Court of Appeals for the Ninth Circuit affirmed, but on the basis that the challenged ordinance was invalid because Los Angeles had not presented evidence specific enough to support an inference that two adult uses in one building led to the same harmful secondary effects as two uses in neighboring buildings:

“The [1977] Study treated a bookstore/arcade combination as a single business or unit of adult entertainment whose secondary effects arise from its proximity to several other units of adult entertainment. It did not analyze an individual bookstore/arcade combination as a concentration of adult businesses.

“Additionally, the Study was not directed at determining the impact of individual adult entertainment business units. Rather, its purpose was to ascertain the impact of a concentration of such business units in small geographic areas. Therefore, by categorizing certain businesses as ‘bookstore/arcades,’ the Study determined not what the impact of a ‘bookstore/arcade’ was on the surrounding area, but

the impact of a bookstore/arcade as an individual business entity that was part of a concentration consisting of multiple adult business establishments. As such, the Study did not identify any harmful secondary effects resulting from bookstore/arcade combinations as individual business units” (*Alameda Books, Inc. v City of Los Angeles*, 222 F3d 719, 724 [9th Cir 2000]).

The Supreme Court reversed by a vote of 5 to 4, with Justice O’Connor writing for a plurality of four Justices, Justice Kennedy concurring in the result only, and Justice Souter writing for the dissent. “When a fragmented Court decides a case and no single rationale explaining the result enjoys the assent of five Justices, the holding of the Court may be viewed as that position taken by those Members who concurred in the judgments on the narrowest grounds” (*Marks v United States*, 430 US 188, 193 [1977] [internal quotation marks and citation omitted]). Thus, Justice Kennedy’s opinion, and the relevant parts of the plurality opinion with which he agreed, are controlling on the issue of what a municipality must demonstrate in order to sustain a zoning ordinance regulating adult businesses in the face of a First Amendment challenge.

The precise question presented for review in *Alameda Books* was “whether the ordinance at issue [was] invalid because the city did not study the negative effects of such combinations of adult businesses [i.e., a combined adult bookstore and adult arcade], but rather relied on judicially approved statutory precedent from other jurisdictions” (*Alameda Books*, 535 US at 449 [Kennedy, J., concurring] [internal quotation marks omitted]). In the critical part of the plurality opinion, Justice O’Connor refers to *Renton* as a case in which the Court specifically “refused” to set a high evidentiary bar for municipalities “merely” to address the secondary effects of protected speech: “[w]e held that a municipality may rely on any evidence that is ‘reasonably believed to be relevant’ for demonstrating a connection between speech and a substantial, independent government interest” (*id.* at 438, quoting *Renton*, 475 US at 51). “This is not to say that a municipality can get away with shoddy data or reasoning” (*id.*). Instead,

“[t]he municipality’s evidence must fairly support the municipality’s rationale for its ordinance. If plaintiffs fail to cast direct doubt on this rationale, either by demonstrating that the municipality’s evi-

dence does not support its rationale, or by furnishing evidence that disputes the municipality's factual findings, the municipality meets the standard set forth in *Renton*. If plaintiffs succeed in casting doubt on a municipality's rationale in either manner, the burden shifts back to the municipality to supplement the record with evidence renewing support for a theory that justifies its ordinance" (*id.* at 438-439).

Justice O'Connor remarked that the case was "at a very early stage," Alameda and the other plaintiff having been granted summary judgment premised only upon "complaints that the 1977 study fails to prove that the city's justification for its ordinance is necessarily correct" (*id.* at 439). Accordingly, she concluded that Los Angeles "at this stage of the litigation" had complied with *Renton*'s evidentiary requirements (*id.*). Because the ordinance therefore survived the plaintiffs' motion for summary judgment, the Court reversed and remanded to provide the plaintiffs the opportunity to "demonstrat[e] that [Los Angeles]'s evidence does not support its rationale," or "furnish[] evidence that disputes [Los Angeles]'s factual findings" (*id.* at 438-439).

Alameda Books ratifies the message in *Renton* that a municipality's burden to prove that it has a substantial interest in regulating a particular adult activity is not a very heavy one. Indeed, the plurality flatly rejected the dissent's argument that a municipality was required to adduce empirical proof to demonstrate that secondary effects would, in fact, be ameliorated by the ordinance under consideration.

On the question of how much evidence was required to support an ordinance regulating adult businesses, Justice Kennedy agreed with the plurality that

"[a]s to this, we have consistently held that a city must have latitude to experiment, at least at the outset, and that *very little evidence is required*. . . . As a general matter, courts should not be in the business of second-guessing fact-bound empirical assessments of city planners. The Los Angeles City Council knows the streets of Los Angeles better than we do. It is entitled to rely on that knowledge; and if its inferences appear reasonable, we should not say there is no basis for its conclusion" (*id.* at 451-452 [citations omitted and emphasis added]).

In short, *Alameda Books* confirms that the reasonable discretion accorded most local legislative actions extends to adult use zoning. A local government implementing zoning that affects adult businesses must have a legislative record that establishes a substantial governmental interest in the subject matter of the regulation to justify restrictions on protected speech; however, the local government retains discretion to make its findings from studies or other supportive information before it, and to draw reasonable conclusions about which regulatory techniques will be most beneficial in addressing the findings. As the United States Court of Appeals for the Fifth Circuit summed up *Alameda Books*' deference to legislative judgments:

“The point of deference is this: legislators cannot act, and cannot be required to act, only on judicial standards of proof. Legislative zoning decisions are generally upheld on a rational basis standard. Imposing a level of intermediate scrutiny . . . requires more conviction of the connection between legislative ends and means than does the rational basis standard, but only in the sense of ‘evidence . . . [that] is reasonably believed to be relevant’ to the secondary effects in question” (*N.W. Enters. Inc. v City of Houston*, 352 F3d 162, 180 [5th Cir 2003] [quoting *Alameda Books* at 442; *Renton* at 51], *cert denied sub nom. Ice Embassy, Inc. v City of Houston, Tex.*, 543 US 958 [2004]).

The facts here are very similar to those underlying *Alameda Books*. Like Los Angeles, the City seeks to tighten up a zoning ordinance regulating adult businesses in order to limit superficial compliance unanticipated when the ordinance was initially enacted. Like Los Angeles, the City seeks to rely principally on the same evidence of negative secondary effects that supported the original ordinance. Indeed, in Los Angeles's case, the original studies were 25 years old by the time the case reached the Supreme Court. Here, the City cites the 1994 DCP Study, already found to be sound in *Stringfellow's*, and its subsequent enforcement experiences to demonstrate that while many adult businesses may comply with the 1995 Ordinance, at least technically, their essential character remains unchanged. It is this essential character—as adult bookstores or adult video stores or strip clubs or topless clubs—that creates negative secondary effects. Given the very low *Renton/Alameda Books* evidentiary hurdle, we conclude that the City has satisfied its burden to

justify a secondary-effects rationale for the City's 2001 Amendments. Under *Alameda Books*, the question then becomes whether plaintiffs have demonstrated that the City's evidence does not support its rationale, or have furnished evidence that disputes the City's factual findings.

In this case, plaintiffs have disputed factual findings undergirding the City's 2001 Amendments. Plaintiffs For the People Theatres and JGJ have submitted the affidavits and reports of two experts, Dr. Elliott D. Sclar, an economist by training who is professor of urban planning and public affairs at Columbia University and a former member, by appointment of then Mayor Dinkins, of the New York City Economists Roundtable, Economic Policy Advisory Panel; and Dr. Charles Winick, a criminologist and, most recently, member of the graduate faculty at John Jay College of Criminal Justice, who directed a national survey for the President's Commission on Obscenity and Pornography. Both are widely published; Dr. Sclar has been recognized as an expert witness in state court and federal government proceedings.

Dr. Sclar performed a statistical analysis to ascertain whether the presence of 60/40 bookstores and theaters negatively affected property sales completed between 1998 and June 2002 by comparing the sales prices of real estate properties on blocks with these businesses with sales on nearby blocks. His analysis of approximately 1,000 sales transactions revealed "no statistically significant relationship between the presence of 60/40 uses and an adverse impact on adjacent property values." He concluded that the "presence of a 60/40 bookstore or theater within a specific area could not be linked to any weakening or decrease of property values within that area" (emphasis in original).

Dr. Winick studied whether there is any correlation between 60/40 bookstores or theaters and adverse consequences in the form of criminal complaints. His report was supported by material from the New York City Police Department's (NYPD) CompStat Unit, which collects and analyzes trends in felony complaints. He found a reduction of 23.9% in citywide felony complaints from 1998 through 2001; no 60/40 bookstores or theaters appeared on the NYPD's list of hot spots for crime; no relationship between prostitution arrests and these bookstores and theaters; and no correlation between any concentration of these bookstores and theaters in a precinct and the violent felony rate.

The remaining plaintiffs, who operate 60/40 cabarets, produced an NYPD report (February 2001), which showed crime statistics for all nightclubs in Patrol Borough Manhattan South. Of all the nightclubs in Manhattan which had any crime, the report listed only one topless club with two violations. They also presented NYPD documents entitled “Priority Listing of Problem Clubs” for various dates from mid-1998 through early 2000 in Patrol Borough Manhattan South, which similarly listed nonadult clubs almost exclusively.

Because plaintiffs have thus “furnish[ed] evidence that disputes the [City’s] factual findings,” the burden shifted back to the City “to supplement the record with evidence renewing support for a theory that justifies its ordinance” (*Alameda Books*, 535 US at 439). The City was not required, however, to relitigate the secondary effects of adult uses, or to produce empirical studies connecting 60/40 businesses to adverse secondary effects. The Supreme Court in *Alameda Books* rejected the argument that Los Angeles was required to conduct targeted empirical studies as a prerequisite for amending its existing adult use ordinance to regulate combined adult bookstores and adult arcades more closely. Nor did the Supreme Court in any way indicate that a municipality is somehow foreclosed from experimenting with its adult use regulations just because it may have already achieved some success in reducing negative social consequences.

The City justified the 2001 Amendments as a measure to eradicate the potential for sham compliance with the 1995 Ordinance, and thus to reduce negative secondary effects to the extent originally envisaged. There is no evidence in the record to suggest that the City adopted the 2001 Amendments for any other reason, much less to abridge free speech. In furtherance of its rationale for the 2001 Amendments, the City presented evidence of inspections conducted over three consecutive days in February 2001 of 12 self-identified 60/40 book and video stores within what appears to be a small area of Manhattan. This evidence supports the 2001 Amendments by indicating that these businesses, while they technically comply with the 60/40 formula, belong to the class of enterprises described and studied in the 1994 DCP Study—“book and video stores, theaters, eating or drinking establishments and other commercial enterprises with a predominant, on-going focus on sexually explicit materials or activities”—and linked to negative secondary effects. Thus, a triable question of fact has been

presented as to whether 60/40 businesses are so transformed in character that they no longer resemble the kinds of adult uses found, both in the 1994 DCP Study and in studies and court decisions around the country, to create negative secondary effects—as plaintiffs contend—or whether these businesses’ technical compliance with the 60/40 formula is merely a sham—as the City contends.

In addressing this factual dispute, we anticipate that the City will produce evidence relating to the purportedly sham character of self-identified 60/40 book and video stores, theaters and eating and drinking establishments or other commercial establishments located in the city. This does not mean that the City has to perform a formal study or a statistical analysis, or to establish that it has looked at a representative sample of 60/40 businesses in the city. If the trier of fact determines, after review of this evidence, that the City has fairly supported its position on sham compliance—i.e., despite formal compliance with the 60/40 formula, these businesses display a predominant, ongoing focus on sexually explicit materials or activities, and thus their essential nature has not changed—the City will have satisfied its burden to justify strengthening the 1995 Ordinance by enacting the 2001 Amendments, and will be entitled to judgment in its favor. If not, plaintiffs will prevail on their claim that the 2001 Amendments are insufficiently narrow and therefore violate their free speech rights. In that event, plaintiffs will be entitled to judgment and a declaration that the 2001 Amendments are unconstitutional.

We have considered plaintiffs’ remaining arguments, and conclude that they lack merit. Accordingly, the order of the Appellate Division should be modified, without costs, to deny defendants’ motions for summary judgment; the matter remitted to Supreme Court for further proceedings in accordance with this opinion; and the certified question not answered upon the ground that it is unnecessary.

Chief Judge KAYE (dissenting). “New York has a long history and tradition of fostering freedom of expression, often tolerating and supporting works which in other States would be found offensive to the community” (*Matter of Town of Islip v Caviglia*, 73 NY2d 544, 556 [1989]; see also *People ex rel. Arcara v Cloud Books*, 68 NY2d 553, 557 [1986]). Though our Constitution and decisional law robustly protect expressive conduct, unquestionably a municipality can regulate adult uses through its zoning

power. A regulation that infringes upon constitutionally protected speech or conduct, however, must be justified by unrelated concerns, and no broader than necessary to achieve its purpose (*Matter of Town of Islip v Caviglia*, 73 NY2d at 557-560).

We all agree that this standard was applied to the City's 1995 legislation. Where we differ is in its application to the City's 2001 legislation. The majority views the 2001 law as merely closing a "loophole" in the 1995 law, and concludes that the City therefore may rely entirely on the evidence it presented in support of the earlier law. We see it as a new law. The majority remits the case to Supreme Court for additional fact-finding; we do not see what additional facts could substantiate the new law that the City has not already had an opportunity to provide.¹

We also disagree that *Los Angeles v Alameda Books, Inc.* (535 US 425 [2002]) sets the analytical framework for this appeal. In *Alameda Books* the problem the Los Angeles legislation addressed was the concentration of adult businesses, which led to demonstrably higher crime rates in areas where they were located. That goal was subverted when the businesses availed themselves of an exception in the law for common ownership and consolidated their operations in a single structure, thus becoming even more intensely concentrated and consequently even greater magnets for crime. The objective of the original legislation having been the same as that of the amendment, in defending the amendment against constitutional challenge Los Angeles was entitled to rely on the evidence supporting the original law.

Here, by contrast, New York City, responding to a proliferation of adult use businesses and related negative secondary impacts—including increased crime rates, lowered property values and deteriorated quality in neighborhood life—in 1995 for the first time adopted a zoning resolution to regulate businesses that devoted a substantial portion of their operations to adult entertainment. While the 1995 law defined an adult establishment as "a commercial establishment where a 'substan-

1. Indeed, it is not at all clear what the majority views as the triable issues of fact or, even more, what evidence, on remittal, could show that "the 2001 Amendments are insufficiently narrow and therefore violate [plaintiffs'] free speech rights" (majority op at 84). Plaintiffs have already shown the lack of any correlation between 60/40 operations and negative secondary effects and the City has not offered—and now apparently need not offer—anything to dispute that evidence.

tial portion' of the establishment includes an adult bookstore, adult eating or drinking establishment, adult theater, or other adult commercial establishment, or any combination thereof" (1995 NY City Zoning Resolution § 12-10), in 2001 the City Council radically expanded its regulation, essentially extending the sweep of the law to businesses featuring adult entertainment "in any portion." The "substantial portion" requirement remains in place for book and video stores, but the definition of "substantial" has been significantly watered down. That is no mere clarification. That is a new law.

It is clear from this record that the City Council in 1995 set out to regulate only businesses that devoted a "substantial portion" of their space to adult entertainment. And from the very start, the City explicitly defined "substantial" as 40% or greater.

In its 1995 report, the City Planning Commission (CPC) addressed concerns that the word "substantial" was overly vague by explaining that the general intent of the adult use regulations was to monitor businesses that had "at least 40 percent of [their] accessible floor area used for adult purposes." According to the CPC, it was those 40% or more businesses that were the subject of the "establishments studied in the [1994 Department of City Planning] Study" upon which the rationale for the regulations rested. "As a general guideline," the CPC believed "that an establishment would need to have at least 40 percent of its accessible floor area used for adult purposes to make it similar to the establishments studied in the DCP Study and thus be an 'adult establishment' or 'adult bookstore.'"

Significantly, throughout years of litigation in state and federal courts challenging the constitutionality of the 1995 law, the City again and again emphasized that its regulation was designed to target the secondary effects only of establishments identified by the 1994 DCP study and the 1995 CPC report—those devoting 40% or more of their business to adult entertainment—and that its regulation was no broader than necessary. Key to the rulings upholding the 1995 law was that "'all of the adult uses which would be covered by the proposed regulations have been shown to produce adverse secondary effects'" (*Stringfellow's of N.Y. v City of New York*, 91 NY2d 382, 401 [1998]).²

2. Shortly after the 1995 ordinance was upheld by this Court in *Stringfellow's*, the New York City Department of Buildings promulgated Operations Policy and Procedure Notice (OPPN) No. 4/98, which formally adopted the

(n. cont'd)

In defending the 1995 law, both in constitutional and enforcement challenges, the City did not claim that *all* regulation of adult businesses was permissible but urged courts—this one included—to rely on its own 40% definition of “substantial portion” (see *City of New York v Dezer Props.*, 95 NY2d 771 [2000]; *City of New York v Les Hommes*, 94 NY2d 267, 273 [1999]; *City of New York v Show World*, 178 Misc 2d 812 [Sup Ct, NY County 1998]; *Hickerson v City of New York*, 932 F Supp 550 [SD NY 1996]; see also *Hickerson v City of New York*, 146 F3d 99 [2d Cir 1998], *cert denied* 525 US 1067 [1999]; *Buzzetti v City of New York*, 140 F3d 134 [2d Cir 1998], *cert denied* 525 US 816 [1998]).

Having intentionally limited the reach of its 1995 legislation to ensure that it did not “sweep too broadly” (majority op at 71), the City cannot now evade constitutional review of the preclusive 2001 statute by characterizing it as merely a clarification. The City was obliged to present *some* evidence demonstrating a nexus between the 60/40 businesses and the deleterious social effects supporting its 2001 regulation. The City cannot rely on the studies justifying the 1995 ordinance because the businesses within the reach of the 2001 law are different in character than those the City sought to regulate 10 years ago. While it produced voluminous evidence that the businesses targeted by the 1995 law were the source of deleterious negative secondary effects, the City has offered nothing of the kind here.

In contrast, in support of their motions for summary judgment, plaintiffs produced substantial evidence that the 60/40 businesses are functionally different from the pre-1995 businesses and that the 60/40 businesses do not produce negative secondary effects. The plaintiffs provided expert proof that property values increased in 60/40 neighborhoods on a par with those in the rest of the city after the 1995 resolution went into effect and that crime rates dropped in 60/40 precincts at the same or greater rate as in non-60/40 precincts after the 1995 resolution was enforced. Additionally, the plaintiffs offered evidence that many of the community representatives in areas with a heavy presence of 60/40 businesses who had supported the 1995 resolution now opposed the 2001 amendment.

It may well be that the City’s earlier efforts to regulate adult businesses have proved ineffective, though the only evidence in the record is to the contrary. It may well be that broader regula-

40% definition. OPPN 4/98 was superseded a few weeks later by OPPN 6/98, which largely relied on the same 40% standard.

tion of adult entertainment is appropriate and would be sustained as constitutional. What is unacceptable is accomplishing that reform under the banner of the 1995 legislation, whose explicit purpose was a quite different one.

We would reverse the order of the Appellate Division and reinstate Supreme Court's judgments.

Judges ROSENBLATT, GRAFFEO and R.S. SMITH concur with Judge READ; Chief Judge KAYE dissents and votes to reverse and reinstate the judgments of Supreme Court in a separate opinion in which Judges G.B. SMITH and CIPARICK concur.

Order modified, etc.

[843 NE2d 149, 809 NYS2d 509]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v EDWIN
ECHEVARRIA, Appellant.

Argued November 17, 2005; decided December 22, 2005

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered April 19, 2005. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Charles J. Tejada, J.), which had convicted defendant, upon a jury verdict, of murder in the first degree and two counts of murder in the second degree.

People v Echevarria, 17 AD3d 204, affirmed.

HEADNOTE

Crimes — Verdict — Partial Verdict — Further Deliberations Not Precluded

The trial court's acceptance of the jury's partial verdict finding defendant guilty of second degree murder did not preclude further deliberations and did not require vacatur of the ensuing first degree murder conviction. The court, without objection, instructed the jury on all counts, but did not direct it to consider them in any particular order. The court did not submit the first degree and second degree murder counts in the alternative and did not convey to the jury that second degree murder was a lesser included offense of first degree murder, or that a partial verdict on second degree murder would foreclose further deliberations on first degree murder. Defense counsel urged the court to take the partial verdict, without knowledge of the charges it encompassed, and did not object to the jury's continuing its deliberations after having rendered its partial verdict. Having made this tactical choice, defendant may not be heard to complain.

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AM JUR 2d, Homicide §§ 558, 559, 572; AM JUR 2d, Trial § 189.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:3802, 172:3803, 172:4470, 172:4490.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 24.10.

NY JUR 2d, Criminal Law §§ 2442, 2518, 2522, 2529, 2545, 2546.

ANNOTATION REFERENCE

See ALR Index under Criminal Procedure Rules; Homicide; Verdicts.

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POINTS OF COUNSEL

Office of the Appellate Defender, New York City (Joseph M. Nursey and Richard M. Greenberg of counsel), for appellant. I. The trial court failed to conduct the required factual inquiry when informed of substantial juror misconduct during jury deliberations. (*People v Branch*, 46 NY2d 645; *Duncan v Louisiana*, 391 US 145; *People v Buford*, 69 NY2d 290; *People v McClenton*, 213 AD2d 1; *People v Rodriguez*, 71 NY2d 214; *People v Sanchez*, 99 NY2d 622; *People v Thomas*, 196 AD2d 462; *People v Fermin*, 235 AD2d 328.) II. The jury's partial verdict, accepted by the trial court, which convicted Edwin Echevarria of the lesser included offense of murder in the second degree, barred, under double jeopardy principles, the jury's further deliberations and verdict, which convicted Mr. Echevarria of the greater offense of murder in the first degree involving the same victim. (*People v Cahill*, 2 NY3d 14; *People v Rodriguez*, 7 AD3d 545, 3 NY3d 742; *People v Hildreth*, 279 AD2d 791; *People v Couser*, 258 AD2d 74; *People v Miller*, 8 AD3d 176, 4 NY3d 766; *Dedieu v People*, 22 NY 178; *People v Flores*, 42 AD2d 431; *People v Abrew*, 95 NY2d 806; *People v Fuller*, 96 NY2d 881; *People v Boettcher*, 69 NY2d 174.)

Robert M. Morgenthau, District Attorney, New York City (Susan Axelrod and Alan Gadlin of counsel), for respondent. I. The trial court properly responded to the jury's note and correctly determined that there was no reason to declare a mistrial. (*People v Sprowal*, 84 NY2d 113; *People v James*, 75 NY2d 874; *People v Jacquin*, 71 NY2d 825; *People v Rodriguez*, 71 NY2d 214; *People v Buford*, 69 NY2d 290; *People v Brown*, 48 NY2d 388; *People v Sanchez*, 99 NY2d 622; *Anderson v Miller*, 346 F3d 315; *United States v Singer*, 345 F Supp 2d 230; *United States v Musto*, 540 F Supp 318.) II. Contrary to defendant's unpreserved and waived contentions, the court acted in accordance with CPL 310.70 in accepting a partial verdict of conviction on both counts of murder in the second degree and ordering the jury to continue deliberating. Defendant's double jeopardy rights were not violated when the jury then convicted him of first degree murder. (*People v Fuller*, 96 NY2d 881; *People v Muniz*, 91 NY2d 570; *People v Allen*, 86 NY2d 599; *People v Michael*, 48 NY2d 1; *People v Ferguson*, 67 NY2d 383; *People v Brown*, 67

NY2d 555; *People v Abrew*, 95 NY2d 806; *People v Hedgeman*, 70 NY2d 533; *People v Gaskins*, 171 AD2d 272; *Matter of Albano v Kirby*, 36 NY2d 526.)

OPINION OF THE COURT

ROSENBLATT, J.

Defendant claims that the jury's verdict finding him guilty of murder in the first degree must be vacated because the jury had earlier rendered a partial verdict finding him guilty of second degree murder.

While looking for drugs in an Upper Manhattan neighborhood, defendant entered the apartment of the two victims, whom he knew. Using a knife from their kitchen, he stabbed one victim 19 times and the other 30 times. In a four-count indictment covering both victims, defendant was charged with two counts of first degree murder under Penal Law § 125.27 (1) (a) (viii) (intentional multiple-victim murder) and two counts of second degree intentional murder (Penal Law § 125.25 [1]). At trial, the defense was based on defendant's purported lack of criminal intent owing to his drug and alcohol intoxication. The court, without objection, instructed the jury on all counts, but did not direct it to consider them in any particular order.

During deliberations, the jury sent out a note stating that it had reached unanimity on two of the four counts, without revealing which two. Outside the presence of the jury, the court and the parties discussed the propriety of taking a partial verdict. The People suggested that the court consult *People v Fuller* (96 NY2d 881 [2001]), which holds that a *retrial* is barred on the higher offense after a jury finds the defendant guilty of a lesser included offense. Expressing no hesitancy, defendant's attorney advocated taking the partial verdict; *Fuller* presented no problem: "Judge, just for the record, I would have requested to take a partial verdict in this case. I don't think [*Fuller*] is directly applicable to this particular case, and I think the way to do a charge to the jury here, I think that there is no reason why a partial verdict can't be taken." The court acquiesced.

The jury then told the court that it had not reached a verdict on the first degree murder counts, but was unanimous in finding defendant guilty of two counts of murder in the second degree (intentional murder under Penal Law § 125.25 [1]), one for each victim. Without objection, the court accepted the partial verdict and directed the jurors to continue deliberations. The next day, the jury returned with a verdict of guilty of first degree

murder (multiple-victim murder under Penal Law § 125.27 [1] [a] [viii]).

Defendant now contends that once the jury rendered its partial verdict finding him guilty of second degree murder, further deliberations were impermissible and the ensuing first degree murder conviction must be vacated. Disagreeing, the Appellate Division affirmed, as do we.

Defendant argues that under CPL 300.40 (3) (b), when inclusive concurrent counts are submitted to a jury, a “verdict of guilty upon a lesser count is deemed an acquittal upon every greater count submitted.” Thus (the argument goes), because second degree murder is a lesser included offense of first degree murder, the jury’s partial verdict finding defendant guilty of second degree murder must be deemed an acquittal of the first degree murder count. Even assuming that second degree murder is a lesser included offense of first degree murder, defendant has forfeited his claim.

At the outset, we note that in its charge to the jury, the court, without objection by defendant, did not follow the protocol set forth in *People v Boettcher* (69 NY2d 174 [1987]). There, we held that a court should submit lesser included counts to a jury in the alternative with an instruction that the jury must unanimously acquit the defendant of the greater offense before considering a lesser included count. Had the court done so here, the jury would have considered the charges in the proper order and, if it then found defendant guilty of the lower charge (second degree murder), he could have argued that the jury had found him not guilty of first degree murder.

Defendant, however, did not object to the charge as given, and the jury was not under orders to consider the counts in any particular sequence. As the Appellate Division correctly pointed out, the court did not submit the first degree and second degree murder counts in the alternative and did not convey to the jury in any manner that second degree murder was a lesser included offense of first degree murder, nor that a partial verdict on second degree murder would somehow foreclose further deliberations on first degree murder.

Defense counsel not only failed to object to the lack of a *Boettcher* instruction, but affirmatively argued against the applicability of *Fuller* and urged the court to take the partial verdict, without knowledge of the charges it encompassed. Although “[o]nce acquitted, it [is] not possible . . . to ‘waive’ the

protections against multiple prosecutions” (*Fuller*, 96 NY2d at 884), counsel’s unequivocal actions occurred *prior* to the partial verdict. Moreover, defense counsel did not object to the jury’s continuing its deliberations after having rendered its partial verdict. Counsel weighed the options and, rather than asking for a mistrial, made the strategic decision to go for a partial verdict and further deliberations by the same jury (*see People v Ferguson*, 67 NY2d 383 [1986]). Having made this tactical choice, defendant may not be heard to complain.

We have considered defendant’s remaining contentions and find them without merit. Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, GRAFFEO, READ and R.S. SMITH concur.

Order affirmed.

[843 NE2d 723, 810 NYS2d 96]

XIAO YANG CHEN, Appellant, v IAN IRA FISCHER, Respondent.

Argued November 15, 2005; decided December 15, 2005

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered October 25, 2004. The Appellate Division affirmed an order of the Supreme Court, Westchester County (Aldo A. Nastasi, J.), which had granted defendant's motion to dismiss the complaint and denied plaintiff's cross motion to dismiss defendant's second through eighth affirmative defenses.

Xiao Yang Chen v Fischer, 12 AD3d 43, reversed.

HEADNOTE**Judgments — Res Judicata — Interspousal Tort Action Not Barred by Prior Matrimonial Action**

Plaintiff, having withdrawn all but one of her fault allegations in the parties' previous matrimonial action in order to expedite it, was not precluded by the doctrine of res judicata from asserting a personal injury claim against her former husband even though the allegations were virtually identical to those in her counterclaim for divorce and arose from the same transaction or series of events. A personal injury action is typically not sufficiently intertwined with the dissolution of the marriage relationship as to allow for its efficient resolution, and the two types of actions do not constitute a convenient trial unit for res judicata purposes. To require joinder of interspousal personal injury claims with the matrimonial action would be contrary to the goal of expediting divorce proceedings and minimizing the emotional damage to the parties and their families. In addition, parties should be encouraged to stipulate to, rather than litigate, the issue of fault in a matrimonial action, as plaintiff did here.

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AM JUR 2d, Divorce and Separation §§ 411, 415, 416, 418;

AM JUR 2d, Judgments §§ 545–547.

CARMODY-WAIT 2d, Judgments §§ 63:455, 63:456, 63:458, 63:459, 63:463, 63:464; CARMODY-WAIT 2d, Divorce § 114:249.

NY JUR 2d, Domestic Relations §§ 1154, 2214, 2216; NY

JUR 2d, Judgments §§ 331, 332.

SIEGEL, NY PRAC § 447.

ANNOTATION REFERENCE

See ALR Index under Divorce and Separation; Res Judicata.

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POINTS OF COUNSEL

Law Office of Paul Grobman, New York City (Paul Grobman of counsel), for appellant. Res judicata does not require that divorce and tort actions be tried together. (*Matter of Reilly v Reid*, 45 NY2d 24; *Smith v Russell Sage Coll.*, 54 NY2d 185; *Boronow v Boronow*, 71 NY2d 284; *DeJesus v DeJesus*, 90 NY2d 643; *Pirodsky v Pirodsky*, 179 AD2d 1066; *Havell v Islam*, 301 AD2d 339, 100 NY2d 505; *Koerick v Lotito*, 262 AD2d 367, 94 NY2d 756; *Sayers v Albicocco*, 256 AD2d 323; *Matter of DES Mkt. Share Litig.*, 79 NY2d 299; *Andersen v Chrysler Corp.*, 99 F3d 846.)

Bleakley Platt & Schmidt, LLP, White Plains (Robert D. Meade of counsel), for respondent. I. Claim preclusion bars a later action where it is based upon the “virtually identical” allegations raised in an earlier action. (*Matter of Reilly v Reid*, 45 NY2d 24; *O’Brien v City of Syracuse*, 54 NY2d 353; *Smith v Russell Sage Coll.*, 54 NY2d 185; *Maflor Holding Corp. v S. J. Blume, Inc.*, 308 NY 570.) II. Inasmuch as the rules of joinder permitted appellant’s claims in action No. 2 to be joined with the divorce action, the instant action is barred under the “might have been litigated” rule. (*Maharam v Maharam*, 177 AD2d 262; *Partlow v Kolupa*, 69 NY2d 927; *O’Connell v Corcoran*, 1 NY3d 179; *Wilkins v American Export Isbrandtsen Lines*, 46 AD2d 244, 38 NY2d 758; *Varieur v Varieur*, 238 AD2d 931; *Schuylkill Fuel Corp. v Nieberg Realty Corp.*, 250 NY 304.) III. The broad holding was not necessary to decide the case; nevertheless, it is clearly supported by modern opinions of this Court. (*Boronow v Boronow*, 71 NY2d 284; *Rainbow v Swisher*, 72 NY2d 106.) IV. The decision promotes public policy considerations enunciated by this Court. (*Matter of Reilly v Reid*, 45 NY2d 24; *Boronow v Boronow*, 71 NY2d 284.) V. Appellant’s claim that the allegations were withdrawn “without prejudice” is patently false. (*Kleila v Kleila*, 50 NY2d 277; *Parker v Blauvelt Volunteer Fire Co.*, 93 NY2d 343; *O’Brien v O’Brien*, 66 NY2d 576; *Blickstein v Blickstein*, 99 AD2d 287.) VI. Appellant cannot “split” her cause of action, since she did not obtain a reservation of rights. (*Parker v Blauvelt Volunteer Fire Co.*, 93 NY2d 343; *Partlow v Kolupa*, 69 NY2d 927.) VII. A convenient trial unit is formed where an action is based upon the same facts alleged as grounds for

divorce. (*Boronow v Boronow*, 71 NY2d 284; *Pirodsky v Pirodsky*, 179 AD2d 1066; *Havell v Islam*, 301 AD2d 339; *Koerick v Lotito*, 262 AD2d 367; *O'Brien v O'Brien*, 66 NY2d 576; *Maharam v Maharam*, 177 AD2d 262.) VIII. Acquiescence cannot occur in the absence of pleadings. (*Louis R. Shapiro, Inc. v Milspemes Corp.*, 20 AD2d 857; *John J. Campagna, Inc. v Dune Alpin Farm Assoc.*, 81 AD2d 633; *Modica v Zergebel*, 140 AD2d 414.)

Law Offices of Annette G. Hasapidis, South Salem (*Annette G. Hasapidis*, *Alayne Katz* and *Andrea Phoenix* of counsel), for Women's Bar Association of the State of New York, amicus curiae. New York's res judicata doctrine and its strong public policy against domestic violence are vitiated by the lower court's decision. (*Boronow v Boronow*, 71 NY2d 284; *Kahn v Kahn*, 43 NY2d 203; *O'Brien v City of Syracuse*, 54 NY2d 353; *Matter of Reilly v Reid*, 45 NY2d 24; *Smith v Russell Sage Coll.*, 54 NY2d 185; *Parker v Blauvelt Volunteer Fire Co.*, 93 NY2d 343; *O'Brien v O'Brien*, 66 NY2d 576; *Brancoveanu v Brancoveanu*, 145 AD2d 395; *Havell v Islam*, 301 AD2d 339; *Blickstein v Blickstein*, 99 AD2d 287.)

Amanda B. Norejko, New York City, and *Laura A. Russell* for Sanctuary for Families' Center for Battered Women's Legal Services, amicus curiae. I. Matrimonial litigation will be complicated by the Appellate Division's decision. (*Havell v Islam*, 301 AD2d 339; *Blickstein v Blickstein*, 99 AD2d 287; *Brancoveanu v Brancoveanu*, 145 AD2d 395; *Clark v Kirby*, 243 NY 295; *Maharam v Maharam*, 177 AD2d 262.) III. The Appellate Division's decision will deny domestic violence victims access to justice. (*Matter of New York County DES Litig.*, 89 NY2d 506; *Di Marco v Hudson Val. Blood Servs.*, 147 AD2d 156; *Prego v City of New York*, 147 AD2d 165; *McCarthy v Volkswagen of Am.*, 55 NY2d 543; *Nussbaum v Steinberg*, 269 AD2d 192.) III. The Appellate Division's decision will open the door to discovery abuses. (*McMahan v McMahan*, 100 AD2d 826; *Blickstein v Blickstein*, 99 AD2d 287; *Holmes v Holmes*, 157 AD2d 896; *Lemke v Lemke*, 100 AD2d 735.) IV. The Appellate Division's decision in *Xiao Yang Chen v Fischer* (12 AD3d 43 [2004]) misapplies the principle of res judicata. (*Boronow v Boronow*, 71 NY2d 284.) V. Public policy favors protecting the victim.

Cynthia B. Rubin, New York City, *Sheila A. Agnew* and *Jennifer A. Covell* for Association of the Bar of the City of New York, amicus curiae. I. The decision below, unless reversed, will

cause significant and problematic changes in New York matrimonial law and practice. (*Dubovsky v Dubovsky*, 188 Misc 2d 127; *Hunter v Hunter*, 10 AD2d 291; *Rubin v Rubin*, 73 AD2d 148; *Corsel v Corsel*, 133 AD2d 604; *Ferguson v Ferguson*, 2 Misc 3d 277; *Stoner v Culligan, Inc.*, 32 AD2d 170; *Harris v Melander*, 61 AD2d 1058; *Pirodsky v Pirodsky*, 179 AD2d 1066.) II. *Xiao Yang Chen v Fischer* (12 AD3d 43 [2004]) is likely to have a harmful effect on domestic violence victims in New York State.

Elliot Scheinberg, New York City, for American Academy of Matrimonial Lawyers, New York Chapter, amicus curiae. I. The Second Department dealt a blow to spousal tort actions. (*Boronow v Boronow*, 71 NY2d 284; *People v De Jesus*, 21 AD2d 236.) II. It is settled law that domestic violence is a public policy issue. (*Morales v County of Nassau*, 94 NY2d 218; *Chianese v Meier*, 285 AD2d 315, 98 NY2d 270; *Matter of Reynolds v Fraser*, 5 Misc 3d 758; *People v Kheyfets*, 174 Misc 2d 516; *Coster v Coster*, 289 NY 438.) III. *Xiao Yang Chen v Fischer* (12 AD3d 43 [2004]) confuses marital fault with egregious conduct. (*Cohen v Cohen*, 160 App Div 240; *Mandel v Mandel*, 109 Misc 2d 1; *Havell v Islam*, 301 AD2d 339; *Blickstein v Blickstein*, 99 AD2d 287; *O'Brien v O'Brien*, 66 NY2d 576; *Kobylack v Kobylack*, 111 AD2d 221; *Brancoveanu v Brancoveanu*, 145 AD2d 395; *Wenzel v Wenzel*, 122 Misc 2d 1001; *McCann v McCann*, 156 Misc 2d 540; *Gordon v Gordon*, 205 AD2d 446, 84 NY2d 808.) IV. There is a distinction between tort relief and egregious conduct awards. (*McCann v McCann*, 156 Misc 2d 540; *Lolli-Ghetti v Lolli-Ghetti*, 165 AD2d 426, 78 NY2d 864; *Desnoyers v Desnoyers*, 142 AD2d 873.) V. The elimination of fault from Domestic Relations Law § 236 (B) has desensitized matrimonial law to the availability of tort relief under personal injury claims. (*Maharam v Maharam*, 177 AD2d 262; *Bloomfield v Bloomfield*, 281 AD2d 301; *Rubin v Rubin*, 275 AD2d 404.) VI. *Xiao Yang Chen v Fischer* (12 AD3d 43 [2004]) imposes confusing multi-standards in matrimonial litigation which must be refined. (*McCann v McCann*, 156 Misc 2d 540.) VII. *Xiao Yang Chen v Fischer* (12 AD3d 43 [2004]) indirectly requires a resolution of an interdepartmental rift: the availability of disclosure on the merits in divorce actions and its direct impact on the prosecution of a spousal tort claim. (*Ferguson v Ferguson*, 2 Misc 3d 277; *Van Ess v Van Ess*, 100 AD2d 848; *Ginsberg v Ginsberg*, 104 AD2d 482; *McMahan v McMahan*, 100 AD2d 826; *Corsel v Corsel*, 133 AD2d 604; *Blickstein v Blickstein*, 99 AD2d 287; *Holmes v Holmes*, 157 AD2d 896; *Schaefer v Connors*, 159 AD2d 780; *Nigro v Nigro*, 121 AD2d 833; *Weichert v Kimber*, 249 AD2d

996, 94 NY2d 859.) VIII. Although counsel fees are available in divorce actions, prosecution of tort actions set forth in the divorce actions may still be impractical for the victim of domestic violence because: (1) contingency fees are prohibited in divorce actions, and (2) a personal injury attorney will likely decline a contingency arrangement for the tort claim because it is not secured by a carrier. IX. Another critical question that requires resolution by this Court: Domestic Relations Law § 237 (d) unequivocally contemplates the retention of any category of expert to assist with the case. It cannot be interpreted to exclude personal injury counsel for tort claims set forth in a divorce action. (*Frankel v Frankel*, 2 NY3d 601; *O'Shea v O'Shea*, 93 NY2d 187; *DeCabrera v Cabrera-Rosete*, 70 NY2d 879.) X. Consideration to the sequence of trials is critical so as to prevent a victim of domestic violence from paying for her personal injury. (*Maharam v Maharam*, 123 AD2d 165, 177 AD2d 262.) XI. Ample precedent evidences that matrimonial actions receive unique decisional and statutory leniency. Res judicata should similarly not be applied in a draconian fashion and victims of domestic violence should be accorded greater procedural temperament. (*Boronow v Boronow*, 71 NY2d 284; *O'Connell v Corcoran*, 1 NY3d 179; *Antonovich v Antonovich*, 84 AD2d 799; *Otto v Otto*, 150 AD2d 57.) XII. The cases cited in *Xiao Yang Chen v Fischer* (12 AD3d 43 [2004]) in support of res judicata address property issues only and not any involving spousal safety; public policy considerations underlying spousal safety cannot possibly be compared to property issues. (*Boronow v Boronow*, 71 NY2d 284; *Partlow v Kolupa*, 69 NY2d 927; *Scattoreggio v Scattoreggio*, 115 AD2d 531; *Rakowski v Rakowski*, 109 AD2d 1.) XIII. *Xiao Yang Chen v Fischer* (12 AD3d 43 [2004]) sacrificed public policy concerns of domestic violence in favor of the “societal need” to streamline litigation.

OPINION OF THE COURT

CIPARICK, J.

Plaintiff Xiao Yang Chen and defendant Ian Ira Fischer were married on March 11, 2001. Shortly thereafter, Fischer commenced an action for divorce on the ground of cruel and inhuman treatment. Chen counterclaimed for divorce—also alleging cruel and inhuman treatment—and asserted an additional cause of action for fraudulent inducement. Specifically, as grounds for divorce, Chen alleged that on May 6, 2001, Fischer “grabbed [her] and violently slapped her across the face and ear causing

[her] to suffer bruising, pain and swelling” and that he threw her on the ground and attempted to suffocate her. As a result of that incident, each party filed a family offense petition against the other in Family Court and received a temporary order of protection. The parties agreed to consolidate these petitions with the matrimonial action. At the conclusion of the matrimonial trial, they further agreed to withdraw the petitions without prejudice on the record in open court.

On October 15, 2001, prior to trial of the matrimonial action, the parties entered into a stipulation on the issue of fault. “[I]n satisfaction of the stipulation,” the parties agreed to withdraw all their fault allegations—including those related to the May 6 incident—save one. After trial on the remaining issues—including equitable distribution and a fraudulent inducement cause of action—on May 8, 2002 a dual judgment of divorce was granted on the ground of cruel and inhuman treatment based on each party’s sole remaining fault allegation.

Chen allegedly commenced the instant personal injury action on January 18, 2002, while the matrimonial action was pending.¹ The complaint asserted two causes of action—one for intentional infliction of emotional distress and a second for assault and battery. As to the second cause of action, the complaint alleged that on May 6, 2001, Fischer slapped her in the face and ear, causing permanent injury, necessitating continuing medical treatment and rendering her unable to perform her usual and customary activities. Fischer answered, raising several affirmative defenses, including *res judicata* and various theories of estoppel.

Fischer moved to dismiss the complaint pursuant to CPLR 3211 (a) (5) and Chen cross-moved to dismiss several of Fischer’s affirmative defenses. Supreme Court granted Fischer’s motion and denied Chen’s cross motion. The court found that the allegations in Chen’s personal injury action were “virtually identical” to those in her counterclaim for divorce and arose out of the same transaction or series of transactions. Thus, the court determined that the tort action was barred by *res judicata*.

The Appellate Division affirmed, agreeing that the action was barred because the tort claim could have been litigated with the divorce action and Chen did not expressly reserve the right to

1. The original complaint is not part of the record. The only version of the complaint in the record is an incomplete second amended complaint dated May 10, 2002—subsequent to the judgment of divorce.

bring that claim when she withdrew her fault allegations for purposes of the stipulation. The Court extended the rule we set forth in *Boronow v Boronow* (71 NY2d 284, 290 [1988])—that issues relating to marital property be decided with the matrimonial action—to interspousal tort actions. Specifically, the Court found that “[s]ocietal needs, logic, and the desirability of bringing spousal litigation to finality now compel us to . . . hold that an interspousal tort action seeking to recover damages for personal injuries commenced subsequent to, and separate from, an action for divorce is . . . barred by claim preclusion” (12 AD3d 43, 47 [2004]).² We granted Chen leave to appeal and now reverse.

Typically, principles of res judicata require that “once a claim is brought to a final conclusion, all other claims arising out of the same transaction or series of transactions are barred, even if based upon different theories or if seeking a different remedy” (*O’Brien v City of Syracuse*, 54 NY2d 353, 357 [1981]). In the context of a matrimonial action, this Court has recognized that a final judgment of divorce settles the parties’ rights pertaining not only to those issues that were actually litigated, but also to those that could have been litigated (*Rainbow v Swisher*, 72 NY2d 106, 110 [1988]; see also *O’Connell v Corcoran*, 1 NY3d 179, 184-185 [2003]). The primary purposes of res judicata are grounded in public policy concerns and are intended to ensure finality, prevent vexatious litigation and promote judicial economy (see *Matter of Hodes v Axelrod*, 70 NY2d 364, 372 [1987]; *Matter of Reilly v Reid*, 45 NY2d 24, 28 [1978]). However, unfairness may result if the doctrine is applied too harshly; thus “[i]n properly seeking to deny a litigant two ‘days in court’, courts must be careful not to deprive [the litigant] of one” (*Reilly*, 45 NY2d at 28).

It is not always clear whether particular claims are part of the same transaction for res judicata purposes. A “pragmatic” test has been applied to make this determination—analyzing “whether the facts are related in time, space, origin, or motivation, whether they form a convenient trial unit, and whether their treatment as a unit conforms to the parties’ expectations

2. The Appellate Division, citing *Weicker v Weicker* (22 NY2d 8, 11 [1968]), held that “New York does not recognize a cause of action to recover damages for intentional infliction of emotional distress between spouses such as the one asserted by Chen in her first cause of action against Fischer” (12 AD3d 43, 45 [2004]). We agree and limit our discussion to Chen’s cause of action to recover damages for assault and battery.

or business understanding or usage” (Restatement [Second] of Judgments § 24 [2]; see *Smith v Russell Sage Coll.*, 54 NY2d 185, 192-193 [1981]; *Reilly*, 45 NY2d at 29).³

Applying these principles, it is apparent that personal injury tort actions and divorce actions do not constitute a convenient trial unit. The purposes behind the two are quite different. They seek different types of relief and require different types of proof. Moreover, a personal injury action is usually tried by a jury, in contrast to a matrimonial action, which is typically decided by a judge when the issue of fault is not contested. Further, personal injury attorneys are compensated by contingency fee, whereas matrimonial attorneys are prohibited from entering into fee arrangements that are contingent upon the granting of a divorce or a particular property settlement or distributive award (see Code of Professional Responsibility DR 2-106 [c] [2] [i] [22 NYCRR 1200.11 (c) (2) (i)]).

This case is distinguishable from the situation presented by *Boronow*. There, we noted that title issues are “intertwined” with the dissolution of the marriage relationship and could usually “be fairly and efficiently resolved” along with the matrimonial action (see *Boronow*, 71 NY2d at 290). Typically, however, a personal injury action is not sufficiently intertwined with the dissolution of the marriage relationship as to allow for its efficient resolution. Thus, the interspousal tort action does not form a convenient trial unit with the divorce proceeding, and it would not be within the parties’ reasonable expectations that the two would be tried together.

Significant policy considerations also support this conclusion. To require joinder of interspousal personal injury claims with the matrimonial action would complicate and prolong the divorce proceeding. This would be contrary to the goal of expediting these proceedings and minimizing the emotional damage to the parties and their families. Delaying resolution of vital matters such as child support and custody or the distribution of assets to await the outcome of a personal injury action could result in extreme hardship and injustice to the families involved, especially for victims of domestic violence. In addition, parties should be encouraged to stipulate to, rather than litigate, the issue of fault (see *Blickstein v Blickstein*, 99 AD2d 287, 293-

3. *Smith* and *Reilly* cited section 61 from Tentative Draft No. 1 of the Restatement (Second) of Judgments, which has since been adopted at section 24 of the current Restatement.

294 [2d Dept 1984]; *see also O'Brien v O'Brien*, 66 NY2d 576, 589, 590 [1985] [noting that fault should only be considered “in egregious cases” for purposes of equitable distribution, in part, “because fault will usually be difficult to assign and because introduction of the issue may involve the courts in time-consuming procedural maneuvers relating to collateral issues”)].

Unlike the Appellate Division, we decline to adopt the reasoning of the New Jersey Supreme Court in *Tevis v Tevis* (79 NJ 422, 400 A2d 1189 [1979]). In *Tevis*, the court held that under that State’s “single controversy” rule, the interspousal personal injury claim should have been brought with the matrimonial action so that the issues between the parties could be decided in one proceeding in order to prevent protracted litigation (*see Tevis*, 79 NJ at 434, 400 A2d at 1196). However, that view is decidedly the minority view and the New Jersey Supreme Court has recently acknowledged the potential drawbacks to litigating an interspousal tort claim prior to the divorce proceeding—noting that it “may have a negative psychological impact on parties by prolonging the uncertainty of their marital status” (*Brennan v Orban*, 145 NJ 282, 303, 678 A2d 667, 678 [1996]). Indeed, other states to address the issue have reached the conclusion we reach today, emphasizing the fundamental differences between the two types of actions and noting the complications that could result from the rigid application of res judicata principles (*see Delahunty v Massachusetts Mut. Life Ins. Co.*, 236 Conn 582, 590-594, 674 A2d 1290, 1295-1296 [1996]; *Henriksen v Cameron*, 622 A2d 1135, 1141-1142 [Me 1993]; *Heacock v Heacock*, 402 Mass 21, 23-24, 520 NE2d 151, 153 [1988]).

Here, although the personal injury claim could have been litigated with the matrimonial action—as the facts arose from the same transaction or series of events—it was not, as all of Chen’s fault allegations, save one, were withdrawn by stipulation for the salutary purpose of expediting the matrimonial action. She is therefore not precluded from litigating that claim in a separate action.

Parties are free, of course, to join their interspousal tort claims with the matrimonial action (*see* CPLR 601 [a]) and the trial court retains discretion to sever the claims in the interest of convenience, if necessary (*see* CPLR 603). If a separate interspousal tort action is contemplated, however, or has been commenced, the better practice would be to include a reservation of rights in the judgment of divorce. Finally, if fault allegations are actually litigated in a matrimonial action, res judicata or some

form of issue preclusion would bar a subsequent action in tort based on the same allegations.

Accordingly, the order of the Appellate Division should be reversed, with costs, and the case remitted to Supreme Court for further proceedings in accordance with this opinion.

Chief Judge KAYE and Judges G.B. SMITH, ROSENBLATT, GRAFFEO, READ and R.S. SMITH concur.

Order reversed, etc.

[843 NE2d 739, 810 NYS2d 112]

In the Matter of GEORGE RIZZO, Appellant, v NEW YORK STATE
DIVISION OF HOUSING AND COMMUNITY RENEWAL, Respon-
dent.

Argued November 15, 2005; decided December 20, 2005

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered February 8, 2005. The Appellate Division, with two Justices dissenting, (1) reversed, on the law, a judgment of the Supreme Court, New York County (Marilyn Shafer, J.), which, in a proceeding pursuant to CPLR article 78, had directed that new evidence be presented to respondent New York State Division of Housing and Community Renewal (DHCR) and remitted the matter to DHCR to reprocess the owner's application for a certificate of eviction, and (2) dismissed the petition.

Matter of Rizzo v New York State Div. of Hous. & Community Renewal, 16 AD3d 72, affirmed.

HEADNOTE

Landlord and Tenant — Rent Regulation — Certificate of Eviction — Judicial Review — Additional Evidence

Following the issuance of a final determination of the New York State Division of Housing and Community Renewal (DHCR) upon an application for a certificate of eviction pursuant to New York City Administrative Code § 26-408 (b) (3) or New York City Rent and Eviction Regulations (9 NYCRR) § 2204.7, a reviewing court may not remit the matter to the agency for de novo review of events that arose after its determination. In reviewing orders of the DHCR, courts are limited to the factual record before the agency when its determination was rendered. The “additional evidence” that may be admitted under Administrative Code § 26-411 (a) (2) is limited to facts that arose before the agency made its determination. Accordingly, where DHCR granted the landlord's application for a certificate of eviction because, in the test year 1996, there was no reasonable possibility that the landlord could make an 8.5% net annual return, Supreme Court exceeded the permissible scope of its review by ordering that evidence of another tenant's death in 2002 be presented to the DHCR on the issue of net annual return. When, as here, DHCR determines that a landlord's application for a certificate of eviction should be granted because, at the time of the application, there was no reasonable possibility that the landlord could make an 8.5% net annual return, a reviewing court may admit additional evidence only if the evidence is relevant to that time-specific determination. The death of the other tenant in 2002 was irrelevant to the DHCR's determination.

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By the Publisher's Editorial Staff

AM JUR 2d, Ejectment §§ 25, 45.

DOLAN, RASCH'S NEW YORK LANDLORD AND TENANT INCLUDING SUMMARY PROCEEDINGS (4th ed) § 28:72.
9 NYCRR 2204.7.
NY JUR 2d, Landlord and Tenant §§ 562, 594.
NEW YORK REAL PROPERTY SERVICE § 75:31.

ANNOTATION REFERENCE

See ALR Index under Ejectment, Eviction, and Ouster.

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POINTS OF COUNSEL

Linda Rzesniowiecki, New York City, for appellant. I. The legislative intent behind the Sound Housing Act and the rent regulation laws mandates the consideration of the new evidence by the Division of Housing and Community Renewal. (*Kalikow 78/79 Co. v State of New York*, 174 AD2d 7; *Matter of Legra v Division of Hous. & Community Renewal of State of N.Y.*, 194 AD2d 677; *Braschi v Stahl Assoc. Co.*, 74 NY2d 201; *Matter of McMurray v New York State Div. of Hous. & Community Renewal*, 135 AD2d 235, 72 NY2d 1022; *Post v 120 E. End Ave. Corp.*, 62 NY2d 19; *Nestor v McDowell*, 81 NY2d 410; *Killington Invs. v Leino*, 148 AD2d 334; *First Natl. Stores v Yellowstone Shopping Ctr.*, 21 NY2d 630.) II. New York City Rent and Rehabilitation Law (Administrative Code of City of NY) § 26-411 (a) (2) provides ample support for the Supreme Court's decision to remit the case to the Division of Housing and Community Renewal for consideration of new evidence. (*Matter of McMurray v New York State Div. of Hous. & Community Renewal*, 135 AD2d 235, 72 NY2d 1022.) III. The Supreme Court did not err when it remitted the proceeding after George Rizzo's attorney advised the court about the new evidence. (*Rebmann v Wicks*, 259 AD2d 972; *Nestor v McDowell*, 81 NY2d 410.) IV. The Division of Housing and Community Renewal (DHCR) has the discretion to revoke or cancel an order granting a certificate of eviction at any time prior to the execution of the warrant if the landlord's circumstances have changed. Under the changed circumstances of this case, DHCR should have accepted the remit order to consider whether the certificate should be revoked or canceled. It was an abuse of DHCR's discretion not to accept the remit or take back the case on its own initiative. (*Nestor v McDowell*, 81 NY2d 410; *Matter of Dworman v New York State Div. of Hous.*

& Community Renewal, 94 NY2d 359; *Matter of James v New York City Hous. Auth.*, 186 AD2d 498; *Matter of Dukuly v Aponte*, 204 AD2d 189; *Davern Realty Corp. v Vaughn*, 161 Misc 2d 550.) V. The Division of Housing and Community Renewal has improperly terminated George Rizzo's right to use the apartment as an artist's studio. (*Matter of Malacarne v City of Yonkers Parking Auth.*, 41 NY2d 189; *Matter of North Shore Steak House v Board of Appeals of Inc. Vil. of Thomaston*, 30 NY2d 238; *Matter of Lower Manhattan Loft Tenants v New York City Loft Bd.*, 66 NY2d 298; *Matter of Meyer & Steffens v Popolizzio*, 124 Misc 2d 159; *Matter of Fuller v Urstadt*, 28 NY2d 315; *Reiss v Financial Performance Corp.*, 97 NY2d 195; *Matter of Duell v Condon*, 84 NY2d 773.) VI. The owner's bad faith is demonstrated by her financial inability to undertake the alteration project. (*Mayfair-York Corp. v McGoldrick*, 286 App Div 154; *Matter of Village Tenth Co. v Walsh*, 40 AD2d 969; *Matter of Goldsmith v Gabel*, 43 Misc 2d 286; *Matter of Mahoney v Altman*, 63 Misc 2d 1062; *Matter of Malacarne v City of Yonkers Parking Auth.*, 41 NY2d 189; *Matter of North Shore Steak House v Board of Appeals of Inc. Vil. of Thomaston*, 30 NY2d 238.) VII. It was arbitrary and capricious for the Division of Housing and Community Renewal to make a determination that the owner was acting in good faith without holding a hearing. (*Powers v Babic*, 177 AD2d 432; *Matter of McMurray v New York State Div. of Hous. & Community Renewal*, 72 NY2d 1022.) VIII. It was arbitrary and capricious for the Division of Housing and Community Renewal to determine that the owner's application was made in good faith, since it was not made for the *immediate purpose* of altering the premises.

Gary Turk, New York City, and David B. Cabrera for respondent. I. Legislative intent, public policy and controlling case precedent support the Appellate Division decision. (*Matter of Kiki Realty Corp. v Weaver*, 12 Misc 2d 716; *Matter of Ziman v New York State Div. of Hous. & Community Renewal*, 153 AD2d 489, 76 NY2d 727, 889; *Matter of McMurray v New York State Div. of Hous. & Community Renewal*, 135 AD2d 235; *People v Newman*, 32 NY2d 379.) II. Review after issuance of the Division of Housing and Community Renewal's final order is limited to those facts of record at the time of the Rent Administrator's order. (*Matter of Guddemi v State of N.Y., Div. of Hous. & Community Renewal*, 138 AD2d 376; *Fresh Meadows Assoc. v Conciliation & Appeals Bd.*, 88 Misc 2d 1003, 55 AD2d 559, 42 NY2d 925; *Matter of Plaza Mgt. Co. v City Rent Agency*, 37 NY2d 837; *Matter of Klaus v Joy*, 85 AD2d 603; *Matter of Fanelli v*

New York City Conciliation & Appeals Bd., 90 AD2d 756, 58 NY2d 952; *Matter of Yonkers Gardens Co. v State of N.Y. Div. of Hous. & Community Renewal*, 51 NY2d 966; *Matter of McMurray v New York State Div. of Hous. & Community Renewal*, 135 AD2d 235; *Matter of Ziman v New York State Div. of Hous. & Community Renewal*, 153 AD2d 489; *Solnick v Whalen*, 49 NY2d 224; *Stone v Goldberg*, 215 AD2d 180.) III. The Rent Administrator's and Housing and Community Renewal Commissioner's reliance on and adoption of the Administrative Law Judge's findings of fact and conclusions of law were neither arbitrary nor capricious—rather they were wholly proper and appropriate. (*Pringle v Herman*, 465 F Supp 643; *Matter of Hennekens v State Tax Commn. of State of N.Y.*, 114 AD2d 599; *Matter of Haz-O-Waste Corp. v Williams*, 103 AD2d 1001; *Matter of Celestial Food Corp. of Coram v New York State Liq. Auth.*, 99 AD2d 25; *Matter of Berenhaus v Ward*, 70 NY2d 436; *Matter of Belnord Holding Corp. v Joy*, 73 AD2d 549; *State Off. of Drug Abuse Servs. v State Human Rights Appeal Bd.*, 48 NY2d 276.) IV. The Division of Housing and Community Renewal's order is supported by a rational basis and is entitled to affirmance. (*Matter of Oriental Blvd. Co. v New York City Conciliation & Appeals Bd.*, 92 AD2d 470, 60 NY2d 633; *Fresh Meadows Assoc. v Conciliation & Appeals Bd.*, 88 Misc 2d 1003, 55 AD2d 559, 42 NY2d 925; *Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222; *Matter of Cale Dev. Co. v Conciliation & Appeals Bd.*, 94 AD2d 229, 61 NY2d 976; *Matter of Herzog v Joy*, 74 AD2d 372, 53 NY2d 821; *Minton v Domb*, 63 AD2d 36; *Matter of Salvati v Eimicke*, 72 NY2d 784; *Matter of Mounting & Finishing Co. v McGoldrick*, 294 NY 104; *Matter of Plaza Mgt. Co. v City Rent Agency*, 37 NY2d 837.)

OPINION OF THE COURT

ROSENBLATT, J.

In this CPLR article 78 proceeding, we hold that after the New York State Division of Housing and Community Renewal (DHCR) has issued a final determination, concerning an application for a certificate of eviction pursuant to New York City Administrative Code § 26-408 (b) (3) or New York City Rent and Eviction Regulations (9 NYCRR) § 2204.7, a reviewing court may not remit the matter to the agency for de novo review of events that arose after its determination.

I.

Rachel Crespin owns 323 East 53rd Street, a four-story apartment building in Manhattan. Petitioner George Rizzo resides in a rent-controlled unit comprising the third floor of the building. He lives alone in an apartment of some 1,200 square feet which, as of the original certificate of occupancy, contained six rooms. Crespin resides in a unit comprising the second story; she and her husband had been the building's first rent-controlled tenants. The fourth-floor apartment was rent-controlled until its occupant, Elaine Bloedow, died in early January 2002, an event of significance in this litigation. The remaining unit is unregulated.

Crespin bought the building in 1981. In 1996, she filed applications for certificates of partial eviction of Rizzo and Bloedow, explaining that she had been losing money on the property for years. In her application, she relied on New York City Rent and Eviction Regulations (9 NYCRR) § 2204.7, which prescribes when the Rent Administrator may authorize subdivision of an under-occupied, rent-controlled apartment and order partial eviction of its tenant. Crespin sought to evict Rizzo and Bloedow from the front portions of their units, leaving them with considerably smaller apartments, in order to create a new duplex unit from the vacated front rooms.

The New York City Rent and Rehabilitation Law and its implementing regulations require the City's rent agency to issue an order granting a certificate of eviction or partial eviction when "[t]he landlord seeks in good faith to recover possession of a housing accommodation for the immediate purpose of substantially altering or remodeling it" (Administrative Code of City of NY § 26-408 [b] [3]; NY City Rent and Eviction Regulations [9 NYCRR] § 2204.7). Such a certificate, however, may be granted only if two conditions are met: the agency must determine, first, that the housing accommodation in question is under-occupied and contains six or more rooms, excluding bathrooms and kitchen (NY City Rent and Eviction Regulations [9 NYCRR] § 2204.7 [a]), and, second, that, without recourse to eviction, "there is no reasonable possibility that the landlord can make a net annual return of eight and one-half per centum of the assessed value of the subject property" (Administrative Code of City of NY § 26-408 [b] [5] [a]; *see also* NY City Rent and Eviction Regulations [9 NYCRR] § 2204.4 [g] [1]).

Following an audit of Crespin's income and expenses for the "test year" 1996, an inspection of Rizzo's apartment, a fact-

finding hearing in 1999 and a detailed, May 26, 2000 report by an Administrative Law Judge, DHCR granted Crespín's application, on September 18, 2000, and ordered Rizzo and Bloedow to surrender the front halves of their apartments. The agency also ordered Crespín to reduce Rizzo's rent from \$673.64 to a maximum of \$301.55. With regard to the relevant year, 1996, DHCR's District Rent Administrator noted that the Administrative Law Judge had found no reasonable possibility that Crespín could make a net annual return of 8.5% of the assessed valuation of the property, without recourse to eviction.¹ The Rent Administrator further found that there was no probative evidence of bad faith on Crespín's part; that Rizzo's apartment originally contained six rooms and that a wall had been taken down in the interim; and that it was under-occupied within the meaning of New York City Rent and Eviction Regulations (9 NYCRR) § 2204.7 (a).

Rizzo and Bloedow filed petitions for administrative review. On January 2, 2002, the DHCR Deputy Commissioner denied them. Then, apparently the very next day, Bloedow died, and her apartment became deregulated.

In March 2002, Rizzo commenced this article 78 proceeding, seeking reversal and remittal to DHCR.² Supreme Court noted that Bloedow's death had resulted in decontrol of her apartment and held that "[t]he impact of the recent deregulation of Ms. Bloedow's apartment must be considered by the DHCR in determining the owner's ability to meet the 8¹/₂% return requirements of the Sound Housing Act." It vacated DHCR's determination, ordered that the evidence of Bloedow's death and its impact be presented to the agency and remitted the application for reprocessing.³

1. The ALJ noted that an 8.5% return on the assessed 1996 valuation of the building (\$140,000) would be \$11,900, but that the net return from the building in 1996 was only \$8,419.90. The difference between net return and an 8.5% return was therefore \$3,480.10 that year.

2. In his submissions, Rizzo informed the court of Bloedow's death but did not expressly give that as a reason for reversal and remittal or apply for leave to introduce evidence of the effect of Bloedow's death on Crespín's financial return from the building.

3. The trial court noted that the other unregulated unit in the building generated \$34,020 in income in 1996. The court implicitly reasoned that the vacated apartment would generate similar income, which would exceed the difference between the building's net return and an 8.5% return (\$3,480.10 in 1996), and that Crespín would no longer fail to make a net annual return of 8.5% of the assessed value of her property.

DHCR appealed and, by a divided court, the Appellate Division reversed, concluding that the trial court's consideration of evidence not contained in the administrative record exceeded the scope of permissible judicial review. Rizzo appeals as of right (CPLR 5601 [a]), and we now affirm.

II.

In reviewing orders of the DHCR, courts are limited to the factual record before the agency when its determination was rendered. As a rule, the court may not consider evidence concerning events that took place after the agency made its determination. This follows from a fundamental principle of article 78 review, that "[j]udicial review of administrative determinations is confined to the facts and record adduced before the agency" (*Matter of Yarbough v Franco*, 95 NY2d 342, 347 [2000] [internal quotation marks and citation omitted]). That, of course, is merely another way of saying that an appellate court is bound by the record. In short, "[j]udicial review of an administrative determination is limited to the grounds invoked by the agency" (*Matter of Aronsky v Board of Educ., Community School Dist. No. 22 of City of N.Y.*, 75 NY2d 997, 1000 [1990]; see generally *Matter of Montauk Improvement v Proccacino*, 41 NY2d 913 [1977]).

Rizzo relies on New York City Administrative Code § 26-411 (a) (2), which carves out a narrow exception to the general rule:

"If application is made to the court by either party for leave to introduce additional evidence which was either offered and not admitted or which could not reasonably have been offered or included in such proceedings before the city rent agency, and the court determines that such evidence should be admitted, the court shall order the evidence to be presented to the city rent agency."

This language, however, should not be interpreted as permitting a court to engage in, or order, a de novo review based on events that took place after the agency made its determination. As the Appellate Division noted, "the admission of subsequent events which occurred after the final agency order would defeat finality and could subject an otherwise final order to endless recurring review" (16 AD3d 72, 78 [2005]). We agree with DHCR that it could not have been the intent of the Legislature to subject the agency's rulings to the prospect of such endless review, based on submissions by tenants or by landlords as to postdetermination events.

We therefore hold that in judicial review of a rent agency decision made pursuant to New York City Administrative Code § 26-408 (b) (3) or New York City Rent and Eviction Regulations (9 NYCRR) § 2204.7, the “additional evidence” that may be admitted under section 26-411 (a) (2) is limited to facts that arose before the agency made its determination. When, as here, DHCR determines that a landlord’s application for a certificate of eviction should be granted because, at the time of the application, there was no reasonable possibility that the landlord could make an 8.5% net annual return, a reviewing court may admit additional evidence only if the evidence is relevant to that time-specific determination.

DHCR’s inquiry was whether Crespino could make an 8.5% net annual return in the test year 1996. Bloedow’s death in 2002 was irrelevant to the DHCR’s determination and should not have been considered by Supreme Court. By ordering that the evidence of Bloedow’s death be presented to the DHCR, the court exceeded the permissible scope of its review.

III.

Petitioner and our dissenting colleague cite *Matter of McMurray v New York State Div. of Hous. & Community Renewal* (72 NY2d 1022 [1988]) in support of the claim that Supreme Court correctly remitted the matter to the agency for de novo review. *McMurray* is not on point. It concerned a different provision of the Rent and Rehabilitation Law (Administrative Code of City of NY § 26-408 [b] [1]), the legislative history of which distinguishes it from New York City Administrative Code § 26-408 (b) (5) (a), the provision that is crucial here.

New York City Administrative Code § 26-408 (b) (1), the subject of *McMurray*, makes tenancy for less than 20 years a condition precedent of evicting the tenant of a rent-controlled apartment that the landlord requires for personal use and occupancy. This Court held that “a tenant in possession who accumulates the requisite 20 years of occupancy before the validity of a certificate of eviction is finally determined by the courts is protected from eviction,” even when the tenant reaches the 20-year milestone after the certificate of eviction is issued (72 NY2d 1022, 1024).

The provision in *McMurray* was construed in the tenant’s favor because the legislative history of that provision, a 1984 amendment, shows a clear intent to protect elderly, long-term and disabled tenants from eviction merely for the sake of an

owner's personal use and occupancy, irrespective of the timing of the landlord's application for a certificate of eviction. For example, the 1984 amendment was expressly made applicable "to any tenant in possession at or after the time it [took] effect," regardless of whether the landlord's application occurred before the act took effect (L 1984, ch 234, § 4 [emphasis added]). We held in *McMurray* that the Legislature intended the section 26-408 (b) (1) protection to apply whenever a tenant in possession reaches the 20-year milestone. We are unpersuaded, however, that by enacting New York City Administrative Code § 26-408 (b) (5) (a), the Legislature intended to give a tenant—or, in another case, a landlord—the right to have ongoing de novo review of whether the landlord can make an 8.5% net annual return for as long as the tenant is in possession.

IV.

We further agree with the Appellate Division that DHCR's determination was supported by substantial evidence and was not arbitrary or capricious.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

CIPARICK, J. (dissenting). Because the Sound Housing Act of 1974 and city rent control laws bestow the New York State Division of Housing and Community Renewal (DHCR), as well as the courts, with discretion to effectuate its goal of avoiding unwarranted evictions and preserving affordable housing, I respectfully dissent.

This case involves the interplay of the Sound Housing Act and the introduction of new evidence under New York City Administrative Code § 26-411 (a) (2). "It is fundamental that a court, in interpreting a statute, should attempt to effectuate the intent of the Legislature" (*Patrolmen's Benevolent Assn. of City of N.Y. v City of New York*, 41 NY2d 205, 208 [1976]). The starting point is always to look to the language itself and "[w]here the language of a statute is clear and unambiguous, courts must give effect to its plain meaning" (*Matter of Tall Trees Constr. Corp. v Zoning Bd. of Appeals of Town of Huntington*, 97 NY2d 86, 91 [2001]).

Looking at the plain language of the statutes, I conclude that Supreme Court did not exceed the permissible scope of its review (majority op at 111) but acted reasonably in interpreting these statutes to authorize it to remit the matter to DHCR when, as

here, new evidence arose which tangibly called into question the justification for evicting petitioner from over half of his apartment. The Sound Housing Act as codified in New York City Administrative Code § 26-408 (b) (5) is unambiguous in its requirement that in order to evict a rent controlled tenant for alteration or demolition purposes the agency must find that “there is *no reasonable possibility* that the landlord can make a net annual return of eight and one-half per centum of the assessed value of the subject property” (§ 26-408 [b] [5] [a] [emphasis added]). It is further provided that where a party attempts to introduce new evidence which the court finds admissible, the new evidence must then be remitted to DHCR (Administrative Code of City of NY § 26-411 [a] [2]).¹

Clearly, the new evidence of the death of the only other rent controlled tenant, Elaine Bloedow, was unavailable earlier, as she died on or about the day the DHCR Deputy Commissioner issued his final order in January 2002, but before the execution of a certificate of eviction. Equally as obvious is that Bloedow’s death materially changed the potential income of the building as the apartment became immediately deregulated. Thus, Supreme Court’s remittal to the DHCR for consideration of what implications the deregulation of Bloedow’s apartment has on the building’s financial return fits squarely under the statute. It was an abuse of discretion on the part of DHCR not to accept the remittal from Supreme Court.

Regardless, the majority wishes to narrow the breadth of the statute by limiting for consideration evidence of only events that occurred prior to DHCR’s final order (majority op at 111). However, nothing in the language of the statute or its legislative history limits the introduction of evidence based on when it arose. Instead, it explicitly contemplates the late introduction of evidence—after the agency has acted—by requiring the court, during its review, to refer any new relevant evidence to the agency. Thus, under the plain language of the statute, Supreme

1. New York City Administrative Code § 26-411 (a) (2) provides in part that when

“application is made to the court by either party for leave to introduce additional evidence which was either offered and not admitted or which could not reasonably have been offered or included in such proceedings before the city rent agency, and the court determines that such evidence should be admitted, the court shall order the evidence to be presented to the city rent agency.”

Court acted properly and within its discretion by ordering the new evidence to be presented to DHCR.

Assuming *arguendo* that the plain language was not so clear, the remedial nature of the statute and the legislative history of the Sound Housing Act require DHCR to consider this change in circumstances. When faced with the application of a remedial statute, we must give it liberal construction to carry out the reform intended and to spread its beneficial results as widely as possible (*see Post v 120 E. End Ave. Corp.*, 62 NY2d 19, 24 [1984]). “[S]ince rent-control laws are remedial in nature and designed to promote the public good, their provisions should be interpreted broadly to effectuate their purposes” (*Braschi v Stahl Assoc. Co.*, 74 NY2d 201, 208 [1989] [citations omitted]).

“It is fundamental that in construing the words of a statute [t]he legislative intent is the great and controlling principle” (*Braschi*, 74 NY2d at 207 [internal quotation marks omitted]). The purpose of the Sound Housing Act as proffered by its sponsors is to “prohibit[] the eviction of tenants from rent controlled housing for demolition or alteration unless there is no reasonable possibility of the landlord making a fair return without eviction for the purposes of demolition or alteration” (Sponsor’s Mem, at 1, Bill Jacket, L 1974, ch 1022). In explaining the need for the Sound Housing Act, the sponsors made reference to the fact that “[h]ousing of the type being lost can no longer be built in this city” and “[e]ven subsidized housing comes in at rentals far beyond the means of working people of moderate means” (*id.*). The memorandum further noted that “[t]he housing being destroyed also houses many of the City’s elderly people whose only income is a social security check” (*id.* at 2). The Mayor of the City of New York in support of this bill stated that:

“Indiscriminate demolition has had a debilitating affect on entire neighborhoods in the City. Long term residents are displaced and the stability of communities [is] threatened. The underlying assumption in this bill is that tenants shall not be evicted if the building is physically sound or economically viable” (Letter from City of NY Office of Mayor, May 3, 1974, Bill Jacket, L 1974, ch 1022).

The legislative history and the underlying rationale behind New York City’s rent regulatory framework are forthright in their intent to prevent unwarranted evictions and to preserve

affordable housing, yet the majority's decision subjects the tenant to eviction from most of his apartment despite the appearance that the building is now economically sound. In fact, petitioner's situation is illustrative of exactly what the rent regulatory laws aim to protect. Rizzo is 84 years old and has lived in the apartment for 45 years. The record reflects that he uses the apartment both to live and to work as an artist, and there is no indication that he is anything but a good tenant. To partially evict Rizzo, leaves him with under 500 square feet of space for living and working and deprives him of more than half the apartment.²

Now while I concede that it is likely that New York City Administrative Code § 26-408 (b) (3) and (5) using the 1996 test year would permit the alteration of the apartment by the landlord for an increase in her net annual return, it is undisputed that the situation here has changed dramatically since Bloedow's death.³

Bloedow lived on the fourth floor. Upon her death, the apartment she had occupied was deregulated and the landlord became free to charge the substantially higher market rent.⁴ If this scenario increases the landlord's return beyond 8½%, which it likely will, there would be no need or legal basis to resort to the drastic measure of evicting Rizzo. There is nothing in the statute or our precedent that mandates eviction of a rent controlled tenant based on an obsolete snapshot computation of the building's finances. Instead, the statute calls for eviction only when there is "no reasonable possibility" that the landlord could obtain the 8½% return. Under the circumstances, the

2. The certificate of eviction grants the landlord the right to evict Rizzo from 60% of the apartment.

3. Rizzo and Bloedow occupied two out of the four units and were the only rent controlled tenants in the building. The landlord initially sought to evict both of them from part of their apartments to create an unregulated duplex apartment.

4. The building is composed of four apartments, each occupying one floor. According to the DHCR Rent Administrator, in 1996 the unregulated ground floor apartment rented for \$2,835 per month; the second floor apartment which is occupied by the owner was given a rental value of \$1,850 per month; Rizzo's third floor apartment is subject to rent control and the income generated from that apartment was \$626 per month; the fourth floor apartment was subject to rent control that year and brought in income of \$613.87 per month. This left the landlord with a profit margin slightly over 6%. The landlord would have had to take in an additional \$290 a month to exceed the statutory 8½%. Now that the fourth floor apartment is deregulated, Rizzo argues that the profit margin should well exceed 8½% of the assessed value.

proper action is to do exactly what Supreme Court did—remit the matter to DHCR to consider this new evidence pursuant to New York City Administrative Code § 26-411 (a) (2) and reconsider the landlord’s application for a certificate of eviction.

“Statutes are ordinarily interpreted so as to avoid objectionable consequences and to prevent hardship or injustice” (*Braschi*, 74 NY2d at 208). Thus the Sound Housing Act should be liberally construed to prevent unsubstantiated evictions. To effectuate this goal, DHCR has the power to revisit the issue of economic viability when the circumstances drastically change under New York City Administrative Code § 26-411 (a) (2). Despite the clear legislative goals and the inherent power of both DHCR and the courts to revisit the issue of whether the eviction is justified economically, the majority chooses to disregard the equitable and remedial nature of the statute and read into the statute a bright-line rule setting an arbitrary time frame when new evidence may be considered post final agency determination.

What the majority misconstrues is that remedial laws do not always fit squarely into a bright-line rule. By the majority’s own account, had the rent controlled tenant died one day prior to the issuance of the DHCR order, rather than on or about the day of its issuance, remittal would then be appropriate and the agency would have been compelled to consider the new evidence. This arbitrary cutoff date does nothing to enforce the rent control laws but instead undermines them by allowing another rent controlled unit to be removed from the market. Instead, due to the drastic nature of an eviction, albeit a partial eviction, the interests of the public would be better served if the court and the agency maintained and exercised its power to revisit the need for the eviction at all times prior to the actual execution of the warrant.

Indeed, our prior holdings also dictate a different result than that reached by the majority. In *Matter of McMurray v New York State Div. of Hous. & Community Renewal* (72 NY2d 1022 [1988]), DHCR issued a certificate of eviction against a rent control tenant after the landlord sought possession for its own use under New York City Administrative Code § 26-408 (b) (1). After the administrative proceedings and issuance of the certificate of eviction the tenant sought judicial review. During this time, the tenant became subject to the “20 year rule” which prohibits a rent controlled tenant’s eviction by the landlord for its own personal use where the tenant has resided in the apart-

ment for 20 years or more (*see* Administrative Code of City of NY § 26-408 [b] [1]). The Court held that “a tenant in possession who accumulates the requisite 20 years of occupancy before the validity of a certificate of eviction is finally determined by the courts is protected from eviction” (*McMurray*, 72 NY2d at 1024).

Despite the finality of DHCR’s issuance of a certificate of eviction, the *McMurray* court found that the significant change of circumstances should be considered. Likewise, the circumstances in this instance have changed drastically since DHCR’s final order. If these changes were considered, the outcome of the application before DHCR would likely be affected as the landlord has already accomplished her goal of increasing the potential return having recouped the other rent controlled apartment. Thus, to subject petitioner to an eviction without considering this significant change offends the spirit of the remedial rent control laws.

While, of course, the need for finality in administrative determinations generally is a noble goal, drawing an arbitrary line does not serve a rational purpose here as it promotes the eviction of innocent long-term tenants from their homes. The need to preserve the affordable housing stock clearly outweighs DHCR’s need for finality in this situation as finality merely alleviates the agency’s workload but does nothing to effectuate the goals of the rent regulatory framework (*cf. Matter of Dworman v New York State Div. of Hous. & Community Renewal*, 94 NY2d 359 [1999] [holding that despite the statutory requirement that a tenant respond to a luxury deregulation income request within 60 days, failure to timely comply does not automatically result in vacancy decontrol if tenant has good cause for responding late]).

DHCR’s insistence on finality is also contrary to general rent regulatory eviction principles and its other remedial statutes. Under RPAPL 749 (3), for example, a court has the power to vacate a warrant of eviction at any point prior to its execution for good cause.⁵ Although this proceeding has not yet resulted in the issuance of a warrant of eviction, this analysis is demonstrative of the court’s power to prevent undue evictions. For example, had a warrant of eviction issued based on a tenant’s failure to pay rent arrears, a court could stop the eviction and

5. The issue of whether RPAPL 749 (3) should apply to petitioner is not before the Court as no warrant of eviction has been issued at this point.

vacate the judgment for good cause if the tenant paid the arrears after issuance of the warrant (*cf.* RPAPL 753 [4] [providing that if a landlord prevails on a holdover proceeding seeking possession of a residential premises based on a lease violation, the court must give the tenant 10 days to cure the violation before a warrant may issue]). Regardless of the inherent power of the court to stop evictions for good cause, the majority herein chooses to read the rent regulatory laws as offering less protection to the lease abiding tenant than the one who openly violates the terms of the landlord-tenant relationship.

In light of clear legislative intent and a plain language provision obligating the court to refer newly discovered relevant evidence to DHCR and further recognizing the agency's discretion to revisit the need for the tenant's eviction, I cannot reconcile the majority's narrow reading of this inherently flexible remedial statute. As such, I would reverse the Appellate Division and reinstate the order of Supreme Court.

Chief Judge KAYE and Judges G.B. SMITH, GRAFFEO, READ and R.S. SMITH concur with Judge ROSENBLATT; Judge CIPARICK dissents and votes to reverse and reinstate the order of Supreme Court in a separate opinion.

Order affirmed, with costs.

[843 NE2d 727, 810 NYS2d 100]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v ANDREW
GOLDSTEIN, Appellant.

Argued November 16, 2005; decided December 20, 2005

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered November 30, 2004. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Carol Berkman, J.), which had convicted defendant, upon a jury verdict, of murder in the second degree.

People v Goldstein, 14 AD3d 32, reversed.

HEADNOTES

Crimes — Witnesses — Expert Witness — Admissibility of Opinion of Forensic Psychiatrist

1. The opinion of a forensic psychiatrist who testified for the People in defendant's second degree murder prosecution was admissible even though it was based in part on statements made out of court to her by people who were not available for cross-examination. The opinion of a psychiatrist relying on inadmissible hearsay evidence is admissible if the evidence is of a kind accepted in the profession as reliable in forming a professional opinion. The proponent's burden of showing acceptance in the profession may be met through the testimony of a qualified expert, whether or not that expert is the same one who seeks to rely on the out-of-court material, and here the People's burden was met by their expert's own testimony.

Crimes — Right of Confrontation — Admission of Hearsay Background Information Used by Forensic Psychiatrist in Formulating Opinion

2. Defendant's constitutional right to be confronted with the witnesses against him in his second degree murder prosecution was violated when a psychiatrist who testified for the People recounted statements made to her by people who were not available for cross-examination. The jury could not have used the statements of the interviewees to evaluate the psychiatrist's opinion without accepting as a premise either that the statements were true or that they were false. The statements were offered for their truth, and were hearsay. They were also testimonial, in the sense that *Crawford v Washington* (541 US 36 [2004]) used that term. The interviewees knew they were responding to questions from an agent of the State engaged in trial preparation and should reasonably have expected their statements "to be used prosecutorially" or to "be available for use at a later trial." Although the *Crawford* court, in describing testimonial hearsay, referred to "formal" statements made to "government officers," those words did not exclude the statements at issue here.

Crimes — Right of Confrontation — Admission of Hearsay Background Information Used by Prosecution's Forensic Psychiatrist in Formulating Opinion — Harmless Error

3. The violation of defendant's constitutional right to be confronted with the witnesses against him in his second degree murder prosecution that oc-

curred when a forensic psychiatrist who testified for the People recounted statements made to her by four people who were not available for cross-examination did not constitute harmless error. The People's case that defendant was sane when he killed his victim was strong, but not so strong that no rational jury could have rejected it. The case drew some significant support from the improperly admitted statements of four people who spoke with the psychiatrist, and while the statements were by no means vital to the People's case on sanity, they were not trivial either. It was reasonably possible that any of the four—and, a fortiori, all four together—could have affected the jury's verdict.

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By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 1168, 1170; AM JUR 2d, Expert and Opinion Evidence §§ 28, 71, 72, 157, 163, 167, 170.
CARMODY-WAIT 2d, Criminal Procedure §§ 172:3197, 172:3198, 172:3208, 172:3212, 172:3398, 172:3404.
LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) § 24.4.
NY JUR 2d, Criminal Law §§ 1850, 1906, 1991, 1996–1998, 2063, 2070.

ANNOTATION REFERENCE

Admissibility of testimony of expert, as to bases of his opinion, to matters otherwise excludible as hearsay—state cases. 89 ALR4th 456.

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POINTS OF COUNSEL

Legal Aid Society, Criminal Appeals Bureau, New York City (*Natalie Rea* and *Laura R. Johnson* of counsel), for appellant. I. By allowing the People's expert forensic psychiatrist—Dr. Angela Hegarty—to testify, over objection, about statements made to her by nontestifying witnesses, the court deprived appellant of his right to confrontation and due process (1) under *Crawford v Washington* (541 US 36 [2004]), because the statements made during the course of interviews conducted by an agent of the state for the purpose of prosecution were inadmissible testimonial hearsay and (2) under *People v Stone* (35 NY2d 69 [1974]) and *People v Sugden* (35 NY2d 453 [1974]), because the statements of these witnesses were not of the type generally relied upon by the profession. (*Pointer v Texas*, 380 US 400; *Ohio v Roberts*, 448 US 56; *Rhode Island v Innis*, 446 US 291;

United States v Saget, 377 F3d 223; *United States v Cromer*, 389 F3d 662; *People v Coleman*, 16 AD3d 254; *United States v Nielsen*, 371 F3d 574; *People v Rogers*, 8 AD3d 888; *People v Jones*, 73 NY2d 427; *Hambach v New York City Tr. Auth.*, 63 NY2d 723.) II. Preclusion of the testimony of a defense expert psychiatrist, Dr. Susan Fierster, deprived appellant of his rights to compulsory process, to present a defense and due process because (a) counsel's CPL 250.10 notice was adequate; (b) at the very least, the notice substantially complied with CPL 250.10; and (c) contrary to the findings of the Appellate Division, counsel could not be sanctioned for refusing to turn over Fierster's notes if the notice was adequate. (*Noble v Kelly*, 246 F3d 93; *Washington v Texas*, 388 US 14; *Ronson v Commissioner of Correction of State of N.Y.*, 604 F2d 176; *Taylor v Illinois*, 484 US 400; *Wade v Herbert*, 391 F3d 135; *People v Berk*, 88 NY2d 257; *People v Oakes*, 168 AD2d 893; *People v Almonor*, 93 NY2d 571; *People v Gracius*, 6 AD3d 222; *People v Rivers*, 281 AD2d 348.) III. By rejecting counsel's request to have appellant undergo a PET scan because of its erroneous belief that appellant's schizophrenia was conceded by the People, the court deprived appellant of his right to present a defense. (*People v Wilder*, 93 NY2d 352; *People v Lewis*, 69 NY2d 321; *People v Wesley*, 83 NY2d 417; *Ake v Oklahoma*, 470 US 68; *People v Hills*, 140 AD2d 71; *People v Helms*, 243 App Div 818; *People v Carroll*, 95 NY2d 375; *People v Weinstein*, 156 Misc 2d 34.)

Robert M. Morgenthau, District Attorney, New York City (Morrie I. Kleinbart and Patrick J. Hynes of counsel), for respondent. I. The court properly permitted Dr. Angela Hegarty to testify about extrajudicial statements which served to explain her opinion about defendant's mental state. (*Crawford v Washington*, 541 US 36; *People v Stone*, 35 NY2d 69; *People v Sugden*, 35 NY2d 453; *People v Cronin*, 60 NY2d 430; *People v Jones*, 73 NY2d 427; *People v Romero*, 78 NY2d 355; *Ohio v Roberts*, 448 US 56; *People v Keough*, 276 NY 141; *Howard v Walker*, 406 F3d 114.) II. Justice Berkman's treatment of defendant's belated decision to attempt to pursue an extreme emotional disturbance defense violated no constitutional norm. (*People v Almonor*, 93 NY2d 571; *People v Edney*, 39 NY2d 620; *Washington v Texas*, 388 US 14; *Chambers v Mississippi*, 410 US 284; *Taylor v Illinois*, 484 US 400; *People v Robinson*, 89 NY2d 648; *Rock v Arkansas*, 483 US 44; *People v Williams*, 81 NY2d 303; *People v Berk*, 88 NY2d 257, 519 US 859; *People v Almonor*, 93 NY2d 571.) III. Justice Berkman correctly refused to require the State of New York to fund an unnecessary PET scan. (*Britt v North*

Carolina, 404 US 226; *Ake v Oklahoma*, 470 US 68; *Ross v Moffitt*, 417 US 600; *Moore v Kemp*, 809 F2d 702; *People v Gallow*, 171 AD2d 1061; *People v Lane*, 195 AD2d 876; *Johnson v Harris*, 682 F2d 49, 459 US 1041; *People v Koberstein*, 262 AD2d 1032; *People v Oquendo*, 250 AD2d 419; *People v Graves*, 238 AD2d 754.)

OPINION OF THE COURT

R.S. SMITH, J.

We reverse defendant's conviction and order a new trial, because his constitutional right to be confronted with the witnesses against him was violated when a psychiatrist who testified for the prosecution recounted statements made to her by people who were not available for cross-examination.

Facts and Procedural History

On January 3, 1999, defendant killed Kendra Webdale, a woman he did not know, by throwing her into the path of an approaching subway train. He was charged with murder in the second degree; his principal defense was insanity. His first trial ended in a hung jury.

At his second trial, the two main witnesses were forensic psychiatrists, Spencer Eth, called by the defense, and Angela Hegarty, called by the prosecution. These doctors agreed that defendant was mentally ill; he had been diagnosed as schizophrenic some 10 years before the act for which he was on trial, and had been treated in a number of mental hospitals in the interim. The doctors disagreed, however, on the role that defendant's mental illness played in the killing.

In Eth's opinion, defendant pushed Kendra Webdale to her death "when he was suffering an acute exacerbation . . . of severe psychotic symptoms," perhaps resulting from a failure to take prescribed antipsychotic medications. Eth testified that the symptoms were so extreme that defendant "couldn't plan, he couldn't intend, he couldn't know as we understand what know means what he was doing or that it was wrong." Hegarty, by contrast, found that defendant had a "relatively mild" disorder "in the schizophrenic spectrum" and that his psychotic symptoms "were substantially in remission" at the time of the killing. Hegarty also testified that defendant's personality had "antisocial" features that were more relevant to his act than his schizophrenia. She testified, in substance, that defendant was a predator, driven to acts of violence against women by feel-

ings of rejection and sexual frustration, who was using his schizophrenia as an excuse for his actions. Both doctors supported their opinions by describing their own examinations of defendant and by reviewing voluminous clinical records.

The main issue on this appeal arises because Hegarty's testimony also described another category of information—facts she had obtained in interviews of third parties. According to Hegarty, her field of expertise, “forensic psychiatry,” could be distinguished from more traditional “clinical psychiatry,” which “would largely . . . confine itself to what the defendant would say. And maybe the clinical record.” The purpose of forensic psychiatry, Hegarty testified, is “to get to the truth,” and she made clear that she believes interviews of people with firsthand knowledge are an important way of accomplishing that goal.

Over objection, Hegarty was permitted to tell the jury what she was told by six of her interviewees. The statements thus relayed from four of these people—whom we will call John P., Kimberly D., Serita G. and Isaac V.—are important to our decision.

John P. was a security guard at Waldbaum's in late 1996, about two years before the fatal attack on Kendra Webdale, when defendant assaulted a woman who was shopping there. John P. restrained defendant immediately after the assault, and he described to Hegarty, who repeated to the jury, defendant's reaction when he was seized. According to Hegarty's account of John P.'s statement, defendant said “I'm sick, I'm sick, I'm schizophrenic,” kept repeating those assertions, and said that he had just got out of the hospital. Defendant made a similar statement—“I'm psychotic, take me to the hospital,” or words to that effect—immediately after throwing Kendra Webdale to her death. John P.'s statement thus supported Hegarty's and the prosecution's theory that defendant had repeatedly used his schizophrenia to minimize his misconduct and avoid punishment.

Kimberly D. was the girlfriend of a man who shared an apartment with defendant in November 1998—about two months before Kendra Webdale's death—when Stephanie H., the girlfriend of another resident, visited the apartment. Hegarty testified that Kimberly D. had told Hegarty that Stephanie H., who worked in a strip club, “would tease” defendant. Hegarty also testified, apparently still recounting what Kimberly D. said to her, that Stephanie H. “bears a rather remarkable similarity

[in] appearance to Kendra Webdale.” Thus, Hegarty suggested to the jury that defendant identified the woman he killed with another woman who had frustrated him sexually.

Serita G. had been defendant’s landlady twice, first in 1996 and then in 1998-1999 up to the date of Kendra Webdale’s death. According to Hegarty, Serita G. told her “that on one occasion . . . her maid went downstairs and the defendant was lying on his bed exposed and he didn’t cover himself.” This was part of the basis for Hegarty’s testimony that defendant had “been sexually inappropriate with women.”

Isaac V. was one of defendant’s roommates in the month preceding Kendra Webdale’s death. Hegarty testified to Isaac V.’s description of defendant’s personality: She said that Isaac V. said that defendant was “a little weird . . . didn’t act his age . . . wanted to go to college and . . . wanted to be somebody . . . was never disrespectful and never violent and very calm.” This description corroborated Hegarty’s overall picture of defendant as someone suffering from a relatively mild mental illness, not a hopelessly out-of-control schizophrenic.

The jury convicted defendant of second degree murder, thus rejecting his insanity defense. The Appellate Division affirmed. We now reverse.

Discussion

Defendant argues that Hegarty’s testimony recounting statements of interviewees was inadmissible hearsay under New York law, because the People failed to show that the statements were information of a kind commonly relied on by members of Hegarty’s profession. Defendant also argues that the admission of the interviewees’ statements violated his constitutional right to confront the witnesses against him. We reject defendant’s New York law argument, but we agree that his right to confrontation was violated.

I

People v Stone (35 NY2d 69 [1974]) and *People v Sugden* (35 NY2d 453 [1974]) govern the question of when a psychiatrist’s opinion may be received in evidence, even though some of the information on which it is based is inadmissible hearsay. As we explained in *Sugden*, a psychiatrist “may rely on material, albeit of out-of-court origin, if it is of a kind accepted in the profession as reliable in forming a professional opinion,” or if it “comes from a witness subject to full cross-examination on the trial”

(35 NY2d at 460, 461). The latter ground for admissibility does not apply here; defendant had no opportunity to cross-examine the interviewees whose statements are in issue. Defendant argues that the former ground is inapplicable also, because the prosecution failed to meet its burden of showing that the interviewees' statements were "material . . . of a kind accepted in the profession as reliable."

[1] We disagree. The proponent's burden of showing acceptance in the profession may be met through the testimony of a qualified expert, whether or not that expert is the same one who seeks to rely on the out-of-court material. Here, the People's burden was met by Hegarty's testimony. Hegarty acknowledged that "traditionally" psychiatrists did not rely on interviews with third parties, but said that "several researchers, forensic psychiatrists, past presidents of the Academy of Psychiatry and Law, Park Dietz and Philip Resnick, for example" had emphasized the need for a broader approach. While she acknowledged that "not everybody holds this view" and that "many good forensic psychiatrists might . . . disagree," she testified that interviewing of third parties is "becoming more and more the practice." She added that the seeking out of facts from sources other than defendant's own statements and the clinical record is "very, very much supported in the literature."

Any imprecision in Hegarty's description of accepted professional practice could have been explored on cross-examination; defendant's counsel was free to ask Hegarty, for example, exactly what "literature" she was referring to, and to try to show it did not support her procedure. But Hegarty's statements on this issue were neither made the subject of cross-examination nor contradicted by any other evidence. Indeed, Eth acknowledged that Hegarty's preferred approach was accepted by some reputable professionals, though he said they were a "minority." The prosecution did not have to prove that the materials in question were universally accepted; widespread acceptance by professionals of good reputation is enough. The case would be different if the procedures at issue found support only among a faction of outliers not generally respected by their colleagues. But in this case, the trial court had a sufficient basis for finding that the third-party interviews were material of a kind accepted in the profession as reliable, and that therefore Hegarty's opinion was admissible under *Stone* and *Sugden*.

II

To avoid any misinterpretation of our holding, we point out the existence of a New York law issue that the parties have not addressed and we do not reach.

We have held in section I only that Hegarty's *opinion*, although based in part on statements made out of court, was admissible because those statements met the test of acceptance in the profession. Both parties seem to assume that, if that test was met, Hegarty was free, subject to defendant's constitutional right of confrontation, not only to express her opinion but to repeat to the jury all the hearsay information on which it was based. That is a questionable assumption.

Stone and *Sugden* were concerned with the admissibility of a psychiatrist's opinion, not the facts underlying it. There is no indication in either case that the prosecution sought to elicit from the psychiatrist the content of the hearsay statements he relied on. And it can be argued that there should be at least some limit on the right of the proponent of an expert's opinion to put before the factfinder all the information, not otherwise admissible, on which the opinion is based. Otherwise, a party might effectively nullify the hearsay rule by making that party's expert a "conduit for hearsay" (*Hutchinson v Groskin*, 927 F2d 722, 725 [2d Cir 1991]).

The distinction between the admissibility of an expert's opinion and the admissibility of the information underlying it, when offered by the proponent, has received surprisingly little attention in this state (which perhaps accounts for the parties' failure to discuss it here). We have found no New York case addressing the question of when a party offering a psychiatrist's opinion pursuant to *Stone* and *Sugden* may present, through the expert, otherwise inadmissible information on which the expert relied. The issue of when a proponent may present inadmissible facts underlying an admissible opinion has, however, been discussed by courts in other jurisdictions, and in many law review articles (see authorities cited in Kaye et al., *The New Wigmore: Expert Evidence* § 3.7 [2004]). And in 2000, rule 703 of the Federal Rules of Evidence ("Bases of Opinion Testimony by Experts") was amended to deal with this issue. The last sentence of the rule now provides: "Facts or data that are otherwise inadmissible shall not be disclosed to the jury by the proponent of the opinion or inference unless the court determines that their probative value in assisting the jury to

evaluate the expert's opinion substantially outweighs their prejudicial effect." We are not called upon to decide here, and do not decide, whether the New York rule is the same as, or less or more restrictive than, this federal rule.

III

[2] The Sixth Amendment to the United States Constitution provides: "In all criminal prosecutions, the accused shall enjoy the right . . . to be confronted with the witnesses against him." Similarly, article I, § 6 of the New York Constitution provides: "In any trial in any court whatever the party accused shall . . . be confronted with the witnesses against him or her." The meaning of the federal Confrontation Clause was recently considered by the United States Supreme Court in *Crawford v Washington* (541 US 36 [2004]), and we conclude that *Crawford* requires reversal of defendant's conviction.

Crawford, which overruled *Ohio v Roberts* (448 US 56 [1980]), establishes that the Confrontation Clause generally prohibits the use of "testimonial" hearsay against a defendant in a criminal case, even if the hearsay is reliable, unless the defendant has a chance to cross-examine the out-of-court declarant. The People contend that *Crawford* does not apply here, first, because the statements by Hegarty's interviewees were not hearsay, and secondly, because they were not testimonial. We reject both arguments.

The claim that the interviewees' statements to Hegarty were not hearsay is based on the theory that they were not offered to prove the truth of what the interviewees said. Hearsay is "a statement made out of court . . . offered for the truth of the fact asserted in the statement" (*People v Romero*, 78 NY2d 355, 361 [1991], quoting Richardson, Evidence § 200, at 176 [Prince 10th ed]). The Supreme Court said in *Crawford* that the Confrontation Clause "does not bar the use of testimonial statements for purposes other than establishing the truth of the matter asserted" (541 US at 59 n 9). Here, according to the People, the interviewees' statements were not evidence in themselves, but were admitted only to help the jury in evaluating Hegarty's opinion, and thus were not offered to establish their truth.

We find the distinction the People make unconvincing. We do not see how the jury could use the statements of the interviewees to evaluate Hegarty's opinion without accepting as a premise either that the statements were true or that they were false.

Since the prosecution's goal was to buttress Hegarty's opinion, the prosecution obviously wanted and expected the jury to take the statements as true. Hegarty herself said her purpose in obtaining the statements was "to get to the truth." The distinction between a statement offered for its truth and a statement offered to shed light on an expert's opinion is not meaningful in this context. (See *Kaye et al.*, *The New Wigmore: Expert Evidence* § 3.7, at 19 [Supp 2005] ["(T)he factually implausible, formalist claim that experts' basis testimony is being introduced only to help in the evaluation of the expert's conclusions but not for its truth ought not permit an end-run around a Constitutional prohibition"].) We conclude that the statements of the interviewees at issue here were offered for their truth, and are hearsay.

We also conclude that the statements are testimonial, in the sense that *Crawford* used that term. *Crawford* explained that the Confrontation Clause "applies to 'witnesses' against the accused—in other words, those who 'bear testimony.' " (541 US at 51.) The Court added: "'Testimony,' in turn, is typically '[a] solemn declaration or affirmation made for the purpose of establishing or proving some fact.' . . . An accuser who makes a formal statement to government officers bears testimony in a sense that a person who makes a casual remark to an acquaintance does not." (*Id.* [citation omitted].) The Court in *Crawford* did not adopt a definition of testimonial hearsay, but it offered some alternative definitions:

"Various formulations of this core class of 'testimonial' statements exist: '*ex parte* in-court testimony or its functional equivalent—that is, material such as affidavits, custodial examinations, prior testimony that the defendant was unable to cross-examine, or similar pretrial statements that declarants would reasonably expect to be used prosecutorially,' . . . 'extrajudicial statements . . . contained in formalized testimonial materials, such as affidavits, depositions, prior testimony, or confessions,' . . . 'statements that were made under circumstances which would lead an objective witness reasonably to believe that the statement would be available for use at a later trial' These formulations all share a common nucleus and then define the Clause's coverage at various levels of abstraction around it." (*Id.* at 51-52 [citations omitted].)

We think the statements made to Hegarty by her interviewees were testimonial. Hegarty was an expert retained to testify for the People. The record does not specifically show that the interviewees knew this, but it would be strange if Hegarty did not tell them; we infer that they knew they were responding to questions from an agent of the State engaged in trial preparation. None of them was making “a casual remark to an acquaintance”; all of them should reasonably have expected their statements “to be used prosecutorially” or to “be available for use at a later trial.”

While it is true that the Supreme Court referred, in describing testimonial hearsay, to “formal” statements made to “government officers,” we do not think that these words exclude the statements at issue here. Responses to questions asked in interviews that were part of the prosecution’s trial preparation are “formal” in much the same sense as “depositions” and other materials that the Supreme Court identified as testimonial. *Crawford* itself shows that the statements need not be under oath and need not be formal in their language; the statement held excludable by the *Crawford* court was unsworn and used colloquial phrasing (see 541 US at 38-39). Nor do we think the difference between an expert retained by the State and a “government officer” is of constitutional significance here. The Confrontation Clause would offer too little protection if it could be avoided by assigning the job of interviewing witnesses to an independent contractor rather than an employee.

In short, defendant’s rights under the Confrontation Clause were violated when Hegarty was allowed to tell the jury what witnesses defendant had no chance to cross-examine had said to her.

IV

[3] The People argue that, if the admission of the interviewees’ statements was error, the error was harmless. We cannot agree.

Since the error was a violation of defendant’s constitutional rights, the constitutional test for harmless error applies: The People must show that any error was harmless beyond a reasonable doubt (*Chapman v California*, 386 US 18, 24 [1967]; *People v Crimmins*, 36 NY2d 230, 240-241 [1975]). In deciding whether the People have met this burden, we consider both the overall strength of the case against defendant and the importance to that case of the improperly admitted evidence.

The People's case that defendant was sane when he killed Kendra Webdale was a strong one, but we cannot say it was so strong that no rational jury could have rejected it. The question before the jury was, in essence, what was going on in defendant's admittedly diseased mind at the time he committed a bizarre, horrifying act; this is not an easy question to answer with complete certainty. In other contexts—for example, when the question is whether a defendant committed a particular act or not—overwhelming evidence will sometimes permit a court to say that only one verdict was reasonably possible. This case is not of that kind.

The People's case drew some significant support from the improperly admitted statements of John P., Kimberly D., Serita G. and Isaac V. It is true that these statements were by no means vital to the People's case on sanity, but they were not trivial either. It is reasonably possible that any of the four—and, a fortiori, all four together—could have affected the jury's verdict. Specifically:

1. John P.'s statement to the effect that defendant, upon being seized after the Waldbaum's incident, said repeatedly "I'm sick, I'm sick, I'm schizophrenic" supported an important theme of the prosecution's case—that defendant thought his schizophrenia was an excuse for his bad behavior. The resemblance of the remarks described in John P.'s statement to those made by defendant after killing Kendra Webdale—"I'm psychotic, take me to the hospital"—strongly suggests a pattern. The prosecution's claim that these protestations showed defendant was hiding behind his mental illness was a major theme in closing argument. Indeed, the prosecutor's last words to the jury were: "He's counting on you to buy, I am sick, take me to a hospital."

It is true that the prosecutor did not rest this argument entirely on John P.'s statement; the prosecutor relied primarily, of course, on the statement defendant made after the Kendra Webdale killing, and also on other more or less similar remarks he made after other incidents. There is a real possibility, however, that without John P.'s statement the argument would not have been as strong. There is no clearer proof in the record that defendant had, before his attack on Kendra Webdale, made a habit of announcing his mental illness the moment he got in trouble.

2. Kimberly D.'s statement that there was a "remarkable" resemblance between Stephanie H., a young woman who

“tease[d]” defendant, and Kendra Webdale could well have had an impact on the jury. It offers a possible explanation for defendant’s otherwise inexplicable decision to attack a total stranger on a subway platform, and suggests that, however distorted his reasoning, he acted out of rage, knew he was killing someone, and thus was not legally insane. It is true, as the People point out, that Stephanie H.’s teasing of defendant was proved by other evidence, and that photographs of both Stephanie H. and Kendra Webdale were in evidence, so that perhaps Hegarty could have made her point without relying on Kimberly D.; but Hegarty did not do so, and we cannot be sure she would have done so successfully. From the photographs alone, the jury might or might not have found the resemblance between the two women to be striking.

3. Serita G.’s statement that defendant, lying exposed on his bed, failed to cover himself when a woman came into his presence was used by Hegarty as one example of inappropriate behavior that reflected defendant’s sexual frustration. It was not Hegarty’s only example, but it was a vivid and memorable one; we cannot say, beyond a reasonable doubt, that it had no effect on the jury.

4. Isaac V.’s sketch of defendant’s personality (“a little weird”) was useful to the prosecution because it supported Hegarty’s overall portrayal of defendant as someone with a “relatively mild” mental disorder, not a raving psychotic. Again, it is true that Hegarty could have made the same point without relying on Isaac V.’s statement, but it is also true that the statement might have had significant impact. It is reasonably possible that jurors found the observations of someone who saw defendant frequently at the very time of the Kendra Webdale killing to be telling evidence of defendant’s mental state.

In sum, the People have failed to show beyond a reasonable doubt that the mistaken admission of these four out-of-court statements was harmless error.

V

Defendant makes two other arguments on this appeal: He contends that the trial court erred in precluding the testimony of a defense expert proffered to support a defense of extreme emotional disturbance, and in refusing to order a PET scan of defendant. To avoid unnecessary issues at a retrial, we mention that we find both arguments lacking in merit. On the facts of this case, the trial court’s rulings on both issues were within its discretion.

VI

We have concluded that another trial of this case is necessary. We are well aware of the unwelcome consequences of this result. Defendant has already been tried twice, and the second jury found, on sufficient evidence, that he was legally sane at the time of his act. We are troubled by the tangible cost of a third trial, and by the intangible cost of the long delay in resolving this case. We are yet more troubled by the knowledge that another trial will bring added pain to innocent people, particularly to the family of Kendra Webdale.

But the constitutional rules that guarantee defendants a fair trial must be enforced, and few such rules are more important than the one that guarantees defendants the right to confront the witnesses against them. Because that right was violated in this case, defendant is entitled to be tried again.

Accordingly, the order of the Appellate Division should be reversed and the case remitted to Supreme Court for a new trial.

READ, J. (dissenting). *Crawford v Washington* (541 US 36 [2004]) is a fresh precedent, the contours and limits of which are still indistinct. At this early stage, it is difficult to predict whether the Supreme Court will apply *Crawford*—universally or in some cases or with limitations or at all—to hearsay used as a basis for expert testimony, much less the exact implications of any such holding. Still, the majority’s analysis of this case in relation to *Crawford* is reasonable, and I do not disagree with it. Further, I wholeheartedly agree with section II of the majority opinion, which points out a New York law issue that is, in my view, significant, but which we need not reach here. I respectfully dissent, however, because, even assuming that *Crawford* precludes admission of the four remarks made by interviewees to the People’s expert, I cannot agree that defendant suffered any harm as a result.

As an initial matter, we should keep in mind that this trial presented no issue regarding guilt per se. Defendant indisputably killed Kendra Webdale by thrusting her into the path of an oncoming subway train. The only issue at trial was whether defendant had established, by a preponderance of the evidence, his affirmative defense that he should not be held criminally responsible for his conduct because he suffered from a mental disease or defect at the time of the killing (*see* Penal Law § 40.15). Specifically, defendant wanted the jurors to accept that he killed Ms. Webdale while in the throes of what his primary

expert, Dr. Spencer Eth, during direct examination called a “sudden psychotic act.”

According to Dr. Eth, defendant murdered Ms. Webdale “when he was suffering an acute exacerbation of sudden intensification of severe psychotic symptoms and his brain was not functioning[, which meant that] his motor control—he could walk, he could thrust out his arms, he could see, but he couldn’t think, he couldn’t plan, he couldn’t intend, he couldn’t know as we understand what know means what he was doing or that it was wrong.” During cross-examination, Dr. Eth denied describing the incident as a “sudden psychotic moment,” and declined to characterize it as a “sudden psychotic attack,” although he essentially had testified to this effect. As an alternative description of his diagnosis, he offered that, at the moment of the killing, “a ferocious torrence [*sic*] of symptoms overwhelmed [defendant’s] mind,” thereby precluding him from planning or “execut[ing] an action with reason and intent.”

Another of defendant’s experts, Dr. Wilfred Van Gorp, provided similar testimony, telling the jurors that he agreed with Dr. Eth’s conclusion that defendant suffered a “transient episode of extreme psychotic symptomology that destroyed his capacity to appreciate the nature and consequences of his conduct and to appreciate that his conduct was wrong.” Both experts opined that the “transient episode” essentially began directly before and ended almost immediately after the killing—a “symptomatic exacerbation while on the station platform.”

But defendant’s expert testimony, which hinged on defendant’s supposed inability to intend or plan, ran directly counter to the prior testimony of witnesses to the crime, who described how defendant had engaged in seemingly meticulous planning. According to eyewitness testimony, before approaching the blond Ms. Webdale and immediately after being rebuffed by another blond woman, defendant walked to the front of the subway platform, the best vantage point from which to see a train entering the curved station. Bending over, defendant peered up the tracks, concededly looking for the headlights of an oncoming train. He then walked back towards Ms. Webdale, who was standing near the platform’s edge, and asked her the time. Following Ms. Webdale’s response, defendant positioned himself directly behind her, standing with his back to the wall of the station. Notably, he chose to stand behind Ms. Webdale rather than the other blond woman, who was taller and heavier. As the

train proceeded through the station, defendant rushed forward and shoved Ms. Webdale at the precise moment when she would pitch headlong into the train's path without any chance to save herself or be rescued. Despite having moved with great force (he pushed off from the back wall), defendant had sufficient presence of mind to break his momentum and avoid sharing Ms. Webdale's fate by twisting his body away from the platform's edge. As the trial prosecutor told the jurors during summation, "actions speak louder than words."

This description of events by the People's fact witnesses, which defendant did not challenge, contradicted the defense experts' assertions that a theorized "acute exacerbation" prevented defendant from planning or intending. Another facet of the attack also undermined defendant's supposed inability to comprehend that his conduct was wrong. Immediately after killing Ms. Webdale, he announced "I'm sick," and asked to be taken to a hospital, which displayed his understanding that he indeed had done something wrong and needed an excuse to negate his blameworthiness.

In addition to the facts of the murder, the People also refuted defendant's affirmative defense with the testimony of their rebuttal experts. These experts attacked the legitimacy of the defense theory that defendant had acted while experiencing a fleeting psychotic disorder or "transient episode," and they did so independently of the four challenged observations. Specifically, Dr. Angela Hegarty explained to the jurors that, according to the Diagnostic and Statistical Manual of Mental Disorders (DSM), the standard classification of mental disorders used by mental health professionals in the United States, psychotic symptoms simply do not rapidly appear and disappear as defendant's supposedly did while he stood on the subway platform. Rather, the DSM makes clear that the shortest duration for a brief psychotic disorder is one day. Dr. William Bryon Barr, the People's other expert, offered similar testimony.

Although defendant adduced expert testimony that consumed thousands of pages of trial transcript (as did the People), that, standing alone, does not compel a conclusion that he proffered such a strong case that the error here could not have been harmless. As we have noted,

"before constitutional error . . . may be found to be harmless, it is not necessary that the untainted evidence on which the verdict in the case must be sup-

ported demonstrate undisputable guilt. Rather, the reasonable doubt standard, extremely high though it is, still leaves room for judgmental determination of harmlessness” (*People v Schaeffer*, 56 NY2d 448, 455 [1982]).

In other words, a court engaging in harmless error review should center its analysis not on the quantity of the evidence adduced, but rather on its quality (*see id.* [“because consideration of whether an error is harmless requires an evaluation not only of the tainted matter, but of the strength of the case absent the taint, the court must focus on the reliability and persuasiveness of the untainted matter and its source. . . . In short, neither side of the evidentiary equation may be ignored; in the end, the picture must be seen as a whole”]).

Significantly, the trial court instructed the jurors to engage in a similar inquiry, explaining that defendant had to prove that he “was not criminally responsible” by “a preponderance of the credible evidence[, which] is evidence which you find worthy of belief.” The court amplified its instruction by stating that defendant would meet his burden if “you, the jury, are satisfied that the evidence of lack of criminal responsibility, from whatever source, outweighs and is more convincing than the evidence that he was criminally responsible when he committed the crime.” Finally, the jurors were informed that “[a]s with any other factual issue, it is the quality of the evidence which controls, not the number of witnesses on one side or the other.”

Ultimately, defendant’s criminal responsibility does not seem to have presented a close case in the minds of the jurors. They deliberated for no more than two hours, during which they apparently lunched as well. The jurors sent no notes. Clearly, no problematic issues arose during these brief deliberations. I find it impossible to believe that in those two hours, the jurors were only able to dismiss defendant’s “transient episode” theory by focusing on the four isolated comments cited by the majority. Far more likely, the jurors readily rejected what they must have viewed as a rather outlandish defense theory, unsupported as it was in fact or professional literature.

Evaluating the “importance” of the four comments to the case, however, the majority concludes that the People “drew some significant support” from them (majority op at 129, 130). But even assuming that the jurors, like the majority, zeroed in on these four comments, they were generally duplicated or corroborated by other evidence in the record, thereby diminishing

their hypothesized potential significance to the jurors' deliberations. For example, the majority asserts that the record contains "no clearer proof" of defendant's "habit of announcing his mental illness the moment he got in trouble" (majority op at 130) than John P.'s statement that, after attacking a woman at a Waldbaum's supermarket, defendant repeated "I'm sick, I'm sick, I'm schizophrenic." As the majority acknowledges, however, there is evidence in the record that defendant made similar statements following other instances of aggressive behavior. And John P.'s statement is not disputed. Defendant's primary expert, Dr. Eth, acknowledged on cross-examination that defendant announced to John P. that he was sick and a psychiatric patient, and begged him not to call the police. As for Kimberly D.'s apparent* observation that Kendra Webdale bore a "rather remarkable" resemblance to another woman, Stephanie H., who had teased defendant, the jury heard from another witness that both women were blond, and that Stephanie H. had teased defendant. Moreover, as the majority points out, Stephanie H.'s and Kendra Webdale's photographs were admitted into evidence. As a result, the jurors were free to make their own judgment about any resemblance between the two women, assuming they found this important, and either to credit or discount Dr. Hegarty's testimony accordingly. It is also worth noting that Dr. Hegarty testified that while interviewing defendant, she mentioned Stephanie H. inadvertently, and defendant became visibly sexually aroused. This speaks far more powerfully to "inappropriate behavior that reflected defendant's sexual frustration" (majority op at 131) than does the third chal-

* From the transcript, it is not entirely clear to me whether Dr. Hegarty was testifying that Kimberly D. told her that Stephanie H. and Kendra Webdale resembled each other, or was offering her own view on this subject. After Dr. Hegarty testified that Kimberly D. told her that Stephanie H. teased defendant, defense counsel objected based on the "right to confrontation," and the trial court overruled the objection. Then the prosecutor asked Dr. Hegarty two questions about Stephanie H. (her last name and occupation). After Dr. Hegarty answered these two questions, the prosecutor asked her "And did you learn anything about [Stephanie H.'s] general appearance?" to which Dr. Hegarty responded "Yes. She bears a rather remarkable similarity and appearance to Kendra Webdale." In context, the prosecutor might have been asking Dr. Hegarty if she had learned this information about Stephanie H.'s general appearance from Kimberly D., but this is far from certain, especially since Dr. Hegarty surely had access to the photographs of both women. Defense counsel did not object to the question or answer about Stephanie H.'s "general appearance," which were followed by Dr. Hegarty's testimony about defendant's reaction when she inadvertently mentioned Stephanie H. to him during an interview.

lenged observation by Serita G. that defendant, naked on a bed, did not cover up when her maid entered his room. Finally, Issac V.'s statement that, close in time to the killing, defendant appeared "a little weird," is, if anything, innocuous. True, the People's experts opined that defendant had a "relatively mild" mental disorder. But defendant's "transient episode" theory also called for him to act relatively normally immediately preceding the attack.

In short, I see no possibility that the four hearsay comments caused the jurors to reject defendant's affirmative defense. Rather, his defense was subverted by the incredible nature of his psychiatric theory coupled with his uncontested actions, which contradicted any "transient" loss of control or comprehension. Because any *Crawford* error that occurred here was harmless beyond a reasonable doubt (see *Chapman v California*, 386 US 18, 24 [1967]; *People v Crimmins*, 36 NY2d 230, 240-241 [1975]), defendant's conviction should be affirmed.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT and GRAFFEO concur with Judge R.S. SMITH; Judge READ dissents and votes to affirm in a separate opinion.

Order reversed, etc.

[844 NE2d 285, 810 NYS2d 738]

In the Matter of JAMIE R., Appellant, v EILEEN CONSILVIO, as
Director of Kirby Forensic Psychiatric Center, Respondent.

Argued January 5, 2006; decided February 9, 2006

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered February 24, 2005. The Appellate Division (1) reversed, on the law and the facts, an order and judgment (one paper) (denominated resettled order) of the Supreme Court, New York County (Shirley Werner Kornreich, J.), which, in a proceeding pursuant to CPL 330.20 (16) and Mental Hygiene Law § 9.35, following a jury determination that petitioner did not have a dangerous mental disorder, had adjudged that petitioner did not suffer from a dangerous mental disorder necessitating placement in a secure facility, denied respondent's application for petitioner's recommitment to a secure psychiatric facility, and directed that petitioner be transferred to a nonsecure facility, (2) vacated the judgment, (3) denied the petition, and (4) authorized petitioner's continued retention pursuant to a prior order of the Supreme Court, Dutchess County (James D. Pagones, J.), which had found that defendant had a dangerous mental disorder and committed him to a secure facility for care and treatment for six months.

Matter of Jamie R. v Consilvio, 17 AD3d 52, affirmed.

HEADNOTE

Mental Health — Person Acquitted of Crime by Reason of Insanity — Rehearing and Review of Initial Commitment Order — Placement Decision

A criminal defendant found not responsible by reason of mental disease or defect (insanity acquittee) who has been determined to suffer from a dangerous mental disorder and consequently placed in a secure facility cannot challenge that placement decision a second time on rehearing and review pursuant to CPL 330.20 (16). CPL 330.20 (16), in relevant part, provides that any defendant who is in the custody of the commissioner pursuant to a commitment order, a retention order, or a recommitment order, if dissatisfied with such order, may obtain a rehearing and review of the proceedings and of such order in accordance with the provisions of Mental Hygiene Law § 9.35. Section 330.20 (16) affords insanity acquittees confined for inpatient psychiatric treatment the right to request a second trial-level proceeding to challenge the judicial determination authorizing confinement. The only issue that may be resolved in a rehearing and review proceeding is the fundamental liberty question of whether any confinement by the Office of Mental Health is war-

ranted. The statute does not authorize duplicate litigation in the form of de novo review of less fundamental placement/treatment decisions. A patient seeking to challenge secure placement should pursue an appeal.

TOTAL CLIENT-SERVICE LIBRARY® REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 80, 82, 83, 87; AM JUR 2d, Mentally Impaired Persons § 31.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:3852, 172:3861.

McKINNEY'S, CPL 330.20 (16); Mental Hygiene Law § 9.35.

NY JUR 2d, Criminal Law §§ 2576, 2585; NY JUR 2d, Hospitals and Related Health Care Facilities § 58.

ANNOTATION REFERENCE

See ALR Index under Criminal Procedure Rules; Incompetent and Insane Persons.

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POINTS OF COUNSEL

Mental Hygiene Legal Service, New York City (Stephen J. Harkavy, Karen G. Andreasian and Diane G. Temkin of counsel), for appellant. I. The Appellate Division erred by holding that there is no jury rehearing and review of a recommitment proceeding where the Legislature expressly provided for a jury rehearing and review of a recommitment proceeding and where it is required by state and federal constitutional standards. (*Matter of Dutchess County Dept. of Social Servs. v Day*, 96 NY2d 149; *Cohen v Anne C.*, 301 AD2d 446; *Matter of Wolpoff v Cuomo*, 80 NY2d 70; *Cohen v State of New York*, 94 NY2d 1; *Mental Hygiene Legal Servs. v Ford*, 92 NY2d 500; *Mathews v Eldridge*, 424 US 319; *Sandin v Conner*, 515 US 472; *Foucha v Louisiana*, 504 US 71; *Jackson v Indiana*, 406 US 715; *Matter of Kesselbrenner v Anonymous*, 33 NY2d 161.) II. The Appellate Division erred by holding that an insanity acquittee may take only a direct appeal of a recommitment order, and may not choose a jury rehearing and review of a recommitment order, when the Legislature expressly provided for either a direct appeal or a rehearing and review of a recommitment order. (*Matter of Norman D.*, 3 NY3d 150; *Matter of Coates*, 9 NY2d 242.) III. Where a dangerous mental disorder is an issue to be tried in

a jury rehearing and review, that issue is for the jury, not the judge. (*Francis S. v Stone*, 221 F3d 100; *Matter of David B.*, 97 NY2d 267; *Motor Veh. Mfrs. Assn. of U.S. v State of New York*, 75 NY2d 175; *Hudson View II Assoc. v Gooden*, 222 AD2d 163; *Sporza v German Sav. Bank*, 192 NY 8; *Matter of Watkins R. v Berry*, 276 AD2d 492; *Matter of Barber v Rochester Psychiatric Ctr.*, 250 AD2d 87; *Emmerich v Thorley*, 35 App Div 452; *Matter of Robert C. v Wack*, 167 Misc 2d 677; *Matter of Maureen A. v Wack*, 153 Misc 2d 600.) IV. The standard of appellate review of a jury rehearing and review of a recommitment order is the jury trial standard of review.

Eliot Spitzer, Attorney General, New York City (Julie Loughran, Caitlin J. Halligan, Daniel Smirlock and Robert H. Easton of counsel), for respondent. I. The Appellate Division correctly concluded that dangerous mental disorder is not an issue for determination on rehearing and review. (*Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Matter of Auerbach v Board of Educ. of City School Dist. of City of N.Y.*, 86 NY2d 198; *Matter of Norman D.*, 3 NY3d 150; *Matter of David B.*, 97 NY2d 267; *Riley v County of Broome*, 95 NY2d 455; *Mental Hygiene Legal Servs. v Ford*, 92 NY2d 500; *Matter of 1605 Book Ctr. v Tax Appeals Trib. of State of N.Y.*, 83 NY2d 240; *Matter of Washington Post Co. v New York State Ins. Dept.*, 61 NY2d 557; *Cohen v Anne C.*, 301 AD2d 446; *Matter of Richard H. v Consilvio*, 6 AD3d 7.) II. There is no constitutional or statutory requirement that a jury determine whether an insanity acquittee has a dangerous mental disorder that required secure hospitalization. (*People v Lally*, 19 NY2d 27; *Mental Hygiene Legal Servs. v Ford*, 92 NY2d 500; *Morrissey v Brewer*, 408 US 471; *Matter of Coates*, 9 NY2d 242; *Mathews v Eldridge*, 424 US 319; *Matter of Consilvio v Michael B.*, 307 AD2d 852; *Matter of John K. v Consilvio*, 9 AD3d 256, 3 NY3d 737; *People ex rel. Brown v Johnston*, 9 NY2d 482; *McGraw v Wack*, 220 AD2d 291; *Matter of Norman D.*, 3 NY3d 150.) III. In any event, the First Department applied the correct standard of review, and its reversal on the facts should be affirmed. (*Northern Westchester Professional Park Assoc. v Town of Bedford*, 60 NY2d 492; *Matter of James M. v Consilvio*, 6 AD3d 153; *Lolik v Big V Supermarkets*, 86 NY2d 744.)

OPINION OF THE COURT

GRAFFEO, J.

CPL 330.20 affords criminal defendants who have been found

not responsible by reason of mental disease or defect (insanity acquittees) and confined for inpatient psychiatric treatment the right to request a second trial-level proceeding—known as rehearing and review—to challenge the judicial determination authorizing confinement. We recently addressed the scope of the issues reviewable in a rehearing and review proceeding in *Matter of Norman D.* (3 NY3d 150 [2004]), holding that an insanity acquittee classified as a track one patient by virtue of a finding that he suffered from a dangerous mental disorder could not obtain review of that classification in a rehearing and review proceeding. In this case, the issue is whether an insanity acquittee found to suffer from a dangerous mental disorder and consequently placed in a secure facility can challenge that placement decision a second time on rehearing and review. Consistent with our holding in *Norman D.*, we conclude that he cannot because the only issue that may be resolved in a rehearing and review proceeding is the fundamental liberty question of whether any confinement by the Office of Mental Health is warranted. Instead of seeking rehearing and review, a patient seeking to challenge secure placement should pursue an appeal.

The CPL 330.20 Scheme

Enacted in 1980, CPL 330.20 governs the procedure to be followed after a criminal court has entered a judgment that defendant is not responsible by reason of mental disease or defect.¹ Soon after the entry of judgment in the criminal case,² an initial commitment hearing is conducted to determine the

1. In its present form, CPL 330.20 was largely the result of a study conducted by the Law Revision Commission entitled “The Defense of Insanity in New York State” (1980 Report of NY Law Rev Commn, reprinted in 1981 McKinney’s Session Laws of NY, at 2251-2293), which advocated reform of the system for handling individuals found not guilty by reason of insanity “to ensure public safety and to safeguard the rights of the mentally disabled offender” (*id.* at 2251). In 1980, the prior version of CPL 330.20 was repealed and the current statute now substantially follows the recommendations of the Law Revision Commission (*see* L 1980, ch 548, § 11).

2. In the criminal proceeding, the defense of not responsible by reason of mental disease or defect is an affirmative defense, meaning that defendant raises the issue and bears the burden of proof under the preponderance of the evidence standard (*see* Penal Law § 25.00 [2]; § 40.15). By securing a judgment of not responsible, defendant avoids criminal penalties and, instead, becomes subject to the CPL 330.20 scheme. This places insanity acquittees in a significantly different posture than involuntarily committed civil patients. As the Law Revision Commission drafters of CPL 330.20 explained, “rational differences between procedures for commitment and release applicable to defendants found not responsible and persons involuntarily committed under the Mental Hygiene Law are justifiable . . . on the ground that an acquitted

(n. cont’d)

degree of confinement and/or supervision necessary to treat the insanity acquittee's condition and to safeguard both the acquittee and the public. As a result of this hearing, a defendant is placed in one of three procedural courses or "tracks."³ The nature and extent of an insanity acquittee's confinement or supervision is determined by the track designation corresponding to the patient's mental condition.

"The applicable tracks are premised upon findings either (i) that the defendant has a 'dangerous mental disorder' [track one]; or (ii) that the defendant does not have a dangerous mental disorder but is 'mentally ill' [track two]; or (iii) that the defendant does not have a dangerous mental disorder and is not mentally ill [track three]" (*Norman D.*, 3 NY3d at 153 n 1, quoting *People v Stone*, 73 NY2d 296, 300 [1989]).

Those patients who suffer from a "dangerous mental disorder" as that term is defined in CPL 330.20 (1) (c)⁴ are classified as track one patients and confined in secure facilities operated by the Office of Mental Health (OMH). Those who are "mentally

defendant, himself, has asserted that his criminal conduct was the result of a mental disease or defect" (1980 Report at 2264). In this regard, "equal protection principles do not prevent different treatment of insanity acquittees from other persons subject to civil commitment because acquittees may validly be regarded as a separate class" (see *Matter of Francis S.*, 87 NY2d 554, 563 [1995]; *Matter of George L.*, 85 NY2d 295, 305 n 3 [1995]; see generally, *People v Escobar*, 61 NY2d 431, 440 [1984] [holding that the dictum in *Matter of Torsney* (47 NY2d 667 [1979]) suggesting that insanity acquittees must be afforded the same rights as civil patients is "no longer viable"]; *Jones v United States*, 463 US 354 [1983]).

3. The "track" nomenclature does not appear in CPL 330.20 but is derived from the Law Revision Commission report that accompanied the proposed legislation, which states that "[t]he post-verdict scheme of proposed CPL 330.20 provides for three alternative 'tracks' based upon the court's determination of the defendant's mental condition at the time of [the initial] hearing" (1980 Report at 2265).

4. The "dangerous mental disorder" finding that justifies track one classification and placement in a secure facility is defined in CPL 330.20 (1) (c): "[d]angerous mental disorder" means: "(i) that a defendant currently suffers from a 'mental illness' as that term is defined in subdivision twenty of section 1.03 of the mental hygiene law, and (ii) that because of such condition he currently constitutes a physical danger to himself or others." The term "mental illness" as defined in Mental Hygiene Law § 1.03 (20) "means an affliction with a mental disease or mental condition which is manifested by a disorder or disturbance in behavior, feeling, thinking, or judgment to such an extent that the person afflicted requires care, treatment and rehabilitation."

ill” as that term is defined in CPL 330.20 (1) (d)⁵ are classified as track two patients and confined in nonsecure facilities under an order of conditions. Individuals who meet neither definition are classified as track three patients and released from OMH custody, usually with an order of conditions. When an insanity acquittee is assigned a track designation after the initial hearing, that track governs the applicable procedure until the individual is either released or recommitted to a more restrictive track. Once track status is determined, future confinement of the individual is determined through periodic “retention” hearings that may result in retention orders authorizing OMH to continue to hold the patient in a secure or nonsecure facility.

The retention, conditional release or discharge of a track one patient is governed entirely by CPL 330.20; further retention, conditional release or discharge of a track two or three patient is governed by both CPL 330.20 and the Mental Hygiene Law (see *Matter of Jill ZZ.*, 83 NY2d 133 [1994] [track two patient remained under jurisdiction of CPL 330.20 for purposes of order of conditions but, in other respects, was subject to dictates of the Mental Hygiene Law]), unless the patient is later recommitted as a track one acquittee (found to have a “dangerous mental disorder”) and brought under the exclusive umbrella of CPL 330.20 (see e.g. *Matter of Francis S.*, 87 NY2d 554 [1995] [recommitment proceeding involving patient who was initially a track two acquittee]). Thus, even a track one patient who improves sufficiently to be transferred to a nonsecure facility continues to be subject to the procedural restrictions in CPL 330.20 (see *Matter of George L.*, 85 NY2d 295, 301, 302 n 2 [1995]).

“Track status designation, unique to insanity acquittees, is vitally important in determining the level of judicial and prosecutorial involvement in future decisions about an acquittee’s confinement, transfer and release” (*Norman D.*, 3 NY3d at 154). Track one patients are subject to far more comprehensive supervision by the courts than track two and three patients. For example, under CPL 330.20, “a court order is required for any transfer to a nonsecure facility, off-ground furlough, release or

5. The term “mentally ill,” the finding that justifies placement in a nonsecure facility, is defined in CPL 330.20 (1) (d) and “means that a defendant currently suffers from a mental illness for which care and treatment as a patient, in the in-patient services of a psychiatric center under the jurisdiction of [OMH], is essential to such defendant’s welfare and that his judgment is so impaired that he is unable to understand the need for such care and treatment.”

discharge [involving a track one patient]; and the district attorney's office continues to be notified of, with the option of participating in, further court proceedings involving the acquittee" (*id.* at 154-155). The same is not true of track two and three patients, whose treatment is primarily overseen by the Commissioner of OMH pursuant to the Mental Hygiene Law statutes and regulations pertaining to the care of involuntarily committed civil patients.

Against this backdrop of the applicable statutory and decisional law, we turn to the case before us.

Facts

In 1998, petitioner Jamie R. was charged with assault for kicking a deputy sheriff in the groin while in custody on a probation violation.⁶ While the charge was pending, he underwent a psychiatric screening to determine whether he was competent to assist with his defense and, for a period, was found to be incompetent based on a diagnosis of paranoid schizophrenia and antisocial personality disorder. Once deemed fit to proceed, he pleaded not responsible by reason of mental disease or defect under CPL 220.15, becoming an insanity acquittee subject to CPL 330.20 procedures.

At an initial commitment hearing in 1999, Dutchess County Court concluded that Jamie R. was suffering from a "mental illness" but did not have a "dangerous mental disorder" as those terms are defined in CPL 330.20. This determination resulted in his classification as a track two patient and placement at the Hudson River Psychiatric Center, a nonsecure facility operated by OMH. Jamie R. was twice discharged from that facility. After the first discharge, he briefly returned home to live with his mother but was readmitted to the facility six days after his release due to disruptive and threatening behavior that included a physical altercation with some neighbors and a threat to kill his mother. His second discharge involved placement in a community residence but he was evicted from that program for

6. Jamie R. was serving a five-year sentence of probation as a result of a 1997 conviction for assault in the second degree, a class D felony. It appears from the record that this conviction also involved an assault on a police officer. He was in police custody for violations of probation, including being discharged from his psychiatric treatment program due to disruptive behavior and a failure to attend programs or to comply with treatment orders, threatening remarks to another person, operating a vehicle without a license and consuming alcohol in violation of his conditions of probation.

abusive and disruptive behavior, including throwing a chair at a female resident. After he was rehospitalized in October 2002, he allegedly assaulted another patient who was suffering from multiple sclerosis.

In addition to these incidents and during the same time frame, Jamie R. was arrested several times for incidents occurring when he was off facility premises. The first in this series of arrests occurred in March 2002 when, as a result of a motor vehicle stop, he was charged with driving while ability impaired and unlicensed operation of a motor vehicle. A few weeks later, while on a visit to his mother's home, he was charged with assaulting his girlfriend. In the months following the assault arrest, he was charged with criminal contempt in the second degree and aggravated harassment in the second degree stemming from numerous harassing and threatening telephone calls to his girlfriend.

Jamie R.'s difficulties both inside and outside the nonsecure psychiatric treatment facility led the Commissioner of OMH to file a recommitment application in 2002 seeking to have Jamie R. reclassified as a track one patient and placed in a secure facility.⁷ OMH concluded that Jamie R.'s disruptive and threatening behavior required the higher level of security offered in such a facility, which is "staffed with personnel adequately trained in security methods and . . . so equipped as to minimize the risk or danger of escapes" (CPL 330.20 [1] [b]). In order to obtain reclassification, the Commissioner was required to prove to the satisfaction of the court that Jamie R. suffered at that time from a "[d]angerous mental disorder," meaning that he was mentally ill, requiring inpatient care and treatment, and "constitute[d] a physical danger to himself or others" (CPL 330.20 [1] [c]). This is the same showing that must be made to obtain track one classification in an initial commitment proceeding.

7. The recommitment application was filed in April 2002 but the recommitment proceeding was not conducted until October 2003. During that period, Jamie R. was given another chance to remain in a nonsecure facility by OMH obtaining a six-month civil retention order pursuant to Mental Hygiene Law § 9.33 (although other aspects of treatment of track two patients remain under the purview of CPL 330.20, retention of track two patients is governed by the Mental Hygiene Law provisions addressing involuntary commitment of civil patients). Jamie R. was confined under that order at Hudson River Psychiatric Center, a nonsecure facility. After the six-month period elapsed, OMH pursued the recommitment application for placement in a secure facility.

Dutchess County Supreme Court conducted a three-day hearing on the application, concluding that Jamie R. suffered from a dangerous mental disorder necessitating track one reclassification and retention in a secure facility. Jamie R. did not seek leave to appeal the recommitment order. Rather, in November 2003, he filed a petition for jury rehearing and review pursuant to CPL 330.20 (16) and Mental Hygiene Law § 9.35.

A second hearing, known as rehearing and review, was held before a jury in New York County Supreme Court. The Commissioner submitted relevant medical records and presented the testimony of two psychiatrists, who detailed Jamie R.'s psychiatric history covering more than 20 prior hospitalizations beginning when he was nine years old. They also discussed his criminal history, which included a prior felony assault conviction in addition to the assault offense giving rise to his status as an insanity acquittee, and more than 17 arrests for offenses such as assault, harassment and criminal possession of a weapon. These periodic brushes with the law began when Jamie R. was 16 years old and continued until his recommitment, notwithstanding that he spent considerable time in treatment facilities or under the outpatient supervision of psychiatric professionals.

Both psychiatrists opined that Jamie R. suffered from a dangerous mental disorder requiring inpatient treatment in a secure facility. Dr. Malavade diagnosed him as suffering from antisocial personality disorder marked by longstanding problems with impulsivity and aggression. He found that placement in a secure facility was warranted because Jamie R.'s extensive history of abusive and threatening behavior demonstrated that he was at a high risk for violence. He was particularly troubled by the fact that Jamie R. had limited-to-no insight concerning his mental illness and lacked remorse for past misconduct, suggesting an inability or unwillingness to control his pattern of abusive behavior.

Dr. Siegel similarly testified that Jamie R. suffered from antisocial personality disorder, impulse control disorder, and psychopathy, meaning that he did not empathize with others and did not appreciate that his abusive or threatening conduct was harmful to others. He noted that Jamie R. lacked remorse for his prior transgressions and did not take responsibility for them, but instead characterized himself as a victim, contending that his prior conflicts all occurred because he was being picked on or treated unfairly by the others involved. Dr. Siegel concluded that these factors, coupled with a failure to appreci-

ate the nature of his illness, placed Jamie R. at a high risk for further violent and abusive behavior.

Jamie R. did not present any expert proof contradicting the psychological assessments of the Commissioner's witnesses. But he did testify on his own behalf, asserting that he did not suffer from a mental illness and, in any event, did not require inpatient treatment. Jamie R.'s mother also testified, urging the jury to release her son from OMH custody and allow him to return home to live with her.

The jury found that Jamie R. suffered from a mental illness necessitating inpatient treatment but did not "currently constitute a physical danger to himself or others." Treating the latter conclusion as an advisory verdict on the dangerous mental disorder issue, New York County Supreme Court nonetheless agreed with the jury's conclusion and entered a judgment determining that Jamie R. was mentally ill requiring retention in OMH custody but did not suffer from a dangerous mental disorder necessitating placement in a secure facility.

In the first order, New York County Supreme Court did not disturb Dutchess County Supreme Court's recommitment order but instead directed that Jamie R. be transferred to a nonsecure facility. Jamie R. then moved to resettle the order, arguing that the finding that he could be retained pursuant to the recommitment order was inconsistent with the finding that he must be transferred to a nonsecure facility because, by definition, a CPL 330.20 recommitment order reflects a determination that the acquittee suffers from a dangerous mental disorder requiring secure placement. New York County Supreme Court granted the motion and issued a resettled order denying the Commissioner's recommitment application and further directing that Jamie R. be placed in a nonsecure facility.

On the Commissioner's appeal, the Appellate Division reversed and reinstated Dutchess County Supreme Court's recommitment order. The Court concluded that New York County Supreme Court had erred in revisiting the earlier determination that Jamie R. suffered from a dangerous mental disorder because such a determination may be challenged only in an appeal to the Appellate Division. Interpreting the language in CPL 330.20 (16) and Mental Hygiene Law § 9.35—the statutes authorizing rehearing and review—the Court held that such a proceeding allows a jury (or a court, if the patient waives a jury) to address whether a patient suffers from a mental illness

requiring inpatient care, but does not authorize a jury to consider the dangerous mental disorder question and thereby decide what type of facility should treat the patient. As an alternative holding, the Court concluded that, even if the dangerous mental disorder determination had been reviewable on rehearing and review, New York County Supreme Court's determination that Jamie R. did not suffer from a dangerous mental disorder was not supported by any fair interpretation of the evidence given the overwhelming proof that secure placement was warranted. We granted Jamie R. leave to appeal and we now affirm.

Analysis

On appeal to this Court, Jamie R. no longer asserts (as he did at the rehearing and review proceeding) that he is entitled to be released from OMH custody. Rather, he objects to his placement in a secure facility, contending that the dangerous mental disorder issue was properly submitted to the jury in the rehearing and review proceeding and that the jury finding that he does not suffer from a dangerous mental disorder should be given effect. In other words, Jamie R. seeks transfer to a nonsecure facility.

OMH counters that rehearing and review—a procedure borrowed from the civil commitment statutory scheme—is limited to giving the patient a second chance at the trial level to object to confinement in OMH custody, allowing relitigation of that issue before a jury. OMH argues that placement questions, including the proper facility in which to treat a patient, are beyond the scope of rehearing and review.

Under CPL 330.20, an insanity acquittee dissatisfied with a commitment, recommitment or retention determination has two avenues of redress: a permissive appeal under CPL 330.20 (21)⁸ or a rehearing and review proceeding under CPL 330.20 (16). CPL 330.20 (21) contains an election of remedies provision that requires the patient to choose between these two procedural routes.

Here, Jamie R. selected rehearing and review. CPL 330.20 (16) provides:

8. It is undisputed that an insanity acquittee can obtain review of the dangerous mental disorder determination underlying track one classification and placement in a secure facility in an appeal from a commitment, recommitment or retention order.

“[a]ny defendant who is in the custody of the commissioner pursuant to a commitment order, a retention order, or a recommitment order, if dissatisfied with such order, may, within thirty days after the making of such order, obtain a rehearing and review of the proceedings and of such order in accordance with the provisions of section 9.35 or 15.35 of the mental hygiene law.”

Mental Hygiene Law §§ 9.35 and 15.35 are part of the statutory scheme governing the involuntary commitment of civil patients, the former covering mentally ill patients and the latter addressing mentally retarded/developmentally disabled patients. In virtually identical terms, each statute grants civil patients a right to rehearing and review of certain civil confinement orders. When a mentally ill patient requests rehearing and review, Mental Hygiene Law § 9.35 directs that the court “shall cause a jury to be summoned and shall try the question of the mental illness and the need for retention of the patient so authorized to be retained.” The statute further allows a patient to “waive the trial of the fact by a jury and consent in writing to trial of such fact by the court” (Mental Hygiene Law § 9.35). Rehearing and review therefore provides a psychiatric patient a unique opportunity to relitigate certain confinement issues before a second trial-level court.

We interpreted these rehearing and review provisions in *Matter of Norman D.* (3 NY3d 150 [2004]), a case where an insanity acquittee sought to use the procedure to obtain review of an initial commitment order. By definition, whenever a court issues a commitment or recommitment order, it has found that the patient suffers from a dangerous mental disorder warranting placement in a secure facility and classification or reclassification as a track one acquittee (*see* CPL 330.20 [1] [f]; [6], [14]). That was the case with Norman D.—after a commitment proceeding, he was found to suffer from a dangerous mental disorder which carried with it track one classification and placement in a secure facility.

By the time Norman D.’s rehearing and review proceeding was conducted, his condition had improved to the extent that he no longer required treatment in a secure facility and OMH agreed to transfer him to a nonsecure facility. Seeking to challenge his continuing status as a track one patient, however, Norman D. persisted with the request for rehearing and review of the commitment order. Just as Jamie R. contends in this

case, Norman D. argued that the rehearing and review statutes authorize de novo review of every aspect of the order challenged. Since track one classification emanates by operation of law from a commitment determination, Norman D. claimed that track one classification could be revisited by the jury or court on rehearing and review.

This Court rejected that argument, noting that “[r]ehearing and review is to be conducted in accordance with” Mental Hygiene Law § 9.35 (for mentally ill patients), a statute that restricts the issue addressed in such a proceeding to the factual “question of the mental [illness] and the need for retention of the [patient]” (*Norman D.*, 3 NY3d at 155, quoting Mental Hygiene Law § 9.35). This rehearing and review provision makes no reference to the patient being a “physical danger to himself or others” and therefore does not encompass the dangerous mental disorder determination that justifies track one classification and placement in a secure facility.

Thus, we held in *Norman D.* that a patient can challenge a track one classification on appeal but not in a rehearing and review proceeding. As to the latter, we clarified that a rehearing and review is a “de novo evidentiary proceeding, with the findings a snapshot of the acquittee’s condition at that moment” (*id.*). It provides an avenue for the patient to challenge “the conditions of supervision originally imposed,” thereby allowing review of whether the insanity acquittee requires inpatient treatment or is able to be safely released in the community and supervised as an outpatient under an order of conditions (*id.* at 155-156). Simply put, rehearing and review allows a patient to place before the jury the basic liberty issue of whether he or she should be confined in OMH custody.

Jamie R. attempts to avoid the impact of our decision in *Norman D.* by drawing a distinction between track one classification and the underlying dangerous mental disorder determination authorizing placement in a secure facility. Recognizing that *Norman D.* precludes rehearing and review of the former, he nonetheless maintains that Mental Hygiene Law § 9.35 authorizes reconsideration of the latter. In addition to the fact that dangerous mental disorder review falls outside the defining language in section 9.35, this argument must be rejected based on other aspects of our analysis in *Norman D.*

Our conclusion that review of Norman D.’s track one classification was not within the purview of Mental Hygiene Law

§ 9.35 was premised, in part, on the observation that track status involves “a determination that is unique to individuals who have committed criminal acts and inapplicable to involuntary civil patients” (3 NY3d at 157). As a result, its inclusion in the civil rehearing and review procedure incorporated by reference in CPL 330.20 (16) could not have been contemplated by the Legislature. Since track one classification turns entirely on a dangerous mental disorder determination, and dangerous mental disorder is also a concept unique to criminal acquittees, we fail to see how our decision in *Norman D.* permits an analytical distinction between the two in the context of rehearing and review.⁹ If the dangerous mental disorder determination is not reviewable on rehearing and review for purposes of revisiting track status as we held in *Norman D.*, it follows that it is not reviewable on rehearing and review for purposes of revisiting the secure versus nonsecure placement question.¹⁰

The logic of this conclusion is apparent, particularly when viewed in the broader context of CPL 330.20. Although the statute authorizes courts supervising insanity acquittees to issue many types of orders, such as transfer orders, furlough orders

9. In fact, although Jamie R. seeks reinstatement of New York County Supreme Court’s resettled order, he fails to acknowledge that the court made no such distinction (which is understandable given that these proceedings preceded our decision in *Norman D.*). By denying OMH’s recommitment application, the court effectively vacated Dutchess County Supreme Court’s recommitment order and overruled Jamie R.’s track one reclassification. This was the very result we held to be beyond the scope of rehearing and review in *Norman D.*

10. It makes no difference that New York County Supreme Court only submitted the issue to the jury for purposes of obtaining an advisory verdict, reserving to itself the ultimate decision on dangerous mental disorder, a procedure suggested in several appellate cases (see e.g. *Matter of Watkins R. v Rosenwasser*, 4 AD3d 431 [2d Dept 2004]; *Matter of James M. v Consilvio*, 6 AD3d 153 [1st Dept 2004]). In fact, both parties in this case agree that the advisory verdict approach is not consistent with the statutory scheme, framing the issue as whether dangerous mental disorder is reviewable by either a judge or a jury on rehearing and review of a recommitment order. That question can be answered only by reference to the pertinent statutory language—which, as we concluded in *Norman D.*, appears in Mental Hygiene Law § 9.35. Whether decided by a jury or a judge, that provision limits the issues that may be addressed on rehearing and review to mental illness and the need for inpatient treatment. Moreover, under section 9.35, the decision whether to have a jury resolve the pertinent issues is vested in the patient, not the court. Here, Jamie R.’s counsel did not waive his right to jury review. As such, even if the dangerous mental disorder finding had been reviewable on rehearing and review, there was no statutory basis for New York County Supreme Court to treat the verdict on that issue as advisory rather than binding. Therefore, the cases giving an advisory role to the jury should not be followed.

and orders of conditions, the right to rehearing and review was extended to only three: commitment, recommitment and retention orders (*see* CPL 330.20 [16]). The other orders excluded from rehearing and review relate not to the liberty question of whether inpatient treatment is warranted but to specific aspects of patient treatment,¹¹ suggesting that the Legislature did not contemplate a jury (or a court, if a jury is waived) to revisit those types of issues on rehearing and review.

In contrast, the three types of orders for which rehearing and review is authorized all address the fundamental question of whether a patient can be confined in OMH custody. In order to obtain a retention order, OMH must establish at a minimum that an insanity acquittee is “mentally ill” (which, by definition, means the patient suffers from a mental illness and needs inpatient treatment), but a retention order can be obtained without a showing that the patient suffers from a dangerous mental disorder (*see* CPL 330.20 [8]).¹² To obtain a commitment or recommitment order, OMH must prove not only the threshold question of mental illness and the need for retention but also that the insanity acquittee suffers from a dangerous mental disorder under the heightened dangerousness standard.

Thus, the element common to all retention, commitment and recommitment orders is the basic liberty issue of whether a

11. A “[f]urlough order” directs the Commissioner of OMH “to allow a defendant in confinement pursuant to a commitment order, recommitment order or retention order to temporarily leave the facility for a period not exceeding fourteen days, either with or without the constant supervision of one or more employees of the facility” (CPL 330.20 [1] [k]). A “[t]ransfer order” authorizes transfer of a defendant from a secure to a nonsecure facility (CPL 330.20 [1] [l]). An “[o]rder of conditions” is “an order directing a defendant to comply with this prescribed treatment plan, or any other condition which the court determines to be reasonably necessary or appropriate, and, in addition, where a defendant is in custody of the commissioner, not to leave the facility without authorization” (CPL 330.20 [1] [o]). Where appropriate, such an order can also require a defendant to refrain from harassing any victims or witnesses of the underlying criminal offense, or stay away from their homes, schools or businesses (*id.*).

12. As we explained in *Matter of David B.* (97 NY2d 267 [2002]), this threshold standard encompasses a showing that the patient is dangerous, although the concept of danger necessary to justify confinement in a nonsecure facility is not equivalent to the heightened dangerousness finding—dangerous mental disorder—that justifies placement in a secure facility. With respect to the “constitutionally required minimum level of dangerousness to oneself or others that must be shown before an insanity acquittee may be retained in a non-secure facility” (*id.* at 276), “dangerousness is not coterminous with violence” (*id.* at 278) but is part of the finding that inpatient care is essential to the patient’s physical or psychological well-being.

patient should be held in OMH custody—the very issue identified in Mental Hygiene Law § 9.35 as the subject of rehearing and review. By extending rehearing and review to these types of CPL 330.20 orders but not others, the Legislature clearly intended to provide insanity acquittees a second chance to obtain release from OMH custody in the event of an erroneous deprivation of liberty, while avoiding duplicate litigation in the form of de novo review of less fundamental placement/treatment decisions. This result is consistent with the Legislature’s broader intent when it enacted the current version of CPL 330.20 “to strike a balance between public safety and the individual rights of the acquittee” (*Norman D.*, 3 NY3d at 154).

As this Court concluded in *Mental Hygiene Legal Servs. v Ford* (92 NY2d 500, 508 [1998], quoting *Savastano v Nurnberg*, 77 NY2d 300, 308 [1990]), a case in which an involuntarily committed civil patient unsuccessfully challenged the constitutional validity of OMH’s administrative transfer procedure, the decision to treat a patient in a secure as opposed to a nonsecure facility “reflects primarily a *medical* judgment about the kind of facility that would best serve the patient’s therapeutic needs.” This is particularly true “in the case of a violent mentally ill patient, [since] security concerns are inextricably linked to considerations of professional medical treatment” (*id.* at 509). Such treatment concerns fall outside the ambit of the limited question of “mental illness and the need for retention” at issue in a rehearing and review proceeding under Mental Hygiene Law § 9.35.

At its core, Jamie R.’s claim is that he should be able to challenge on rehearing and review Dutchess County Supreme Court’s decision to authorize his transfer from a nonsecure to a secure facility. But involuntarily committed civil patients transferred from a nonsecure to a secure facility under OMH’s administrative transfer procedure (*see* Mental Hygiene Law § 29.11 [a]; 14 NYCRR 57.2) are not entitled to rehearing and review of the propriety of that placement determination. We explained in *Norman D.* that, by referencing Mental Hygiene Law § 9.35, the Legislature intended to provide insanity acquittees “rehearing and review rights comparable to [those of] civilly committed patients” (*Norman D.*, 3 NY3d at 156). If we were to recognize a right to rehearing and review of what is essentially a transfer decision, we would be granting to insanity acquittees a broader procedural right not generally available to civil patients. We see no evidence in this statutory scheme that such a consequence was intended by the Legislature.

Finally, we note that our conclusion does not shield the dangerous mental disorder determination from a second level of judicial scrutiny since the issue is reviewable in an appeal to the Appellate Division under CPL 330.20 (16). Moreover, even in the absence of an appeal, insanity acquittees are entitled to frequent judicial review of placement decisions emanating from commitment or recommitment orders because they expire after six months (*see* CPL 330.20 [1] [f]), at which point the propriety of confinement is reviewed at periodic retention hearings where OMH must prove to the satisfaction of the court that the patient currently suffers from a dangerous mental disorder warranting continued placement in a secure facility (*see* CPL 330.20 [8]).

Accordingly, the order of the Appellate Division should be affirmed, without costs.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT, READ and R.S. SMITH concur.

Order affirmed, without costs.

[844 NE2d 753, 811 NYS2d 299]

QURRISE C. HARRIS, Appellant, v NIAGARA FALLS BOARD OF EDUCATION et al., Respondents.

Argued January 4, 2006; decided February 14, 2006

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered March 18, 2005. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, Niagara County (Richard C. Kloch, Sr., J.), which had denied defendants' motion to dismiss the complaint, (2) granted the motion, and (3) dismissed the complaint.

Harris v Niagara Falls Bd. of Educ., 16 AD3d 1165, affirmed.

HEADNOTE

Dismissal and Nonsuit — Failure to Purchase Index Number

After plaintiff successfully applied in a separate special proceeding for leave to serve a late notice of claim, he was required to comply with the commencement-by-filing system in commencing a personal injury action by paying a filing fee, obtaining a new index number and filing the summons and complaint. Because plaintiff did not pay the fee and used the index number from the previously concluded special proceeding, he failed to comply with the requirements of CPLR 304 and 306-a and his action was subject to dismissal. Although plaintiff's failure to pay the filing fee was a commencement infirmity that was waivable, the complaint was properly dismissed inasmuch as defendants timely objected to plaintiff's defective filing in their pre-answer motion to dismiss.

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AM JUR 2d, Municipal Corporations, Counties, and Other Political Subdivisions §§ 640, 641; AM JUR 2d, Pleading § 31.

CARMODY-WAIT 2d, Commencement of Actions; Summons and Service of Process §§ 24:10, 24:55, 24:64; CARMODY-WAIT 2d, Pretrial Motions to Dismiss § 38:5.

McKINNEY'S, CPLR 304, 306-a (a).

NY JUR 2d, Government Tort Liability § 403; NY JUR 2d, Process and Papers §§ 12, 14, 15.

SIEGEL, NY PRAC §§ 78, 553.

ANNOTATION REFERENCE

See ALR Index under Notice of Claim; Pleadings; Process and Service of Process and Papers.

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Query: failure /3 purchase obtain /4 index /2 number /s
dismiss!

POINTS OF COUNSEL

Nicholas, Perot, Smith, Bernhardt & Zosh, P.C., Akron (Craig H. Bernhardt of counsel), for appellant. I. This lawsuit was properly commenced. (*Matter of Fry v Village of Tarrytown*, 89 NY2d 714; *Fallarino v Board of Educ. of Long Beach City School Dist.*, 160 Misc 2d 682; *Matter of Gershel v Porr*, 89 NY2d 327; *Nikolaidis v Makita Corp.*, 242 AD2d 322; *Forsythe-Kane v Town of Yorktown*, 228 AD2d 548; *Tufano v Tufano*, 220 AD2d 407; *Cellular Tel. Co. v Village of Tarrytown*, 209 AD2d 57; *Chira v Global Med. Review*, 160 Misc 2d 368.) II. Under the present circumstances, failure to pay a fee for an index number is not so grievous a defect as to mandate dismissal where the summons and complaint were filed and date stamped by the County Clerk's Office. (*Rybka v New York City Health & Hosps. Corp.*, 263 AD2d 403; *Ruiz v New York City Hous. Auth.*, 216 AD2d 258; *Matter of Gershel v Porr*, 89 NY2d 327; *Otero v New York City Hous. Auth.*, 94 NY2d 800.)

Sliwa & Lane, Buffalo (Stanley J. Sliwa and Barbara A. Sherk of counsel), for respondents. I. The Appellate Division, Fourth Department, correctly determined that the action was not timely commenced. (*Matter of Fry v Village of Tarrytown*, 89 NY2d 714; *Matter of Mendon Ponds Neighborhood Assn. v Dehm*, 98 NY2d 745; *Matter of Gershel v Porr*, 89 NY2d 327; *Otero v New York City Hous. Auth.*, 94 NY2d 800; *Brill v City of New York*, 2 NY3d 648; *Miceli v State Farm Mut. Auto. Ins. Co.*, 3 NY3d 725; *Ruiz v New York City Hous. Auth.*, 216 AD2d 258; *Rybka v New York City Health & Hosps. Corp.*, 263 AD2d 403; *Matter of Spodek v New York State Commr. of Taxation & Fin.*, 85 NY2d 760.) II. The statute of limitations expired and Qurrise Harris' failure to timely commence does not require the showing of prejudice. (*Railroad Telegraphers v Railway Express Agency, Inc.*, 321 US 342; *Perez v Paramount Communications*, 92 NY2d 749; *Blanco v American Tel. & Tel. Co.*, 90 NY2d 757.)

OPINION OF THE COURT

GRAFFEO, J.

Plaintiff did not comply with the commencement-by-filing

system when he commenced this personal injury action using an index number from a prior special proceeding. Because defendants timely objected to plaintiff's failure to purchase a new index number, the Appellate Division properly dismissed the complaint.

On May 2, 2002, plaintiff Qurrise Harris allegedly sustained injuries when a vehicle driven by defendant Carmen Grant, Jr. and owned by either defendant Niagara Falls Board of Education or defendant Niagara Falls City School District struck him while he was riding his bicycle. Since plaintiff did not serve a notice of claim on the school board or school district within 90 days of the accident (*see* General Municipal Law §§ 50-e, 50-i), plaintiff commenced a special proceeding in April 2003 requesting leave to serve a late notice of claim (*see* General Municipal Law § 50-e [5]). In connection with such application, plaintiff's counsel paid a filing fee to obtain an index number. In June 2003, Supreme Court granted plaintiff's application to the extent that plaintiff was permitted to file and serve a notice of claim on the City of Niagara Falls.

Plaintiff thereafter retained different counsel, who brought a second proceeding for leave to serve a late notice of claim against the school board and school district. Supreme Court granted plaintiff's application, which bore the same index number as the earlier application, and required plaintiff to serve the notice of claim and commence the personal injury action by July 30, 2003. Before this deadline, plaintiff filed and served the notice of claim. He then immediately initiated this action against the school board, the school district and the driver of the vehicle by filing a summons and complaint with the Niagara County Clerk's Office. Plaintiff, however, used the same index number as assigned to the previous late notice of claim applications.

Soon after, defendants moved to dismiss the complaint pursuant to CPLR 3211 as time-barred, claiming that plaintiff's failure to purchase a new index number resulted in the action not having been properly commenced prior to expiration of the statute of limitations. Plaintiff opposed the motion and alternatively sought leave to purchase a new index number. Relying on *Otero v New York City Hous. Auth.* (94 NY2d 800 [1999]), Supreme Court denied defendants' motion. The Appellate Division reversed and dismissed the complaint, holding that Supreme Court lacked subject matter jurisdiction because the action was not properly commenced in the absence of a new index number. We granted plaintiff leave to appeal and now affirm, but for a different reason.

Pursuant to the commencement-by-filing system, a party initiates an action or special proceeding by paying the necessary fee, obtaining an index number and filing the initiatory papers—a summons and complaint or a summons with notice in an action, or a petition in a special proceeding—with the clerk of the court (*see* CPLR 304, 306-a; *see also* *Matter of Mendon Ponds Neighborhood Assn. v Dehm*, 98 NY2d 745, 747 [2002]). Under the procedure mandated by the CPLR, “service of process without first paying the filing fee and filing the initiatory papers is a nullity, the action or proceeding never having been properly commenced” (*Matter of Gershel v Porr*, 89 NY2d 327, 330 [1996]).

In *Gershel*, the petitioner commenced a CPLR article 78 proceeding by paying the filing fee, securing an index number and filing the initiatory papers. In response to the respondent’s motion to dismiss for improper service, the petitioner voluntarily withdrew the order to show cause and decided to begin anew. The petitioner then served the petition on respondent, together with a notice of petition, but did not file the new set of initiatory papers with the clerk or pay a filing fee for a new index number. We concluded that the respondent was entitled to dismissal of the proceeding because the petitioner was required to comply with each of the statutory filing requirements once he decided to bring a new proceeding. Thus, “the new proceeding was never properly commenced and the attempted service was a nullity” (*id.* at 332).

We made clear in *Matter of Fry v Village of Tarrytown* (89 NY2d 714 [1997]) that a defect in compliance with the commencement-by-filing system does not deprive a court of subject matter jurisdiction and, accordingly, is waived absent a timely objection by the responding party. In *Fry*, the petitioner did not fulfill the filing requirements when, after paying the filing fee, he filed an unexecuted order to show cause and petition with the clerk of the court. After examining the language and purpose of the filing provisions, we determined that the trial court had improperly dismissed the proceeding *sua sponte* because the respondents had waived any objection to the defective filing by appearing in the proceeding and litigating its merits without raising an objection. Significantly, we reaffirmed *Gershel*, stating that “[s]trict compliance with CPLR 304 and the filing system is mandatory, and the extremely serious result of noncompliance, so long as an objection is timely raised by an appearing party, is outright dismissal of the proceeding” (*id.* at 723).

Gershel and *Fry* strike a balance between the competing interests of opposing parties in the commencement process. As Professor Siegel has observed, “[p]laintiffs and petitioners are deterred from casualness by being put on notice that the technical requirements will be strictly construed, while defendants and respondents are warned that if they want to capitalize on technicalities they must mind their own procedures” (Siegel, NY Prac § 63, at 94 [4th ed]). A court should dismiss an action or proceeding only where the plaintiff or petitioner does not fulfill all the filing requirements *and* the defendant or respondent timely objects.

Here, after plaintiff successfully applied for leave to serve a late notice of claim in a separate special proceeding, he was required to comply with the filing requirements in commencing this personal injury action by paying a filing fee, obtaining a new index number, and filing the summons and complaint. Instead, plaintiff did not pay the fee and used the index number from the previously concluded special proceeding. Having failed to comply with the requirements of CPLR 304 and 306-a, plaintiff’s action was subject to dismissal. Contrary to the Appellate Division’s determination that Supreme Court lacked subject matter jurisdiction, plaintiff’s failure to pay the filing fee is a commencement infirmity that is waivable. The Appellate Division, however, correctly dismissed the complaint inasmuch as defendants timely objected to plaintiff’s defective filing in their pre-answer motion to dismiss (*see Fry*, 89 NY2d at 723).

Otero does not dictate a contrary result. In that case, the plaintiff similarly failed to comply with the filing requirements by commencing an action in 1994 using an index number from a prior late notice of claim application. We affirmed the denial of the motion to dismiss where, among other things, the defendant did not object to the plaintiff’s filing deficiency until 1997, after the plaintiff had purchased a new index number at the County Clerk’s request (94 NY2d at 801). Here, in contrast to *Otero*, defendants timely raised the proper objection.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT and R.S. SMITH concur; Judge READ taking no part.

Order affirmed, with costs.

[844 NE2d 743, 811 NYS2d 289]

STATE OF NEW YORK, Respondent, v PATRICIA II., Appellant.

Argued January 10, 2006; decided February 9, 2006

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered December 30, 2004. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, Albany County (Thomas J. McNamara, J.), which had granted defendant's motion to dismiss the complaint for failure to state a cause of action, (2) denied defendant's motion, and (3) granted plaintiff's cross motion and awarded summary judgment to plaintiff.

State of New York v Patricia II., 13 AD3d 1013, affirmed.

HEADNOTE**Mental Health — Patient in Custody of Commissioner of Mental Health — Reimbursement for Services Rendered**

A former psychiatric patient's ability to pay the costs of her care and treatment incurred at a state-operated psychiatric facility was not a condition precedent to the State's right to maintain an action to recover those costs under article 43 of the Mental Hygiene Law. The plain language of article 43 provides that an indigent patient need not pay for services at the time they are rendered, but remains liable for them (*see* Mental Hygiene Law § 43.01 [a]; § 43.03 [a]; *see also* Mental Hygiene Law § 43.03 [b]; § 43.07 [b], [c]). Although the pre-1972 Mental Hygiene Law conditioned recovery for services rendered on the existence of a patient's assets, in 1972 the Legislature removed the language conditioning liability on ability to pay. Inasmuch as a patient remains liable for the full amount of unpaid fees for care and treatment, the State can initiate suit regardless of the patient's current ability to pay, and thereby obtain a judgment that is subject to collection for 20 years.

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AM JUR 2d, Hospitals and Asylums §§ 8, 9.

McKINNEY'S, Mental Hygiene Law § 43.01 (a); § 43.03 (a), (b); § 43.07 (b), (c).

NY JUR 2d, Hospitals and Related Health Care Facilities §§ 206, 210, 211, 216, 218.

ANNOTATION REFERENCE

See ALR Index under Hospitals; Medical Care and Treatment; Medical Expenses.

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Query: recover! /p cost /s care /s treatment /p psych!

POINTS OF COUNSEL

Mental Hygiene Legal Service, Third Judicial Department, Albany (Sheila E. Shea of counsel), for appellant. I. Appellant's ability to pay the cost of her care is a condition precedent to the State of New York's Mental Hygiene Law article 43 action to recover care and treatment costs. (*State of New York v Ross*, 109 AD2d 937; *Hammelburger v Foursome Inn Corp.*, 54 NY2d 580; *Brown v Stone*, 66 F Supp 2d 412; *Matter of Seelen*, 87 Misc 2d 360; *Matter of Kesselbrenner v Anonymous*, 33 NY2d 161; *Matter of Girard v City of Glens Falls*, 173 AD2d 113, 79 NY2d 757; *Mental Health Info. Servs. v Schenectady County Dept. of Social Servs.*, 128 Misc 2d 282; *State of New York v Stavola*, 135 AD2d 1038.) II. Assets which are exempt from levy or execution do not satisfy the Mental Hygiene Law article 43 condition precedent. (*Matter of Gallet*, 196 Misc 2d 303; *Matter of Jacob*, 92 Misc 2d 1027.)

Eliot Spitzer, Attorney General, Albany (Michelle Aronowitz, Julie S. Mereson, Caitlin J. Halligan and Daniel Smirlock of counsel), for respondent. I. Defendant's ability to pay the costs of her care and treatment is not a condition precedent to the State of New York's right to maintain an action to recover them pursuant to Mental Hygiene Law article 43. (*Langevin v State of New York*, 196 Misc 2d 809; *Matter of Seelen*, 87 Misc 2d 360; *State of New York v Ross*, 109 AD2d 937; *Matter of Osadchey*, 53 AD2d 960; *Matter of Colon*, 83 Misc 2d 344; *Brown v Stone*, 66 F Supp 2d 412; *Nicholson v Scoppetta*, 344 F3d 154.) II. It furthers the statutory scheme for the State of New York to reduce its claim to judgment before the statute of limitations expires. (*Matter of Piper*, 145 AD2d 97; *Matter of Halbauer*, 34 Misc 2d 458, 18 AD2d 966; *Matter of Gallet*, 196 Misc 2d 303; *Matter of Jacob*, 92 Misc 2d 1027; *Matter of Granwell*, 20 NY2d 91.)

OPINION OF THE COURT

CIPARICK, J.

The issue presented by this appeal is whether a former psychiatric patient's ability to pay the costs of her care and treatment incurred at a state-operated psychiatric facility is a condi-

tion precedent to the State's right to maintain an action to recover those costs under article 43 of the Mental Hygiene Law. We hold that it is not.

Defendant was a patient at the state-operated South Beach Psychiatric Center from January 2, 1997 through March 11, 1997. Her care and treatment during this period were primarily covered by Medicare, but a balance of \$12,160 remained unpaid. After defendant's release, the State discovered that, along with guaranteed income sources from Social Security and a private pension, defendant maintained an individual retirement account (IRA) with Emigrant Savings Bank valued in excess of \$18,000 as of July 1, 2001. On May 9, 2002, the State commenced this Mental Hygiene Law article 43 action to recover the balance due for the cost of defendant's care and treatment.

Defendant, through her guardian ad litem, admitted that she owed the money claimed but moved to dismiss the complaint for failure to state a cause of action, on the ground that the complaint did not allege that defendant had the ability to pay. The State cross-moved for summary judgment asserting that Mental Hygiene Law article 43 does not require the ability to pay as a condition precedent to an action to recover the cost of services rendered. Additionally, the State maintained that the defendant was not indigent and had the ability to pay.

Supreme Court granted defendant's motion to dismiss for failure to state a cause of action, reasoning that although Mental Hygiene Law article 43 does not expressly require ability to pay, state courts have, nonetheless, required the State to prove ability to pay as a condition precedent to liability. Additionally, Supreme Court reasoned that since an IRA account is exempt from execution under CPLR 5205 (c), it cannot be deemed to satisfy the condition precedent. The Appellate Division reversed and granted summary judgment to the State, holding that the clear and unequivocal language of article 43 does not condition an action to recover costs on a patient's ability to pay. We granted defendant leave to appeal and now affirm.

"It is fundamental that a court, in interpreting a statute, should attempt to effectuate the intent of the Legislature" (*Patrolmen's Benevolent Assn. of City of N.Y. v City of New York*, 41 NY2d 205, 208 [1976]). The starting point is always to look to the language itself and "[w]here the language of a statute is clear and unambiguous, courts must give effect to its plain meaning" (*Matter of Tall Trees Constr. Corp. v Zoning Bd. of Appeals of Town of Huntington*, 97 NY2d 86, 91 [2001]).

The plain language of article 43 provides that an indigent patient need not pay for services at the time they are rendered, but remains liable for them (*see* Mental Hygiene Law § 43.01 [a]; § 43.03 [a]). The State may reduce or waive fees in cases of inability to pay, but acceptance of less than the full fee or the waiver of a fee or any part thereof shall not be construed to release a patient from liability for the entire cost of the care and treatment (*see* Mental Hygiene Law § 43.03 [b]). Also, in order to facilitate recovery, the State may file a lien to recover amounts due (*see* Mental Hygiene Law § 43.07 [b]). Furthermore, it is uncontested that article 43 grants the State the authority to recover the cost of defendant's care and treatment through an action commenced within six years from when the fees become due (*see* Mental Hygiene Law § 43.07 [c]).

Defendant maintains that article 43's legislative history and legislative intent require a showing of ability to pay. Before the Mental Hygiene Law was recodified in 1972, it differentiated between the requirements for contribution for services currently being rendered and recovery for services rendered. The pre-1972 Mental Hygiene Law allowed the State to seek contribution from certain designated third parties if they had "sufficient ability" to pay (*see* L 1966, ch 256, § 54; former Mental Hygiene Law § 24 [2]). Furthermore, the pre-1972 Mental Hygiene Law allowed the State to recover the cost of services rendered only from those former patients who subsequently acquired assets (*see* L 1966, ch 256, § 54; former Mental Hygiene Law § 24 [6]). Defendant asserts that since the pre-1972 Mental Hygiene Law conditioned recovery for services rendered on the existence of a patient's assets, the present Mental Hygiene Law must be likewise interpreted to require the patient's ability to pay as a condition precedent to liability.

Defendant supports this contention with a legislative memorandum from 1972 stating that the present Mental Hygiene Law article 43 "is substantially similar to existing [pre-1972] provisions" (Mem of Joint Legis Comm on Mental & Physical Handicap, 1972 McKinney's Session Laws of NY, at 3277, 3289). Defendant infers from this statement that the Legislature did not intend to change the requirement that the ability to pay be a condition precedent to commencing a recovery action.

In 1972, upon the merging of contribution and recovery in article 43, the Legislature removed the language conditioning liability on ability to pay. Indeed, the Legislature has specifically imposed such conditions precedent to recovery actions in other

statutes and could have done so here if that were its intent.* It clearly was not. Under article 43, a former patient remains liable for the cost of care and treatment regardless of ability to pay. The Legislature sought to confer upon the State the authority to recover costs for care and treatment from former patients, where possible.

The State's ability to obtain a judgment against defendant, regardless of defendant's present financial status, promotes the statutory scheme of the Mental Hygiene Law. Under defendant's interpretation, the State would have only six years from the date of the patient's release to obtain a judgment, and only if the patient had the ability to pay (*see* Mental Hygiene Law § 43.07). However, since a patient remains liable for the full amount of unpaid fees for care and treatment, the State can initiate suit regardless of the patient's current ability to pay, and thereby obtain a judgment that is subject to collection for 20 years (*see* CPLR 211 [b]). Thus, summary judgment was properly granted to the State. Having so found, it is unnecessary to address defendant's remaining contentions.

Accordingly, the order of the Appellate Division should be affirmed, without costs.

Chief Judge KAYE and Judges G.B. SMITH, ROSENBLATT, GRAFFEO, READ and R.S. SMITH concur.

Order affirmed, without costs.

* It did so when providing, for example, for the recovery of public assistance payments from responsible relatives in Social Services Law § 101 (1) only "if of sufficient ability" and in an action for the recovery of birth expenses from unwed fathers, authorized in Social Services Law § 366 (3) (a), only if the father has "sufficient income" (*Matter of Steuben County Dept. of Social Servs. v Deats*, 76 NY2d 451, 459 [1990]).

[844 NE2d 296, 810 NYS2d 749]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v HARRY
J.F. BLOOMFIELD, Respondent.

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v STUART
CREGGY, Respondent.

Argued January 5, 2006; decided February 14, 2006

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered February 24, 2005. The Appellate Division (1) reversed, on the law, two judgments of the Supreme Court, New York County (Laura Visitacion-Lewis, J., at hearing; Bernard J. Fried, J., at trial), which had convicted defendants, after a nonjury trial, of conspiracy in the fifth degree and 16 counts of falsifying business records in the first degree, and (2) dismissed the indictment.

People v Bloomfield, 15 AD3d 302, reversed.

HEADNOTE

Crimes — Falsifying Business Records

In a prosecution for falsifying business records arising out of fraudulent securities transactions, fraudulent letters kept in the files of an enterprise's legal counsel, rather than at the company's headquarters, constituted "business records" within the meaning of Penal Law § 175.00. "Business record" is defined as "any writing or article . . . maintained by an enterprise for the purpose of evidencing or reflecting its condition or activity" (Penal Law § 175.00 [2]). The statute does not refer to the location of the records, and location is merely a factor to consider in determining whether the purpose of the records is to reflect or evidence the "condition or activity" of the enterprise. Here, there was a valid line of reasoning and permissible inference by which to hold that the subject letters, which purported to state the identity of the owner of the corporation, were produced for the "purpose of evidencing or reflecting [the enterprise's] condition"—that certain corporations were owned by a foreigner, a condition essential to the illicit scheme. That the false documents were created and held for the purpose of deceiving outside third parties did not disqualify the documents as business records.

TOTAL CLIENT-SERVICE LIBRARY® REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Records and Recording §§ 11, 13.
McKINNEY'S, Penal Law § 175.00 (2).
NY JUR 2d, Criminal Law § 4399.

ANNOTATION REFERENCE

See ALR Index under Records and Recording.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: falsifying /2 business /2 record /3 first & location
/s record document

POINTS OF COUNSEL

Robert M. Morgenthau, District Attorney, New York City (Gina Mignola and Amyjane Rettew of counsel), for appellant. Contrary to the view of the Appellate Division, the evidence in this case was legally sufficient to establish that the fraudulent Charles Wilson cover-up letters were business records kept and maintained by the Westfield conspirators' shell companies. (People v Rossey, 89 NY2d 970; People v Cabey, 85 NY2d 417; People v Williams, 84 NY2d 925; People v Wong, 81 NY2d 600; People v Santi, 3 NY3d 234; People v Taylor, 94 NY2d 910; People v Ficarrota, 91 NY2d 244; People v Chico, 90 NY2d 585; People v Bleakley, 69 NY2d 490; People v Barnes, 50 NY2d 375.)

Stillman & Friedman, P.C., New York City (Nathaniel Z. Marmur and Karin Klapper Orenstein of counsel), for Harry J.F. Bloomfield, respondent. The Appellate Division correctly determined that the 16 Charles Wilson letters were not "[b]usiness record[s]" under Penal Law § 175.00 (2) because they were not "kept or maintained" by the respective companies. (People v Brown, 140 App Div 591; People ex rel. Isaacson v Fallon, 202 NY 456; People v Bel Air Equip. Corp., 46 AD2d 773, 39 NY2d 48; People v Papatonis, 243 AD2d 898; People v Schwartz, 21 AD3d 304; Matter of Sharpton v Turner, 170 AD2d 43; People v Roman, 149 Misc 2d 971; People v Davis, 49 NY2d 910; United States v White, 322 US 694; People v DeLuca, 178 AD2d 426.)

Duane Morris, LLP, Washington, D.C. (Joseph J. Aronica and Laurice Chen of counsel), for Stuart Creggy, respondent. The Appellate Division was correct in its reversal of the convictions below as any straightforward application of Penal Law § 175.00 clearly indicates that the 16 Charles Wilson letters found in Andrew Warren's "working notes" folder were not "kept or maintained" by the 16 companies and did not meet the legal definition of "[b]usiness record[s]." (People v Kennedy, 68 NY2d 569; People v Davis, 49 NY2d 910; People v Agha Hasan Abedi, 156 Misc 2d 904; People v Linardos, 104 Misc 2d 56; People v DeLuca, 178 AD2d 426; People v Bel Air Equip. Corp., 46 AD2d 773, 39 NY2d 48.)

OPINION OF THE COURT

CIPARICK, J.

The issue presented by this appeal is whether there is sufficient evidence that fraudulent letters kept in the files of an enterprise's legal counsel, rather than at the company's headquarters, were "[b]usiness record[s]" as defined by Penal Law § 175.00 (2). We conclude that the location where a document is maintained is merely a factor, not determinative, of its status as a business record under the statute, and that the People presented legally sufficient evidence to support the conclusion reached by the trier of fact.

In 1992, three brokers—the Westfield partners—engaged in fraudulent securities transactions. The scheme involved the sale of unregistered stock pursuant to Regulation S of the Securities Act of 1933. Regulation S securities generally sell at discounted prices since they may only be held by non-United States citizens who do not reside within the country. The Westfield partners, all United States citizens residing in the United States, devised a plan to buy and sell Regulation S securities by acting as foreigners. To facilitate these transactions, the Westfield partners contacted Andrew Warren, a London solicitor at the firm Talbot Creggy, located at 38 Queen Anne Street, to set up offshore shell corporations to appear as if they were owned by non-United States persons. Warren, at the request of the Westfield partners, established approximately 20 shell corporations and hired a management company, Channel Islands & International Law Trust Company, Ltd. (Management Company), located on the Isle of Jersey. Warren advised the Westfield partners that he would relay all stock transfer instructions to the Management Company and originally used the 38 Queen Anne Street address as the address for each of the shell corporations.

In 1994, after the Securities and Exchange Commission (SEC) had commenced an investigation into the Regulation S transactions, Warren sought advice on how to handle the situation from his senior partner, Stuart Creggy. In exchange for \$23,000, Creggy offered to have a Liberian diplomat pose as the owner of the shell companies. Creggy, in turn contacted Harry J.F. Bloomfield, a Canadian lawyer, to retain the Liberian diplomat, Charles Wilson.

Wilson served as First Secretary and Consul at the Liberian Embassy in Ottawa. Due to the civil war in Liberia, Wilson's income was cut off. Communication with Liberia was also largely

disrupted and the embassy was forced to close. Wilson, who was ill, remained in Canada and sought refugee status along with his wife and children. Bloomfield served as Honorary Liberian Consul and frequently helped Wilson financially. Bloomfield referred to Wilson as being in a “constant state of penury” and used his good will and gifts of money to periodically influence Wilson for assistance. Wilson gave Bloomfield a copy of his passport to open an offshore bank account and signed various questionable documents in exchange for the support Bloomfield gave Wilson and his family.

In November 1994, Bloomfield sent Wilson a package with 16 letters to sign, each addressed to the directors of the 16 Westfield partners’ shell corporations. Each letter read as follows:

“Dear Sirs

“This is to confirm in my capacity as beneficial owner of the share capital of this Company that you should at all times implement my directions relating to the affairs and conduct of the Company business and undertaking or such other person as I may from time to time nominate in writing.

“Yours faithfully

“Charles HNE Wilson.”

Upon receipt of the letters, Wilson lay the letters aside until Bloomfield called a week or two later and assured him that they were “perfectly correct.” In response, Wilson sent Bloomfield a letter stating that he was apprehensive about signing the letters and reminded Bloomfield that the latter had promised “never [to] mislead [him] nor talk [him] into anything illegal.” Bloomfield returned the letter and envelope and wrote a note on it stating “Charles—attorney Creggy assures me that these are regular business accounts. I know him and trust him. Be assured that we will always try to protect your position.” Bloomfield continued to call Wilson until he ultimately signed and returned the letters. The letters were then forwarded to Creggy in London.

Meanwhile, the Management Company had been repeatedly contacting Warren to learn the identity of the true owner. Initially Warren ignored the requests as to the identity of the owner, but in June 1995 he finally responded to the inquiry with a fax indicating that Wilson was the beneficial owner of the 16 corporations as well as others.

The SEC investigation continued. Warren responded to its inquiry by referring the request for information to England's Law Society "for their opinion as to disclosure on matters which touch upon professional confidence and privilege." He never responded further. The SEC ultimately referred the matter to the British regulatory agency, the Department of Trade and Industry (DTI) who in turn contacted Warren. In response, Warren supplied DTI with various files maintained in his office for each company which were then returned. These files did not contain the letters in question. DTI thereafter learned of Wilson's identity directly from the Management Company. After obtaining this information, the British police executed a search warrant for 38 Queen Anne Street where they seized documents. The officers questioned Creggy who denied knowledge of the subject companies and referred them to Warren. The officers then confronted Warren who handed over various documents. The documents taken from the office, in part, consisted of the files given to the DTI and an additional "working notes" file from Warren's secretary's office which contained, among other things, copies of the 16 executed Wilson ownership letters as well as unsigned draft copies. As a result of the investigation, Warren was extradited to the United States where he pleaded guilty to attempted enterprise corruption.

On April 3, 2001, Bloomfield and Creggy were each indicted on one count of conspiracy in the fifth degree in violation of Penal Law § 105.05 (1); 17 counts of falsifying business records in the first degree in violation of Penal Law § 175.10; two counts of criminal possession of a forged instrument in the first degree in violation of Penal Law § 170.30; and one count of criminal possession of forgery devices in violation of Penal Law § 170.40.

Supreme Court dismissed four counts of the indictment, which left 16 counts of falsifying business records in the first degree (E felonies) and one count of conspiracy in the fifth degree, all based upon the Wilson letters. Supreme Court rejected the argument, however, that the letters could not be business records since they were found in Warren's office, not at the enterprise. A bench trial before a different justice followed and Creggy and Bloomfield were each found guilty of the remaining 17 counts. Each was sentenced to 500 hours of community service, a \$6,000 fine and five years' probation. On appeal, the Appellate Division unanimously reversed, on the law, and dismissed the indictment. A Judge of this Court granted leave to appeal and we now reverse.

In reversing Supreme Court, the Appellate Division wrote: “[Since] the letters were not held by the Management Company or in the records of the 16 individual companies, they were not ‘kept or maintained’ by these offshore corporations (the enterprise). Thus, they do not fit within the legal definition of ‘[b]usiness record’ ” (15 AD3d 302, 304 [2005]). The People contend that the Appellate Division applied an unduly restrictive reading of Penal Law § 175.10 by placing emphasis on the location of the documents, which neither the plain language of the statute nor case law supports. We agree.

The only issue we are asked to decide is whether the People presented legally sufficient evidence to support the conclusion that the 16 letters fit within the definition of “business records.” Penal Law § 175.10, falsifying business records in the first degree, (1) incorporates the elements of Penal Law § 175.05 (falsifying business records in the second degree—“[a] person is guilty of falsifying business records in the second degree when, with intent to defraud, he . . . [m]akes or causes a false entry in the business records of an enterprise”) and (2) provides further that the “intent to defraud includes an intent to commit another crime or to aid or conceal the commission thereof.” “Business record” is defined as “any writing or article . . . maintained by an enterprise for the purpose of evidencing or reflecting its condition or activity” (Penal Law § 175.00 [2]). “Enterprise” is defined as “any entity of one or more persons . . . engaged in business, commercial [or] professional . . . activity” (Penal Law § 175.00 [1]).

“Where the language of a statute is clear and unambiguous, courts must give effect to its plain meaning” (*Matter of Tall Trees Constr. Corp. v Zoning Bd. of Appeals of Town of Huntington*, 97 NY2d 86, 91 [2001]). The statute at issue does not refer to the location of the records. Thus, contrary to the Appellate Division’s holding, the actual location of the records is not dispositive as to whether the documents are business records under Penal Law § 175.00. Instead, location is merely a factor for the trier of fact to consider in determining whether the purpose of the records is to reflect or evidence the “condition or activity” of the enterprise. Certainly a document purporting to state the identity of the owner of a company could reflect or evidence the “condition” of that enterprise.

We further reject defendant Bloomfield’s argument that false documents created and held for the purpose of deceiving outside third parties do not qualify as business records and reject the

insider/outsider distinction. It is clear that the Legislature, in enacting section 175.00 *et seq.*, intended to protect outsiders, as well as insiders, from fraudulent falsification of an enterprise's records.

Here, there was evidence adduced at trial that demonstrated that the Management Company did not generally keep ownership records for these corporations (they were kept at the law office) but instead focused on processing corporate transactions. There was further evidence that the Management Company had been informed by the companies' corporate attorney and business agent, Warren, that Wilson was the actual beneficial owner of the corporations even though the corporations were really owned by the Westfield partners. Supreme Court could reasonably have inferred that Warren and Creggy's roles were not solely as counsel but also as management as they served as an integral part of the enterprise.

In conclusion, there was a valid line of reasoning and permissible inference by which to hold that the letters signed by Wilson and fashioned by Warren, Bloomfield and Creggy were produced for the "purpose of evidencing or reflecting [the enterprise's] condition"—that the corporations were owned by a foreigner, a condition essential to the illicit scheme. To apply the statute in any other way would undermine its purpose by inviting purveyors of fraudulent corporate documents to seek refuge in the filing cabinets of their attorneys.

Accordingly, the order of the Appellate Division should be reversed and the case remitted to the Appellate Division for consideration of the facts.

Chief Judge KAYE and Judges G.B. SMITH, ROSENBLATT, GRAFFEO and R.S. SMITH concur; Judge READ taking no part.

Order reversed and case remitted to the Appellate Division, First Department, for consideration of the facts (*see* CPL 470.25 [2] [d]; 470.40 [2] [b]).

[844 NE2d 756, 811 NYS2d 302]

COUNTRY-WIDE INSURANCE COMPANY, Appellant, v NATIONAL RAILROAD PASSENGER CORPORATION, Also Known as AM-TRAK, Respondent. HUI HAW So et al., Plaintiffs.

Argued January 4, 2006; decided February 14, 2006

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review questions certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following questions were certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: “1. Under New York law, are uncontradicted statements of both the owner and the driver that the driver was operating the vehicle without the owner’s permission sufficient to warrant a court in awarding summary judgment to the owner? 2. If the answer to question #1 is ‘no,’ is additional circumstantial evidence such as contemporaneous accident reports submitted by the owner sufficient to tip the balance and warrant a court in awarding summary judgment despite the interested nature of the source? 3. Is the uncontradicted testimony of driver and owner that the driver was operating the vehicle without permission, even if not sufficient to warrant summary judgment, sufficient at a trial to overcome the statutory presumption of permissive use, thereby placing the burden on plaintiff to prove permissive use? 4. If the answer to question #3 is ‘no,’ is the addition of such further evidence as contemporaneous accident reports by the owner sufficient to rebut the presumption of permissive use at trial? 5. Does New York law allow the absence of a report of unauthorized use of a vehicle to law enforcement to count as evidence of permissive use sufficient, alone or together with other evidence, to defeat summary judgment?”

HEADNOTES

Motor Vehicles — Imputing Driver’s Negligence to Owner — Owner’s Consent to Use of Vehicle

1. Under Vehicle and Traffic Law § 388, pursuant to which vehicle owners are vicariously liable for the negligence of those whom they allow to drive their vehicles, uncontradicted statements of both the owner and the driver that the driver was operating the vehicle without the owner’s permission will in most circumstances, but not as an absolute or invariable rule, warrant an

award of summary judgment in favor of the owner. Where both the owner and the driver have disclaimed consent, and the plaintiff has produced no competent evidence from which consent could be inferred, summary judgment may be awarded to the owner. However, disavowals by both the owner and the driver, without more, should not automatically result in summary judgment in the owner's favor. Where the disavowals are arguably suspect, as where there is evidence suggesting implausibility, collusion or implied permission, the issue of consent should go to a jury.

Motor Vehicles — Imputing Driver's Negligence to Owner — Owner's Consent to Use of Vehicle

2. In an action by plaintiffs, whose car was struck by a pickup truck owned by respondent and driven by respondent's employee on a personal errand, summary judgment in favor of respondent would be consistent with New York law, which holds vehicle owners vicariously liable for the negligence of those whom they allow to drive their vehicles (Vehicle and Traffic Law § 388). Respondent's evidence rebutted the presumption of consent. Disavowals of consent by respondent and its employee were firm and unassailable and were reinforced by respondent's contemporaneous accident reports, and the employee accepted disciplinary punishment by respondent based on a written allegation that he took the truck without authority. Respondent's failure to report the unauthorized use of the vehicle to a law enforcement agency should not alone defeat a grant of summary judgment in favor of the owner since the evidence of lack of permission was strong and uncontested.

Appeal — Court of Appeals — Question Certified by United States Court of Appeals

3. In a proceeding pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27 to review questions certified by the United States Court of Appeals, the New York State Court of Appeals was prohibited by its rules from answering questions that related to proof at trial because its answers would not have been determinative.

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By the Publisher's Editorial Staff

AM JUR 2d, Automobiles and Highway Traffic §§ 723, 726, 733, 745, 755, 764.

McKINNEY'S, Vehicle and Traffic Law § 388.

NY JUR 2d, Automobiles and Other Vehicles §§ 1037, 1051, 1059–1061, 1065, 1066, 1068, 1069.

PROSSER AND KEETON, TORTS (5th ed) §§ 69, 73.

ANNOTATION REFERENCE

See ALR Index under Automobiles and Highway Traffic; Vicarious Liability.

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Query: vicarious! /p driver /s owner /3 permission

POINTS OF COUNSEL

Jaffe & Nohavicka, New York City (*Joseph D. Nohavicka* of counsel), for appellant. There has been no ambiguity in the decisions from this Court regarding the burden shifting framework of Vehicle and Traffic Law § 388 when presented with the uncontradicted testimony of an owner and a driver: even where the owner and driver testify without contradiction that the driver had no permission or was out of the scope of authority, the case should still go to the trier of fact. (*Murdza v Zimmerman*, 99 NY2d 375; *Morris v Snappy Car Rental*, 84 NY2d 21; *Tikhonova v Ford Motor Co.*, 4 NY3d 621; *Continental Auto Lease Corp. v Campbell*, 19 NY2d 350; *Mandelbaum v United States*, 251 F2d 748; *Thompson v Bulson*, 4 Misc 3d 129[A]; *Matter of Allstate Indem. Co. v Nelson*, 285 AD2d 545; *Ferris v Sterling*, 214 NY 249; *St. Andrassy v Mooney*, 262 NY 368; *Piwowski v Cornwell*, 273 NY 226.)

Landman Corsi Ballaine & Ford P.C., New York City (*William G. Ballaine* and *Rochanne Sharei* of counsel), for respondent. Settled New York law supports the decision granting summary judgment because the substantial uncontroverted evidence of no permissive use could not be reasonably disregarded by a jury. (*Mandelbaum v United States*, 251 F2d 748; *St. Andrassy v Mooney*, 262 NY 368; *Barrett v McNulty*, 32 AD2d 953, 27 NY2d 928; *Morris v Snappy Car Rental*, 84 NY2d 21; *Murdza v Zimmerman*, 99 NY2d 375; *Leotta v Plessinger*, 8 NY2d 449; *Payne v Payne*, 28 NY2d 399; *Hukey v Massachusetts Bonding & Ins. Co.*, 277 App Div 411; *New York Cent. Mut. Fire Ins. Co. v Nationwide Mut. Ins. Co.*, 307 AD2d 449; *Cooper v City of New York*, 293 AD2d 704.)

OPINION OF THE COURT

ROSENBLATT, J.

The United States Court of Appeals for the Second Circuit has certified to us questions relating to section 388 of the Vehicle and Traffic Law. That section holds vehicle owners vicariously liable for the negligence of those whom they allow to drive their vehicles (*Tikhonova v Ford Motor Co.*, 4 NY3d 621, 623 [2005]). The certification relates to the circumstances in which, for summary judgment purposes, a driver may be said to have operated a vehicle without the owner's permission.

On February 27, 2000, Alex D. Sanchez, an Amtrak employee, was working at the company's Sunnyside Yard facility. Just before his shift began, he realized that he did not have the

Amtrak-issued radio he needed for work. Although he had no valid driver's license, Sanchez took an Amtrak pickup truck and drove home to get the radio. Driving back on the Gowanus Expressway in Brooklyn, he struck the plaintiffs' car.

Plaintiffs sued National Railroad Passenger Corporation (Amtrak) in state court.¹ Amtrak removed the case from Kings County Supreme Court to the United States District Court for the Eastern District of New York. In its motion for summary judgment, Amtrak argued that it cannot be held vicariously liable under Vehicle and Traffic Law § 388 (1) because Sanchez had neither express nor implied permission to take the pickup truck. That section reads as follows:

“Every owner of a vehicle used or operated in this state shall be liable and responsible for death or injuries to person or property resulting from negligence in the use or operation of such vehicle, in the business of such owner or otherwise, by any person using or operating the same with the permission, express or implied, of such owner” (*id.*).

In support of its motion, Amtrak offered the declaration of David Zwolinski, stating that he was acting assistant supervisor at the Sunnyside facility and that Sanchez took the vehicle and “drove it off the premises without advising anyone, without requesting or receiving my permission, and without obtaining the authorization of anyone at Amtrak.” This unauthorized use of the vehicle, Zwolinski added, did not occur during Sanchez's shift and was not within the scope of his employment.

Amtrak also submitted internal documents supporting its claim of unauthorized use, including an incident report and a letter directing Sanchez to appear for a formal Amtrak investigation, in which he was charged with using the vehicle without authorization. In addition, Amtrak submitted its accident report stating that Sanchez's use of the truck was “non-authorized,” a two-paragraph statement by Sanchez and a “Waiver of Hearing” by which he accepted discipline, which included \$17,600 in restitution and docked wages. In the state-

1. Plaintiffs also sued Country-Wide Insurance Company, asserting that as the carrier for one of the plaintiffs it would be liable under the policy's underinsurance provision if Sanchez drove Amtrak's vehicle without its consent. In this posture, Country-Wide has argued that the Federal District Court should not have granted Amtrak summary judgment. Plaintiffs did not participate in the federal court proceedings nor have they appeared in this Court.

ment, Sanchez admitted taking the vehicle to retrieve his radio but did not speak to the question of permission. In the waiver, however, he accepted punishment based on charges that he took the vehicle without permission and we are prepared to construe this, as the Second Circuit evidently did, as an uncontradicted statement that he had no permission.

In opposition, Country-Wide offered no evidence of its own, and instead argued that Amtrak made no report of the event to any law enforcement agency, that Sanchez took the pickup because he needed the radio to do Amtrak work, and that Amtrak's formal investigation did not begin until weeks after the incident. Thus, according to Country-Wide, a trier of fact could reasonably conclude that the use was authorized.

In discussing section 388 of the Vehicle and Traffic Law, the District Court applied the presumption that Sanchez operated the truck with Amtrak's consent, but held that the presumption was rebutted by substantial evidence, and granted Amtrak summary judgment.² On appeal from the District Court judgment, the Second Circuit reviewed the pertinent case law—both its own and New York State appellate-level decisions—and expressed uncertainty as to whether, under New York law, summary judgment for the owner was warranted. The court certified the following five questions:

“1. Under New York law, are uncontradicted statements of both the owner and the driver that the driver was operating the vehicle without the owner's permission sufficient to warrant a court in awarding summary judgment to the owner?

“2. If the answer to question #1 is ‘no,’ is additional circumstantial evidence such as contemporaneous accident reports submitted by the owner sufficient to tip the balance and warrant a court in awarding summary judgment despite the interested nature of the source?

“3. Is the uncontradicted testimony of driver and owner that the driver was operating the vehicle without permission, even if not sufficient to war-

2. The presumption is not contained in the statute but is part of our decisional law (see e.g. *Murdza v Zimmerman*, 99 NY2d 375, 380 [2003]; *Leotta v Plessinger*, 8 NY2d 449, 461 [1960]; *Winnowski v Polito*, 294 NY 159, 161 [1945]).

rant summary judgment, sufficient at a trial to overcome the statutory presumption of permissive use, thereby placing the burden on plaintiff to prove permissive use?

“4. If the answer to question #3 is ‘no,’ is the addition of such further evidence as contemporaneous accident reports by the owner sufficient to rebut the presumption of permissive use at trial?

“5. Does New York law allow the absence of a report of unauthorized use of a vehicle to law enforcement to count as evidence of permissive use sufficient, alone or together with other evidence, to defeat summary judgment?” (407 F3d 84, 89 [2005].)

We appreciate the Second Circuit’s invitation to adjust the questions in a way that best enables us to answer them. Because we cannot answer the first question with an unvarying “yes” or “no,” and the second question comes into play only if the answer to the first question is “no,” we are combining the first two questions, along with the fifth, which is germane to our response to the first two.

[1] We can best respond by stating that uncontradicted statements of both the owner and the driver that the driver was operating the vehicle without the owner’s permission will not *necessarily* warrant a court in awarding summary judgment for the owner. In most circumstances—including the circumstances of this case—they will, but not as an absolute or invariable rule. Our decisional law reflects as much.

In *St. Andrassy v Mooney* (262 NY 368 [1933]), the owner, his wife and their chauffeur testified that the chauffeur had no consent, express or implied, to take the car and that he took it unlawfully and in defiance of his employer’s commands. The Court laid down a rule that still governs the issue: “If the evidence produced to show that no permission has been given has been contradicted or, because of improbability, interest of the witnesses or other weakness, may reasonably be disregarded by the jury, its weight lies with the jury” (*id.* at 372). The Court recognized that the owner may be considered interested, but there were no grounds on which to discredit his testimony, and so the presumption of permission was overcome.³

3. *St. Andrassy* was decided under former section 59 of the Vehicle and Traffic Law, which, in turn, was derived from section 282-e of the Highway

(n. cont’d)

Similarly, in *Barrett v McNulty* (27 NY2d 928 [1970]), there was uncontradicted evidence that the driver had no permission to operate the vehicle; he had pleaded guilty to theft of the vehicle, and, most critically, there was no competent evidence from which permission could be inferred. We held that the trial court properly dismissed the complaint against the owner at the close of the evidence.

Most recently, in *Manning v Brown* (91 NY2d 116 [1997]), the driver and the owners stated in their depositions that the driver neither asked for nor received permission from the owners to drive the car. The driver pleaded guilty to car theft, and we ruled that the trial court properly granted summary judgment to the owners. The owners, we held, produced sufficient evidence to rebut the presumption, leaving no triable issue of fact as to the question of consent.

These cases have a common theme: both the owner and the driver disclaimed consent, and the plaintiff produced no competent evidence from which consent could be inferred. As a corollary, however, disavowals by both the owner and the driver, without more, should not automatically result in summary judgment for the owner. Where the disavowals are arguably suspect, as where there is evidence suggesting implausibility, collusion or implied permission, the issue of consent should go to a jury. Two cases illustrate this point.

In *Winnowski v Polito* (294 NY 159 [1945]), the owner parked his car on a busy thoroughfare, leaving the key in the ignition switch and his 14-year-old son in the car. A police officer ordered the youth to move the car, notwithstanding his protest that he had neither the permission nor the competence to drive it. The father confirmed that he expressly forbade his son to drive the car at any time. We reversed the Appellate Division's dismissal of the complaint against the owner, holding that the trial court was within its prerogative as the trier of facts in concluding that the son had implied permission, based on the reasonable expectation that an emergency or other necessity might arise, that would require the car to be moved (*see also Piwowski v Cornwell*, 273 NY 226 [1937]).

Motor Veh. Acc. Indem. Corp. v Continental Natl. Am. Group Co. (35 NY2d 260 [1974] [*MVAIC*]) is another instance in which

Law (L 1924, ch 534), the original statute by which owners were held vicariously responsible for the negligence of drivers whom they allowed to drive their vehicles.

summary judgment to the owner was not warranted though the owner had undeniably withheld its express consent to the driver. The owner, a rental car company, leased the car to a customer who agreed that he would not let anyone else drive it without the company's permission. In spite of the agreement, the customer allowed a third person to drive the car and an accident ensued. We held that, despite the restrictions in the rental contract, the rental company gave "constructive consent" to the third person based on the likelihood that customers would allow others to drive rental cars. While *MVAIC* was based on public policy grounds, it illustrates that summary judgment for the owner will not necessarily be granted even though both the owner and driver acknowledge that the owner did not give the driver consent to operate the car (and, indeed, expressly prohibited operation).

In *Mandelbaum v United States* (251 F2d 748 [2d Cir 1958]), the Second Circuit recognized that there are New York cases indicating that

"even where the owner and driver testify without contradiction as part of the defendant's case that the driver had no permission or was out of the scope of employment, the case should still go to the trier of fact and if that evidence of interested witnesses is disbelieved the presumption has not been overcome" (*id.* at 751).

In certifying the present case to us, however, the Second Circuit questioned whether *Mandelbaum* is an accurate reflection of New York law. We conclude that it is, insofar as it recognizes that summary judgment for the owner will not *inexorably* follow whenever the owner and driver disavow consent. *Mandelbaum* should not be understood, however, as suggesting or mandating that summary judgment must be denied even where the absence of consent is emphatic and unimpeachable. In short, whether summary judgment is warranted depends on the strength and plausibility of the disavowals, and whether they leave room for doubts that are best left for the jury.

Thus the answer to a combination of questions 1 and 2—will uncontradicted statements by the owner and driver that the driver was without permission, bolstered by such additional evidence as accident reports, warrant a court in awarding summary judgment to the owner?—is, as a general matter: "Usually, but not always." On the specific facts of this case, they would.

[2] Here, the disavowals were as firm and unassailable as they were in *St. Andrassy* and *Manning* and were reinforced by Amtrak's contemporaneous accident reports. Sanchez accepted a punishment based on a written allegation that he took the truck without authority. In view of the evidence that overcame the presumption of consent, with nothing on the other side of the scale, summary judgment for Amtrak is consistent with New York law.⁴

In our Court, Country-Wide argued, in addition to its other points, that Amtrak failed to report the unauthorized use of the vehicle to a law enforcement agency. While, in answer to certified question 5, New York law allows that failure to be considered, it should not alone defeat a grant of summary judgment to the owner, where, as here, the proof against permission is strong and uncontested, with nothing (apart from speculation) to cast doubt on its plausibility.

[3] We note that the third and fourth questions relate to proof at trial. We are prohibited by our rules from answering those questions because our answers would not be determinative (*see* Ct App Rules Prac [22 NYCRR] § 500.27 [a]; NY Const, art VI, § 3 [b] [9]). Moreover, in light of our response to questions 1, 2 and 5, questions 3 and 4 become academic.

Accordingly, the certified questions should be answered in accordance with this opinion.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, GRAFFEO and R.S. SMITH concur; Judge READ taking no part.

Following certification of questions by the United States Court of Appeals for the Second Circuit and acceptance of the questions by this Court pursuant to section 500.27 of the Rules of the Court of Appeals (22 NYCRR 500.27), and after hearing argument by counsel for the parties and consideration of the briefs and the record submitted, certified questions answered in accordance with the opinion herein.

4. We are mindful that the final determination of this appeal is of course the role of the Second Circuit, not of this Court (*Rooney v Tyson*, 91 NY2d 685, 690 [1998]; *Engel v CBS, Inc.*, 93 NY2d 195, 207 [1999]), and that it is not our task to apply the Federal Rules of Civil Procedure. The first certified question, however, does not admit of a straightforward “yes” or “no” answer, and we therefore think it is necessary, in order to provide the certifying court with the guidance it seeks, to state whether we believe that the District Court's decision was consistent with New York law.

[844 NE2d 762, 811 NYS2d 308]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v RAS-
TESFA M. DACOSTA, Appellant.

Argued January 11, 2006; decided February 16, 2006

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered December 30, 2004. The Appellate Division affirmed a judgment of the Erie County Court (Timothy J. Drury, J.), which had convicted defendant, upon a jury verdict, of manslaughter in the second degree.

People v DaCosta, 13 AD3d 1141, affirmed.

HEADNOTE

Crimes — Manslaughter

Evidence that defendant scaled a tall fence and ran across a major highway during rush-hour traffic while being chased by a police officer, and that the officer was struck and killed by a vehicle when he fell from the fence into oncoming traffic, was legally sufficient to support defendant's conviction for manslaughter in the second degree. The evidence established that defendant's conduct set in motion and legally caused the death of the officer. A person whose actions result in the victim's presence on a major highway should reasonably foresee that the victim could be struck and killed by a vehicle. Defendant's conduct was a sufficiently direct cause of the officer's death.

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By the Publisher's Editorial Staff

AM JUR 2d, Homicide §§ 12, 14, 46, 47, 96.

NY JUR 2d, Criminal Law §§ 3827, 3828, 3830.

ANNOTATION REFERENCE

See ALR Index under Manslaughter; Pursuit.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: manslaughter & chase & caus! & foreseeab!

POINTS OF COUNSEL

Richard L. Baumgarten, Buffalo, for appellant. Appellant may not be held criminally liable on the theory of either reckless (Penal Law § 125.15 [1]) or a lesser culpable negligent (Penal Law § 125.10) conduct for the death of a City of Buffalo

police officer where both the prosecution and defense concurred that the actual or triggering cause of the death producing event of the officer occasioned either by pole vaulting and/or jumping off an unstable chain link median fence was neither foreseen nor foreseeable. (*People v Stewart*, 40 NY2d 692; *People v Kibbe*, 35 NY2d 407; *People v Warner-Lambert Co.*, 51 NY2d 295; *People v Roth*, 80 NY2d 239; *People v Reagan*, 256 AD2d 487; *People v Flores*, 124 Misc 2d 478; *People v Matos*, 83 NY2d 509; *People v Kern*, 75 NY2d 638; *People v Galatro*, 84 NY2d 160; *People v Licitra*, 47 NY2d 554.)

Frank J. Clark, District Attorney, Buffalo (Steven Meyer and J. Michael Marion of counsel), for respondent. Defendant's challenge to the sufficiency of the evidence is unpreserved and meritless. (*People v Gray*, 86 NY2d 10; *People v Hines*, 97 NY2d 56; *People v Bynum*, 70 NY2d 858; *People v Mahboubian*, 74 NY2d 174; *People v Padro*, 75 NY2d 820; *People v Finger*, 95 NY2d 894; *People v Lynch*, 95 NY2d 243; *People v Stewart*, 40 NY2d 692; *People v Kane*, 213 NY 260; *People v Kibbe*, 35 NY2d 407.)

OPINION OF THE COURT

GRAFFEO, J.

While being chased by a police officer, defendant scaled a tall fence and ran across a major highway during morning rush-hour traffic. The officer followed, but was struck and killed by a vehicle when he fell from the fence into oncoming traffic. The issue in this case is whether the evidence presented at trial was legally sufficient to support defendant's conviction for manslaughter in the second degree. We conclude that it was.

In 1996, defendant was charged in Maryland with several cocaine-related felony offenses. He pleaded guilty to one felony crime and was sentenced to a period of incarceration, to be followed by probation. Defendant was subsequently arrested for allegedly violating the terms of his probation and was released from custody on a \$50,000 bail bond. An arrest warrant was issued after he failed to appear in court.

Darrell Love, the owner of the company that issued the bail bond, believed that defendant had fled to Western New York. Love traveled to Buffalo with four of his employees, planning to have defendant taken into police custody and returned to Maryland in order to prevent forfeiture of the bail bond. Upon arriving in Buffalo, Love contacted the local police and provided them with an address where defendant was suspected of hiding. Buffalo police officers met Love and his associates at the loca-

tion identified by Love. They surveyed the perimeter of the residence but saw nothing suspicious. The police officers, who did not have a warrant to enter the premises, left the vicinity. The bail bondsmen, however, returned to their van parked nearby and placed the building under surveillance.

A short time later, the men observed defendant, his girlfriend and his brother enter a nearby fast-food restaurant. The bondsmen notified the police but, before they could respond, defendant and his companions left the restaurant and boarded a bus. While following the bus in their vehicle, the bondsmen provided updated information to the police. The bus eventually stopped and was intercepted by a police car. Realizing that the bus had been blocked by the police, defendant and his companions disembarked and began to run away.

Officers Knezevic and McLellan pursued defendant and his brother, ordering them to stop. During the chase, defendant and his brother ran in different directions. Knezevic followed defendant's brother toward a pedestrian overpass that traversed the Kensington Expressway where the brother was eventually apprehended. Officer McLellan pursued defendant as he ran toward the expressway.

The expressway, a divided six-lane highway that leads into and out of downtown Buffalo, had a six-foot-tall chain-link fence in the median. The top of the fence was bordered by a metal wire, rather than a metal pole, and therefore was somewhat unstable. After crossing the first three lanes of traffic, defendant climbed over the fence and ran across the highway. As Officer McLellan attempted to jump or vault over the fence, it began to bend under his weight. He fell from the fence onto the hood of a car and was thrown into the air, hitting the ground head first. Officer McLellan died from the injuries he sustained.

A witness to the incident informed the police that defendant had run into a nearby residence, where police found and arrested him. A grand jury subsequently indicted defendant on one count of manslaughter in the second degree, charging that he recklessly caused the death of Officer McLellan. The case proceeded to trial and, at the close of the People's case, defendant moved to dismiss the indictment, arguing that the evidence was insufficient to prove that his actions caused McLellan's death. County Court denied defendant's motion. After the defense presented two witnesses, defendant renewed his motion to dismiss, but the court adhered to its previous ruling. The

jury found defendant guilty of second-degree manslaughter. He was sentenced to an indeterminate prison term of 4¹/₂ to 13¹/₂ years. The Appellate Division affirmed, concluding that the evidence was sufficient to establish that defendant's conduct was reckless and the legal cause of Officer McLellan's death, having set in motion the chain of events resulting in his fatal injuries. A Judge of this Court granted leave to appeal.

Defendant argues that the evidence presented at trial was insufficient to support the conviction. Relying on causation principles articulated in corporate liability cases such as *People v Roth* (80 NY2d 239 [1992]) and *People v Warner-Lambert Co.* (51 NY2d 295 [1980], *cert denied* 450 US 1031 [1981]), defendant contends that the legal cause of death was not his conduct but rather Officer McLellan's "ill-fated" decision to climb over the chain-link fence. Defendant also claims that there was insufficient evidence that his decision to scale the fence and run across the Kensington Expressway while being pursued by the police was reckless. The People assert that defendant's sufficiency arguments are unpreserved and, in any event, meritless.

Initially, defendant failed to preserve his contention that there was insufficient evidence of recklessness because he did not raise this argument as a basis for his trial motion to dismiss. Defendant, however, did contend that there was insufficient evidence with regard to causation and reasserted that claim at the close of proof. As such, the issue of causation was preserved for review and is properly before us.

To be held criminally responsible for a homicide, a defendant's conduct must actually contribute to the victim's death (*see People v Stewart*, 40 NY2d 692, 697 [1976]) by "set[ting] in motion" the events that result in the killing (*People v Matos*, 83 NY2d 509, 511 [1994], citing *People v Kibbe*, 35 NY2d 407 [1974]). Liability will attach even if the defendant's conduct is not the sole cause of death (*see Matter of Anthony M.*, 63 NY2d 270, 280 [1984]) if the actions were a "'sufficiently direct cause of the ensuing death'" (*People v Stewart*, 40 NY2d at 697, quoting *People v Kibbe*, 35 NY2d at 413 [emphasis omitted]). More than an "'obscure or merely probable connection'" between the conduct and result is required (*People v Stewart*, 40 NY2d at 697, quoting *People v Brengard*, 265 NY 100, 108 [1934]). Rather, an act "qualifies as a sufficiently direct cause when the ultimate harm should have been reasonably foreseen" (*People v Matos*, 83 NY2d at 511).

Our analysis in this case begins with *People v Matos* (83 NY2d 509 [1994]). The defendant in that case was in the process of robbing a restaurant when police officers arrived. The defendant ran toward the back of the restaurant and up a ladder that led to the roof. An officer pursued him up the ladder and across the roof, but died after falling into an open, 25-foot air shaft. We affirmed the murder conviction, concluding that the “defendant’s conduct set in motion and legally caused the death” of the police officer because, had the “defendant not first committed an armed violent felony and then attempted to escape by way of the roof, the officer would not have pursued him onto the roof, thereafter plunging to his death in the airshaft” (*id.* at 511). We further determined that the defendant’s actions were a sufficiently direct cause of the death because it was “foreseeable that someone might fall while in hot pursuit across urban roofs in the middle of the night” (*id.* at 512).

People v Kern (75 NY2d 638 [1990], *cert denied* 498 US 824 [1990]) is also instructive. The defendants in that case instigated a vicious, armed attack against three young men whose car had broken down. All three victims fled the initial altercation, but were chased by the defendants. One of the victims (Griffith) ran until he reached the end of a street and decided to jump over a guardrail and onto a New York City highway. He ran across three eastbound lanes of traffic before scaling the center median and entering the westbound lanes of the highway, where he was struck by an automobile and killed. We concluded that the evidence was “sufficient to support findings that defendants’ actions were a ‘sufficiently direct cause’ of Griffith’s death” because, even though there was a potentially less dangerous escape route, “it was foreseeable and indeed probable that Griffith would choose the escape route most likely to dissuade his attackers from pursuit” (*id.* at 658). Furthermore, “[t]he evidence was sufficient to prove, beyond a reasonable doubt, that [the driver’s] operation of his automobile . . . was not an intervening cause sufficient to relieve defendants of criminal liability for the directly foreseeable consequences of their actions” (*id.*).

Here, as in *Matos*, the evidence was sufficient to prove that defendant’s conduct “set in motion and legally caused the death” of Officer McLellan (83 NY2d at 511). Defendant was a fugitive felon who, upon encountering the police, decided to flee. Defendant was aware that he was being pursued as he neared the expressway since additional orders to halt were issued after

the chase began. Had defendant not fled, Officer McLellan would not have faced the circumstances that ultimately resulted in his death.

The principle to be discerned from *Kern* is that a person whose actions result in the victim's presence on a major highway should reasonably foresee that the victim could be struck and killed by a vehicle. Here, even more so than in *Kern*, it was highly probable that defendant's actions would prompt Officer McLellan to attempt to enter and cross the highway. Rather than a tenuous connection between defendant's conduct and McLellan's death, it was reasonably foreseeable that leading Officer McLellan onto the Kensington Expressway in the midst of morning rush-hour traffic into downtown Buffalo could result in a collision with a vehicle. Defendant's conduct was therefore a sufficiently direct cause of the officer's death and County Court correctly denied defendant's motion to dismiss on the basis of causation.*

We are not persuaded by defendant's reliance on precedent that addresses causation in the context of corporate liability. *People v Warner-Lambert Co.* (51 NY2d 295 [1980]) involved dual explosions that occurred because of a complex manufacturing process that produced an airborne chemical dust and highly volatile liquid oxygen. We noted that the evidence regarding what actually triggered the explosion of these substances was "hypothetical and speculative" (*id.* at 304) and, as a result, was insufficient to prove that the defendants' conduct was a direct, substantial cause of the explosion. In *People v Roth* (80 NY2d 239 [1992]), the evidence was insufficient to show that it was foreseeable that an "employee would place the unprotected trouble light in the path of the high pressure washer during the tank cleaning operation and that an explosion-causing spark would result" (*id.* at 244). The case before us, of course, involves neither commercial nor manufacturing processes. Instead, it is more appropriately categorized with cases that address the foreseeable dangers inherent in police pursuits of fleeing felons (see *People v Matos*, 83 NY2d 509 [1994]) or actions that cause a person to be on or in the vicinity of a major highway (see *People v Kern*, 75 NY2d 638 [1990]).

* To the extent defendant claims that causation should not attach because he was on the far side of the expressway at the time Officer McLellan fell, this contention is without merit because there was sufficient evidence that defendant had not yet "reached any place of temporary safety" (*People v Gladman*, 41 NY2d 123, 130 [1976]).

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT, READ and R.S. SMITH concur.

Order affirmed.

[844 NE2d 1126, 811 NYS2d 604]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v JAMES
JACOBS, Appellant.

Argued November 16, 2005; decided December 15, 2005

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered December 7, 2004. The Appellate Division affirmed a judgment of the Supreme Court, Bronx County (Harold Silverman, J., on recusal motion; Caesar D. Cirigliano, J., at trial and sentence), which had convicted defendant, after a nonjury trial, of grand larceny in the fourth degree.

People v Jacobs, 13 AD3d 98, affirmed.

HEADNOTE**Crimes — Right to Counsel — Effective Representation**

In a criminal prosecution, where a defendant had been at all times represented by an admitted attorney, mere participation of a nonlawyer in the defense did not, without more, deprive defendant of his right to effective assistance of counsel or mandate reversal. Because the active participation of a licensed attorney throughout a defendant's trial should generally suffice to ensure that the defendant's rights are protected, a conviction should not be reversed in the absence of a showing of prejudice. Reversal was not required where, as here, the admitted attorney acted as lead counsel throughout defendant's trial and the nonlawyer's trial participation was minimal.

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AM JUR 2d, Criminal Law §§ 1223–1225.

CARMODY-WAIT 2d, Criminal Procedure § 172:1882.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 11.10.

NY JUR 2d, Criminal Law § 820.

ANNOTATION REFERENCE

See ALR Index under Attorney or Assistance of Attorney.

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Database: NY-ORCS

Query: non-lawyer non-attorney /s particip! /s defense

POINTS OF COUNSEL

Legal Aid Society, New York City (*Karen G. Leslie* and *Laura R. Johnson* of counsel), for appellant. Appellant was deprived of

his right to counsel under the United States and New York constitutions when he was unknowingly represented at trial by an imposter as well as an admitted attorney. (*People v Felder*, 47 NY2d 287; *Perry v Leeke*, 488 US 272; *Holloway v Arkansas*, 435 US 475; *Chapman v California*, 386 US 18; *Johnson v Zerbst*, 304 US 458; *Solina v United States*, 709 F2d 160; *People v Kieser*, 79 NY2d 936; *United States v Novak*, 903 F2d 883; *Geders v United States*, 425 US 80; *People v Jacobs*, 13 AD3d 98.)

Robert T. Johnson, District Attorney, Bronx (Peter D. Coddington of counsel), for respondent. Although appellant was represented in part by a nonlawyer, the order affirming this judgment should be affirmed because he was actively represented throughout the trial by an admitted attorney. (*People v Felder*, 47 NY2d 287; *People v Kieser*, 172 AD2d 626, 79 NY2d 936, 56 F3d 16; *People v Carter*, 77 NY2d 95; *Solina v United States*, 709 F2d 160; *People v Leslie*, 154 Misc 2d 325, 232 AD2d 94, 91 NY2d 875, *dismissal of habeas affd sub nom. Leslie v Artuz*, 230 F3d 25, 531 US 1199; *Strickland v Washington*, 466 US 668; *People v Caban*, 5 NY3d 143; *People v Duncan*, 46 NY2d 74; *United States v Novak*, 903 F2d 883; *United States v Merritt*, 528 F2d 650.)

OPINION OF THE COURT

Chief Judge KAYE.

In *People v Felder* (47 NY2d 287, 291 [1979]), this Court held that when “a defendant in a criminal proceeding has unwittingly been represented by a layman masquerading as an attorney but in fact not licensed to practice law, his conviction must be set aside without regard to whether he was individually prejudiced by such representation.” We decline to extend this rule of per se reversal to every situation, such as that before us, in which a nonlawyer participates in a trial as cocounsel with an admitted attorney.

Defendant was charged in a 10-count indictment with robbery, assault and related crimes. At his bench trial, he was represented by two persons employed by the Bronx Defenders, Lisa Cartier-Giroux and Diane Shamis. Defendant was ultimately acquitted of nine of the charges against him, and convicted of the single count of grand larceny in the fourth degree.

After defendant’s conviction, it was discovered that Shamis, unbeknownst to her employer and despite having held herself

out for six years as an admitted attorney, had never been licensed to practice law. Although Shamis had graduated from an accredited law school and passed both the bar examination and the multistate professional responsibility examination, she never appeared before the Committee on Character and Fitness as required for her ultimate admission to the New York bar (*see* Judiciary Law §§ 460, 478; 22 NYCRR 520.12).¹

A defendant is entitled to the effective assistance of counsel (*see* US Const Amend VI; NY Const, art I, § 6). And because counsel “can mean nothing less than a licensed attorney at law” (*Felder*, 47 NY2d at 293), a defendant who is represented only by a layperson has been completely deprived of counsel and is entitled to per se reversal of a resulting conviction.² But when, as here, a defendant has been at all times represented by an admitted attorney, mere participation of a nonlawyer in the defense does not, without more, mandate reversal.

Rather, because the active participation of a licensed attorney throughout a defendant’s trial should generally suffice to ensure that the defendant’s rights are protected, a conviction should not be reversed in the absence of a showing of prejudice. Indeed, every jurisdiction to have addressed the issue before us has reached a similar conclusion (*see e.g. United States v Novak*, 903 F2d 883, 890-891 [2d Cir 1990]; *Commonwealth v Sellon*, 380 Mass 220, 227-228, 402 NE2d 1329, 1336 [1980]; *People v Cox*, 12 Ill 2d 265, 273-274, 146 NE2d 19, 24 [1957]; *Riggs v State*, 235 Ind 499, 504, 135 NE2d 247, 250 [1956]; *Higgins v Parker*, 354 Mo 888, 191 SW2d 668 [1945]).

In this case, the Appellate Division’s findings that Cartier-Giroux acted as lead counsel throughout defendant’s trial and that Shamis’s trial participation was minimal have support in the record. As the dissent points out, Cartier-Giroux filed and subscribed all pretrial defense motions and discovery demands; argued against the People’s applications made pursuant to

1. Shamis later pleaded guilty to the crime of practicing or appearing as an attorney-at-law without being admitted and registered (*see* Judiciary Law §§ 478, 485).

2. Nevertheless, in *People v Kieser* (79 NY2d 936, 937 [1992]), we explained that “not every defect in an individual’s ability to practice law renders his representation a deprivation of th[e] right [to counsel]. Thus, courts have distinguished between those defects that are ‘technical’ . . . and those that are ‘serious and substantive’ ” (citations omitted). We therefore held that the defendant was not deprived of his right to counsel by the failure of his attorney, who was licensed to practice law in New Jersey, to secure admission pro hac vice to practice in New York.

People v Molineux (168 NY 264 [1901]), *People v Ventimiglia* (52 NY2d 350 [1981]) and *People v Sandoval* (34 NY2d 371 [1974]), and in support of defendant's application under *People v Betts* (70 NY2d 289 [1987]); argued against recusal of the Justice originally assigned to preside over the trial; signed the waiver of defendant's right to a jury trial; cross-examined the prosecution's witness; negotiated the stipulation by which all defense exhibits were introduced into evidence; argued in support of defendant's request for an adverse inference; made most of the objections and legal arguments at trial; delivered defendant's closing argument; made a bail application on defendant's behalf after the guilty verdict; moved to set aside the verdict; and represented defendant at sentencing.

Shamis, by contrast, delivered the opening statement in this nonjury trial and conducted a brief direct examination of the sole defense witness,³ whose only purpose was to introduce an alleged prior inconsistent statement of the People's witness. In addition, Shamis made a few objections and moved to dismiss the People's case.⁴ At each of these stages, Cartier-Giroux was present and available to ensure that defendant received the effective assistance of counsel. Moreover, defendant fails to point to a single error arguably committed by Shamis in the course of her minimal participation in the trial.

Accordingly, the order of the Appellate Division should be affirmed.

G.B. SMITH, J. (dissenting). If a defendant in a criminal proceeding is unwittingly represented at a bench trial by a law school graduate who has passed the bar but is masquerading as a duly licensed attorney, as well as duly licensed counsel, has he or she been deprived of the constitutional right to counsel? The answer to that question arguably depends in part on the level of participation of the nonlawyer. Where, as here, the person posing as an attorney and the licensed counsel were cocounsel who divided up various duties pertaining to the defendant's defense, and two of the nonlawyer's duties were to make the opening statement and present the defendant's case to the factfinder,

3. This examination—including objections made by the People and ruled on by the court—spans less than four transcript pages. The redirect examination, with objections and rulings, spans an additional two pages.

4. Further, when Cartier-Giroux argued in opposition to the People's motion to recuse the original trial judge, Shamis stated that her recollection matched Cartier-Giroux's (and the Judge's) as to what the Judge had said on a prior occasion.

and the licensed attorney was not the nonlawyer's supervisor, the nonlawyer's participation in the defendant's defense is significant. In light of the significant role played by the nonlawyer and given the fundamental principle that the right to counsel means the right of a defendant to be represented by an admitted attorney during *all* phases of the criminal proceeding, defendant has been deprived of the right to counsel under the Federal and New York constitutions. Accordingly, I dissent and would vote to reverse defendant's conviction and remand for a new trial.¹

Facts and Procedural History

On November 13, 2001, defendant was indicted, in Bronx County, for the following 10 crimes: (1) robbery in the first, second and third degrees; (2) grand larceny in the fourth degree; (3) assault in the second and third degrees; (4) criminal possession of stolen property in the fifth degree; (5) criminal possession of a weapon in the fourth degree; (6) criminal mischief in the fourth degree; and (7) tampering with a witness in the fourth degree. In September 2002, defendant was convicted, after a bench trial, of grand larceny in the fourth degree. Defendant was sentenced to an indeterminate prison term of 2 to 4 years and a final order of protection was issued.

At his bench trial, defendant was represented by Lisa Cartier-Giroux and Diane Shamis of the Bronx Defenders. It was not uncommon for the Bronx Defenders office to try cases with two lawyers who would divide the trial duties. Cartier-Giroux: (1) signed and filed the sole pretrial motion; (2) argued the defense position on the pretrial *Ventimiglia*,² *Sandoval*,³ *Betts*,⁴ and discovery applications; (3) argued against recusal of the Justice originally presiding over the matter (defendant was eventually tried by another Justice); (4) signed documents effectuating defendant's waiver of his right to a jury trial; (5) cross-examined the sole witness for the prosecution; (6) introduced or engineered the stipulation by which all defense exhibits were introduced into evidence; (7) made the application for an adverse inference charge for the nonproduction of 911 tapes related to one of the crimes charged; (8) made a number of the objections and argu-

1. Assuming, as we have been informed, that the imposter represented other clients in other cases, the role of this Court must be to eradicate any hint that the right to counsel can be diluted.

2. 52 NY2d 350 (1981).

3. 34 NY2d 371 (1974).

4. 70 NY2d 289 (1987).

ments at trial; (9) made the closing argument for the defense; (10) made a bail application on defendant's behalf after the guilty verdict; (11) moved to set aside the verdict; and (12) represented defendant at sentencing. Shamis: (1) participated in opposing the above-mentioned motion for recusal; (2) made the opening statement for the defense; (3) put on the case for the defense; (4) made a motion to dismiss at the end of the People's case; and (5) made various objections and arguments at trial.

A fair reading of the record makes clear that while Cartier-Giroux undertook a major share of the duties in defendant's representation, Shamis was trial cocounsel of record; Cartier-Giroux did not consider Shamis to be an underling in need of supervision (the only reference to a supervising attorney was made by Cartier-Giroux when she asked the court, directly before responding to the People's application seeking recusal of the original presiding Justice, whether she could confer with her supervisor); and Cartier-Giroux and Shamis, consistent with the practices of their office, divided up the duties pertaining to defendant's defense. This division of responsibility was plainly evident when Cartier-Giroux, prior to the People's opening statement and while waiting for Shamis to arrive in the courtroom, noted that the case was being tried by two lawyers, that the duties had been divided and that Shamis would be the one responsible for the opening statement. Cartier-Giroux' statements, which seemed to express concern that Shamis was not present for the People's opening, prompted the court to say, "Counsel, if you wish to have another attorney sit in, that is alright with me."

Subsequent to the verdict, it came to light that only Cartier-Giroux was an attorney admitted to practice law in New York. While Shamis graduated from an approved law school and passed the July 1996 bar examination and the August 1996 multistate professional responsibility examination, unbeknownst to defendant, her cocounsel for the instant matter (Cartier-Giroux), the People and the Supreme Court Justice who heard and decided the case, Shamis, who for years had held herself out to be a licensed attorney, had never been admitted to practice law in New York or any other state.⁵

5. Shamis spent four years trying juvenile cases for the Legal Aid Society and two years with the Bronx Defenders. During this time, she "represented"

(n. cont'd)

By decision and order entered December 7, 2004, the Appellate Division affirmed the judgment of conviction, concluding that: “Under the circumstances of this case, where the duly licensed attorney clearly acted as lead counsel, was present throughout the proceedings and conducted most of the trial, defendant received effective assistance of counsel.” (13 AD3d 98, 99 [2004].) On March 14, 2005, a Judge of this Court granted defendant leave to appeal. On July 6, 2005, this Court granted the People’s motion to enlarge the record on appeal to include a practice order issued by the Appellate Division, First Department on October 19, 2000 and signed by Justice Richard T. Andrias.⁶ Now, this Court inappropriately affirms the Appellate Division order.

The Federal and State Right to Counsel

Under the Sixth Amendment to the Federal Constitution, a criminal defendant has the right “to have the Assistance of Counsel for his defence.” “This is one of the safeguards of the Sixth Amendment deemed necessary to insure fundamental human rights of life and liberty” (*Johnson v Zerbst*, 304 US 458, 462 [1938]).

“The purpose of the constitutional guaranty of a right to counsel is to protect an accused from conviction resulting from his own ignorance of his legal and constitutional rights, and the guaranty would be nullified by a determination that an accused’s ignorant failure to claim his rights removes the protection of the Constitution” (*id.* at 465).

The Sixth Amendment right to assistance of counsel is made obligatory on the states by the Fourteenth Amendment to the

hundreds of defendants/clients. In August 2004, Shamis pleaded guilty to practicing law without being admitted and registered, a violation of the Judiciary Law. Under the terms of her plea, she was given a conditional discharge and fined \$500.

6. The People discovered that Bronx Defenders, Shamis’ employer, had obtained a practice order pursuant to the Judiciary Law. The practice order permitted persons who had passed the bar exam, but had not been admitted to the bar, to represent clients in Bronx Supreme Court (Criminal Term), under the supervision of an admitted attorney. The practice order required the “prior approval, upon *ex parte* application, of the judge presiding over the action or proceeding” and written consent by the client to representation by such persons. The “FURTHER ORDERED” paragraph of the practice order provided that the program covered under the order was granted for a period of three years. According to the People, defendant’s trial was covered under the practice order.

Federal Constitution (*see Gideon v Wainwright*, 372 US 335 [1963]).

Article I, § 6 of the Constitution of New York State provides in pertinent part, “In any trial in any court whatever the party accused shall be allowed to appear and defend in person and with counsel.” New York’s right to counsel applies to every critical stage of the criminal proceeding (*see People v Chapman*, 69 NY2d 497 [1987]) and is so fundamental a legal principle that this Court has consistently exercised the highest degree of vigilance in safeguarding and defending it (*see People v Cunningham*, 49 NY2d 203, 207 [1980]). Regarding New York’s right to counsel, this Court stated:

“In New York, the right to counsel is grounded on this State’s constitutional and statutory guarantees of the privilege against self-incrimination, the right to the assistance of counsel and due process of law. It extends well beyond the right to counsel afforded by the Sixth Amendment of the United States Constitution and other State Constitutions” (*People v Davis*, 75 NY2d 517, 521 [1990] [citations omitted]; *see also People v Bing*, 76 NY2d 331, 338-339 [1990] [the protection provided under New York’s right to counsel is far more expansive than the right to counsel embodied in the Sixth Amendment of the Federal Constitution]).

With respect to both the federal and state right to counsel, the term “counsel” is synonymous with “licensed attorney-at-law.” Regarding the term “counsel,” this Court stated: “Counsel, as the word is used in the Sixth Amendment can mean nothing less than a licensed attorney at law. A lay person, regardless of his educational qualifications or experience, is not a constitutionally acceptable substitute for a member of the Bar” (*People v Felder*, 47 NY2d 287, 293 [1979]). In support of this statement, the Court noted:

“For centuries prior to the enactment of the Sixth Amendment, the English forerunner of the American lawyer was called or invited to practice for a Court only after the Court had satisfied itself that a person was fit to practice by virtue of his character and/or training. On the American side of the ocean, this practice continued throughout the colonial, revolutionary and post-revolutionary era of our his-

tory. Although standards for admission were not all uniform and were not always very stringent, the tradition of admission upon qualification continued to exist from even the earliest times of the American legal experience. . . ." (*Felder*, 47 NY2d at 294, quoting *Turner v American Bar Assn.*, 407 F Supp 451, 474 [Dist Ct Ala 1975].)

Thus, at a bare minimum, the right to counsel means the right of a defendant to be represented by a licensed attorney-at-law during *all* phases of the criminal proceeding. Here, defendant was not afforded such protection during his opening statement and the presentation of his case.

Representation by a Nonlawyer

Relying on *People v Leslie* (154 Misc 2d 325 [Sup Ct 1992], *affd* 232 AD2d 94 [1st Dept 1997], *lv denied* 91 NY2d 875 [1997], *petition for writ of habeas corpus dismissed sub nom. Leslie v Artuz*, 72 F Supp 2d 267 [SD NY 1999], *affd* 230 F3d 25 [2d Cir 2000], *cert denied* 531 US 1199 [2001]), the Appellate Division and the People argue that: (1) Shamis' mere presence did not require that defendant's conviction be reversed; (2) defendant was required to demonstrate that Shamis' imposture denied him effective assistance of counsel under the prejudice standard set forth in *Strickland v Washington* (466 US 668 [1984]); and (3) no violation of the right to counsel occurs if a licensed attorney-at-law provides effective assistance at all critical stages of the proceedings. In response to these arguments, if Shamis was merely present and did not actively participate in the instant criminal proceeding, I would agree with the majority. However, as indicated above, Shamis represented defendant at various portions of the trial without the assistance of her co-counsel. It was Shamis who gave the defendant's opening statement which told the court what the defense would be. And it was Shamis who put on the entire defense case consisting of one witness. Thus, Shamis' role at the trial cannot be considered minor.

Further, requiring that defendant demonstrate that he was denied effective assistance of counsel when he was deprived of counsel outright during certain stages of the trial applies the incorrect legal standard. First, when considering whether a defendant was denied effective assistance of counsel, the term "counsel" must be considered. As noted above, counsel, for federal and New York right to counsel purposes, means a licensed attorney-at-law. Where, as here, a nonlawyer acts dur-

ing important stages of the trial, these actions amount to an absolute deprivation of counsel because the nonlawyer is not “counsel” in the constitutional sense. Accordingly, the *Strickland* standard and the *Baldi* standard (*People v Baldi*, 54 NY2d 137 [1981] [both pertaining to effective assistance of duly licensed counsel]) are inapplicable here. Applying the standard of a lawyer’s error and prejudice (*Strickland*) or meaningful representation (*Baldi*) is problematic because it necessarily calls for an evaluation of the quality of representation of defendant by Shamis.⁷ Moreover, Shamis’ cocounsel, because she was unaware of Shamis’ imposture, was not alerted to the necessity of providing legal assistance at *all* critical stages of the proceedings. The cases and arguments presented by the People, the Appellate Division and the majority do not adequately address the issues before this Court. To the contrary, this Court need look no further than *People v Felder* (47 NY2d 287 [1979]) and *People v Kieser* (79 NY2d 936 [1992]) for guidance in resolving this matter.

In *Felder*, this Court held that where the defendant in a criminal proceeding is unwittingly represented by a nonlawyer who holds himself out to be a licensed attorney-at-law, the defendant’s right to counsel, as guaranteed by the Federal and New York State constitutions, is violated, and his conviction must be set aside regardless of whether defendant was prejudiced by the representation.⁸ Consistent with its holding that prejudice is irrelevant in a case involving representation by one not licensed to practice law and given the fundamental nature of the right to counsel, this Court concluded that the harmless error standard has no application to a case involving the right to counsel. This Court stated:

“The right to have the assistance of counsel is too fundamental and absolute to allow courts to indulge in nice calculations as to the amount of prejudice

7. The People and the majority cite cases from other jurisdictions for the proposition that, in a case like this one, the defendant must demonstrate a denial of the effective assistance of counsel (i.e., prejudice). These cases are not persuasive. First, they are largely distinguishable from the instant matter. Second, as previously mentioned, New York State provides greater protection to the right to counsel than required by the Federal Constitution and constitutions of other states.

8. *Felder* involved four criminal cases in which each of the defendants was represented by one who was not and had never been admitted to practice law in New York or any other jurisdiction. Nor did this imposter ever satisfy the prerequisites for the practice of law (e.g., he never completed law school).

arising from its denial.’ Notions of prejudicial impact, overwhelming evidence of guilt and the like, which are the underpinnings of the constitutional harmless error doctrine, are significant in the context of trial errors, e.g., the admission of improperly seized evidence or the improper admission of the confession of a codefendant who did not take the stand. A denial of the right to assistance of counsel, however, not unlike prosecutorial misconduct, misconduct on the part of the Trial Judge or denial of a public trial, invalidates the trial. As the Supreme Court has recently said, ‘this Court has concluded that the assistance of counsel is among those “constitutional rights so basic to a fair trial that their infraction can never be treated as harmless error.” ’ ’ ’ (*Felder*, 47 NY2d at 296 [citations omitted].)

As noted above, *Felder* involves defendants who were represented at trial by an imposter. This case, similarly, involves a defendant who was represented by an imposter. However, unlike *Felder*, defendant here was also represented by a licensed attorney-at-law. While this arguably makes *Felder* distinguishable from the case presently before the court, the distinction drawn is of little legal significance. The fact of the matter is that defendant was without counsel during the portions of the bench trial conducted by Shamis.

Kieser addressed a question left open by *Felder*: whether a defendant’s representation by a lawyer who was temporarily not entitled to practice law may violate a defendant’s constitutional right to counsel. In *Kieser*, this Court held that:

“under the circumstances of this case, the failure of defendant’s counsel, who at the time of defendant’s trial was an attorney in good standing and duly licensed to practice law in New Jersey, to secure admission pro hac vice to practice in New York, did not affect his professional qualifications or competence such as to deprive defendant of his right to counsel under the Federal and New York State Constitutions. Nor did counsel’s temporary suspension to practice law in New Jersey for nonpayment of Bar dues at the time he represented defendant deprive defendant of his right to counsel” (*Kieser*, 79 NY2d at 937).

In support of its holding, this Court found that the attorney's deficiencies were "technical" defects (defects that do not rise to the level of a violation of a defendant's right to counsel) (*id.*). Prior to making this finding, the *Kieser* court distinguished "technical" defects from "serious and substantive" defects (those defects that rise to the level of a violation of a defendant's right to counsel) (*id.*). The Court stated that:

"Although the defendant's right to counsel is guaranteed by the Sixth Amendment of the Federal Constitution and article I, § 6 of the New York Constitution (US Const 6th, 14th Amends; NY Const, art I, § 6), not every defect in an individual's ability to practice law renders his representation a deprivation of that right. Thus, courts have distinguished between those defects that are 'technical', i.e., those resulting from administrative suspension or censure for failure to comply with State Bar rules which have no bearing on the 'qualification, competence or moral character of the defendant's representative' and those that are 'serious and substantive' such as a representative's inability to practice law in any State because of a failure to seek admission or where admission to practice has been denied ' "for a reason going to legal ability, such as failure to pass a bar examination, or want of moral character" ' ' ' (*Kieser*, 79 NY2d at 937-938 [citations omitted]).

Here, the People argue that the defects in Shamis' ability to practice law are "technical" in nature and did not render her representation a deprivation of defendant's right to counsel. The People further argue that because the October 2000 practice order was so broad, Shamis' noncompliance (she did not get the required approvals and had no supervising attorney) can only be considered a technical defect under *Kieser*. Each of these arguments, however, lacks merit. First, Shamis' "defect," the inability to practice law because of her failure to seek admission, falls squarely under the "serious and substantive" category discussed above.⁹ Second, given the importance of the right to counsel, there must be strict adherence to all the provisions

9. The People contend that the "serious and substantive" language in *Kieser* is dicta and that this Court is not bound by it. While arguably true, this language is dicta that supports defendant's position and hurts the People's position.

in a practice order.¹⁰ Under practice orders, law students and law school graduates can gain invaluable experience regarding criminal matters. However, the experience received by a law school student or graduate cannot be weighed against or override the rights of the defendant, the person whose liberty is at risk in a criminal proceeding.¹¹ Finally, I cannot agree with the Appellate Division's statement that the role of Shamis was "minor" (13 AD3d at 99) nor with the majority's assessment of no prejudice, particularly when neither this Court nor any court is privy to the determinations of strategy which a defense counsel makes.

Conclusion

Because defendant, due to Shamis' imposture, was deprived of his right to counsel at key stages of the trial, the Appellate Division's order should be reversed and the matter remanded to Supreme Court for a new trial. There are two types of right to counsel deprivation: (1) where a defendant is being represented by counsel, but the representation is ineffective; and (2) where defendant is represented by someone who is not "counsel." In this case, despite competent representation by Shamis' cocounsel during parts of the trial, the latter type of deprivation still occurred because defendant was not represented by counsel during the opening statement, the presentation of defendant's case, and when the motion for a trial order of dismissal was made—all significant portions of any trial. As previously stated, the right to counsel guaranteed by the Federal and New York State constitutions requires nothing less than a licensed attorney-at-law at all critical stages of the criminal proceeding. This necessarily means that the licensed attorney-at-law must be an active participant during the critical stages of the criminal proceeding. Here, the licensed attorney-at-law was merely present for the portions of the trial conducted by Shamis. As far as the licensed attorney was concerned, Shamis was also a

10. As previously noted, the right to counsel ensures fairness of the adversarial criminal process, contemplates representation only by licensed attorneys-at-law and is vigorously guarded by New York courts.

11. In further support of the argument that Ms. Shamis' defects were technical, the People contend that there is nothing in the record that would have allowed the Committee on Character and Fitness to reject her application for admission. However, the fact is that Ms. Shamis engaged in the unlawful "practice" of law without a license for approximately six years. No reason is given in this record as to why she never complied with the rules requiring submission of an application to the appropriate character and fitness committee.

licensed attorney capable of performing the tasks she undertook without assistance. Given the fundamental nature of the right to counsel and the protection this right is afforded because of its importance to the criminal defendant, the mere presence of the licensed attorney during the phases conducted by Shamis, without more, cannot satisfy the right to counsel. Further, the fact that Shamis graduated from an accredited law school, was experienced and performed adequately at trial does not matter. She is not counsel for purposes of the Sixth Amendment of the Federal Constitution or article I, § 6 of the New York State Constitution. Because this case involves the absolute deprivation of counsel during those portions of the trial handled by an imposter, *not* representation, related to those portions of the trial conducted by a duly licensed counsel, that may or may not have been effective and meaningful, the *Felder* rule, that defendant is not required to demonstrate that he was prejudiced in terms of his representation, applies.

Accordingly, I dissent.

Judges CIPARICK, ROSENBLATT, GRAFFEO, READ and R.S. SMITH concur with Chief Judge KAYE; Judge G.B. SMITH dissents and votes to reverse and order a new trial in a separate opinion.

Order affirmed.

[844 NE2d 721, 811 NYS2d 267]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v SANTOS SUAREZ, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v TRISHA McPHERSON, Appellant.

Argued November 16, 2005; decided December 22, 2005

SUMMARY

APPEAL, in the first above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered December 28, 2004. The Appellate Division affirmed a judgment of the Supreme Court, Bronx County (Harold Silverman, J.), which had convicted defendant, upon a jury verdict, of murder in the second degree.

APPEAL, in the second above-entitled action, by permission of an Associate Judge of the Court of Appeals, from two orders of the Appellate Division of the Supreme Court in the Second Judicial Department, entered January 31, 2005. The first order of the Appellate Division affirmed a judgment of the Supreme Court, Kings County (Matthew J. D’Emic, J.), which had convicted defendant, after a nonjury trial, of murder in the second degree and criminal possession of a weapon in the fourth degree. The second order of the Appellate Division affirmed an order of that Supreme Court which had denied, without a hearing, defendant’s motion pursuant to CPL 440.10 to vacate the judgment of conviction.

People v Suarez, 13 AD3d 320, reversed.

People v McPherson, 14 AD3d 718, reversed.

HEADNOTES

Crimes — Murder — Depraved Indifference Murder

1. Depraved indifference murder (Penal Law § 125.25 [2]) properly applies only to a small, and finite, category of cases where the defendant’s conduct is at least as morally reprehensible as intentional murder. The use of a weapon can never result in depraved indifference murder when there is a manifest intent to kill because indifference to the victim’s life contrasts with the intent to take it. Further, a defendant may be convicted of depraved indifference murder when but a single person is endangered in only a few rare circumstances. To constitute depraved indifference, the defendant’s conduct must be so wanton, so deficient in a moral sense of concern, so devoid of regard of the life or lives of others, and so blameworthy as to warrant the same criminal liability as that which the law imposes upon a person who intentionally causes

the death of another. The statutory provision that a defendant act “[u]nder circumstances evincing a depraved indifference to human life” constitutes an additional requirement of the crime, which in turn comprises both depravity and indifference, that has meaning independent of the gravity of the risk of death.

Crimes — Murder — Depraved Indifference Murder

2. Defendant’s acts in stabbing his girlfriend in the throat, chest and abdomen during an argument, and then fleeing without summoning assistance, did not, as a matter of law, constitute depraved indifference murder. Nor could defendant’s claims that he was acting in self-defense or that he could not remember what happened when he stabbed his girlfriend support his conviction for depraved indifference murder. Whether he intended to kill her or merely to cause her serious injury, defendant’s actions in no way reflected a depraved indifference to her fate.

Crimes — Murder — Depraved Indifference Murder

3. Defendant, who stabbed her former boyfriend in the chest during an argument, and then immediately called 911 and requested an ambulance, was not, as a matter of law, guilty of depraved indifference murder. Defendant’s conduct may have reflected recklessness but did not fall within the small, and finite, category of cases evidencing utter depravity, uncommon brutality and inhuman cruelty required for depraved indifference murder.

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By the Publisher’s Editorial Staff

AM JUR 2d, Homicide §§ 10, 14, 45, 84, 87.
McKINNEY’S, Penal Law § 125.25 (2).
NY JUR 2d, Criminal Law §§ 3798, 3799, 3870.

ANNOTATION REFERENCE

Validity and construction of statute defining homicide by conduct manifesting depraved indifference. 25 ALR4th 311.

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POINTS OF COUNSEL

Center for Appellate Litigation, New York City (Mark W. Zeno and Robert S. Dean of counsel), for appellant in the first above-entitled action. The evidence in this archetypal one-on-one stabbing homicide was insufficient to establish that appellant had committed depraved indifference second-degree murder as defined in *People v Payne* (3 NY3d 266, 272 [2004]). (*People v Gonzalez*, 1 NY3d 464; *People v Robinson*, 145 AD2d 184, 75 NY2d 879; *People v Harrison*, 85 NY2d 891; *People v Roe*, 74

NY2d 20; *People v Jernatowski*, 238 NY 188; *People v Gomez*, 65 NY2d 9; *People v Sanchez*, 98 NY2d 373; *People v Hafeez*, 100 NY2d 253; *People v Poplis*, 30 NY2d 85; *People v Bryce*, 88 NY2d 124.)

Robert T. Johnson, District Attorney, Bronx (*Jonathan Zucker*, *Joseph N. Ferdenzi* and *Peter D. Coddington* of counsel), for respondent in the first above-entitled action. The evidence in this case supports the jury's verdict that this murder was both reckless and depraved. (*People v Sanchez*, 98 NY2d 373; *People v Hafeez*, 100 NY2d 253; *People v Gonzalez*, 1 NY3d 464; *People v Payne*, 3 NY3d 266; *People v Roe*, 74 NY2d 20; *People v Bleakley*, 69 NY2d 490; *People v Mills*, 1 NY3d 269; *People v Best*, 85 NY2d 826; *People v Poplis*, 30 NY2d 85; *People v Kibbe*, 35 NY2d 407.)

Warren S. Landau, New York City, and *Lynn W.L. Fahey* for appellant in the second above-entitled action. I. The People failed to prove that appellant acted "under circumstances evincing a depraved indifference to human life" when, after her former boyfriend pushed her during a one-on-one confrontation, she drew a knife with a four-inch blade, inflicted a single two-inch knife wound to his chest, and immediately called 911 to summon assistance for him. (*People v Payne*, 3 NY3d 266; *People v Roe*, 74 NY2d 20; *People v Smith*, 255 AD2d 404; *Jackson v Virginia*, 443 US 307; *In re Winship*, 397 US 358; *People v Gonzalez*, 1 NY3d 464; *People v Hafeez*, 100 NY2d 253; *People v Harrison*, 85 NY2d 891; *People v Robinson*, 145 AD2d 184, 75 NY2d 879; *People v Jernatowski*, 238 NY 188.) II. Among other things, trial counsel's failure to investigate, obtain readily available corroborative evidence, or otherwise adequately prepare the battered woman defense he presented, denied appellant the effective assistance of counsel. (*Kimmelman v Morrison*, 477 US 365; *Strickland v Washington*, 466 US 668; *People v Stultz*, 2 NY3d 277; *People v Baldi*, 54 NY2d 137; *People v Droz*, 39 NY2d 457; *People v Brown*, 45 NY2d 852; *People v Bennett*, 29 NY2d 462; *Coles v Peyton*, 389 F2d 224; *Wiggins v Smith*, 539 US 510; *Williams v Taylor*, 529 US 362.)

Charles J. Hynes, District Attorney, Brooklyn (*Sholom J. Twersky*, *Leonard Joblove* and *Anne C. Feigus* of counsel), for respondent in the second above-entitled action. I. The evidence was legally sufficient to establish defendant's guilt of depraved indifference murder beyond a reasonable doubt. (*People v Sanchez*, 98 NY2d 373; *People v Payne*, 3 NY3d 266; *People v*

Register, 60 NY2d 270, 466 US 953; *Jackson v Virginia*, 443 US 307; *People v Rossey*, 89 NY2d 970; *People v Contes*, 60 NY2d 620; *People v Ford*, 66 NY2d 428; *People v Gaimari*, 176 NY 84; *People v Hafeez*, 100 NY2d 253; *People v Gomez*, 65 NY2d 9.) II. Defendant received the effective assistance of trial counsel. (*People v Benevento*, 91 NY2d 708; *People v Satterfield*, 66 NY2d 796; *People v Baldi*, 54 NY2d 137; *People v Rivera*, 71 NY2d 705; *People v Hobot*, 84 NY2d 1021; *People v Benn*, 68 NY2d 941; *People v Berroa*, 99 NY2d 134; *Strickland v Washington*, 466 US 668; *People v Caban*, 5 NY3d 143; *People v Aiken*, 45 NY2d 394.)

OPINION OF THE COURT

Per Curiam.

These two appeals call upon the Court, once again, to differentiate depraved indifference murder from other categories of homicide. We begin with the facts.

People v Suarez. On February 22, 2000, in their Bronx apartment, defendant Santos Suarez stabbed his girlfriend, Jovanna Gonzalez, three times—once in the throat, once in the chest and once in the abdomen. Suarez fled without summoning assistance, and Gonzalez eventually bled to death.

When Suarez was arrested six days later in Rhode Island, he told police that he had slapped Gonzalez in the face during an argument, and that she had then lunged at him with a knife, scratching him in the chest. Suarez wrested the knife away and, “outraged” that Gonzalez had called for her son, lunged back at her. According to Suarez’s account, when he pulled back, he saw that Gonzalez was bleeding from the neck. He claimed, however, that he could not remember what happened next. Suarez was indicted for intentional murder, depraved indifference murder, intentional manslaughter and criminal possession of a weapon in the fourth degree. At his trial, he testified that he never intended to kill Gonzalez. Charged on the defense of justification and the affirmative defense of extreme emotional disturbance, the jury acquitted Suarez of intentional murder but convicted him of depraved indifference murder. The Appellate Division affirmed defendant’s conviction, holding that the evidence was legally sufficient to establish guilt of depraved indifference murder.

People v McPherson. On February 12, 2000, defendant Trisha McPherson went to the Brooklyn home of Kirk Wright, her former boyfriend and the father of her child. According to McPherson,

son, after she and Wright argued over child support, Wright pushed her. When Wright then raised his hand as if to hit her, McPherson unzipped her purse, pulled out a knife, opened the knife and swung it at Wright, stabbing him once in the chest. When she saw that Wright was bleeding, McPherson immediately called 911 and requested an ambulance. Before the ambulance arrived, McPherson left the scene. Wright was transported to a hospital, where he bled to death from the stab wound. At her nonjury trial for depraved indifference murder, first-degree manslaughter and fourth-degree weapon possession, McPherson testified that she had been a long-suffering victim of domestic violence at the hands of Wright, and that she was acting in self-defense when she killed him. The court, however, rejected her justification defense and found her guilty of depraved indifference murder. Again the Appellate Division affirmed defendant's conviction, holding that the evidence was legally sufficient to establish guilt of depraved indifference murder.

In each case—*McPherson* by a unanimous court, *Suarez* by a six-Judge majority—we conclude that there was no depraved indifference murder, and therefore reverse both convictions.

The Statutory Categories of Homicide

With the adoption of the revised Penal Law in 1965, the Legislature codified five basic categories of homicide, which have remained essentially unchanged since that time: intentional murder in the second degree (Penal Law § 125.25 [1]),¹ depraved indifference murder in the second degree (Penal Law § 125.25 [2]), intentional manslaughter in the first degree (Penal Law § 125.20 [1]), reckless manslaughter in the second degree (Penal Law § 125.15 [1]) and criminally negligent homicide (Penal Law § 125.10). Although the culpable acts in each case culminate in the same tragic result—the death of another—these crimes, each necessarily meant to proscribe different conduct, are distinguished by the level of blameworthiness attributable to the actor who commits them. Intentional murder and depraved indifference murder are equivalent in that both are classified at the highest grade and carry the same penalty; other categories of homicide, lesser in grade, are punished less severely. In so classifying the range of unlawful killings

1. Certain enumerated aggravating factors elevate intentional murder in the second degree to murder in the first degree (Penal Law § 125.27 [1]).

condemned by the criminal law, the Legislature has enacted a statutory system in which each category of homicide is defined uniquely and distinctly from every other, thus ensuring that a killer's punishment is commensurate with the degree of criminal culpability established by the Penal Law.

What precisely distinguishes depraved indifference murder from other homicides has of late generated significant discussion,² as the number of indictments for depraved indifference murder—often charged in conjunction with intentional murder—has increased dramatically. Whether because jurors conclude that anyone who would intentionally take a life is depraved, or because they mistakenly believe that depraved indifference murder is a lesser offense than intentional murder and are reluctant to convict of the “most serious” charge, the availability of a depraved indifference murder count has led juries to convict of that charge even though the evidence did not support it (see e.g. *People v Hafeez*, 100 NY2d 253 [2003]; *People v Gonzalez*, 1 NY3d 464 [2004]; *People v Payne*, 3 NY3d 266 [2004]; see also *Policano v Herbert*, 430 F3d 82 [2d Cir 2005]).

The proliferation of the use of depraved indifference murder as a fallback theory under which to charge intentional killers reflects a fundamental misunderstanding of the depraved indifference murder statute. “[D]epraved indifference murder may not be properly charged in the overwhelming majority of homicides that are prosecuted in New York” (*Payne*, 3 NY3d at 270). Rather, because the statute requires “circumstances evincing a depraved indifference to human life” (Penal Law § 125.25 [2]), depraved indifference murder properly applies only to a small, and finite, category of cases where the conduct is at least as morally reprehensible as intentional murder. The cases now before us, two additional examples of the misapplication of the depraved indifference murder statute, compel us—for now and for the future—to revisit what is unique and distinctive about

2. See e.g. Abraham Abramovsky and Jonathan I. Edelstein, *Depraved Indifference Murder Prosecutions in New York: Time for Substantive and Procedural Clarification*, 55 Syracuse L Rev 455 (2005); Paul Shechtman, Outside Counsel, *The Meaning of Depraved-Indifference Murder: New Legislation?*, NYLJ, Apr. 4, 2005, at 4, col 4; Brian F. Allen, *A Step in the Right Direction: People v. Hafeez, Stopping the Expansion of Depraved Indifference Murder in New York State*, 18 St John's J Legal Comment 875 (2004); Peter Dunne, *Is There Life Left in Depraved Indifference Murder?*, 2 NY Crim L Newsl [No. 4] 5 [NY St Bar Assn, Fall 2004]; see also Bernard E. Gegan, *More Cases of Depraved Mind Murder: The Problem of Mens Rea*, 64 St John's L Rev 429 (1990).

that crime as defined by the Legislature. The purpose here is not to take anything away from juries (*see* concurring/dissenting op at 227)—a valued and essential element of our justice system—but rather to provide the guidance that will enable prosecutors, juries, trial courts and reviewing courts to function without risk of reversal.

Distinction from Intentional Murder

According to Penal Law § 125.25 (2), a person commits depraved indifference murder when “[u]nder circumstances evincing a depraved indifference to human life, he recklessly engages in conduct which creates a grave risk of death to another person, and thereby causes the death of another person.”

[1] That taking the life of another can itself, in a sense, be considered a “depraved” act does not, however, turn every killing into depraved indifference murder as proscribed by the Penal Law. We thus begin by once again underscoring that the “use of a weapon can never result in depraved indifference murder when . . . there is a manifest intent to kill” (*Payne*, 3 NY3d at 271 [2004] [point-blank shooting insufficient to establish depraved indifference murder]). That is so because “[i]ndifference to the victim’s life . . . contrasts with the intent to take it” (*id.* at 270). The People concede this proposition, but seek to distinguish *Suarez* from *Payne*, and from *Gonzalez* (1 NY3d 464 [2004] [10 shots fired at close range]), because in those cases the defendant used a gun, whereas here he used a knife. Thus, despite *Payne*’s plain statement that “a one-on-one shooting *or knifing* (or similar killing) can almost never qualify as depraved indifference murder” (3 NY3d at 272 [emphasis added]), the People maintain that a jury could reasonably have concluded that *Suarez*’s infliction of stab wounds to the throat, chest and abdomen of his victim reflected not an intent to kill but merely an intent to seriously injure her.

If the prosecution meant by this nothing more than that the evidence would have supported defendant’s conviction for intentional murder—despite the jury’s acquittal of that charge—as well as his conviction for intentional manslaughter in the first degree, we would agree. However, the People contend further that the evidence here also established depraved indifference murder, on the theory that *Suarez*’s actions in stabbing the victim created a grave risk of her death—a risk that he consciously disregarded when he failed to seek medical assistance for the injuries he intentionally inflicted and instead left her there to die.

“That is not the law. If it were, every homicide, particularly intentional ones, would be converted into depraved indifference murder” (*Payne*, 3 NY3d at 270; *see also People v Hafeez*, 100 NY2d 253, 259 [2003] [where defendant’s conscious objective was to “intentionally injur(e)” the victim, there was “no valid line of reasoning that could support a jury’s conclusion that defendant possessed the mental culpability required for depraved indifference murder”]).

Indeed, the flaw in the People’s argument is perhaps best demonstrated by comparing *Suarez* with *McPherson*. In *Suarez*, the People maintain that depraved indifference is established by the defendant’s intentional infliction of a mortal wound, followed by his flight from the scene of the killing. Because the defendant left the bleeding victim still alive without “finishing her off,” we are told, he must not have intended her death (which in turn exempts the case from the “manifest intent to kill” rule of *Payne*). But since he did nothing to save her, his actions, we are further told, reflected a depraved indifference to her life.³ In *McPherson*, by contrast, we are told that the defendant’s conduct in calling for an ambulance after discovering that her victim had been wounded in itself reflected depraved indifference. For, the argument goes, her very actions in summoning assistance show that she did *not* intend for the victim to die. That being so, her crime (the People assert) must have been one of indifference, not of intentionality; and since the risk of death created by a chest wound is a grave one, the depraved indifference murder statute is satisfied.

When the People can make, and courts can accept, arguments in which both the rendering of assistance and the failure to render assistance serve to establish depraved indifference, there must be a fundamental misapprehension of the concept of the crime.

3. Thus, under the People’s theory, a defendant who plainly intended to kill the victim, and who succeeded, may be prosecuted only for intentional murder. But an inept defendant, who commits precisely the same acts with the intent to kill, but who fails to kill the victim right away and instead flees the scene of the attempted intentional homicide, will—despite having engaged in identical conduct with an identical mental state—have committed depraved indifference murder when the victim later dies. We cannot agree with this proposition. It is the rare killer indeed who, after inflicting a mortal wound intended at a minimum to cause serious physical injury, lingers at the scene of the crime or summons aid. “The People’s tautology, if accepted, would improperly convert every intentional homicide” that does not succeed in bringing about the victim’s immediate death into depraved indifference murder (*Gonzalez*, 1 NY3d at 468).

The People's argument is flawed on two grounds. First, a killing (whether intentional or unintentional) is not transformed into depraved indifference murder simply because the killer does not summon aid for the victim. Otherwise, homicides would be routinely and improperly converted into depraved indifference murders whenever—as is often the case—the killer leaves the scene. Even more obviously, a killing does not become a depraved indifference murder merely because the killer summons aid and thus reveals an intent that the victim not die. Surely, a killer does not commit depraved indifference murder just because he or she wants the victim to live. Second, and irrespective of what the actor does or does not do after inflicting the fatal injury, depraved indifference murder is not made out unless the core statutory requirement of depraved indifference is established.

“Depraved indifference murder does not mean an extremely, even heinously, intentional killing. . . .

“When a defendant's conscious objective is to cause death, the depravity of the circumstances under which the intentional homicide is committed is simply irrelevant. Nor can the wanton disregard for human life inherent in every intentional homicide convert such a killing”

into depraved indifference murder (*Gonzalez*, 1 NY3d at 468).

Distinction from Intentional Manslaughter

Historically, depraved indifference murder had no application at all to one-on-one killings (*see generally* Bernard E. Gegan, *A Case of Depraved Mind Murder*, 49 St John's L Rev 417 [1974]). Accordingly, in *Darry v People* (10 NY 120 [1854]), this Court held that a conviction for “depraved mind”⁴ murder required conduct that endangered many people indiscriminately, reflecting cases in which the defendant did not wish to kill or injure any particular individual, but had no care for whether the life of any particular person was lost or not.

Since the enactment of the revised Penal Law, however, we have recognized that in rare circumstances, depraved indifference murder can also be found in certain *unintentional* killings involving only a single individual. These limited cases are those

4. We note that the statute no longer refers to depraved “mind” murder. Continuing to describe the crime in those terms improperly detracts from the current statute's requirement of *indifference*.

in which—although the intent to kill is absent—the defendant’s utter depravity in causing the victim’s death warrants punishment in excess of that available for manslaughter. Such cases will arise only when the acts of the defendant are “marked by uncommon brutality—coupled not with an intent to kill . . . but with depraved indifference to the victim’s plight” (*Payne*, 3 NY3d at 271). To constitute depraved indifference, the defendant’s

“conduct must be ‘ “so wanton, so deficient in a moral sense of concern, so devoid of regard of the life or lives of others, and so blameworthy as to warrant the same criminal liability as that which the law imposes upon a person who intentionally causes the death of another” ’ ” (*People v Russell*, 91 NY2d 280, 287-288 [1998], quoting *People v Fenner*, 61 NY2d 971, 973 [1984]).

The vast majority of killings simply do not meet this standard. They are suitably punished by statutes defining intentional murder or manslaughter in the first or second degree or criminally negligent homicide.

Depraved indifference murder is not a lesser degree of intentional murder.⁵ Moreover, someone who intends to cause serious physical injury does not commit depraved indifference murder because the intended victim dies. By definition, “[s]erious physical injury” includes injury “which creates a substantial risk of death, or which causes death” (Penal Law § 10.00 [10]). Thus, one who acts with the conscious intent to cause serious injury, and who succeeds in doing so, is guilty only of manslaughter in the first degree. Otherwise, every intentional manslaughter would also establish depraved indifference murder—a result plainly at odds with the discrete classifications set forth in the statute. Since a defendant who intends to injure or kill a particular person cannot generally be said to be “indifferent”—depravedly or otherwise—to the fate of that person, we underscore what we said in *Payne*: “a one-on-one shooting or

5. It was therefore misleading for the prosecutor in *Suarez* to request in summation that the jury “find [defendant] guilty of Intentional Murder, or at the very least, that he acted with such depraved indifference that he disregarded her human life” (emphasis added).

knifing (or similar killing) can almost never qualify as depraved indifference murder” (3 NY3d at 272).⁶

A defendant may be convicted of depraved indifference murder when but a single person is endangered in only a few rare circumstances. Two fact patterns have recurred over the past four decades of experience under the revised Penal Law. First, when the defendant intends neither to seriously injure, nor to kill, but nevertheless abandons a helpless and vulnerable victim in circumstances where the victim is highly likely to die, the defendant’s utter callousness to the victim’s mortal plight—arising from a situation created by the defendant—properly establishes depraved indifference murder. Thus, in *People v Kibbe* (35 NY2d 407 [1974]), the defendants were properly convicted of depraved indifference murder after they robbed an intoxicated victim and forced him out of a car on the side of a dark, remote, snowy road, partially dressed and without shoes in subfreezing temperatures, where he was struck by a passing truck and killed. Similarly, in *People v Mills* (1 NY3d 269 [2003]), the defendant, without intent to harm or kill his victim, pushed a young boy into the water, watched him submerge without resurfacing (either because the boy had accidentally struck his head or because of an epileptic seizure), falsely informed his friends in response to their cries to help the victim that he was in fact swimming away, and abandoned the drowning boy to die.

Second, although we have reversed depraved indifference murder convictions in most cases involving isolated attacks, we have held that the crime is nevertheless established when a defendant—acting with a conscious objective not to kill but to harm—engages in torture or a brutal, prolonged and ultimately fatal course of conduct against a particularly vulnerable victim. When a defendant’s actions serve to intensify or prolong a victim’s suffering, they bespeak a level of cruelty that establishes

6. Of course, a one-on-one dispute will not always reflect a manifest intent to kill or injure. Rather, we make clear only that whether the infliction of serious or fatal injury was intended or not, such a confrontation can almost never support a finding of depraved indifference. It is up to the jury to decide in a particular case whether the defendant acted intentionally, or recklessly, or negligently (or not at all). Indeed, in *McPherson*—a one-on-one confrontation—the evidence was certainly sufficient to support a finding of reckless manslaughter, although not of depraved indifference murder. Nor do we make any absolute pronouncement “that a person who stabs someone with a knife cannot act with ‘a depraved indifference to human life’ ” (concurring/dissenting op at 219).

the depravity mandated by statute. Thus, in *People v Poplis* (30 NY2d 85 [1972]), the defendant committed depraved indifference murder when, albeit without any intent to kill, he caused the death of a 3^{1/2}-year-old infant as a result of continually beating the child over a period of five days (*see also People v Best*, 85 NY2d 826 [1995], *affg* 202 AD2d 1015 [4th Dept 1994] [defendant's repeated severe beatings of her nine-year-old son caused large open wounds resulting in blood poisoning and ultimately death by asphyxiation; depraved indifference murder established since defendant continued beatings though aware of child's condition]).

Both of these categories of cases reflect wanton cruelty, brutality or callousness directed against a particularly vulnerable victim, combined with utter indifference to the life or safety of the helpless target of the perpetrator's inexcusable acts. We have also upheld convictions for depraved indifference murder in a few other extraordinary cases involving conduct that endangered only one person, where the evidence showed not just recklessness, but depraved indifference to human life (*see e.g. People v Roe*, 74 NY2d 20 [1989] [defendant fired at point-blank range without knowing whether the bullet was a "live" or "dummy" round]). Where comparable facts are not shown, however, a jury is foreclosed, as a matter of law, from considering a depraved indifference murder charge whenever death is the result of a one-on-one confrontation.⁷

Distinction from Reckless Manslaughter

Reckless homicide cannot be elevated into depraved indifference murder merely because the actions of the defendant created a risk of death, however grave or substantial that risk may have been. Otherwise, manslaughter in the second degree would routinely and automatically become depraved indifference murder inasmuch as the victim (who was, after all, killed) was necessarily exposed to a grave or substantial risk of death. The crit-

7. Moreover, the mere presence of third persons at the scene of a killing does not convert an intentional homicide directed at a particular victim into depraved indifference murder unless others are *actually endangered*. Thus, in *Gonzalez*, although the defendant, after shooting the victim, "waved the gun at the only eyewitness—the barber—warned him not to say anything and walked out the door" (1 NY3d at 466), the evidence was legally insufficient to establish depraved indifference murder despite the presence of the barber in the shop at the time of the shooting (*see also People v Sanchez*, 98 NY2d 373 [2002] [depraved indifference murder conviction upheld because "others were endangered" (*Payne*, 3 NY3d at 272)]).

ical statutory language that separates second-degree manslaughter from depraved indifference murder is the defendant's underlying *depraved indifference*. “[C]ircumstances evincing a depraved indifference to human life” are not established by recklessness coupled only with actions that carry even an inevitable risk of death.

We therefore make clear that depraved indifference is best understood as an utter disregard for the value of human life—a willingness to act not because one intends harm, but because one simply doesn’t care whether grievous harm results or not. Reflecting wickedness, evil or inhumanity, as manifested by brutal, heinous and despicable acts, depraved indifference is embodied in conduct that is “so wanton, so deficient in a moral sense of concern, so devoid of regard of the life or lives of others, and so blameworthy” as to render the actor as culpable as one whose conscious objective is to kill (*Russell*, 91 NY2d at 287 [internal quotation marks omitted]).⁸ Quintessential examples are firing into a crowd (*see e.g. People v Jernatowski*, 238 NY 188 [1924]); driving an automobile along a crowded sidewalk at high speed (*see People v Gomez*, 65 NY2d 9 [1985]); opening the lion’s cage at the zoo; placing a time bomb in a public place; poisoning a well from which people are accustomed to draw water; opening a drawbridge as a train is about to pass over it and dropping stones from an overpass onto a busy highway.

Oftentimes it will not be easy to determine whether a defendant’s conscious objective was to kill or merely to injure a victim. But those are the hard choices to be weighed by the trier of fact. Depraved indifference murder was never meant as a fallback crime enabling courts and juries to avoid making these difficult decisions. We therefore make clear that the statutory provision that a defendant act “[u]nder circumstances evincing a depraved indifference to human life” constitutes an additional requirement of the crime—beyond mere recklessness and risk—which in turn comprises both depravity and indifference, and that a jury considering a charge of depraved indifference murder should be so instructed (*see People v Register*, 60 NY2d 270, 276 [1983] [depraved indifference murder statute “requires in

8. By contrast, in authorizing lesser punishment for the crime of manslaughter in the first degree, the Legislature specifically determined that the intentional infliction of serious injury resulting in death is *not* so blameworthy “as to warrant the same criminal liability as that which the law imposes upon a person who intentionally causes the death of another” (*id.* at 287-288 [internal quotation marks and citations omitted]).

addition not only that the conduct which results in death present a grave risk of death but that it also occur ‘(u)nder circumstances evincing a depraved indifference to human life’ ”)].

We depart slightly from the *Register* formulation, however, in that we make clear that the additional requirement of depraved indifference has meaning independent of the gravity of the risk. As the present cases illustrate, to focus, as the dissent does, on only the degree of risk presented by a defendant’s reckless actions gives insufficient guidance to prosecutors, courts and juries struggling to distinguish between these very different crimes. For with the critical inquiry thus cast, it becomes difficult for trial and appellate courts to determine as a matter of law whether given conduct has established a *very* substantial or merely substantial risk of death, particularly because this determination must, by definition, always be made with the hindsight that the endangered victim did in fact die. That being so, it is hard for a court exercising meaningful review ever to deny that the jury could reasonably have concluded that the defendant’s conduct must have created a very substantial (i.e., grave) risk of death, since it actually succeeded in causing death.

Although the dissent proclaims its faith in the ability of jurors to make the fine distinction between “a grave, transcendent risk of death justifying a conviction of second-degree murder or a substantial risk of death warranting a manslaughter conviction” (dissenting/concurring op at 227), it also concludes that there was no rational view of the evidence to support the conclusion that McPherson demonstrated a depraved indifference to the victim’s life. But of course, the trial judge found otherwise, and was affirmed by the Appellate Division.

When depraved indifference murder is properly understood, “twin-count” indictments—charging both intentional homicide and depraved indifference murder—should be rare. Twin-count submissions to a jury, even rarer. For by the time the proof has been presented, it should be obvious in most cases whether or not the evidence establishes “an intentional [killing] or no other” (*People v Wall*, 29 NY2d 863, 864 [1971]). Thus, where twin-count indictments are lodged, trial courts should presume “that the defendant’s conduct falls within only one category of murder and, unless compelling evidence is presented to the contrary, dismiss the count that is least appropriate to the facts” (Abramovsky and Edelstein, 55 Syracuse L Rev at 491).

In sum, whether a small, finite or rare category, depraved indifference murder should not be routinely charged to a jury.

Focus on the three statutory factors that distinguish depraved indifference murder—“circumstances evincing a depraved indifference to human life,” recklessness and “a grave risk of death to another person”—should again make clear that the statute properly applies only to the unusual case.

Application of the Law to the Facts

[2, 3] In *Suarez*, defendant’s acts in stabbing his victim in the throat, chest and abdomen did not, as a matter of law, constitute depraved indifference murder. Whether he intended to kill her or merely to cause her serious injury—and either of these findings, supported by sufficient evidence, might have been properly made by the jury—defendant’s actions in no way reflected a depraved indifference to her fate.⁹ In *McPherson*, defendant’s conduct may have reflected recklessness but did not fall within the small, and finite, category of cases evidencing utter depravity, uncommon brutality and inhuman cruelty required for depraved indifference murder. We reject defendant McPherson’s further contention that she was denied the effective assistance of counsel at her trial.

Remittitur

In their briefs to this Court, the parties focused their arguments on the merits, and not on the question of remedy in the event of a reversal. Inasmuch as the Appellate Division, in affirming in each case, had no occasion to address the significant legal arguments bearing on the appropriate remedy, we remit to the Appellate Division for full briefing and consideration and for that Court to exercise its corrective action powers under CPL 470.20.

9. Nor could Suarez’s claims that he was acting in self-defense or that he could not remember what happened when he stabbed his girlfriend support his conviction for depraved indifference murder. Depraved indifference murder entails depraved indifference, not a mere loss of memory or actions performed without conscious focus (*see also Gonzalez*, 1 NY3d at 469 [“In arguing that the jury might have concluded that defendant acted out of fear and anger, and therefore without intent, the People confuse recklessness with extreme emotional disturbance. A defendant who commits murder because of uncontrollable emotion may be entitled to raise an affirmative defense to murder, but the extreme emotional disturbance defense does not negate intent. The influence of an extreme emotional disturbance explains the defendant’s intentional action, but does not make the action any less intentional. Indeed, when there is a finding that the defendant acted under extreme emotional disturbance, the offense is reduced from intentional murder in the second degree to intentional—not reckless—manslaughter in the first degree” (internal quotation marks and citations omitted)]).

Accordingly, in each case, the order of the Appellate Division affirming the judgment of conviction and sentence should be reversed and the case remitted to that Court for further proceedings in accordance with this opinion. Additionally, in *McPherson*, the order of the Appellate Division affirming the denial of defendant's CPL 440.10 motion should be affirmed.

G.B. SMITH, ROSENBLATT and R.S. SMITH, JJ. (concurring). We are full participants in the Court's per curiam decision, but write separately to add some views of our own.

The Court's earlier decisions in *People v Register* (60 NY2d 270 [1983]) and in *People v Sanchez* (98 NY2d 373 [2002]), which was based in significant part on *Register*, gave too expansive a definition to depraved indifference murder. The Court has properly limited the force of those decisions in *People v Hafeez* (100 NY2d 253 [2003]), *People v Gonzalez* (1 NY3d 464 [2004]) and *People v Payne* (3 NY3d 266 [2004]), and has limited them even further today. We would take a step beyond the per curiam opinion and say what the Court stops short of saying: that *Register* and *Sanchez* should be explicitly overruled.

Notwithstanding this difference, we welcome the Court's return to a more restrictive, and we believe more sound, interpretation of the depraved indifference murder statute. But there is, as all members of this Court are painfully aware, a price to be paid for this needed revision in the Court's approach. At least in *Gonzalez*, *Payne* and *Suarez*, defendants' convictions have been reversed despite—indeed, in part because of—strong evidence that they intended to kill their victims. But juries acquitted Gonzalez, Payne and Suarez of intentional murder, and we think the Court has rightly concluded that a correct interpretation of the depraved indifference murder statute does not permit their convictions of that crime to stand.

In overturning convictions in such cases, the Court, in our view, performs an unpleasant but necessary duty, and by doing so will make future homicide prosecutions more sustainable, increasing the likelihood that defendants who are proven beyond a reasonable doubt to have committed intentional murder will be properly held to account for that crime. We expect, or at least hope, that the rule embodied in this and our other recent decisions will be applied prospectively, and that any impact on already completed prosecutions can be avoided. Defendants who committed vicious crimes but who may have been charged and convicted under the wrong section of the statute are not attrac-

tive candidates for collateral relief after their convictions have become final.¹

A defendant who commits intentional murder should be convicted and punished for that crime, not for a crime that he or she did not commit and that a jury may mistakenly believe is less serious. Where intentional murder is not made out, the lesser degrees of homicide, including first and second degree manslaughter, can fully serve the function they served for decades before the relatively recent, seismic expansion in depraved indifference murder prosecutions.² Continuing to countenance the routine use of depraved indifference murder charges, as the dissent would have us do, will ultimately cause more trouble than the course the Court has taken today.

Further, and contrary to the dissent, the Court does not hold that a person who stabs another with a knife may *never* be guilty of depraved indifference murder. It is better to say “almost never,” as the Court does. Though we have held that a point-blank shooting may almost never qualify as depraved indifference murder, we have recognized that a variation on Russian roulette (a point-blank shooting) may be an exception (*see People v Roe*, 74 NY2d 20 [1989]). Similarly, if one person kills another by throwing a knife to see how close it can get to the victim’s head, a depraved indifference murder charge may be justified. But law school-type hypotheticals are not the stuff of the day-to-day criminal courts; and the per curiam opinion, by saying “*almost* never,” avoids taking an absolutist position that would wholly foreclose depraved indifference murder, in a one-on-one situation, by the use of a knife or any other means.

We appreciate our dissenting colleague’s desire to affirm in *Suarez* and reverse in *McPherson*. But, as the per curiam opinion demonstrates, to reach that result while applying *Register* and *Sanchez* requires overlooking the fact that both

1. Adherence to the *Register/Sanchez* analysis may have adverse consequences for the stability of previous convictions. Some federal court decisions indicate that the statute as interpreted according to *Register* and *Sanchez* raises constitutional problems that should result in the release of some defendants on federal collateral review (*see Jones v Keane*, 2002 US Dist LEXIS 27418 [SD NY, May 22, 2002, 02 Civ 1804 (CLB)], *revd on other grounds* 329 F3d 290 [2d Cir 2003]; *St. Helen v Senkowski*, 2003 US Dist LEXIS 26642 [SD NY, Sept. 19, 2003, 02 Civ 10248 (CLB)], *revd on other grounds* 374 F3d 181 [2d Cir 2004]; *see also Policano v Herbert*, 430 F3d 82 [2d Cir 2005]). Today’s decision should alleviate those concerns.

2. This view was expressed in the dissenting opinions of G.B. Smith, Ciparick and Rosenblatt, JJ. in *Sanchez* (98 NY2d 373, 401-402, 416 [2002]).

defendants created at least a grave risk of death by fatally stabbing their victims in the chest. It may well be that justice would call for convicting Suarez of murder and McPherson of manslaughter, but the degree of risk created is not a sufficient basis for distinguishing between cases like these. The distinction can be properly made only by requiring that the prosecution, to obtain a murder conviction, must prove intent to kill or, in the rare cases where it is present, depraved indifference to human life. That is what the Legislature plainly intended, and we welcome the Court's decision today to adhere to that original intention.

READ, J. (concurring). On constraint of our decision in *People v Payne* (3 NY3d 266 [2004]), I concur with the result in *People v Suarez*. On constraint of our decisions in *People v Hafeez* (100 NY2d 253 [2003]) and *Payne*, I concur with the result in *People v McPherson*. For all the reasons expressed by Judge Graffeo, I find the majority's rationale for deviating from our longstanding precedent and reinterpreting Penal Law article 125 to be unconvincing. As Judge Graffeo further points out, our jurisprudence in this area now raises a significant public policy issue that only the Legislature can resolve.

GRAFFEO, J. (concurring in *McPherson* and dissenting in *Suarez*). The majority concludes that a person who stabs someone with a knife cannot act with "a depraved indifference to human life" (Penal Law § 125.25 [2]). To reach this conclusion and limit the applicability of the depraved indifference murder statute, the majority employs reasoning that is inconsistent with the language of the statute as well as the carefully drawn legislative distinctions between intentional murder, depraved indifference murder and manslaughter. Its rationale deviates from our precedent in *People v Sanchez* (98 NY2d 373 [2002]), *People v Register* (60 NY2d 270 [1983]) and other cases decided by this Court. Today's decision also fails to recognize and respect the ability of our jury system to reliably differentiate between different types of homicide. For these reasons, I respectfully disagree with the majority's interpretation of the depraved indifference murder statute.

Depraved Indifference Murder

The Legislature codified distinct categories of homicide in the Penal Law that became effective in 1967. Murder in the second degree is committed by intentionally causing the death of an-

other (*see* Penal Law § 125.25 [1]). An intentional killing may also be classified as first-degree murder if certain aggravating circumstances concerning the crime, the victim or the defendant are present (*see* Penal Law § 125.27 [1] [a]). A murder is intentional when the accused acts with the “conscious objective” to kill (Penal Law § 15.05 [1]). A lesser offense, manslaughter in the first degree, is committed when a person who intended to cause serious physical injury, causes death (*see* Penal Law § 125.20 [1]).

Recognizing that not all criminal conduct is intentional, the Legislature created several categories of nonintentional homicide, reflecting differing degrees of criminal culpability. A distinct type of murder, referred to as “depraved mind murder,” had previously been codified in New York, but the earlier statute had been interpreted to apply only to deaths that occurred when a defendant’s conduct had endangered more than one person and was not directed at harming any particular person (*see Darry v People*, 10 NY 120, 147 [1854]). In order to expand the reach of the offense, the Legislature redesignated this category of homicide as “depraved indifference murder,” classified it as second-degree murder and provided that the crime is committed when a person, “[u]nder circumstances evincing a depraved indifference to human life, [] recklessly engages in conduct which creates a grave risk of death to another person, and thereby causes the death of another person” (Penal Law § 125.25 [2]). To kill recklessly, as opposed to intentionally, one must be “aware of and consciously disregard[]” a risk that conduct will result in death (Penal Law § 15.05 [3]). Both of these forms of second-degree murder—intentional and depraved indifference—carry the same penalties and are class A-I felonies. This underscores the Legislature’s desire to enact a category of homicide that, although not the result of a conscious intent to kill, is the result of circumstances, coupled with a grave disregard for life, comparable in severity and blameworthiness to intentional murder.¹

Another category of homicide, manslaughter in the second degree, a crime of lesser grade and severity, is also premised on reckless conduct (*see* Penal Law § 125.15 [1]). There is, however, a critical difference between second-degree manslaughter and depraved indifference murder. Depraved indifference murder requires that the actor create a “grave” risk of death (Penal

1. There are two other categories of nonintentional murder in the second degree, including felony murder (*see* Penal Law § 125.25 [3], [4]).

Law § 125.25 [2]), whereas the manslaughter statute employs a lesser, “substantial” risk of death standard (Penal Law § 15.05 [3]). When a jury concludes that the lesser degree of risk was created and convicts a defendant of manslaughter, a class C felony, the sentencing options are far less onerous than the penalties authorized for a depraved indifference murder conviction (*see generally* Penal Law art 70).

Thus, in delineating between these types of homicide, the Legislature clearly indicated that the important factors that distinguish these crimes are whether a person acts intentionally with respect to a particular result (for intentional murder and first-degree manslaughter) or recklessly with regard to whether death will result (for depraved indifference and second-degree manslaughter), and if the person was reckless, whether that conduct created a grave risk of death (for depraved indifference) as opposed to only a substantial risk of death (for manslaughter). The determination of the accused’s state of mind and the degree of risk created by his or her conduct has traditionally and almost exclusively been reserved to a jury of the accused’s peers.

This Court on a number of occasions has discussed the meaning of the depraved indifference requirement in the second-degree murder statute. In *People v Register*, we explained that depraved indifference “refers to neither the *mens rea* nor the *actus reus*” of the crime (60 NY2d at 276). Rather, it is “a definition of the factual setting in which the risk creating conduct must occur” (*id.*). This is consistent with the carefully chosen statutory condition that depraved indifference second-degree murder is available only in “*circumstances* evincing a depraved indifference to human life” (Penal Law § 125.25 [2] [emphasis added]). The Legislature inserted the word “circumstances” for a reason. As we emphasized in *People v Sanchez*, the “requirement of circumstances evincing a depraved indifference to human life . . . focuses not on the subjective intent of the defendant, ‘but rather upon an objective assessment of the degree of risk presented by [the] defendant’s reckless conduct’ ” (98 NY2d at 379-380, quoting *Register*, 60 NY2d at 277). And it is the “exceptionally high, unjustified risk of death [that] constitute[s] the primary means by which the Legislature differentiated between the reckless state of mind sufficient to establish the mental culpability of manslaughter and the extreme recklessness of [depraved indifference] murder” (*Sanchez*, 98 NY2d at 380).

From the viewpoint of statutory analysis, the majority's restrictive application of depraved indifference murder is inconsistent with the specific language of Penal Law § 125.25 (2) and our long established precedent construing that statute. According to the majority, the depraved indifference provision allows an individual to be prosecuted for second-degree murder if that person recklessly engages in conduct that creates a grave risk of death to another person and thereby causes the death of another person in the following situations: (1) where only one individual is put at risk of death and the accused "abandons [the] helpless and vulnerable victim in circumstances where the victim is highly likely to die" (majority op at 212) or "engages in torture or a brutal, prolonged and ultimately fatal course of conduct against a particularly vulnerable victim" (majority op at 212) and (2) where more than one person is put at risk of death, regardless of the "helpless[ness]" and "vulnerab[ility]" of the victim (majority op at 212), or whether the defendant "engages in torture or a brutal, prolonged and ultimately fatal course of conduct" (majority op at 212).

This limited construction of the statute is unjustified. The language of Penal Law § 125.25 (2) does not remotely suggest that the extent of helplessness and vulnerability of the victim, or the length and nature of an attack, are prerequisites to a determination of depraved indifference. And the statute cannot plausibly be read to suggest that the Legislature intended the phrase "depraved indifference" to carry one definition in the context of a one-on-one altercation, yet mean something completely different when more than one person is endangered by the conduct of another. Furthermore, the legislative amendments to the second-degree murder statute in 1967 were meant to broaden the application of depraved indifference murder, not restrict it to cases like shooting into a crowd, opening a lion's cage or detonating a bomb in a public place, examples cited by the majority.

Aside from the problems inherent in the majority's inability to reconcile its interpretation with the plain language of the depraved indifference murder statute, today's decision signals a fundamental shift in our homicide jurisprudence. Although it purports to maintain the objective circumstances rule (*see* majority op at 214-215), the majority acknowledges that it is departing somewhat from the standard articulated in *Register* (*see* majority op at 215). Rather than focusing on the grave risk of death, the majority speaks in terms of the "wickedness, evil or

inhumanity” of the killer (majority op at 214). A majority of our Court clearly rejected this type of heightened mens rea just three years ago in *Sanchez*.

“Nowhere in the[] modern formulations of depraved mind or depraved indifference murder is there a requirement that, in addition to the extremely reckless nature of the homicidal conduct, there must also be proof in some other sense of an ‘uncommonly evil and morally perverse frame of mind’ ” (*Sanchez*, 98 NY2d at 383).

We also noted that to adopt the position now taken by the majority—to add “further mens rea elements or substantive requirements of subjectively defined characteristics of the defendant’s acts” (*id.* at 384)—“will only confuse rather than clarify” the distinction between intentional and depraved indifference murder (*id.*). And in the two cases that followed *Sanchez*, *People v Hafeez* (100 NY2d 253 [2003]) and *People v Gonzalez* (1 NY3d 464 [2004]), we continued to apply the objective circumstances rule to determine whether there was legally sufficient evidence of depraved indifference murder, and concluded that the planned, premeditated nature of those two killings was consistent only with an intent to kill, not a reckless state of mind.

In this Court’s most recent depraved indifference decision, *People v Payne* (3 NY3d 266 [2004]), a majority held that the point-blank shooting of a person in the chest with a shotgun should not be classified as depraved indifference murder because “a one-on-one shooting or knifing (or similar killing) can almost never qualify as depraved indifference murder” (*id.* at 272), regardless of other objective circumstances that may be present in a particular case, since murders of this nature demonstrate an inherent “manifest intent to kill” that does not constitute an indifference to human life (*id.* at 271). In my view, both *Payne* and the rule enunciated by the majority here conflict with our statement in *Sanchez* that “purposeful homicide itself is the ultimate manifestation of indifference to the value of human life” (98 NY2d at 384). Put another way, we recognized in *Sanchez* that there can be an act that creates “such a high risk of death that it could also lead to the conclusion that it was intentional[, which] supports rather than detracts from characterizing it as evincing depraved indifference to human

life” (*id.*).² In fact, in *Sanchez*, where the defendant unjustifiably shot another person at close range in the chest, we affirmed the depraved indifference murder conviction precisely because “the likelihood of causing death . . . was so obviously severe that it evinced a depraved indifference to human life” (*id.*).³

The majority attempts to reconcile its decision with the principles articulated in *Sanchez* by stating that the depraved indifference murder conviction in that case was upheld only “because ‘others were endangered’ ” (majority op at 213 n 7, quoting *People v Payne*, 3 NY3d at 272). But the *Sanchez* opinion neither relied on danger to multiple individuals as a decisive factor supporting a finding of depraved indifference, nor suggested that such a fact was crucial to its reasoning. To perpetuate this thin distinction further confuses the state of the law in New York.

I expect that the impact of the majority’s decision will not be limited to undermining the principles espoused in *Register* and *Sanchez*. For example, in *People v Roe* (74 NY2d 20 [1989]) we concluded that the death of the victim, who was shot during a game of “Polish roulette,” was properly classified as depraved indifference murder. *Roe* had loaded a shotgun with a combination of live and dummy shells, aimed it at the victim and pulled the trigger not knowing which type of round had been chambered. In that one-on-one, close-range shooting, the defendant neither “abandon[ed] a helpless and vulnerable victim” (majority op at 212) nor engaged in a “prolonged and ultimately fatal course of conduct” (majority op at 212), yet we nevertheless upheld the conviction for depraved indifference murder. Although the majority indicates that *Roe* was properly convicted of depraved indifference murder because it was “extraordinary” (majority op at 213), the majority does not explain how or why that is so in light of the new limitations imposed on depraved indifference murder.

2. We also observed that the commentary to the Model Penal Code, which influenced our depraved indifference murder statute, was consistent with this view (*see Sanchez*, 98 NY2d at 384; Model Penal Code and Commentaries, part II, § 210.2, Comment 4, at 21-22 [1980]).

3. Additionally, the rule announced by the majority in this case and *Payne* essentially creates a mandatory legal presumption that a person intends the ordinary consequences of his or her voluntary acts, which “reliev[es] the State of the burden of proof enunciated in *Winship* on the critical question of [the defendant’s] state of mind” (*Sandstrom v Montana*, 442 US 510, 521 [1979]; *see In re Winship*, 397 US 358 [1970]).

There are other troubling ramifications of this ruling that will not be limited to the second-degree murder statute. The crimes of assault in the first degree and reckless endangerment in the first degree also require that the defendant, “[u]nder circumstances evincing a depraved indifference to human life, [] recklessly engage[] in conduct which creates a grave risk of death to another person” (Penal Law § 120.10 [3]; see Penal Law § 120.25). Presumably, the majority’s new interpretation of “depraved indifference” in the context of second-degree murder will apply with equal force to these two offenses since identically worded phrases in the same chapter of laws are usually accorded the same meaning. In light of this assumption, substantial case law from this Court will have dubious precedential value, including cases where we concluded that the requirement of “depraved indifference” is satisfied when a single gunshot was fired at point-blank range into the victim’s temple (see *People v Tuck*, 87 NY2d 828 [1995]), a loaded and cocked handgun was placed against the temple but was not fired (see *People v Chrysler*, 85 NY2d 413 [1995]) and the victim was beaten and had a metal object plunged into his spinal cord (see *People v Lynch*, 95 NY2d 243 [2000]). Despite the fact that these circumstances do not fit into either of the two categories of “one-on-one” depraved indifference that the majority identifies (the defendants neither “abandon[ed] a helpless and vulnerable victim in circumstances where the victim is highly likely to die” [majority op at 212] nor “engage[d] in torture or a brutal, prolonged and ultimately fatal course of conduct against a particularly vulnerable victim” [majority op at 212]) before today it was generally accepted that juries could consider the circumstances surrounding such conduct in evaluating the requirements of depraved indifference.⁴

The majority’s primary justification for altering our approach to depraved indifference murder centers on a concern that prosecutors and juries have been conflating this crime with intentional murder in the second degree. Contrary to the majority’s belief, recognition of the long-standing rule of law expressed in *Sanchez* and *Register* does not convert “‘every homicide, particularly intentional ones . . . into depraved indiffer-

4. See Model Penal Code and Commentaries, part II, § 210.2, Comment 4, at 22 (1980) (“[i]t must be left directly to the trier of fact under instructions which make it clear that recklessness that can fairly be assimilated to purpose or knowledge should be treated as murder and that less extreme recklessness should be punished as manslaughter”).

ence murder' ” (majority op at 209, quoting *People v Payne*, 3 NY3d at 270). There is a readily understandable distinction between intentional and depraved indifference murders—the killer’s state of mind. As we have recognized, a person can act intentionally by having the conscious objective to cause death, or recklessly by disregarding a known risk of death, but cannot act with both mental states simultaneously with regard to the same result (see *People v Trappier*, 87 NY2d 55, 58-59 [1995]; *People v Gallagher*, 69 NY2d 525, 529 [1987]). Thus, simultaneous convictions for both intentional murder and depraved indifference murder cannot stand. But it does not follow that both counts may not be submitted to a jury in the alternative, with the jury to decide which offense, if any, occurred. Since direct evidence of the inner workings of a person’s mind is often unavailable, the determination of the actual mens rea of a killer has traditionally remained in most situations a question of fact for the jury based on all the evidence and the entire circumstances (see *People v Smith*, 79 NY2d 309, 315 [1992]). The majority effectively takes that decision away from the jury, requiring a judge to preemptively choose between these alternative states of mind, even where it is the defendant who raises a factual dispute concerning mens rea by asserting that he or she did not intend to kill.

Intentional and depraved indifference murder are also distinguishable because once the jury determines that a homicide was committed purposefully, “the depravity of the circumstances under which the intentional homicide is committed is simply irrelevant” (*People v Gonzalez*, 1 NY3d at 468). This is so because an intentional killing is, by its very nature, “ ‘ ‘wanton . . . deficient in [] moral sense . . . [and] devoid of regard of the life or lives of others’ ” ’ ” (*People v Russell*, 91 NY2d 280, 287 [1998], quoting *People v Fenner*, 61 NY2d 971, 973 [1984]). It is only when a jury determines that a defendant did not consciously intend to cause death, but acted recklessly, that the jury must further decide whether the objective circumstances of the crime evince a depraved indifference to human life that “equals in blameworthiness intentional conduct purposefully designed to cause death” (CJI 2d [NY] Penal Law § 125.25 [2] [“Depraved Indifference Murder and Reckless Manslaughter Explained”] [revised Aug. 2, 2004]). The purpose of this inquiry is not to differentiate between intentional and depraved indifference murder but to decide whether the defendant created such a grave, “exceptionally high” risk of death that murder, as opposed to

manslaughter, has been committed (*People v Sanchez*, 98 NY2d at 380; see *People v Register*, 60 NY2d at 279).

Certainly depraved indifference murder should not be used as a “fallback crime” by prosecutors or juries (majority op at 214). As the distinctions between the intentional murder and depraved indifference murder provisions clearly indicate, this was not the intent of the Legislature and, therefore, is not what courts should charge juries as the law of this State. Rather, depraved indifference murder is a viable, morally equivalent crime, equal in both classification and severity of punishment to intentional murder, yet sufficiently distinguishable both legally and factually. It should be charged and considered by the jury when the facts, as viewed in the light most favorable to the People, could permit a rational jury to conclude that a defendant acted recklessly with a depraved indifference to life.

To presume that conflation is widespread, one must necessarily believe that juries are incapable of distinguishing between intentional and reckless states of mind, and are similarly unable to determine whether the circumstances of the defendant’s actions created a grave, transcendent risk of death justifying a conviction of second-degree murder or a substantial risk of death warranting a manslaughter conviction. I have faith in the jury system—jurors are perfectly capable of making these determinations and it is therefore unnecessary for this Court to create artificial categories of depraved indifference murder that are not supported by the language of Penal Law § 125.25 (2). The majority recognizes that “[o]ftentimes it will not be easy to determine whether a defendant’s conscious objective was to kill or merely to injure” but, nonetheless, “those are the hard choices to be weighed by the trier of fact” (majority op at 214). The majority then inexplicably fails to appreciate that the same is true with respect to distinguishing between an intentional and reckless state of mind—a determination that, although sometimes difficult, nevertheless traditionally has been and should remain the responsibility of a jury (see *People v Sanchez*, 98 NY2d at 384-385).

Ultimately, the majority’s reasoning will not likely clarify this issue for courts and prosecutors, who continue to struggle to determine what this Court’s view on depraved indifference will be on the facts presented in a particular homicide case. Although the majority has left open the possibility that additional categories of one-on-one homicides, other than the two explicitly identified in today’s decision, may qualify for treatment as

depraved indifference murder if the circumstances are “extraordinary” (a term it does not define), trial courts and prosecutors are well advised to tread carefully when dealing with depraved indifference murder in the future, lest further injustices occur.

One thing is certain. We no longer have a category of reckless homicide that is comparable in grade and penalty to intentional murder, except in the rare situations authorized by the majority. There is an urgent need for the Legislature to reexamine article 125 of the Penal Law in the aftermath of today’s decision. Undoubtedly, there will be future killings that juries may decide were not committed with an intent to kill, but were the result of reckless acts committed with a grave disregard for life. The policy issue is whether this type of criminal conduct should expose these offenders to criminal penalties more severe than those available for a class C felony conviction of manslaughter in the second degree. The Legislature should explore what societal objectives need to be preserved in article 125 and restructure New York’s homicide statutes to meet those objectives.

The Cases Before Us

Based on the facts presented in these two cases, and applying our established principles of depraved indifference murder as articulated in *Register* and *Sanchez*, I conclude that there was legally sufficient evidence to support the second-degree murder conviction of defendant Santos Suarez. Viewed in the light most favorable to the People, the jury could have rationally determined that Suarez did not consciously intend to kill the victim when he became embroiled in a dispute with her, but rather acted recklessly by disregarding the grave risk that his conduct would result in the death of the victim. Suarez testified that he did not intend to kill the victim. Surely jurors are allowed to credit this testimony. Suarez also alleged that it was his girlfriend who produced the knife during their verbal confrontation. If found to be a credible claim by the jury, this was an indication that the attack by defendant was not premeditated (*cf. People v Gonzalez*, 1 NY3d 464 [2004] [after seeing the victim, the defendant departed and later returned with the murder weapon]; *People v Hafeez*, 100 NY2d 253 [2003] [retaliatory attack was plotted in advance]). There was also ample evidence that defendant’s actions created such an exceptionally high, grave risk of death that they were properly classified as depraved indifference murder rather than manslaughter. The

victim received three stab wounds in her torso, two of which perforated a major vein and caused half of the blood in the victim's body to pour into her chest cavity. Under these circumstances, the jury's determination that Suarez was guilty of depraved indifference murder was rational as it was supported by record evidence.

As for defendant Trisha McPherson, I concur with the majority that the evidence was insufficient to justify a depraved indifference murder conviction. Unlike in *Suarez*, McPherson was not charged with both depraved indifference murder and intentional murder and the People did not assert at trial that she possessed an intent to kill. The only issue was whether there were objective circumstances evincing a depraved indifference to human life. The proof, even viewed in the People's favor, was that McPherson carried the knife to the scene and during an escalating argument with the victim, inflicted a single stab wound. McPherson then immediately called 911 for help and remained with the victim until she heard sirens indicating that assistance was on the way before departing, demonstrating her efforts to minimize the possibility that the wound she inflicted would prove to be fatal.

Accordingly, in *People v Suarez*, I would affirm defendant's conviction; in *People v McPherson*, I would modify by dismissing the depraved indifference murder conviction. In light of the majority's decision to remit *McPherson* for consideration of the proper remedy, it is unnecessary for me to address the proper corrective action that should be taken and I therefore express no view on the propriety of remittal.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT and R.S. SMITH concur in per curiam opinion; Judges G.B. SMITH, ROSENBLATT and R.S. SMITH concur in a separate concurring opinion; Judge READ concurs in result in a separate opinion; Judge GRAFFEO dissents and votes to affirm in another opinion.

In *People v Suarez*: Order reversed and case remitted to the Appellate Division, First Department, for further proceedings in accordance with the opinion herein.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT and R.S. SMITH concur in per curiam opinion; Judges G.B. SMITH, ROSENBLATT and R.S. SMITH concur in a separate concurring opinion; Judge GRAFFEO concurs in result in a separate opinion; Judge READ concurs in result in another opinion.

In *People v McPherson*: On defendant's appeal from the order of the Appellate Division affirming the judgment of conviction and sentence as to murder in the second degree, order reversed and case remitted to the Appellate Division, Second Department, for further proceedings in accordance with the opinion herein. On defendant's appeal from the order of the Appellate Division affirming the order of Supreme Court denying defendant's CPL 440.10 motion, order affirmed.

[844 NE2d 1135, 811 NYS2d 613]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v NORCOTT CORBY, Also Known as CORBY NORCOTT, Appellant.

Argued November 16, 2005; decided December 22, 2005

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered December 16, 2004. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Leslie Crocker Snyder, J.), which had convicted defendant, upon a jury verdict, of murder in the second degree and robbery in the first degree.

People v Corby sub nom. People v Norcott, 15 AD3d 14, affirmed.

HEADNOTE

Crimes — Right of Confrontation — Evidentiary Ruling Limiting Scope of Cross-Examination of Prosecution's Main Witness

Defendant's constitutional right to be confronted with the witnesses against him in his robbery and murder prosecution was not violated when the trial court precluded defendant from cross-examining the People's primary witness concerning the specific circumstances which led her to inculcate defendant and two others in the crimes. After two years of denying any knowledge of the crime, she implicated defendant and the others only after she was told that defendant had implicated her in the murder. Although the trial court might have permitted the precluded inquiry, the preclusion was not an abuse of discretion as a matter of law. The trial court gave the defendant wide latitude in showing that the witness had a motive to lie and delineated the boundaries of cross-examination that would elicit the witness's bias and hostility toward defendant. Any additional evidence of the witness's bias or motive to lie that would have been established by the precluded line of inquiry would have been cumulative and of little probative value to defendant's case, and would have caused jury speculation and confusion as to the truth of defendant's purported accusation.

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By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 1168, 1170, 1184; AM JUR 2d, Witnesses §§ 771, 772, 824.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:3398, 172:3404–172:3406.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 24.4.

NY JUR 2d, Criminal Law §§ 2063, 2068–2070, 2095.

ANNOTATION REFERENCE

See ALR Index under Confrontation of Witnesses; Cross-Examination.

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Query: preclud! /4 cross-examin! /p right /3 confront /p abuse /4 discretion

POINTS OF COUNSEL

Alan S. Axelrod, New York City, and *Laura R. Johnson* for appellant. The trial court denied appellant his due process rights to confront his accuser and to present a defense by precluding him from cross-examining the sole witness to implicate appellant regarding her motive to falsely accuse him and to deflect the blame for the crimes from herself, and the Appellate Division erred in ruling that any error was harmless. (*Davis v Alaska*, 415 US 308; *Chapman v California*, 386 US 18; *Delaware v Van Arsdall*, 475 US 673; *People v Crimmins*, 36 NY2d 230; *Smith v Illinois*, 390 US 129; *People v Hudy*, 73 NY2d 40; *People v Carroll*, 95 NY2d 375; *People v Rios*, 223 AD2d 390; *People v Ashner*, 190 AD2d 238; *Gordon v United States*, 344 US 414.)

Robert M. Morgenthau, District Attorney, New York City (*Theresa A. Foudy* and *Sylvia Wertheimer* of counsel), for respondent. I. The court properly precluded cross-examination of essentially cumulative probative value but great potential to unfairly prejudice the People's case and give rise to jury speculation. (*Delaware v Van Arsdall*, 475 US 673; *People v Williams*, 81 NY2d 303; *People v Hudy*, 73 NY2d 40; *People v Chin*, 67 NY2d 22; *People v Torres*, 289 AD2d 136; *People v George*, 197 AD2d 588; *People v Berg*, 59 NY2d 294; *Bruton v United States*, 391 US 123; *People v Arthur*, 290 AD2d 387; *People v Kinard*, 215 AD2d 591.) II. The Appellate Division correctly held that any error in precluding the desired cross-examination was harmless. (*Delaware v Van Arsdall*, 475 US 673; *Henry v Speckard*, 22 F3d 1209, 513 US 1029; *People v Allen*, 50 NY2d 898; *Chapman v California*, 386 US 18; *People v Sobers*, 272 AD2d 418; *People v Simmons*, 237 AD2d 313.)

OPINION OF THE COURT

CIPARICK, J.

Following a jury trial, defendant was convicted of murder in

the second degree and robbery in the first degree. The trial court precluded defendant from cross-examining the People's primary witness concerning the specific circumstances which led her to inculcate defendant and two others in the subject crimes. Defendant urges that the preclusion of that line of inquiry was a denial of his constitutional right to confront his accuser and an abuse of the court's discretion. We hold that Supreme Court did not abuse its discretion by precluding such line of inquiry and no constitutional violation occurred.

In January 1996, defendant offered Xanderia Burnett \$1,500 in exchange for use of her apartment for an illegal drug transaction. Defendant and Orlando Moreno (Moe) moved into Burnett's apartment while awaiting the arrival of a large amount of heroin to be brought from San Francisco by Yousef Mohammed. While residing in the apartment, Burnett observed defendant loading a small caliber handgun. When Mohammed arrived in New York, Burnett, defendant and Moe visited him at his hotel.

Several days later, Burnett, defendant, Moe and Walter Farrow went to Mohammed's hotel to bring him back to Burnett's apartment. Later that day, Mohammed remained at the apartment with Farrow and Moe while defendant went to visit his parole officer with Burnett. After visiting his parole officer, defendant and Burnett returned to the apartment, obtained Mohammed's hotel key, and proceeded to the hotel. While in Mohammed's suite, defendant searched the rooms and eventually discovered a stash of heroin.

Defendant and Burnett returned to the apartment with the heroin where Farrow and Moe were sitting in the living room watching television. Burnett testified that defendant, Moe and Farrow went into a back bedroom and emerged 15 minutes later at which time she went to the bathroom and saw Mohammed on a bed, face down, with blood pouring from his head. Defendant, Farrow and Moe divided the heroin among themselves, and then, with Burnett, wrapped the body in a rug, removed it from the apartment in Burnett's shopping cart and discarded it along Riverside Drive in Upper Manhattan.

The body was quickly found, identified, and eventually connected to Burnett, whose name and address Mohammed had given for bank accounts he opened before his death. Shortly thereafter, New York City Police Department Detective John Bourges questioned Burnett at her apartment while defendant was still in residence. Burnett denied any knowledge of a murder.

In April 1998, after being released from prison on an unrelated parole violation, defendant approached the Drug Enforcement Administration (DEA) to offer his services as a paid informant if it would locate Burnett for him. While being interviewed by the DEA, defendant cast suspicion upon Burnett in relation to Mohammed's murder. The DEA relayed that information to Bourges.

In July 1998, Bourges visited Burnett at her new home in Philadelphia. Bourges led Burnett to believe that he had spoken with defendant who implicated her in Mohammed's murder. Burnett then "broke down" and stated that it was defendant and two others who murdered Mohammed. Thereafter, Burnett identified defendant, Farrow and Moe in a photo array. She was taken to a local police precinct, and Mirandized. On October 26, 1998, defendant was arrested for Mohammed's murder.

During his trial in Supreme Court, defendant extensively cross-examined the People's witnesses. Defendant cross-examined Burnett, but was precluded from eliciting that she only implicated defendant and his two cohorts after she was told that defendant had implicated her in Mohammed's murder. Defendant argued that, in addition to showing hostility and bias, this line of inquiry was essential to his defense, because it was the only way to show why Burnett—after two years of denying any knowledge of the crime—inculcated him. The trial court precluded such line of inquiry, reasoning that such cross-examination would introduce evidence that would confuse the jury, cause speculation and place defendant's alleged statement before the jury without the People having had the opportunity to cross-examine him.

A divided Appellate Division affirmed the conviction. One Justice dissented and granted defendant permission to appeal. We now affirm.

It is well settled that "[a]n accused's right to cross-examine witnesses . . . is not absolute" (*People v Williams*, 81 NY2d 303, 313 [1993]). The trial court has discretion to determine the scope of the cross-examination of a witness (*see People v Coleman*, 56 NY2d 269, 273 [1982]; *see also Delaware v Van Arsdall*, 475 US 673, 679 [1986]). In exercising its discretion to limit the introduction of evidence, a trial court must weigh the probative value of such evidence against the possibility that it "would confuse the main issue and mislead the jury . . . or create substantial danger of undue prejudice to one of the parties"

(Prince, Richardson on Evidence § 4-103 [Farrell 11th ed]; see *People v Davis*, 43 NY2d 17, 27 [1977]; see also *Van Arsdall*, 475 US at 679).

While Supreme Court might have permitted the precluded inquiry, we cannot say the preclusion was an abuse of discretion as a matter of law. Indeed, Supreme Court gave the defendant wide latitude here in showing that Burnett had a motive to lie and delineated the boundaries of cross-examination that would elicit Burnett's bias and hostility toward defendant. Burnett testified that the murder was committed by men she invited into her apartment to engage in a drug transaction, that she assisted in discarding the body and that she cleaned the apartment of any evidence of the murder. Furthermore, Burnett testified that when she was first interviewed by Bourges at her apartment, defendant was in residence and had threatened to harm her child if she said anything about the murder. Burnett also testified that she did not contact the police with the information when defendant left the apartment because she feared for her family's safety and that she relocated to Philadelphia while defendant was incarcerated on an unrelated parole violation. Burnett also admitted to stealing from defendant when he was imprisoned. As such, Burnett's fear-based motive to lie and hostility toward defendant were evident to the jury.

The defense was also permitted to cross-examine Burnett about welfare fraud and her criminal conviction for possession of a weapon as well as her familiarity with the drug trade. Additionally, other evidence at trial, independent of Burnett's testimony, implicated defendant. Phone records and notes found in Mohammed's hotel suite connected defendant to Mohammed and Burnett's apartment immediately prior to the murder. Bourges testified that defendant was present and opened the door when he first visited Burnett's apartment shortly after the murder. If Burnett were to attempt to implicate someone in the murder, the most plausible candidate was defendant.

Contrary to the dissent's assertion, Burnett's motive to lie and hostility toward defendant and need to deflect blame away from herself were apparent to the jury from the accumulated testimony and evidence. Indeed, defense counsel argued vigorously in summation that Burnett had great reason to lie. Defendant argues that evidence of a witness's bias or "reason to fabricate is never collateral and may not be excluded on that ground" (*People v Hudy*, 73 NY2d 40, 56 [1988]). Nevertheless, we have previously stated that "[i]f bias or interest has been

fully explored through other means, or the precluded area involved cumulative matter already presented, there generally has been no infringement of the right of confrontation” (*People v Chin*, 67 NY2d 22, 29 [1986] [citations omitted]).

Any additional evidence of Burnett’s bias or motive to lie, that would have been established by the precluded line of inquiry, would have been cumulative and of little probative value to defendant’s case. On the other hand, the sought-after testimony would have caused jury speculation and confusion as to the truth of defendant’s purported accusation. Burnett’s interest in self-preservation was very apparent to the jury who found her credible.

Accordingly, the order of the Appellate Division should be affirmed.

G.B. SMITH, J. (dissenting). Defendant was found guilty of the robbery and shooting death of a person in the apartment of the People’s main witness. The People’s theory of the case was that the defendant lured the victim to the apartment in order to rob him of drugs.

Because Supreme Court improperly limited defendant’s cross-examination of the People’s main witness, Burnett, by refusing to allow questioning of whether Detective Bourges told Burnett that defendant had implicated her in the murder of Yousef Mohammed, defendant was: (1) precluded from eliciting the most crucial evidence that went to Burnett’s motive to lie regarding defendant’s involvement in the crimes (e.g., when, and under what circumstances, did Burnett implicate defendant); and (2) deprived of his constitutional right to confront his accuser and present a defense. In short, Supreme Court, despite other evidence of motive, failed to properly exercise its discretion on defendant’s right to cross-examine Burnett. Accordingly, I dissent and would reverse defendant’s convictions and remand the matter for a new trial.

A.

Despite the testimony elicited from police officers and forensic experts, as well as the evidence that linked defendant to Mohammed and Burnett’s apartment (e.g., phone records and notes found in Mohammed’s hotel room), the People’s case against defendant was only as strong as the testimony of Burnett. Put differently, if the jury found that Burnett lacked credibility, defendant would not have been convicted. Burnett was the only

person to place defendant at the scene of the crimes and to link him to the crimes. She was, as the majority stated, “the People’s primary witness.” (Majority op at 233.) Because Burnett’s testimony was so crucial to the People’s case, defendant’s cross-examination as to her motive to fabricate her testimony regarding who was responsible for the crimes was equally important to the defense. The relevant facts are stated below.

Detective Bourges initially interviewed Burnett shortly after the crimes were committed. Burnett testified that, out of fear of defendant, she did not provide any information regarding the murder during this interview. Even after she left New York and/or defendant was incarcerated, Burnett did not, at least for some time, provide any information regarding the murder to the New York City Police Department. In July 1998, more than two years after the commission of the crimes and after Burnett relocated to Philadelphia, Detective Bourges once again interviewed Burnett regarding Mohammed’s murder. It is undisputed that Burnett implicated defendant during the July 1998 interview.

What defense counsel sought to elicit during Burnett’s cross-examination was testimony that: (1) upon Detective Bourges’ renewed request for information regarding the murder, Burnett once again denied having any information about the murder; (2) Detective Bourges then told Burnett that defendant implicated her in the murder; and (3) Burnett, only after Detective Bourges made this statement, implicated defendant. Defendant argued that bringing out this testimony would demonstrate to the jury that Burnett had a specific motive to lie to implicate defendant in the murder and thereby shift blame from herself to the man who accused her of the crime. Supreme Court precluded defendant from engaging in this line of inquiry, concluding that it would be self-serving hearsay evidence and invite the jury to speculate that Burnett was the murderer (which would cause confusion and prejudice the People’s case). The Appellate Division affirmed the judgment of conviction and held that any error committed by Supreme Court was harmless. This Court now affirms the order of the Appellate Division and holds that “no constitutional violation occurred” (majority op at 233).

B.

The Sixth Amendment to the Federal Constitution provides that, “[i]n all criminal prosecutions, the accused shall enjoy the right . . . to be confronted with the witnesses against him.”

This procedural guarantee applies to both federal and state criminal prosecutions (see *Pointer v Texas*, 380 US 400 [1965]). While the purpose of this right is to ensure that defendant has the opportunity to cross-examine his or her accuser, trial courts may, under certain circumstances, impose limits on defense counsel's inquiry into the potential bias of a witness for the prosecution. In *Delaware v Van Arsdall* (475 US 673, 679 [1986]), the United States Supreme Court stated:

“trial judges retain wide latitude insofar as the Confrontation Clause is concerned to impose reasonable limits on such cross-examination based on concerns about, among other things, harassment, prejudice, confusion of the issues, the witness' safety, or interrogation that is repetitive or only marginally relevant.”

However, “the trial court's discretion in this area is circumscribed by the defendant's constitutional rights to present a defense and confront his accusers” (*People v Hudy*, 73 NY2d 40, 57 [1988], *abrogated on other grounds by Carmell v Texas*, 529 US 513 [2000]).

The *Van Arsdall* court further stated:

“a criminal defendant states a violation of the Confrontation Clause by showing that he was prohibited from engaging in otherwise appropriate cross-examination designed to show a prototypical form of bias on the part of the witness, and thereby ‘to expose to the jury the facts from which jurors . . . could appropriately draw inferences relating to the reliability of the witness’ ” (*Van Arsdall*, 475 US at 680 [citation omitted], quoting *Davis v Alaska*, 415 US 308, 318 [1974]).

An alleged violation of the Confrontation Clause is subject to a harmless error analysis (see *Chapman v California*, 386 US 18 [1967]; *People v Eastman*, 85 NY2d 265 [1995]). Constitutional error is harmless only if it is harmless beyond a reasonable doubt (*id.*). In determining whether constitutional error is harmless, this Court has stated:

“Two discrete considerations are relevant and have combined in varying proportions to produce specific results in particular cases. The first of such factors is the quantum and nature of proof of the defendant's guilt if the error in question were to be

wholly excised. The second is the causal effect which it is judged that the particular error may nonetheless have had on the actual verdict. It appears that it is the latter consideration which is critical in the application of the Supreme Court test as to harmlessness of constitutional error. Thus, however overwhelming may be the quantum and nature of other proof, the error is not harmless under the Federal test if 'there is a reasonable possibility that the . . . [error] might have contributed to the conviction' " (*People v Crimmins*, 36 NY2d 230, 240-241 [1975]).

C.

Defense counsel was allowed to elicit testimony regarding: (1) Burnett's motive to lie as to her involvement in the crimes (i.e., in or around January 1996, Burnett knew about and facilitated the drug deal, the murder occurred in her apartment, she was there shortly after the murder occurred, she helped to dispose of the body and clean up, she did not report the crime, she denied having any information related to the crimes when initially questioned by Detective Bourges); and (2) Burnett's bias and hostility towards defendant (i.e., defendant allegedly made threats against Burnett and her family). However, this testimony, and the other evidence connecting defendant to Mohammed and Burnett's apartment, could not demonstrate to the jury that Burnett had a motive to specifically implicate defendant. Nor could this testimony and evidence establish that defendant was the most plausible candidate for Burnett to implicate. What was demonstrated was Burnett's motive to lie as to her participation as an accessory to the crimes (i.e., a motive for self-preservation). Without the cross-examination testimony defendant sought to elicit from Burnett regarding her motive for implicating defendant when she did, defendant could not demonstrate to the jury that Burnett had a reason to fabricate her testimony to falsely accuse defendant for the purpose of either: (1) shifting the blame from herself to defendant; or (2) retaliating against defendant for accusing her in the first place. Based on the foregoing, this motive to implicate defendant was not clearly apparent from the subjects that defen-

dant was allowed to delve into.* The jury should have been allowed to weigh the fact that defendant was implicated by Burnett only after Detective Bourges said that defendant implicated her in the crimes, along with any other evidence that went to motive.

Moreover, it is clear from the foregoing that: (1) Burnett's motive to implicate defendant was not fully explored; and (2) the precluded line of inquiry would not have been cumulative, of little probative value or confusing to the jury. Burnett had two distinct motives to fabricate here, i.e., the motive for self-preservation and the motive to implicate defendant two years after the crimes were committed. While the motive for self-preservation may have been apparent to the jury, the motive to implicate defendant when she did could not have been because defendant was prohibited from engaging in the line of inquiry related to that motive to fabricate.

The People, the Appellate Division majority and this Court's majority have expressed concerns that allowing defendant to elicit the testimony he sought from Burnett would have permitted the admission of hearsay statements or statements lacking in probative value. However, under these circumstances, the jury should have been given a curative instruction to address these concerns (e.g., the statements are not being offered for their truth but are being offered to demonstrate Burnett's motive to lie regarding when she implicated defendant) and given the opportunity to hear the evidence.

In summary, Supreme Court prohibited defendant from engaging in appropriate cross-examination designed to show Burnett's motive for implicating defendant as Mohammed's murderer when she did (i.e., after a two-year silence and only after Detective Bourges told Burnett that defendant implicated her). As a result, the jury did not hear all of the facts necessary for it to draw all reasonable inferences regarding Burnett's reliability and credibility. This error denied defendant his constitutional right to confront his accuser and present a defense. Moreover, in light of the fact that Burnett's testimony was the only evidence linking defendant to the crimes, there is a reasonable possibility that Supreme Court's error contributed to defen-

* The argument that Burnett's motive to lie was obvious to the jurors troubles me because it is not supported by anything except what the People, the Appellate Division majority, and this Court's majority think should be obvious to a jury.

dant's conviction. As such, the error is not harmless beyond a reasonable doubt.

For the foregoing reasons, I dissent.

Chief Judge KAYE and Judges ROSENBLATT, GRAFFEO, READ and R.S. SMITH concur with Judge CIPARICK; Judge G.B. SMITH dissents and votes to reverse and order a new trial in a separate opinion.

Order affirmed.

[844 NE2d 1142, 811 NYS2d 620]

MARK J. BOSS et al., on Behalf of Themselves and Others
Similarly Situated, Appellants, v AMERICAN EXPRESS FINAN-
CIAL ADVISORS, INC., et al., Respondents.

Argued January 10, 2006; decided February 9, 2006

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered February 24, 2005. The Appellate Division affirmed (1) a judgment of the Supreme Court, New York County (Harold B. Beeler, J.), which had dismissed the complaint, and (2) an order of that Supreme Court which had granted plaintiffs' motion for reargument and, upon reargument, had adhered to the judgment dismissing the complaint.

Boss v American Express Fin. Advisors, Inc., 15 AD3d 306, affirmed.

HEADNOTE**Contracts — Employment Contracts — Forum Selection Clause**

The forum selection clause contained in employment contracts signed by plaintiffs, requiring that any action be brought in Minnesota courts, was enforceable. Inasmuch as the contractual language at issue provided unambiguously that any disputes in connection with the agreement were to be decided in the courts of Minnesota and that Minnesota law would govern, the parties waived any privilege to have their claims heard elsewhere. Plaintiffs' allegations that defendants should not be able to enforce the forum selection clause because certain wage deductions mandated by their employment contracts were violative of New York's Labor Law and applicable regulations should have been made to a court in Minnesota. Objections to a choice of law clause are not a warrant for failure to enforce a choice of forum clause.

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AM JUR 2d, Contracts §§ 259–262.

NY JUR 2d, Contracts §§ 172–174; NY JUR 2d, Courts and
Judges §§ 578, 581; NY JUR 2d, Employment Relations
§ 57.**ANNOTATION REFERENCE**

See ALR Index under Conflict of Laws; Forum Selection
Clauses; Labor and Employment.

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POINTS OF COUNSEL

Paduano & Weintraub LLP, New York City (*Leonard Weintraub* and *Willard Knox* of counsel), and *Law Offices of Jon E. Drucker*, Beverly Hills, California (*Jon E. Drucker* of counsel), for appellants. I. The court below erred by not applying the public policy exception to enforcement of the forum selection clause. (*National Union Fire Ins. Co. of Pittsburgh, Pa. v Williams*, 223 AD2d 395; *The Bremen v Zapata Off-Shore Co.*, 407 US 1; *City of New York v Pullman Inc.*, 477 F Supp 438; *Central Natl.-Gottesman, Inc. v M.V. "GERTRUDE OLDENDORFF"*, 204 F Supp 2d 675; *Jockey Intl., Inc. v M/V "LEVERKUSEN EXPRESS"*, 217 F Supp 2d 447; *Hartford Fire Ins. Co. v Novocargo USA Inc.*, 156 F Supp 2d 372; *Koko Contr. v Continental Envtl. Asbestos Removal Corp.*, 272 AD2d 585.) II. The court below erred in declining to distinguish between a permissive and mandatory forum selection clause. (*Fleet Capital Leasing/Global Vendor Fin. v Angiuli Motors, Inc.*, 15 AD3d 535; *Di Ruocco v Flamingo Beach Hotel & Casino*, 163 AD2d 270; *Koko Contr. v Continental Envtl. Asbestos Removal Corp.*, 272 AD2d 585; *Hirschman v National Textbook Co.*, 184 AD2d 494; *Micro Balanced Prods. Corp. v Hlavin Indus.*, 238 AD2d 284; *Brooke Group v JCH Syndicate* 488, 87 NY2d 530; *Bell Constructors v Evergreen Caissons*, 236 AD2d 859; *National Union Fire Ins. Co. of Pittsburgh, Pa. v Williams*, 223 AD2d 395; *City of New York v Pullman Inc.*, 477 F Supp 438; *Hartford Fire Ins. Co. v Novocargo USA Inc.*, 156 F Supp 2d 372.)

Faegre & Benson, Minneapolis, Minnesota (*Daniel C. Gerhan* and *Holly M. Robbins* of counsel), and *Stroock & Stroock & Lavan LLP*, New York City, for respondents. I. New York's public policy favors enforcement of forum selection clauses. (*Brooke Group v JCH Syndicate* 488, 87 NY2d 530; *British W. Indies Guar. Trust Co. v Banque Internationale A Luxembourg*, 172 AD2d 234; *Koob v IDS Fin. Servs.*, 213 AD2d 26; *The Bremen v Zapata Off-Shore Co.*, 407 US 1; *Carnival Cruise Lines, Inc. v Shute*, 499 US 585; *Northwestern Natl. Ins. Co. v Donovan*, 916 F2d 372; *D.O.T. Tiedown & Lifting Equip. v Wright*, 272 AD2d 290; *Personius v Butters*, 249 AD2d 831; *Bell Constructors v Evergreen Caissons*, 236 AD2d 859; *Matter of Fidelity & Deposit Co. of Md. v Altman*, 209 AD2d 195.) II. The forum selection clause is mandatory. (*Karl Koch Erecting Co., Inc. v New York*

Convention Ctr. Dev. Corp., 656 F Supp 464, 838 F2d 656; *Babcock & Wilcox Co. v Control Components*, 161 Misc 2d 636; *Roby v Corporation of Lloyd's*, 996 F2d 1353; *Micro Balanced Prods. Corp. v Hlavin Indus.*, 238 AD2d 284; *Koob v IDS Fin. Servs.*, 213 AD2d 26; *Water Energizers, Ltd. v Water Energizers, Inc.*, 788 F Supp 208; *Cambridge Nutrition A.G. v Fotheringham*, 840 F Supp 299; *Frietsch v Refco, Inc.*, 56 F3d 825; *Koko Contr. v Continental Envtl. Asbestos Removal Corp.*, 272 AD2d 585; *Hirschman v National Textbook Co.*, 184 AD2d 494.) III. The forum selection clause does not violate New York public policy. (*Koko Contr. v Continental Envtl. Asbestos Removal Corp.*, 272 AD2d 585; *Finucane v Interior Constr. Corp.*, 264 AD2d 618; *Loucks v Standard Oil Co. of N.Y.*, 224 NY 99; *Cooney v Osgood Mach.*, 81 NY2d 66; *Central Natl.-Gottesman, Inc. v M.V. "GERTRUDE OLDENDORFF"*, 204 F Supp 2d 675; *Street, Sound Around Elecs., Inc. v M/V Royal Container*, 30 F Supp 2d 661; *John J. Kassner & Co. v City of New York*, 46 NY2d 544; *H.P.S. Capitol v Mobil Oil Corp.*, 186 AD2d 98; *The Bremen v Zapata Off-Shore Co.*, 407 US 1; *Red Bull Assoc. v Best W. Intl., Inc.*, 686 F Supp 447, 862 F2d 963.)

OPINION OF THE COURT

G.B. SMITH, J.

The issue here is whether a forum selection clause requiring that any action be brought in Minnesota courts should be enforced. We agree with the Appellate Division that the forum selection clause is valid and affirm its order dismissing the action.

Facts

The three plaintiffs in this action, all of whom resided in the Syracuse, New York area, sue on behalf of themselves and the putative class action members who are similarly situated (*see* CPLR 901). At issue is whether the "expense allowance" paid by each advisor for the maintenance of office space and overhead expenses was a violation of the laws of New York State and requires that the matter be heard in New York State courts.

The plaintiffs were all first-year financial advisors at the time that they signed their contracts with IDS Life Insurance Co. (IDS). Plaintiffs earned \$2,000 per month and were required to pay \$900 per month for expense allowances. These allowances covered all overhead expenses such as building rent and maintenance, office support staff, and office supplies, among other expenses.

In December 2002, plaintiffs filed suit in Supreme Court, New York County alleging a violation of Labor Law § 193 and 12 NYCRR 195.1. American Express Financial Advisors, Inc. (AEFA) and IDS filed joint motions to dismiss based, in part, upon inconvenient forum, a defense founded on documentary evidence and a failure to state a cause of action (CPLR 327, 3211 [a] [1], [7]). Supreme Court granted the motion, stating:

“The Agreement’s forum selection language not only affirms Minnesota jurisdiction, it includes a waiver of any contrary privileges. No alternative is permitted.

“There are no allegations of fraud or overreaching here; there is no evidence plaintiffs will be denied their day in court in Minnesota.”

Plaintiffs moved to reargue and vacate the judgment, asserting that the statute of limitations had expired in Minnesota and plaintiffs would not have their day in court as was contemplated in the October 9, 2003 opinion by the court. Supreme Court granted the motion to reargue in order to address the argument that the Minnesota statute of limitations had run and determined that the “statute of limitations” is not the “sort of grave difficulty and inconvenience” that should lead to the application of New York law (*see Matter of Fidelity & Deposit Co. of Md. v Altman*, 209 AD2d 195 [1st Dept 1994]). Thus, Supreme Court denied plaintiffs’ motion to vacate the earlier decision.

The Appellate Division affirmed, determining:

“With respect to the forum-selection clause, plaintiffs specifically contracted to litigate their claim in Minnesota. Thus, they have not been deprived of a forum. Rather, they are time-barred from proceeding in the agreed-upon forum. The fact that New York provides a longer statute of limitations does not avail plaintiffs where they specifically agreed to proceed under Minnesota law.” (15 AD3d 306, 308 [2005].)

Discussion

Plaintiffs argue first that the forum selection clause is permissive but not mandatory. It reads as follows:

“This Agreement is a Minnesota contract, governed by Minnesota law. All of the payments you make to

IDS Life are payable in Hennepin County, Minnesota. You expressly waive any privileges contrary to this provision. You agree to the jurisdiction of [the] State of Minnesota courts for determining any controversy in connection with this Agreement.”

The contractual language here provides unambiguously that any disputes are to be decided in the courts of Minnesota and that Minnesota law should govern. The parties thus waived any privilege to have their claims heard elsewhere.

Plaintiffs also argue that the wage deductions were in contravention of Labor Law § 193 (1),¹ § 198-c,² and 12 NYCRR 195.1,³ and unreasonable, unjust and contrary to the public policy concerns of New York. Plaintiffs argue that New York

1. “[Labor Law] § 193. Deductions from wages

“1. No employer shall make any deduction from the wages of an employee, except deductions which:

“a. are made in accordance with the provisions of any law or any rule or regulation issued by any governmental agency; or

“b. are expressly authorized in writing by the employee and are for the benefit of the employee; provided that such authorization is kept on file on the employer’s premises. Such authorized deductions shall be limited to payments for insurance premiums, pension or health and welfare benefits, contributions to charitable organizations, payments for United States bonds, payments for dues or assessments to a labor organization, and similar payments for the benefit of the employee.”

2. “[Labor Law] § 198-c. Benefits or wage supplements

“1. In addition to any other penalty or punishment otherwise prescribed by law, any employer who is party to an agreement to pay or provide benefits or wage supplements to employees or to a third party or fund for the benefit of employees and who fails, neglects or refuses to pay the amount or amounts necessary to provide such benefits or furnish such supplements within thirty days after such payments are required to be made, shall be guilty of a misdemeanor, and upon conviction shall be punished as provided in section one hundred ninety-eight-a of the article. Where such employer is a corporation, the president, secretary, treasurer or officers exercising corresponding functions shall each be guilty of a misdemeanor.

“2. As used in this section, the term ‘benefits or wage supplements’ includes, but is not limited to, reimbursement for expenses; health, welfare and retirement benefits; and vacation, separation or holiday pay.”

3. “Section 193, subdivision 1 (b), of the New York State Labor Law permits an employer to make deductions from an employee’s wages for certain enumerated items and also for ‘similar payments for the benefit of the employee’. Permitted deductions for all such non-enumerated items shall not exceed, in the aggregate, 10 percent of the gross wages due the employee for a payroll period.”

State law forbids deductions of more than 10% from an employee's wages (*see* 12 NYCRR 195.1). As a result of these provisions of New York law, plaintiffs argue that defendants should not be able to enforce the forum selection clause.

Plaintiff's argument, however, is misdirected. The issue they raise is really one of choice of law, not choice of forum; it is the choice of *law* clause that, according to plaintiffs, may not be enforced. They say, in substance, that, since plaintiffs worked in New York, New York law must govern the deductions from their wages, even though the contract contains a Minnesota choice of law clause.

We express no opinion on the merits of plaintiffs' argument. It could and should have been made to a court in Minnesota—the forum the parties chose by contract. If New York's interest in applying its own law to this transaction is as powerful as plaintiffs contend, we cannot assume that Minnesota courts would ignore it, any more than we would ignore the interests or policies of the State of Minnesota where they were implicated. In short, objections to a choice of law clause are not a warrant for failure to enforce a choice of forum clause.

“Forum selection clauses are enforced because they provide certainty and predictability in the resolution of disputes” (*see Brooke Group v JCH Syndicate* 488, 87 NY2d 530, 534 [1996]). The Supreme Court noted that all of the proceedings regarding the contract and the employment training took place in Minnesota. Further, defendants, incorporated in Delaware, had their principal places of business in Minnesota. All paychecks were generated from the Minnesota office. There does not appear to be a reason why IDS or AEFA would contemplate coming into New York for litigation. Here it is clear from the setup of the agreement that plaintiffs' reasonable expectations were that all litigation would take place in Minnesota, not New York.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges CIPARICK, ROSENBLATT, GRAFFEO, READ and R.S. SMITH concur.

Order affirmed, with costs.

[844 NE2d 1145, 811 NYS2d 623]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v SANDRO LOPEZ, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v YOLANDA BILLINGSLEA, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v WINSTON NICHOLSON, Appellant.

Argued January 12, 2006; decided February 16, 2006

SUMMARY

APPEAL, in the first above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered March 22, 2005. The Appellate Division modified, on the law, a judgment of the Supreme Court, Bronx County (Nicholas Iacovetta, J.), which had convicted defendant, upon his plea of guilty, of attempted criminal sale of a controlled substance in the fourth degree, and imposed a sentence and a DNA databank fee. The modification consisted of vacating the DNA databank fee. The Appellate Division affirmed the judgment as modified.

APPEAL, in the second above-entitled action, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered March 14, 2005. The Appellate Division affirmed a judgment of the Supreme Court, Kings County (Neil Jon Firetog, J.), which had convicted defendant, upon her plea of guilty, of manslaughter in the first degree.

APPEAL, in the third above-entitled action, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered February 10, 2005. The Appellate Division modified, on the law, a judgment of the Supreme Court, Bronx County (Steven Lloyd Barrett, J.), which had convicted defendant, upon his plea of guilty, of assault in the first degree, and imposed a sentence and a mandatory surcharge of \$200 and a crime victim fee of \$10. The modification consisted of reducing the amounts of the surcharge and the fee to \$150 and \$5, respectively. The Appellate Division affirmed the judgment as modified.

People v Lopez, 16 AD3d 258, affirmed.

People v Billingslea, 16 AD3d 516, reversed.
People v Nicholson, 15 AD3d 237, affirmed.

HEADNOTES

Crimes — Appeal — Waiver of Right to Appeal — Reduction of Sentence in Interest of Justice

1. A criminal defendant who validly waives the right to appeal also waives the right to invoke the Appellate Division's interest-of-justice jurisdiction to reduce the sentence. While the Appellate Division may be divested of its unique interest-of-justice jurisdiction only by constitutional amendment, a defendant is free to relinquish the right to invoke that authority and does so by validly waiving the right to appeal.

Crimes — Appeal — Enforceability of Waiver of Right to Appeal

2. Defendant, who was sentenced to an agreed-upon prison term of 15 years upon pleading guilty, and was told by the trial court during the plea allocation that "when you plead guilty you waive your right of appeal," did not validly waive her right to appeal and was entitled to appellate review of whether her sentence was excessive. For a waiver of the right to appeal to be valid, the defendant must understand that the right to appeal is separate and distinct from those rights automatically forfeited upon a plea of guilty. Here, the trial court's misleading statement, when accompanied by nothing other than defendant's one-word response of "yes" to the question whether she understood the conditions of her plea, was not sufficient to guarantee that defendant understood the valued right she was relinquishing.

Crimes — Appeal — Enforceability of Waiver of Right to Appeal

3. Defendant, who was sentenced to an agreed-upon prison term of eight years upon pleading guilty, and responded affirmatively when asked by the trial court during the plea allocation whether he understood that he was "giving up [his] right to appeal, that is, to take to a higher court than this one any of the legal issues connected with this case," validly waived his right to appeal and was not entitled to appellate review of whether his sentence was excessive. For a waiver of the right to appeal to be valid, the defendant must understand that the right to appeal is separate and distinct from those rights automatically forfeited upon a plea of guilty. Here, the trial court explained to defendant the trial rights forfeited by virtue of a guilty plea before asking defendant whether he understood he was also giving up his right to appeal, and elicited agreements of understanding from the defendant on multiple occasions. A better practice, however, might have been to explain to defendant that though he ordinarily retains the right to an appeal even after pleading guilty, in this case he was being offered a particular plea by the prosecution on the condition that he give up that right, and an even better practice would have been to secure a written waiver including such explanation.

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AM JUR 2d, Criminal Law §§ 647, 669, 673, 723.

CARMODY-WAIT 2d, Courts and Their Jurisdiction § 2:116;

CARMODY-WAIT 2d, Criminal Procedure §§ 172:1583–172:1585.

NY JUR 2d, Criminal Law §§ 1377, 3147–3150.

ANNOTATION REFERENCE

Validity and effect of criminal defendant's express waiver of right to appeal as part of negotiated plea agreement. 89 ALR3d 864.

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POINTS OF COUNSEL

Center for Appellate Litigation, New York City (*David J. Klem* and *Robert S. Dean* of counsel), for appellant in the first above-entitled action. The intermediate appellate courts retain a residuum of authority sua sponte, and in an extraordinary case, review the excessiveness of a sentence despite a valid waiver of the right to appeal. (*People v Delgado*, 80 NY2d 780; *People v Thompson*, 60 NY2d 513; *People v Pollenz*, 67 NY2d 264; *Waldo v Schmidt*, 200 NY 199; *People v Bourne*, 139 AD2d 210; *People v Coleman*, 30 NY2d 582; *People v Zuckerman*, 5 NY2d 401; *People v Speiser*, 277 NY 342; *People v Stevens*, 91 NY2d 270; *People v Farrell*, 85 NY2d 60.)

Robert T. Johnson, District Attorney, Bronx (*Jonathan Zucker* and *Joseph N. Ferdenzi* of counsel), for respondent in the first above-entitled action. Defendant's valid waiver of his right to appeal foreclosed his ability to raise an excessive sentence claim and the Court appropriately declined to review that claim in the interest of justice. (*People v Seaberg*, 74 NY2d 1; *People v Callahan*, 80 NY2d 273; *People v Hidalgo*, 91 NY2d 733; *People v Blakley*, 34 NY2d 311; *People v Campbell*, 97 NY2d 532; *People v Francabandera*, 33 NY2d 429; *People v Armlin*, 37 NY2d 167; *People v Lococo*, 92 NY2d 825; *People v Allen*, 82 NY2d 761; *People v Calvi*, 89 NY2d 868.)

Lynn W.L. Fahey, New York City, for appellant in the second above-entitled action. I. Appellant's waiver of her right to appeal was not knowing, intelligent, and voluntary, since the court told her the right to appeal existed only if she went to trial, and was automatically waived by pleading guilty. (*Johnson v Zerbst*, 304 US 458; *People v Callahan*, 80 NY2d 273; *People v Seaberg*,

74 NY2d 1; *Barker v Wingo*, 407 US 514; *People v Harris*, 61 NY2d 9; *People v Thomas*, 53 NY2d 338; *Carnley v Cochran*, 369 US 506; *People v Muniz*, 91 NY2d 570; *People v Williams*, 36 NY2d 829; *People v Calvi*, 89 NY2d 868.) II. The parties lack the power to deprive the Appellate Division of its interest of justice jurisdiction to modify a sentence as excessive. (*People v Thompson*, 60 NY2d 513; *People v Delgado*, 80 NY2d 780; *People v Hidalgo*, 91 NY2d 733; *People v Pride*, 3 NY2d 545; *People v Bleakley*, 69 NY2d 490; *People v Bourne*, 139 AD2d 210; *People v Miles*, 173 App Div 179; *People v Spagnolia*, 260 App Div 551; *People v Pollenz*, 67 NY2d 264; *People v Zuckerman*, 5 NY2d 401.)

Charles J. Hynes, District Attorney, Brooklyn (*Joyce Slevin* and *Leonard Joblove* of counsel), for respondent in the second above-entitled action. I. Defendant's claim that her waiver of the right to appeal was invalid is not preserved for this Court's review. In any event, the waiver was knowing, intelligent, and voluntary. (*People v Robinson*, 36 NY2d 224; *People v Lopez*, 71 NY2d 662; *People v Epps*, 255 AD2d 840; *People v Carmona*, 192 AD2d 446; *People v Conte*, 186 AD2d 579; *People v Nixon*, 21 NY2d 338, 393 US 1067; *People v Toxey*, 86 NY2d 725; *People v Johnson*, 82 NY2d 683; *People v Claudio*, 64 NY2d 858; *People v Pascale*, 48 NY2d 997.) II. Defendant's waiver of her right to appeal foreclosed appellate review of her excessive sentence claim by the Appellate Division. (*People v Pollenz*, 67 NY2d 264; *People v Thompson*, 60 NY2d 513; *People v Callahan*, 80 NY2d 273; *People v Muniz*, 91 NY2d 570; *People v Seaberg*, 74 NY2d 1; *People v Bourne*, 139 AD2d 210; *People v Burk*, 181 AD2d 74; *People v Discala*, 45 NY2d 38; *People v Thompson*, 60 NY2d 513; *People v Howe*, 56 NY2d 622.)

Center for Appellate Litigation, New York City (*Robert S. Dean* of counsel), for appellant in the third above-entitled action. I. The waiver of appellant's right to appeal cannot be considered knowing, intelligent, and voluntary when it was presented to him as something that happened automatically merely by virtue of the fact that he was pleading guilty. (*People v Seaberg*, 74 NY2d 1; *People v Williams*, 36 NY2d 829; *People v Callahan*, 80 NY2d 273; *People v Moissett*, 76 NY2d 909; *People v Bray*, 154 AD2d 692; *Johnson v Zerbst*, 304 US 458; *People v Pollenz*, 67 NY2d 264; *People v Hidalgo*, 91 NY2d 733; *People v Muniz*, 91 NY2d 570; *People v Thompson*, 60 NY2d 513.) II. The intermediate appellate courts retain a residuum of authority, in extraordinary cases, to review the excessiveness of a sentence

despite a valid waiver of the right to appeal. (*People v Delgado*, 80 NY2d 780; *People v Thompson*, 60 NY2d 513; *People v Pollenz*, 67 NY2d 264; *Waldo v Schmidt*, 200 NY 199; *People v Bourne*, 139 AD2d 210; *People v Miles*, 173 App Div 179; *People v Coleman*, 30 NY2d 582; *People v Zuckerman*, 5 NY2d 401; *People v Stevens*, 91 NY2d 270; *People v Farrell*, 85 NY2d 60.)

Robert T. Johnson, District Attorney, Bronx (*Jennifer Marinaccio* and *Joseph N. Ferdenzi* of counsel), for respondent in the third above-entitled action. I. Defendant knowingly, intelligently, and voluntarily waived his right to appeal. (*People v Seaberg*, 74 NY2d 1; *People v Moissett*, 76 NY2d 909; *People v Hidalgo*, 91 NY2d 733; *People v Moyett*, 22 AD3d 114; *People v Pollenz*, 67 NY2d 264.) II. Defendant's valid waiver of his right to appeal, part of a bargained-for plea agreement, forecloses him from seeking review of the agreed-upon sentence as harsh and excessive in the interest of justice. (*People v Callahan*, 80 NY2d 273; *People v Seaberg*, 74 NY2d 1; *People v Pollenz*, 67 NY2d 264; *People v Miles*, 61 NY2d 635; *People v Discala*, 45 NY2d 38; *People v Blakley*, 34 NY2d 311; *People v Campbell*, 97 NY2d 532; *People v Francabandera*, 33 NY2d 429; *People v Armlin*, 37 NY2d 167; *People v Allen*, 82 NY2d 761.)

Legal Aid Society of New York, Criminal Appeals Bureau, New York City (*Steven Banks* and *Laura R. Johnson* of counsel), amicus curiae in the third above-entitled action. Given the increasingly prevalent prosecutorial and/or judicial insistence upon pro forma, nonnegotiable appeal waivers as the "price" of a guilty plea resolution, the perfunctory waiver obtained in the case before the Court should be deemed unenforceable and this Court should hold, for policy as well as statutory reasons, that the Appellate Division departments retain interest-of-justice jurisdiction to review unjustly harsh sentences despite a waiver of appeal. (*People v Seaberg*, 74 NY2d 1; *People v DeSimone*, 80 NY2d 273; *People v Holman*, 89 NY2d 876; *People v Moyett*, 22 AD3d 114.)

Richard A. Brown, District Attorney, Kew Gardens (*Gary S. Fidel* and *John M. Castellano* of counsel), amicus curiae in the third above-entitled action. The plea court properly ensured defendant's knowing waiver of his right to appeal, and the Appellate Division properly declined to address the excessive sentence issue based on the waiver. (*People v Seaberg*, 74 NY2d 1; *People v Callahan*, 80 NY2d 273; *People v Moissett*, 76 NY2d 909; *People v Allen*, 82 NY2d 761; *People v Hidalgo*, 91 NY2d

733; *People v Muniz*, 91 NY2d 570; *People v Avery*, 85 NY2d 503; *People v Outley*, 80 NY2d 702; *People v Vargas*, 88 NY2d 363; *People v Harris*, 98 NY2d 452.)

OPINION OF THE COURT

Chief Judge KAYE.

Can a criminal defendant who has validly waived the right to appeal nonetheless ask the Appellate Division to exercise its interest-of-justice jurisdiction to reduce a sentence? We answer that question in the negative, though in so doing we underscore the critical nature of a court's colloquy with a defendant explaining the right relinquished by an appeal waiver.

People v Lopez

Following arrest and indictment for possession and sale of a controlled substance in or near school grounds, defendant Lopez pleaded guilty to a reduced charge. In exchange for this plea, the court promised to impose a sentence of imprisonment of 2½ to 5 years. At the time of the plea, defendant waived his right to appeal on the record, both verbally and in writing. Despite this waiver, on January 14, 2004, defendant, acting pro se, filed a timely notice of appeal, noting only that he would appeal the "conviction and/or sentence." After appointment by the Appellate Division, appellate counsel argued that the Court should reduce defendant's sentence in the interest of justice despite his waiver of the right to appeal.

The Appellate Division affirmed with respect to defendant's sentence, holding that "[d]efendant's valid waiver of his right to appeal encompassed his excessive sentence claim and thus forecloses interest of justice review. In any event, were we to find that defendant did not validly waive his right to appeal, we would perceive no basis for reducing the sentence" (16 AD3d 258, 258 [1st Dept 2005] [citation omitted]). On defendant's appeal of the excessive sentence issue, we now affirm the Appellate Division's conclusion.

People v Billingslea

Defendant Billingslea, after suffering a psychotic episode, repeatedly stabbed both her best friend and her seven-year-old daughter, killing the child. Indicted for three counts of murder in the second degree and one count of attempted murder in the second degree—along with lesser crimes—defendant pleaded guilty to manslaughter in the first degree in satisfaction of all

charges and was sentenced to the agreed-upon prison term of 15 years.

During the plea allocution, the court asked defendant a series of questions concerning facts surrounding the homicide and whether she understood that by pleading guilty she was giving up the rights attendant to a criminal trial. After defendant responded “Yes,” the court then said to her, “And last, if you went to trial and were convicted, you would have what is known as the right of appeal. That means that a group of judges would review everything done in this case to make sure your rights have been protected, but when you plead guilty you waive your right of appeal.” Defendant again replied “Yes” when asked if she understood.

After defendant filed an appeal requesting a reduction of her sentence in the interest of justice, the Appellate Division affirmed her conviction and sentence stating, “The record demonstrates that the defendant knowingly, intelligently, and voluntarily waived her right to appeal, which included any challenge to her sentence, which was imposed pursuant to a negotiated plea agreement” (16 AD3d 516, 516 [2d Dept 2005]). Concluding that defendant’s waiver was not adequately informed, we now reverse and remit to the Appellate Division to consider defendant’s excessive sentence claim.

People v Nicholson

Defendant Nicholson was charged with attempted murder in the second degree as well as five related charges arising out of a 1999 knife fight with a rival gang member. In exchange for a promised prison sentence of eight years, defendant pleaded guilty. As part of his plea colloquy, and following an explanation of the trial rights forfeited by virtue of a guilty plea, the court said to defendant, “You also understand you’re giving up your right to appeal, that is, to take to a higher court than this one any of the legal issues connected with this case? You understand that?” Defendant answered “Yes.” One month later, prior to sentencing, the court reiterated, “[d]efendant is waiving his right to appeal in this matter.” Defendant raised no objection to that statement. Both the court and the court clerk noted in the record that defendant waived his right to appeal. Like defendant Billingslea, Nicholson did not execute a written appeal waiver.

On his appeal to the Appellate Division, defendant argued that the appeal waiver, as explained to him, was invalid and

that, even if the waiver was valid, the Appellate Division maintained its interest-of-justice authority to review what he believed was an excessive sentence. The Appellate Division concluded that the “valid waiver of [defendant’s] right to appeal encompassed his present claim that his agreed-upon sentence is excessive and forecloses interest of justice review of that claim. In any event, were we to find that review was not precluded, we would perceive no basis for reducing the sentence” (15 AD3d 237, 237-238 [1st Dept 2005] [citations omitted]). We agree that the waiver was valid and therefore affirm.

I.

[1] A defendant’s valid waiver of the right to appeal includes waiver of the right to invoke the Appellate Division’s interest-of-justice jurisdiction to reduce the sentence.*

In *People v Seaberg* (74 NY2d 1, 10 [1989]) this Court recognized the enforceability of guilty pleas conditioned on a defendant’s waiver of the right to appeal. While certain claims remain outside the ambit of a valid appeal waiver—for example, legality of a sentence (*see People v Callahan*, 80 NY2d 273, 280 [1992]), challenge to a defendant’s competency (*see Seaberg*, 74 NY2d at 9) and a constitutional speedy trial claim (*see id.*; *see also People v Campbell*, 97 NY2d 532, 535 [2002])—generally, an appeal waiver will encompass any issue that does not involve a right of constitutional dimension going to “the very heart of the process” (*People v Hansen*, 95 NY2d 227, 230 [2000]). Indeed, an appeal waiver made as a condition of a plea arrangement facilitates the desirable objective of prompt, effective resolution of criminal litigation.

By waiving the right to appeal in connection with a negotiated plea and sentence, a defendant agrees to end the proceedings entirely at the time of sentencing and to accept as reasonable the sentence imposed. While the Appellate Division may be divested of its unique interest-of-justice jurisdiction only by constitutional amendment (*see People v Pollenz*, 67 NY2d 264, 267-268 [1986]), a defendant is free to relinquish the right to invoke that authority and indeed does so by validly waiving the right to appeal.

A defendant may not subsequently eviscerate that bargain by asking an appellate court to reduce the sentence in the interest

* We emphasize that only the right to appeal harsh or excessive sentence is at issue in these cases. There is, moreover, no question of plea withdrawal.

of justice—realistically an issue that as a practical matter is brought to an appellate court’s attention only when raised by defendants. The important goals of fairness and finality in criminal matters are accomplished only insofar as the parties are confident that the “ ‘carefully orchestrated bargain’ ” of an agreed-upon sentence will not be disturbed as a discretionary matter (*Seaberg*, 74 NY2d at 10, quoting *People v Prescott*, 66 NY2d 216, 220 [1985]).

We therefore conclude that when a defendant enters into a guilty plea that includes a valid waiver of the right to appeal, that waiver includes any challenge to the severity of the sentence. By pleading guilty and waiving the right to appeal, a defendant has forgone review of the terms of the plea, including harshness or excessiveness of the sentence.

II.

Because only a few reviewable issues survive a valid appeal waiver, it is all the more important for trial courts to ensure that defendants understand what they are surrendering when they waive the right to appeal. Giving up the right to appeal is not a perfunctory step.

A waiver of the right to appeal is effective only so long as the record demonstrates that it was made knowingly, intelligently and voluntarily (*see People v Calvi*, 89 NY2d 868, 871 [1996]). And though a trial court need not engage in any particular litany when apprising a defendant pleading guilty of the individual rights abandoned, it must make certain that a defendant’s understanding of the terms and conditions of a plea agreement is evident on the face of the record (*People v Callahan*, 80 NY2d at 280).

When a trial court characterizes an appeal as one of the many rights automatically extinguished upon entry of a guilty plea, a reviewing court cannot be certain that the defendant comprehended the nature of the waiver of appellate rights. The record must establish that the defendant understood that the right to appeal is separate and distinct from those rights automatically forfeited upon a plea of guilty—the right to remain silent, the right to confront one’s accusers and the right to a jury trial, for example.

Forfeiture of certain claims occurs by operation of law as a consequence of a guilty plea, with respect to issues that do not survive the plea. Waiver, on the other hand, occurs when a de-

defendant intentionally and voluntarily relinquishes or abandons a known right that would otherwise survive a guilty plea (*People v Hansen*, 95 NY2d at 230 n 1). When a trial court inaccurately employs the language of forfeiture in a situation of waiver, it has mischaracterized the nature of the right a defendant was being asked to cede.

[2] In *People v Billingslea* we conclude that the record does not demonstrate that defendant understood she was relinquishing a known right and that her waiver was thus invalid. During the colloquy, the trial court explained to defendant that “when you plead guilty you waive your right of appeal.” This misleading statement, when accompanied by nothing other than defendant’s one-word response to the question whether she understood the conditions of her plea, is not sufficient to guarantee that defendant understood the valued right she was relinquishing. Because her appeal waiver was invalid, defendant is thus entitled to review of whether her sentence was excessive.

[3] In *People v Nicholson*, on the other hand, the trial court engaged in a fuller colloquy, describing the nature of the right being waived without lumping that right into the panoply of trial rights automatically forfeited upon pleading guilty and eliciting agreements of understanding from the defendant on multiple occasions. A better practice might have been to explain to defendant that though he ordinarily retains the right to an appeal even after pleading guilty, in this case he was being offered a particular plea by the prosecution on the condition that he give up that right. It would be even better to secure a written waiver including such explanation (as in *Lopez*). The record is, however, sufficient to satisfy this Court that defendant knowingly and intelligently waived his right to appeal.

Accordingly, the orders in *People v Lopez* and *People v Nicholson* should be affirmed, and the order in *People v Billingslea* should be reversed and the case remitted to the Appellate Division for consideration of the excessive sentencing issue.

G.B. SMITH, J. (concurring in result). I concur in the Court’s conclusion that the orders in *People v Lopez* and *People v Nicholson* should be affirmed, and that the order in *People v Billingslea* should be reversed and the case remitted so that the Appellate Division can hear defendant Billingslea’s excessive sentence claim. I write separately because I disagree with the Court’s holding that when a defendant enters into a negotiated

guilty plea that includes, as a condition to the plea, a valid waiver of defendant's right to appeal, "that waiver includes any challenge to the severity of the sentence" (majority op at 256) and thereby prevents a defendant from asking the Appellate Division to exercise its interest-of-justice jurisdiction to review and reduce a legal, but unduly harsh or severe sentence.¹ The Court's holding does not recognize the importance of the following facts: (1) the Appellate Division's interest-of-justice jurisdiction to reduce a sentence is derived from the New York State Constitution; (2) this jurisdiction can only be curtailed by constitutional amendment; and (3) the issue of sentence reduction in the interest of justice can, as a practical matter, only be raised by defendants. Thus, by concluding that a defendant who enters a negotiated plea with a valid waiver of appeal is barred from invoking the Appellate Division's interest-of-justice jurisdiction to review and reduce legal sentences that are unduly harsh, severe or excessive, this Court has fashioned a rule under which a defendant can, through a valid waiver of appeal, and the prosecution can, by agreeing to a plea only if defendant waives the right to appeal, divest the Appellate Division of its power to exercise interest-of-justice jurisdiction to review and reduce sentences. Such a conclusion is in direct contravention of article VI, § 4 (k) of the New York State Constitution.

Facts

In the cases at bar, each defendant entered a guilty plea. As part of their respective guilty pleas, defendants Lopez and Nicholson validly waived the right to appeal, i.e., the waiver of the right was made knowingly, intelligently and voluntarily. In the case of defendant Billingslea, however, the plea-taking court mistakenly ruled that the waiver of the right to appeal was automatic when it stated that "when you plead guilty you waive your right of appeal." Moreover, the record did not establish that defendant Billingslea waived the right to appeal. Accordingly, the guilty plea of defendant Billingslea did not include a knowing, intelligent and voluntary (i.e., valid) waiver of the right to appeal. Nonetheless, in all three cases, the Appellate Division found that each guilty plea included a valid waiver of the right to appeal and that the Appellate Division's interest-of-justice jurisdiction to review and reduce sentences was fore-

1. The only interest-of-justice power at issue here is the power of the Appellate Division to review and reduce a legal, but unduly harsh, severe or excessive sentence.

closed. Further, in both *People v Lopez* and *People v Nicholson*, the Appellate Division perceived no basis for reducing the respective sentences of the defendants.

This Court now rules that a criminal defendant who has validly waived the right to appeal cannot ask the Appellate Division to exercise its interest-of-justice jurisdiction to reduce a sentence. Applying this rule to *People v Lopez* and *People v Nicholson*, the Court affirmed the judgments and sentences imposed against defendants Lopez and Nicholson. However, because defendant Billingslea did not validly waive the right to appeal, the above-stated rule is inapplicable to *People v Billingslea* and the Court reverses the Appellate Division and remits the case for consideration of the excessive sentence issue.

Discussion

Under article VI, §§ 1 and 2 of the 1894 New York State Constitution, the Appellate Division of the Supreme Court of New York was created. The purpose of the Appellate Division was to exercise appellate jurisdiction over: (1) the Trial and Special Terms of the Supreme Court of New York; and (2) any lower courts established by the Legislature (*see Waldo v Schmidt*, 200 NY 199, 202 [1910]). Put differently, the Appellate Division was vested with “all the jurisdiction previously exercised by the General Term [of the Supreme Court]” (*People v Pollenz*, 67 NY2d 264, 268 [1986]).²

Applicable to criminal appeals only, the Appellate Division’s interest-of-justice jurisdiction to reduce a sentence which it finds unduly harsh, severe or excessive has long been recognized in this state (*see People v Thompson*, 60 NY2d 513, 520 [1983]). This sentence-review/reduction jurisdiction “was originally exercised as an inherent power” (*Thompson*, 60 NY2d at 520, citing *People v Miles*, 173 App Div 179, 183-184 [3d Dept 1916]). The *Miles* court said that: (1) Supreme Court’s power to hand

2. In 1925, article VI, § 2 was amended and the Appellate Division was vested with “such original or appellate jurisdiction as is now or may hereafter be prescribed by law” (*see also Pollenz*, 67 NY2d at 268). Regarding the 1925 amendment to article VI, § 2, this Court stated that it: (1) was “‘influenced by a desire to preserve the jurisdiction of the Appellate Divisions as broadly as it was then constituted’ (9 New York Constitutional Convention of 1938, Problems Relating to Judicial Administration and Organization, at 97 [Poletti ed])”; and (2) “was regarded as prohibiting the Legislature from reducing the jurisdiction of the Appellate Division in any way (1957 Report of Temporary Commission on the Courts, 1957 McKinney’s Session Laws of NY, at 1576)” (*id.*).

down sentences was inherently subject to Appellate Division review; and (2) “any determination of a trial judge or justice which is unjust in its relation to the crime of which the defendant stands convicted is within the power of the [Appellate Division of the] Supreme Court to correct” (*Miles*, 173 App Div at 185). Further, this interest-of-justice jurisdiction was expressly codified in section 543 of the old Code of Criminal Procedure (*see Thompson*, 60 NY2d at 520). With the adoption of article VI, § 4 (k) of the New York State Constitution, the Appellate Division’s power to review and reduce sentences was deemed “constitutionalized.”³

Article VI, § 4 (k) of the New York State Constitution provides as follows:

“The appellate divisions of the supreme court shall have all the jurisdiction possessed by them on the effective date of this article and such additional jurisdiction as may be prescribed by law, provided, however, that the right to appeal to the appellate divisions from a judgment or order which does not finally determine an action or special proceeding may be limited or conditioned by law.”⁴

In other words, article VI, § 4 (k) granted the Appellate Divisions all the jurisdiction possessed by them by statute as of September 1, 1962 (e.g., the power to review and reduce criminal sentences pursuant to Code of Criminal Procedure § 543). The provision further allows for the expansion of Appellate Division jurisdiction pursuant to: (1) constitutional amendment made after September 1, 1962; and (2) legislative enactments made after September 1, 1962 (e.g., CPL 470.15, 470.20) (*Pollenz*, 67 NY2d at 268).⁵ The Legislature may expand Appellate Division jurisdiction; however, with regard to appeals from final

3. This constitutional provision “was intended to render inapplicable the general rule that the right to appellate review is purely statutory” (*Pollenz*, 67 NY2d at 269).

4. The effective date of article VI, § 4 (k) was September 1, 1962 (*see*, NY Const, art VI, § 37). “On [September 1, 1962], the Appellate Division was obliged to entertain all appeals from final judgments in criminal cases, including those rendered upon guilty pleas imposing negotiated sentences” (*Pollenz*, 67 NY2d at 268 [citations omitted]).

5. Although the Code of Criminal Procedure was replaced when the Legislature adopted the current Criminal Procedure Law which became effective in 1971, the interest-of-justice power to review and reduce sentences codified in section 543 of the Code of Criminal Procedure was provided for, without substantive change, in the new CPL (*see* CPL 470.15 [6] [b]; 470.20 [6]; *see also Thompson*, 60 NY2d at 520).

orders, the Legislature may not contract or place conditions on Appellate Division interest-of-justice jurisdiction (*Pollenz*, 67 NY2d at 268). The only way that the Appellate Division may be divested of this power to review and reduce sentences is through constitutional amendment (*id.*).

The Court contends that “[a] defendant’s valid waiver of the right to appeal includes waiver of the right to invoke the Appellate Division’s interest-of-justice jurisdiction to reduce the sentence” (majority op at 255). This position, in effect, precludes the Appellate Division from exercising its interest-of-justice jurisdiction.

In *People v Seaberg* (74 NY2d 1, 5 [1989]), this Court held that “the right to appeal may be waived as a condition of a sentence or plea bargain.” In support of this holding, the Court stated:

“The right to appeal a validly imposed sentence does not . . . implicate society’s interest in the integrity of criminal process, however, and to the extent that it does, that interest is protected by the procedural and substantive requirements imposed on the Trial Judge before the defendant may be sentenced

“Whatever benefits review may provide, they are not sufficiently compelling to warrant permitting a defendant to repudiate an agreement of an individualized sentence knowingly and voluntarily accepted. . . .

“[S]uch waivers do not interfere with the interest of justice jurisdiction of the Appellate Division (*see, People v Bourne*, 139 AD2d 210, *lv denied* 72 NY2d 955). The analogy is to *People v Pollenz* (*supra*) which involved a legislative attempt to limit the Appellate Division’s jurisdiction. A defendant’s decision to waive appeal does not interfere with the

Under CPL 470.15 (6) (b), the Appellate Division may reverse or modify a sentence on appeal from a conviction where the Court concludes that the “sentence, though legal, was unduly harsh or severe” (CPL 470.15 [6] [b]). The Appellate Division may, in its discretion and without deference to the sentencing court, exercise this sentence-review power if the interest of justice warrants (*id.*; *see People v Delgado*, 80 NY2d 780, 783 [1992]). “Upon modifying a judgment or reversing a sentence as a matter of discretion in the interest of justice upon the ground that the sentence is unduly harsh or severe, the court must itself impose some legally authorized lesser sentence” (CPL 470.20 [6]).

court's jurisdiction, however; it is simply a decision not to invoke the court's review power. By pleading guilty a defendant forecloses the appellate court from reviewing the merits of the plea bargain in the interest of justice and there is nothing inherently wrong in a defendant similarly electing to foreclose review of a negotiated sentence" (*Seaberg*, 74 NY2d at 9-10 [citations omitted]).

The Court further concluded:

"[T]he public interest concerns underlying plea bargains generally are served by enforcing waivers of the right to appeal. Indeed, such waivers advance that interest, for the State's legitimate interest in finality extends to the sentence itself and to holding defendants to bargains they have made. . . . [Moreover], the negotiating process serves little purpose if the terms of 'a carefully orchestrated bargain' can subsequently be challenged. . . . The validity of the waiver is supported by the interests supporting plea bargains generally. Accordingly, we find no public policy precluding defendants from waiving their rights to appeal as a condition of the plea and sentence bargains" (*id.* at 10 [citation omitted]).

People v Seaberg, and the Court's opinion herein, vigorously stress the importance of holding defendant to the plea and sentence bargain he or she made with the People in order to accomplish the goals of fairness and finality. *Seaberg* also recognizes the importance of the trial judge's role in ensuring the reasonableness of the bargain struck and the sentence imposed. Moreover, the *Seaberg* court states that appeal waivers do not affect the Appellate Division's interest-of-justice jurisdiction and suggests that a defendant may foreclose or prevent the Appellate Division from exercising this jurisdiction.

It must be noted that neither the need to hold a defendant to a bargain nor the trial judge's role to ensure a reasonable plea and sentence forecloses the exercise of the Appellate Division's interest-of-justice jurisdiction to review and reduce sentences.⁶ As noted above, the Appellate Division's long-standing power to review and reduce criminal sentences in the interest of justice was first an inherent power which subsequently became consti-

6. Similarly, the court's colloquy regarding a defendant's appeal waiver is immaterial in the face of this Appellate Division power.

tutionalized.⁷ For the Appellate Division to exercise the power, a defendant must claim that his or her sentence was unduly harsh, severe or excessive. If, pursuant to a plea and sentence bargain, a defendant is barred from invoking the Appellate Division's interest-of-justice power to review and reduce sentences, this is a divestiture of the Appellate Division's power with regard to that defendant and a violation of article VI, § 4 (k) of the New York State Constitution.

Certainly, it is within the public's best interest to hold parties to the promises they have made and to have courts that fairly and expeditiously resolve criminal matters.⁸ However, in the case at bar, the importance of holding a defendant to a bargain, and all that flows from adherence to that bargain, must be weighed against: (1) the Appellate Division's long-standing and constitutionalized interest-of-justice power to review and reduce sentences; and (2) the possibility that an unduly harsh, severe or excessive sentence will be imposed despite bargaining and the efforts of the trial or plea-taking judge to ensure a reasonable plea and sentence. Put another way, where a defendant enters a plea and sentence bargain that happens to include an unjust (i.e., unduly harsh, severe or excessive) sentence, the Appellate Division, through the exercise of its unique interest-of-justice sentence review/reduction power, should be able to rectify the problem and render a just result. The fact of the matter is that New York State's laws are rooted in justice and where justice is not done, despite the existing law, courts must act to achieve it. New York State does not have an interest in preserving an unduly harsh, severe or excessive sentence just for the sake of holding a defendant to the bargain. Such a result does not achieve justice. It incorrectly places greater importance on adhering to form regarding the disposition of a case, rather than the merits regarding the actual sentence imposed.

Conclusion

The foregoing discussion regarding the Appellate Division's power to review and reduce legal, but unduly harsh, severe or

7. Because this Appellate Division power derives from the State's Constitution and can only be limited by constitutional amendment (*see Pollenz*, 67 NY2d at 268), the suggestion made in *Seaberg* that a defendant can foreclose (i.e., prevent) the Appellate Division from exercising this power is incorrect.

8. As noted in *Seaberg*, "the final and prompt conclusion of litigation is an important goal of public policy in criminal as well as civil litigation, provided always that the settlement is fair, free from oppressiveness, and sensitive to the interests of both the accused and the People" (*Seaberg*, 74 NY2d at 8).

excessive sentences in the interest of justice, including the historical review of the power (i.e., this inherent power was first codified in the old Code of Criminal Procedure and then specifically provided for in the New York State Constitution), makes clear that the Appellate Division may *always* exercise this power regardless of whether a sentence is imposed after the rendering of a jury verdict or after a plea and sentence bargain, even one including a valid waiver of the right to appeal. Accordingly, the rule that the Court should apply in deciding these cases is as follows: where a defendant who enters a plea and sentence bargain validly waives the right to appeal, that defendant may invoke the Appellate Division's interest-of-justice jurisdiction to review and reduce a legal, but unduly harsh, severe or excessive sentence; however, the Appellate Division may or may not, within its discretion, reach defendant's excessive sentence claim (see e.g., *People v Allen*, 82 NY2d 761 [1993]; *People v Bourne*, 139 AD2d 210 [1st Dept 1988]).

Judges CIPARICK, ROSENBLATT, GRAFFEO, READ and R.S. SMITH concur with Chief Judge KAYE; Judge G.B. SMITH concurs in result in a separate opinion.

In *People v Lopez* and *People v Nicholson*: Order affirmed.

In *People v Billingslea*: Order reversed and case remitted to the Appellate Division, Second Department, for consideration of the excessive sentencing issue.

[844 NE2d 1155, 811 NYS2d 633]

ALBERT STEPHENSON et al., Appellants, v HOTEL EMPLOYEES AND
RESTAURANT EMPLOYEES UNION LOCAL 100 OF THE AFL-CIO
et al., Respondents.

Argued January 3, 2006; decided February 16, 2006

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered January 5, 2005. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, New York County (Jane S. Solomon, J.), entered upon a jury verdict in favor of plaintiffs, which had awarded plaintiff Albert Stephenson damages against defendants in the total sum of \$590,534.28 and plaintiff Leroy Hodge damages against defendants in the total sum of \$670,758.54, the judgment having been entered following an order of that court, which had denied defendants' motion to set aside the jury verdict; (2) granted defendants' motion; (3) set aside the verdict; (4) vacated the judgment in favor of plaintiffs; and (5) granted judgment to defendants as a matter of law. The following question was certified by the Appellate Division: "Was the order of this Court, which reversed the order of the Supreme Court, properly made?"

Stephenson v Hotel Empls. & Rest. Empls. Union Local 100 of AFL-CIO, 14 AD3d 325, affirmed.

HEADNOTE

Civil Rights — Discrimination in Employment — Age

In an employment discrimination action brought pursuant to Executive Law § 296 by the then 54- and 63-year-old plaintiffs after they were discharged from their jobs with the union defendants, the Appellate Division properly set aside a jury verdict in plaintiffs' favor and dismissed the complaint, as defendants presented valid reasons for termination other than age discrimination and plaintiffs failed to prove that those reasons were pretextual. Although plaintiffs were members of the class protected by Executive Law § 296, were actively discharged from employment for which they were both qualified, and had established a prima facie case that defendants intended to replace plaintiffs with younger employees, defendants met their burden of proving that there were legitimate reasons for plaintiffs' termination, which occurred after a federal probe into their union activities when investigators received information from an FBI informant that plaintiffs were involved in the corruption of the union, and plaintiffs failed to rebut that proof.

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By the Publisher's Editorial Staff

AM JUR 2d, Job Discrimination §§ 160, 164–167, 946–953,
2486, 2491.

McKINNEY'S, Executive Law § 296.

NY JUR 2d, Civil Rights §§ 30, 74–78.

ANNOTATION REFERENCE

See ALR Index under Age Discrimination.

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POINTS OF COUNSEL

Kramer & Dunleavy LLP, New York City (*Denise M. Dunleavy* and *Lenore Kramer* of counsel), and *Pollack Pollack Isaac & De Cicco* (*Brian J. Isaac* of counsel) for appellants. The Appellate Division's decision shows that the majority engaged in improper issue determination and issue resolution to reverse the trial court and a duly constituted jury verdict and dismiss a case that presented multiple material questions of fact; the decision violated black letter precedent from the appellate courts, especially in an age discrimination case, where the frequently subtle intentions and actions of defendants require careful holistic scrutiny of the evidence, and inferences can be sufficient to establish discriminatory intent. (*300 Gramatan Ave. Assoc. v State Div. of Human Rights*, 45 NY2d 176; *Matter of Holland v Edwards*, 307 NY 38; *State Div. of Human Rights v Kilian Mfg. Corp.*, 35 NY2d 201; *NLRB v Express Publishing Co.*, 312 US 426; *St. Mary's Honor Center v Hicks*, 509 US 502; *McDonnell Douglas Corp. v Green*, 411 US 792; *Texas Dept. of Community Affairs v Burdine*, 450 US 248; *Postal Service Bd. of Governors v Aikens*, 460 US 711; *National Org. for Women v State Div. of Human Rights*, 34 NY2d 416; *Matter of Pace Coll. v Commission on Human Rights of City of N.Y.*, 38 NY2d 28.)

Pryor Cashman Sherman & Flynn LLP, New York City (*Milton Mollen*, *Vincent F. Pitta*, *Joseph J. Lynett* and *Jane Lauer Barker* of counsel), for respondents. Defendants are entitled to judgment as a matter of law because plaintiffs utterly failed to prove that the reason that they were discharged—the union's undisputed receipt of information linking them to organized

crime—was a pretext for age discrimination. (*Cohen v Hallmark Cards*, 45 NY2d 493; *Silverstein v Harmonie Club of City of N.Y.*, 173 AD2d 378; *Ferrante v American Lung Assn.*, 90 NY2d 623; *Reeves v Sanderson Plumbing Products, Inc.*, 530 US 133; *Hazen Paper Co. v Biggins*, 507 US 604; *McDonnell Douglas Corp. v Green*, 411 US 792; *St. Mary's Honor Center v Hicks*, 509 US 502; *Forrest v Jewish Guild for the Blind*, 3 NY3d 295; *Loschiavo v Port Auth. of N.Y. & N. J.*, 58 NY2d 1040; *Price Waterhouse v Hopkins*, 490 US 228.)

OPINION OF THE COURT

G.B. SMITH, J.

The issue in this age discrimination case is whether the Appellate Division erred in setting aside a jury verdict and dismissing the complaint. The defendants presented valid reasons for termination other than age discrimination and plaintiffs failed to prove that those reasons were pretextual. Accordingly, the evidence was sufficient to support the determination, and the order of the Appellate Division should be affirmed.

Facts

In 1983, plaintiff Albert Stephenson began working in the restaurant industry and subsequently worked as a union organizer and business agent. On June 11, 1992, at the age of 63, he was terminated by the defendants Local 100 and Hotel Employees and Restaurant Employees International Union (HEREIU). On June 17, 1985, plaintiff Leroy Hodge was hired as a union organizer for the Hotel Employees Union Local 100 and later became a business agent. On June 11, 1992, Hodge was terminated at the age of 55 by the defendants.

In 1992 and 1993, Local 100 was under investigation by the FBI and the United States Attorney for the Southern District of New York for numerous civil violations, including bribery and kickbacks to organized crime families and their associates. On October 22, 1992, the United States Attorney's office in the Southern District of New York filed a civil complaint against Local 100 for RICO violations¹ alleging corruption in the union and the infiltration of the union by organized crime. On October 23, 1992, Local 100 entered into a consent decree with the federal government allowing HEREIU to take over the affairs of Local 100 in trust, authorizing a continuing investigation of the union's affairs and removing certain union employees.

1. Racketeer Influenced and Corrupt Organizations Act (18 USC § 1964).

In 1995, almost three years after their termination, plaintiffs Stephenson and Hodge filed separate complaints in Supreme Court, New York County against the union for unlawful termination of employment based upon age discrimination. In July 2002, the two actions were consolidated and a jury trial took place in October 2002. The jury rendered verdicts in favor of plaintiffs and awarded Hodge \$539,205 in past damages and \$127,556 in future damages. Stephenson was awarded \$572,853 for past damages and \$14,097 for future damages over a 0.2-year period.

Supreme Court denied defendants' CPLR 4404 (a) motion to set aside the verdict and denied plaintiffs' cross motion for damages as a result of emotional distress. The Appellate Division reversed the Supreme Court and granted defendants' CPLR 4404 (a) motion. The Appellate Division stated:

“Beyond proving that the Trustee had a legitimate and nondiscriminatory reason for discharging plaintiffs, defendants presented powerful evidence—also uncontroverted by plaintiffs—that this reason was no pretext for acts of discrimination. Specifically, defendants showed that, at or about the same time plaintiffs were terminated, the Trustee terminated at least three much younger business agents of Local 100—all under the age of 40—who had also been implicated in the corruption. Meanwhile, the Trustee retained at least two employees over the age of 50 who had not been so implicated. Plaintiffs did not offer evidence controverting any of these facts, nor did plaintiffs offer evidence that they were replaced by younger employees or that any younger employees accused of corruption received more favorable treatment than plaintiffs had been afforded.

“In sum, defendants proved, through uncontradicted evidence, both (1) that the Trustee had a legitimate, nondiscriminatory reason for dismissing plaintiffs, and (2) that age discrimination was not the real reason for the dismissals.” (14 AD3d 325, 329-330 [2005].)

Plaintiffs argue that they were hired for their skills and abilities and that they always did their jobs well. Plaintiff Hodge alleges that Frank Gerace, a supervisor at Local 100, responsible for the day-to-day activities of the local, made numerous derog-

atory comments against him regarding his age and constantly said that he wanted to get rid of the old people and put in young blood. Hodge testified that he was unable to find work in the restaurant industry after his termination.

Stephenson testified to similar facts. He was hired in 1983 at the age of 54 as a union organizer and continued in that capacity until his termination in 1992. He claims to have organized “hundreds of shops,” some of which had 400 employees. He claims that he was hired because he knew five languages and could communicate with the workers and help in organizing new employees. A union representative, Sergio Fermeglia, testified for the plaintiffs and specifically stated that Stephenson did an excellent job organizing the workers.

Stephenson claims that, in 1991, about a year before he was terminated, one union official, Frank Gerace, told him:

“You knew you’re going to be fired. We told you. You’re 64. We don’t need people like your age anymore. We need now young blood to do a better job there. They want to get—to get good salary. With the money I pay you, I could pay two employees to work. Besides that, we need young blood, young face. You should now know, it’s about time you should look for [a] job. Did you look for [a] job, Albert?”

Thus Stephenson, like Hodge, attributed biased remarks to Gerace, but Gerace was fired before Stephenson and there is no evidence that he participated in the decision to terminate the plaintiffs. Stephenson, however, also testified that when he was fired, the union Trustee, Vincent Sirabella, told him that he was being fired because the union needed new blood.

Defendants maintain that plaintiffs were fired for cause, not because of age discrimination. Defendants argue that plaintiffs were “bag men” for the mob as part of a scheme to defraud and steal from Local 100. According to defendants, plaintiffs collected money and deposited it into their own bank accounts for the purpose of paying off the mob. As a result of the investigation by the United States Attorney’s office, plaintiffs were fired and replaced by new employees. Defendants argue that plaintiffs were fired as a result of their illicit activities rather than because of their ages. Defendants argue that plaintiffs were not qualified, as evidenced by the federal probe into their union activities that resulted in a recommendation by the investiga-

tors that they be terminated. Defendants also rely on the report by Assistant United States Attorney Little, though the most damning parts of the report were, erroneously in defendants' view, excluded from evidence at trial.

The standards for recovery under section 296² of the Executive Law are similar to the federal standards under title VII of the Civil Rights Act of 1964 (42 USC § 2000e *et seq.*; see *Ferrante v American Lung Assn.*, 90 NY2d 623, 629 [1997]; see also *Forrest v Jewish Guild for the Blind*, 3 NY3d 295 [2004]). A three part analysis is required to determine whether plaintiffs have met their burden to establish a discrimination claim under Executive Law (Human Rights Law) § 296. First, plaintiffs must demonstrate by a preponderance of the evidence a *prima facie* case of discrimination (*Ferrante, supra*; see also *Texas Dept. of Community Affairs v Burdine*, 450 US 248, 252-253 [1981]).

“To support a *prima facie* case of age discrimination under the Human Rights Law, plaintiff must demonstrate (1) that he is a member of the class protected by the statute; (2) that he was actively or constructively discharged; (3) that he was qualified to hold the position from which he was terminated; and (4) that the discharge occurred under circumstances giving rise to an inference of age discrimination” (see *Ferrante*, 90 NY2d at 629).

Second, the burden then shifts to the defendant to rebut plaintiffs' *prima facie* case of discrimination with a legitimate reason for the firing (see *Ferrante, supra*; *St. Mary's Honor Center v Hicks*, 509 US 502, 506-507 [1993]).

“The burden that shifts to the defendant . . . is to rebut the presumption of discrimination by producing evidence that the plaintiff was rejected, or someone else was preferred, for a legitimate, nondiscriminatory reason. The defendant need not persuade the court that it was actually motivated by the prof-

2. “Unlawful discriminatory practices

“1. It shall be an unlawful discriminatory practice: . . .

“(c) For a labor organization, because of the age, race, creed, color, national origin, sexual orientation, military status, sex, disability, predisposing genetic characteristics, or marital status of any individual, to exclude or to expel from its membership such individual or to discriminate in any way against any of its members or against any employer or any individual employed by an employer.” (Executive Law § 296 [1] [c].)

ferred reasons. It is sufficient if the defendant's evidence raises a genuine issue of fact as to whether it discriminated against the plaintiff" (*Burdine*, 450 US 248, 254 [1981], *supra* [citation omitted]).

Third, the plaintiffs must show by a preponderance of the evidence that defendant's reasons are pretextual (*see Ferrante, supra; McDonnell Douglas Corp. v Green*, 411 US 792, 802-806 [1973]). Moreover, the burden of persuasion of the ultimate issue of discrimination always remains with the plaintiffs (*see Hicks*, 509 US 502, 511 [1993], *supra; Reeves v Sanderson Plumbing Products, Inc.*, 530 US 133, 143 [2000]; *Burdine*, 450 US 248, 253 [1981], *supra*).

In the case at bar, plaintiffs were ages 55 and 63 at the time of termination and thus were members of the class protected by Human Rights Law § 296. Both Hodge and Stephenson were actively discharged from employment. There was evidence presented by plaintiffs that they were both qualified for the jobs of organizer and business agent. Plaintiffs argued that they were replaced or the intention was to replace them with younger workers. While plaintiffs were not replaced with young people (Aldo Lupano, Noel Rodriguez and David Segarra were not far from plaintiffs' ages), there was enough evidence presented at trial to establish a *prima facie* case that defendants intended to replace plaintiffs with younger employees.

Defendants, however, met their burden of proving that there were legitimate reasons for terminating plaintiffs. The strongest evidence that plaintiffs may have been involved in civil violations of the RICO statute comes from Kish, the vice-president of Kroll Associates, an investigating company, that recommended that they be fired after receiving information from an FBI informant that Hodge and Stephenson were involved in the corruption of the union which included accepting bribes and preventing organizing at organized crime controlled restaurants. After the nondiscriminatory reasons were given and the burden shifted to them, plaintiffs did not prove that the reasons given were pretextual. Plaintiffs in their rebuttal case recalled Hodge and Stephenson. Both denied the allegations of corruption.

The Appellate Division did not impermissibly substitute its version of the facts for those of the trial court. Viewing the evidence in the light most favorable to the plaintiffs, there is no valid line of reasoning and permissible inferences that could have lead rational jurors to the conclusion they reached (*Cohen v Hallmark Cards*, 45 NY2d 493 [1978]), the evidence was

legally insufficient to support the jury's verdict and, thus, the CPLR 4404 (a) motion was properly granted to the defendants.

Accordingly, the order of the Appellate Division should be affirmed, with costs. The certified question should not be answered upon the ground that it is unnecessary.

Chief Judge KAYE and Judges CIPARICK, ROSENBLATT, GRAFFEO and R.S. SMITH concur; Judge READ taking no part.

Order affirmed, etc.

[844 NE2d 766, 811 NYS2d 312]

In the Matter of ALAN J. BRISSON, Respondent, v COUNTY OF
ONONDAGA, Appellant, et al., Respondent. WORKERS' COM-
PENSATION BOARD, Respondent.

Argued January 5, 2006; decided February 16, 2006

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered November 24, 2004. The Appellate Division affirmed a decision of the Workers' Compensation Board which had ruled that the County of Onondaga was not entitled to any offset of workers' compensation benefits after November 4, 2001 against the third-party settlement paid to claimant.

Matter of Brisson v County of Onondaga, 12 AD3d 976, affirmed.

HEADNOTE

Workers' Compensation — Carrier's Lien

A self-insured employer or workers' compensation carrier must expressly and unambiguously preserve its right to any offset against future compensation benefits when consenting to settlement of a third-party action, regardless of whether there is an existing lien against the claimant's recovery (*see* Workers' Compensation Law § 29 [1], [1-a], [4]). Claimants are unable to assess the ramifications of a settlement unless they know the status of the employer's or carrier's claims against settlement proceeds. Moreover, regardless of lien status, a carrier or self-insured employer and claimant are deemed to be involved in settlement negotiations, and ambiguities will be resolved against the carrier. Where an employer or carrier has both an existing lien and prospective offset rights at the time of settlement, or where the employer or carrier possesses only the latter, failure to secure the employer's or carrier's consent results in forfeiture of the claimant's future compensation benefits. Correspondingly, unless an employer or carrier unambiguously and expressly reserves a lien or the right to offset when giving consent, the lien or offset is waived.

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By the Publisher's Editorial Staff

AM JUR 2d, Workers' Compensation § 466.

COUCH ON INSURANCE (3d ed) § 226:16.

McKINNEY'S, Workers' Compensation Law § 29 (1), (1-a),
(4).

NY JUR 2d, Workers' Compensation §§ 133, 136–138.

ANNOTATION REFERENCE

See ALR Index under Workers' Compensation.

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POINTS OF COUNSEL

Wolff, Goodrich & Goldman, LLP, Syracuse (George R. Wolff of counsel), for appellant. I. When the claimant, Alan Brisson, settled his third-party action, Onondaga County had no existing workers' compensation lien. (*Layman v County of Rockland*, 162 AD2d 814; *Vinson v Berkowitz*, 83 AD2d 531; *Matter of Feller v Country Wide Ins.*, 95 AD2d 106.) II. There is no rule, based upon statute or decisional law, requiring a workers' compensation insurer or self-insured employer to reserve its offset rights, when consenting to the settlement of a claimant's third-party settlement, if there is no waiver or compromise of an existing workers' compensation lien. (*Matter of Hilton v Truss Sys.*, 82 AD2d 711, 56 NY2d 877; *Matter of Robinette v Meyer Sign Co.*, 43 AD2d 458; *Matter of Millward v Meyer Sign Co.*, 28 AD2d 1027, 23 NY2d 966; *Matter of Angrisano v United Progress*, 114 AD2d 536, 67 NY2d 607.) III. The County of Onondaga, in granting consent to the settlement of the third-party action, implicitly reserved its offset rights by requesting the amount of the net proceeds passing to the claimant. IV. The Workers' Compensation Board and the Appellate Division, in the case at bar, failed to follow their own precedent. (*Matter of Whitcomb v Xerox Corp.*, 246 AD2d 947; *Matter of Parmelee v International Paper Co.*, 157 AD2d 878; *Matter of Miller v Arrow Carriers Corp.*, 130 AD2d 279; *Matter of Hilton v Truss Sys.*, 82 AD2d 711, 56 NY2d 877.) V. Failure of the Workers' Compensation Board and the Appellate Division to follow or distinguish their own precedent causes uncertainty and creates unnecessary litigation in workers' compensation claims. (*Matter of Charles A. Field Delivery Serv. [Roberts]*, 66 NY2d 516; *Matter of Martin [Troy Publ. Co.—Roberts]*, 70 NY2d 679.)

Eliot Spitzer, Attorney General, Albany (Jennifer Grace Miller, Caitlin J. Halligan and Daniel Smirlock of counsel), for Workers' Compensation Board, respondent. A self-insured employer or workers' compensation carrier must unambiguously preserve its offset rights at the time of settlement, even in the absence of

an existing lien. (*Matter of Whitcomb v Xerox Corp.*, 246 AD2d 947; *Matter of Angrisano v United Progress*, 114 AD2d 536, 67 NY2d 607; *Matter of Hilton v Truss Sys.*, 82 AD2d 711, 56 NY2d 877; *Matter of Robinette v Meyer Sign Co.*, 43 AD2d 458; *Matter of Johnson v Buffalo & Erie County Private Indus. Council*, 84 NY2d 13; *Singh v Ross*, 12 AD3d 498; *Matter of Parmelee v International Paper Co.*, 157 AD2d 878.)

OPINION OF THE COURT

READ, J.

We hold that a self-insured employer or workers' compensation carrier must preserve its right to any offset expressly and unambiguously when consenting to settlement of a third-party action, regardless of whether there is an existing lien against the claimant's recovery. We further conclude that substantial evidence supports the Workers' Compensation Board's finding that the self-insured employer in this case did not do so.

I.

On November 4, 1998, claimant Alan J. Brisson, who worked in Onondaga County's Department of Transportation, was injured when struck from behind by a van while he was picking up a "Men Working" sign from the shoulder of a road. Claimant sought workers' compensation benefits and, in July 2000, a Workers' Compensation Law Judge (WCLJ) issued a decision concluding that he had suffered a compensable injury to his lower back, and made awards for his periods of disability.

Claimant also filed a third-party action against the driver and owner of the van. When asked by claimant's attorney to consent to settlement of this third-party action for \$50,000, RMSCO, Inc., the third-party administrator for claimant's self-insured employer, Onondaga County, responded on August 17, 2001 as follows: "On behalf of [the County], consent is given to the third party settlement of \$50,000.00. We are assuming that this is the policy limit. We need to know the net third party proceeds." Claimant's attorney on August 20, 2001 wrote RMSCO that

"I am in receipt of your letter granting this firm consent to settle [claimant's] third party claim. It is our understanding that, based on the dollar amount of [claimant's] third party settlement, you have no lien as well as no right to a [payment] holiday. If

you have a different understanding, please contact this office within five business days or we will proceed with this third party settlement based on our understanding.”

In an undated letter, RMSCO replied that

“[t]his letter is in response to yours of 08/20/2001.

“You indicate that you believed we have no right to a [payment] holiday. This is not entirely correct. Once lost wages and medical exceed basic economic loss, then we can take credit against net third party proceeds. For example, once lost wages are paid on or after 11/04/2001, we can take credit against net third party proceeds.”

The third-party action was, in fact, settled for \$50,000 on September 24, 2001. After payment of taxable costs, disbursements and attorneys’ fees, claimant netted \$32,958.73.

On October 5, 2001, RMSCO sent claimant a “Notice that Payment of Compensation has been Stopped or Modified.” The notice stated that claimant’s benefits would cease on the three-year anniversary of the accident, November 4, 2001, and would not resume for 168.2 weeks, or until January 24, 2005, so as to offset net settlement proceeds.

Claimant protested the suspension of his benefit payments at a hearing before a WCLJ on January 24, 2002. Another WCLJ concluded in a decision issued on July 10, 2002 that the County was, in fact, not entitled to offset claimant’s future workers’ compensation payments. While the County had indisputably consented to the settlement, “[t]here was no specific reservation [of the County’s] right to claim credit [for the settlement].” The WCLJ relied upon *Matter of Hilton v Truss Sys.* (82 AD2d 711 [3d Dept 1981], *affd for reasons stated below* 56 NY2d 877 [1982]) for the proposition that “an employer must unambiguously preserve its offset rights against future benefits, or such rights will be deemed waived.”

On August 9, 2002, the County asked the Board to review the WCLJ’s decision, disputing the WCLJ’s reading of *Hilton* and arguing that “[b]ecause, in consenting to the settlement . . . , the self-insured employer neither waived nor compromised a workers’ compensation lien, there was no requirement that the self-insured employer expressly reserve its offset rights.” Alternatively, the County contended that the correspondence between RMSCO and claimant’s attorney, in fact, reserved its offset rights.

In its decision issued on November 18, 2002, the Board rejected the County's arguments, and agreed with the WCLJ that a self-insured employer must "unambiguously preserve its offset rights" when consenting to settlement "or such rights will be deemed waived." The Board further concurred with the WCLJ that

"the self-insured employer failed to unambiguously reserve its rights to an off set [*sic*] against future awards when it consented to the third party settlement. To preserve its rights in this case, the self insured employer's first correspondence on this issue should have contained a clear statement of its reservation of this right or the second correspondence should have withdrawn the consent, issued in the first, pending the resolution of the issue raised in the claimant's attorney's correspondence."

Accordingly, the County was "not entitled to any offset of workers' compensation benefits against the third party settlement paid to the claimant."

Upon the County's appeal, the Appellate Division affirmed, turning down the County's argument that *Hilton* mandates only that carriers with existing liens must preserve the right to offset future benefit payments plainly and unambiguously. The Appellate Division also observed that "whether the employer adequately preserved its right to a future offset in a particular case is a factual issue for the Board, and [its] decision will be upheld if supported by substantial evidence," which the Court found in this case (12 AD3d 976, 977-978 [3d Dept 2004]). We granted the County permission to appeal, and now affirm.

II.

Under Workers' Compensation Law § 29 (1), a claimant may pursue a legal action against a third party for damages arising out of the accident underlying the workers' compensation claim, but the self-insured employer or carrier has a lien on any recovery to the extent of compensation and medical expenses already disbursed. Workers' Compensation Law § 29 (4) gives the employer or carrier a corollary right to offset a claimant's future compensation benefits with the proceeds of any recovery. Subdivision (1-a) of section 29, however, precludes a lien under Workers' Compensation Law § 29 (1) for benefits paid in lieu of first-party benefits which another insurer would have otherwise been obligated to pay under New York's No-Fault Law, and cor-

respondingly limits the credit or offset provision in Workers' Compensation Law § 29 (4) (see *Matter of Fellner v Country Wide Ins.*, 95 AD2d 106 [3d Dept 1983]). The term "[f]irst party benefits" refers to "basic economic loss," or up to \$50,000 per person consisting of certain medical and other reasonable and necessary expenses as well as lost earnings for three years from the date of the accident (Insurance Law § 5102 [a], [b]; see *Matter of Johnson v Buffalo & Erie County Private Indus. Council*, 84 NY2d 13 [1994]). Finally, a claimant who compromises a third-party action for an amount less than the compensation benefits paid or payable under the Workers' Compensation Law must first obtain the written consent of the entity liable to pay the benefits, or an order on notice from the court within three months of its approval of the settlement (Workers' Compensation Law § 29 [5]).

Here, claimant's third-party action settled a little over one month before the three-year anniversary of the automobile accident in which he suffered his compensable injury. By operation of Workers' Compensation Law § 29 (1-a), therefore, there was no existing lien under Workers' Compensation Law § 29 (1) and the County could not yet enforce a payment holiday under Workers' Compensation Law § 29 (4) because the benefits paid to claimant up to the point of settlement were all in lieu of first-party benefits. According to the County, the absence of an existing lien that might have been compromised or waived takes this case entirely outside *Hilton*, thereby relieving it of any obligation to reserve future offset rights explicitly when it consented to the settlement pursuant to Workers' Compensation Law § 29 (5).

In *Hilton*, a worker injured his spine when he fell from a train and was rendered paraplegic. As part of settlement negotiations in a third-party action, the workers' compensation carrier agreed to waive its then existing lien of approximately \$70,000. At issue was whether or not the carrier had waived not only the lien, but also its right to offset the net proceeds of claimant's third-party recovery against his future compensation benefits. The Appellate Division held that if a carrier or employer desires to preserve its offset rights when consenting to a settlement, "it is obliged to plainly and unambiguously so state. Doing so has the salutary effect of affording a claimant the opportunity to examine a proposed settlement from a proper perspective, for it enables him to weigh this offer against a potential loss of future compensation benefits" (*Hilton*, 82 AD2d at 712 [citation omitted]). We affirmed for these reasons.

In the County's reading, however, *Hilton* hinges entirely on the existence of a lien because a carrier cannot dispel the inference that its waiver induced settlement absent an explicit reservation of future offset rights. The Board and the Appellate Division did not read *Hilton* so narrowly, and neither do we.

As the Appellate Division noted, claimants are unable to assess the ramifications of a settlement unless they know the status of the employer's or carrier's claims against settlement proceeds. Moreover, regardless of lien status "a carrier or self-insured employer and claimant are deemed to be involved in . . . settlement negotiations, [and] ambiguities [will] be resolved against the carrier" (*Brisson*, 12 AD3d at 977 [citation and internal quotation marks omitted]). Further, Workers' Compensation Law § 29 (5) does not distinguish between those instances where an employer or carrier has both an existing lien and prospective offset rights at the time of settlement and those cases, such as this one, where the employer or carrier possesses only the latter. In either circumstance, failure to secure the employer's or carrier's consent results in forfeiture of the claimant's future compensation benefits (*see Johnson*, 84 NY2d at 19). Correspondingly, unless an employer or carrier unambiguously and expressly reserves a lien or the right to offset when giving consent, the lien or offset is waived.

Finally, whether an employer adequately preserved its right to a future offset is a factual issue for the Board (*Matter of Whitcomb v Xerox Corp.*, 246 AD2d 947 [3d Dept 1998]). A finding of fact made by the Board "is considered conclusive on the courts if supported by substantial evidence" (*Matter of Gates v McBride Transp.*, 60 NY2d 670, 671 [1983] [citation omitted]). Where such evidence exists, the Board's decision may not be disturbed (*Matter of Pfeffer v Parkside Caterers*, 42 NY2d 59, 60 [1977]).

In this case, claimant's attorney informed the County that he did not believe that the County had either a lien or a right to a payment holiday. In response, the County merely stated that claimant's attorney was "not entirely correct": the County did not withdraw its consent to the settlement; the County did not explicitly reserve its right to an offset as required by *Hilton*. Thus, substantial evidence supports the Board's factual determination.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

R.S. SMITH, J. (dissenting). I join, with some misgivings, in the Court's main holding, that a compensation carrier or employer that consents to settlement of a third-party claim must expressly reserve its offset rights or lose them, even where it has no existing lien. I have misgivings because it is not completely clear to me where this requirement is to be found in the statute. I join nevertheless, because the Court establishes a clear, easy-to-follow rule in an area where clarity is much to be desired; workers' compensation claimants who settle third-party claims should never be left in doubt about how much of the settlement will go to them and how much to the compensation carrier.

But I cannot join the majority's application of the rule to this case. Surely the employer's reservation of its offset rights here was clear as day. The words "we can take credit against net third party proceeds" are as unambiguous a statement as can be imagined that the employer retained its offset right, and the employer's letter to claimant's counsel said those words twice.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT and GRAFFEO concur with Judge READ; Judge R.S. SMITH dissents and votes to reverse in a separate opinion.

Order affirmed, with costs.

[844 NE2d 771, 811 NYS2d 317]

LECHASE DATA/TELECOM SERVICES, LLC, on Behalf of Itself and All Others Similarly Situated, Appellant, v DANIEL GOEBERT et al., Defendants, and BUSINESS FUNDING GROUP, INC., Respondent. (Action No. 1.)

LECHASE DATA/TELECOM SERVICES, LLC, on Behalf of Itself and All Others Similarly Situated, Appellant, v MARK BURGHOLZER, Doing Business as BUSINESS FUNDING GROUP, Respondent. (Action No. 2.)

Argued January 10, 2006; decided February 21, 2006

SUMMARY

APPEAL, in action Nos. 1 and 2, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered November 19, 2004. The Appellate Division modified, on the law, an order of the Supreme Court, Monroe County (Thomas A. Stander, J.; op 2 Misc 3d 195), which had denied plaintiff's motion for summary judgment in both actions, denied the cross motion for summary judgment of defendant Business Funding Group, Inc. in action No. 1 and defendant Mark Burgholzer, doing business as Business Funding Group, in action No. 2, and granted plaintiff's motion for an order severing all claims against defendants MCI WorldCom Network Services, Inc. and HSBC Bank. The modification consisted of granting the cross motion and dismissing the second amended complaint in action No. 1 against defendant Business Funding Group, Inc. and the complaint in action No. 2. The Appellate Division affirmed the order as modified.

LeChase Data/Telecom Servs., LLC v Goebert, 12 AD3d 1093, reversed.

HEADNOTES

Words and Phrases — Notice — Standard of Notice Applicable to Factor Seeking Shelter as Good-Faith Purchaser

1. In an action by plaintiff subcontractor to recover damages for an alleged improper diversion of statutory trust funds pursuant to defendant's factoring agreement with the general contractor, actual knowledge by defendant of diversion of trust assets was not required to disqualify defendant from exemption from Lien Law liability as a "purchaser in good faith for value and without notice" (Lien Law § 72 [1]). Rather, UCC 1-201 (25) supplies the proper standard of notice, and charges a person with notice of a certain fact when, from all the facts and circumstances known at the relevant time, the

person has reason to know it exists. Upon entering into the factoring agreement with the general contractor defendant had a copy of its business plan, a right to copies of its business records, and procedures in place to check with the company that had hired the general contractor to make sure that each individual invoice was payable before agreeing to purchase and advance funds against it. These kinds of considerations supported looking to UCC article 1 rather than UCC articles 3 and 4 for the standard of notice applicable to a factor seeking shelter as a good-faith purchaser. Moreover, defendant's factoring arrangement was a UCC article 9 financing transaction. As article 9 does not define notice, article 1's general definitions and principles of construction and interpretation were most appropriately applicable.

Liens — Trusts for Laborers and Materialmen — Payments Received by Contractor's Assignee Pursuant to Factoring Agreement — Notice of Trust and Diversion

2. In an action by plaintiff subcontractor to recover damages for an alleged improper diversion of statutory trust funds pursuant to defendant's factoring agreement with the general contractor, defendant, having claimed it was exempt from Lien Law liability as a "purchaser in good faith for value and without notice" (Lien Law § 72 [1]), failed to raise a triable issue of fact regarding its notice of the trust and the diversion. Under the factoring agreement defendant agreed to advance moneys to the general contractor in exchange for assignment of its accounts receivable, and the general contractor subsequently instructed the company it had contracted with on the projects in which plaintiff was involved to pay all invoices directly to defendant. Defendant knew or should have known that it was receiving payments for construction of improvements to real property. It received copies of work orders detailing construction work performed pursuant to the master agreement, and those orders should have alerted defendant that the contractor was furnishing construction services under the master agreement, and not just engineering and inspection work. Moreover, defendant's knowledge that the construction managers for the company that had hired the contractor reviewed the contractor's invoices for approval further led to the inference that defendant should have known that these invoices were for construction work.

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AM JUR 2d, Bills and Notes § 284; AM JUR 2d, Mechanics' Liens §§ 18, 26, 48, 166, 169.
McKINNEY'S, Lien Law § 72 (1); UCC 1-201 (25).
NY JUR 2d, Mechanics' Liens § 373; NY JUR 2d, Negotiable Instruments § 322.
WHITE AND SUMMERS, UNIFORM COMMERCIAL CODE § 17-7.

ANNOTATION REFERENCE

See ALR Index under Mechanics' Liens; Notice and Knowledge.

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Database: NY-ORCS

Query: notice & exempt! /s lien & statutory /2 trust

POINTS OF COUNSEL

Gates & Adams, P.C., Rochester (*Anthony J. Adams, Jr.* of counsel), for appellant. I. Whether a transferee of trust funds has “notice” is determined as of the time of the diversion and not as of some earlier time. (*I-T-E Imperial Corp.—Empire Div. v Bankers Trust Co.*, 73 AD2d 861, 51 NY2d 811.) II. The “innocent purchaser” proviso to Lien Law § 72 requires only “notice” and not “knowledge” when applied to one who is neither a bank nor a holder in due course. (*Bischoff v Yorkville Bank*, 218 NY 106; *Fidelity & Deposit Co. of Md. v Queens County Trust Co.*, 226 NY 225; *Hall v Bank of Blasdell*, 306 NY 336; *Bonham v Coe*, 249 App Div 428, 276 NY 540; *American Blower Corp. v James Talcott, Inc.*, 18 Misc 2d 1031, 11 AD2d 654, 10 NY2d 282; *Caristo Constr. Corp. v Diners Fin. Corp.*, 21 NY2d 507; *Chemical Bank of Rochester v Haskell*, 51 NY2d 85; *I-T-E Imperial Corp.—Empire Div. v Bankers Trust Co.*, 51 NY2d 811.) III. “Notice” that the transferred accounts were earned “in connection with a contract for improvement of real property” is sufficient to charge a transferee with liability under Lien Law § 72. (*Newburgh Sav. Bank v Town of Woodbury*, 173 NY 55; *People v Marrero*, 69 NY2d 382; *Kirsch v Tozier*, 143 NY 390; *Carl A. Morse, Inc. v Rentar Indus. Dev. Corp.*, 85 Misc 2d 304, 56 AD2d 30, 43 NY2d 952, 439 US 804; *Goldberger-Raabin, Inc. v 74 Second Ave. Corp.*, 252 NY 336; *Stryker v Cassidy*, 76 NY 50; *Raymond Concrete Pile Co. v Federation Bank & Trust Co.*, 288 NY 452.) IV. “Notice” to an agent is “notice” to the principal. (*Bonham v Coe*, 249 App Div 428; *Eljam Mason Supply v I. F. Assoc. Corp.*, 84 AD2d 720; *Grace v Corn Exch. Bank Trust Co.*, 287 NY 94; *Caristo Constr. Corp. v Diners Fin. Corp.*, 21 NY2d 507.) V. Plaintiff is entitled to summary judgment that Business Funding Group, Inc. had sufficient “notice” to make it liable for the diverted trust funds it received. (*Winegrad v New York Univ. Med. Ctr.*, 64 NY2d 851.) VI. Even if “actual knowledge” is required, the Business Funding Group, Inc. defendants are not entitled to summary judgment. (*Winegrad v New York Univ. Med. Ctr.*, 64 NY2d 851; *People v Johnson*, 65 NY2d 556; *People v Von Werne*, 41 NY2d 584; *Ben Soep Co. v Highgate Hall of Orange County*, 142 Misc 2d 45; *Eljam Mason Supply v I. F. Assoc. Corp.*, 84 AD2d 720.)

Barth, Sullivan & Behr, LLP, Buffalo (*Philip B. Abramowitz* of counsel), for respondents. I. This Court’s explicit holding that

actual, subjective notice is required to overcome the “purchaser in good faith” defense under Lien Law § 72 (1) was properly applied here and consistently applied in other cases. (*I-T-E Imperial Corp.—Empire Div. v Bankers Trust Co.*, 51 NY2d 811; *Chemical Bank of Rochester v Haskell*, 51 NY2d 85; *MCC Proceeds v Advest, Inc.*, 293 AD2d 331.) II. Public policy favors clear, predictable rules in commercial dealings and the availability of alternative funding sources like Business Funding Group, Inc. to foster startups. III. Balancing the equities does not require imposing the risk of loss on the factor/bank; in fact, had appellant checked the record, it would have learned of the involvement of Business Funding Group, Inc., notwithstanding the fact that Business Funding did not file a notice of lending under the Lien Law; moreover, even with a duty of inquiry, Business Funding could not have learned of the construction activities of LeChase Data/Telecom Services, LLC. (*Fleet Credit Corp. v Cabin Serv. Co.*, 192 AD2d 421; *TMMB Funding Corp. v Associated Food Stores*, 136 AD2d 540; *J.K.S.P. Rest. v County of Nassau*, 127 AD2d 121; *Badillo v Tower Ins. Co. of N.Y.*, 92 NY2d 790.)

OPINION OF THE COURT

READ, J.

We are asked to decide what kind of “notice” disqualifies a factor from exemption from Lien Law liability as a “purchaser in good faith for value and without notice” (Lien Law § 72 [1]). We conclude that actual knowledge of diversion of trust assets is not required, and that UCC 1-201 (25) supplies the proper standard of notice. We further conclude that defendants have not raised any triable issue of fact under this standard so as to preclude summary judgment for plaintiff.

I.

Plaintiff LeChase Data/Telecom Services, LLC is a specialty contractor that furnishes and installs telecommunications and data transmission facilities in new and existing buildings, and defendant Business Funding Group, Inc. is a factor, a company that lends money to others on the security of their accounts receivable. Business Funding’s sole officer and director is defendant Mark Burgholzer, who operated his factoring business as a sole proprietorship prior to its incorporation in January 2001. The other key dramatis personae in this litigation are two now defunct enterprises: Light House Communication Design, Inc., a company that designed and constructed telecommunications

networks; and MCI WorldCom Network Services, Inc., a telecommunications services provider.

On October 26, 1999, Light House entered into an Outside Plant Engineering and Project Management Agreement with WorldCom “for the design, engineering, project management, procurement, construction, operation, maintenance, relocation and replacement of various telecommunications network projects within the United States.” This was a master agreement, which contemplated that Light House would “provide, as required by [WorldCom], all the labor, equipment, materials and expertise, and to do all things necessary for the proper performance and completion of” projects specified in subsequent work orders. The work comprising these projects included design, engineering and project management services, and “construction of telecommunications network infrastructure.”

In order to secure working capital for its fledgling business, Light House also entered into an Accounts Receivable Purchase Agreement with Business Funding on January 31, 2000. This factoring agreement set forth the terms under which Business Funding would advance moneys to Light House in exchange for assignment of its accounts receivable. Shortly thereafter, on February 4, 2000, Light House instructed WorldCom to pay all invoices directly to Business Funding. Specifically, Light House forwarded a copy of an individual invoice to Business Funding, which verified directly with WorldCom that the invoice accurately reflected the sum of money that WorldCom owed. Then Business Funding and Light House executed an account purchase addendum whereby Light House sold and assigned the invoice to Business Funding for an advance of 80% of its face value.¹ Upon WorldCom’s payment of the invoice in full, Business Funding would rebate to Light House the difference between the advance and the invoice’s face value, minus a factor’s fee based on face value and the timeliness of WorldCom’s payment.² In light of this arrangement, Business Funding filed a UCC-1 financing statement on February 14, 2000 to preserve its

1. Burgholzer testified that, on occasion, Light House would request an advance for less than the face value of an invoice. Business Funding would advance funds in the amount requested, and would divide that amount by 0.8 to create a “fictitious” face value to be used for purposes of calculating the rebate and factor’s fee.

2. Burgholzer testified that, at Light House’s option, rebates were sometimes applied to offset advances on outstanding invoices rather than remitted to Light House by check.

rights as a secured creditor of Light House under article 9 of the Uniform Commercial Code. Business Funding did not, however, file a notice of assignment (Lien Law § 15) or a notice of lending (Lien Law § 73).

On September 15, 2000, Light House subcontracted out to LeChase part of two projects for the design and construction of telecommunications facilities in Monroe County, which were undertaken under separate work orders executed pursuant to Light House's master agreement with WorldCom. This subcontract included standard provisions for LeChase to bill Light House monthly, and to receive progress payments as Light House, in turn, was paid by WorldCom.

By February 2001, LeChase had substantially completed its construction work on these projects. Between September 2000 and April 2001, LeChase submitted monthly progress payment applications to Light House, which were included with Light House's monthly invoices to WorldCom. The total amount that Light House owed LeChase for its work was \$973,475.32. Light House paid LeChase \$453,000, leaving an unpaid balance of \$520,475.32.

By early April 2001, Light House had ceased doing business. Later that same month LeChase sued Light House and its principals and controller for breach of contract, and also asserted claims against these parties and WorldCom and Business Funding for diversion of statutory trust funds in violation of article 3-A of the Lien Law. Light House, its principals and WorldCom subsequently filed for bankruptcy, and LeChase's claims against these defendants were eventually severed.

On August 8, 2001, LeChase filed mechanic's liens for the sums remaining due from Light House on the Monroe County projects. After learning that Light House had entered into the factoring agreement prior to Business Funding's incorporation, LeChase commenced a second action in May 2002 against Mark Burgholzer, doing business as Business Funding Group, again alleging diversion of statutory trust funds.

LeChase and Business Funding profess ignorance of each other's dealings with Light House until the spring of 2001. LeChase's controller avers that his company was never advised that Light House might assign payments due from WorldCom for the two projects to a third party, "[h]ad [it] been so informed, [LeChase] would never have proceeded with the subcontract," and LeChase first learned in March 2001 that Light House had,

in fact, factored these receivables. Burgholzer insists that his “understanding at all times was that Light House was not engaged in the construction or installation work on these projects” and more specifically, he “was never aware of [LeChase’s] involvement until this litigation began.” Instead, it was his “understanding that Light House was involved only in the design and inspection of the ‘underground’ and ‘aerial’ cables, termination equipment, and splicing work on the projects.” Between December 1999 and March 2001, WorldCom paid Business Funding \$1,279,209.21 on account of Light House’s invoices for the two Monroe County projects. Thus, Burgholzer believed that Light House earned \$1.2 million over 14 to 15 months from WorldCom for engineering (what he described as “laying out the fiber optics line”) and inspection work only.

On December 31, 2002, LeChase moved for summary judgment in both actions. LeChase argued that Business Funding violated article 3-A of the Lien Law when “receiv[ing] statutory trust funds (to which [LeChase] is the only known beneficiary) exceeding [the amount of money owed LeChase by Light House] (a) based upon void assignments and (b) with actual or constructive knowledge of their trust nature.” On April 1, 2003, Business Funding cross-moved for summary judgment to dismiss the complaint. Business Funding contended that because Burgholzer “had no actual knowledge of any construction or installation activities by Light House,” Business Funding was a “purchaser in good faith for value and without notice” under Lien Law § 72 (1), and therefore was not subject to article 3-A.

In a comprehensive opinion, Supreme Court first observed that article 3-A is intended to make sure that subcontractors who improve real property at the behest of an owner or contractor are actually paid for their work; and that the rights of Business Funding, as assignee of the accounts receivable due and owing from WorldCom to Light House, were no greater than the rights of its assignor, Light House. The court then concluded that WorldCom’s payments to Business Funding for the Monroe County projects were subject to the Lien Law’s trust obligations, including LeChase’s rights as a trust beneficiary; that the transfer or use of trust assets for any purpose other than a purpose of the trust was a diversion of trust assets under Lien Law § 72 (1); and that LeChase, as a trust beneficiary, could enforce the trust against Business Funding under Lien Law § 77. The court pointed out that Business Funding had the means to protect its interests by filing a notice of assignment

complying with Lien Law § 15, or a notice of lending complying with Lien Law § 73 (*see also* Lien Law § 73 [3] [d] [deeming a properly filed notice of assignment which meets the requirements of Lien Law § 15 to be a notice of lending]), but neglected to do so. Accordingly, the factoring agreement and the assignment of individual invoices did not comply with section 15, and constituted an unenforceable and improper diversion of statutory trust assets.

Next, Supreme Court reviewed the exception to liability under article 3-A for “a purchaser in good faith for value and without notice” (*see* Lien Law § 72 [1]).³ The court examined three potential sources for defining notice in this context: general common-law trust principles; the Uniform Commercial Code; and case law requiring actual knowledge, principally *I-T-E Imperial Corp.—Empire Div. v Bankers Trust Co.* (51 NY2d 811 [1980]). The court distinguished the case law on the basis that the plaintiffs there were “attempting to enforce a claim for diversion of trust assets against a bank which was a depository of checks by a trustee or the purchaser of negotiable paper” (2 Misc 3d 195, 205 [Sup Ct, Monroe County 2003]). Relying upon general principles of trust law and the general statutory definition of “notice” in the Uniform Commercial Code, Supreme Court concluded that

“the notice requirement[s] under Lien Law § 72 for a ‘good faith purchaser’ are those defined in UCC 1-201 (25). Notice that a transfer is a diversion of trust assets for a good faith purchaser for value under Lien Law § 72 (1) occurs when there is actual knowledge, when there is a notice or notification, *or from all the facts and circumstances known at the time of the transfer there is reason to know that it is a diversion of trust assets*” (2 Misc 3d at 207-208 [emphasis added]).

Finally, the court concluded that there was a triable issue of fact regarding notice, and so denied both LeChase’s motion and Business Funding’s cross motion for summary judgment.

LeChase appealed and Business Funding cross-appealed. The Appellate Division held that “[i]t is well settled that a plaintiff

3. This provision states that “[n]othing in this article [3-A] affects the rights of a holder in due course of a negotiable instrument or of a purchaser in good faith for value and without notice that a transfer to him is a diversion of trust assets.”

must establish actual notice to overcome the defense that one was a purchaser in good faith under the Lien Law” (12 AD3d 1093, 1095 [4th Dept 2004]). To support this holding, the Appellate Division relied on *I-T-E* and cited two other cases—*Bank of Babylon v Zaffuto Constr. Co.* (157 AD2d 640 [2d Dept 1990]) and *Colonia Ins. Co. v United States* (1996 WL 68533, 1996 US Dist LEXIS 20290 [ED NY, Jan. 25, 1996]). Further, the Court determined that LeChase failed to establish Business Funding’s actual knowledge; and that Business Funding was therefore entitled to judgment as a matter of law. Accordingly, the Appellate Division modified Supreme Court’s order by granting Business Funding’s cross motion and dismissing the complaints. LeChase sought our permission to appeal, which we granted.

II.

Article 3-A of the Lien Law impresses with a trust any funds paid or payable to a contractor “under or in connection with a contract for an improvement of real property” (Lien Law § 70 [1]).

“We have repeatedly recognized that the primary purpose of article 3-A and its predecessors [is] to ensure that those who have directly expended labor and materials to improve real property [or a public improvement] at the direction of the owner or a general contractor receive payment for the work actually performed” (*Aspro Mech. Contr. v Fleet Bank*, 1 NY3d 324, 328 [2004] [internal quotation marks and citations omitted]).

To this end, Lien Law § 72 (1) declares any other use of contract funds “before payment or discharge of all trust claims” to be an improper diversion of trust assets, regardless of the propriety of the trustee’s intentions (*see Matter of RLI Ins. Co., Sur. Div. v New York State Dept. of Labor*, 97 NY2d 256, 263 [2002]). Section 77 authorizes a trust beneficiary to recover trust assets from anyone to whom they have been diverted with notice of their trust status.

In this case, there is no dispute that the master agreement between WorldCom and Light House and the contract between Light House and LeChase qualify as contracts to improve real property subject to article 3-A (*see* Lien Law § 70); or that Light House’s assignments to Business Funding were improper diversions of statutory trust funds (Lien Law § 72 [1]); or that LeChase is a trust beneficiary entitled to recover trust assets

(Lien Law § 77). The only contested issues are what type of notice would disqualify Business Funding from the benefit of the exception to liability under article 3-A for a good-faith purchaser; and whether there are triable issues of fact regarding the requisite notice.

[1] We agree with Supreme Court that UCC 1-201 (25) supplies the proper standard of notice in this case, and that actual knowledge is not prerequisite to depriving Business Funding of the protection of the exception in Lien Law § 72 (1) for a good-faith purchaser. *I-T-E, Bank of Babylon* and *Colonia Insurance* do not mandate otherwise.

In *I-T-E*, the defendant bank set off a past due note with the balance of a contractor's bank account (*see I-T-E Imperial Corp.—Empire Div. v Bankers Trust Co.*, 73 AD2d 861 [1st Dept 1980]). A lone check from the property owner had been deposited into the account two months previously, and a supplier alleged that the bank should have known that these funds were trust funds. The Appellate Division noted that the New York “rule of first in, first out” (*id.*) meant that all of the trust funds had been expended long before the bank seized the balance—a circumstance clearly and completely different from this case. Further, the bank had no duty to police expenditures to ensure that trust funds were properly allocated by its customer.

We affirmed summary judgment in favor of the bank, observing that

“[w]ith the adoption . . . of the [UCC], the concept of notice under article 3 (and by analogy under article 4 as well, cf. Uniform Commercial Code, § 4-209) has . . . been changed from an objective to a subjective standard, and that change must be deemed to have amended the Lien Law as well” (*I-T-E*, 51 NY2d at 813-814 [citation omitted]).

Thus, plaintiff could not “rely on the ‘duty of inquiry’ concept” and no question of fact remained as to the bank's status as a good-faith purchaser (*id.* at 814).

In *Babylon*, the plaintiff bank credited a subcontractor's account with the discounted value of a promissory note signed by the defendant contractor. When the bank presented the note for payment upon maturity, the contractor refused payment. The Appellate Division determined that the bank was a valid holder in due course, did not have actual knowledge of any improper diversion (the note contained “no evidence” that trust assets

were at issue [157 AD2d at 641]) and therefore affirmed judgment in its favor. In this case, Business Funding was not a valid holder in due course. Rather, the assignment to Business Funding was invalid for purposes of the Lien Law. Further, the assignments, in fact, did contain some evidence that trust fund assets may have been at issue.

In *Colonia*, the United States criminally charged a contractor with bid rigging, and filed a civil forfeiture action to recover the proceeds of the scheme—progress payments deposited in the contractor’s accounts at two banks. The United States and the contractor subsequently entered into a stipulation for dismissal of the forfeiture action in exchange for the immediate forfeiture of these funds. Subsequently, subcontractors to whom the contractor owed money obtained judgments against the plaintiffs on the surety bond. The plaintiffs then sued for an order directing the United States to pay them the forfeited funds.

The Federal District Court observed that the civil forfeiture recovery statute allows recovery for an innocent lienholder; the subcontractors were trust beneficiaries and lienholders under the Lien Law; and the plaintiffs, as their subrogees, were entitled to sue the United States for diversion of trust funds. The United States argued that the complaint failed to state a cause of action, however, because it was a good-faith purchaser.

Citing *I-T-E*, the court stated broadly that “New York courts have interpreted [Lien Law § 72 (1)] to require a plaintiff to show subjective, not objective, notice” (1996 WL 68533 at *4, 1996 US Dist LEXIS 20290 at *13), but then pointed out as relevant whether the government knew that the bank account was regularly used for trust assets and whether the government knew the company’s financial condition. These factors bear on notice, but would not establish actual, subjective knowledge. The court determined that the complaint alleged facts sufficient to support a finding that the United States had notice that it was receiving trust assets, but did not explain why this was so. Logically, of course, the criminal charge itself—rigging a bid on a contract with the New York City School Construction Authority—establishes notice.

In *I-T-E*, we specifically related the requirement for actual knowledge under section 72 (1) to the “concept of notice” in articles 3 and 4 of the Uniform Commercial Code, which govern commercial paper and bank deposits and collections respectively (see 51 NY2d at 813). “The purpose of UCC 3-304 (7)—unique

to New York and Virginia—[is] to require that questions of notice [are] determined by a subjective test of actual knowledge rather than an objective test which might involve constructive knowledge” (*Hartford Acc. & Indem. Co. v American Express Co.*, 74 NY2d 153, 162 [1989]). A holder in due course such as the bank in *I-T-E* will have customarily accepted trust assets in the form of an endorsed check, and cannot evaluate the trust status of every check deposited by all its contractor or construction-related customers.

By contrast, Business Funding entered into a contractual relationship with Light House, and at the outset had a copy of its business plan and a right to copies of its business records. Business Funding had procedures in place to check with WorldCom to make sure that each individual invoice was payable before agreeing to purchase and advance funds against it. These kinds of considerations support looking to article 1 of the Uniform Commercial Code rather than articles 3 and 4 for the standard of notice applicable to a factor seeking shelter as a good-faith purchaser. Further, as Business Funding acknowledged by filing a UCC-1 financing statement, its factoring arrangement is an article 9 financing transaction. Article 9 does not define notice (*see* UCC 9-102 [a]), or refer to the definition of notice in articles 3 and 4 (*see* UCC 9-102 [b]); therefore, article 1’s general definitions and principles of construction and interpretation are most appropriately applicable (*see* UCC 9-102 [c]).

Finally, Business Funding urges us to adopt the standard of actual, subjective knowledge on public policy grounds, arguing that otherwise we will discourage a source of alternative funding for startup companies that may not qualify for bank loans. Factors may readily avoid the risk of loss, however, by filing proper Lien Law notices and screening accounts receivable.

III.

[2] LeChase maintains that Business Funding has failed to raise a triable issue of fact regarding its notice of the trust and the diversion, and we agree. Burgholzer knew or should have known that Business Funding was receiving payments from WorldCom for construction of improvements to real property.

Business Funding received copies of the work orders for the two Monroe County projects. Both work orders referred to the master agreement as controlling the services to be provided by

Light House to WorldCom. The master agreement⁴ included construction among these services, and the work orders detailed the construction work. For example, the work order for one of the projects specified that

“[a]uthorization is confirmed for contractor to perform the following services: This project will link the Linden Oaks Node to the Henrietta Node to the Clinton Square Node with a new 144 FOC [fiber optic cable]. Project will consist of new and existing underground as well as new aerial placement. Project will also provide termination equipment at each site and all necessary field splicing.”

The other work order similarly authorized Light House to construct specified portions of a telecommunications network. These work orders should have alerted Business Funding that Light House was furnishing construction services—not just engineering and inspection work—under its contract with WorldCom.

Business Funding’s files contain a list of WorldCom’s construction managers and their telephone numbers, and there are various e-mails and notes that refer to approval of Light House’s invoices by WorldCom’s construction managers. This is because Business Funding regularly contacted WorldCom’s construction managers, and knew that WorldCom would not pay an invoice from Light House until a construction manager signaled satisfactory completion of the work billed. Business Funding’s knowledge that WorldCom’s construction managers reviewed Light House’s invoices for approval further leads to the inference that Business Funding should have known that these invoices were for construction work.

Accordingly, the order of the Appellate Division should be reversed, with costs; defendants’ cross motion for summary judgment denied; and plaintiff’s motion for summary judgment granted.

4. According to Burgholzer, Business Funding did not receive a copy of the master agreement. Under the factoring agreement, however, Business Funding had the right to the original and one copy of each invoice submitted for its possible purchase as well as “a copy of the bill of lading, proof of delivery, contract or purchase order, and other documents satisfactory to Factor.” The factoring agreement further obligated Light House to “furnish [Business Funding] with full financial statements and other documents and information, including but not limited to proof of payment and/or compliance with all Federal, State and/or local tax requirements, as may be reasonably requested by [Business Funding] from time to time.”

Opinion by READ, J.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSEN-
BLATT, GRAFFEO and R.S. SMITH concur.

Order reversed, etc.

[845 NE2d 451, 812 NYS2d 20]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v RICHARD MILLER, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v CHRISTOPHER RODRIGUEZ, Respondent.

Argued January 5, 2006; decided February 16, 2006

SUMMARY

APPEAL, in the first above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered June 24, 2004. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Edward J. McLaughlin, J.), which had convicted defendant, upon a jury verdict, of murder in the first degree, murder in the second degree (two counts), robbery in the first degree, attempted robbery in the first degree, criminal possession of a weapon in the second degree, and criminal possession of a weapon in the third degree.

APPEAL, in the second above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered May 3, 2004. The Appellate Division modified, on the law, a judgment of the Supreme Court, Queens County (Arthur J. Cooperman, J.), which had convicted defendant, upon a jury verdict, of murder in the first degree, murder in the second degree (two counts), burglary in the first degree, criminal possession of a weapon in the fourth degree, and criminal possession of stolen property in the fifth degree. The modification consisted of vacating the convictions of murder in the second degree, vacating the sentences imposed thereon, and dismissing those counts of the indictment. The Appellate Division affirmed the judgment as modified.

People v Miller, 8 AD3d 176, modified.

People v Rodriguez, 7 AD3d 545, affirmed.

HEADNOTE

Crimes — Lesser Included Offense — Second Degree Intentional and Felony Murder Lesser Included Offenses under First Degree Felony Murder

Second degree intentional murder (Penal Law § 125.25 [1]), and second degree felony murder (Penal Law § 125.25 [3]) based on the predicate felonies

of burglary and robbery, are lesser included offenses of first degree felony murder (Penal Law § 125.27 [1] [a] [vii]). Accordingly, the counts charging defendants with second degree intentional and felony murder in the course of burglary by one defendant and robbery by the other were inclusory concurrent counts within the meaning of CPL 300.40 that should have been dismissed upon defendants' convictions for first degree felony murder. Although all three crimes are class A-1 felonies, they are of different degrees and carry considerably different sentences. Moreover, although it is theoretically possible to commit first degree felony murder without also committing second degree felony murder if the first degree count is predicated upon flight after attempting to commit second degree murder, it was impossible for these defendants to have committed first degree felony murder without also committing second degree felony murder, as burglary and robbery are predicate felonies for both degrees of felony murder.

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AM JUR 2d, Homicide §§ 10, 39, 45, 64, 454, 535.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:3699, 172:3751.

McKINNEY'S, CPL 300.40; Penal Law § 125.25 (1), (3); § 125.27 (1) (a) (vii).

NY JUR 2d, Criminal Law §§ 2484-2492, 3787, 3797, 3803, 3812, 3815, 3852.

ANNOTATION REFERENCE

Application of felony-murder doctrine where the felony relied upon is an includible offense with the homicide. 40 ALR3d 1341.

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POINTS OF COUNSEL

Center for Appellate Litigation, New York City (*Barbara Zolot* and *Robert S. Dean* of counsel), for appellant in the first above-entitled action. I. Alternate juror No. 3's extraordinary intercession in repeating and interpreting the answers of a vocally impaired witness mandates reversal. (*People v Ahmed*, 66 NY2d 307; *People v Agramonte*, 87 NY2d 765; *People v Patterson*, 39 NY2d 288, 432 US 197; *Cancemi v People*, 18 NY 128; *People v Mehmedi*, 69 NY2d 759; *People v Antommarchi*, 80 NY2d 247; *People v Bradner*, 107 NY 1; *People v Coons*, 75 NY2d 796; *People v O'Rama*, 78 NY2d 270; *People v Maragh*, 94 NY2d 569.) II. The court's confusing and burden-shifting response to a note

from the deliberating jury constituted reversible error. (*People v Owens*, 69 NY2d 585; *People v Malloy*, 55 NY2d 296; *In re Winship*, 397 US 358; *People v Newman*, 46 NY2d 126; *Sullivan v Louisiana*, 508 US 275; *Apprendi v New Jersey*, 530 US 466; *People v Johnson*, 11 AD3d 224, 4 NY3d 745; *United States v Viafara-Rodriguez*, 729 F2d 912; *Cupp v Naughten*, 414 US 141; *People v Fields*, 87 NY2d 821.) III. The court erred in answering the deliberating jury's request for the unadmitted voicemail transcript through court personnel and when counsel and appellant were absent from the courtroom, and in conducting reconstruction proceedings in appellant's absence. (*People v O'Rama*, 78 NY2d 270; *People v Torres*, 72 NY2d 1007; *People v Mehmedi*, 69 NY2d 759; *People v Damiano*, 87 NY2d 477; *People v Owens*, 69 NY2d 585; *People v Rosado*, 262 AD2d 62; *People v Porteous*, 193 AD2d 631; *People v Mitchell*, 2 AD3d 145; *People v Lykes*, 81 NY2d 767; *People v Jones*, 70 NY2d 547.) IV. The second degree intentional murder and second degree felony murder counts were inclusory concurrent counts of the first degree murder count (Penal Law § 125.27 [1] [a] [vii]), mandating their dismissal after the jury convicted appellant of first degree murder. (*People v Weathersby*, 44 NY2d 686; *People v Yavru-Sakuk*, 98 NY2d 56; *Simmons v Reynolds*, 898 F2d 865; *People v Laureano*, 87 NY2d 640; *People v Laing*, 79 NY2d 166; *Dedieu v People*, 22 NY 178; *People v Flores*, 42 AD2d 431; *People v Wolf*, 59 AD2d 547; *People v Doyle*, 3 AD3d 126; *People v Hildreth*, 279 AD2d 791.)

Robert M. Morgenthau, District Attorney, New York City (*Patricia Curran* and *Susan Gliner* of counsel), for respondent in the first above-entitled action. I. Defendant is not entitled to a new trial based on his unpreserved complaint that an alternate juror assisted a voice-impaired defense witness to communicate at trial. (*People v Ahmed*, 66 NY2d 307; *People v Kinchen*, 60 NY2d 772; *People v McLucas*, 15 NY2d 167; *People v Bonaparte*, 78 NY2d 26; *People v Almodovar*, 178 AD2d 133; *People v Hernandez*, 94 NY2d 552; *People v Nacey*, 78 NY2d 990; *People v Padilla*, 166 AD2d 291; *People v Perez*, 298 AD2d 121; *People v Monroe*, 90 NY2d 982.) II. Defendant's complaint about the trial court's supplemental instruction has not been preserved for review by this Court. In any event, that instruction was proper and the court's charge as a whole conveyed the correct standard. (*People v Hoke*, 62 NY2d 1022; *People v Johnson*, 11 AD3d 224; *People v Le Mieux*, 51 NY2d 981; *People v Karabinas*, 63 NY2d 871; *People v Agosto*, 73 NY2d 963; *People v Lourido*, 70 NY2d 428; *People v Almodo-*

var, 62 NY2d 126; *People v Patterson*, 39 NY2d 288; *People v Thomas*, 50 NY2d 467; *Sandstrom v Montana*, 442 US 510.) III. The trial court acted properly with respect to its handling of the deliberating jury's request for an item that had not been received into evidence, as well as the hearing that was subsequently conducted to reconstruct the court's actions. (*People v O'Rama*, 78 NY2d 270; *People v Damiano*, 87 NY2d 477; *People v Rosado*, 262 AD2d 62; *People v Porteous*, 193 AD2d 631; *People v Dunham*, 261 AD2d 909; *People v Toliver*, 89 NY2d 843; *People v Ahmed*, 66 NY2d 307; *People v Bonaparte*, 78 NY2d 26; *People v Torres*, 72 NY2d 1007; *People v Ciaccio*, 47 NY2d 431.) IV. The counts charging defendant with second degree murder of Mark Pressley should not be dismissed as inclusory concurrent counts of the first degree murder conviction. (*People v Rodriguez*, 7 AD3d 545, 3 NY3d 742; *People v Hildreth*, 279 AD2d 791; *People v Brown*, 67 NY2d 555; *People v Weathersby*, 44 NY2d 686; *People v LaValle*, 3 NY3d 88; *People v Abrew*, 95 NY2d 806; *People v Glover*, 57 NY2d 61; *People v Green*, 56 NY2d 427; *People v Ramos*, 15 AD3d 236; *People v Henry*, 309 AD2d 717.)

Richard A. Brown, District Attorney, Kew Gardens (*Sharon Y. Brodt* and *John M. Castellano* of counsel), for appellant in the second above-entitled action. The second degree murder counts are not inclusory concurrent counts of first degree murder and should not have been dismissed. (*People v Brown*, 67 NY2d 555; *People v Weathersby*, 44 NY2d 686; *People v Abrew*, 95 NY2d 806; *People v Glover*, 57 NY2d 61; *People v Green*, 56 NY2d 427; *Furman v Georgia*, 408 US 238; *People v Fitzpatrick*, 32 NY2d 499; *People v Smith*, 63 NY2d 41; *People v Davis*, 43 NY2d 17; *People v LaValle*, 3 NY3d 88.)

M. Chris Fabricant, New York City, and *Lynn W.L. Fahey* for respondent in the second above-entitled action. The Appellate Division properly dismissed the second degree murder counts as inclusory concurrent counts of first degree murder because, contrary to the People's position, second degree murder is an offense of lesser "degree" or "grade" than first degree murder. (*People v Grier*, 37 NY2d 847; *Dedieu v People*, 22 NY 178; *People v Cahill*, 2 NY3d 14; *People v Hildreth*, 279 AD2d 791; *People v Couser*, 258 AD2d 74; *People v Miller*, 8 AD3d 176, 4 NY3d 766; *People v Weathersby*, 44 NY2d 686; *People v Brown*, 67 NY2d 555; *People v Abrew*, 95 NY2d 806; *People v Davis*, 10 AD3d 583.)

OPINION OF THE COURT

ROSENBLATT, J.

In the two first degree murder convictions before us, we address the question of what makes an offense lesser included, and hence dismissible as an inclusory concurrent count.

People v Rodriguez

Defendant Rodriguez lived with his family in the same Queens apartment building as the victim. Rodriguez apparently harbored a grudge against the victim, believing that she was responsible for his family's eviction. After his accomplice removed a fan from the victim's kitchen window, Rodriguez entered her apartment. When she discovered him, he pulled out a knife and stabbed her 13 times, killing her.

Rodriguez was convicted of first degree murder under Penal Law § 125.27 (1) (a) (vii) (intentional felony murder) and two counts of second degree murder under Penal Law § 125.25 (1) and (3) (intentional murder and felony murder, respectively), as well as first degree burglary, criminal possession of a weapon in the fourth degree and criminal possession of stolen property in the fifth degree. Citing CPL 300.30 (4), the Appellate Division modified by dismissing the two second degree murder counts as inclusory concurrent counts of the first degree murder count and otherwise affirmed (7 AD3d 545 [2004]). The People appeal the dismissal of the two second degree murder counts. We affirm.

People v Miller

Defendant Miller accosted a man and a woman who were getting into a car, apparently after they had bought drugs. Threatening them with a gun, he demanded drugs and jewelry, and grew angry when the woman insisted she had nothing to give. He then shot the man in the head, killing him, and ran.

Like Rodriguez, Miller was convicted of murder in the first degree under Penal Law § 125.27 (1) (a) (vii) and two counts of second degree murder under Penal Law § 125.25 (1) and (3). He was also convicted of robbery in the first degree, attempted robbery in the first degree and criminal possession of a weapon in the second and third degrees. The Appellate Division affirmed and Miller appeals. We now modify and dismiss the two second degree murder convictions as inclusory concurrent counts.

Inclusory Concurrent Counts

The Appellate Division routinely modifies convictions by dismissing inclusory concurrent counts.¹ Inasmuch as lesser counts are subsumed within higher ones, the lesser counts are superfluous, and a defendant's conviction properly rests on the higher count or counts. In dismissing lesser included counts, the Appellate Division acts on the authority of CPL 300.40 (3) (b). That section provides as follows, in pertinent part:

“With respect to inclusory concurrent counts, the court must submit the greatest or inclusive count and may or must . . . also submit, but in the alternative only, one or more of the lesser included counts. *A verdict of guilty upon the greatest count submitted is deemed a dismissal of every lesser count submitted, but not an acquittal thereon . . .*” (emphasis added).

In both appeals, the People contend that the second degree murder counts are not lesser included under the first degree murder convictions. They argue that because first degree murder (Penal Law § 125.27 [1] [a] [vii]) is a class A-I felony, it is not “greater” than second degree intentional murder (Penal Law § 125.25 [1]) or felony murder (Penal Law § 125.25 [3]), both of which are also classified as A-I felonies. That being so (the argument goes), the two second degree murder counts cannot be inclusory concurrent counts of first degree murder within the meaning of CPL 300.40.

We disagree, as did the Appellate Division in *Rodriguez*. CPL 300.30 (4) provides, in part, that “[c]oncurrent counts are ‘inclusory’ when the offense charged in one is greater than any of those charged in the others and when the latter are all lesser offenses included within the greater.” It would be inapt to read the “greater” with reference only to the offenses’ A-I felony classification. Most importantly, the crimes here are unequivocally of different degrees and carry considerably different sen-

1. There are dozens of such cases. A sampling of some of the more recent includes *People v Crumbs* (295 AD2d 227 [1st Dept 2002] [second degree assault inclusory concurrent count under first degree assault]); *People v Romain* (5 AD3d 611 [2d Dept 2004] [third degree assault lesser included under assault second degree]); *People v Harp* (20 AD3d 672 [3d Dept 2005] [endangering the welfare of a child is inclusory concurrent count under course of sexual conduct against a child, second degree]); and *People v Hackworth* (6 AD3d 1064 [4th Dept 2004] [robbery, third degree, lesser included offense of robbery, second degree]; see also *People v Robinson*, 45 NY2d 448, 454 [1978]).

tences.² Significantly, murder in the first degree under Penal Law § 125.27 stands alone in that, when enacting the statute, the Legislature made it punishable by death or life without parole (CPL 400.27 [1]; Penal Law § 70.00 [5]). On the other hand, second degree murder (both felony murder and intentional) carries 15 to 25 years to life (Penal Law § 70.00 [2] [a]; [3] [a] [i]).

That would be the end of the matter were it not for the People's argument pursuant to the "impossibility" doctrine of CPL 1.20 (37): "When it is impossible to commit a particular crime without concomitantly committing, *by the same conduct*, another offense of lesser grade or degree, the latter is, with respect to the former, a 'lesser included offense' " (emphasis added).

Designed as a capital murder statute, Penal Law § 125.27 begins with intentional murder as its predicate. The statute goes on to list 13 aggravating factors (including subparagraph [vii], which generally tracks felony murder under Penal Law § 125.25 [3]), any one of which raises the crime to first degree murder. We have called it intentional "murder 'plus' " (*People v Cahill*, 2 NY3d 14, 64 [2003]; *see also People v Duggins*, 3 NY3d 522, 532-533 [2004]), and therefore have no difficulty in concluding that intentional murder plus includes intentional murder. In the vocabulary of CPL 1.20 (37), it is impossible to commit intentional murder plus without at the same time committing intentional murder.

The felony murder paradigm, however, lacks this simplicity, and here the prosecution has made a novel argument. Intentional felony murder is felony murder based on an intentional killing. But there is a quirk: the felonies predicating intentional felony murder under section 125.27 (1) (a) (vii) are not identical to those underlying ordinary felony murder under section 125.25 (3). The two statutes are similar in that both deal with most of the same predicate felonies (with slight variations in degree),³ but the People point out that there is a predicate found in the intentional felony murder statute that is not contained in the

2. *People v Weathersby* (44 NY2d 686 [1978]) and *People v Brown* (67 NY2d 555 [1986]), upon which the People rely, both involved crimes that, unlike the ones before us, carried the same penalties and were held noninclusory.

3. For example, second degree felony murder (Penal Law § 125.25 [3]) includes as predicate crimes robbery, burglary and arson in the first degree, whereas Penal Law § 125.27 (1) (a) (vii) names those crimes in the second degree as well. Penal Law § 125.25 (3) includes second degree escape, whereas Penal Law § 125.27 (1) (a) (vii) does not.

standard felony murder statute, namely, flight after attempting to commit murder in the second degree. Thus, a defendant who tries unsuccessfully to kill victim A and, in flight, intentionally kills victim B would be guilty of first degree intentional felony murder but not second degree felony murder.

In *People v Glover* (57 NY2d 61 [1982]), we established a two-part test to determine what is lesser included. First, it must, in the abstract, be impossible to commit the greater crime without concomitantly committing the lesser offense by the same conduct. Second, there must be a reasonable view of the evidence to support a finding that the defendant committed the lesser offense but not the greater. The People argue that it is theoretically possible to commit the higher crime (intentional felony murder) while not at the same time committing the lesser crime (felony murder) and that as a result, felony murder is not lesser included within intentional felony murder.

We disagree. Although the People's premise may have merit in the most technical sense, their conclusion does not follow in this case, where the higher crime can be committed in alternative ways, through different conduct. In *People v Green* (56 NY2d 427, 430-431 [1982]), we touched on this point, and said: "The impossibility element speaks not to *all the variations of the greater* offense that are detailed in a Penal Law section with numerous subdivisions, but only to the subdivision which the particular act or omission referred to in the indictment brings into play" (emphasis added). The act or omission that triggers the greater offense charged indicates what variation of that offense should be analyzed. Section 125.27 (1) (a) (vii) predicates an intentional felony murder conviction on the underlying felonies of, among others, first or second degree burglary, robbery or flight from attempted second degree murder. We have made it clear that it is improper to analyze the impossibility test "by examination only of the criminal transaction on which the particular prosecution was predicated" (*Glover*, 57 NY2d at 64). However, the impossibility test will still be met where "in all circumstances, not only in those presented in the particular case, it is impossible to commit the greater crime without concomitantly, *by the same conduct*, committing the lesser offense" (*id.* at 63 [emphasis supplied]).

In this instance, given the nature of the intentional felony murder statute, our holding falls comfortably within the concepts laid out in *Green* and *Glover*. Indeed, by affirming the Appellate Division in *Rodriguez* and modifying in *Miller*, we

have no intention of departing from *Glover*. Before we decided *Glover*, a crime was considered lesser included with reference only to the particular facts of the case. Thus, criminal possession of stolen property could be a lesser included offense under a robbery indictment if, under the facts, the defendant was guilty of criminal possession of stolen property (e.g., *People v Hayes*, 35 NY2d 907 [1974]; see also *People v Cionek*, 35 NY2d 924 [1974]).

In *Glover*, we changed the rule and held that “impossibility” refers not only to the facts of the case but to whether it is, in theory, impossible to commit the greater crime without by the same *conduct* committing the lesser (*Glover*, 57 NY2d at 63). Since that time we have consistently applied the impossibility test in accordance with *Glover*, concluding in a number of instances that, because the first *Glover* prong was not met, downcharges should not have been given to the jury.⁴ We reaffirm this established line of cases.

In the appeal before us, however, the structure of the intentional felony murder statute leads us to conclude that felony murder is a lesser-included crime under intentional felony murder. Were we to rule otherwise, it would mean that if a defendant is charged in a single-count intentional felony murder indictment, neither the prosecution nor the defense could ever have the jury consider felony murder. This would improperly tie the hands of the jury, the court and the parties, and we are unwilling to extend the impossibility doctrine that far.

Here, Rodriguez was charged with burglary and Miller with robbery as the underlying felonies for felony murder. That someone else could conceivably commit intentional felony murder predicated upon another form of felonious conduct (without committing standard felony murder) does not alter the greater-lesser relationship between intentional felony murder based on burglary or robbery and standard felony murder based on burglary or robbery.

Lastly, defendant Miller’s claim of error with regard to the court’s charge to the jury is unpreserved and his remaining contentions are without merit. Accordingly, the order of the Appellate Division in *People v Rodriguez* should be affirmed, and

4. E.g., *People ex rel. Gray v Tekben*, 57 NY2d 651 (1982); *People v Luther*, 61 NY2d 724 (1984); *People v Gonzalez*, 61 NY2d 586 (1984); *People v Wheeler*, 67 NY2d 960 (1986); *People v Brown*, 70 NY2d 857 (1987); *People v Ford*, 76 NY2d 868 (1990).

the order of the Appellate Division in *People v Miller* should be modified by vacating defendant's conviction of two counts of murder in the second degree and remitting to Supreme Court for resentencing and, as so modified, affirmed.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, GRAFFEO and R.S. SMITH concur; Judge READ taking no part.

In *People v Miller*: Order modified by vacating defendant's conviction of two counts of murder in the second degree and remitting to Supreme Court, New York County, for resentencing and, as so modified, affirmed.

In *People v Rodriguez*: Order affirmed.

[845 NE2d 1225, 812 NYS2d 395]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v ALVARO
CARVAJAL, Appellant.

Argued October 19, 2005; decided November 22, 2005

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered December 9, 2004. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Bonnie G. Wittner, J.), which had convicted defendant, upon a jury verdict, of conspiracy in the second degree and three counts of criminal possession of a controlled substance in the first degree.

People v Carvajal, 14 AD3d 165, affirmed.

HEADNOTES

Crimes — Appeal — Matters Reviewable — Jurisdiction of Offenses

1. In a prosecution based upon the seizure of drugs in California in connection with defendant's participation in a large interstate drug operation between California and New York, the question of whether New York was vested with territorial jurisdiction in the first instance was reviewable by the Court of Appeals despite defendant's failure to move for a trial order of dismissal on the ground that the People failed to prove such jurisdiction. Territorial jurisdiction implicates the State's inherent authority to prosecute and punish a suspect for alleged criminal conduct. In addition, defendant's failure to request a jury charge on territorial jurisdiction did not amount to waiver of the fundamental question of whether—as a matter of law—New York had the power to hear the case.

Crimes — Jurisdiction of Offenses

2. In a prosecution for first degree criminal possession of a controlled substance and conspiracy, New York properly exercised territorial jurisdiction over the possession offenses pursuant to CPL 20.20 (1) (c), where the defendant resided, and the cocaine was seized, in California. Pursuant to the statute, a person may be convicted in New York of an offense when conduct occurred within the state sufficient to establish a conspiracy or criminal solicitation to commit such offense. Here, there was evidence of defendant's conduct in New York sufficient to establish his conspiracy to commit first degree criminal possession of a controlled substance. Defendant was physically present in New York for some of the conspiratorial conduct on which jurisdiction was predicated, and the drugs in question were to be shipped to New York. While in New York, defendant made out-of-state phone calls to underlings, met with New York cohorts and conspired to transport cocaine to New York. Compelling evidence of a conspiracy tied defendant to each of the three possession counts.

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AM JUR 2d, Criminal Law §§ 487, 489; AM JUR 2d, Drugs and Controlled Substances § 191.
CARMODY-WAIT 2d, Criminal Procedure §§ 172:24, 172:25.
LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) § 16.1.
MCKINNEY'S, CPL 20.20 (1) (c).
NY JUR 2d, Criminal Law §§ 22-24, 2473, 4829, 4831.

ANNOTATION REFERENCE

See ALR Index under Criminal Procedure; Drugs and Narcotics; Jurisdiction.

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Query: territorial /2 jurisdiction /s possess! /3 controlled

POINTS OF COUNSEL

Paul J. Angioletti, Staten Island, for appellant. I. New York lacked territorial jurisdiction for the three possession counts where both defendant and the drugs were located in California. Defense counsel was ineffective in waiving this issue. The issue of territorial jurisdiction is nonwaivable and should have been submitted to the jury. (*People v McLaughlin*, 80 NY2d 466; *People v Kassebaum*, 95 NY2d 611, 532 US 1069; *People v Ribowsky*, 77 NY2d 284; *People v Moore*, 46 NY2d 1; *Mack v People*, 82 NY 235; *Matter of Murphy v Extraordinary Special & Trial Term of Supreme Ct.*, 294 NY 440; *People v Goldswor*, 39 NY2d 656; *People v R.*, 160 Misc 2d 142; *People v Farini*, 239 NY 411; *People v Fea*, 47 NY2d 70.) II. Defendant's counsel was ineffective where the record reflects an utter lack of preparation in a complex case involving hundreds of hours of wiretapped conversations. (*People v Henry*, 95 NY2d 563; *People v Benvenuto*, 91 NY2d 708; *Strickland v Washington*, 466 US 668; *People v Gil*, 285 AD2d 7; *Berger v New York*, 388 US 41; *People v Floyd*, 41 NY2d 245; *People v Greco*, 187 AD2d 151, 81 NY2d 1073; *People v Rezey*, 107 AD2d 850; *United States v Mejia-Lozano*, 829 F2d 268; *United States v DeVelasquez*, 28 F3d 2, 515 US 1064.)

Robert M. Morgenthau, District Attorney, New York City (*Patricia Curran* and *Mark Dwyer* of counsel), for respondent. I. Defendant was properly tried in New York for the first degree

drug possession crimes. (*People v Giordano*, 87 NY2d 441; *People v Kassebaum*, 95 NY2d 611; *People v McLaughlin*, 80 NY2d 466; *People v Guidice*, 83 NY2d 630; *People v Manini*, 79 NY2d 561; *United States v Burroughs*, 830 F2d 1574, 485 US 969; *People v Cullen*, 50 NY2d 168; *People v Taylor*, 304 AD2d 434; *People v Muniz*, 215 AD2d 881; *People v Joseph*, 8 AD3d 61.) II. Defendant's trial counsel afforded him effective assistance. (*People v Karabinas*, 63 NY2d 871; *People v Rivera*, 71 NY2d 705; *People v Jones*, 55 NY2d 771; *People v Carver*, 234 AD2d 164; *People v Shaw*, 221 AD2d 265; *People v Silva*, 220 AD2d 230; *People v Caban*, 5 NY3d 143; *People v Henry*, 95 NY2d 563; *People v Benevento*, 91 NY2d 708; *People v Baldi*, 54 NY2d 137.)

OPINION OF THE COURT

Chief Judge KAYE.

In this prosecution for first degree criminal possession of a controlled substance and conspiracy, we are called upon to determine whether New York rightly exercised territorial jurisdiction over the possession offenses, when the defendant resided, and the cocaine was seized, in California. We conclude that, pursuant to the authority granted by CPL 20.20 (1) (c), New York was vested with jurisdiction to prosecute.

Background

At trial, the People presented evidence that in 1993, the New York State Drug Enforcement Task Force began investigating a narcotics trafficking ring centered at a Queens County garage known as W & G Auto Repair, which was operated by Freddy Lasso. Surveillance of W & G and wiretaps revealed evidence of an interstate scheme by which cocaine was secreted in hidden automobile compartments and driven from San Francisco to New York. Freddy Lasso headed the New York operation along with Louis Grueso Camacho (Grueso); defendant was their West Coast partner. A man known as Chicanero oversaw transportation of the drugs cross-country. Defendant and his cohorts employed other individuals to drive, store and protect the drugs and equipment.

Between April 13 and April 17, 1994, the task force intercepted a series of telephone calls defendant had with Grueso, Freddy Lasso and Chicanero about a planned shipment of cocaine from San Francisco to Queens County. The drugs were slow in arriving due to an overheated car. Defendant reported to Freddy Lasso that "it would go five miles and then it would

stop.” Defendant planned to send a backup car to meet the failing vehicle, so that, as Freddy Lasso told Grueso, the drugs could “finally get here.” Task force members tried to intercept the delivery in Queens on April 17, but arrived too late at the exchange location, believed to be a McDonald’s at 204th Street and Northern Boulevard. That night, Freddy Lasso called defendant and told him that the transport of at least 65 kilograms of cocaine was a success.

Based on a series of calls intercepted between May 13 and May 19, 1994, the task force learned of plans to use three cars (white, blue and green) to transport cocaine from San Francisco to New York. Defendant was in New York City for four days, from May 13 to May 16, meeting with his cohorts.¹ During his stay, he made telephone calls to his California subordinates. He gave detailed instructions to them on preparing the cocaine for shipment to New York City via automobile, and planned to pay the travel expenses of a driver.

After returning to California, defendant continued his preparations. On May 17, he told Freddy Lasso that he would put 21 kilograms of cocaine in the white car for Hans Vargas (a Chicanero employee) to pick up. Defendant later reassured Freddy Lasso that he would “dress up the girls” (prepare the cocaine) for delivery to New York. Freddy Lasso told him to “fill up the space” in the blue and green cars.

On May 19, task force members stopped Vargas just outside the San Francisco airport; after a brief search of his white Mazda, no drugs were located and Vargas was sent on his way. Vargas parked in the airport garage and entered the terminal, and upon his return to the car, the task force team intervened, finding 21 kilograms of cocaine in hidden compartments in the panels of the car’s rear doors. Later that evening, task force members stopped a blue Volvo which had been left at a suburban San Francisco shopping center by defendant’s employee Victor Hugo. At the time of the stop, Chicanero employee Hector Rivas was driving the Volvo. Thirty kilograms of cocaine were found in a hidden trap behind the dashboard. Following

1. On May 13, a call received at W & G confirmed that defendant had just arrived in New York from San Francisco. During the call, Freddy Lasso informed a worker in the organization of defendant’s hotel room and telephone number. On May 16, task force members followed defendant, Louis Grueso and a third individual from W & G to the United Airlines Terminal at JFK. Two agents purchased tickets and took the same flight as defendant to San Francisco.

these setbacks, defendant and Freddy Lasso spoke by telephone and made plans to move their drug inventory to a new location.

The task force learned that the cohorts stored a large amount of cocaine in a “stash house” in Daly City, outside San Francisco. On the night of June 15, 1994, police recovered 23 kilograms of cocaine and more than \$433,000 from the stash house. Apparently, defendant and an underling entered the garage at the stash house while task force agents were inside; defendant later told Freddy Lasso that he saw some strange people in the house and left. Defendant said that he doubted whether the people he had seen in the house were police. Grueso angrily told defendant that he had 48 hours to get him “that material.” Freddy Lasso told defendant to “load up” a car with drugs bound for New York as soon as possible.

Defendant was arrested in California in September 1994; Freddy Lasso and other conspirators were also arrested. On October 15, 1994, defendant, Freddy Lasso, Grueso, Lasso’s brothers Raul and Nelson Lasso, and others were charged in a special narcotics indictment with second degree conspiracy.² Defendant, Freddy Lasso and Grueso were also charged, acting in concert, with three counts of first degree criminal possession of a controlled substance (Penal Law § 220.21 [1]) for the separate quantities of drugs seized in California.³

At a joint trial of defendant, Freddy Lasso, Grueso and Raul Lasso, the court addressed the issue of territorial jurisdiction:

“I have had further time to reread *People v. McL[a]ughlin*, which I believe is 80 NY 2d. The way I read that Court [of] Appeals case, the question of the territorial jurisdiction has to be raised or as the Court says, ‘put in issue in front of the jury.’

“My interpretation would be that the same way you put in issue justification, voluntariness of [a] statement, something has to be raised about it and then I give it.

“So far in this case no one has raised anything about territorial jurisdiction . . .

2. Freddy Lasso and Raul Lasso were additionally charged with first degree criminal sale of a controlled substance and first degree criminal possession of a controlled substance for a sale of three kilograms of cocaine to another individual on June 6, 1994.

3. Prior to trial, counsel for Freddy Lasso moved to dismiss for lack of territorial jurisdiction. That motion, which defendant did not join, was denied.

“So what I’m saying to you, if you disagree with my interpretation of 80 NY 2d, *People v. McL[a]ughlin*, let me know, but if you take that in combination with all the other law and charge, it has to be raised as a jury question, the same way voluntariness can be raised if there were questions about it at the time and then I charge the jury.

“I guess I’m talking to myself. So I’ll end the conversation with myself and I think that [it] hasn’t been raised yet, unless the [d]efense either are putting on a case, brings something out in cross-examination, I don’t believe I need to charge it. If anyone wants to address that—

“[Counsel for defendant]: Judge, we still have [a police witness] on cross-examination. It can be brought out during cross-examination.

“THE COURT: You hear what I just said? Unless it’s raised as an issue. I have the case right here. I’m sure you all read it. They said if it’s disputed, if it’s put in issue at trial. I think all [d]efense counsel knows where they’re going.

“Is anyone putting it in issue, that’s my question.”

After further discussion, counsel for Freddy Lasso stated that jurisdiction “will be put in” issue, and asked for time to read the *McLaughlin* decision.

Subsequently, the court proposed to submit six interrogatories to the jury, two for each possession count, under two territorial jurisdiction sections: CPL 20.20 (1) (a) (jurisdiction established when conduct is committed in New York sufficient to establish an element of the offense) and CPL 20.20 (1) (c) (jurisdiction established when conduct is committed in New York sufficient to establish a conspiracy to commit the offense). Counsel for defendant stated “We never asked for it. [Counsel for Grueso] and myself never asked for it.” Counsel for Grueso then stated:

“I will speak on behalf of all the defendants. We had a lengthy discussion this morning after your Honor gave us copies of the proposed charge with the interrogatories. After reviewing that with counsel and the defendants, the defendants have agreed to withdraw the request for territorial jurisdiction.”

The trial court, as requested by defendants, did not submit the interrogatories. Rather, the court instructed that to convict on drug possession, the jury had to find that the defendants committed the elements of that crime in the County of Queens, in New York City, and in the State of California. The court further advised the jury, without objection by defense counsel, that

“[y]ou should be aware that I have referred to many of the alleged overt acts as telephone conversations. The law in this regard says under Article 20.60 of the Criminal Procedure Law, ‘[a]n oral or written statement made by a person in one jurisdiction to a person in . . . another jurisdiction by means of telecommunications is deemed to be made in each such jurisdiction.’ ”

Defendant was convicted of three counts of first degree criminal possession of a controlled substance, as well as one count of conspiracy in the second degree, and was sentenced as a second felony offender to an aggregate term of 35 years to life. The Appellate Division affirmed defendant’s convictions, concluding that territorial jurisdiction over the possessory offenses had been established under CPL 20.20 (1) (a) in that defendant’s telephone conversations with his New York-based accomplices were deemed New York conduct sufficient to establish an element of the offense. Defendant’s cohorts in the conspiracy were also convicted as charged (*see People v Lasso-Reina*, 305 AD2d 121 [1st Dept 2003], *lv denied* 100 NY2d 595 [2003]; *People v Camacho*, 262 AD2d 238 [1st Dept 1999], *lv denied* 93 NY2d 1015 [1999]; *People v Lasso*, 268 AD2d 313 [1st Dept 2000]).

As defendant was charged with conspiracy, not only to possess drugs but also to transport them to New York, we conclude that the most logical basis for New York’s assertion of jurisdiction over defendant is through that very conspiracy—occurring in this state—to commit the possessory offenses (*see* CPL 20.20 [1] [c]). Without reaching the alternative basis for jurisdiction under CPL 20.20 (1) (a), we affirm based on CPL 20.20 (1) (c).

Discussion

This case comes to us in a somewhat unusual posture, in that at trial, defendant never moved for a trial order of dismissal (CPL 290.10 [1]) on the ground that the People failed to prove jurisdiction, and rejected the court’s offer to place the interrogatories before the jury. Rather, defendant relinquished his opportunity to hold the People to their burden of proof, and did

not preserve his current contention that the jury should have decided whether the People proved jurisdiction beyond a reasonable doubt. That claim is not reviewable in this Court (*see e.g. People v Gray*, 86 NY2d 10, 22 [1995]).

[1] *People v Greenberg* (89 NY2d 553 [1997]) does not mandate a different conclusion. In *Greenberg*, a case implicating venue concerns, the People contended that the defendant waived his claim of defect by failing to object pretrial to the county of prosecution. We disagreed, holding that, because the defendant was tried without a jury, it was sufficient that defense counsel alerted the court at the close of the People's case to the People's alleged failure to establish venue. We also reiterated the distinction between venue and territorial jurisdiction, observing that "venue issues—which relate only to the proper place of trial, rather than to the power of the court to hear and determine the case—are waivable. Failure to request a jury charge on venue thus amounts to waiver" (*Greenberg*, 89 NY2d at 556 [citation omitted and emphasis added]). Implicit in *Greenberg* was our conclusion that, although a defendant's failure to request a jury charge on territorial jurisdiction amounts to waiver of a jury charge claim, that failure does not amount to waiver of the fundamental question whether—as a matter of law—this State has the power to hear the case.

Indeed, territorial jurisdiction implicates the State's inherent authority to prosecute and punish a suspect for alleged criminal conduct, and thus we address the law question whether, in the circumstances presented here, New York was vested with that power in the first instance (*see People v McLaughlin*, 80 NY2d 466, 470-472 [1992]).

At common law, it was settled that jurisdiction over a felony offense was vested only in the state where the felony was completed (*see People v Kassebaum*, 95 NY2d 611, 617 [2001], citing *People v Werblow*, 241 NY 55, 60 [1925]). While long accepting this principle as a jurisprudential underpinning, we have nevertheless recognized its substitution by statutes that have broadened the scope of territorial jurisdiction (*see Kassebaum*, 95 NY2d at 617, quoting *People v Stokes*, 88 NY2d 618, 624 [1996]). Our statute, CPL 20.20, has codified the general principle that, for New York to exercise criminal jurisdiction, some alleged conduct or a consequence of that conduct must have occurred in the state. The People at trial claimed jurisdiction both under CPL 20.20 (1) (a) and CPL 20.20 (1) (c).

[2] Without reaching CPL 20.20 (1) (a), we conclude that territorial jurisdiction over the possessory offenses in this case was established under CPL 20.20 (1) (c), which provides that

“a person may be convicted in the criminal courts of this state of an offense defined by the laws of this state, committed either by his own conduct or by the conduct of another for which he is legally accountable pursuant to section 20.00 of the penal law, when:

“1. Conduct occurred within this state sufficient to establish: . . .

“(c) A conspiracy or criminal solicitation to commit such offense, or otherwise to establish the complicity of at least one of the persons liable therefor; provided that the jurisdiction accorded by this paragraph extends only to conviction of those persons whose conspiratorial or other conduct of complicity occurred within this state” (CPL 20.20 [1] [c]).

Plainly, jurisdiction over an offense exists based on a conspiracy occurring in New York to commit that offense. Further, jurisdiction exists only for those defendants whose criminal acts in furtherance of the conspiracy occurred in New York. Here, the question is whether there was evidence of defendant’s conduct in New York sufficient to establish his conspiracy to commit first degree criminal possession of a controlled substance.⁴ We conclude that there was.

Defendant was charged with and convicted of second degree conspiracy, and makes no claim that New York lacked jurisdiction over that offense. Indeed, he acknowledges that the conspiracy alleged was broader than the possession counts; in his brief, he admits that the conspiracy as set forth in the indictment “charged not only the possession, but the ‘transportation

4. “A person is guilty of conspiracy in the second degree when, with intent that conduct constituting a class A felony be performed, he agrees with one or more persons to engage in or cause the performance of such conduct” (Penal Law § 105.15). At the time of defendant’s crimes, a person was guilty of criminal possession of a controlled substance in the first degree when he knowingly and unlawfully possessed one or more preparations, compounds, mixtures or substances of an aggregate weight of four ounces or more containing a narcotic drug (former Penal Law § 220.21 [1]). Only jurisdiction is disputed by defendant, not sufficiency of the evidence.

of multiple kilograms of cocaine from the San Francisco, California area to New York City.’ ”⁵

With respect to possessory crimes, the Legislature has defined criminal possession in terms of dominion and control, and unlawful possession is a continuing offense (Penal Law § 10.00 [8]; see *Matter of Johnson v Morgenthau*, 69 NY2d 148, 151-152 [1987]). In this case, the jury concluded based on ample evidence, uncontested by defendant on appeal, that defendant and his cohorts exercised dominion and control over large quantities of cocaine in California on three separate occasions between mid-May and June 15, 1994 (see generally *People v Fuente*, 79 NY2d 561, 574 [1992] [observing that a defendant may constructively possess drugs by exercising dominion and control over them through his authority over the person who physically possesses them, or through his access to or control over the place where they are kept]). Prior to and during that period, defendant and his cohorts were engaged in an ongoing plot to bring that cocaine, located in California, to New York.⁶

Two facts make a clear case for jurisdiction to prosecute defendant under CPL 20.20 (1) (c): first, defendant was physically present in New York for some of the conspiratorial conduct on which jurisdiction is predicated; and second, the drugs in question were to be shipped to New York. Defendant flew to New York in May, and while in this state, he made out-of-state phone

5. Defendant posits that New York established jurisdiction over the second degree conspiracy count under CPL 20.20 (2) (d), which confers jurisdiction over a conspiracy where, “[e]ven though none of the conduct constituting such offense may have occurred within this state: . . . (d) The offense committed was conspiracy to commit a crime within this state and an overt act in furtherance of such conspiracy occurred within this state.” (CPL 20.20 [2] [d] [emphasis added].) The dissent also appears to agree that “[t]erritorial jurisdiction over conspiracy was established. That issue is not disputed in this case” (dissenting op at 324). Notwithstanding a CPL 20.20 (2) (d) analysis, the question before us is whether, under CPL 20.20 (1) (c), there was *conduct occurring in New York* sufficient to establish a conspiracy to commit the substantive offense of first degree criminal possession of a controlled substance. If there was such New York conspiratorial conduct, then jurisdiction over the possession is established.

6. The sufficiency of the proof of first degree criminal possession is not before us; nor do we rely on *Fuente* for the proposition that defendant constructively possessed drugs *in New York*. Constructive possession occurring within New York’s physical boundaries is simply not required to assert jurisdiction under CPL 20.20 (1) (c).

calls to underlings, met with New York cohorts and conspired to transport cocaine here.⁷

Defendant contends that his telephone calls from California to New York counterparts amount merely to conduct having some “nexus” to this state, not conduct occurring within this state. However, under CPL 20.60 (1), defendant’s telephonic statements to his accomplices here are deemed to be New York conduct (*see People v Giordano*, 87 NY2d 441, 449 [1995] [“the Criminal Procedure Law provides that oral statements made over the telephone are deemed to be statements made in both the sending and receiving” jurisdictions pursuant to CPL 20.60 (1)]). In those calls, he spoke with Freddy Lasso and others concerning their joint efforts to move drugs from California to New York.

Defendant had conspiratorial telephone conversations with Freddy Lasso concerning the 21 kilograms of cocaine recovered on May 19 from the white Mazda. They discussed the fact that these drugs had been removed from a stash house, that the white car was ready for Hans Vargas to pick up, that police had searched Vargas’s car and that Freddy Lasso directed Vargas to return to the car from the airport terminal. Defendant and Freddy Lasso also engaged in several telephone conversations regarding the 30 kilograms of cocaine seized from the blue Volvo on May 19. Defendant told Lasso that these drugs had been removed from a stash house and that he was waiting for Victor Hugo to park the car at the shopping center and leave the keys so that the car could be picked up. Additionally, defendant arrived at the Daly City stash house on June 15, while agents were executing a search warrant and recovering 23 kilograms of cocaine and more than \$433,000. The next day, defendant had several telephone conversations with Freddy Lasso and Grueso about the details of the police raid, defendant’s narrow escape from the house, and the loss of the cocaine and cash.

Thus, while he was present in this state, both physically and by telephone defendant conspired with his accomplices and engaged in overt acts in furtherance of their possession of significant quantities of cocaine and their plan to transport the cocaine to New York.

7. This would be a harder case if neither physical presence nor plans to bring the drugs to this state were evident and the only connection between defendant’s criminal conduct and New York consisted of telephone calls in which he spoke from California to his New York accomplices and coconspirators. That case is not before us and we express no opinion on it.

Relying on *People v Muro* (223 AD2d 563, 564 [2d Dept 1996]), defendant further maintains that New York's jurisdiction over the conspiracy count cannot be "bootstrapped" over the possessory offenses because jurisdiction must be independently established for each of the three drug possession counts. *Muro* does not support defendant's claim. There, the People conceded that the court's charge to the jury incorrectly instructed that a finding of geographic jurisdiction on one count effectively vested Nassau County with jurisdiction over all counts charged in the indictment. In this case, however, compelling evidence of a conspiracy tied defendant to each of the three possession counts.

A few responses to the dissent are in order. First, because we conclude that jurisdiction is predicated on a conspiracy in New York to possess cocaine, we need not consider whether jurisdiction might also be established under CPL 20.20 (1) (a) or any other theory (*see Kassebaum*, 95 NY2d at 621).⁸ We are bound, of course, by principles of judicial restraint not to decide questions unnecessary to the disposition of the appeal.

Second, at trial, defendant never alleged any constitutional violation, federal or state, concerning his prosecution by New York (*see* dissenting op at 321-322). Defendant's references in his brief to article I, § 2 of the New York State Constitution are offered in support of his claim that "New York courts have given the jurisdictional exceptions in Criminal Procedure Law Article 20 'a restrictive interpretation and operation' " (quoting Bellacosa, Practice Commentary, McKinney's Cons Laws of NY, Book 11A, CPL 20.40 [1981]). Nowhere in his brief does defendant contend that, on a constitutional ground, the Legislature lacked the power to vest jurisdiction in the manner it has chosen. The dissent's assertions that defendant's convictions violate article III, § 2 of the Federal Constitution, the Sixth Amendment and article I, § 2 of the State Constitution are premised on theories that were simply not raised by defendant at trial—or indeed in this Court.

8. The dissent would require that conduct establishing at least an element of the offense, or the entire offense, occur in New York (dissenting op at 327). Yet the relevant statutory provisions are set forth in the disjunctive: CPL 20.20 (1) (a) requires that an element of the offense occur in New York, but CPL 20.20 (1) (c), on which our holding is grounded, does not. Similarly, the dissent concludes that despite CPL 20.60 (1), defendant's telephone calls to New York did not establish an element of possession here (*see* dissenting op at 329). Again, the interstate calls to New York, deemed to have occurred here by statute, aid in establishing jurisdiction *over the conspiracy* to commit the possessory offense here.

Third, we perceive no “extension” of *Kassebaum* in our ruling (*see* dissenting op at 324-325). In *Kassebaum*, territorial jurisdiction over the crime of attempted criminal possession of a controlled substance was established under CPL 20.20 (1) (a)—a different subsection than that discussed here.

Finally, at bottom, our dissenting colleague maintains that our holding is correct only if the possession offense—the object of the conspiracy—is actually committed in New York (dissenting op at 330). The Legislature, however, concluded otherwise. In this coast-to-coast drug trafficking operation, defendant conspired in New York with his New York cohorts to bring cocaine to New York, thus affording a basis for the assertion of jurisdiction under our statutory scheme to prosecute him, jointly with his coconspirators, here. Defendant’s contention that his trial attorney was ineffective lacks merit.

Accordingly, the order of the Appellate Division should be affirmed.

G.B. SMITH, J. (dissenting). Because the Constitution of the United States, the Constitution of the State of New York and the laws of the State of New York do not permit a person to be found guilty of criminal possession of a controlled substance on a theory of constructive possession rather than actual possession where both the substance and the defendant are in California, I dissent.

There is no question that defendant was properly convicted of conspiracy. It also appears clear that the defendant could have been found guilty of attempted possession of a controlled substance. Defendant, however, was not found guilty of attempted possession but of constructive possession. The People’s theory is that even though the controlled substances that defendant was found guilty of possessing were never in New York, one element of possession (knowledge) occurred in New York. The People argue further that the drugs were constructively possessed in New York since the drugs were bound for New York and (1) defendant, in California, had conversations with persons in New York, and (2) on one day when he was in New York, defendant had conversations in New York with persons in New York and California, thus exercising dominion and control over those persons.

Facts

At trial, the People offered evidence that defendant, Alvaro Carvajal, was a member of a Colombian drug trafficking opera-

tion that brought cocaine from San Francisco to New York in 1993 and 1994. Defendant's conviction was the result of a multistate investigation of a drug conspiracy involving parties in San Francisco, New York and Chicago. The New York State Drug Enforcement Task Force began the investigation in 1993 and ultimately focused on a Queens garage called W & G Auto Repair, which was operated by Freddy Lasso (Lasso). Through wiretaps, it was determined that Lasso headed the New York operation with Louis Grueso Camacho (Grueso). The transportation coordinator for the drug network was known as Chicanero, an alias, who was neither arrested nor identified after the arrests of the other members of the conspiracy. Defendant resided in Daly City, California, a suburb of San Francisco.

The possession counts against defendant were for the following: (1) on May 19, 1994, a white Mazda bearing Pennsylvania license plates, driven by Hans Vargas, was stopped and searched by California Deputy Sheriff Gilbert Rodriguez and 21 kilograms of cocaine were found; (2) on May 19, 1994, Special Agent Karl Nichols of the Drug Enforcement Agency (DEA) saw Hector Rivas (Rivas) and Sylvia Jeffries get into a blue Volvo with Pennsylvania plates, a search of which later revealed 30 kilograms of cocaine; and (3) on June 15, 1994 a search of a California stash house, which defendant controlled, revealed 23 kilograms of cocaine.

Phone calls between defendant and other members of the conspiracy were frequent. Defendant, from California, had most of his conversations about the status of the drugs and their shipment with Lasso. Lasso, from New York, originated the majority of the phone calls between the two. On April 13, 1994, Lasso called defendant twice to discuss the status of a shipment of drugs being driven by Hans Vargas (Vargas), who was delayed by his overheated car. On April 14, 1994, when Lasso called the defendant to discuss arrangements, defendant mentioned that Vargas had to be paid \$20,000 for his role in transporting drugs to New York, and Lasso told defendant of his plans to buy Volvos with hidden traps. On April 16, 1994, Lasso called defendant to discuss Omar Gonzalez returning from Chicago with drugs in a blue car, Vargas' payment and the possibility that Chicanero had stolen five kilograms of cocaine. On April 17, 1994, Lasso called defendant to discuss the narcotics exchange between Vargas and Gonzalez.

The cocaine that was seized and that forms the basis for the possession counts against defendant was the result of activities

occurring in May 1994. On May 17th, Lasso called defendant and told him Grueso wanted defendant to leave the white car the way it was and “fill up the space” in the blue and green cars. Lasso and defendant also discussed how many kilograms of cocaine should be put in each car. Later on May 17th, Lasso called defendant, and defendant told him he would put 21 kilograms of cocaine in the white car so Vargas could pick it up. Defendant also advised Lasso to tell Grueso he would try to send out the white, green and blue cars. On May 19th, Lasso called defendant and defendant assured him that all the narcotics had been removed from the “stash house.” Later on May 19th, Lasso called defendant and defendant told him that a woman may have taken the blue Volvo and Vargas was taking the white Mazda. Defendant again assured Lasso he removed the drugs from the stash house. After Vargas was initially stopped and searched on May 19th on his way to the airport in the white Mazda and no drugs were found, Lasso called defendant who told Lasso he would pressure Chicanero to get the Mazda. Lasso overruled this suggestion and Vargas continued to drive the Mazda until it was stopped and searched again. Twenty-one kilograms of cocaine were found. Law enforcement agents seized the drugs and car; however, Vargas was let go.

Lasso called defendant on May 20th to relay that Rivas was under investigation for being in the blue Volvo and that Chicanero was on his way to Los Angeles. Defendant told Lasso about the police raid of the stash house and Lasso suggested defendant rent an apartment “outside of town” to store the drugs until a worker arrived to retrieve them. Lasso and defendant spoke three more times on May 20th with defendant blaming Victor Hugo (Hugo) for the loss of the stash house and the blue and white cars.

Defendant also made a phone call from New York. On May 14, 1994, while visiting New York to get license plates, defendant used Lasso’s cellular phone to call Hugo in California to give directions to Hugo concerning his departure the following day. During the call, defendant requested that Chicanero get the keys to the blue car from Vargas and give them to Hugo. Defendant also told Chicanero that he was bringing license plates from New York and registration for the blue car with him. Defendant directed Chicanero to take the white car and also took responsibility for Vargas’ traveling expenses.

Defendant also called New York from California on several occasions. On May 17, 1994, defendant called Lasso to assure him

that he had prepared and checked the kilograms of cocaine that were to be sent to New York. On May 19, 1994, defendant called Lasso in New York to question whether Hugo had parked the blue Volvo containing 30 kilograms of cocaine at the Serramonte Shopping Center. Defendant told Lasso he was parked and waiting for Vargas to arrive so that they could do a "car switch" and Vargas could take the white Mazda. On May 20th, defendant called Lasso to say Hugo informed him that Chicanero had given the Mazda to Hugo. Defendant expressed concern about the drugs being removed from the stash house and told Lasso to speak with Grueso to get Chicanero to New York. Later on May 20th, defendant and Lasso expressed suspicion about Chicanero's account of the arrests and Lasso emphasized the importance of protecting the narcotics in the green car, which Vargas was driving east so the organization could break even despite the loss of the white Mazda and the blue Volvo.

Other accomplices called Carvajal in California to discuss shipments to New York. On May 17, 1994, Grueso called defendant and discussed Vargas' aborted trip in the white car and Chicanero's preparations for Vargas to, instead, drive the blue car. Defendant told Grueso that he would send the "lady" in the green car and Vargas in the blue car. He also promised to "bathe the girls," meaning he would remove the smell of narcotics from the car.

On June 15, 1994, after conducting surveillance of a house in Daly City, Deputy Sheriff Rodriguez and DEA Task Force Field Supervisor Mark Scheffler knocked on the door, which was answered by Jose Gonzalez. A search of the house revealed a large duffel bag with 23 kilograms of cocaine and, under a bed, a knapsack with \$433,070. Wiretaps revealed a conversation between Lasso and Grueso where Lasso relayed that defendant had called earlier to say he and Vargas had entered the garage to the stash house when they saw some strange people and left. Lasso told Grueso that the money in the house belonged to Tabla, another drug dealer. Defendant later told Lasso he let Gonzalez store money in the house in return for Gonzalez guarding the drugs. In another conversation, Grueso threatened defendant and told him he had 48 hours to get the drugs to New York. Defendant later spoke with Lasso and Lasso's brother about his observations of the stash house the night before. At the end of the day in another call, Lasso told defendant to "load up" a car and get the drugs to New York as soon as possible.

Defendant was arrested on September 24, 1994, in front of his house in Daly City, California. When defendant was

searched, among the items recovered were a business card for El Caney, Lasso's Queens restaurant; an El Caney Record Store business card; a W & G Auto Repair business card and three telephone books containing Chicanero's name and beeper number and Lasso's name and telephone number. A search of defendant's home found W & G Auto Repair business cards, a VISA credit card in Lasso's name and an El Caney Record Store American Express corporate credit card in Lasso's name. A search of W & G Auto Repair on October 3, 1994 found three cars with traps to conceal narcotics identical to hidden compartments in the blue Volvo seized on May 19th.

Defendant was convicted of conspiracy in the second degree and three counts of criminal possession of a controlled substance in the first degree. Defendant's sentence included 12¹/₂ to 25 years for conspiracy, to run concurrently with terms of 20 years to life on two possession counts, and a consecutive term of 15 years to life on the third possession count.

A Judge of this Court granted the defendant leave to appeal. On appeal, defendant challenges New York's exercise of territorial jurisdiction on the possession counts and argues that his counsel was ineffective. He contends that the convictions for criminal possession of a controlled substance should be reversed and the indictment as to those counts dismissed.

Discussion

The Federal and State Constitutions

In this case we address whether a New York criminal court lacked territorial jurisdiction, allegedly conferred under Criminal Procedure Law § 20.20, to prosecute defendant for three counts of criminal possession of a controlled substance in the first degree where the drugs and the defendant were located in California.

To begin with, the conviction of defendant for constructive possession here violates article III, § 2 of the Federal Constitution which reads in part:

“The Trial of all Crimes, except in Cases of Impeachment, shall be by Jury; *and such Trial shall be held in the State where the said Crimes shall have been committed*; but when not committed within any State, the Trial shall be at such Place or Places as the Congress may by Law have directed” (§ 2 [3] [emphasis supplied]).

The conviction also violates the Sixth Amendment to the Federal Constitution which reads in part: “In all criminal prosecutions, the accused shall enjoy the right to a speedy and public trial, by *an impartial jury of the State and district wherein the crime shall have been committed, which district shall have been previously ascertained by law . . .*” (emphasis supplied).

In New York, the right to a jury trial guaranteed by article I, § 2 of the State Constitution encompasses the right to be tried in the county where the crime occurred (*People v Ribowsky*, 77 NY2d 284, 291-292 [1991]; *People v Moore*, 46 NY2d 1, 6-7 [1978]; *Matter of Murphy v Extraordinary Special & Trial Term of Supreme Ct.*, 294 NY 440, 458 [1945]; *Mack v People*, 82 NY 235 [1880]). To uphold this conviction is to violate that principle.

It should be clear what the dissent is saying with respect to territorial jurisdiction and preservation. Because territorial jurisdiction goes to the authority of the court to try a defendant for the particular crimes in issue, no preservation is necessary (*People v Patterson*, 39 NY2d 288, 295 [1976] [“A defendant in a criminal case cannot waive, or even consent to, error that would affect the organization of the court or the mode of proceedings proscribed by law”], citing *Cancemi v People*, 18 NY 128, 138 [1858]).

Jurisdiction Pursuant to Criminal Procedure Law § 20.20 (1) (a)

In the case at bar, the People claim the State has territorial jurisdiction pursuant to CPL 20.20 (1) (a) in that an element of the possession crime, that is knowledge, occurred in New York. On the jurisdictional issue, the trial court stated:

“I’ve been with this case for six weeks. The issues have been raised. It is not a secret anymore. We had a conversation, all counsel were present, we agreed if jurisdiction was raised it was not venue, which is geographical, it was territorial and the only counts it applied to were two, three and four. . . .

“The People’s allegations here are that—they’re relying on 20.20 1-A and, of course, [20.60 (1)], that the element of the crime occurred in New York, that is Freddy Lasso, Alvaro Carvajal and Louis Grueso constructively possessed the narcotics seized in California. That’s as simple as I can get.”

In addition, the People contend that the defendant either waived or abandoned any argument as to jurisdiction. The defendant’s argument here is that there was no jurisdiction in New York of the offense of criminal possession of a controlled substance.

Criminal Procedure Law § 20.20 (1) (a) states:

“§ 20.20 Geographical jurisdiction of offenses; jurisdiction of state

“Except as otherwise provided in this section and section 20.30, a person may be convicted in the criminal courts of this state of an offense defined by the laws of this state, committed either by his own conduct or by the conduct of another for which he is legally accountable pursuant to section 20.00 of the penal law, when:

“1. Conduct occurred within this state sufficient to establish:

“(a) An element of such offense”

The elements of criminal possession of a controlled substance are the knowing and unlawful possession of four or more ounces of a controlled substance within the State of New York. Neither the defendant nor the drugs were present in New York at the time of defendant’s apprehension. As a result of the lack of obvious jurisdiction, New York has encroached upon California’s jurisdiction.

“The general rule in New York is that, for the State to have criminal jurisdiction, either the alleged conduct or some consequence of it must have occurred within the State” (*see People v McLaughlin*, 80 NY2d 466, 471 [1992] [citations omitted]).

“Jurisdiction in this sense is a question of the sovereign’s power to prosecute and punish an accused for conduct which is allegedly criminal. Because the State only has power to enact and enforce criminal laws within its territorial borders, there can be no criminal offense unless it has territorial jurisdiction” (*see id.* [citations omitted]).

Ordinarily, jurisdiction is not an issue, but when it is, New York State must establish that it had territorial jurisdiction beyond a reasonable doubt (*People v McLaughlin*, 80 NY2d at 469, 471-472).

The Appellate Division ruled and the People contend here that defendant waived the issue of jurisdiction. Jurisdiction, however, can never be properly waived. “[T]erritorial jurisdiction . . . goes to the very essence of the State’s power to prosecute and . . . may never be waived . . .” (*id.* at 471). Either a court has the authority to hear a case or it does not.

The Appellate Division concluded that the “evidence amply supports the People’s claim that an element of the crime occurred in this state” (14 AD3d 165, 170 [2004]). The Appellate Division then goes into a discussion of constructive possession without saying what the element is. “Jurisdiction concerns the power of the State to bring the criminal proceeding, not the factual elements of the crime which must be proven for a conviction” (*People v McLaughlin*, 80 NY2d at 472).

The majority states, “Here, the question is whether there was evidence of defendant’s conduct in New York sufficient to establish his conspiracy to commit first degree criminal possession of a controlled substance.” (Majority op at 313.) The majority concludes that there was conduct in New York that gave New York jurisdiction over the possession crimes.

Territorial jurisdiction over conspiracy was established. That issue is not disputed in this case. Territorial jurisdiction was not established over criminal possession of a controlled substance when the substance never reached New York or the hands of the defendant in New York or a person or area in New York that defendant exercised dominion or control over. Unlike *People v Stokes*, where the conviction for felony murder was upheld even though the underlying offense was committed in another state, in this case, we have two separate crimes, conspiracy and criminal possession of a controlled substance, in which New York must establish territorial jurisdiction (*see* 88 NY2d 618, 623-625 [1996]).

People v Kassebaum and the Current Possession Counts

While the majority declines to discuss the applicability of CPL 20.20 (1) (a) to this case and concludes that *People v Kassebaum* (95 NY2d 611 [2001]) does not apply because it discusses “CPL 20.20 (1) (a)—a different subsection than that discussed here” (majority op at 317), that section and jurisdiction of the possession offenses was applied by the trial court and is a major contention of the People on this appeal. The fact that the majority does not discuss CPL 20.20 (1) (a) in no way removes it from this case.

To uphold a conviction for criminal possession of a controlled substance based upon constructive possession of drugs found in California where the defendant was also located in California would be an extension of this Court’s decision in *People v Kassebaum* (95 NY2d 611 [2001]). In that case, defendant, whose role was to test the purity of the heroin sought to be brought to New

York, met with the leader of the conspiracy in Brooklyn, New York. Subsequently, defendant was arrested in Massachusetts and convicted in New York for conspiracy in the second degree and attempted criminal possession of a controlled substance in the first degree based upon the conduct of an accomplice (the leader of the conspiracy) in New York in collecting money for the sale of drugs, making travel arrangements for defendant and directing the activities of defendant in Massachusetts. This Court noted in *Kassebaum* that the “issue under CPL 20.20 (1) (a) is whether the People established that defendant and his accomplices engaged in conduct *within New York* sufficient to establish an element of attempted criminal possession of a controlled substance as required by the statute.” We stated:

“Defendant’s reliance on *Cullen* [*People v Cullen*, 50 NY2d 168 (1980)] is misplaced because none of the individuals held criminally accountable in *Cullen* were present in the prosecuting jurisdiction when the offense was consummated. In addition, *Cullen* stands for the proposition *that a defendant does not manifest the knowledge element necessary for criminal possession of a controlled substance until he or she takes possession of the narcotic*. This holding does not necessarily apply to an attempt offense which requires proof of a different *mens rea*—the intent to accomplish a criminal objective. Here, proof was offered that defendants engaged in substantial conduct in New York that manifested an intent to obtain heroin and return with it to New York. Standing alone, this conduct did not rise to a level sufficient to support criminal prosecution for attempted possession of a controlled substance because defendants’ conduct did not constitute an attempt until the meeting in the Boston hotel room when defendants’ conduct came ‘dangerously near’ criminal possession of heroin (*see, People v Acosta, supra*, 80 NY2d 665). Nonetheless, the conduct committed in New York evidenced defendant’s intent sufficiently to establish the jurisdictional predicate underlying the prosecution under the CPL 20.20 (1) (a) element requirement.” (*Id.* at 620-621 [emphasis supplied].)

Thus, *Kassebaum* permitted the prosecution and conviction in this state of an attempt to commit the crime of criminal posses-

sion of a controlled substance, not the completed crime of criminal possession.

Defendant's argument is that while a prosecution and conviction for the attempted possession of a controlled substance was held proper in *Kassebaum*, no actual or constructive possession occurred in that case in New York and, in that respect, a conviction of defendant in New York for the completed crime of possession would be an extension of *Kassebaum*. The Appellate Division agreed with this argument with respect to the crime of actual rather than constructive possession. The Appellate Division stated:

“While in *People v Kassebaum* (95 NY2d 611 [2001], *cert denied* 532 US 1069 [2001]), the Court of Appeals upheld the conviction of the defendant for *attempted* possession of narcotics that were located in Massachusetts, there is an important distinction between attempted possession and possession. The *attempt* crime includes as an element that the defendant ‘engag[ed] in conduct which tends to effect the commission of such crime’ (Penal Law § 110.00); therefore, because the defendant in *Kassebaum* had engaged in conduct in New York that manifested an intent to obtain heroin and return with it to New York, the People successfully established that an element of the crime had occurred in this state (95 NY2d at 621).” (14 AD3d at 170.)

To uphold the conviction of the defendant for criminal possession of a controlled substance in New York, the Appellate Division did not rely on *Kassebaum* but rather relied on the doctrine of constructive possession.

Jurisdiction Pursuant to Criminal Procedure Law § 20.20 (1) (c) and Constructive Possession

The People and the majority assert that territorial jurisdiction was obtained pursuant to CPL 20.20 (1) (c).¹ That section provides that

“a person may be convicted in the criminal courts of this state of an offense defined by the laws of this state . . . when:

1. The majority states, “[B]ecause we conclude that jurisdiction is predicated on a conspiracy in New York to possess cocaine, we need not consider whether jurisdiction might also be established under . . . any other theory.” (Majority op at 316.)

“1. Conduct occurred within this state sufficient to establish . . .

“(c) A conspiracy or criminal solicitation to commit such offense, or otherwise to establish the complicity of at least one of the persons liable therefor; provided that the jurisdiction accorded by this paragraph extends only to conviction of those persons whose conspiratorial or other conduct of complicity occurred within this state”

The position of the majority is that since there was evidence of a conspiracy to transport drugs to New York and since defendant made phone calls from New York to other conspirators in California, Supreme Court acquired jurisdiction to prosecute the crimes of conspiracy *and* criminal possession of a controlled substance. Nothing in the language of CPL 20.20 (1) (c) supports this interpretation. Moreover, the fact that the crime of criminal possession of a controlled substance was never completed here (the drugs and the defendant were in California at the time that the drugs were seized) necessarily prevents New York from exercising jurisdiction over the crime of criminal possession of a controlled substance pursuant to CPL 20.20 (1) (c). Here, Supreme Court tried defendant for criminal possession of a controlled substance, a crime that was never committed in New York. No previous case has held, as the majority does, that a criminal court can exercise jurisdiction over a crime that never actually occurred in New York.

Relying on a constructive possession theory, the People argued that defendant committed three counts of criminal possession of a controlled substance in the first degree. Any discussion of constructive possession in a criminal law context necessarily starts with the New York Penal Law.

Under Penal Law § 10.00 (8), “‘[p]ossess’ means to have physical possession or otherwise to exercise dominion or control over tangible property.” With respect to the phrase “dominion or control,” this Court stated in *People v Manini* (79 NY2d 561 [1992]) that:

“In New York, the rule has long been that to support a charge that a defendant was in constructive possession of tangible property, the People must show that the defendant exercised ‘dominion or control’ over the property by a sufficient level of control *over the area in which the contraband is*

found or over the person from whom the contraband is seized” (*Manini*, 79 NY2d at 573 [citations omitted and additional emphasis added]).

It is clear that no New York trial court could acquire jurisdiction over the three counts of criminal possession because no such crime occurred in New York. In order for criminal possession of a controlled substance, based on a theory of constructive possession, to occur, defendant had to exercise dominion or control over (1) an area, located in New York, where controlled substances, weighing four ounces or more, were found, or (2) a person, located in New York and actually in possession of controlled substances weighing four ounces or more, from whom the controlled substances were seized (*see* Penal Law § 220.21 [1]; *Manini*, 79 NY2d at 573-574). Defendant never exercised that sort of dominion or control. The controlled substances at issue were seized in California, not New York, from persons who were in California. Moreover, at the time of the seizure, defendant was in California. Put another way, the crime of criminal possession of a controlled substance never occurred in the State of New York. As such, no such offense occurred. Therefore, no jurisdiction over the crime can be exercised.²

People v Fuente (79 NY2d 561 [1992]) is a leading case on the theory of constructive possession as it pertains to drug possession offenses. In that case, this Court found that Fuente was in constructive possession of drugs. There, cocaine was seized from a van occupied by two of Fuente’s codefendants. The cocaine was seized in New York. Telephone conversations had been intercepted in which it was established that the cocaine was being transported at the direction of Fuente and was for Fuente’s customers. Moreover, Fuente was in a car following closely behind the van from which the cocaine was seized and was stopped by the police a short distance from where the van was stopped.

Similarly, the companion case to *People v Fuente*, *People v Manini* (79 NY2d 561 [1992]), does not support the People’s case and should be decisive in rejecting the People’s claim. Manini was a California resident who sold drugs to persons in New York. In June of 1988, a man named Paige obtained nine ounces of cocaine from Manini in California “on credit” (*id.* at 565).

2. On these facts, California could acquire jurisdiction over and prosecute defendant for drug possession. A drug possession crime was actually committed there.

Paige flew to New York with four ounces of cocaine and was arrested with another person as they left the Rochester, New York airport. Manini was indicted for the criminal possession of cocaine carried by Paige in New York. “The People acknowledge[d] in *Manini* that constructive possession is usually established by showing that a defendant exercised dominion and control over the place where contraband was seized or over the person who actually possessed the property” (79 NY2d at 572-573). The People’s argument, however, was that Manini retained a “continuing possessory interest” and thus constructively possessed the property (*id.* at 573). This Court rejected that argument. Thus, Manini, a California resident, could not constructively possess, from California, drugs possessed by another in New York. Neither *People v Manini* nor *People v Fuente* supports the position of the People or of the majority here.

Relying on CPL 20.60 (1), the People, the lower courts and the majority argue that defendant, through his telephone statements regarding the conspiracy, was present in New York (i.e., he engaged in New York conduct) while exerting dominion and control over the drugs and engaging in the other activities in furtherance of defendant’s possession of the controlled substances.³ The majority and lower courts further argue that, as a result of these activities, Supreme Court acquired jurisdiction over the drug possession counts.

Any reliance on CPL 20.60 (1), however, is inappropriate. Under CPL 20.60 (1), a defendant who, by making oral or written statements, reaches into a jurisdiction to commit a crime or an element of a crime, is “present” in that jurisdiction due to the fact that the oral or written statements are deemed to be conduct within that jurisdiction. However, CPL 20.60 (1) applies only to crimes that do not require defendant to be physically present within New York in order to commit the crime.⁴ Here, the criminal possession counts require knowing and unlawful possession of controlled substances in New York.

3. CPL 20.60 (1) provides that “[a]n oral or written statement made by a person in one jurisdiction to a person in another jurisdiction by means of telecommunication, mail or any other method of communication is deemed to be made in each such jurisdiction.”

4. To determine whether CPL 20.60 (1) applies, the court necessarily has to take the elements of the crime charged into account. Some examples of crimes where CPL 20.60 (1) has been held to apply are: (1) promoting gambling (*see, e.g., People v Giordano*, 87 NY2d 441 [1995]); (2) criminal sale of controlled substances (*see, e.g., People v Muniz*, 215 AD2d 881 [3d Dept 1995]); and (3) conspiracy (*see, e.g., the case at bar*).

The People's contention is that the controlled substances were constructively possessed in *New York*. The case went to the jury with an instruction that the controlled substances were constructively possessed in New York. Thus the trial court charged the jury, "That on or about May 19th, 1994, in the County of Queens, City of New York and State of California [*sic*], the defendants" constructively possessed cocaine.⁵

In summary, the controlled substances at issue were seized from persons and a house located in California, not recovered from an area or person located in New York. These drugs were never possessed in New York by defendant. Nor were they possessed within an area or by a person under defendant's dominion and control. Accordingly, the crime of criminal possession of a controlled substance never occurred within the territorial borders of New York. Thus, the trial court could not acquire jurisdiction over the crime.

By affirming the Appellate Division's holding that Supreme Court acquired territorial jurisdiction over the three criminal possession counts, the majority: (1) incorrectly credits the People's theory that defendant, under a constructive possession theory, committed the crime of criminal possession of a controlled substance in the first degree; and (2) incorrectly concludes that a New York criminal trial court can acquire jurisdiction over a criminal offense that was not actually committed in New York. The majority holds that "jurisdiction over an offense exists based on a conspiracy occurring in New York to commit that offense." (Majority op at 313.) This holding can only be correct if the possession offense which is the object of the conspiracy has been committed in New York and the defendant possessed drugs in New York. The majority's holding sets a dangerous precedent because it will allow a trial court to try a defendant for a completed crime where only an attempted crime or no crime has been committed.

Based on the foregoing, defendant's conviction on the drug possession counts should be vacated and the indictment on those counts dismissed.

5. The majority states, "Constructive possession occurring within New York's physical boundaries is simply not required to assert jurisdiction under CPL 20.20 (1) (c)." (Majority op at 314 n 6.) In this case, since the jury was charged that it had to find constructive possession in New York, in Queens County, if it did not so find, this conviction must be reversed.

Judges CIPARICK, ROSENBLATT, GRAFFEO, READ and R.S. SMITH concur with Chief Judge KAYE; Judge G.B. SMITH dissents in a separate opinion.

Order affirmed.

[845 NE2d 1243, 812 NYS2d 413]

In the Matter of NEW YORK CITY TRANSIT AUTHORITY et al.,
Respondents, v TRANSPORT WORKERS' UNION OF AMERICA,
LOCAL 100, AFL-CIO, et al., Appellants.

Argued November 15, 2005; decided December 20, 2005

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered December 20, 2004. The Appellate Division affirmed an order and judgment (one paper) of the Supreme Court, Kings County (Lawrence Knipel, J.), which had (1) granted the petition to vacate an arbitration award that reduced the penalty imposed by petitioner New York City Transit Authority on an employee from dismissal to a time-served suspension and directed petitioner to reinstate the employee to his former position without back pay, and (2) vacated the award.

Matter of New York City Tr. Auth. v Transport Workers' Union of Am., Local 100, AFL-CIO, 13 AD3d 542, reversed.

HEADNOTE

Arbitration — Award in Excess of Arbitrator's Powers — Employee Grievance Penalty Reduced

The arbitrator's decision to reduce the penalty imposed upon an employee of petitioner transit authority from termination to suspension and reinstatement to his former position with no back pay for his failure to provide a urine sample for a drug test was neither irrational nor did it exceed a specifically enumerated limitation on the arbitrator's power. The arbitrator was within his authority to determine that the employee's failure to provide a urine sample for a drug test was not a refusal, as outlined in the parties' collective bargaining agreement, when that employee reported for the exam and was prepared to provide a sample but claimed he was physically unable to. It was also within the arbitrator's power to fashion a remedy short of dismissal for what he found to be misconduct falling short of a refusal.

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AM JUR 2d, Alternative Dispute Resolution §§ 55, 56, 163,
191, 202, 243; AM JUR 2d, Labor and Labor Relations
§ 3042.

CARMODY-WAIT 2d, Arbitration §§ 141:40, 141:148, 141:229,
141:230.

NY JUR 2d, Arbitration and Award §§ 133, 160, 171, 206.

SIEGEL, NY PRAC § 602.

ANNOTATION REFERENCE

See ALR Index under Arbitration and Award; Labor and Employment.

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POINTS OF COUNSEL

Schwartz, Cure, Lichten & Bright, P.C., New York City (Arthur Z. Schwartz and Daniel R. Bright of counsel), for appellants. I. The lower courts impermissibly vacated the Franklin Woodruff arbitration award and expanded the narrow scope of judicial review of arbitral awards. (*Matter of United Fedn. of Teachers, Local 2, AFT, AFL-CIO v Board of Educ. of City School Dist. of City of N.Y.*, 1 NY3d 72; *Matter of New York State Correctional Officers & Police Benevolent Assn. v State of New York*, 94 NY2d 321; *Matter of Sprinzen [Nomberg]*, 46 NY2d 623; *Steelworkers v Warrior & Gulf Nav. Co.*, 363 US 574; *Rochester City School Dist. v Rochester Teachers Assn.*, 41 NY2d 578; *Matter of Local Div. 1179, Amalgamated Tr. Union, AFL-CIO [Green Bus Lines]*, 50 NY2d 1007; *Paperworkers v Misco, Inc.*, 484 US 29; *Maross Constr. v Central N.Y. Regional Transp. Auth.*, 66 NY2d 341; *Matter of Adelstein v Ortiz Funeral Home Corp.*, 75 AD2d 529; *Matter of Onteora Cent. School Dist. at Boiceville [Onteora Non-Teaching Empls. Assn.]*, 56 NY2d 769.) II. The lower courts erred by narrowly interpreting the decision-making authority conferred on the arbitrator by the contract. (*Maross Constr. v Central N.Y. Regional Transp. Auth.*, 66 NY2d 341; *Board of Educ., Bellmore-Merrick Cent. High School Dist., Nassau County v Bellmore-Merrick United Secondary Teachers*, 39 NY2d 167; *Matter of Associated Teachers of Huntington v Board of Educ., Union Free School Dist. No. 3, Town of Huntington*, 33 NY2d 229; *Matter of Local Div. 1179, Amalgamated Tr. Union, AFL-CIO [Green Bus Lines]*, 50 NY2d 1007; *Matter of Town of Callicoon [Civil Serv. Empls. Assn., Town of Callicoon Unit]*, 70 NY2d 907; *Matter of Rockland County Bd. of Coop. Educ. Servs. v BOCES Staff Assn.*, 308 AD2d 452; *Matter of Board of Educ. of Dover Union Free School Dist. v Dover-Wingdale Teachers' Assn.*, 95 AD2d 497; *Matter of Windsor Cent. School Dist. [Windsor Teachers Assn.]*, 306 AD2d 669.) III. The lower courts erred by vacating an arbitration award where the arbitrator properly applied the terms of the contract and did

not exceed the scope of his authority as conferred by the contract. (*Matter of United Fedn. of Teachers, Local 2, AFT, AFL-CIO v Board of Educ. of City School Dist. of City of N.Y.*, 1 NY3d 72.)

Office of the General Counsel, New York City Transit Authority, Brooklyn (*Robert K. Drinan* and *Martin B. Schnabel* of counsel), for respondents. The lower courts correctly determined that the arbitrator exceeded the contractual limitations on arbitral authority. (*Matter of Sprinzen [Nomberg]*, 46 NY2d 623; *Matter of Western Union Tel. Co. [American Communications Assn., C. I. O.]*, 299 NY 177; *Matter of Lange-Finn Constr. Co. [Joyce & Sons—Kramer & Sons]*, 50 AD2d 696; *Matter of Professional Trade Show Servs. v Licensed Ushers & Ticket Takers Local Union 176 of Serv. Empls., Intl. Union, AFL-CIO*, 262 AD2d 42.)

OPINION OF THE COURT

G.B. SMITH, J.

The issue here is whether the arbitrator's award was properly vacated. We conclude that it was not and reverse the order of the Appellate Division.

On September 14, 2001, Franklin Woodruff, who had been employed by the Transit Authority for 22 years, returned to his job as a stock worker after an absence due to an on-the-job injury to his fingers, arm and shoulder. Woodruff was out of work from July 31 to September 13, 2001.

Pursuant to Collective Bargaining Agreement (CBA) Policy/Instruction on Drugs and Controlled Substances ¶ 5.3.1, employees returning to work after 21 or more days off are required to take a drug-screening test by providing a urine specimen. It is undisputed that Woodruff reported to the Transit Authority Medical Assessment Center on September 14, 2001 and that he did not provide a sample. Woodruff states that he was unable to urinate. On October 9, 2001, Woodruff was evaluated by Dr. Avram Nemetz, who found no medical condition or history preventing Woodruff from urinating. On October 23, 2001, he received a disciplinary charge pursuant to CBA Policy/Instruction ¶ 6.2 which states that a refusal to take the required urine test is deemed an admission of improper use of controlled substances with a resultant dismissal. A hearing was held that same day. As mandated by the CBA, the hearing was step I of the grievance proceeding. The charge was sustained at the hearing and the hearing officer recommended dismissal. Pursuant to

section 6.1 (C) (10) of the CBA, the matter proceeded directly to a step III hearing.

On November 5, 2001, at a step III disciplinary decision, the charge and penalty were sustained. Woodruff requested arbitration. Under the CBA, the arbitrator had the authority to resolve all grievances so long as he did not change the terms of the CBA. After a hearing, the arbitrator noted that Woodruff was over 60 years of age and had been employed by the Authority for over 22 years, always in a non-safety-sensitive position. At the time of the grievance, Woodruff was a stock worker and the arbitrator concluded that the employee had “constructively failed to comply with the legitimate request by the Authority for a urine test” but that “the peculiar facts of this case do not indicate that this becomes the equivalent of a failure of a drug test.” The arbitrator then reduced the penalty from termination to suspension and reinstatement to the former position with no back pay.

The Transit Authority filed a CPLR article 75 petition to vacate the arbitrator’s award. On June 13, 2003, Supreme Court granted the petition, concluding that the arbitrator’s decision was irrational. Supreme Court wrote:

“The court finds, however, that the arbitrator in this case did not limit his determinations to the permissible realm of interpretation and application of the CBA, but rather issued an Award which constituted an impermissible amendment or modification of the CBA in violation of the arbitrator’s circumscribed authority to determine grievances.”

Supreme Court found further that the arbitrator had created a new category of infraction and impermissibly modified the CBA. Supreme Court wrote:

“This new category of infraction and punishment effectively amends and modifies the CBA, creating a lesser penalty for those who are unable to provide a urine sample within the allotted time frame due to actions, for example, that they took prior to the examination (i.e. urinating several times previous to the examination, as Mr. Woodruff allegedly did). Such an amendment or modification exceeds the arbitrator’s authority to determine grievances and his concomitant authority to interpret and apply the provisions of the CBA.”

The Appellate Division affirmed. This Court granted leave to appeal, and we now reverse and reinstate the arbitrator's award.

On this appeal the Transport Workers' Union (TWU) argues that the arbitrator did not exceed the scope of his authority. According to the TWU, it is the court that has exceeded its judicial authority and is preventing the arbitrator from interpreting the CBA. TWU requests that the arbitrator's decision be reinstated. The Transit Authority counters that the arbitrator clearly exceeded his authority, the decision of the arbitrator was irrational and the lower courts applied the correct standard in overturning the award.

An arbitrator is charged with the interpretation and application of the agreement (*see Matter of Town of Callicoon [Civil Serv. Empls. Assn., Town of Callicoon Unit]*, 70 NY2d 907, 909 [1987]). Courts may vacate an arbitrator's award only on the grounds stated in CPLR 7511 (b). The only such ground asserted here is that the arbitrator "exceeded his power" (CPLR 7511 [b] [1] [iii]). Such an excess of power occurs only where the arbitrator's award violates a strong public policy, is irrational or clearly exceeds a specifically enumerated limitation on the arbitrator's power (*Matter of United Fedn. of Teachers, Local 2, AFT, AFL-CIO v Board of Educ. of City School District of City of N.Y.*, 1 NY3d 72, 79 [2003]; *Matter of New York State Correctional Officers & Police Benevolent Assn. v State of New York*, 94 NY2d 321, 326-328 [1999]). Moreover, courts are obligated to give deference to the decision of the arbitrator (*see Matter of Sprinzen [Nomberg]*, 46 NY2d 623, 629 [1979] ["An arbitrator's paramount responsibility is to reach an equitable result, and the courts will not assume the role of overseers to mold the award to conform to their sense of justice"]). This is true even if the arbitrator misapplied the substantive law in the area of the contract (*see Matter of Associated Teachers of Huntington v Board of Educ., Union Free School Dist. No. 3, Town of Huntington*, 33 NY2d 229, 235 [1973]; *see also Rochester City School Dist. v Rochester Teachers Assn.*, 41 NY2d 578, 581 [1977]).

Here, the decision by the arbitrator was not irrational nor did it exceed a specifically enumerated limitation on his power. The arbitrator did not find that the employee refused to provide a urine sample as outlined in paragraph 6.2. The arbitrator was within his authority to determine that the employee's failure to provide a urine sample for a drug test was not a refusal when that employee reported for the exam and was prepared to

provide a sample but claimed he was physically unable to. It was also appropriate—or even if inappropriate, was not a defect of which the Transit Authority may complain—for the arbitrator to fashion a remedy short of dismissal for what he found to be misconduct falling short of a refusal.

Accordingly, the order of the Appellate Division should be reversed, with costs, and the petition dismissed.

Chief Judge KAYE and Judges CIPARICK, ROSENBLATT, GRAFFEO, READ and R.S. SMITH concur.

Order reversed, etc.

[845 NE2d 1246, 812 NYS2d 416]

GORGONIO BALBUENA et al., Appellants, v IDR REALTY LLC et al., Respondents and Third-Party Plaintiffs. TAMAN MANAGEMENT CORP., Third-Party Defendant-Respondent. ELIOT SPITZER, as Attorney General of the State of New York, Intervenor-Appellant.

STANISLAW MAJLINGER, Respondent, v CASSINO CONTRACTING CORP. et al., Appellants, et al., Defendants. (And a Third-Party Action.) ELIOT SPITZER, as Attorney General of the State of New York, Intervenor-Respondent.

Argued and submitted January 11, 2006; decided February 21, 2006

SUMMARY

APPEAL, in the first above-entitled action, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered December 28, 2004. The Appellate Division modified, on the law, so much of an order of the Supreme Court, New York County (Rosalyn Richter, J.), as had denied a motion by third-party defendant Taman Management Corp. for partial summary judgment dismissing plaintiff Gorgonio Balbuena's claim for lost earnings. The modification consisted of granting the motion to the extent of dismissing such claim insofar as it sought damages based on the wages that plaintiff Balbuena might have earned illegally in the United States. The following question was certified by the Appellate Division: "Was the order of this court, which modified the order of the Supreme Court, properly made?"

APPEAL, in the second above-entitled action, by permission of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered September 19, 2005. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, Richmond County (Christopher J. Mega, J.; op 1 Misc 3d 659), which had granted separate motions by defendants Cassino Contracting Corp., Veteran Properties, Inc., City of New York and D & Sons Construction Corp., defendants third-party plaintiffs Jack Thaon, Celebration, LLC and New York City Partnership Housing Development Fund Company, and third-party defendant Alum-A-Pole Corp., for summary judgment dismissing plaintiff's claim for lost wages, (2) denied the motions, and (3) reinstated the claim for lost wages. The following question was certified by the Appellate Division: "Was the opinion and order of this court dated September 19, 2005, properly made?"

Balbuena v IDR Realty LLC, 13 AD3d 285, reversed.
Majlinger v Cassino Contr. Corp., 25 AD3d 14, affirmed.

HEADNOTES

Statutes — Federal Preemption — Express Preemption

1. An undocumented alien injured while working on a construction site as a result of defendants' failure to adhere to the workplace safety requirements established in the state Labor Law was not precluded from recovering lost earnings. The federal Immigration Reform and Control Act of 1986 (8 USC § 1324a *et seq.*), designed to deter the employment of aliens who are not lawfully present in the United States and those who are lawfully present, but not authorized to work, does not contain an express statement by Congress that it intended to preempt state laws regarding the permissible scope of recovery in personal injury actions predicated on state labor laws. Congress expressly preempted only state and local laws that impose civil or criminal sanctions on employers of undocumented aliens (8 USC § 1324a [h] [2]). The primary purpose of civil recovery in a personal injury action premised on state Labor Law provisions is not to punish the tortfeasor but to compensate the worker for injuries proximately caused by negligence or the violation of statutory safety standards.

Statutes — Federal Preemption — Field Preemption

2. An undocumented alien injured while working on a construction site as a result of defendants' failure to adhere to the workplace safety requirements established in the state Labor Law was not precluded from recovering lost earnings. The federal Immigration Reform and Control Act of 1986 (8 USC § 1324a *et seq.* [IRCA]), designed to deter the employment of aliens who are not lawfully present in the United States and those who are lawfully present, but not authorized to work, did not preempt state tort law in this instance. Although IRCA and related statutes thoroughly occupy the spectrum of immigration laws, there was nothing in those provisions indicating that Congress meant to affect state regulation of occupational health and safety, or the types of damages that may be recovered in a civil action arising from those laws. IRCA was not intended to undermine or diminish in any way labor protections in existing law.

Damages — Lost Earnings — Claim by Undocumented Alien Not Precluded by Federal Law

3. Plaintiffs, who alleged that they were injured while working on construction sites as a result of defendants' violations of the state Labor Law, were not precluded from recovering their lost earnings despite the fact that they were aliens who were not legally authorized to work in the United States. The federal Immigration Reform and Control Act of 1986 (8 USC § 1324a *et seq.*), designed to deter the employment of aliens who are not lawfully present in the United States and those who are lawfully present, but not authorized to work, was not intended to undermine or diminish labor protections in existing law. New York's Labor Law applies to all workers in qualifying employment situations, regardless of immigration status. Limiting a lost wages claim by an injured undocumented alien would lessen an employer's incentive to comply with the Labor Law and supply all of its workers the safe workplace the Legislature demands. Although plaintiffs' presence in this country without authorization was impermissible under federal law, this transgression was insufficient to justify denying them a portion of the damages to which they were otherwise entitled.

Statutes — Federal Preemption — Conflict Preemption

4. An undocumented alien injured while working on a construction site as a result of defendants' failure to adhere to the workplace safety requirements established in the state Labor Law was not precluded from recovering lost earnings. The federal Immigration Reform and Control Act of 1986 (8 USC § 1324a *et seq.* [IRCA]), designed to deter the employment of aliens who are not lawfully present in the United States and those who are lawfully present, but not authorized to work, did not preempt state tort law in this instance. An award for lost wages to an undocumented immigrant injured as a result of a responsible party's violation of the Labor Law would not conflict with or otherwise erode the objectives of IRCA in a manner sufficient to surmount the strong presumption against preemption.

Damages — Mitigation of Damages — Claim for Lost Earnings by Undocumented Alien Not Precluded by Federal Law

5. An undocumented alien injured while working on a construction site as a result of defendants' failure to adhere to the workplace safety requirements established in the state Labor Law was not precluded from recovering lost earnings. The issue of mitigation of damages did not create a conflict between state labor law and federal immigration law, which was designed to deter the employment of aliens who are not lawfully present in the United States and those who are lawfully present, but not authorized to work (Immigration Reform and Control Act of 1986, 8 USC § 1324a *et seq.*). While recovery for future lost earnings is subject to reduction by the amount of compensation that the injured party could have earned despite the injuries inflicted by the tortfeasor, mitigation of damages was not implicated here, where a worker's injuries were so serious that the worker was physically unable to work. In any event, any conflict with the act's purposes can be alleviated by permitting a jury to consider immigration status as one factor in its determination of the damages warranted under the Labor Law.

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AM JUR 2d, Aliens and Citizens §§ 1911–1913, 1937, 2104;
AM JUR 2d, Damages §§ 335, 366; AM JUR 2d, Employment Relationship §§ 203, 207, 248, 302, 303.

NY JUR 2d, Constitutional Law §§ 102–106; NY JUR 2d, Damages § 70; NY JUR 2d, Employment Relations §§ 274, 277, 278, 302.

8 USCA § 1324a *et seq.*

ANNOTATION REFERENCE

Validity, construction, and application of § 274A of Immigration and Nationality Act (8 USCA § 1324a), involving unlawful employment of aliens. 130 ALR Fed 381.

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Query: pre-empt & illegal undocumented /2 alien & employ! & injur!

POINTS OF COUNSEL

Trolman, Glaser & Lichtman, P.C., New York City (*Michael T. Altman* and *Jeffrey A. Lichtman* of counsel), for appellants in the first above-entitled action. I. The Appellate Division erred in holding that state tort law has been preempted by the Immigration Reform and Control Act. (*Hoffman Plastic Compounds, Inc. v NLRB*, 535 US 137; *Sanango v 200 E. 16th St. Hous. Corp.*, 15 AD3d 36; *Nealy v US Healthcare HMO*, 93 NY2d 209; *Silkwood v Kerr-McGee Corp.*, 464 US 238; *Florida Lime & Avocado Growers, Inc. v Paul*, 373 US 132; *New York State Conference of Blue Cross & Blue Shield Plans v Travelers Ins. Co.*, 514 US 645; *Ray v Atlantic Richfield Co.*, 435 US 151; *Drattel v Toyota Motor Corp.*, 92 NY2d 35; *Rivera v NIBCO, Inc.*, 364 F3d 1057; *Zeng Liu v Donna Karan Intl., Inc.*, 207 F Supp 2d 191.) II. The Appellate Division erred in holding that the United States Supreme Court's decision in *Hoffman Plastic Compounds, Inc. v NLRB* (535 US 137 [2002]) compels a finding that plaintiffs-appellants herein cannot be compensated for unearned lost wages. (*Cruz v American Export Lines*, 67 NY2d 1; *Sanango v 200 E. 16th St. Hous. Corp.*, 15 AD3d 36; *Montero v Immigration & Naturalization Serv.*, 124 F3d 381; *Rivera v NIBCO, Inc.*, 364 F3d 1057.) III. The Appellate Division erred in determining that the primary plaintiff-appellant's wages were "illegally" earned. (*Sanango v 200 E. 16th St. Hous. Corp.*, 15 AD3d 36; *Hoffman Plastic Compounds, Inc. v NLRB*, 535 US 137.)

Eliot Spitzer, Attorney General, New York City (*Caitlin J. Haligan*, *Patricia Smith*, *Seth Kupferberg* and *Richard Dearing* of counsel), for intervenor-appellant in the first above-entitled action. I. The Immigration Reform and Control Act does not preempt New York Labor Law §§ 240 and 241. (*DeJesus v DeJesus*, 90 NY2d 643; *Lorillard Tobacco Co. v Reilly*, 533 US 525; *Cipollone v Liggett Group, Inc.*, 505 US 504; *Freightliner Corp. v Myrick*, 514 US 280; *Matter of Morgan Guar. Trust Co. of N.Y. v Tax Appeals Trib. of N.Y. State Dept. of Taxation & Fin.*, 80 NY2d 44; *Sasso v Vachris*, 66 NY2d 28; *Medtronic, Inc. v Lohr*, 518 US 470; *Jones v Rath Packing Co.*, 430 US 519; *English v General Elec. Co.*, 496 US 72; *Hines v Davidowitz*, 312 US 52.) II. Precluding lost earnings damages for undocumented workers would undermine the State of New York's critical interest in promoting safety for all workers. (*Haimes v New York Tel. Co.*, 46 NY2d 132; *Blake v Neighborhood Hous. Servs. of N.Y. City*, 1 NY3d 280; *Commercial Cleaning Servs., L.L.C. v Colin*

Serv. Sys., Inc., 271 F3d 374; *De Canas v Bica*, 424 US 351; *Mendoza v Zirkle Fruit Co.*, 301 F3d 1163; *Sanango v 200 E. 16th St. Hous. Corp.*, 15 AD3d 36; *Public Adm'r of Bronx County v Equitable Life Assur. Socy. of U.S.*, 192 AD2d 325; *Mazur v Rock-McGraw, Inc.*, 246 AD2d 515; *Collins v New York City Health & Hosps. Corp.*, 201 AD2d 447; *Matter of Testa v Sorrento Rest.*, 10 AD2d 133.)

Malapero & Prisco, LLP, New York City (*Francesca E. Connolly* of counsel), for respondents in the first above-entitled action. I. Plaintiffs' unearned lost wage claim should be dismissed as violating federal immigration policy as set forth in the Immigration Reform and Control Act and interpreted by the United States Supreme Court in *Hoffman Plastic Compounds, Inc. v NLRB* (535 US 137 [2002]). (*INS v National Center for Immigrants' Rights, Inc.*, 502 US 183; *Bantum v American Stock Exch., LLC*, 7 AD3d 551; *Guice v Charles Schwab & Co.*, 89 NY2d 31, 520 US 1118; *Nyquist v Mauclet*, 432 US 1; *Mathews v Diaz*, 426 US 67; *Fiallo v Bell*, 430 US 787.) II. Under *Hoffman Plastic Compounds, Inc. v NLRB* (535 US 137 [2002]) and the case law that follows, an undocumented alien has no right to recover future unearned lost wages in a state tort action. (*Sanango v 200 E. 16th St. Hous. Corp.*, 15 AD3d 36; *Veliz v Rental Serv. Corp.*, 313 F Supp 2d 1317.) III. *Hoffman Plastic Compounds, Inc. v NLRB* (535 US 137 [2002]) should not be limited to the situation where a worker has provided false documentation to obtain employment. IV. Defendants' equal protection rights will be violated if plaintiffs' claim for future unearned lost wages is permitted. (*Bell v Shopwell, Inc.*, 119 AD2d 715; *Hoffman Plastic Compounds, Inc. v NLRB*, 535 US 137; *Sanango v 200 E. 16th St. Hous. Corp.*, 15 AD3d 36.)

Smith & Laquercia, LLP, New York City (*Reed M. Podell* and *Edwin L. Smith* of counsel), for third-party defendant-respondent in the first above-entitled action. I. The First Department's decision should be affirmed based upon the doctrine of preemption. (*Sure-Tan, Inc. v NLRB*, 467 US 883; *Hoffman Plastic Compounds, Inc. v NLRB*, 535 US 137; *Grebow v City of New York*, 173 Misc 2d 473; *Feldman v Citibank*, 110 Misc 2d 838; *In re Merrill Lynch & Co., Inc. Research Reports Sec. Litig.*, 289 F Supp 2d 429; *Schwenk v Kavanaugh*, 4 F Supp 2d 116; *Heilbut v Heilbut*, 297 AD2d 233, 99 NY2d 643; *Vasquez v Sokolowski*, 277 AD2d 370; *Guice v Charles Schwab & Co.*, 89 NY2d 31; *Barnett Bank of Marion Cty., N. A. v Nelson*, 517 US 25.) II. The First Department correctly found that *Hoffman*

Plastic Compounds, Inc. v NLRB (535 US 137 [2002]) and the Immigration Reform and Control Act apply to non-National Labor Relations Act claims. (*Flores v Amigon*, 233 F Supp 2d 462; *Zeng Liu v Donna Karan Intl., Inc.*, 207 F Supp 2d 191; *Singh v Jutla & C.D. & R's Oil, Inc.*, 214 F Supp 2d 1056; *Ulloa v Al's All Tree Serv.*, 2 Misc 3d 262; *Matter of Testa v Sorrento Rest.*, 10 AD2d 133, 8 NY2d 705; *Egbuna v Time-Life Libs., Inc.*, 153 F3d 184, 525 US 1142; *Chaudhry v Mobil Oil Corp.*, 186 F3d 502; *Reyes-Gaona v North Carolina Growers Assn.*, 250 F3d 861; *Matter of Gibeil [Commissioner of Labor]*, 284 AD2d 784.) III. The Second Department incorrectly determined that undocumented aliens can recover unearned lost wage damages in a tort action. (*Public Adm'r of Bronx County v Equitable Life Assur. Socy. of U.S.*, 192 AD2d 325; *Collins v New York City Health & Hosps. Corp.*, 201 AD2d 447; *Barker v Kallash*, 63 NY2d 19; *Johnson v Manhattan & Bronx Surface Tr. Operating Auth.*, 71 NY2d 198; *Asgar-Ali v Hilton Hotels Corp.*, 4 Misc 3d 1026[A]; *Celi v 42nd St. Dev. Project, Inc.*, 5 Misc 3d 1023[A]; *Llerena v 302 W. 12th St. Condominium*, 5 Misc 3d 1022[A]; *Madeira v Affordable Hous. Found., Inc.*, 315 F Supp 2d 504; *Majlinger v Cassino Contr. Corp.*, 1 Misc 3d 659; *Plyler v Doe*, 457 US 202.) IV. The court below should be affirmed, to the extent that it dismissed plaintiff's lost wage claim. (*Sanango v 200 E. 16th St. Hous. Corp.*, 15 AD3d 36; *Public Adm'r of Bronx County v Equitable Life Assur. Socy. of U.S.*, 192 AD2d 325; *Schoenmetz v Ingham*, 949 F Supp 152; *Rizzi v Murff*, 171 F Supp 362; *Collins v New York City Health & Hosps. Corp.*, 201 AD2d 447; *Casson v Casson*, 107 AD2d 342; *People v Davis*, 161 AD2d 787; *Murray v Interurban St. Ry. Co.*, 118 App Div 35; *Razzaque v Krakow Taxi*, 238 AD2d 161; *Dennis v Dachs*, 85 AD2d 223.) V. Appellants' and Attorney General of the State of New York's arguments are flawed. (*Poturniak v Rupcic*, 232 AD2d 541; *Razzaque v Krakow Taxi*, 238 AD2d 161; *Dennis v Dachs*, 85 AD2d 223; *Casson v Casson*, 107 AD2d 342; *People v Davis*, 161 AD2d 787; *Escobar v Spartan Sec. Serv.*, 281 F Supp 2d 895; *Leeds v Metropolitan Gas-Light Co.*, 90 NY 26; *McConnell v Commonwealth Pictures Corp.*, 7 NY2d 465; *Sanango v 200 E. 16th St. Hous. Corp.*, 15 AD3d 36.) VI. Allowing an undocumented alien to recover unearned lost wage tort damages violates defendants' equal protection and due process rights. (*Free v Bland*, 369 US 663; *Gibbons v Ogden*, 9 Wheat [22 US] 1; *Bell v Shopwell, Inc.*, 119 AD2d 715; *Hoffman Plastic Compounds, Inc. v NLRB*, 535 US 137; *Truax v Corrigan*, 257 US 312; *Razzaque v Krakow Taxi*, 238 AD2d

161; *Dennis v Dachs*, 85 AD2d 223; *Poturniak v Rupcic*, 232 AD2d 541.) VII. The Attorney General of the State of New York's enforcement practices are incompatible with congressional immigration policy and federal law. (*Egbuna v Time-Life Libs., Inc.*, 153 F3d 184; *Rivera v NIBCO, Inc.*, 364 F3d 822; *United States v Kim*, 193 F3d 567.)

Fiedelman & McGaw, Jericho (*Andrew Zajac, Douglas J. Hayden, Dawn C. DeSimone, Rona L. Platt, Paul L. Isaacson and Ross P. Masler* of counsel), for Defense Association of New York, Inc. and another, amici curiae in the first above-entitled action. I. The Supremacy Clause of the United States Constitution compels that this Court follow the intent of the Immigration Reform and Control Act and bar lost earnings claims of illegal aliens in civil tort actions. (*Toll v Moreno*, 458 US 1; *Rice v Santa Fe Elevator Corp.*, 331 US 218; *Ray v Atlantic Richfield Co.*, 435 US 151; *Nyquist v Mauclet*, 432 US 1; *De Canas v Bica*, 424 US 351; *Hoffman Plastic Compounds, Inc. v NLRB*, 535 US 137; *Cipollone v Liggett Group, Inc.*, 505 US 504; *Volt Information Sciences, Inc. v Board of Trustees of Leland Stanford Junior Univ.*, 489 US 468; *Sanango v 200 E. 16th St. Hous. Corp.*, 15 AD3d 36.) II. Public policy should prohibit an award of lost earnings to illegal aliens. (*Dietrick v Kemper Ins. Co. [American Motorists Ins. Co.]*, 76 NY2d 248; *Matter of Marhoffer v Marhoffer*, 220 NY 543; *Matter of Wilkosz v Symington Gould Corp.*, 14 AD2d 408, 14 NY2d 739; *Matter of Testa v Sorrento Rest.*, 10 AD2d 133, 8 NY2d 705; *Sanango v 200 E. 16th St. Hous. Corp.*, 15 AD3d 36; *Matter of Atkinson v City of New York*, 96 NY2d 809; *Boles v Dormer Giant, Inc.*, 4 NY3d 235; *Matter of Cruz v New Millennium Constr. & Restoration Corp.*, 17 AD3d 19; *Continental Ins. Co. v State of New York*, 99 NY2d 196.)

Shaub, Ahmuty, Citrin & Spratt, LLP, Lake Success (*Steven J. Ahmuty, Jr., Timothy R. Capowski and Christopher Simone* of counsel), *Daniel J. Popeo*, Washington, D.C., *Richard Samp* and *Sherman Joyce* for Washington Legal Foundation and another, amici curiae in the first above-entitled action. I. Plaintiffs' arguments supporting recovery of unearned wages by illegal aliens are founded on faulty and illusory premises absent here and from most or all personal injury cases to which this rule would apply. (*People v Hobson*, 39 NY2d 479; *North Star Reins. Corp. v Continental Ins. Co.*, 82 NY2d 281; *Kwoksze Wong v New York Times Co.*, 297 AD2d 544; *Inchaustegui v 666 5th Ave. Ltd. Partnership*, 96 NY2d 111; *Hoffman Plastic Compounds, Inc. v NLRB*, 535 US 137.) II. Plaintiffs' proposed rule permitting any

recovery of unearned wages by illegal aliens is entirely unworkable within the parameters of New York State tort law. Such a rule inherently undermines settled rules of evidence while creating equal protection violations, unavoidably compromises the integrity of the court system, and violates public policy. (*Public Adm'r of Bronx County v Equitable Life Assur. Socy. of U.S.*, 192 AD2d 325; *Collins v New York City Health & Hosps. Corp.*, 201 AD2d 447; *People v Hobson*, 39 NY2d 479; *McLaurin v Ryder Truck Rental*, 123 AD2d 671; *Schultz v Harrison Radiator Div. Gen. Motors Corp.*, 90 NY2d 311; *Swedowski v Ethicon, Inc.*, 6 AD3d 1198; *Stone v Freeman*, 298 NY 268; *Schermerhorn v Taltman*, 14 NY 93; *Carr v Hoy*, 2 NY2d 185; *Reiner v North Am. Newspaper Alliance*, 259 NY 250.)

Amy Sugimori, New York City, and Catherine Ruckelshaus for National Employment Law Project and another, amici curiae in the first above-entitled action. Immigration status has no impact on the remedies available to a worker who is injured on the job. (*Hoffman Plastic Compounds, Inc. v NLRB*, 535 US 137; *Veliz v Rental Serv. Corp. USA, Inc.*, 313 F Supp 2d 1317.)

Meyer, Suozzi, English & Klein, P.C., New York City (Anne Marie O'Donovan of counsel), for James Atleson and others, amici curiae in the first above-entitled action. I. The history of Labor Law §§ 240 and 241 demonstrates their critical role in New York's scheme to protect the safety of all construction workers, regardless of immigration status. (*Caddy v Interborough R.T. Co.*, 195 NY 415; *Blake v Neighborhood Hous. Servs. of N.Y. City*, 1 NY3d 280; *Zimmer v Chemung County Performing Arts*, 65 NY2d 513; *Haimes v New York Tel. Co.*, 46 NY2d 132; *Allen v Cloutier Constr. Corp.*, 44 NY2d 290; *Stewart v Ferguson*, 164 NY 553; *Koenig v Patrick Constr. Corp.*, 298 NY 313; *Major v Waverly & Ogden*, 7 NY2d 332; *Maloney v Cunard S.S. Co., Ltd.*, 217 NY 278; *Lowenhar v Commercial Outfitting Co.*, 260 App Div 211.) II. In light of New York's large immigrant population in the late 19th century and the Legislature's deep familiarity with immigration status distinctions, the failure to exclude immigrants from the predecessors to Labor Law §§ 240 and 241 is best understood as purposeful. (*Fong Yue Ting v United States*, 149 US 698; *Henderson v Mayor of New York*, 92 US 259; *People of the State of New York v Compagnie Generale Transatlantique*, 107 US 59.) III. Other New York workplace safety laws of the era reveal a powerful legislative commitment to coverage without regard to immigration status. (*Caddy v Interborough R.T. Co.*, 195 NY 415; *Montgomery v Daniels*, 38

NY2d 41; *Spaduccino v John G. Hayes & Co.*, 180 App Div 37; *Alfson v Bush Co. [Ltd.]*, 182 NY 393; *Sliosberg v New York Life Ins. Co.*, 244 NY 482.) IV. Statutory protections for injured workers have long been applied to individuals not legally authorized to work. (*Solarz v Manhattan Ry. Co.*, 8 Misc 656, 11 Misc 715, 155 NY 645; *Karpeles v Heine*, 227 NY 74; *Vincent v Riggi & Sons*, 30 NY2d 406; *Noreen v Vogel & Bros.*, 231 NY 317; *Feldman v Murray*, 285 NY 568; *Catalanotto v Palazzolo*, 46 Misc 2d 381.)

Muzaffar Chishti, New York City (*Michael J. Wishnie* of counsel), and *Clifford Chance LLP* (*Joel M. Cohen* and *Angeline M. Shingler* of counsel) for Associated Corset and Brassiere Manufacturers, Inc. and others, amici curiae in the first above-entitled action. I. The legal analysis of the Solicitor General of the State of New York is correct. II. Fair competition requires the uniform application of regulatory standards. (*United States v Municipal Auth.*, 150 F3d 259; *Rivera v NIBCO, Inc.*, 364 F3d 1057; *Williams v Mohawk Indus., Inc.*, 411 F3d 1252; *Mendoza v Zirkle Fruit Co.*, 301 F3d 1163.) III. Fair competition is a Congressional goal of the Immigration Reform and Control Act. (*Patel v Quality Inn S.*, 846 F2d 700; *National Labor Relations Bd. v A.P.R.A. Fuel Oil Buyers Group, Inc.*, 134 F3d 50; *Local 512, Warehouse & Off. Workers' Union v National Labor Relations Bd.*, 795 F2d 705; *Contreras v Corinthian Vigor Ins. Brokerage, Inc.*, 25 F Supp 2d 1053.)

Miguel G. Ortiz, Selkirk, for Albany/Capital District Chapter of the Labor Council for Latin American Advancement, amicus curiae in the first above-entitled action. *Hoffman Plastic Compounds, Inc. v NLRB* (535 US 137 [2002]) does not require that an undocumented worker injured in violation of the Labor Law be denied all lost earnings or wages he may have earned in the United States but for his injury merely because of his immigration status. (*Cipollone v Liggett Group, Inc.*, 505 US 504; *De Canas v Bica*, 424 US 351; *Montero v Immigration & Naturalization Serv.*, 124 F3d 381; *Florida Lime & Avocado Growers, Inc. v Paul*, 373 US 132; *Sure-Tan, Inc. v NLRB*, 467 US 883.)

O'Dwyer & Bernstien, LLP, New York City (*Brian O'Dwyer* of counsel), for Emerald Isle Immigration Center, and another, amici curiae in the first above-entitled action. The penalties to owners under New York's Labor Law protect all workers performing protected activity. (*Blake v Neighborhood Hous.*

Servs. of N.Y. City, 1 NY3d 280; *Connors v Boorstein*, 4 NY2d 172; *Allen v Cloutier Constr. Corp.*, 44 NY2d 290; *Koenig v Patrick Constr. Corp.*, 298 NY 313; *Wright v Belt Assoc.*, 14 NY2d 129; *Curtis v State of New York*, 23 NY2d 976; *Zimmer v Chemung County Performing Arts*, 65 NY2d 513; *Public Adm'r of Bronx County v Trump Vil. Constr. Corp.*, 177 AD2d 258; *Rocovich v Consolidated Edison Co.*, 78 NY2d 509; *Madeira v Affordable Hous. Found., Inc.*, 315 F Supp 2d 504.)

Smith & Laquercia, LLP, New York City (*Reed M. Podell* and *Edwin L. Smith* of counsel), for *Cassino Contracting Corp.* and another, appellants in the second above-entitled action. Federal immigration law precludes plaintiff, an undocumented alien, from recovering unearned lost wages as damages. (*Hoffman Plastic Compounds, Inc. v NLRB*, 535 US 137; *Public Adm'r of Bronx County v Equitable Life Assur. Socy. of U.S.*, 192 AD2d 325; *Klapa v O & Y Liberty Plaza Co.*, 168 Misc 2d 911; *Collins v New York City Health & Hosps. Corp.*, 201 AD2d 447; *Cano v Mallory Mgt.*, 195 Misc 2d 666; *Gomez v Long Is. R.R.*, 201 AD2d 455; *Vasquez v Sokolowski*, 277 AD2d 370; *Fiallo v Bell*, 430 US 787; *Mathews v Diaz*, 426 US 67; *Aliens for Better Immigration Laws v United States*, 871 F Supp 182.)

Mischel & Horn, P.C., New York City (*Scott T. Horn* of counsel), and *DeCicco Gibbons & McNamara, P.C.* for *Jack Thaon* and others, appellants in the second above-entitled action. The Appellate Division erroneously denied defendants' applications for summary judgment dismissing plaintiff's lost wages claims. (*Sanango v 200 E. 16th St. Hous. Corp.*, 15 AD3d 36; *Balbuena v IDR Realty LLC*, 13 AD3d 285; *Hoffman Plastic Compounds, Inc. v NLRB*, 535 US 137; *Barker v Kallash*, 63 NY2d 19.)

Faden & Goldmacher, Westbury (*Beth J. Goldmacher* of counsel), and *Jacobson & Schwartz*, Rockville Centre (*Henry J. Cernitz* of counsel), for *D & Sons Construction Corp.*, appellant in the second above-entitled action. An illegal alien is not entitled to pursue a lost earnings claim in a personal injury action. (*Hoffman Plastic Compounds, Inc. v NLRB*, 535 US 137.)

Pollack, Pollack, Isaac & De Cicco, New York City (*Brian J. Isaac* of counsel), for respondent in the second above-entitled action. The Appellate Division properly applied the law to the facts of this case, and accurately balanced the State's interest in ensuring full compensation to injured parties with the Supreme Court's interpretation of the Immigration Reform and Control

Act in *Hoffman Plastic Compounds, Inc. v NLRB* (535 US 137 [2002]). (*Sanango v 200 E. 16th St. Hous. Corp.*, 15 AD3d 36; *Balbuena v IDR Realty LLC*, 13 AD3d 285; *Collins v New York City Health & Hosps. Corp.*, 201 AD2d 447; *Public Adm'r of Bronx County v Equitable Life Assur. Socy. of U.S.*, 192 AD2d 325; *Matter of Aliessa v Novello*, 96 NY2d 418; *Mazur v Rock-McGraw, Inc.*, 246 AD2d 515; *Michalsky v Ford Motor Co.*, 935 F Supp 203; *Hagl v Jacob Stern & Sons, Inc.*, 396 F Supp 779; *Catalanotto v Palazzolo*, 46 Misc 2d 381; *Klapa v O & Y Liberty Plaza Co.*, 168 Misc 2d 911, 218 AD2d 635.)

Eliot Spitzer, Attorney General, Albany (*Daniel Smirlock* of counsel), for intervenor-respondent in the second above-entitled action. The Appellate Division correctly held that plaintiff may recover lost earnings damages in an action under New York Labor Law §§ 200, 240 and 241 and common-law negligence principles, despite his status as an undocumented alien unauthorized for employment in the United States. (*Balbuena v IDR Realty LLC*, 13 AD3d 285; *Hoffman Plastic Compounds, Inc. v NLRB*, 535 US 137; *Sanango v 200 E. 16th St. Hous. Corp.*, 15 AD3d 36; *Cipollone v Liggett Group, Inc.*, 505 US 504; *International Paper Co. v Ouellette*, 479 US 481; *English v General Elec. Co.*, 496 US 72; *Allen v Cloutier Constr. Corp.*, 44 NY2d 290; *Flores v Lower E. Side Serv. Ctr., Inc.*, 4 NY3d 363; *Madeira v Affordable Hous. Found., Inc.*, 315 F Supp 2d 504; *Public Adm'r of Bronx County v Equitable Life Assur. Socy. of U.S.*, 192 AD2d 325.)

OPINION OF THE COURT

GRAFFEO, J.

Plaintiffs, who are not United States citizens or lawfully admitted resident aliens, allege that they were injured while working on construction sites and have commenced personal injury litigation predicated on defendants' purported violations of the state Labor Law. The issue before us is whether plaintiffs' status as aliens who are not legally authorized to work in the United States precludes their recovery of lost earnings.

Facts

Balbuena v IDR Realty LLC et al.

Gorgonio Balbuena is a native of Mexico who entered the United States without the permission of federal immigration authorities. In April 2000, he was employed as a construction

worker by third-party defendant Taman Management Corp. on a site owned and managed by defendants IDR Realty LLC and Dora Wechler. According to Balbuena, he fell from a ramp while pushing a wheelbarrow, sustaining severe head trauma and other debilitating injuries that have rendered him incapacitated and unable to work.

Balbuena and his wife sued defendants¹ for common-law negligence and violations of Labor Law § 240 (1) and § 241 (6), seeking various categories of damages, including past wages from the time of the accident until a verdict and the future loss of earnings (collectively referred to as lost wages). During discovery, Taman sought documentation from Balbuena demonstrating that he had obtained the necessary authorization to work in the United States as required by federal law. After Balbuena objected to this request and failed to produce such documentation, Taman moved for a court order resolving the immigration and work authorization issues. Taman also sought partial summary judgment dismissing Balbuena's claim for lost wages, relying on the United States Supreme Court's decision in *Hoffman Plastic Compounds, Inc. v NLRB* (535 US 137 [2002]), which held that an undocumented alien who provided fraudulent work papers in violation of federal law could not be awarded back pay for work not performed as a result of an employer's unfair labor practice. Taman argued that state tort law is preempted by federal law, as construed in *Hoffman* and, hence, an award of lost wages to Balbuena would undermine national immigration policies. In opposition to the motion, Balbuena admitted that he did not possess work authorization documents but argued that *Hoffman* was distinguishable from his legal claims and did not bar recovery for state Labor Law violations.

Supreme Court denied defendants' motion for partial summary judgment, concluding that state law allows an undocumented alien to recover lost wages and that *Hoffman* did not apply to tort actions brought under state law. The Appellate Division, First Department, modified by granting Taman's motion for partial summary judgment dismissing Balbuena's claim for lost earnings to the extent it sought damages based on wages

1. The complaint originally named Taman, IDR Realty and Wechler as defendants. After the Workers' Compensation Board determined that Taman was Balbuena's employer, the claim against it was withdrawn, and IDR Realty and Wechler initiated a third-party action against Taman based on contractual indemnity.

plaintiff might have earned in the United States. Relying on its decision in *Sanango v 200 E. 16th St. Hous. Corp.* (15 AD3d 36 [1st Dept 2004]), the Court determined that an alien who has not obtained work authorization is precluded by *Hoffman* from claiming lost wages derived from income earned in the United States, but may seek wages based on income that could be earned in the alien's home country. A dissenting Justice voiced a contrary view, finding that federal immigration law did not prohibit past and future wage claims under state law. The Appellate Division subsequently permitted the Attorney General to intervene in the case, denied reargument and granted leave to appeal to this Court.

Majlinger v Cassino Contr. Corp.

Stanislaw Majlinger came to the United States in November 2000 from Poland on a travel visa, but remained in this country to work after his visa expired. In January 2001, he was employed as a construction worker by J & C Home Improvement, a subcontractor on a building project being developed by the various defendants in this case in their capacity as property owners, contractors or their agents. Like Gorgonio Balbuena, Majlinger never received authorization from federal immigration authorities to work in the United States.

Majlinger alleges that he was installing siding on the exterior of a building while standing on a scaffold approximately 15 feet off the ground when the scaffold suddenly collapsed, causing him to sustain serious physical injuries. Majlinger initiated a lawsuit, claiming defendants were liable under Labor Law §§ 200, 240 (1) and § 241 (6). Among other damages, Majlinger sought earnings lost as a result of his purported inability to work. In response to discovery requests by defendants Cassino Contracting Corp. and Veteran Properties Inc., Majlinger conceded that he had not acquired the necessary work authorization documentation. Cassino and Veteran, together with other defendants and a third-party defendant, moved for partial summary judgment dismissing Majlinger's claim for lost wages based on his status as an undocumented alien pursuant to *Hoffman*, federal immigration law and preemption principles.

Supreme Court granted partial summary judgment to defendants and dismissed Majlinger's claim for lost wages "[o]n constraint of *Hoffman*." (1 Misc 3d 659, 662 [2003].) After granting the Attorney General permission to intervene, the Appellate Division, Second Department, reversed and reinstated the dam-

ages claim for lost wages. Disagreeing with the First Department's decisions in *Balbuena* (13 AD3d 285 [2004]) and *Sanango*, the Second Department concluded that state tort law is not preempted by federal immigration law because neither federal statutes nor *Hoffman* prohibit an undocumented alien from recovering lost wages in a personal injury action. The Appellate Division granted leave to appeal to this Court.

The central issue in these appeals, stated broadly, is whether an undocumented alien injured at a work site as a result of state Labor Law violations is precluded from recovering lost wages due to immigration status. Defendants² here contend that an award of past and future wages to an undocumented alien worker expressly conflicts with federal immigration law and implicitly undermines the objectives that Congress sought to achieve when it adopted the nation's current immigration policies. Our analysis begins with the text and history of relevant federal immigration statutes, proceeds to the impact of the United States Supreme Court's decision in *Hoffman*, and concludes with preemption principles derived from the Supremacy Clause and the policy objectives of the New York Legislature underlying the relevant sections of state Labor Law.

The Federal Immigration and Nationality Act

Under the United States Constitution, the power to regulate immigration rests exclusively with the federal government (*see* US Const, art I, § 8 [4]; *De Canas v Bica*, 424 US 351, 354 [1976]; *Takahashi v Fish & Game Comm'n*, 334 US 410, 419 [1948]). Pursuant to this authority, in 1952 Congress enacted the Immigration and Nationality Act (INA) (*see* Pub L 414, 66 US Stat 163, as amended, codified at 8 USC § 1101 *et seq.*) as a “comprehensive federal statutory scheme for regulation of immigration and naturalization” (*De Canas v Bica*, 424 US at 353). The purpose of the INA was to delineate “the terms and conditions of admission to the country and the subsequent treatment of aliens lawfully in the country” (*id.* at 359). This congressional act, however, expressed only a “peripheral concern” regarding the employment of illegal aliens (*id.* at 360); the INA did not make it “unlawful for an employer to hire an alien who is present or working in the United States without appropriate

2. For purposes of this opinion, the term “defendants” refers collectively to all of the named defendants in both cases before us, as well as the remaining third-party litigants. The term “plaintiffs” refers to the injured, undocumented aliens.

authorization” or for “an alien to accept employment after entering this country illegally” (*Sure-Tan, Inc. v NLRB*, 467 US 883, 893 [1984]). As a result, the United States Supreme Court ruled that the exclusive authority of Congress to regulate immigration did not prevent the states from enacting labor laws that forbid the employment of illegal aliens (see *De Canas v Bica*, 424 US at 365).

Because the INA did not make it a crime to employ an illegal alien or be employed as an alien lacking work authorization, the Supreme Court subsequently held that the provisions of the National Labor Relations Act (NLRA), the purpose of which is to protect employees and provide remedies against illegal actions by employers, could be applied to employment practices that affect illegal aliens (see *Sure-Tan, Inc. v NLRB*, 467 US at 892). Rejecting the argument that application of the NLRA would conflict with the purposes of the INA, the Supreme Court concluded that enforcement of the federal labor relations statutes was “compatible” with immigration law:

“A primary purpose in restricting immigration is to preserve jobs for American workers; immigrant aliens are therefore admitted to work in this country only if they ‘will not adversely affect the wages and working conditions of the workers in the United States similarly employed.’ . . . Application of the NLRA helps to assure that the wages and employment conditions of lawful residents are not adversely affected by the competition of illegal alien employees who are not subject to the standard terms of employment. If an employer realizes that there will be no advantage under the NLRA in preferring illegal aliens to legal resident workers, any incentive to hire such illegal aliens is correspondingly lessened. In turn, if the demand for undocumented aliens declines, there may then be fewer incentives for aliens themselves to enter in violation of the federal immigration laws. The Board’s enforcement of the NLRA as to undocumented aliens is therefore clearly reconcilable with and serves the purposes of the immigration laws” (*id.* at 893-894).³

3. With regard to the remedies available to the National Labor Relations Board (NLRB), the Supreme Court determined that the Board could not award back pay or reinstate the workers at issue, who had left the United States and

(n. cont’d)

The Federal Immigration Reform and Control Act of 1986

Despite the policy objectives of the INA, the United States faced steadily increasing waves of aliens entering the United States illegally. After many years of bipartisan efforts to update federal immigration laws,⁴ in 1986 Congress adopted the Immigration Reform and Control Act (IRCA) (*see* Pub L 99-603, 100 US Stat 3359, as amended, codified at 8 USC § 1324a *et seq.*). Both Congress and the President expressed the view that “[t]he principal means of closing the back door, or curtailing future illegal immigration, [wa]s through employer sanctions” (HR Rep No. 99-682, part I, 99th Cong, 2d Sess, at 46, reprinted in 1986 US Code Cong & Admin News, at 5650) that were intended to “remove the incentive for illegal immigration by eliminating the job opportunities which draw illegal aliens” into the country (Pub L 99-603, Statement by President Ronald Reagan Upon Signing S 1200, 22 Wkly Compilation Presidential Docs 1534 [Nov. 10, 1986], reprinted in 1986 US Code Cong & Admin News, at 5856-1). To attain this goal, the most important component of the IRCA scheme was the creation of a new “[e]mployment verification system” designed to deter the employment of aliens who are not lawfully present in the United States and those who are lawfully present, but not authorized to work (*see* 8 USC § 1324a [b]).

Under this system, aliens legally present and approved to work in the United States are issued formal documentation of their eligibility status by federal immigration authorities (*see* 8 USC § 1324a [b] [1] [B], [C]), usually in the form of a “green card,” a registration number or some other document issued by the Bureau of Citizenship and Immigration Services (*see INS v National Center for Immigrants’ Rights, Inc.*, 502 US 183, 195-196 [1991]; 8 CFR 274a.12 [a]). Before hiring an alien, an employer is required to verify the prospective worker’s identity and work eligibility by examining the government-issued documentation. If the required documentation is not presented, the alien cannot be hired (*see* 8 USC § 1324a [a] [1]). An employer who knowingly violates the employment verification

were not authorized to reenter the country (*see Sure-Tan, Inc. v NLRB*, 467 US at 903-904).

4. *See* HR Rep No. 99-682, part I, 99th Cong, 2d Sess, at 45, 51-56, reprinted in 1986 US Code Cong & Admin News, at 5649, 5655-5660; *see also* Pub L 99-603, Statement by President Ronald Reagan Upon Signing S 1200, 22 Wkly Compilation Presidential Docs 1534 (Nov. 10, 1986), reprinted in 1986 US Code Cong & Admin News, at 5856-1, 5856-4.

requirements, or who unknowingly hires an illegal alien but subsequently learns that an alien is not authorized to work and does not immediately terminate the employment relationship, is subject to civil or criminal prosecution and penalties (*see* 8 USC § 1324a [a] [1], [2]; [f] [1]).

In addition to the provisions relating to the responsibilities of employers, IRCA also declares that it is a crime for an alien to provide a potential employer with documents falsely acknowledging receipt of governmental approval of the alien's eligibility for employment (*see* 8 USC § 1324c [a]). Similar to the INA, however, IRCA does not penalize an alien for attaining employment without having proper work authorization, unless the alien engages in fraud, such as presenting false documentation to secure the employment. In order to preserve the national uniformity of this verification system and the sanctions imposed for violations, Congress expressly provided that IRCA would "preempt any State or local law imposing civil or criminal sanctions (other than through licensing and similar laws) upon those who employ, or recruit or refer for a fee for employment, unauthorized aliens" (8 USC § 1324a [h] [2]).

The Impact of *Hoffman*

It was against this federal statutory backdrop that the United States Supreme Court decided *Hoffman Plastic Compounds, Inc. v NLRB* (535 US 137 [2002]). The issue was whether an illegal alien who, in violation of IRCA, gained employment by presenting false work authorization documents could be awarded back pay by the NLRB after the worker was impermissibly terminated for engaging in union-organizing activities. The Supreme Court concluded that such an award was prohibited because it would conflict with the purpose of IRCA. The Court observed that "[u]nder the IRCA regime, it is impossible for an undocumented alien to obtain employment in the United States without some party directly contravening explicit congressional policies. Either the undocumented alien tenders fraudulent identification . . . or the employer knowingly hires the undocumented alien in direct contradiction of its IRCA obligations" (*id.* at 148).

The Court emphasized that the salient factor in the case was that "Congress has expressly made it criminally punishable for an alien to obtain employment with false documents" and that the alien had, in fact, committed this crime (*id.* at 149). Thus, the Court determined that "awarding backpay in a case like

this not only trivializes the immigration laws, it also condones and encourages future violations” because the alien would qualify for an NLRB award “only by remaining inside the United States illegally” and could not “mitigate damages . . . without triggering new IRCA violations, either by tendering false documents to employers or by finding employers willing to ignore IRCA and hire illegal workers” (*id.* at 150-151).

The implications of *Hoffman* underlie the controversies in the two appeals before this Court. The main thrust of defendants’ arguments is that IRCA, as construed by *Hoffman*, precludes an undocumented alien from recovering lost wages in a state personal injury action. According to defendants, such an award is a penalty upon the employer that is expressly preempted by IRCA, specifically 8 USC § 1324a (h) (2). Defendants also assert that the doctrine of “field preemption” prohibits an award of past or future earnings because the federal government has exclusive authority to regulate immigration and Congress has exercised that power by enacting the comprehensive schemes established in the INA and IRCA. Finally, defendants claim that permitting an undocumented alien to recover lost wages is in contravention of the purposes and objectives of IRCA in that it condones past transgressions of immigration laws and encourages future violations.

Joined by the Attorney General as intervenor, plaintiffs argue that an undocumented alien should be allowed to recover for earning capacity lost as a result of defendants’ failure to adhere to the workplace safety requirements established in the state Labor Law. The primary rationale for their conclusion that IRCA does not preempt state law is that precluding a lost wages claim would make it more financially attractive to hire illegal aliens, thereby undercutting the central goal of the federal act, and would provide less of an incentive to comply with state labor requirements, contrary to the purposes of Labor Law §§ 200, 240 (1) and § 241 (6). Plaintiffs and the Attorney General also contend that the doctrines of express and field preemption are inapplicable because neither the text of IRCA nor its legislative history indicates that Congress intended to affect workplace protections provided by the states.

In order to evaluate the efficacy of the parties’ arguments, we first must examine principles of federal preemption derived from the United States Constitution.

The Supremacy Clause and Preemption Principles

The Supremacy Clause, in article VI of the Constitution, “may entail pre-emption of state law either by express provision, by implication, or by a conflict between federal and state law” (*New York State Conference of Blue Cross & Blue Shield Plans v Travelers Ins. Co.*, 514 US 645, 654 [1995]). It is “never assumed lightly that Congress has derogated state regulation, but instead [courts] have addressed claims of pre-emption with the starting presumption that Congress does not intend to supplant state law” (*id.*; see *Nealy v US Healthcare HMO*, 93 NY2d 209, 217 [1999]). The presumption against preemption is especially strong with regard to laws that affect the states’ historic police powers over occupational health and safety issues (see *De Canas v Bica*, 424 US at 356-357) and is overcome only if it “‘was the clear and manifest purpose of Congress’” to supplant state law (*New York State Conference of Blue Cross & Blue Shield Plans v Travelers Ins. Co.*, 514 US at 655, quoting *Rice v Santa Fe Elevator Corp.*, 331 US 218, 230 [1947]).

Several distinct preemption doctrines have evolved under the Supremacy Clause. “Express preemption” applies where Congress explicitly declares that a federal law is intended to supersede state law (see e.g. *Sprietsma v Mercury Marine*, 537 US 51, 62-63 [2002]). “Implied preemption” takes two forms. The first, referred to as “field preemption,” occurs “if federal law so thoroughly occupies a legislative field ‘as to make reasonable the inference that Congress left no room for the States to supplement it’” (*Cipollone v Liggett Group, Inc.*, 505 US 504, 516 [1992], quoting *Fidelity Fed. Sav. & Loan Assn. v De la Cuesta*, 458 US 141, 153 [1982] [internal quotation marks omitted]). The second type, “conflict preemption,” establishes that

“a state statute is void to the extent that it actually conflicts with a valid federal statute. A conflict will be found where compliance with both federal and state regulations is a physical impossibility . . . or where the state law stands as an obstacle to the accomplishment and execution of the full purposes and objectives of Congress” (*Ray v Atlantic Richfield Co.*, 435 US 151, 158 [1978] [citations and internal quotation marks omitted]; see also *Silkwood v Kerr-McGee Corp.*, 464 US 238, 256 [1984]; *Florida Lime & Avocado Growers, Inc. v Paul*, 373 US 132, 142-143 [1963]; *Guice v Charles Schwab &*

Co., 89 NY2d 31, 39 [1996], *cert denied* 520 US 1118 [1997]).

Express Preemption

[1] Contrary to defendants' contention, IRCA does not contain an express statement by Congress that it intended to preempt state laws regarding the permissible scope of recovery in personal injury actions predicated on state labor laws. As relevant to these cases, Congress expressly preempted only state and local laws that impose "civil or criminal sanctions" on employers of undocumented aliens (8 USC § 1324a [h] [2]). A sanction is generally considered a "penalty or coercive measure" (Black's Law Dictionary 1368 [8th ed]), such as a punishment for a criminal act or a civil fine for a statutory or regulatory violation. The plain language of section 1324a (h) (2) appears directed at laws that impose fines for hiring undocumented aliens, such as the California statute at issue in *De Canas v Bica* (424 US 351 [1976]). The legislative history of IRCA confirms this interpretation, as the preemption language in section 1324a (h) (2) was intended to apply only to civil fines and criminal sanctions imposed by state or local law (*see* HR Rep No. 99-682, part I, 99th Cong, 2d Sess, at 58, reprinted in 1986 US Code Cong & Admin News, at 5662). In contrast, the primary purpose of civil recovery in a personal injury action premised on state Labor Law provisions is not to punish the tortfeasor but to compensate the worker for injuries proximately caused by negligence or the violation of statutory safety standards.

Field Preemption

[2] We are similarly unpersuaded by defendants' field preemption argument. Certainly IRCA and related statutes thoroughly occupy the spectrum of immigration laws. But there is nothing in those provisions indicating that Congress meant to affect state regulation of occupational health and safety, or the types of damages that may be recovered in a civil action arising from those laws. To the contrary, the legislative history of IRCA shows that the Act was not intended "to undermine or diminish in any way labor protections in existing law" (*id.*).

Conflict Preemption

The more difficult issue is whether an award for lost wages to an undocumented immigrant injured as a result of a responsible

party's violation of the Labor Law would conflict with or otherwise erode the objectives of IRCA in a manner sufficient to surmount the strong presumption against preemption. We recognize that questions regarding the reach of *Hoffman* have generated a spirited debate and a variety of judicial and academic opinions.⁵

[3] The Supreme Court has recognized that, notwithstanding the federal government's exclusive control over immigration and naturalization, the "States possess broad authority under their police powers to regulate the employment relationship to protect workers within the State," which includes the power to enact "laws affecting occupational health and safety" (*De Canas v Bica*, 424 US at 356)—issues that have been "primarily, and historically, a matter of local concern" (*Hillsborough County v Automated Medical Laboratories, Inc.*, 471 US 707, 719 [1985]). In the Labor Law context, we have noted that

"the legislative history of the Labor Law, particularly sections 240 and 241, makes clear the Legislature's intent to achieve the purpose of protecting workers by placing 'ultimate responsibility for safety practices at building construction jobs where such responsibility actually belongs, on the owner and general contractor' (1969 NY Legis Ann, at 407), instead of on workers, who 'are scarcely in a position to protect themselves from accident' " (*Zimmer v Chemung County Performing Arts*, 65 NY2d 513, 520 [1985], quoting *Koenig v Patrick Constr. Corp.*, 298 NY 313, 318 [1948]).

The Labor Law, therefore, applies to all workers in qualifying employment situations—regardless of immigration status—and

5. See e.g. *Rosa v Partners in Progress Inc.*, 152 NH 6, 868 A2d 994 (2005); *Correa v Waymouth Farms, Inc.*, 664 NW2d 324 (Minn 2003); *Farmer Bros. Coffee v Workers' Compensation Appeals Bd.*, 133 Cal App 4th 533, 35 Cal Rptr 3d 23 (Ct App 2005); *Crespo v Evergo Corp.*, 366 NJ Super 391, 841 A2d 471 (App Div 2004), *certification denied* 180 NJ 151, 849 A2d 184 (2004); *Tyson Foods, Inc. v Guzman*, 116 SW3d 233 (Tx Ct App 2003); *Cherokee Indus., Inc. v Alvarez*, 84 P3d 798 (Okla Ct Civ App 2003); *Madeira v Affordable Hous. Found., Inc.*, 315 F Supp 2d 504 (SD NY 2004); *Veliz v Rental Serv. Corp. USA, Inc.*, 313 F Supp 2d 1317 (MD Fla 2003); *Hernandez-Cortez v Hernandez*, 2003 WL 22519678, 2003 US Dist LEXIS 19780 (US Dist Ct, D Kan, Marten, J., 01 Civ 1241); *Developments in the Law—Jobs and Borders*, 118 Harv L Rev 2171, 2242 (2005); Wishnie, *Emerging Issues for Undocumented Workers*, 6 U Pa J Lab & Emp L 497, 512 (2004); Note, *A Call to Revisit Sure-Tan v. NLRB: Undocumented Workers and Their Right to Back Pay*, 30 Sw U L Rev 505 (2001).

nothing in the relevant statutes or our decisions negates the universal applicability of this principle (*see generally Abbatiello v Lancaster Studio Assoc.*, 3 NY3d 46, 50-51 [2004]).⁶

[3, 4] Additionally, limiting a lost wages claim by an injured undocumented alien would lessen an employer's incentive to comply with the Labor Law and supply all of its workers the safe workplace that the Legislature demands (*cf. Continental PET Tech., Inc. v Palacias*, 269 Ga App 561, 562-563, 604 SE2d 627, 630 [2004] [IRCA and immigration regulations "do not purport to intrude into the area of what protections a State may afford these aliens"], *cert denied* 546 US —, 126 S Ct 362 [2005]). Given the clear statement in IRCA's legislative history that the Act was not intended "to undermine or diminish in any way labor protections in existing law" (HR Rep No. 99-682, part I, 99th Cong, 2d Sess, at 58, reprinted in 1986 US Code Cong & Admin News, at 5662), we are unpersuaded that IRCA requires such a diminution in the force and effect of state workplace safety mandates. To the contrary, in order to further the laudable purposes of IRCA and our Labor Law, "tort deterrence principles provide a compelling reason to allow an award of such damages against a person responsible for an illegal alien's employment when that person knew or should have known of that illegal alien's status" (*Rosa v Partners in Progress, Inc.*, 152 NH at 13, 868 A2d at 1000).

As the Second Department cogently observed, a different conclusion would not only diminish the protections afforded by the Labor Law, it would also improvidently reward employers who knowingly disregard the employment verification system in defiance of the primary purposes of federal immigration laws. An absolute bar to recovery of lost wages by an undocumented worker would lessen the unscrupulous employer's potential liability to its alien workers and make it more financially attractive to hire undocumented aliens (*see generally Patel v Quality Inn S.*, 846 F2d 700, 704 [11th Cir 1988], *cert denied* 489 US 1011 [1989]; *Dowling v Slotnik*, 244 Conn 781, 796, 712 A2d

6. In the related context of workers' compensation statutes, also enacted for the benefit of employees, courts have found such statutes applicable to all persons within the state's borders, even those who are not entitled to be here (*see e.g. Design Kitchen & Baths v Lagos*, 388 Md 718, 733, 882 A2d 817, 826 [2005]; *Correa v Waymouth Farms, Inc.*, 664 NW2d at 329; *Farmers Bros. Coffee v Workers' Compensation Appeals Bd.*, 133 Cal App 4th at 542, 35 Cal Rptr 3d at 29; *Safeharbor Empl. Servs. I, Inc. v Cinto Velazquez*, 860 So 2d 984, 986 [Fla Ct App, 1st Dist 2003], *review denied* 873 So 2d 1224 [Fla 2004]; *but see Tarango v State Indus. Ins. Sys.*, 117 Nev 444, 449, 25 P3d 175, 179 [2001]).

396, 404 [1998]; *Nizamuddowlah v Bengal Cabaret*, 69 AD2d 875, 876 [2d Dept 1979], *lv dismissed* 48 NY2d 609, 883 [1979]). This, coupled with the fact that illegal aliens are willing to work in jobs that are more dangerous and undesirable—and for less money—than their legal immigrant and citizen counterparts, would actually increase employment levels of undocumented aliens, not decrease it as Congress sought by its passage of IRCA (see *Sure-Tan, Inc. v NLRB*, 467 US at 893-894; see also HR Rep No. 99-682, part I, 99th Cong, 2d Sess, at 58, reprinted in 1986 US Code Cong & Admin News, at 5662).⁷

Aside from the compatibility of federal immigration law and our state Labor Law, plaintiffs here—unlike the alien in *Hoffman*—did not commit a criminal act under IRCA. Whereas the undocumented alien in *Hoffman* criminally provided his employer with fraudulent papers purporting to be proper federal work documentation, there is no allegation in these cases that plaintiffs produced false work documents in violation of IRCA or were even asked by the employers to present the work authorization documents as required by IRCA. Notably, IRCA does not make it a crime to work without documentation. *Hoffman* is dependent on its facts, including the critical point that the alien tendered false documentation that allowed him to work legally in this country (see *Hoffman*, 535 US at 149). This was a clear violation of IRCA. We see no reason to equate the criminal misconduct of the employee in *Hoffman* to the conduct of the plaintiffs here since, in the context of defendants' motions for partial summary judgment, we must presume that it was the employers who violated IRCA by failing to inquire into plaintiffs' immigration status or employment eligibility (see *Wishnie*,

7. Our dissenting colleagues conclude that public policy requires the dismissal of plaintiffs' claims as a matter of state law. We find their argument unpersuasive, as it fails to consider the spectrum of state concerns entwined in these cases, particularly the workplace safety standards long embodied in the Labor Law and the State's interest in ensuring that employers comply with those standards. Relatedly, the dissent does not acknowledge that Congress expressly indicated that IRCA was not intended to undermine existing statutory labor protections. The dissent's bar to an alien's recourse under the Labor Law actually rewards IRCA violations by employers and thereby promotes the employment of undocumented aliens. In the end, we believe that rewarding avoidance of the employment verification system under IRCA while at the same time denying relief to a worker injured as a result of a workplace violation of state labor laws constitutes that which is "unseemly" (dissenting op at 367).

Emerging Issues for Undocumented Workers, 6 U Pa J Lab & Emp L at 512).⁸

We recognize, of course, that plaintiffs' presence in this country without authorization is impermissible under federal law. Standing alone, however, this transgression is insufficient to justify denying plaintiffs a portion of the damages to which they are otherwise entitled. Under our precedent, civil recovery is foreclosed "if the plaintiff's conduct constituted a serious violation of the law and the injuries for which he seeks recovery were the direct result of that violation" (*Barker v Kallash*, 63 NY2d 19, 24 [1984]). Although recoveries have been denied to parties who have engaged in illegal activities, in those cases it was the work being performed that was outlawed (*see e.g. Spivak v Sachs*, 16 NY2d 163, 168 [1965]; *see also Berg v Wilpon*, 271 AD2d 629, 629-630 [2d Dept 2000]; *Murray v Interurban St. Ry. Co.*, 118 App Div 35, 37 [1st Dept 1907]), whereas here, the construction work itself was entirely lawful. Moreover, neither IRCA nor any other federal or state statute makes it a crime to be an employed but undocumented alien, unless the alien secured employment through the use of false work authorization documentation. We also find it significant that the records here do not indicate that administrative proceedings or criminal prosecutions have been initiated against plaintiffs based on their presence or employment in this country.

[5] Nor do we believe that the issue of mitigation of damages creates a conflict between state labor law and federal immigration law. Under our common-law doctrine of mitigation of damages, recovery for future lost earnings is subject to reduction by the amount of compensation that the injured party could have earned despite the injuries inflicted by the tortfeasor (*see generally Matter of Bello v Roswell Park Cancer Inst.*, 5 NY3d 170, 173 [2005]). Mitigation of damages is not implicated when a worker's injuries are so serious that the worker is physically unable to work. Here, plaintiffs have alleged serious, permanent

8. The defendants in *Majlinger* assert that this observation should not apply to them since they did not employ Majlinger, but were the owners of the property, contractors or their agents. Although the dissent accepts this contention, it overlooks that Labor Law § 240 (1) and § 241 (6) impose a nondelegable safety duty even if the owner does not supervise or control the work site (*see Gordon v Eastern Ry. Supply*, 82 NY2d 555, 560 [1993]). Allowing defendants to avoid paying damages on the ground that it was the employer who violated IRCA would, in essence, partially relieve defendants of their non-delegable duty and thereby produce a result that is inconsistent with Labor Law statutes.

injuries that impede their ability to be employed, allegations we must presume to be true at this preliminary stage of the litigation. Their situations are therefore readily distinguishable from the alien worker in *Hoffman*, who was not physically injured and could have sought new employment in violation of IRCA by tendering the same false documents that allowed him to work in the first place.

In any event, any conflict with IRCA's purposes that may arise from permitting an alien's lost wage claim to proceed to trial can be alleviated by permitting a jury to consider immigration status as one factor in its determination of the damages, if any, warranted under the Labor Law (see e.g. *Madeira v Affordable Hous. Found. Inc.*, 315 F Supp 2d at 507-508). An undocumented alien plaintiff could, for example, introduce proof that he had subsequently received or was in the process of obtaining the authorization documents required by IRCA and, consequently, would likely be authorized to obtain future employment in the United States. Conversely, a defendant in a Labor Law action could, for example, allege that a future wage award is not appropriate because work authorization has not been sought or approval was sought but denied. In other words, a jury's analysis of a future wage claim proffered by an undocumented alien is similar to a claim asserted by any other injured person in that the determination must be based on all of the relevant facts and circumstances presented in the case.⁹

In light of these considerations, defendants have not overridden the presumption against preemption afforded by the Supremacy Clause. In the context of Labor Law claims, a per se preclusion of recovery for lost wages would condone the employers' conduct in contravention of IRCA's requirements and promote unsafe work site practices, all of which encourages the employment of undocumented aliens and undermines the objectives that both IRCA and the state Labor Law were designed to accomplish. Moreover, there is no evidence in the records before us that plaintiffs (like the alien worker in *Hoffman*) tendered false documentation in violation of IRCA or that their employers satisfied their duty to verify plaintiffs' eligibility to work. In addition, plaintiffs have allegedly suffered physical injuries that have limited their ability to be employed, unlike the alien

9. Because we perceive no difference in the test that applies to lost wage recoveries by these distinct groups of individuals or the types of evidence that may be introduced by the litigants, we reject defendants' arguments premised on the Due Process and Equal Protection clauses.

worker in *Hoffman* who suffered no bodily injury whatsoever. We therefore hold, on the records before us in these Labor Law §§ 200, 240 (1) and § 241 (6) cases, and in the absence of proof that plaintiffs tendered false work authorization documents to obtain employment, that IRCA does not bar maintenance of a claim for lost wages by an undocumented alien.

Accordingly, in *Balbuena*, the order of the Appellate Division should be reversed, with costs, the order of Supreme Court reinstated and the certified question answered in the negative. In *Majlinger*, the order of the Appellate Division should be affirmed, with costs, and the certified question answered in the affirmative.

R.S. SMITH, J. (dissenting). The Court holds today that New York courts may award damages to compensate a plaintiff for the loss of an opportunity to work illegally. I would hold that such a recovery is barred by the rule of New York law that the courts will not aid in achieving the purpose of an illegal transaction. I would also hold that, if New York law does permit such a recovery, it is preempted by federal immigration law as interpreted in *Hoffman Plastic Compounds, Inc. v NLRB* (535 US 137 [2002]).

I

The arrangements Balbuena and Majlinger made with their employers violated the Immigration Reform and Control Act of 1986 (IRCA), and so long as they remain undocumented aliens, any arrangements they make with other employers in this country will be illegal also. The central purpose of IRCA was to keep people who entered the United States illegally, like Balbuena, or who entered legally but without authorization to work here, like Majlinger, from having jobs in the United States. As the United States Supreme Court made clear in *Hoffman*:

“Under the IRCA regime, it is impossible for an undocumented alien to obtain employment in the United States without some party directly contravening explicit congressional policies. Either the undocumented alien tenders fraudulent identification, which subverts the cornerstone of IRCA’s enforcement mechanism, or the employer knowingly hires the undocumented alien in direct contradiction of its IRCA obligations.” (535 US at 148.)

Such violations are subject to civil or criminal prosecution and penalties under federal law (*see* 8 USC § 1324a [a], [e], [f];

§ 1324c [a], [d]; 18 USC § 1546 [b]). The Court in *Hoffman* left no doubt that prohibiting the employment of undocumented aliens is the “critical” policy of the statute (535 US at 151). Many may disagree with that policy or regret the statute’s consequences, but IRCA is Congress’s chosen means of dealing with a national problem of huge importance. It is the duty of the courts, state as well as federal, to give effect to that policy choice and to recognize that the arrangements by which undocumented aliens are employed are illegal.

II

The New York courts have long held that they will not award a plaintiff the benefit of an illegal bargain. We have referred to “the familiar rule that illegal contracts, or those contrary to public policy, are unenforceable and that the courts will not recognize rights arising from them” (*Szerdahelyi v Harris*, 67 NY2d 42, 48 [1986]). Thus in *Szerdahelyi* we held, applying a statute we found to be declaratory of the common law, that a lender who charged usurious interest could not recover her principal. In *Spivak v Sachs* (16 NY2d 163 [1965]), we held that a lawyer not licensed in New York could not collect a fee for legal work done in New York. In *Stone v Freeman* (298 NY 268 [1948]), we held that a vendor could not recover from a broker money that the broker was supposed to have given illegally to an employee of the purchaser, saying:

“It is the settled law of this State (and probably of every other State) that a party to an illegal contract cannot ask a court of law to help him carry out his illegal object, nor can such a person plead or prove in any court a case in which he, as a basis for his claim, must show forth his illegal purpose” (*id.* at 271 [citations omitted]).

In *Surgical Design Corp. v Correa* (290 AD2d 435 [2d Dept 2002]), the Appellate Division held that an employer could not enforce a notice-of-termination clause in an employment contract, where the contract called for the employee to perform illegal activities. And in *Murray v Interurban St. Ry. Co.* (118 App Div 35 [1st Dept 1907]), the Appellate Division held that the employee of a bookmaker could not recover the wages he lost as a result of his injury in a tort action against a third party.

Decisions like these are not based on a search for the equitable outcome of a particular case, or on a calculation of which

result will most contribute, in an immediate and practical way, to the enforcement of a particular statute or public policy. Rather, they are based on the sound premise that courts show insufficient respect for themselves and for the law when they help a party to benefit from illegal activity. As Justice Brandeis explained:

“The court’s aid is denied . . . when he who seeks it has violated the law in connection with the very transaction as to which he seeks legal redress. . . . It is denied in order to maintain respect for law; in order to promote confidence in the administration of justice; in order to preserve the judicial process from contamination” (*Olmstead v United States*, 277 US 438, 484 [1928] [dissenting op; citations omitted]).

Accordingly, in cases like these the courts do not ordinarily balance the benefit and harm, either to public or private interests, that will follow from an award, but simply dismiss the plaintiff’s claim, though doing so may give a windfall to a defendant who has also acted illegally. “The law leaves the parties . . . where it finds them” (*Szerdahelyi*, 67 NY2d at 48 [citations omitted]).

Here, Balbuena and Majlinger are not quite seeking the enforcement of illegal contracts. But because the employment of Balbuena, Majlinger or others in their situation violates IRCA’s prohibitions, their claims in tort actions for the loss of earnings from such employment are claims to obtain the benefit of illegal arrangements. Their claims thus put at risk the duty of courts in our legal system to avoid the promotion of illegality. This risk cannot be resolved by calculating the deterrence or incentive value of permitting recovery. Recovery is barred unless we are to hold that these cases are governed by an exception to the rule that courts do not award the benefit of illegal bargains.

That rule, important as it is, is not absolute:

“ ‘[w]here contracts which violate statutory provisions are merely *malum prohibitum*, the general rule does not always apply. If the statute does not provide expressly that its violation will deprive the parties of their right to sue on the contract, and the denial of relief is wholly out of proportion to the requirements of public policy . . . the right to recover will not be denied.’ ” (*Lloyd Capital Corp. v Pat Henchar, Inc.*, 80 NY2d 124, 127 [1992], quoting

Rosasco Creameries, Inc. v Cohen, 276 NY 274, 278 [1937].)

But while this exception might apply in some cases involving undocumented aliens, it does not apply here.

There would be a much better argument for allowing Balbuena and Majlinger to recover if they had done work for which their employers had refused to pay them, and they were suing for their wages. In such a case, the injustice of denying recovery—embodied both in the hardship to the workers and the enrichment of the employers—would be gross, and it could be strongly argued that “the denial of relief is wholly out of proportion to the requirements of public policy.” In such a case, we might consider whether we would characterize IRCA violations as “merely *malum prohibitum*” (evil because prohibited) rather than *malum in se* (evil in themselves), and allow recovery. A number of decisions in this state (*Nizamuddowlah v Bengal Cabaret*, 69 AD2d 875 [2d Dept 1979]; *Gomez v Falco*, 6 Misc 3d 5 [App Term, 2d Dept 2004]; *Ulloa v Al’s All Tree Serv.*, 2 Misc 3d 262 [Nassau County Dist Ct 2003]) and in federal courts (*e.g.*, *Flores v Amigon*, 233 F Supp 2d 462 [ED NY 2002]) hold that undocumented aliens may recover at least some compensation for work they have actually performed, and I do not imply that we should hold otherwise.

But these cases are different. Neither Balbuena nor Majlinger is seeking compensation for work actually performed. In fact, neither is even suing his employer. Each of them is suing third parties—in Balbuena’s case, the owners of the construction site and in Majlinger’s several entities alleged to be site owners and/or general contractors—who had no involvement with any violation of the immigration laws. They claim that defendants are liable for personal injuries that plaintiffs suffered, and that defendants should pay damages including the amount that plaintiffs, but for their accidents, would have earned in their illegal employment. Balbuena’s employer is named as a third-party defendant, but it is not clear from the record whether defendants’ claim over against the employer will succeed. Majlinger’s employer is not a party at all.

Thus these are not cases, as some involving illegal arrangements are, in which to dismiss the claim is to give a windfall to a defendant at least as guilty of wrongdoing as the plaintiff, or in which to deny recovery is to leave a plaintiff uncompensated for work actually done. The wrong for which Balbuena and Majlinger seek compensation in the form of lost earnings is that

their injuries have *prevented* them from working in the United States—exactly the result that IRCA was intended to accomplish. I do not see how, except by rejecting the policy on which IRCA is premised, we can say that denial of the remedy plaintiffs seek is out of proportion to the requirements of public policy.

When courts permit parties to recover on the basis of illegal transactions, the consequences can be unseemly. For example, the majority suggests telling a jury that it may “consider immigration status as one factor in its determination of the damages” (majority op at 362). But what does that instruction mean? Is the message: “The plaintiff’s damages depend on his chances of getting caught; the more likely he is to evade the authorities, the more damages you may award”? Or, if the jury is supposed to decide how much weight to give to IRCA policies, then the message is: “A violation of the law is only as important as you want it to be.” The only instruction that is not, at best, a bit embarrassing to the system is one that says in substance: “You may not award any damages for lost earnings in employment that would have violated the immigration laws.” The Court today holds that such an instruction may not be given.

A still more vexing problem is presented by what is loosely called a plaintiff’s “duty” to mitigate damages—more precisely, the rule that a plaintiff who does not mitigate will suffer a reduction in damages. Is a plaintiff in a case like these—who may be disabled, say, from construction work but not from less strenuous activity—required to mitigate by seeking alternative illegal employment? May he avoid a reduction in his damages by declaring that he has decided, belatedly, not to seek any job for which he may not lawfully be hired? It is surely unfair to defendants to hold that lost illegal wages may be recovered, but that only legal wages may be considered in mitigation; yet it also seems intolerable to hold that the law will punish a plaintiff for failing to violate the law. The majority tries to finesse the question by assuming, if I read its opinion correctly (*see* majority op at 361), that plaintiffs in these two cases are totally disabled from work. But they may not be so, and certainly not all plaintiffs who make such claims will be. The majority offers no clue as to how mitigation issues can be handled when they arise.

In sum, I would hold that an award of lost earnings based on employment prohibited by IRCA would carry out the purpose of an illegal transaction and is therefore impermissible under established principles of New York law. I would decline to follow

the Appellate Division cases (*Collins v New York City Health & Hosps. Corp.*, 201 AD2d 447 [2d Dept 1994]; *Public Adm'r of Bronx County v Equitable Life Assur. Socy. of U.S.*, 192 AD2d 325 [1st Dept 1993]) that hold otherwise. Thus, I do not think it is necessary to reach the preemption issue.

III

The majority assumes with little discussion that New York law, if not preempted, would permit recovery of lost earnings in these cases, and devotes its analysis almost wholly to the federal preemption issue. I disagree, as I have explained, with the majority's view of New York law. I also disagree with the majority's decision on preemption.

The preemption issue, as all agree, depends on the interpretation of *Hoffman*, in which the Supreme Court held that a National Labor Relations Board award of back pay "to an undocumented alien who has never been legally authorized to work in the United States . . . is foreclosed by federal immigration policy, as expressed by Congress in [IRCA]" (535 US at 140). Defendants in these cases argue that what is true of an NLRB back pay award must also be true of the awards for lost earnings that Balbuena and Majlinger seek. If one is "foreclosed by federal immigration policy," so is the other. Thus, defendants argue, state law, to the extent that it permits these plaintiffs to recover lost earnings, "stands as an obstacle to the accomplishment of the full purposes and objectives of Congress" and is therefore preempted (*California Coastal Comm'n v Granite Rock Co.*, 480 US 572, 581 [1987]). I think this argument is correct.

The majority tries to distinguish *Hoffman* on the ground that the employee involved in *Hoffman*, unlike plaintiffs here, presented his employer with false documents that purported to authorize him to work. *Hoffman*, the majority says, "is dependent on its facts, including the critical point that the alien tendered false documentation" (majority op at 360). I do not think this narrow reading of *Hoffman* is consistent with the Supreme Court's opinion read as a whole.

The *Hoffman* court's statement of its holding at the outset of its opinion is the broad one I quoted above: an award of back pay "to an undocumented alien who has never been legally authorized to work in the United States . . . is foreclosed by federal immigration policy" (535 US at 140). Later, in explaining the reasons for its holding, the Court specifically refers to both of the possible ways in which an undocumented alien can

obtain employment: “Either the undocumented alien tenders fraudulent identification . . . or the employer knowingly hires the undocumented alien in direct contradiction of its IRCA obligations” (535 US at 148). The Court makes clear that *both* of these “directly contraven[e] explicit congressional policies” (*id.*). The Court then again states its holding in broad terms: “We find . . . that awarding backpay to illegal aliens runs counter to policies underlying IRCA” (*id.* at 149). And again, near the end of its opinion: “We therefore conclude that allowing the Board to award backpay to illegal aliens would unduly trench upon explicit statutory prohibitions critical to federal immigration policy, as expressed in IRCA” (*id.* at 151). The Court does mention, and at times emphasizes, the fact that the employee in *Hoffman* used false documentation, but the Court conspicuously fails to say that the case would, or might, come out the other way if that fact were not present.

I agree with the majority here that the conduct of the undocumented alien in *Hoffman* was worse than the conduct of Balbuena and Majlinger. He committed a crime, and they did not. If Balbuena and Majlinger were suing their employers—who, on the facts of these cases, may well have acted criminally in hiring them without demanding documentation from them—the difference in culpability might be relevant; as I suggested above, a case in which a lesser offender is suing a greater one may sometimes (though not always) qualify for an exception to the general rule that lawsuits based on illegal transactions will not be countenanced. But, as I said above, neither of these cases is such a case, and I find the majority’s attempt to draw an analogy totally unpersuasive. The idea, suggested in the majority opinion (at 361 n 8), that the employers’ violations of the immigration laws may be imputed to defendants here—the owners of the job sites and the contractors who worked on them—under New York Labor Law § 240 (1) and § 241 (6) seems to me to lack any support in the text of those statutes, in precedent or in common sense.

The preemption issue here depends not on whether Balbuena and Majlinger committed criminal violations of IRCA, but on whether awarding them lost earnings will undermine IRCA’s policy. *Hoffman* makes very clear, I submit, that the policy behind IRCA is that undocumented aliens may not be employed in the United States, and that an award of back pay—from which an award of lost earnings is indistinguishable—undermines that policy. I would therefore hold that *Hoffman*

controls this case, and that federal immigration law preempts any New York law which would otherwise permit a lost earnings award in these cases.

IV

Accordingly, I would affirm the order of the Appellate Division in *Balbuena v IDR Realty LLC*, and would reverse the order in *Majlinger v Cassino Contr. Corp.*

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK and ROSENBLATT concur with Judge GRAFFEO; Judge R.S. SMITH dissents and votes to affirm in a separate opinion in which Judge READ concurs.

In *Balbuena v IDR Realty LLC*: Order reversed, etc.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK and ROSENBLATT concur with Judge GRAFFEO; Judge R.S. SMITH dissents and votes to reverse in a separate opinion in which Judge READ concurs.

In *Majlinger v Cassino Contr. Corp.*: On review of submissions pursuant to section 500.11 of the Rules of the Court of Appeals (22 NYCRR 500.11), order affirmed, with costs, and certified question answered in the affirmative.

[845 NE2d 1265, 812 NYS2d 435]

GOD'S BATTALION OF PRAYER PENTECOSTAL CHURCH, INC., Appel-
lant, v MIELE ASSOCIATES, LLP, Respondent.

Argued February 14, 2006; decided March 23, 2006

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered September 20, 2004. The Appellate Division affirmed an order of the Supreme Court, Kings County (Ira B. Harkavy, J.), which had granted defendant's motion for reargument, and, upon reargument, granted defendant's motion to permanently stay the action based upon the parties' agreement to arbitrate and directed that the matter proceed to arbitration.

God's Battalion of Prayer Pentecostal Church, Inc. v Miele Assoc., LLP, 10 AD3d 671, affirmed.

HEADNOTE

Arbitration — Agreement to Arbitrate

An arbitration clause in a written agreement was enforceable even though the agreement was not signed, since it was evident that the parties intended to be bound by the contract. Although CPLR 7501 confers jurisdiction on courts to enforce written arbitration agreements, there is no requirement that the writing be signed so long as there is other proof that the parties actually agreed on it. Here, although plaintiff did not sign the agreement at issue, both parties operated under its terms. Plaintiff alleged that defendant breached the agreement, thereby acknowledging and relying on the very agreement that contained the arbitration clause it sought to disclaim. Moreover, plaintiff did not assert that the arbitration clause would be unenforceable even if the agreement were signed. Thus, it may not disclaim part of the contract while alleging breach of the rest.

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AM JUR 2d, Alternative Dispute Resolution §§ 70–74, 123.
CARMODY-WAIT 2d, Arbitration § 141:19.
McKINNEY'S, CPLR 7501.
NY JUR 2d, Arbitration and Award §§ 17, 82.
SIEGEL, NY PRAC § 588.

ANNOTATION REFERENCE

See ALR Index under Arbitration and Award.

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Query: arbitration /2 clause /s written /2 agreement /s
signed

POINTS OF COUNSEL

Zisholtz & Zisholtz, LLP, Mineola (Gerald Zisholtz and Stuart S. Zisholtz of counsel), for appellant. I. The parties have no contract clearly and unequivocally evincing an intent to arbitrate. (*Matter of Marlene Indus. Corp. [Carnac Textiles]*, 45 NY2d 327; *Schubtex, Inc. v Allen Snyder, Inc.*, 49 NY2d 1; *Matter of Waldron [Goddess]*, 61 NY2d 181; *S&T Sportswear Corp. v Drake Fabrics*, 190 AD2d 598; *Matter of Zilberberg & Assoc. v Rosner*, 292 AD2d 533; *Matter of Continental Stock Transfer & Trust Co. v Sher-Del Transfer & Relocation Servs.*, 298 AD2d 336.) II. There was no partial performance that would create or establish any clear or unequivocal intent to arbitrate. (*Sleeth v Sampson*, 237 NY 69; *Burns v McCormick*, 233 NY 230; *Wilson v La Van*, 22 NY2d 131; *Geraci v Jenrette*, 41 NY2d 660; *Jonestown Place Corp. v 153 W. 33rd St. Corp.*, 53 NY2d 847; *Anostario v Vicinanzo*, 59 NY2d 662.) III. The Court cannot create a written agreement between the parties that did not exist. (*Vermont Teddy Bear Co. v 538 Madison Realty Co.*, 1 NY3d 470; *Morlee Sales Corp. v Manufacturers Trust Co.*, 9 NY2d 16.) IV. The courts' reliance upon *Matter of Chapnick v Cohen* (203 AD2d 362 [1994]) is misplaced. (*Just In-Materials Designs v I.T.A.D. Assoc.*, 61 NY2d 882.)

L'Abbate, Balkan, Colavita & Contini, L.L.P., Garden City (Anthony P. Colavita and Amy M. Monahan of counsel), for respondent. I. The parties' written agreement shows the clear and unequivocal intent to arbitrate. (*Matter of Waldron [Goddess]*, 61 NY2d 181; *Matter of Zilberberg & Assoc. v Rosner*, 292 AD2d 533; *Matter of Chapnick v Cohen*, 203 AD2d 362; *Just In-Materials Designs v I.T.A.D. Assoc.*, 61 NY2d 882; *Liberty Mgt. & Constr. v Fifth Ave. & Sixty-Sixth St. Corp.*, 208 AD2d 73; *Matter of Marlene Indus. Corp. [Carnac Textiles]*, 45 NY2d 327; *Sleeth v Sampson*, 237 NY 69; *Burns v McCormick*, 233 NY 230; *Wilson v La Van*, 22 NY2d 131; *Geraci v Jenrette*, 41 NY2d 660.) II. The church cannot raise new arguments on appeal. (*Bingham v New York City Tr. Auth.*, 99 NY2d 355.)

OPINION OF THE COURT

ROSENBLATT, J.

On this appeal, we reiterate our long-standing rule that an arbitration clause in a written agreement is enforceable, even if the agreement is not signed, when it is evident that the parties intended to be bound by the contract. We conclude that the lower courts properly directed the matter to arbitration.

Plaintiff-appellant God's Battalion of Prayer Pentecostal Church, Inc. operates a church and school on Linden Boulevard in Brooklyn. In May 1995, the Church hired defendant Miele Associates, LLP, a firm of architects, to expand and renovate the Church's facilities. Miele prepared an agreement between the parties, dated May 1995 (on a "Standard Form of Agreement Between Owner and Architect" published by the American Institute of Architects), and forwarded it to the Church, which retained it, unsigned. The agreement contained an arbitration clause providing that "[a]ll claims, disputes and other matters in question arising out of, or relating to, this Agreement or the breach thereof shall be decided by arbitration."

In its complaint, the Church alleges that at Miele's behest it hired Ropal Construction Corp. as general contractor. When Ropal did not perform to the Church's satisfaction, it sued Miele in Supreme Court, asserting breach of contract and architectural malpractice. The contract on which the Church relies contains the very arbitration clause at issue.* Indeed, the Church's complaint expressly claims that Miele "failed to perform the terms, covenants and conditions of the agreement."

Miele moved for an order permanently staying the action and compelling the parties to proceed to arbitration. The Church countered that neither party executed the agreement and that there had been no meeting of minds regarding arbitration. Supreme Court, upon reargument, directed the matter to arbitration. The Appellate Division affirmed, as do we.

* The record contains two written agreements pertaining to the work: the unsigned agreement between the Church and Miele, dated May 1995, and a signed agreement, between the Church and Ropal, dated August 29, 1996. Miele was not a party to the latter agreement. The Court therefore takes the Church's complaint to rest on the May 1995 agreement, insofar as it asserts that *Miele* "failed to perform the terms, covenants and conditions of the agreement" and on the August 29, 1996 agreement insofar as it asserts that *Ropal* "failed to comply with the terms, covenants and conditions of its agreement." While the Church now argues that there was a controlling parallel oral agreement, the lower courts correctly concluded that the parties intended to be bound by the terms of the written contracts.

Although CPLR 7501 confers jurisdiction on courts to enforce written arbitration agreements, “[t]here is no requirement that the writing be signed so long as there is other proof that the parties actually agreed on it” (*Crawford v Merrill Lynch, Pierce, Fenner & Smith*, 35 NY2d 291, 299 [1974] [internal quotation marks deleted]; see also *Flores v Lower E. Side Serv. Ctr., Inc.*, 4 NY3d 363, 370 [2005]). A party to an agreement may not be compelled to arbitrate its dispute with another unless the evidence establishes the parties’ “clear, explicit and unequivocal” agreement to arbitrate (*Matter of Waldron [Goddess]*, 61 NY2d 181, 183 [1984]), but our case law makes it clear that a signature is not required.

Although the Church did not sign the Miele agreement, it is evident that it intended to be bound by it. The Church has not successfully refuted Miele’s claim that, after Miele forwarded the contract, both parties operated under its terms. Most tellingly, the Church’s complaint alleges that Miele breached their agreement, thereby acknowledging and relying on the very agreement that contains the arbitration clause it seeks to disclaim. Moreover, the Church does not assert that the arbitration clause would be unenforceable even if the agreement were signed. That being so, it may not pick and choose which provisions suit its purposes, disclaiming part of a contract while alleging breach of the rest. A contract “should be read to give effect to all its provisions” (*Mastrobuono v Shearson Lehman Hutton, Inc.*, 514 US 52, 63 [1995]; see also *Muzak Corp. v Hotel Taft Corp.*, 1 NY2d 42, 46 [1956]). The lower courts therefore correctly ruled that the case go to arbitration.

We have considered appellant’s remaining contentions and find them without merit. Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, GRAFFEO, READ and R.S. SMITH concur.

Order affirmed, with costs.

[846 NE2d 431, 813 NYS2d 1]

CLA-MIL EAST HOLDING CORP., Also Known as CLAMIL EAST
HOLDING CORP., Appellant, v MEDALLION FUNDING CORP. et
al., Respondents.

Argued January 11, 2006; decided February 9, 2006

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered March 15, 2005. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, Bronx County (Janice L. Bowman, J.), which had denied defendants' motion for summary judgment dismissing the complaint and granted plaintiff's cross motion for partial summary judgment as to liability, (2) granted defendants' motion, (3) denied the cross motion, and (4) dismissed as academic the appeal from an order of that Supreme Court which had directed an assessment of damages.

Cla-Mil E. Holding Corp. v Medallion Funding Corp., 16 AD3d 194, affirmed.

HEADNOTES

**Secured Transactions — Repossession of Collateral — Injury
Caused by Removal — Secured Party Not Liable for Injury
Caused by New York City Marshal**

1. Defendant secured creditor, having obtained a court order directing a New York City marshal to recover collateral located on property belonging to plaintiff, the judgment debtor's landlord, was not obligated under UCC 9-604 (d) to reimburse plaintiff for damage to the premises allegedly caused by the marshal's negligence in removing the collateral. Although the statute specifies that "[a] secured party that removes collateral shall promptly reimburse" the owner of real property damaged by the removal, here the party that "remove[d] collateral" was not the secured party, nor any employee, contractor, or agent of the secured party. Rather, it was a marshal acting under the direction of a court, and not pursuant to defendant's orders. The reference to "[a] secured party that removes collateral" does not include secured parties who arrange for marshals to remove collateral under court order.

Process — Abuse of Process — Repossession of Collateral

2. In an action to recover damages for property damage plaintiff allegedly sustained when a New York City marshal, acting pursuant to a court order, removed collateral from plaintiff's property that was the subject of a security agreement between defendant and one of plaintiff's tenants, plaintiff failed to state a cause of action for any direct wrongdoing by defendant. Defendant, by obtaining a judgment against the debtor, returning to court to get an order executing the judgment, and bringing the order to a marshal to carry out the ex-

ecution, avoided self-help and abuse of legal process and appropriately relied on the legal system to recover its collateral with no breach of peace.

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AM JUR 2d, Abuse of Process §§ 1, 5, 6, 11; AM JUR 2d, Secured Transactions §§ 529, 539, 546.

McKINNEY'S, UCC 9-604 (d).

NY JUR 2d, Process and Papers §§ 155, 157-160; NY JUR 2d, Secured Transactions §§ 124, 326-329, 330, 332.

PROSSER AND KEETON, TORTS (5th ed) § 121.

WHITE AND SUMMERS, UNIFORM COMMERCIAL CODE § 34-9.

ANNOTATION REFERENCE

See ALR Index under Abuse of Process; Marshals; Repossession; Secured Transactions.

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POINTS OF COUNSEL

Rappaport, Hertz, Cherson & Rosenthal, P.C., Forest Hills (Jeffrey M. Steinitz and Milan Dey-Chao of counsel), for appellant. I. The Appellate Division erred in reversing the Supreme Court decision granting partial summary judgment on the issue of defendant secured creditor's liability, since the Appellate Division ruling conflicts with section 9-604 of the Uniform Commercial Code, which provides that a secured party which removes collateral shall promptly reimburse any encumbrancer or owner of real property for the cost of repair of any physical injury caused by its removal. (*Berger v Alexopoulos*, 280 AD2d 505; *Leban Store Fixture Co. v August Props.*, 117 AD2d 782; *Dry Dock Sav. Bank v DeGeorgio*, 61 Misc 2d 224.) II. The Appellate Division erred in reversing the Supreme Court decision and allowing a secured party to delegate to a third party the nondelegable duty to reimburse the owner of real property for the cost of repair of any physical injury caused by the removal. (*Kleeman v Rheingold*, 81 NY2d 270; *Mauro v General Motors Acceptance Corp.*, 164 Misc 2d 871; *Feldman v Upton, Cohen & Slamowitz*, 190 Misc 2d 637.) III. The Appellate Division erred in reversing the Supreme Court decision, and incorrectly

construed a waiver of notice incorporated in an agreement to assign a lease as a waiver of the liability that the Uniform Commercial Code imposes on a secured party for the protection of the owner of real property, where the owner was in possession of the real property.

Kramer & Shapiro, P.C., Kew Gardens (*Lisa D. Levine-Shapiro* of counsel), for respondents. I. The Appellate Division, First Department, correctly reversed the Bronx County Supreme Court and properly granted defendants summary judgment dismissing the complaint. (*MGD Graphic Sys. v New York Press Publ. Co.*, 52 AD2d 815, 42 NY2d 1018; *Curiano v Suozzi*, 63 NY2d 113; *Mayes v UVI Holdings*, 280 AD2d 153; *Zeckendorf v Kerry H. Lutz, P.C.*, 282 AD2d 295; *Board of Educ. of Farmingdale Union Free School Dist. v Farmingdale Classroom Teachers Assn.*, Local 1889, AFT AFL-CIO, 38 NY2d 397; *Eckstein v Massachusetts Bonding & Ins. Co.*, 281 NY 435; *Treiber v Mouricourt*, 143 Misc 741; *Po-Wei Wu v Siracusa*, 176 Misc 2d 716, 183 Misc 2d 499; *Greenberg v Kruger, Inc.*, 231 App Div 800, 256 NY 612; *Ide v Finn*, 196 App Div 304.) II. The decision of the Appellate Division dismissing this action in its entirety against defendants does not conflict with the provisions of UCC 9-604 (d). (*Dry Dock Sav. Bank v DeGeorgio*, 61 Misc 2d 224; *Berger v Alexopoulos*, 280 AD2d 505; *Leban Store Fixture Co. v August Props.*, 117 AD2d 782; *Mauro v General Motors Acceptance Corp.*, 164 Misc 2d 871.) III. The Appellate Division could have reversed the Bronx County Supreme Court simply on the basis that plaintiff failed to offer competent proof of the existence of any legally compensable damage. (*Davis v Brightside Fire Protection*, 275 AD2d 298; *Matos v New York City Health & Hosps. Corp.*, 181 AD2d 505; *Zuckerman v City of New York*, 49 NY2d 557; *Marinelli v Shifrin*, 260 AD2d 227.)

OPINION OF THE COURT

ROSENBLATT, J.

A secured creditor, Medallion Funding Corp., obtained a court order directing the New York City marshal to recover collateral located on property belonging to Cla-Mil East Holding Corp. Cla-Mil, the judgment debtor's landlord, has alleged that the marshal negligently damaged its real estate, and has sued Medallion and its law firm under a variety of theories. The only one it seriously argues here is that it was entitled to reimburse-

ment under UCC 9-604 (d).^{*} We must now decide whether Medallion's court-ordered use of the marshal, rather than self-help, insulates it from Cla-Mil's claim. We hold that it does.

The present dispute began when a tenant of Cla-Mil's who had operated a laundromat on his leased space defaulted on his rent. About the same time, the tenant defaulted on payments he owed Medallion, which had provided him with a loan to purchase the laundry equipment, including large washers and dryers. The loan was secured by the equipment itself as collateral. Cla-Mil evicted the tenant. Medallion then obtained a judgment against its debtor (the tenant) and an ex parte order from Supreme Court, based on that judgment, directing the city marshal to recover possession of the collateral.

Pursuant to the Supreme Court decree and without notice to Cla-Mil, the marshal broke the landlord's seal on the premises (which, perhaps ironically, had also been placed there by the city marshals) and removed the washers, dryers and associated equipment. To accomplish the removal, the marshal severed air vents, unplugged power lines, and disconnected hot and cold water pipes.

Cla-Mil has sued Medallion and its law firm, alleging that the damage to the premises was caused by the marshal's negligence in performing these disconnections. Cla-Mil alleged trespass, abuse of process and negligence. Supreme Court denied Medallion's motion for summary judgment and granted Cla-Mil partial summary judgment on the question of liability, reasoning in part that Medallion had an obligation to notify Cla-Mil before sending the marshal to repossess the collateral. The Appellate Division reversed and granted summary judgment in Medallion's favor. We now affirm.

UCC 9-604 (d) specifies that "[a] secured party that removes collateral shall promptly reimburse" the owner of real property damaged by the removal (other than the debtor). Here, the party that "remove[d] collateral" was not the secured party, nor any employee, contractor, or agent of the secured party. The New York City marshals are government officers appointed by the Mayor (CCA 1601), neutral and free of any conflict of interest concerning the removal of collateral (CCA 1601-a [2] [a]), and subject to discipline by appropriate authorities (*id.*).

^{*} The Appellate Division correctly awarded *Kramer & Shapiro, P.C.* summary judgment. The firm acted properly in seeking a court order on behalf of its client.

Marshals do not owe allegiance to or take orders from the secured creditors whose collateral they recover; rather, they act under the direction of a court, as the marshal did here.

[1] The marshal's actual and legal independence from the secured party suggests to us that the UCC reference to a "secured party that removes collateral" does not include secured parties who arrange for marshals to remove collateral under court order. Policy reasons support a distinction between marshals and secured parties, and we see no reason to conflate their identities under the UCC. If the marshal here damaged the real property, as Cla-Mil alleges, Cla-Mil should have brought an action against the marshal, rather than against Medallion. Indeed, marshals are bonded for just that purpose (*see* CCA 1604), and the Legislature has expressly authorized such actions in the New York City Civil Court (CCA 1605). We see no link between Medallion and the marshal sufficient to make Medallion liable for the marshal's alleged negligence.

[2] Furthermore, we reject Cla-Mil's claims to the extent they allege any direct wrongdoing by Medallion. Medallion obtained a judgment against the debtor, returned to court to get an order executing the judgment, and brought the order to a marshal to carry out the execution. At each stage, Medallion avoided self-help and appropriately relied on the legal system to recover its collateral with no breach of peace. Far from abusing legal process, Medallion submitted to legal authority at every step. Such conduct is consistent with public policy disfavoring parties taking matters into their own hands.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, GRAFFEO, READ and R.S. SMITH concur.

Order affirmed, with costs.

[846 NE2d 433, 813 NYS2d 3]

In the Matter of COUNCIL OF THE CITY OF NEW YORK, Appellant,
v MICHAEL R. BLOOMBERG, as Mayor of the City of New
York, et al., Respondents.

Argued January 4, 2006; decided February 14, 2006

SUMMARY

APPEAL, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered March 15, 2005. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, New York County (Faviola A. Soto, J.), which had granted the petition in a proceeding pursuant to CPLR article 78 and directed the Mayor of the City of New York to immediately implement and enforce Local Law No. 27 (2004) of the City of New York, (2) denied the petition, and (3) dismissed the proceeding.

Matter of Council of City of N.Y. v Bloomberg, 16 AD3d 212, affirmed.

HEADNOTES

Proceeding against Body or Officer — Mandamus

1. In a CPLR article 78 proceeding against the Mayor of the City of New York and the City of New York seeking a judgment requiring them to implement and enforce New York City's Equal Benefits Law (Administrative Code of City of NY § 6-126), the Mayor was entitled to raise the invalidity of the Equal Benefits Law as a defense, notwithstanding that an article 78 proceeding does not lie to challenge a legislative act. A petitioner who is challenging the validity of legislation may not use an article 78 proceeding for that purpose. However, an officer against whom an article 78 proceeding for a writ of mandamus is brought may defend on the ground that the legislation he or she has been asked to enforce is invalid.

Local Laws — Preemption by State — Equal Benefits Law

2. New York City's Equal Benefits Law (Administrative Code of City of NY § 6-126), which prohibits the City from entering into contracts in excess of \$100,000 with a contractor that does not provide to its employees' domestic partners employment benefits equal to those provided to spouses, conflicts with, and is preempted by, General Municipal Law § 103. Under section 103, contracts for public work over \$20,000 and purchase contracts over \$10,000 are to be awarded "to the lowest responsible bidder." The Equal Benefits Law violates this requirement by excluding from public contracting any "responsible bidder" that does not provide equal benefits to domestic partners and spouses. Further, the grant of power to municipalities to legislate concerning certain subjects, including some that affect persons employed by any contractor or subcontractor performing work, labor or services for the municipality (NY Const, art IX, § 2 [c] [ii] [9]; Municipal Home Rule Law § 10 [1] [ii] [a] [10]), is expressly made subject to contrary state legislation such as General Municipal Law § 103.

Statutes — Federal Preemption — Equal Benefits Law

3. New York City's Equal Benefits Law (Administrative Code of City of NY § 6-126), which prohibits the City from entering into contracts in excess of \$100,000 with a contractor that does not provide to its employees' domestic partners employment benefits equal to those provided to spouses, is preempted by the federal Employee Retirement Income Security Act of 1974 (29 USC § 1001 *et seq.* [ERISA]), except to the extent that it governs benefits that are outside ERISA's scope. ERISA governs employee benefit plans and their fiduciaries (*see* 29 USC § 1001 [b]), and supersedes state laws insofar as they relate to any employee benefit plan of the kind governed by ERISA (29 USC § 1144 [a]). The Equal Benefits Law seemingly seeks to do exactly what ERISA prohibits—to prescribe the terms of benefit plans. Moreover, the market participant exception to federal preemption, which has been recognized where the State acts as a market participant with no interest in setting policy, is inapplicable to the Equal Benefits Law because, in enacting the law, the Council of the City of New York was setting policy.

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By the Publisher's Editorial Staff

AM JUR 2d, Mandamus §§ 57, 59; AM JUR 2d, Pensions and Retirement Funds §§ 90–93; AM JUR 2d, Public Works and Contracts §§ 33, 35, 36, 77, 91.

CARMODY-WAIT 2d, Proceeding Against a Body or Officer §§ 145:135, 145:143, 145:654.

COUCH ON INSURANCE (3d ed)

McKINNEY'S, General Municipal Law § 103.

NY JUR 2d, Article 78 and Related Proceedings §§ 79, 101, 104, 111; NY JUR 2d, Counties, Towns, and Municipal Corporations §§ 1328, 1332, 1335, 1338, 1356, 1357; NY JUR 2d, Pensions and Retirement Systems § 10.

SIEGEL, NY PRAC § 558.

29 USCA § 1001 *et seq.*

ANNOTATION REFERENCE

See ALR Index under Mandamus; Pre-Emption; Public Works and Contracts.

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POINTS OF COUNSEL

Steven L. Holley, New York City, *David H. Braff*, *Bradley P. Smith*, *Julian C. Swearengen*, *Jay Damashek*, *Eric Lane* and *Robert J. Newman* for appellant. I. The Appellate Division's invalidation of the Equal Benefits Law upsets separation of

powers principles designed to preserve the power of the Legislature. (*Matter of Fullilove v Beame*, 48 NY2d 376; *Bourquin v Cuomo*, 85 NY2d 781; *Under 21, Catholic Home Bur. for Dependent Children v City of New York*, 65 NY2d 344; *Quaker Oats Co. v City of New York*, 295 NY 527; *Matter of Broidrick v Lindsay*, 39 NY2d 641; *Clark v Cuomo*, 66 NY2d 185; *New York Civ. Liberties Union v State of New York*, 4 NY3d 175; *New York City Health & Hosps. Corp. v McBarnette*, 84 NY2d 194; *Matter of People ex rel. Sherwood v State Bd. of Canvassers*, 129 NY 360; *Press v County of Monroe*, 50 NY2d 695.) II. The Appellate Division misconstrued state and federal constitutional principles when it invalidated the Equal Benefits Law. (*Matter of Graziano v County of Albany*, 3 NY3d 475; *Matter of Anderson v Town of Clarence*, 275 AD2d 930; *Matter of Mattioli v Casscles*, 50 AD2d 1013; *McMillen v Browne*, 14 NY2d 326; *City of New York v Diamond*, 379 F Supp 503; *People v Dethloff*, 283 NY 309; *Allen v Stevens*, 161 NY 122; *Sonmax, Inc. v City of New York*, 43 NY2d 253; *Associated Bldrs. & Contrs. v City of Rochester*, 67 NY2d 854; *Matter of New York State Ch., Inc., Associated Gen. Contrs. of Am. v New York State Thruway Auth.*, 88 NY2d 56.)

Michael A. Cardozo, Corporation Counsel, New York City (Alan G. Krams, Leonard Koerner, Martha Alfaro, June Buch, Spencer Fisher and Kristin M. Helmers of counsel), for respondents. I. The Appellate Division correctly addressed the merits of the Mayor of the City of New York's defense that he could not be directed to enforce Local Law No. 27 (2004) of the City of New York because the enactment is invalid. (*Under 21, Catholic Home Bur. for Dependent Children v City of New York*, 65 NY2d 344; *Matter of People ex rel. Sherwood v State Bd. of Canvassers*, 129 NY 360; *People ex rel. Balcom v Mosher*, 163 NY 32; *Matter of Carow v Board of Educ. of City of N.Y.*, 272 NY 341; *People ex rel. Dady v Prendergast*, 144 App Div 308, 203 NY 1; *Matter of McCabe v Voorhis*, 243 NY 401; *Matter of Mooney v Cohen*, 160 Misc 537, 272 NY 33, 597; *People ex rel. Ferguson v Vroman*, 101 Misc 233, 180 App Div 914, 222 NY 586; *Matter of Koenig v Flynn*, 258 NY 292, 285 US 375; *People ex rel. Adsit v Allen*, 42 NY 378.) II. Local Law No. 27 (2004) of the City of New York is invalid because it is inconsistent with competitive bidding requirements and other provisions in state law. (*Matter of New York State Ch., Inc., Associated Gen. Contrs. of Am. v New York State Thruway Auth.*, 88 NY2d 56; *Matter of Conduit & Found. Corp. v Metropolitan Transp. Auth.*, 66 NY2d 144; *Abco Bus Co. v Macchiarola*, 75 AD2d 831, 52 NY2d 938, 454

US 822; *Matter of DeFoe Corp. v New York City Dept. of Transp.*, 87 NY2d 754; *Associated Bldrs. & Contrs. v City of Rochester*, 67 NY2d 854; *Subcontractors Trade Assn. v Koch*, 96 AD2d 774, 62 NY2d 422; *Gerzof v Sweeney*, 16 NY2d 206; *American Inst. for Imported Steel v Office of Gen. Servs. of State of N.Y.*, 47 AD2d 118, 38 NY2d 991; *American Inst. for Imported Steel v County of Erie*, 32 AD2d 231; *Matter of Warren Bros. Co., Div. of Ashland Oil & Ref. Co. v Craner*, 30 AD2d 437.) III. The State Constitution and Municipal Home Rule Law do not furnish authority for the City of New York to impose requirements on contractors that are inconsistent with state laws. (*Matter of New York State Ch., Inc., Associated Gen. Contrs. of Am. v New York State Thruway Auth.*, 88 NY2d 56; *Associated Bldrs. & Contrs. v City of Rochester*, 67 NY2d 854; *Albany Area Bldrs. Assn. v Town of Guilderland*, 74 NY2d 372; *City of Amsterdam v Helsby*, 37 NY2d 19; *Matter of Marcus v Baron*, 84 AD2d 118, 57 NY2d 862; *Matter of Polan v State of N.Y. Ins. Dept.*, 3 NY3d 54; *People v Cook*, 34 NY2d 100; *Matter of Diamond Asphalt Corp. v Sander*, 92 NY2d 244; *McMillen v Browne*, 14 NY2d 326; *Consolidated Edison Co. of N.Y. v Town of Red Hook*, 60 NY2d 99.) IV. Local Law No. 27 (2004) of the City of New York is preempted by the Employee Retirement Income Security Act. (*Shaw v Delta Air Lines, Inc.*, 463 US 85; *California Div. of Labor Standards Enforcement v Dillingham Constr., N. A., Inc.*, 519 US 316; *Harvey v Members Empls. Trust for Retail Outlets*, 96 NY2d 99; *Egelhoff v Egelhoff*, 532 US 141; *Catholic Charities of Me., Inc. v City of Portland*, 304 F Supp 2d 77; *Air Transp. Assn. of Am. v City & County of San Francisco*, 992 F Supp 1149; *New York State Conference of Blue Cross & Blue Shield Plans v Travelers Ins. Co.*, 514 US 645; *HMI Mech. Sys., Inc. v McGowan*, 266 F3d 142; *Matter of Chesterfield Assoc. v New York State Dept. of Labor*, 4 NY3d 597; *Building & Constr. Trades Council v Associated Builders & Contractors of Mass./R.I., Inc.*, 507 US 218.) V. Local Law No. 27 (2004) of the City of New York curtails mayoral authority and is invalid because it was not approved by voters in a referendum. (*Mayor of City of N.Y. v Council of City of N.Y.*, 280 AD2d 380, 96 NY2d 713; *Morin v Foster*, 45 NY2d 287; *Shilbury v Board of Supervisors of County of Sullivan*, 54 Misc 2d 979; *Giuliani v Council of City of N.Y.*, 181 Misc 2d 830; *Matter of Slominski v Rutkowski*, 62 NY2d 781; *Hampton Hgts. Dev. Corp. v Board of Water Supply of City of Utica*, 136 Misc 2d 906, 140 AD2d 958; *Matter of Association for Better Long Is. v County of Suffolk*, 243 AD2d 560, 90 NY2d 811.)

Kelley Drye & Warren LLP, New York City (Francis T. Mur-

phy, John M. Callagy and Christopher C. Palermo of counsel), for Archdiocese of New York and others, amici curiae. I. Local Law No. 27 (2004) of the City of New York is invalid because it is inconsistent with state laws requiring competitive bidding for municipal contracts. (*Matter of Conduit & Found. Corp. v Metropolitan Transp. Auth.*, 66 NY2d 144; *Matter of New York State Ch., Inc., Associated Gen. Contrs. of Am. v New York State Thruway Auth.*, 88 NY2d 56; *New York State Club Assn. v City of New York*, 69 NY2d 211, 487 US 1; *Consolidated Edison Co. of N.Y. v Town of Red Hook*, 60 NY2d 99; *New York City Health & Hosps. Corp. v Council of City of N.Y.*, 303 AD2d 69; *Associated Bldrs. & Contrs. v City of Rochester*, 67 NY2d 854; *Subcontractors Trade Assn. v Koch*, 96 AD2d 774, 62 NY2d 422; *Matter of DeFoe Corp. v New York City Dept. of Transp.*, 87 NY2d 754; *Matter of Mid-State Indus. v City of Cohoes*, 221 AD2d 705; *Matter of Zara Contr. Co. v Cohen*, 45 Misc 2d 497, 23 AD2d 718.) II. Local Law No. 27 (2004) of the City of New York is invalid because it constrains the Mayor of the City of New York's authority without a voter referendum. III. Local Law No. 27 (2004) of the City of New York is preempted by federal law. (*Shaw v Delta Air Lines, Inc.*, 463 US 85; *Harvey v Members Empls. Trust for Retail Outlets*, 96 NY2d 99; *Air Transp. Assn. of Am. v City & County of San Francisco*, 992 F Supp 1149; *Catholic Charities of Me., Inc. v City of Portland*, 304 F Supp 2d 77; *New York State Conference of Blue Cross & Blue Shield Plans v Travelers Ins. Co.*, 514 US 645.)

Dewey Ballantine LLP, New York City (Aldo A. Badini, Adam J. Kaiser, Sara Fuks and Eric Laufgraben of counsel), Sharon M. McGowan, James D. Esseks and Arthur Eisenberg for American Civil Liberties Union and another, amici curiae. I. Home rule plays a significant role in our democracy. (*New State Ice Co. v Liebmann*, 285 US 262; *Barr v City of Syracuse*, 97 Misc 2d 453; *City of New York v Beretta U.S.A. Corp.*, 315 F Supp 2d 256; *Matter of Holland v Bankson*, 290 NY 267; *Bergerman v Lindsay*, 25 NY2d 405; *Avery v Midland County*, 390 US 474; *Roberts v United States Jaycees*, 468 US 609; *Romer v Evans*, 517 US 620.) II. The Equal Benefits Law is an appropriate exercise of home rule powers. (*City of New York v Diamond*, 379 F Supp 503; *Slattery v City of New York*, 179 Misc 2d 740; *Bracker v Cohen*, 204 AD2d 115; *McMillen v Browne*, 40 Misc 2d 348, 20 AD2d 531, 14 NY2d 326; *People v Crane*, 214 NY 154; *SSC Corp. v Town of Smithtown*, 66 F3d 502; *Under 21, Catholic Home Bur. for Dependent Children v City of New York*, 65 NY2d 344.) III. The Equal Benefits Law is not inconsistent

with state competitive bidding requirements. (*New York State Club Assn. v City of New York*, 69 NY2d 211; *Matter of Kress & Co. v Department of Health*, 283 NY 55; *People v Lewis*, 295 NY 42; *Matter of New York State Ch., Inc., Associated Gen. Contrs. of Am. v New York State Thruway Auth.*, 88 NY2d 56; *Heller v Department of Health of City of N.Y.*, 194 Misc 96; *People v Ortiz*, 125 Misc 2d 318; *City of New York v Diamond*, 379 F Supp 503; *Bracker v Cohen*, 204 AD2d 115; *Matter of Diamond Asphalt Corp. v Sander*, 92 NY2d 244; *Gerzof v Sweeney*, 16 NY2d 206.)

Morrison & Foerster LLP, New York City and San Francisco, California (*Jodi K. Miller*, *Ruth N. Borenstein*, *Paul Borden*, *Yana S. Johnson* and *Ellen K. Eagen* of counsel), for City and County of San Francisco and others, amici curiae. I. The amici curiae and other jurisdictions have successfully implemented comparable equal benefits laws. II. The Appellate Division erred by holding the Equal Benefits Law invalid due to the Employee Retirement Income Security Act preemption without addressing the market participant doctrine. (*Wisconsin Dept. of Industry v Gould Inc.*, 475 US 282; *Cardinal Towing & Auto Repair, Inc. v City of Bedford, Tex.*, 180 F3d 686; *Hotel Empls. & Rest. Empls. Union, Local 57 v Sage Hospitality Resources, LLC*, 390 F3d 206; *Associated Gen. Contrs. of Am. v Metropolitan Water Dist. of S. Cal.*, 159 F3d 1178; *Catholic Charities of Me., Inc. v City of Portland*, 304 F Supp 2d 77; *Alameda Newspapers, Inc. v City of Oakland*, 95 F3d 1406.)

Paul, Weiss, Rifkind, Wharton & Garrison LLP, New York City (*Sidney S. Rosdeitcher*, *Rebecca C. Shore* and *Judd Henry* of counsel), and *Paul K. Sonn* for Brennan Center for Justice at New York University School of Law, amicus curiae. I. Separation of powers principles require the Mayor to enforce a duly enacted law unless the law is enjoined or invalidated in a declaratory judgment action. (*Dalton v Pataki*, 5 NY3d 243; *41 Kew Gardens Rd. Assoc. v Tyburski*, 70 NY2d 325; *Holt v County of Tioga*, 56 NY2d 414; *New York City Health & Hosps. Corp. v McBarnette*, 84 NY2d 194.) II. The Mayor of the City of New York's claim that the Equal Benefits Law curtails his contracting powers is an unwarranted effort to deprive the New York City Council of powers conferred upon it by the New York City Charter to oversee and regulate contracting policies. (*Under 21, Catholic Home Bur. for Dependent Children v City of New York*, 65 NY2d 344; *Matter of Slominski v Rutkowski*, 62 NY2d 781; *Morin v Foster*, 45 NY2d 287.)

Hogan & Hartson L.L.P., New York City (David F. Wertheimer, Joanna Swomley, A. Cristina Pérez-Labiosa, M. Gavan Montague, Eva L. Dietz and Sandhya P. Kawatra of counsel), Susan Sommer and Alphonso David for LAMBDA Legal Defense and Education Fund, Inc., and another, amici curiae. I. The Equal Benefits Law's consistency with state procurement statutes is measured by a rational relation test. (*Matter of New York State Ch., Inc., Associated Gen. Contrs. of Am. v New York State Thruway Auth.*, 88 NY2d 56; *Gerzof v Sweeney*, 16 NY2d 206; *Abco Bus Co. v Macchiarola*, 75 AD2d 831, 52 NY2d 938; *Matter of General Contrs. Assn. of N.Y. v Tormenta*, 180 Misc 2d 384; *Matter of Acme Bus Corp. v Board of Educ. of Roosevelt Union Free School Dist.*, 91 NY2d 51; *McMillen v Browne*, 14 NY2d 326; 41 Kew Gardens Rd. Assoc. v Tyburski, 70 NY2d 325.) II. The Equal Benefits Law's legislative history demonstrates that it was enacted to further the goal of procuring high quality goods and services at low prices. (*Travis v Allstate Ins. Co.*, 280 AD2d 394; *State of New York v Green*, 96 NY2d 403; *Affronti v Crosson*, 95 NY2d 713.) III. The evidence supporting the Equal Benefits Law is consistent with the experience of the numerous private and public entities offering equal benefits. IV. The Appellate Division erred in finding that the Equal Benefits Law violates state procurement laws. (*Matter of New York State Ch., Inc., Associated Gen. Contrs. of Am. v New York State Thruway Auth.*, 88 NY2d 56; *Gerzof v Sweeney*, 16 NY2d 206; *J. I. Case Co. v Town Bd. of Town of Vienna*, 105 AD2d 1077; *Matter of Conduit & Found. Corp. v Metropolitan Transp. Auth.*, 66 NY2d 144; *Under 21, Catholic Home Bur. for Dependent Children v City of New York*, 65 NY2d 344; *McMillen v Browne*, 14 NY2d 326.)

OPINION OF THE COURT

R.S. SMITH, J.

We hold that New York City's Equal Benefits Law is preempted by state and federal statutes. We therefore affirm the Appellate Division's dismissal of a CPLR article 78 proceeding brought by the New York City Council to compel enforcement of that law.

Facts and Procedural History

The Equal Benefits Law (Administrative Code of City of NY § 6-126) was enacted by the City Council in 2004 over the Mayor's veto. It provides, in substance, that no city agency may enter into contracts having a value of \$100,000 or more annu-

ally with any person or firm that fails to provide to its employees' domestic partners employment benefits equal to those provided to spouses. "Domestic partners," as defined in the Equal Benefits Law, means people who are registered as having that status under Administrative Code § 3-240 (a), or who register with a contractor pursuant to the Equal Benefits Law itself (Administrative Code § 6-126 [b] [5]). "Employment benefits," as used in the Equal Benefits Law,

"means benefits including, but not limited to, health insurance, pension, retirement, disability and life insurance, family, medical, parental, bereavement and other leave policies, tuition reimbursement, legal assistance, adoption assistance, dependent care insurance, moving and other relocation expenses, membership or membership discounts, and travel benefits provided by a contractor to its employees" (Administrative Code § 6-126 [b] [7]).

Shortly before the Equal Benefits Law's effective date, the Mayor began a declaratory judgment action against the Council, asserting that the law was inconsistent with, and therefore preempted by, provisions of the General Municipal Law and the New York City Charter relating to municipal contracting; that it was also preempted by the federal Employee Retirement Income Security Act of 1974 (29 USC § 1001 *et seq.* [ERISA]); and that it was invalid because it curtailed the Mayor's powers without a referendum, in violation of the Municipal Home Rule Law and City Charter. After unsuccessfully seeking a temporary restraining order against the law's enforcement, the Mayor, through his counsel, informed Supreme Court that he would withdraw his motion for a preliminary injunction, that he would move promptly for summary judgment, and that in the meanwhile he would "comply with controlling state laws concerning procurement and the Charter"—i.e., that he would not implement the Equal Benefits Law. The next day, the Council began this CPLR article 78 proceeding, in the nature of mandamus to compel, against the Mayor and the City, asking for a judgment requiring them "immediately to implement and enforce the Equal Benefits Law." In response, the Mayor asserted, as he had in the declaratory judgment action, his reasons for considering the law invalid.

Supreme Court granted the petition without addressing the Mayor's arguments, relying on "the presumption of validity." The Appellate Division concluded that the Equal Benefits Law

was preempted by both the General Municipal Law and ERISA, and dismissed the proceeding on that basis. We now affirm.

Discussion

I

The Council argues that we should grant its petition and order the Equal Benefits Law enforced without considering the merits of the controversy, on the ground that the validity of a legislative enactment cannot be decided in an article 78 proceeding. The Council's argument is misconceived.

The rule relied on by the Council that "article 78 does not lie to challenge a legislative act" (*New York City Health & Hosps. Corp. v McBarnette*, 84 NY2d 194, 201 [1994]) means that a petitioner who is challenging the validity of legislation may not use an article 78 proceeding for that purpose; a lawsuit to challenge the validity of legislation should take the form of an action for a declaratory judgment. (*See also Press v County of Monroe*, 50 NY2d 695, 702 [1980]; *Matter of Kovarsky v Housing & Dev. Admin. of City of N.Y.*, 31 NY2d 184, 192 [1972].) It does not mean that, when an article 78 proceeding is brought to compel the enforcement of legislation the petitioner claims is valid, the court must grant the petition whether the legislation is valid or not.

[1] On the contrary, article 78 relief in the form of mandamus to compel may be granted only where a petitioner establishes a "clear legal right" to the relief requested (*Matter of Brusco v Braun*, 84 NY2d 674, 679 [1994]). And we have repeatedly held that an officer against whom a proceeding for a writ of mandamus is brought may defend on the ground that the legislation he or she has been asked to enforce is invalid (*Matter of Carow v Board of Educ. of City of N.Y.*, 272 NY 341, 345 [1936]; *People ex rel. Balcom v Mosher*, 163 NY 32, 35 [1900]). The theory the Council advocates would put the courts in the unacceptable position of directing an officer to violate his or her oath of office by enforcing an unconstitutional law, and would contradict the principle that "mandamus is never granted for the purpose of compelling the performance of an unlawful act" (*Matter of People ex rel. Sherwood v State Bd. of Canvassers*, 129 NY 360, 370 [1891]).

Thus we hold that the Appellate Division was correct in concluding that the Mayor was entitled to raise the invalidity of the Equal Benefits Law as a defense in this case. We are not

persuaded by our dissenting colleagues' arguments to the contrary.

The dissent asserts, without citation of authority, that the Mayor's duty is to "follow a duly enacted law . . . unless and until a court nullifies it" (dissenting op at 396). The assertion has a circular quality, for how can a law be "duly enacted" if the legislature that enacted it had no authority to do so? The Mayor does indeed have a duty to implement *valid* legislation passed by the City Council, whether over his veto or not, but he also has a duty to comply with valid state and federal legislation, including state competitive bidding laws and ERISA. Where a local law seems to the Mayor to conflict with a state or federal one, the Mayor's obligation is to obey the latter, as the Mayor has done here.

The dissent suggests that the procedural characteristics of an article 78 proceeding make it unsuitable for resolving the Mayor's contention that the Equal Benefits Law is invalid (dissenting op at 401-402). The suggestion is puzzling. Article 78 proceedings are indeed designed for the prompt resolution of largely legal issues, rather than for discovery, trials and "credibility judgments" (*id.* at 400), but, as we explain below, the validity of the Equal Benefits Law turns entirely on issues of law, not of fact. The dissent says that the likely fiscal impact of the Equal Benefits Law presents an issue of fact (*id.* at 399) but, as the next section of our opinion explains, it is not an issue sufficient to defeat summary judgment in this case. We assume the accuracy of the Council's assertion that the law will "not cost contractors much money" (*id.* at 400). We conclude that the law is nevertheless preempted by the competitive bidding statute.

The dissent seems to shrink, understandably, from following to the limits of its logic the proposition that an executive must implement every law, valid or invalid, that a legislative body enacts until a court determines the law's validity. Certainly, the dissenters would not so hold in an extreme case: If a legislative body enacted a law requiring racial segregation of public schools, the dissenters would not say that it is the duty of police to bar black children from "white" schools until a court orders them let in. And even in this case, the dissent stops short of saying that the relief the Council seeks in this article 78 proceeding—an order requiring implementation of the Equal Benefits Law, issued without considering the law's validity—should be granted. The dissenters say only that they would "reverse the order of the Appellate Division and allow the declaratory judg-

ment action to proceed” (dissenting op at 403)—so that the article 78 proceeding would presumably remain in limbo until the declaratory judgment action is decided. All that means, in this case, is that the parties would make, and the courts would resolve, exactly the same arguments the parties make here, but under a different caption. We decline to order such a purposeless exercise, and we proceed to consider whether the Mayor can be ordered to enforce the Equal Benefits Law.

II

[2] We agree with the Appellate Division that the Council’s article 78 proceeding must be dismissed because the Equal Benefits Law conflicts with, and is therefore preempted by, General Municipal Law § 103.

Under section 103 (1), “all contracts for public work involving an expenditure of more than twenty thousand dollars and all purchase contracts involving an expenditure of more than ten thousand dollars, shall be awarded . . . to the lowest responsible bidder . . .” The Mayor argues, and we hold, that the Equal Benefits Law violates this requirement by excluding from public contracting any “responsible bidder” that does not provide equal benefits to domestic partners and spouses.

Associated Bldrs. & Contrs. v City of Rochester (67 NY2d 854 [1986]) is the controlling authority. That case involved a City of Rochester ordinance providing that in awarding municipal construction contracts in excess of \$100,000, preference must be given to a contractor whose employees participated in a state-approved apprenticeship program. We held that, in view of section 103’s predominant purpose of “protection of the public fisc by requiring competitive bidding,” the ordinance could not stand (*id.* at 856). We acknowledged that the apprentice training that the Rochester ordinance sought to promote was “a desirable end,” but held it was not one that could “affect the qualification of an otherwise responsible low bidder” (*id.*). That logic is dispositive in this case. The provision of equal benefits for domestic partners and spouses may be a desirable end, but it is not one that New York City is free to pursue by departing from the requirements of the competitive bidding statute.

The Council argues that the Equal Benefits Law will not undermine the purposes of competitive bidding, because, the Council says, the economic impact of the Equal Benefits Law will be de minimis. The Council asserts, and we assume, that the cost of providing equal benefits to domestic partners and to

spouses will be close to zero. But the competitive bidding statute does not become inapplicable when the sums saved by complying with it are immaterial.

Apart from its purely financial effect, competitive bidding serves to prevent “favoritism, improvidence, fraud and corruption in the awarding of public contracts” (*Matter of New York State Ch., Inc., Associated Gen. Contrs. of Am. v New York State Thruway Auth.*, 88 NY2d 56, 68 [1996]). If municipalities are free to contract only with firms that provide certain benefits to their employees, the door is open at least to favoritism, for the municipality could design its requirements to match the benefit structure of the bidder it favored. No such thing has happened in this case, of course; we have no doubt that the Equal Benefits Law is a good faith effort to make contractors treat the domestic partners of employees in a way that the Council considers fair. But the competitive bidding statute reflects a judgment by the State Legislature that, to avoid among other things the risk of favoritism, municipalities must give business to the lowest responsible bidder, whether the bidder’s benefit plans meet the municipality’s idea of fairness or not.

The Council says that the validity of the Equal Benefits Law finds support in the *New York State Chapter* case; in *McMillen v Browne* (14 NY2d 326 [1964]); and in the home rule provisions of the State Constitution and implementing legislation. None of these is a sufficient basis for upholding the law.

In *New York State Chapter*, we held that entities governed by competitive bidding requirements could, under some circumstances, adopt so-called project labor agreements (PLAs), providing that bidders for public construction contracts must sign pre-negotiated labor agreements or be barred from bidding. We did not hold, however, that public entities could enter into PLAs as a means of assuring fair treatment to contractors’ employees. Indeed, we said that “PLAs that do have as their purpose social policymaking, such as remedying racial and gender bias, will not be sustained” (88 NY2d at 76). But we recognized that, while PLAs “have an anticompetitive impact on the bidding process,” they also brought economic benefits to the contracting authority, in that “the union promises labor peace through the life of the contract” (*id.* at 65). We held that the resulting “efficiencies to be gained” (*id.*) might justify a PLA under the competitive bidding laws. We said that a PLA would be upheld only if it “had as its purpose and likely effect the advancement of the interests embodied in the competitive bidding statutes” (*id.* at

69), which we identified as “prudent use of public moneys and . . . the acquisition of high quality goods and services at the lowest possible cost” (*id.* at 67).

In other words, under *New York State Chapter*, PLAs and other procedures having an anticompetitive effect on the bidding process can be justified only by proof that they are designed to save the public money by causing contracts to be performed at smaller cost or without disruption. No such justification can be convincingly claimed for the Equal Benefits Law. The Council says that the cost of the law will be insignificant, and will be outweighed by the benefits to the public that flow from assuring adequate health care to workers’ domestic partners, but the Council cannot and does not seriously assert that the “purpose and likely effect” of the law is to make the City’s contracts cheaper or their performance more efficient. The law—like the mayoral executive order prohibiting discrimination by city contractors based on sexual preference that was at issue in *Under 21, Catholic Home Bur. for Dependent Children v City of New York* (65 NY2d 344 [1985])—is obviously designed as “an enactment of social policy” (*id.* at 359 n 5). *New York State Chapter* gives no support to the view that social policy goals may trump the competitive bidding statute.

The Council relies on *McMillen* because in that case we upheld a local law requiring payment of a minimum wage by city contractors—a law plainly designed, as is the Equal Benefits Law, for the protection of contractors’ employees. The flaw in the Council’s argument is that *McMillen* had nothing to do with competitive bidding requirements; they are nowhere referred to in the decision. The issue in *McMillen* was whether New York City’s minimum wage requirement was preempted by the State’s prevailing wage and minimum wage laws. Our resolution of that issue is not relevant to this case.

The home rule provisions of the Constitution and the legislation implementing them list several subjects about which local governments are given the power to legislate. One of those subjects is “[t]he wages or salaries, the hours of work or labor, and the protection, welfare and safety of persons employed by any contractor or sub-contractor performing work, labor or services for [the municipality]” (NY Const, art IX, § 2 [c] [ii] [9]; Municipal Home Rule Law § 10 [1] [ii] [a] [10]). But this grant of power to municipalities is expressly made subject to contrary state legislation. The Constitution and the statute say that municipalities may adopt laws of the kind described in the

language we have quoted “except to the extent that the legislature shall restrict the adoption of such a local law” (NY Const, art IX, § 2 [c] [ii]; Municipal Home Rule Law § 10 [1] [ii]). General Municipal Law § 103 is, as *Associated Builders* makes clear, just such a restriction. The requirement of section 103 that municipalities contract with the lowest responsible bidder is plainly in tension with the right of a municipality to say that it will contract only with firms that provide certain benefits. Where the two conflict, as they do here, the legislative restriction on the municipality’s power prevails.

In short, the Equal Benefits Law conflicts with General Municipal Law § 103. The City Council has not demonstrated a clear legal right to have the Equal Benefits Law enforced.

III

[3] The Equal Benefits Law is also preempted by ERISA, except to the extent that it governs benefits that are outside ERISA’s scope. In so holding, we agree with two federal district courts that have addressed the validity under ERISA of local legislation similar to the Equal Benefits Law (*Catholic Charities of Me., Inc. v City of Portland*, 304 F Supp 2d 77, 84-93 [D Me 2004]; *Air Transp. Assn. of Am. v City & County of San Francisco*, 992 F Supp 1149, 1165-1180 [ND Cal 1998]).

ERISA is a federal statute that imposes disclosure and reporting requirements, and establishes standards of conduct, for employee benefit plans and their fiduciaries (*see* 29 USC § 1001 [b]). A consistent, nationwide regulatory scheme was clearly one of Congress’s goals, and to that end it provided that “the provisions of [ERISA] shall supersede any and all State laws insofar as they may now or hereafter relate to any employee benefit plan” of the kind governed by ERISA (29 USC § 1144 [a]). ERISA plans include, among other things, “any plan, fund, or program . . . maintained by an employer . . . for the purpose of providing . . . medical, surgical, or hospital care or benefits, or benefits in the event of sickness, accident, disability, death or unemployment . . .” (29 USC § 1002 [1] [A]). Clearly, the coverage of ERISA overlaps substantially with the coverage of the Equal Benefits Law, though the Equal Benefits Law may apply to some benefits not governed by ERISA (*see Air Transp. Assn. of Am. v City & County of San Francisco*, 992 F Supp at 1169 [a law applying to “benefits that . . . require no ‘ongoing administrative program,’ . . . does not apply to a ‘plan’ and thus is not preempted”; also, “(m)oving expenses . . . are not even ERISA-covered benefits”]).

The broad preemptive language of 29 USC § 1144 (a), superseding all laws that “relate to any employee benefit plan,” has been held by the United States Supreme Court to be no less sweeping than it appears on its face: “A law ‘relates to’ an employee benefit plan, in the normal sense of the phrase, if it has a connection with or reference to such a plan” (*Shaw v Delta Air Lines, Inc.*, 463 US 85, 96-97 [1983]). In *Shaw*, the Court struck down a New York law that prohibited discrimination in the provision of employee benefits on the basis of pregnancy. *Shaw* holds that states (and, of course, municipalities) cannot regulate the content of ERISA plans. That holding has been left untouched by more recent cases, which hold, in effect, that ERISA does not preempt every state law that has an indirect impact on an ERISA plan (*New York State Conference of Blue Cross & Blue Shield Plans v Travelers Ins. Co.*, 514 US 645 [1995]; *HMI Mech. Sys., Inc. v McGowan*, 266 F3d 142 [2d Cir 2001]).

The Equal Benefits Law seemingly seeks to do exactly what ERISA, as interpreted in *Shaw*, prohibits—to prescribe the terms of benefit plans. The Council argues, however, that the prohibition is inapplicable because the Equal Benefits Law does not compel any firm to offer domestic partner benefits; it merely provides that the City will not contract with firms that do not do so. Thus, says the Council, the law does not regulate benefit plans, but reflects a decision by the City, as a market participant, to choose the firms it deals with based on the benefits those firms provide their employees. The Council’s “market participant” argument is inconsistent with United States Supreme Court precedent.

While the Supreme Court has not addressed the market participant theory in an ERISA preemption case, it recognized a limited market participant exception to federal labor law preemption in the so-called *Boston Harbor* case (*Building & Constr. Trades Council v Associated Builders & Contractors of Mass./R.I., Inc.*, 507 US 218 [1993]). *Boston Harbor* (like our *New York State Chapter* case, discussed at pages 391-392 above) involved a public agency’s practice of entering into project labor agreements that required its contractors to sign agreements with labor unions, in order to prevent a project from being disrupted by labor disputes. Under the preemptive provisions of federal labor law, a state could not impose such a requirement by statute or regulation, but the Court held in *Boston Harbor* that the requirement could be imposed by a state agency when

the state is not regulating, but is acting as an owner or manager of property that “must interact with private participants in the marketplace” (507 US at 227). The *Boston Harbor* court recognized, as we did in *New York State Chapter*, that a PLA may produce economic benefits that a public proprietor, like a private proprietor, should be free to seek in the marketplace. The Court thus recognized a distinction “between government as regulator and government as proprietor” (*id.*).

Boston Harbor does not hold, however, that a state may escape the force of federal preemption by using its power in the marketplace to implement governmental policies. To the contrary, *Boston Harbor* makes clear that a state acts as a regulator, not a proprietor, when it uses its bargaining leverage as a means of attaining policy ends. Thus, the Court in *Boston Harbor* distinguished *Wisconsin Dept. of Industry v Gould Inc.* (475 US 282 [1986]), which held that certain state activity in the marketplace was preempted.

In *Gould*, the Court held that a Wisconsin statute barring some labor law violators from doing business with the State was preempted by federal labor law. The difference between *Boston Harbor* and *Gould*, the Court explained in *Boston Harbor*, is that in *Gould* the State’s reason for its marketplace activity was to deter labor law violations, not to protect the State’s proprietary interest in the efficient performance of contracts (507 US at 228-229). Under *Boston Harbor*, the market participant exception to preemption is limited to the situation where “the State acts as a market participant with no interest in setting policy” (*id.* at 229).

The Equal Benefits Law is much more like the statute involved in *Gould* than the contract specification at issue in *Boston Harbor*. In enacting the Equal Benefits Law the Council was obviously “setting policy.” As we pointed out above, it was not acting just as a manager or owner of property concerned with assuring the cheap and efficient performance of contracts. The Equal Benefits Law, as its name implies, is designed to induce contractors to treat domestic partners and spouses equally, just as the Wisconsin statute in *Gould* was designed to induce contractors to avoid unfair labor practices. Thus the market participant exception does not apply here, and the Equal Benefits Law, except to the extent that the benefits it governs are not provided through ERISA plans, is preempted by ERISA.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

ROSENBLATT, J. (dissenting). As a threshold matter, the City Council asserts that the Mayor may not challenge the validity of the Equal Benefits Law in this CPLR article 78 case. The majority claims that the Council's approach would put the courts in "the unacceptable position of directing an officer to violate his or her oath of office by enforcing an unconstitutional law" (majority op at 388). Respectfully, I dissent. Under a separation of powers system it is the job of the legislative branch to enact laws and the executive to carry them out.¹ An executive who believes that a law is unconstitutional is not powerless but must follow a process by which the judiciary—and not the executive—determines the issue in the first instance.

I.

By insisting that the Mayor follow a duly enacted law—unless and until a court nullifies it—the Council is not putting the courts in an "unacceptable position" of directing the Mayor to violate his oath.² On the contrary, our system requires that the judiciary preserve its duty as arbiter of a law's constitutionality. An executive is authorized to bring a declaratory judgment action challenging an enactment's constitutionality and the case goes forward until a final judicial declaration is made. That's how the system is supposed to work.

What happened here upended the process. The City Council enacted Local Law No. 27 (2004) (adding Administrative Code of City of NY § 6-126 [the Equal Benefits Law]) by a vote of 43 to 5. The Mayor disapproved the law. By a vote of 41 to 4 the

1. The Mayor is "the chief executive officer of the city" (NY City Charter § 3), whereas the City Council is "vested with the legislative power of the city" (NY City Charter § 21).

2. The majority disapproves of my asserting "without citation of authority" that the Mayor has a duty to follow enacted law unless and until a court nullifies it (majority op at 389). It seems to me basic that legislatures pass laws, executives carry them out and courts decide their constitutionality. The Supreme Court has told us as much (see *Marbury v Madison*, 1 Cranch [5 US] 137, 177 [1803]; *Kendall v United States ex rel. Stokes*, 12 Pet [37 US] 524, 613 [1838]; *Youngstown Sheet & Tube Co. v Sawyer*, 343 US 579, 587-588 [1952]). If the majority means that there is no authority in the New York jurisprudence for this proposition, that is probably because no one thought to question it and the prospect of a New York executive (governor, mayor or county executive) unilaterally refusing to follow a legislative enactment is virtually unheard of.

City Council overrode the Mayor's veto, pursuant to New York City Charter § 37 (b).³

The Mayor then sought a judgment declaring the law invalid and a permanent injunction barring its implementation. He also applied for a temporary restraining order and moved for a preliminary injunction staying implementation.⁴ After Supreme Court denied his application for a temporary restraining order, the Mayor announced that his administration would not implement the law. On the day the Equal Benefits Law took effect, the City Council commenced an article 78 proceeding to compel the Mayor to enforce the law. In his verified answer, the Mayor asserted by way of affirmative defense that the law was invalid.

After the legislature enacts a law it should not be necessary for it to start a lawsuit saying, in effect, "We've passed the law and really meant it; now we need a court to direct the executive to enforce it." Passing the law ought to be enough; a legislature should not be forced to go through this second step. By implementing a duly enacted law, the Mayor is violating no oath; he is following precepts fundamental to a system of separation of powers (*see Under 21, Catholic Home Bur. for Dependent Children v City of New York*, 65 NY2d 344, 356 [1985]). Indeed, an executive's oath of office is honored not by repudiating the law but by carrying it out unless and until the judiciary nullifies it.

Should a piece of legislation appear to be unlawful, the executive may seek its judicial invalidation, using expedited measures as necessary. Were this a clearly unlawful piece of legislation, as the racial segregation example the majority poses (majority op at 389-390), then no doubt a court would act immediately to block its implementation. Here, the Mayor lost his application for a temporary restraining order but still refuses to comply with the law, conflating the roles of the executive and judicial branches of our government.

II.

Our colleagues in the majority apparently recognize that a petitioner who challenges the validity of legislation may not

3. The Mayor may veto ("disapprove") a local law but, if after reconsideration, "the votes of two-thirds of all the council members be cast in favor of repassing such local law, it shall be deemed adopted, notwithstanding the objections of the mayor" (NY City Charter § 37 [b]).

4. The Mayor withdrew his motion for a preliminary injunction the day before the Equal Benefits Law took effect.

proceed by article 78 but must bring a declaratory judgment action (see majority op at 388). That is the law. (*New York City Health & Hosps. Corp. v McBarnette*, 84 NY2d 194, 203-204 [1994].) Cases to this effect are legion.⁵ Unless the challenge is directed at the procedures followed in the enactment or at the constitutionality of its application, “an article 78 proceeding may not be used to test the constitutionality of a legislative enactment” (*Board of Educ. of Belmont Cent. School Dist. v Gootnick*, 49 NY2d at 687; see *Matter of Save the Pine Bush v City of Albany*, 70 NY2d at 202).

The majority goes on, however, to hold that a constitutional challenge may be employed as a “defense” in an article 78 proceeding (majority op at 388).⁶ I disagree and would rule that the executive may not assail the constitutionality of a law in a lawsuit that he, in effect, provoked because he refused to apply the law in the first place. If we approved of that type of executive action, the executive branch could refuse to enforce duly enacted legislation and put lawmakers to the burden of bringing litigation to give life to their laws.

By acting as it did, the executive branch shifted the burden, creating a precedent that, in my view, skews the roles of the legislative and executive branches. The City Charter “provide[s] for distinct legislative and executive branches” and “no matter how well-intentioned his actions may be, the Mayor may not unlawfully infringe upon the legislative powers reserved to the City Council” (*Under 21, Catholic Home Bur. for Dependent Children v City of New York*, 65 NY2d at 356). This is true whether the executive attempts to “legislate” by action or by

5. See e.g. *Matter of Lakeland Water Dist. v Onondaga County Water Auth.*, 24 NY2d 400, 407 (1969); *Matter of Kovarsky v Housing & Dev. Admin. of City of N.Y.*, 31 NY2d 184, 191 (1972); *Board of Educ. of Belmont Cent. School Dist. v Gootnick*, 49 NY2d 683, 687 (1980); *Press v County of Monroe*, 50 NY2d 695, 702 (1980); *Matter of Save the Pine Bush v City of Albany*, 70 NY2d 193, 202 (1987).

6. The majority suggests (majority op at 388) that this Court expressly held in *Matter of Carow v Board of Educ. of City of N.Y.* (272 NY 341 [1936]) and *People ex rel. Balcom v Mosher* (163 NY 32 [1900]) that an officer against whom a proceeding for a writ of mandamus was brought could defend on the ground that the legislation he or she had been asked to enforce was invalid. In those cases, the Court apparently assumed that courts could rule on the constitutionality of a law concerning civil service appointments, even though the context was an application for a peremptory writ of mandamus commanding relator’s appointment. But nowhere in either opinion does the Court state such a proposition as a holding.

inaction, by an unauthorized executive order or by impermissible failure to enforce.

Further, executive action of this type would strip the judiciary of its power to determine, in the first instance, whether a law is valid, and thereby clothe the executive with not only legislative but judicial powers. The Mayor's position that the executive branch can say when a law is unconstitutional equates the powers of executive officials with those of the judiciary (*see Ameron, Inc. v U.S. Army Corps of Engrs.*, 610 F Supp 750, 754 [D NJ 1985]). "It is emphatically the province and duty of the judicial department to say what the law is." (*Marbury v Madison*, 1 Cranch [5 US] 137, 177 [1803].)

III.

For these reasons, I would not reach the questions of state or federal preemption but would have the declaratory judgment action go forward. The grounds of that action are that the Equal Benefits Law is preempted by state law and by federal law and that it curtails mayoral powers without providing for a referendum. The Mayor claims state law preemption, asserting that the Equal Benefits Law conflicts with the competitive bidding statute, General Municipal Law § 103. He further claims that the Equal Benefits Law is federally preempted insofar as it directly affects contractors' Employee Retirement Income Security Act of 1974 (ERISA) plans.⁷

Contrary to the majority's statement (majority op at 389), the state and federal law preemption claims do raise questions of fact. The Mayor claims that the Equal Benefits Law impedes competition to bid for contracts with New York City, and that neither its purpose nor its likely effect is to obtain the best work at the lowest possible price. The City Council, on the other hand, asserts the very opposite, quoting New York State Comptroller Alan Hevesi's testimony that the Equal Benefits Law "has the potential to save significant resources for both the city and the state of New York." The federal law preemption claim turns on the nature and extent of the economic effect of the law on the costs of contractors' ERISA plans. Contradict-

7. ERISA does not preempt "laws with only an indirect economic effect on the relative costs of . . . health insurance packages" (*New York State Conference of Blue Cross & Blue Shield Plans v Travelers Ins. Co.*, 514 US 645, 662 [1995]; *see also Burgio & Campofelice, Inc. v New York State Dept. of Labor*, 107 F3d 1000, 1009 [2d Cir 1997]; *HMI Mech. Sys., Inc. v McGowan*, 266 F3d 142, 151 [2d Cir 2001]).

ing the Mayor's position on the Equal Benefits Law, the City Council quotes testimony suggesting that a similar law in San Francisco "works because it does not cost contractors much money to comply with this legislation."

If, as our own jurisprudence mandates, the declaratory judgment action were allowed to run its course, the Mayor's motion for summary judgment and the City Council's response would be accompanied by the submission of evidence pertaining to the intent of the City Council in enacting the Equal Benefits Law and its expected economic effects. Expert testimony would be sought, hearings transcripts would be studied, credibility judgments would be made. Supreme Court would be able to consider the extent to which factual matters were rationally controverted in reaching a conclusion about whether summary judgment was warranted. It would do so with all facts viewed in the light most favorable to the nonmoving City Council.

Instead, the Appellate Division improperly chose to rule on the validity of a duly enacted local law in the context of an article 78 proceeding and therefore made its decision with the benefit only of a verified petition, a verified answer and a handful of accompanying documents and preceding pleadings. Such a ruling implicitly does away with the heavy burden our case law imposes on a party seeking to challenge a duly enacted law. "[P]arties challenging a duly enacted statute face the initial burden of demonstrating the statute's invalidity beyond a reasonable doubt" (*Dalton v Pataki*, 5 NY3d 243, 255 [2005] [internal quotation marks and citations omitted]).

In fact, in order to prevail, a challenger has to "prove beyond a reasonable doubt that in any degree and in every conceivable application the [legislative enactment] suffers wholesale constitutional impairment" (*Local Govt. Assistance Corp. v Sales Tax Asset Receivable Corp.*, 2 NY3d 524, 535 [2004] [internal quotation marks and citation omitted]; see also *Cohen v State of New York*, 94 NY2d 1, 8 [1999]; *Matter of Moran Towing Corp. v Urbach*, 99 NY2d 443, 448 [2003]). Moreover, we have held that this heavy initial burden applies not only to challenges to state laws but also to challenges to municipal ordinances (*Lighthouse Shores v Town of Islip*, 41 NY2d 7, 11 [1976]; *Twin Lakes Dev. Corp. v Town of Monroe*, 1 NY3d 98, 106 [2003]).

When a challenge to a law is raised in an article 78 proceeding, whether by one side or the other, the challenger is unfairly

relieved of its burden if a court summarily declares the law invalid without benefit of a record assembled with that burden in mind. This distinction between article 78 and declaratory judgment is critical and must be maintained if we are to preserve proper methods of constitutional analysis. This goes to more than form. In the case before us, it implicates separation of powers.

IV.

As a special proceeding, an article 78 proceeding “is as plenary as an action, culminating in a judgment, but is brought on with the ease, speed, and economy of a mere motion” (Siegel, NY Prac § 547, at 943 [4th ed]). Since it is “designed to facilitate a ‘summary disposition’ of the issues presented,” its procedures are in keeping with its summary nature (*Davidson v Capuano*, 792 F2d 275, 280 [2d Cir 1986]). Although an article 78 respondent may move for summary judgment pursuant to CPLR 409 (b), it remains “in the very spirit and purpose of proceedings under article 78 to provide a summary remedy, so summary, indeed, as to dispense with the need or occasion for the application of summary judgment” (*Matter of Rockwell v Morris*, 12 AD2d 272, 275 [1st Dept 1961]).

By contrast, a declaratory judgment action brings with it all the apparatus of an action, proceeding to trial unless the court dismisses the case or grants a motion for summary judgment. Faced with a summary judgment motion, the court must carefully consider the material facts to ascertain whether any are genuinely controverted, before deciding that there is, or is not, a material triable issue of fact (*Glick & Dolleck v Tri-Pac Export Corp.*, 22 NY2d 439, 441 [1968]; *Zuckerman v City of New York*, 49 NY2d 557, 562 [1980]). Moreover, in that posture, the facts must be viewed in the light most favorable to the nonmoving party (*Matsushita Elec. Industrial Co. v Zenith Radio Corp.*, 475 US 574, 587 [1986]).

Whether it is the article 78 petitioner or—as in this case—the opposing side (the Mayor) who seeks to have the courts declare a law invalid, the careful scrutiny of the record in search of triable facts that accompanies an action at the summary judgment stage is too easily bypassed when the validity of a law is sum-

marily and improperly assessed in a manner suited to special proceedings that are strictly limited in scope.⁸

The article 78 proceeding has the quite specific purpose of superseding the common-law writs of mandamus, prohibition and certiorari to review. It is ill fit as a vehicle for constitutional analysis. By contrast, there is no statutory restriction on the kinds of claim that may be brought in the form of a declaratory judgment action and it has traditionally been used to test a law's constitutionality (Siegel, NY Prac § 437, at 741 [4th ed]).

V.

The Mayor relies on *Matter of People ex rel. Sherwood v State Bd. of Canvassers* (129 NY 360 [1891]). There, we denied an application for a writ of mandamus compelling the issuance of a certificate of election to a prospective state senator who was constitutionally ineligible for the office because he was already a city government officer. The Court, however, repeatedly stressed the undisputed nature of the facts: the question of the candidate's ineligibility was "a pure legal question, depending upon undisputed facts" (*id.* at 366); "upon the undisputed facts, the court [was] able to see that he [was] ineligible" (*id.* at 373). At best, *Sherwood* stands for the proposition that an article 78 proceeding may properly be dismissed where, because the facts are undisputed, the court can decide as a matter of law that the petitioner has no legal right to the relief sought. The present litigation is as factually controverted as *Sherwood* was factually simple.

In *Kendall v United States ex rel. Stokes* (12 Pet [37 US] 524 [1838]), the United States Supreme Court affirmed a judgment of the Circuit Court of the District of Columbia ordering a writ

8. CPLR 7803 provides that

"[t]he *only* questions that may be raised in a proceeding under [article 78] are:

"1. whether the body or officer failed to perform a duty enjoined upon it by law; or

"2. whether the body or officer proceeded, is proceeding or is about to proceed without or in excess of jurisdiction; or

"3. whether a determination was made in violation of lawful procedure, was affected by an error of law or was arbitrary and capricious or an abuse of discretion, including abuse of discretion as to the measure or mode of penalty or discipline imposed; or

"4. whether a determination made as a result of a hearing held, and at which evidence was taken, pursuant to direction by law is, on the entire record, supported by substantial evidence." (Emphasis added.)

of mandamus to compel an executive branch official, the Postmaster General, to implement a law that he refused to enforce. The Court rejected the argument that the executive branch was vested with the power to refuse to enforce a law. “To contend that the obligation imposed on the [executive branch] to see the laws faithfully executed, implies a power to forbid their execution, is a novel construction of the constitution, and entirely inadmissible” (*id.* at 613).

VI.

Just as a judicial “injunction must be obeyed until modified or dissolved, and its unconstitutionality is no defense to disobedience” (*Metropolitan Opera Assn., Inc. v Local 100, Hotel Empls. & Rest. Empls. Intl. Union*, 239 F3d 172, 176 [2d Cir 2001]; see *Walker v Birmingham*, 388 US 307, 314-321 [1967]), duly enacted legislation must be enforced by the executive branch and its alleged invalidity is no defense.

By refusing to enforce a duly enacted law of New York City’s legislative branch, the Mayor assumes a legislative authority he does not possess. When the executive acts inconsistently with the legislature or usurps its exclusive powers, the doctrine of separation of powers is violated (*Rapp v Carey*, 44 NY2d 157 [1978]). “The Framers with memories of the tyrannies produced by a blending of executive and legislative power rejected that political arrangement.” (*Youngstown Sheet & Tube Co. v Sawyer*, 343 US 579, 633 [1952, Douglas, J., concurring].)

I would therefore reverse the order of the Appellate Division and allow the declaratory judgment action to proceed.

Judges G.B. SMITH, GRAFFEO and READ concur with Judge R.S. SMITH; Judge ROSENBLATT dissents in a separate opinion in which Chief Judge KAYE and Judge CIPARICK concur.

Order affirmed, with costs.

[846 NE2d 457, 813 NYS2d 27]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v BAUMANN
& SONS BUSES, INC., Respondent.

Argued February 15, 2006; decided March 23, 2006

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Term of the Supreme Court in the Second Judicial Department, entered April 6, 2005. The Appellate Term (1) reversed, on the law, a judgment of the District Court of Suffolk County (James P. Flanagan, J.), which had convicted defendant, after a nonjury trial, of violating Islip Town Code § 35-3 (D), (2) dismissed the information and (3) remitted the fine.

People v Baumann & Sons Buses, Inc., 7 Misc 3d 128(A), 2005 NY Slip Op 50488(U), appeal dismissed.

HEADNOTE

Appeal — Court of Appeals — Preservation of Issue for Review — Reversal on Basis of Unpreserved Error

An intermediate appellate court's reversal of a conviction on the basis of an unpreserved error, and therefore as a matter of discretion in the interest of justice, is not appealable to the Court of Appeals. Accordingly, because the validity of an ordinance prohibiting unreasonable engine noise was not challenged before the trial court, the issue of whether an anti-noise statute requires an element of public nuisance, as concluded by the Appellate Term in reversing defendant's conviction under the ordinance, was unpreserved for review by the Court of Appeals (*see* CPL 470.05 [2]). Although a claim that an accusatory instrument is facially insufficient presents a jurisdictional question exempt from the requirement of preservation, that was not the error alleged in this case, where the information contained allegations sufficient to establish, if true, every element of the offense as defined in the ordinance. Inasmuch as a challenge to the constitutionality of a statute must be preserved, the Court of Appeals will not consider a constitutional claim in the guise of an argument that the accusatory instrument was facially insufficient.

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By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 79, 691, 695, 697, 702, 704.
CARMODY-WAIT 2d, Criminal Procedure §§ 172:4342,
172:4343, 172:4432, 172:4436, 172:4480, 172:4490.
McKINNEY'S, CPL 470.05 (2).
NY JUR 2d, Criminal Law §§ 3125-3127, 3137, 3140, 3249,
3286, 3291.

SIEGEL, NY PRAC § 10.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Appellate Procedure Rules; Criminal Procedure Rules.

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POINTS OF COUNSEL

Vincent J. Messina, Jr., Town Attorney, Islip (Robert L. Cicale of counsel), for appellant. I. The Appellate Term erred in finding the accusatory instrument to be defective due to a purported failure to allege the nature of the nuisance. (*People v Canner*, 40 NY2d 886; *People v Bakolas*, 59 NY2d 51.) II. The Islip town noise ordinance is both constitutional on its face as enacted by the Islip Town Board and as applied in the instant case. (*Marcus Assoc. v Town of Huntington*, 45 NY2d 501; *Lighthouse Shores v Town of Islip*, 41 NY2d 7; *People v Bakolas*, 59 NY2d 51; *People v Frie*, 169 Misc 2d 407; *People v Byron*, 17 NY2d 64; *People v New York Trap Rock Corp.*, 57 NY2d 371.) III. The judgment of the trial court should be affirmed since sufficient evidence was presented at trial to support the verdict of guilty. (*People v Byron*, 17 NY2d 64.)

Hamburger, Maxson, Yaffe, Wishod, Knauer & Rothberg, LLP, Melville (Richard Hamburger and William P. Caffrey, Jr. of counsel), for respondent. I. The People failed to allege the public nature of the nuisance. (*People v Kings County Iron Foundry*, 209 NY 207; *People v Rubinfeld*, 254 NY 245; *People v Chesnick*, 302 NY 58; *People v Munafo*, 50 NY2d 326; *People v Most*, 171 NY 423; *People v Canner*, 88 Misc 2d 85, 40 NY2d 886; *McFarlane v City of Niagara Falls*, 247 NY 340; *Copart Indus. v Consolidated Edison Co. of N.Y.*, 41 NY2d 564; *People v Bakolas*, 59 NY2d 51.) II. The evidence at trial was legally insufficient to support defendant's conviction. III. Definition "A" of the Town of Islip noise ordinance was unconstitutionally vague on its face. (*Hill v Colorado*, 530 US 703; *Ulster Home Care v Vacco*, 96 NY2d 505; *People v Stuart*, 100 NY2d 412; *People v New York Trap Rock Corp.*, 57 NY2d 371; *People v Bakolas*, 59 NY2d 51; *People v Geel*, 180 Misc 2d 272; *People v Donato*, 179 Misc 2d 192; *People v Kleber*, 168 Misc 2d 824; *People v Lord*, 7 Misc 3d

78; *People v O'Connell*, 4 Misc 3d 54.) IV. The Town of Islip noise ordinance is unconstitutional as applied to defendant. (*Town of Concord v Duwe*, 4 NY3d 870; *People v Stuart*, 100 NY2d 412; *People v New York Trap Rock Corp.*, 57 NY2d 371; *Suffolk Outdoor Adv. Co. v Hulse*, 43 NY2d 483; *Modjeska Sign Studios v Berle*, 43 NY2d 468; *Village of Hempstead v SRA Realty Corp.*, 208 AD2d 713; *Affronti v Crosson*, 95 NY2d 713.)

OPINION OF THE COURT

Chief Judge KAYE.

Defendant was charged with violating Islip Town Code § 35-3 (D), which prohibits unreasonable engine noise. After a nonjury trial, District Court found defendant guilty, concluding that the People had proved beyond a reasonable doubt that on the date in question, defendant continuously operated approximately 50 bus engines for several hours beginning at 5:30 A.M. The court further found that the operation of these engines was audible beyond the real property where it originated and thereby disturbed the individual named complainant.

The Appellate Term reversed the judgment of conviction and dismissed the information, holding that “[i]t is well settled that anti-noise statutes are designed to prevent those noises which are of such a pitch as to constitute a public nuisance and a wrong against the community, and are therefore the proper subject of public prosecution. These statutes are reserved for situations that go beyond the concern of the individual to a point where they become a potential or an immediate public problem” (7 Misc 3d 128[A], 2005 NY Slip Op 50488[U], *1 [App Term, 2d Dept 2005] [citations omitted]).

Although the intermediate appellate courts have broad power to review questions of fact, as well as broad discretionary powers (*see* CPL 470.15), this Court, as a court of limited jurisdiction, may, with few exceptions, consider only questions of law (*see* NY Const, art VI, § 3 [a]; *see also* CPL 470.35). A

“question of law with respect to a ruling . . . of a criminal court during a trial or proceeding is presented when a protest thereto was registered, by the party claiming error, at the time of such ruling . . . or at any subsequent time when the court had an opportunity of effectively changing the same” (CPL 470.05 [2]).

Thus, only questions that “have been properly preserved for

review by appropriate motion or objection in the court of first instance[] may be brought before the Court of Appeals” (Karger, Powers of the New York Court of Appeals § 1:3, at 9 [3d ed rev]).

As both parties acknowledge, the validity of the Islip ordinance was not challenged before the trial court. Accordingly, the issue whether an anti-noise statute requires an element of public nuisance—as the Appellate Term concluded—is unpreserved for our review (*see* CPL 470.05 [2]). Although the Appellate Term recited that its reversal was on the law, that court necessarily decided the unpreserved issue within its interest-of-justice jurisdiction (*see People v Johnson*, 47 NY2d 124, 126 [1979]; CPL 470.15 [3] [c]). As the intermediate appellate court reversed the conviction on the basis of an unpreserved error, and therefore as a matter of discretion in the interest of justice, its order is not appealable to this Court (*see People v Dercole*, 52 NY2d 956, 957 [1981]; *People v Cona*, 49 NY2d 26, 33 [1979]; *see also* CPL 450.90 [2] [a]; 470.35 [2]).

The People correctly point out that a claim that an accusatory instrument is facially insufficient presents a jurisdictional question exempt from the requirement of preservation (*see People v Alejandro*, 70 NY2d 133 [1987]). Here, however, the alleged error involved not a claim that the information failed to set forth factual allegations sufficient to establish any particular element of the charged anti-noise offense as set forth in the Islip Town Code (*see* CPL 100.40 [1] [c]), but rather that an anti-noise statute must contain an additional element neither found in the text of the ordinance nor previously read into the statute by a construing court. The trial court was never asked to undertake any such construction.

Islip Town Code § 35-3 (D) classifies as a violation the “operation, including the stationary idling, of any engine, including, but not limited to, an automobile, truck, motorcycle, motorbike, motorboat or minibike engine, so as to create a noise disturbance.” A “noise disturbance” is defined as “[t]hat level of sound which . . . [a]nnoys or disturbs a reasonable person of normal auditory sensitivities” (Islip Town Code § 35-2 [A]).

The accusatory instrument here alleged that at a specific time and place, the continuous running of defendant’s bus engines “annoyed and disturbed the undersigned complainant, a reasonable person of normal auditory sensitivities, i.e., a person of average tolerance, without any hearing enhance-

ment or impairment.” By its plain terms, the ordinance proscribes sound that annoys or disturbs “a” reasonable person of normal auditory sensitivities. The information thus contained allegations sufficient to establish, if true, every element of the offense as defined in the Islip Town Code. “So long as the factual allegations of an information give an accused notice sufficient to prepare a defense and are adequately detailed to prevent a defendant from being tried twice for the same offense, they should be given a fair and not overly restrictive or technical reading” (*People v Casey*, 95 NY2d 354, 360 [2000]).

In dismissing the accusatory instrument as “defective,” the Appellate Term faulted the failure of the information to allege that the noise disturbance claimed to have been caused by defendant constituted a public nuisance. However, assuming that such a requirement exists, it arises not from the ordinance as adopted by the Islip Town Board, but from this Court’s precedent suggesting that an anti-noise statute proscribing merely private disputes may be unconstitutionally vague (*see People v New York Trap Rock Corp.*, 57 NY2d 371, 380 [1982]; *People v Bakolas*, 59 NY2d 51, 53-54 [1983]).

A challenge to the constitutionality of a statute must be preserved (*see e.g. People v Davidson*, 98 NY2d 738 [2002]). This requirement is no mere formalism, but ensures that the drastic step of striking duly enacted legislation will be taken not in a vacuum but only after the lower courts have had an opportunity to address the issue and the unconstitutionality of the challenged provision has been established beyond a reasonable doubt (*see e.g. Matter of Van Berkel v Power*, 16 NY2d 37, 40 [1965]). Moreover, while courts must construe statutes so as to preserve their constitutionality whenever possible (*see People v Epton*, 19 NY2d 496, 505 [1967]), an appellate court is not required to undertake such a construction when no constitutional issue has been raised below. For this Court to consider a constitutional claim in the guise of an argument that the accusatory instrument is facially insufficient would permit an end run around the parties’ obligation to preserve constitutional claims before the trial court. Thus, despite our denial of defendant’s previous motion to dismiss the appeal, after full briefing and argument by the parties we conclude that dismissal is required.

Accordingly, the appeal should be dismissed.

Judges G.B. SMITH, CIPARICK, ROSENBLATT, GRAFFEO, READ
and R.S. SMITH concur.

Appeal dismissed on the ground that the reversal by the Appellate Term was not “on the law alone or upon the law and such facts which, but for the determination of law, would not have led to reversal” (CPL 450.90 [2] [a]).

[846 NE2d 448, 813 NYS2d 18]

CWM CHEMICAL SERVICES, L.L.C., Appellant, v ARTHUR J. ROTH,
as Commissioner of New York State Department of Taxa-
tion and Finance, et al., Respondents.

Argued February 14, 2006; decided March 23, 2006

SUMMARY

APPEAL, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered December 30, 2004. Insofar as appealed from, the Appellate Division order modified, on the law, a judgment of the Supreme Court, Niagara County (Amy J. Fricano, J.), which had (1) granted plaintiff's motion for summary judgment on the first cause of action to the extent of declaring that ECL 27-0923 (3) (c) was facially discriminatory in violation of the Commerce Clause of the United States Constitution insofar as it exempted from taxation hazardous waste resulting from remediation of in-state inactive hazardous waste sites without affording a similar exemption to remediation of similar out-of-state inactive hazardous waste sites, and was invalid and unenforceable; (2) directed defendants to refund to plaintiff the full amount of taxes paid by plaintiff, plus interest, pursuant to ECL 27-0923 for the treatment, storage, disposal or incineration of hazardous waste which must be disposed of due to remediation of an inactive hazardous waste disposal site as defined in ECL 27-1301 for which they had timely claimed under Tax Law § 1087; (3) granted plaintiff's motion for summary judgment on the second cause of action to the extent of declaring that ECL 27-0923 (2) (d) was facially discriminatory in violation of the Commerce Clause of the United States Constitution insofar as it exempted from taxation the disposal of hazardous waste generated in New York State which had been taxed pursuant to ECL 27-0923 (1), without exempting from taxation the disposal of hazardous waste generated in another state which had been taxed pursuant to any other state's similar generation tax, and was invalid and unenforceable; and (4) directed defendants to refund to plaintiff the full amount of all taxes paid by plaintiff, plus interest, for the treatment, storage, disposal or incineration of hazardous waste generated outside of New York State equal to taxes paid to another state upon similar generation not to exceed the exemption granted to such hazardous wastes generated in New York State. The modification consisted of (1) providing in the first decretal paragraph that ECL 27-0923 (3)

(c) was facially discriminatory in violation of the Commerce Clause of the United States Constitution to the extent that the exclusion set forth in that subdivision had been applied to the disposal tax set forth in ECL 27-0923 (2), and (2) vacating the second and fourth decretal paragraphs.

CWM Chem. Servs., L.L.C. v Roth, 15 AD3d 77, modified.

HEADNOTES

Constitutional Law — Commerce Clause — Special Assessments on Disposal of Hazardous Wastes

1. The disposal tax imposed by the State's Hazardous Waste Remedial Fund (ECL 27-0923 [2]) as part of the statutory financing scheme for the cleanup of inactive hazardous waste disposal sites in New York State unlawfully discriminated against interstate commerce in violation of the Commerce Clause of the United States Constitution and was stricken in its entirety pursuant to the applicable severability clause (L 1985, ch 38, § 19). ECL 27-0923 (2) (d) was facially discriminatory in violation of the Commerce Clause insofar as it exempted from taxation the disposal of hazardous waste generated in New York State which had been taxed pursuant to ECL 27-0923 (1), without exempting from taxation the disposal of hazardous waste generated in another state which had been taxed pursuant to any other state's similar generation tax. The best available option to cure the constitutional infirmity was to sever the disposal tax from the special assessments imposed upon the generation and disposal of hazardous waste. Such an approach preserved the generator tax as a revenue stream and did not significantly curtail revenues for funding hazardous waste cleanups.

Taxation — Tax Refund

2. Plaintiff, the owner and operator of a hazardous waste treatment and disposal facility, which successfully challenged the disposal tax imposed by the State's Hazardous Waste Remedial Fund (ECL 27-0923 [2]), was required to pursue administratively (*see* Tax Law art 27) its claim for a refund. A state has great flexibility in responding to a determination that it has levied an impermissibly discriminatory tax, and Supreme Court was not mandated to consider plaintiff's request for a refund in plaintiff's declaratory judgment action.

TOTAL CLIENT-SERVICE LIBRARY® REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Commerce §§ 30–33, 102, 103; AM JUR 2d, State and Local Taxation §§ 185, 978.

McKINNEY'S, ECL 27–0923.

NY JUR 2d, Constitutional Law §§ 87–89, 126, 150.1; NY JUR 2d, Environmental Rights and Remedies §§ 225, 229, 231; NY JUR 2d, Taxation and Assessment §§ 57, 2948, 2976.

ANNOTATION REFERENCE

See ALR Index under Hazardous Substances and Waste; Taxes.

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POINTS OF COUNSEL

Kirkpatrick & Lockhart Nicholson Graham, LLP, Boston, Massachusetts (Roger C. Zehntner and Charles J. Dyer of counsel), and *Buchanan Ingersoll PC*, Buffalo (Patrick J. Maxwell of counsel), for appellant. I. The disposal tax under ECL 27-0923 (2) discriminates against interstate commerce in waste and is unfairly apportioned in violation of the Commerce Clause of the United States Constitution. (*Complete Auto Transit, Inc. v Brady*, 430 US 274, 976; *Homier Distrib. Co. v City of Albany*, 90 NY2d 153; *Chemical Waste Management, Inc. v Hunt*, 504 US 334; *City of New York v State of New York*, 94 NY2d 577; *McLeod v J. E. Dilworth Co.*, 322 US 327; *New Energy Co. of Ind. v Limbach*, 486 US 269; *Tennessee Gas Pipeline Co. v Urbach*, 96 NY2d 124; *Hughes v Oklahoma*, 441 US 322; *Oregon Waste Systems, Inc. v Department of Environmental Quality of Ore.*, 511 US 93.) II. The Appellate Division improperly failed to strike down the disposal tax under ECL 27-0923 (2) as facially discriminatory and unfairly apportioned in violation of the Commerce Clause. (*Matter of Westinghouse Elec. Corp. v Tully*, 63 NY2d 191; *Matter of Weil, Gotshal & Manges v O’Cleireacain*, 83 NY2d 591; *Matter of Suffolk County Fed. Sav. & Loan Assn. v Bragalini*, 5 NY2d 579; *Tennessee Gas Pipeline Co. v Urbach*, 96 NY2d 124; *Matter of United States Steel Corp. v Gerosa*, 7 NY2d 454; *Elmhurst Fire Co. v City of New York*, 213 NY 87; *Matter of Wood v Irving*, 85 NY2d 238; *Ivey v State of New York*, 80 NY2d 474; *Matter of New York State Superfund Coalition v New York State Dept. of Env’tl. Conservation*, 75 NY2d 88; *Boreali v Axelrod*, 71 NY2d 1.) III. The Appellate Division’s “reinterpretation” of the remediation waste exemption under ECL 27-0923 (3) (c) is wrong. (*People v Mobil Oil Corp.*, 48 NY2d 192; *Sanders v Winship*, 57 NY2d 391; *Matter of Brown v Wing*, 93 NY2d 517; *Matter of Trump-Equitable Fifth Ave. Co. v Gliedman*, 62 NY2d 539; *Kranker v Levitt*, 68 Misc 2d 224; *Matter of Howard Johnson Co. v State Tax Commn.*, 65 NY2d 726; *Hoffman v City of Syracuse*, 2 NY2d 484; *Matter of Lockport Union-Sun & Journal v Preisch*, 7 AD2d 502, 8 NY2d 54; *Matter of DeTroia v Schweitzer*, 87 NY2d 338; *Milbrandt v Green Refractories Co.*, 79 NY2d 26.) IV. The Appellate Division’s affirmation of the Supreme Court’s “third decretal paragraph”

without modification is in error and conflicts with the Appellate Division's own opinion and order. (*American Trucking Assns., Inc. v Scheiner*, 483 US 266.) V. The Appellate Division's opinion and order fails to provide CWM Chemical Services, L.L.C. proper relief as required by *McKesson Corp. v Division of Alcoholic Beverages & Tobacco, Fla. Dept. of Business Regulation* (496 US 18 [1990]). (*Atchison, T. & S. F. R. Co. v O'Connor*, 223 US 280; *Tennessee Gas Pipeline Co. v Urbach*, 96 NY2d 124; *Gautier v Ditmar*, 204 NY 20; *Matter of Mollenhauer*, 257 App Div 286; *Shields v Katz*, 143 AD2d 743; *Ontario Trucking Assn. v New York State Dept. of Taxation & Fin.*, 168 Misc 2d 648, 236 AD2d 70, 92 NY2d 1027; *American Tel. & Tel. Co. v New York State Dept. of Taxation & Fin.*, 191 AD2d 61; *Niagara Mohawk Power Corp. v City School Dist. of City of Troy*, 59 NY2d 262; *Matter of First Natl. City Bank v City of N.Y. Fin. Admin.*, 36 NY2d 87.)

Eliot Spitzer, Attorney General, Albany (Andrew D. Bing, Caitlin J. Halligan, Daniel Smirlock and Peter H. Schiff of counsel), for respondents. I. The Appellate Division correctly declared only the tainted exemptions unconstitutional rather than striking the entire disposal tax. (*Matter of Westinghouse Elec. Corp. v Tully*, 63 NY2d 191; *People ex rel. Alpha Portland Cement Co. v Knapp*, 230 NY 48; *General Elec. Co. v New York State Dept. of Labor*, 936 F2d 1448; *People v Liberta*, 64 NY2d 152; *Field v Clark*, 143 US 649; *Matter of Hynes v Tomei*, 92 NY2d 613; *Tennessee Gas Pipeline Co. v Urbach*, 96 NY2d 124; *LaValle v Hayden*, 98 NY2d 155; *Alliance of Am. Insurers v Chu*, 77 NY2d 573; *Matter of Federal Deposit Ins. Corp. v Commissioner of Taxation & Fin.*, 83 NY2d 44.) II. Due process does not require that CWM Chemical Services, L.L.C. receive a refund in this action. (*McKesson Corp. v Division of Alcoholic Beverages & Tobacco, Fla. Dept. of Business Regulation*, 496 US 18; *Tully v Griffin, Inc.*, 429 US 68; *Klostermann v Cuomo*, 61 NY2d 525; *Bankers Trust Corp. v New York City Dept. of Fin.*, 1 NY3d 315; *Matter of Consolidated Rail Corp. v Tax Appeals Trib. of State of N.Y.*, 231 AD2d 140, 91 NY2d 848; *Matter of Brault v New York State Tax Appeals Trib.*, 265 AD2d 700; *Carpenter v Shaw*, 280 US 363; *Ward v Board of Commr's of Love Cty.*, 253 US 17; *Atchison, T. & S. F. R. Co. v O'Connor*, 223 US 280.) III. New York law precludes the relief CWM Chemical Services, L.L.C. seeks in this action. (*Tennessee Gas Pipeline Co. v Urbach*, 269 AD2d 19, 96 NY2d 124; *Matter of Finch, Pruyn & Co. v Kearns*, 282 AD2d 858; *Stahlbrodt v Commissioner of Taxation & Fin. of State of N.Y.*, 171 Misc 2d 571, 246 AD2d 793, 92 NY2d 646; *Shields v Katz*, 143 AD2d 743; *Harper v Virginia Dept. of Taxa-*

tion, 509 US 86; *American Tel. & Tel. Co. v New York State Dept. of Taxation & Fin.*, 191 AD2d 61, 84 NY2d 31; *Ontario Trucking Assn. v New York State Dept. of Taxation & Fin.*, 168 Misc 2d 648, 236 AD2d 70, 92 NY2d 1027; *Solnick v Whalen*, 49 NY2d 224; *Matter of First Natl. City Bank v City of N.Y. Fin. Admin.*, 36 NY2d 87; *Morell v Balasubramanian*, 70 NY2d 297.)

Bond, Schoeneck & King, PLLC, Syracuse (Barry R. Kogut and Kathleen M. Bennett of counsel), for General Motors Corporation, amicus curiae. I. The disposal tax discriminates against interstate commerce in violation of the Commerce Clause. (*Complete Auto Transit, Inc. v Brady*, 430 US 274; *Chemical Waste Management, Inc. v Hunt*, 504 US 334.) II. The Appellate Division erred in its assessment of legislative intent in fashioning relief for the unconstitutional imposition of the disposal tax. (*Waste Recovery Enters. v Town of Unadilla*, 294 AD2d 766, 100 NY2d 614, 1 NY3d 507, 542 US 904; *Matter of Westinghouse Elec. Corp. v Tully*, 63 NY2d 191; *Matter of NewChannels Corp. v Tax Appeals Trib. of Dept. of Taxation & Fin. of State of N.Y.*, 279 AD2d 164; *Debevoise & Plimpton v New York State Dept. of Taxation & Fin.*, 80 NY2d 657.) III. In assessing legislative intent, the Court needs to consider environmental issues in a broad context including the impact of striking down the disposal tax exemptions on the maintenance of sufficient hazardous waste management capacity in New York. (*Matter of Siwek v Mahoney*, 39 NY2d 159; *People ex rel. Nichols v Board of County Canvassers of Onondaga County*, 129 NY 395; *Affronti v Crosson*, 95 NY2d 713.)

OPINION OF THE COURT

READ, J.

The courts below held, and the State does not contest, that State Superfund's disposal tax, a part of the statutory financing scheme for the cleanup of inactive hazardous waste disposal sites in New York State, unlawfully discriminates against interstate commerce and thus violates the Commerce Clause of the United States Constitution. We are asked on this appeal how to cure the constitutional infirmity while remaining true to the Legislature's intent. For the reasons that follow, we conclude that striking the disposal tax—ECL 27-0923 (2)—in its entirety does the least damage to the overall statutory design.

I.

By the late 1970's, Love Canal and similar toxic artifacts of past industrial activity commanded considerable public atten-

tion, producing alarm and provoking widespread calls for government action. Because legislative intent controls the outcome of this appeal, we begin by surveying the succession of complex environmental laws adopted over the ensuing years to address this legacy of hazardous waste sites.

With chapter 282 of the Laws of 1979, New York became one of the first states in the nation to grapple with the problem. In general, this legislation directed the New York State Department of Environmental Conservation (DEC) to conduct a statewide inventory and establish a statewide registry of inactive hazardous waste disposal sites.¹ The statute also authorized DEC (or, in certain circumstances, the Commissioner of Health) to order those responsible for the contamination at a site to clean it up, and, if these parties were unwilling to comply, to fix the site with public funds and sue later to recoup reasonable expenses. The State was also authorized to spend public monies to clean up true orphan sites—those where there were no identified or solvent responsible parties. Monies were appropriated for these purposes.

A year later, Congress enacted the Comprehensive Environmental Response, Compensation, and Liability Act of 1980 (CERCLA) (42 USC §§ 9601-9675). CERCLA provided broad federal authority to force potentially liable parties to clean up releases or threatened releases of hazardous substances endangering public health or the environment, and to reimburse the federal government for cleanup costs that it incurred. The statute also established a \$1.6 billion Hazardous Substance Response Fund, commonly referred to as the Federal Superfund, to pay for cleanup and related activities undertaken by the federal government. The Superfund was financed by a so-called “front-end” tax on petroleum products and chemical feedstocks.

The Legislature soon revisited the subject of inactive hazardous waste disposal sites, enacting chapter 857 of the Laws of 1982. This legislation strengthened and clarified the powers vested in DEC and the Department of Health by the 1979 statute. Its “central feature,” however, was the creation of a non-lapsing revolving fund known as the Hazardous Waste Remedial Fund, or State Superfund, supported by special assessments

1. In general, an “[i]nactive hazardous waste disposal site” is “any area or structure used for the long term storage or final placement of hazardous waste” (ECL 27-1301 [2]).

imposed on industry (*see* Governor's Approval Mem, 1982 NY Legis Ann, at 275). This fund, projected to reach \$10 million by the end of its first year, was to supply "monies to clean up the many sites for which no Federal Superfund support [was] available" as well as "to provide the State's share of monies for clean-up projects undertaken by the federal government pursuant to its Superfund,^[2] and to make monies available for hazardous waste emergencies" (*id.*).

Section 27-0923 of the Environmental Conservation Law imposed special assessments upon "every person engaged within the state in the generation of [an identified or listed] hazardous waste" and "persons holding permits for the storage, treatment or disposal of hazardous waste" (*see* former ECL 27-0923 [1], [2]). The generator taxes were \$12 per ton of hazardous waste generated and disposed in a landfill; \$9 per ton of hazardous waste generated and treated or disposed off the site of generation, other than in a landfill; and \$2 per ton of hazardous waste incinerated on the site where generated (*see* former ECL 27-0923 [1] [a], [b], [c]). The corresponding disposal taxes levied on transfer, storage and disposal facilities operating in New York were \$12 per ton of hazardous waste disposed in a landfill; and \$9 per ton of hazardous waste treated or disposed, other than in a landfill, in any facility located off the site where the waste was generated (*see* former ECL 27-0923 [2] [a], [b]).

These so-called "waste-end" taxes were to be deposited in the newly created State Superfund, which also included any appropriations as well as fines for violations of certain environmental offenses (*see* former State Finance Law § 97-b [1], [2]). As the legislation's sponsor explained, the State Superfund was

"the product of months of negotiations between the Senate, Assembly, Governor's office, DEC, and environmental and business interests. All of these groups have agreed that this [legislation] constitutes the best compromise between the need for a healthful environment and the practical limitations

2. CERCLA requires states to pay or assure payment of 10% of the costs of remedial actions undertaken by the United States Environmental Protection Agency (EPA) to respond to releases at facilities within their borders, including all future maintenance (*see* 42 USC § 9604 [c] [3] [C] [i]). This figure increases to a minimum of 50% of the costs if a state or any of its political subdivisions operated the facility, either directly or through a contractual relationship or otherwise, at which the release occurs (*see* 42 USC § 9604 [c] [3] [C] [ii]).

on both industry and the state” (*see* Letter of Support from Senator John R. Dunne to John G. McGoldrick, Governor’s Counsel, at 2, Bill Jacket, L 1982, ch 857).

The State Superfund sent a “clear signal to the generators . . . that the public policy of the state is to clean up inactive chemical dumps,” and also “ensure[d] that the future treatment, storage and disposal of such wastes is done properly” by “creat[ing] incentives to reduce the volume of wastes” even though “[r]educing wastes . . . lowers fees paid into the superfund” (*see* Revised Mem in Support, at 4, Bill Jacket, L 1982, ch 857).

The legislation included several specific exemptions. Hazardous waste that was recycled or otherwise recovered for beneficial use as raw materials was exempt from taxation (*see* ECL former 27-0923 [1] [e]; [2] [d]). This exemption, like the structure of the assessment system, sought to promote and reward more desirable waste management practices. For purposes of section 27-0923, “generation of hazardous waste” did not include “retrieval or creation of hazardous waste which [was] disposed of due to remediation of an inactive hazardous waste disposal site” (ECL former 27-0923 [1] [d]). This exemption furthered the State’s public policy to encourage private parties to undertake remedial actions. Finally, no disposal tax was “imposed upon disposal of hazardous waste where such waste was generated by persons subject to [the generator tax]” (ECL former 27-0923 [2] [c]). The Legislature understood that disposal taxes would be passed on to customers, and so levied them only against out-of-state wastes because “New York generators using [in-state treatment, storage and disposal] facilities . . . pay at the point of generation” (*see* Revised Mem in Support, at 1, Bill Jacket, L 1982, ch 857). In other words, the Legislature plainly intended for these taxes to be paid only once, either at the point of generation or the point of disposal.

In 1985, the Legislature enacted “an integrated package of three revenue sources to accelerate the clean-up of hazardous waste disposal sites in New York State,” principally because the generator and disposal taxes adopted in 1982 “never generated the annual income which was expected” (*see* Governor’s Mem approving L 1985, ch 38, 1985 NY Legis Ann, at 51). The generator taxes were raised from \$12 to \$27 per ton for hazardous waste generated and disposed in a landfill, now specifically including residues from on-site treatment; remained \$9 per ton for hazardous waste incinerated off the site of generation;

remained \$2 per ton for hazardous waste incinerated on the site where the waste was generated; and were raised from \$9 to \$16 per ton for hazardous waste generated and treated or disposed off the site of generation, other than in a landfill or by incineration (*see* ECL former 27-0923 [1] [a], [b], [c], [d]). The corresponding disposal taxes were raised from \$12 to \$27 per ton for hazardous waste disposed in a landfill; remained \$9 per ton for hazardous waste incinerated off the site of generation; and were raised from \$9 to \$16 per ton for hazardous waste treated or disposed, other than in a landfill or by incineration, in any facility located off the site where the waste was generated (*see* ECL former 27-0923 [2] [a], [b], [c]).³ The Legislature retained the exemptions for hazardous waste handled by resource recovery methods (*see* ECL former 27-0923 [3] [a]), and the exemptions for hazardous waste generated during cleanup of an inactive hazardous waste disposal site located in New York (renumbered as ECL 27-0923 [3] [c]) and hazardous waste already taxed once by New York at the point of generation (relettered as ECL 27-0923 [2] [d]).

It was anticipated that these modified waste-end taxes would raise about \$6 million annually for State Superfund (Mem of Senator Hugh T. Farley, 1985 NY Legis Ann, at 50). The Legislature counted on an additional \$6 million per year from doubling the annual program fees imposed by sections 72-0402 and 72-0502 of the ECL on hazardous waste generators and transporters; and an additional \$10 million per year by adding a license fee surcharge of 2½ cents for each barrel of petroleum transferred within the state by major petroleum facilities, which are those with total storage capacity of 400,000 gallons or more (*see* Navigation Law former § 174 [4] [b]) (*id.* at 50-51). These industry taxes plus \$8 million from the State's General Fund were thus projected to provide an annual revenue stream of \$30 million for State Superfund.

Finally, chapter 38 included a straightforward severability clause. This provision states that

“[i]f any clause, sentence, paragraph, section or part of this act shall be adjudged by any court of competent jurisdiction to be invalid, such judgment shall not affect, impair or invalidate the remainder

3. This tax schedule and structure remain the same today, although the Legislature has enacted additional exemptions over the years (*see e.g.* ECL 27-0923 [1] [e], [f]).

thereof, but shall be confined in its operations to the clause, sentence, paragraph, section or part thereof directly involved in the controversy in which such judgment shall have been rendered” (L 1985, ch 38, § 19).

Because New York required far more than \$30 million in annual revenues to finance remedies at the hundreds of inactive hazardous waste disposal sites identified throughout the state, the Legislature the next year enacted chapter 511 of the Laws of 1986, the Environmental Quality Bond Act (EQBA). This statute authorized the creation of general obligation debt in the amount of \$1.45 billion upon its approval by the electorate in November 1986. Of that amount, \$1.2 billion was earmarked for State Superfund.⁴

Even this sum proved unequal to the task. By the late 1990’s, it had become apparent that EQBA funds would be fully obligated before the State ran out of remedial work. The Legislature tackled the shortfall by restructuring and refinancing State Superfund as part of chapter 1 of the Laws of 2003, a massive environmental initiative that also reformed DEC’s Superfund-related authorities and created a new program to encourage private investment in the cleanup and redevelopment of brown-fields. This legislation authorized \$120 million annually for State Superfund, to be financed with bonds issued by the Environmental Facilities Corporation (EFC), not to exceed a total of \$1.2 billion.

State Superfund is now comprised of five separate accounts as specified in State Finance Law § 97-b. One of these accounts—the Industry Fee Transfer Account (IFTA)—consists of multiple revenue streams: the special assessments at issue in this litigation; hazardous waste program surcharges imposed upon generators by chapter 1 of the Laws of 2003, which range from \$4,000 to \$360,000 per year (*see* ECL 72-0403), and any penalties or interest related to these surcharges; one half the revenue from any penalties and interest related to hazardous waste or transporter program fees under ECL 72-0402 and 72-0502 respectively; and petroleum license fee surcharges under Navigation Law § 174 (4) (b), which are now 4¼ cents per barrel. IFTA and the General Fund each pay half the debt service

4. Of this \$1.2 billion, up to \$100 million was to be made available for no-interest loans to municipalities to assist in the proper closure of municipal landfills. The remaining \$250 million authorized by the EQBA was to be used for land acquisition.

on bonds issued to finance State Superfund (State Finance Law § 97-b [11]). The New York State Assembly Memorandum in Support of chapter 1 states that “[o]n average, approximately \$45 million [in State Superfund] is from [industry fees comprising IFTA] to be used toward current and future debt service and matched by the General Fund” (*see* Mem in Support of L 2003, ch 1, 2003 McKinney’s Session Laws of NY, at 1580).⁵

II.

Plaintiff CWM Chemical Services, L.L.C., owns and operates a sizable licensed hazardous waste treatment and disposal facility in Model City, New York, near Niagara Falls, Buffalo and the Canadian border. Beginning with the quarterly tax period ending on December 31, 1995, CWM stopped paying the disposal tax for a specific class of out-of-state hazardous waste—those wastes generated in out-of-state CERCLA cleanups undertaken by EPA rather than by another governmental party or a private party. CWM explains its decision to stop paying these disposal taxes, which it had previously paid while harboring doubts about their constitutionality, as a last-ditch response to competitive pressures that it perceived as threatening its solvency.

Over the next four years, the New York State Department of Taxation and Finance (DTF) issued CWM deficiency notices seeking to recover the unpaid taxes plus interest. CWM challenged the notices administratively, contending that the disposal tax violated the Commerce Clause; however, the agency repeatedly declined to consider CWM’s defense, essentially pleading lack of jurisdiction at the administrative level to determine a state statute’s facial constitutionality.

Frustrated administratively, CWM commenced this declaratory judgment action in Supreme Court on May 10, 2001 against DTF and DEC and their respective Commissioners (the State). CWM asserted that ECL 27-0923 discriminated against inter-

5. Neither the record nor the legislative history of chapter 1 of the Laws of 2003 discloses precisely how much the waste-end taxes contribute to IFTA. In the Economic and Revenue Outlook submitted with his 2006-2007 Executive Budget, the Governor indicates that the total revenue received from the waste-end taxes in the 2004-2005 fiscal year was \$2.3 million (*see* <<http://publications.budget.state.ny.us/executive.html>>, cached at <http://www.courts.state.ny.us/reporter/webdocs/nys_dob_exec_budget.htm>). This figure obviously would not reflect those disposal taxes that CWM did not pay. Postsubmission representations by the parties, however, suggest that the total revenue collected by the waste-end taxes would have been just over double if CWM had paid its assessments in full.

state commerce by taxing disposal of “remediation waste” resulting from out-of-state hazardous waste cleanups, but not the same kind of waste when generated during in-state hazardous waste cleanups; and by exempting process or “base business” hazardous waste subject to New York’s generator tax “but providing no similar exemption for waste that has been subjected to a generator tax in another state.” CWM asked Supreme Court to declare the disposal tax unconstitutional, enjoin its enforcement and refund the disposal taxes that it had paid for out-of-state hazardous waste received at Model City. CWM subsequently moved for summary judgment, which the State opposed.

Supreme Court granted CWM partial summary judgment, declaring ECL 27-0923 (3) (c) “facially discriminatory in violation of the Commerce Clause . . . *insofar* as it exempts from taxation hazardous waste resulting from remediation of in-state inactive hazardous waste sites without affording a similar exemption to remediation of similar out-of-state inactive hazardous waste sites” (emphasis added). The court also declared ECL 27-0923 (2) (d)

“facially discriminatory in violation of the Commerce Clause . . . *insofar* as it exempts from taxation the disposal of hazardous waste generated in New York State which has been taxed pursuant to ECL § 27-0923 (1), without exempting from taxation the disposal of hazardous waste generated in another state which has been taxed pursuant to any other state’s similar generation tax” (emphasis added).

Supreme Court ordered the refund of all disposal taxes paid by CWM on out-of-state cleanup waste. As for out-of-state process waste, the court ordered a refund “equal to taxes paid to another state upon similar generation not to exceed the exemption granted to such hazardous wastes generated in New York.” In essence, Supreme Court cured the disposal tax’s constitutional defect by extending the exemptions for in-state cleanup and process wastes to out-of-state cleanup and process wastes. The practical effect was to preserve the disposal tax but to expand its exemptions, thus reducing the amount of revenue that it raised. The court limited refunds due CWM to those improperly collected disposal taxes for which timely claims had been made under Tax Law § 1087, which sets out the procedure for claiming tax refunds and establishes a three-year statute of limitations. CWM appealed and the State cross-appealed.

While agreeing with Supreme Court that the disposal tax discriminated against interstate commerce in violation of the Commerce Clause, the Appellate Division tacked the other way on remedy. Rather than extending the exemptions for in-state cleanup and process wastes to out-of-state cleanup and process wastes, the Court eliminated these exemptions from the disposal tax altogether. Indeed, the Court implied that in-state cleanup waste should never have been immune from the disposal tax in the first place, contrary to DEC's long-standing interpretation of ECL 27-0923.

The practical effect of the Appellate Division's decision was to expand the disposal tax rather significantly. The Court considered this remedy proper because, in its view, chapter 38 of the Laws of 1985 was designed only to "rais[e] revenues necessary to fund the cleanup of looming threats posed by inactive hazardous waste sites" and "[p]artial invalidity must not curtail the entire revenue stream necessary to fund the cleanup of inactive hazardous waste sites in New York" (15 AD3d 77, 84 [4th Dept 2004]). Noting that its decision might "result in a disproportionate assessment on hazardous waste generated in state," the Court "invite[d] the Legislature to consider amending ECL 27-0923 to address any disproportionate assessment" (*id.* at 87). Finally, the Appellate Division observed that to the extent that CWM might be entitled to relief on the ground that portions of the disposal tax were unconstitutional, it should seek relief administratively as provided for in article 27 of the Tax Law (*see* ECL 27-0923 [6]).

[1] CWM appealed as of right on constitutional grounds pursuant to CPLR 5601 (b) (1). The key question for us to decide is whether the Appellate Division selected the proper remedy for the constitutional infirmity that it found. There are, in fact, three options for severing the invalid portion of the special assessments and preserving the remainder. We may effectively extend the exemptions for in-state cleanup and process wastes to out-of-state cleanup and process wastes, which is what Supreme Court did. Both parties object to this approach as unworkable in practice, and we do not consider it further. Or we may eliminate the exemptions from the disposal tax for in-state cleanup and process wastes. This is the path taken by the Appellate Division, which the State urges us to follow. Finally, we may sever the disposal tax from the special assessments. This is the option advocated by CWM, which we adopt.

III.

The basic rule governing severability was elegantly put by Judge Cardozo decades ago:

“The question is in every case whether the legislature, if partial invalidity had been foreseen, would have wished the statute to be enforced with the invalid part excised, or rejected altogether. The answer must be reached pragmatically, by the exercise of good sense and sound judgment, by considering how the statutory rule will function if the knife is laid to the branch instead of at the roots” (*People ex rel. Alpha Portland Cement Co. v Knapp*, 230 NY 48, 60 [1920]).

This exercise

“requires first an examination of the statute and its legislative history to determine the legislative intent and what the purposes of the new law were, and second, an evaluation of the courses of action available to the court in light of that history to decide which measure would have been enacted if partial invalidity of the statute had been foreseen” (*Matter of Westinghouse Elec. Corp. v Tully*, 63 NY2d 191, 196 [1984]).

The Legislature most assuredly enacted the waste-end taxes to produce revenue to support State Superfund. But even at the program’s inception in 1982, when the generator and disposal taxes were State Superfund’s primary, if not sole, revenue source, the Legislature also consciously designed the statute to serve competing purposes. The Legislature wanted to encourage certain behaviors—such as the incineration of hazardous waste, for example—and to discourage others—most notably, landfilling. To accomplish this, landfilling was taxed more heavily than any other treatment or disposal method, incineration was taxed at the lowest rate and resource recovery was not taxed at all. By creating this graduated tax scheme, the Legislature was knowingly reducing revenue.

State Superfund reflects other similar trade-offs, including the exemptions for in-state cleanup and process wastes at the heart of this appeal. As the legislation’s sponsor observed, State Superfund was intended to spur private parties to remedy inactive chemical dumps. The tax exemption for in-state cleanup waste furthered this goal, or at least did not discourage it. The

sponsor also noted that State Superfund represented a bargain struck among government, environmental interests and industry, a “compromise between the need for a healthful environment and the practical limitations on both industry and the state” (see Letter of Support from Senator John R. Dunne to John G. McGoldrick, Governor’s Counsel, at 2, *supra*). The exemption for in-state process waste, a part of this compromise, signaled the Legislature’s intention to make sure that New York State businesses would be taxed for these wastes only once, at the point of generation.

Next, we are mindful that over time, the Legislature has retained the in-state cleanup and process waste exemptions, while waste-end taxes have come to play a much diminished role in financing State Superfund. They are no longer the program’s primary funding mechanism—as was the case in 1982—or responsible for 20% of its funding—as was the case in 1985. These taxes now make up some portion of IFTA, one of five separate accounts constituting State Superfund. IFTA is restricted to funding half the debt service on the bonds that are by far and away State Superfund’s primary source of revenue.

In short, the history of State Superfund demonstrates that the special assessments have always reflected a balancing of several important objectives—the need to raise revenue (especially in the program’s early years); the desire to foster environmentally sound disposal methods and generator-financed cleanups of inactive hazardous waste disposal sites located in New York; and the intention to ensure that New York businesses paid only a generator tax and were not subject to indirect payment of the disposal tax as well when they shipped their hazardous waste to an in-state commercial treatment, storage or disposal facility.

Next, we must evaluate the options advocated by the parties in light of this legislative history. Here, Judge Cardozo teaches us that “[s]everance does not depend upon the separation of the good from the bad by paragraphs or sentences in the text of the enactment. The principle of division is not a principle of form. It is a principle of function” (*Alpha Portland Cement Co.*, 230 NY at 60 [citations omitted]).

In this case, we conclude that striking the disposal tax in its entirety is the available option that best furthers the multiple legislative purposes of the special assessments. This approach preserves the generator tax as a revenue stream. It does not

significantly curtail revenues for funding hazardous waste cleanups, as the Appellate Division feared, because waste-end taxes, as a whole, are a small part of State Superfund's overall financing scheme.

The alternative adopted by the Appellate Division and supported by the State—elimination of the exemption from the disposal tax for both in-state cleanup and in-state process waste—would completely thwart express legislative commands. This course of action would effectively double the waste-end taxes paid by generators on in-state process waste, although the Legislature directed them to pay only once. It would also impose a disposal tax on in-state “remediation waste”—a new tax that generators have never before paid.⁶ We are not persuaded that the Legislature, if blessed with the gift of foresight, would have chosen to correct the constitutional defect in this way—by double-taxing the hazardous waste generated by New York businesses in their daily operations, and taxing hazardous waste cleaned up to protect New Yorkers' health and the environment, an activity that the Legislature sought to promote.

[2] Finally, the State has satisfied due process here by providing CWM with both predeprivation relief in the form of an action for declaratory judgment and postdeprivation relief under Tax Law § 1087. We agree with the Appellate Division that CWM should pursue its refund claim, which involves unresolved factual issues, administratively (*see* ECL 27-0923 [6] [incorporating article 27 of the Tax Law, including sections 1087, 1089 and 1090 regarding refund claims, administrative and judicial review]). *McKesson Corp. v Division of Alcoholic Beverages & Tobacco, Fla. Dept. of Business Regulation* (496 US 18 [1990]) grants a state great flexibility in responding to the determination that it has levied an impermissibly discriminatory tax, and does not mandate that Supreme Court consider CWM's request for a refund in this declaratory judgment action.

6. In the technical amendments to chapter 1 of the Laws of 2003, the Legislature amended ECL 72-0403 to exempt hazardous waste generated during government-sanctioned cleanups from the hazardous waste surcharge added by the 2003 legislation (*see* L 2004, ch 577, part I, § 7, adding ECL 72-0403 [1] [m]). ECL 27-0923 (3) (c) was amended consistently at the same time (*see* L 2004, ch 577, part I, § 5 [specifying that exempt hazardous waste must be disposed of pursuant to an order of or agreement or contract with DEC]). These amendments demonstrate the Legislature's continuing interest in affording hazardous waste generated as a result of cleanups more favorable tax treatment than hazardous waste generated by businesses in their daily operations.

Accordingly, the order, insofar as appealed from, should be modified, without costs, by granting judgment declaring in accordance with this opinion and, as so modified, affirmed.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT, GRAFFEO and R.S. SMITH concur.

Order, insofar as appealed from, modified, etc.

[846 NE2d 461, 813 NYS2d 31]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v JOHN
BOYER, Appellant.

Argued February 9, 2006; decided March 28, 2006

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered February 3, 2005. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Edward J. McLaughlin, J.), which had convicted defendant, upon a jury verdict, of two counts of attempted burglary in the second degree.

People v Boyer, 15 AD3d 192, reversed.

HEADNOTE

**Crimes — Disclosure — Notice of Intention to Offer Evidence —
Confirmatory Identification by Police Officer — Temporally Re-
lated Initial Encounter and Subsequent Identification**

The “confirmatory identification” exception to the notice and hearing requirements of CPL 710.30 should not be extended to situations where a police officer’s initial encounter with a suspect and subsequent identification of that suspect are temporally related, such that the two might be considered part of a single police procedure. Such an exception would eliminate the protections offered by a *Wade* hearing even when the initial police viewing—albeit part of a single police procedure—was fleeting, unreliable and susceptible of misidentification. Here, it could not be concluded that the circumstances of the officer’s initial viewing—at night, while defendant stopped for a few seconds on a fire escape some 40 to 50 feet above the ground—were such that, as a matter of law, the subsequent identification could not have been the product of undue suggestiveness. Thus, the officer’s out-of-court and in-court identifications should have been precluded due to the lack of CPL 710.30 notice.

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By the Publisher’s Editorial Staff

AM JUR 2d, Evidence §§ 560, 563.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:2388,
172:2395.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 7.1, 7.4.

McKINNEY’S, 710.30.

NY JUR 2d, Criminal Law §§ 1630, 1643, 1644.

ANNOTATION REFERENCE

See ALR Index under Description and Identification.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: confirmatory /2 identification /5 exempt! /s notice

POINTS OF COUNSEL

Center for Appellate Litigation, New York City (*David J. Klem* and *Robert S. Dean* of counsel), for appellant. I. The prosecution's failure to provide CPL 710.30 notice of the pretrial police-arranged identification requires preclusion of the identification testimony because the *Wharton* confirmatory-identification exception to the notice requirement is limited to buy-and-bust cases and certainly does not apply where the officer responding to a 911 call catches only a brief and fleeting glimpse of the perpetrator. (*People v Wharton*, 74 NY2d 921; *People v Newball*, 76 NY2d 587; *People v Bernier*, 73 NY2d 1006; *Gilbert v California*, 388 US 263; *United States v Wade*, 388 US 218; *Stovall v Denno*, 388 US 293; *People v Gissendanner*, 48 NY2d 543; *People v Rodriguez*, 79 NY2d 445; *People v Collins*, 60 NY2d 214; *People v Tas*, 51 NY2d 915.) II. Appellant's adjudication and sentence pursuant to New York's persistent violent felony offender statutes are unconstitutional under the principles announced in *Apprendi v New Jersey* (530 US 466 [2000]). (*People v Morse*, 62 NY2d 205; *People v Rivera*, 5 NY3d 61; *Almendarez-Torres v United States*, 523 US 224; *People v Daniels*, 5 NY3d 738; *People v West*, 4 NY3d 749; *People v O'Garra*, 16 AD3d 251, 5 NY3d 766.)

Robert M. Morgenthau, District Attorney, New York City (*Alan Gadlin* and *Mark Dwyer* of counsel), for respondent. I. In accordance with established precedent, the lower courts properly concluded that the People were not obliged to provide CPL 710.30 notice of Officer Cremin's identification of defendant. (*People v Wharton*, 74 NY2d 921; *People v Angelo*, 88 NY2d 217; *People v Kello*, 96 NY2d 740; *Watkins v Sowders*, 449 US 341; *People v Chipp*, 75 NY2d 327, 498 US 833; *People v Taylor*, 65 NY2d 1; *People v Laing*, 79 NY2d 166; *Neil v Biggers*, 409 US 188; *Simmons v United States*, 390 US 377.) II. Contrary to defendant's unpreserved claim, he had no constitutional right to have a jury determine whether he was a persistent violent felony offender. (*Apprendi v New Jersey*, 530 US 466; *People v Besser*, 96 NY2d 136; *People v Rosen*, 96 NY2d 329, 534 US 899; *People v Oliver*, 63 NY2d 973; *People v Daniels*, 5 NY3d 738; *Almendarez-Torres v United States*, 523 US 224; *Jones v United States*, 526 US 227; *Blakely v Washington*, 542 US 296; *People v*

Rivera, 5 NY3d 61; *United States v Santiago*, 268 F3d 151, 535 US 1070.)

OPINION OF THE COURT

Chief Judge KAYE.

The People ask us to extend the “confirmatory identification” exception derived from *People v Wharton* (74 NY2d 921 [1989]) to situations where a police officer’s initial encounter with a suspect and subsequent identification of that suspect are temporally related, such that the two might be considered part of a single police procedure. To do so, however, would run afoul of CPL 710.30. Moreover, such an exception would eliminate the protections offered by a *Wade* hearing even when the initial police viewing—albeit part of a single police procedure—was fleeting, unreliable and susceptible of misidentification.

The Facts

On November 11, 2000, at 6:05 P.M., Michael Todd was in his Manhattan apartment when he noticed someone on the fire escape of the building across the courtyard. Although the sun had set, there were lights in the courtyard and Todd used his binoculars to take a closer look. Todd saw someone he later identified as Black or Hispanic, wearing a red sweater or sweatshirt, dark pants and a hat, but he was unable to make out the details of the individual’s face. After seeing the person attempt to open several windows, Todd called 911.

Officers Cremin, Sandoval, O’Boyle and Brennan responded to the radio call of a burglary in progress, involving a male Black or Hispanic. Entering the courtyard, they heard Todd direct them to the fire escape. Eventually, at least two of the officers saw a person crouching on the fire escape several floors up and shone their flashlights on him. Officer Cremin told the individual to come down but he instead ran up the fire escape toward the roof. Officer O’Boyle was able to observe only the individual’s clothing. Officer Cremin, however, later testified that he was able to see the individual’s face—a male Hispanic with facial hair—as well as his dark jacket and pants when the man, running to the roof, stopped for two to four seconds on the fourth or fifth story fire escape (some 40 to 50 feet up) and looked down. Officer Cremin radioed a description to his fellow officers but did not mention facial hair.

Several officers made it to the roof but the man was already gone. From the roof, they saw an individual wearing a black

jacket and dark pants in a small alley adjacent to the building. One of the officers ordered the man to stop but he ran from the alley. Officer Brennan sent a radio call that a male Hispanic dressed in black was running north on Broadway toward Dyckman Street. Auxiliary Police Sergeant Escoto, who happened to be working in the area that day, heard the radio transmission and spotted defendant, wearing dark pants, a red shirt and black jacket, on Dyckman Street running east toward Broadway. When Escoto approached defendant, defendant was out of breath and sweating. Other officers quickly arrived and defendant was taken into custody.

One of the officers radioed for another officer to come make an identification. Although Officer Cremin was unsure whether he had heard this transmission, he arrived at the scene where defendant was being held, after having searched for the suspect in a subway station and spoken with a possible witness inside a store. Approximately 30 minutes had elapsed since the initial 911 call. Officer Cremin observed defendant sweating, noticed his rapid heartbeat and identified him as the man he had seen on the fire escape. Following defendant's arrest, the prosecution made voluntary disclosures but failed to mention a pretrial identification and served no CPL 710.30 (1) (b) notice. Defendant moved to preclude any identification testimony based on the lack of notice.

During defendant's pretrial *Huntley* hearing—centered on possible suppression of statements not at issue here—Officer Cremin testified about his street identification and also made an in-court identification of defendant. After the hearing, defendant argued that both the out-of-court and in-court identifications should be precluded due to the lack of CPL 710.30 notice. The court, however, found that no notice was required and permitted Officer Cremin to testify at trial about his out-of-court identification and to identify defendant as the individual he had observed on the fire escape. Officer Cremin was the only witness to identify defendant as the individual on the fire escape.

Defendant was convicted of two counts of attempted second-degree burglary. The Appellate Division affirmed the conviction, holding that Officer Cremin's identification "constituted a confirmatory identification that was exempt from the notice and hearing requirements of CPL article 710." We now reverse and order a new trial.

The Applicable Law

CPL 710.30 could not be clearer. The Legislature has prescribed that, within 15 days of arraignment, the prosecution must serve upon the defendant notice of its intention to introduce at trial “testimony regarding an observation of the defendant either at the time or place of the commission of the offense or upon some other occasion relevant to the case, to be given by a witness who has previously identified him as such” (CPL 710.30 [1] [b]). Upon the service of notice, “the defendant must be accorded reasonable opportunity to move before trial, pursuant to subdivision one of section 710.40, to suppress” the identification (CPL 710.30 [2]). If notice is not given, the prosecution will be precluded from introducing such evidence at trial, unless (1) it is permitted to serve a late notice for good cause shown, or (2) the defendant has moved to suppress the identification testimony and the motion is denied (*see* CPL 710.30 [2], [3]). Neither of these exceptions is relevant here.

CPL 710.30 underscores and facilitates the defendant’s right, prior to trial, to test the reliability of any out-of-court identifications that the People intend to introduce. The statutory scheme ensures that the identifications are not the product of undue suggestiveness, and lessens the possibility of misidentification (*see People v Rodriguez*, 79 NY2d 445, 449 [1992]; *People v Newball*, 76 NY2d 587, 590-591 [1990]). The statutory mandate is plain and the procedure simple: the People serve notice, the defendant moves to suppress and the court holds a *Wade* hearing to consider the suppression motion. A court may summarily deny a suppression motion without a hearing only if “[t]he motion papers do not allege a ground constituting [a] legal basis for the motion” (CPL 710.60 [3] [a]). Thus, once the People serve notice that they intend to introduce identification testimony, the defendant may choose to respond with a motion to suppress that testimony and, so long as the motion alleges undue suggestiveness, the defendant is generally entitled to a *Wade* hearing.

We have recognized, however, two instances when, as a matter of law, the identification at issue could not be the product of undue suggestiveness. Under such circumstances, the defendant is not entitled to a *Wade* hearing and thus the People are not obligated to provide notice pursuant to CPL 710.30 (1) (b). This so-called “confirmatory identification” exception carries significant consequences and is therefore limited to the scenarios set forth in *People v Wharton* and *People v Rodriguez*, where there

is no risk of misidentification. As we noted in *Rodriguez*, a court may summarily deny a *Wade* hearing (and hence no CPL 710.30 notice would be required) where the court concludes that, as a matter of law, the identifying, civilian witness knew the “defendant so well that no amount of police suggestiveness could possibly taint the identification” (79 NY2d at 453).

Here, we are concerned only with the *Wharton* scenario. In *Wharton*, an experienced undercover officer observed the defendant face-to-face during a planned buy-and-bust operation. The officer then radioed his backup team with a description of the defendant, who was immediately arrested. As planned, within five minutes of the arrest, the purchasing officer drove past the defendant specifically for the purpose of identifying him, and then again identified him a few hours later at the police station.

Under such circumstances, we held that the defendant was not entitled to a *Wade* hearing (and thus would not be entitled to CPL 710.30 notice) to test the officer’s identification, reasoning that

“[t]he viewing by this trained undercover narcotics officer occurred at a place and time sufficiently connected and contemporaneous to the arrest itself as to constitute the ordinary and proper completion of an integral police procedure. Additionally, as we have observed in this kind of situation, it lent assurance that an innocent person was not being detained by reason of a mistaken arrest. The undercover officer’s participation in the criminal apprehension operation at issue was planned, and he was experienced and expected to observe carefully the defendant for purposes of later identification and for completion of his official duties” (79 NY2d at 922-923 [citations omitted]).

We further stated that there is no “categorical rule exempting from requested *Wade* hearings confirmatory identifications by police officers by merely labeling them as such. Where the nature and circumstances of the encounter and identification may warrant, a hearing should and undoubtedly will be held” (*id.* at 923 [citation omitted]).

Thus, the quality of the officer’s initial viewing must be a critical factor in any *Wharton*-type analysis. The risk of undue suggestiveness is obviated only when the identifying officer’s observation of the defendant is so clear that the identification could not be mistaken. When there is a risk that the quality of

the initial observation has eroded over time, we have consistently held that police identifications do not enjoy any exemption from the statutory notice and hearing requirements (*see People v Mato*, 83 NY2d 406, 410-411 [1994]; *Newball*, 76 NY2d at 591-592; *People v Gordon*, 76 NY2d 595 [1990]). Indeed, in *Gordon* we made clear that

“[c]omprehensive analysis, not superficial categorization, ultimately governs. . . . Misidentifications should be carefully guarded against lest innocent persons be swept into unlawful arrests and convictions. Trained and perhaps well-intentioned police officers may too easily fall prey to the pressures and official routinization of depersonalized identifications, which could also lead to unacceptable injustices. Showup evidence must be eschewed and, at the very least, subjected to *Wade* hearings in these circumstances to guard against these dangers, even for in-court identifications” (*Gordon*, 76 NY2d at 601).

Here, we cannot conclude that the circumstances of Officer Cremin’s initial viewing were such that, as a matter of law, the subsequent identification could not have been the product of undue suggestiveness. Indeed, the initial encounter—at night, while defendant stopped for a few seconds on a fire escape some 40 to 50 feet above the ground—stands in stark contrast to the face-to-face viewing in *Wharton*. Moreover, this was not a situation where the officer was placed on the scene specifically to make an identification, and was therefore focused on identifying the suspect to a backup team. Although we do not suggest that this identification in fact resulted from any impropriety, that is not the test. Indeed, that is the very determination requiring a *Wade* hearing.

The People were required to serve CPL 710.30 (1) (b) notice. To conclude otherwise directly contravenes the simple procedure that has been mandated by the Legislature and would permit the People to avoid their statutory obligation merely because a police officer’s initial viewing of a suspect and a subsequent identification might be temporally related. Nor will we draw the courts into the countless factual disputes that such an exception portends.

Defendant’s remaining contention regarding New York’s persistent violent felony offender statute is without merit.

Accordingly, the order of the Appellate Division should be reversed, defendant's motion to preclude identification testimony granted and a new trial ordered.

R.S. SMITH, J. (dissenting). I dissent, because I think that requiring a *Wade* hearing in cases like this one, where the chance that the hearing will lead to the suppression of evidence is vanishingly small, is a waste of time and puts an unjustified burden on the criminal justice system.

The purpose of a *Wade* hearing is to decide whether a pretrial identification of the defendant violated the defendant's constitutional rights and, if so, what the remedy should be (see *United States v Wade*, 388 US 218, 242 [1967]). In cases where a police officer who observed a crime identified the defendant some minutes or hours later, no court as far as I know has ever even reached the second question. Neither party has cited, the majority does not cite, and I have not been able to find any case in which any court held that an identification of this type violated a defendant's constitutional rights.

This is not surprising, because, when a police officer has observed a crime, and a suspect is arrested shortly afterwards, getting the officer to look at the suspect as soon as possible is not only constitutionally permissible; it is a very good idea. The best way to find out whether the police have arrested the right person or not is to ask the officer who saw the event, and to ask quickly while the offender's appearance is fresh in the officer's mind. This procedure greatly increases the likelihood that people arrested by mistake will be set free at once, and that guilty people will be identified correctly. In this case, as the majority points out, the officer's view of the burglar at the time of the crime was imperfect, and so a mistake in identification was possible—but delaying the postarrest identification would have increased the possibility. It would not have made sense to prevent Officer Cremin from seeing defendant until a lawyer could be found and a lineup arranged, and defendant does not argue that either counsel or a lineup was required here. (See *State v Medley*, 11 Wash App 491, 499, 524 P2d 466, 471 [1974] ["It is patently frivolous to contend that a law enforcement officer whose pursuit of criminal suspects is interrupted may not, a short time later, identify the suspects as the ones whose criminal conduct he has previously observed"].)

But defendant does argue, and the majority holds, that he was entitled to a *Wade* hearing to determine whether Officer

Cremin's identification of him was so tainted by suggestiveness that it deprived him of due process. It is theoretically possible that a due process violation could occur in such an encounter, but the possibility is remote. In *People v Wharton* (74 NY2d 921, 922-923 [1989]), we explained that a trained police officer's identification of a defendant "at a place and time sufficiently connected and contemporaneous to the arrest itself as to constitute the ordinary and proper completion of an integral police procedure" was not the sort of event "ordinarily burdened or compromised by forbidden suggestiveness, warranting a lineup procedure or *Wade* hearing." We pointed out in *Wharton* that such an observation did not entail "the kind of per se suggestive or improper bolstering present in show-up identifications by civilian witnesses" (*id.* at 923). The difference between police officers and civilians is significant here. An officer is much less likely than a civilian to be swayed by the assumption that a suspect who is in police custody must be guilty (*cf. Wade*, 388 US at 234).

In short, I think the procedure followed here was so obviously a desirable one, and the risk of suggestiveness so small, that here, as in *Wharton*, a *Wade* hearing was unnecessary. Several Appellate Division cases agree (*see People v Suleman*, 262 AD2d 337 [2d Dept 1999]; *People v Campbell*, 225 AD2d 1021 [4th Dept 1996]; *People v James*, 220 AD2d 370 [1st Dept 1995]; *People v Starr*, 221 AD2d 488 [2d Dept 1995]).

The majority limits *Wharton* to the situation where the officer's "identification could not be mistaken" (majority op at 432). But *Wharton* does not say or imply that it is so limited, and logic does not support the limitation. The issue to be decided at a *Wade* hearing is not whether the officer made a mistake; that is for the jury to decide at trial. The issue is whether the postarrest identification was unduly suggestive—i.e., whether the circumstances of the identification increased the risk that the officer might err. A prompt postarrest viewing of a suspect by a police officer who saw the crime is virtually guaranteed to diminish the risk of error, not increase it.

The majority relies heavily on the text of CPL 710.30 (1) (b), which, it is true, makes no express exceptions to the requirement that the prosecution give notice when it intends to offer at trial "testimony regarding an observation of the defendant . . . by a witness who has previously identified him." But we have already held—in *Wharton* and in *People v Rodriguez* (79 NY2d 445 [1992])—that exceptions do exist. *Wharton* and *Rodriguez*

both hold that there are cases where no *Wade* hearing is necessary, and that in those cases no notice under CPL 710.30 is necessary either. The question here is how the *Wharton* exception should be defined. I think the majority defines it too narrowly, thus making the system more complicated and cumbersome than it needs to be, and adding unnecessarily to the number of cases in which an offender walks free because police or prosecutors have slipped up in complying with a procedural rule.

Judges G.B. SMITH, CIPARICK, ROSENBLATT, GRAFFEO and READ concur with Chief Judge KAYE; Judge R.S. SMITH dissents in a separate opinion.

Order reversed, etc.

[846 NE2d 794, 813 NYS2d 349]

In the Matter of M.B. MENTAL HYGIENE LEGAL SERVICE, Appellant; STATEN ISLAND DEVELOPMENTAL DISABILITIES SERVICES OFFICE et al., Respondents.

Argued February 16, 2006; decided March 23, 2006

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered June 13, 2005. The Appellate Division (1) reversed, on the law, an order of the Surrogate's Court, Richmond County (John A. Fusco, J.; op 2 Misc 3d 328), which had declared that the Health Care Decisions Act for Persons with Mental Retardation applied to all guardians, whether appointed before or after its effective date; (2) granted the petition; and (3) declared that SCPA 1750-b shall not apply to guardians appointed prior to its effective date, without a judicial determination specifically granting such guardians powers pursuant to SCPA 1750-b in accordance with the statutory safeguards set forth in SCPA 1750 (2). The following question was certified by the Appellate Division: "Was the opinion and order of this court dated June 13, 2005, properly made?"

Matter of M.B., 21 AD3d 28, reversed.

HEADNOTE

Incapacitated and Mentally Disabled Persons — Sustaining Life of Person in Permanent Vegetative State — Retroactive Application of Health Care Decisions Act for Persons with Mental Retardation

Guardians for mentally retarded persons appointed prior to the effective date of the Health Care Decisions Act for Persons with Mental Retardation (L 2002, ch 500 [HCDA]) may make health care decisions for mentally retarded persons in accordance with the Act's strict decision-making structure without having to obtain, through a separate judicial proceeding, an amended guardianship order that specifically recognizes their authority as encompassing the power to end life-sustaining treatment. The HCDA amended SCPA 1750, the provision that addresses the guardianship of mentally retarded persons, so as to impose an additional certification requirement applicable to all future guardianship proceedings. The HCDA also added SCPA 1750-b, which governs health care decision-making for mentally retarded persons, and sets forth strict procedures for making specific decisions, including end-of-life decisions. With the enactment of the HCDA the Legislature made a policy decision that newly appointed guardians need to meet a specific health care capacity certification requirement, but that the thousands of previously appointed guardians would not have to comply with the new capacity certification requirement or otherwise commence court proceedings seeking expansion

of guardianship authority. In light of the significant procedural protections afforded in SCPA 1750-b, the rights of mentally retarded persons are safeguarded absent such a requirement.

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By the Publisher's Editorial Staff

AM JUR 2d, Guardian and Ward §§ 99–101.

CARMODY-WAIT 2d, Guardians and Guardianship §§ 155:146–155:153.

McKINNEY'S, SCPA 1750, 1750–b.

NY JUR 2d, Infants and Other Persons Under Legal Disability §§ 426, 427, 485.5.

ANNOTATION REFERENCE

See ALR Index under Guardian and Ward.

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Database: NY-ORCS

Query: guardian /s retarded & health /2 care

POINTS OF COUNSEL

Mental Hygiene Legal Service, Mineola (Lisa Volpe, Sidney Hirschfeld and Dennis B. Feld of counsel), for appellant. I. The Surrogate's Court and appellant have ignored significant language in SCPA 1750-b, thus failing to give full meaning to the statutory amendments at issue. (*Matter of B*, 190 Misc 2d 581.) II. Under the case law established by this Court, the amended SCPA 1750 and the newly enacted SCPA 1750-b cannot be applied retroactively. (*People v Behlog*, 74 NY2d 237; *People v Oliver*, 1 NY2d 152; *Matter of Marino S.*, 100 NY2d 361, 540 US 1059; *Matter of Gleason [Michael Vee, Ltd.]*, 96 NY2d 117; *Matter of Duell v Condon*, 84 NY2d 773; *Jacobus v Colgate*, 217 NY 235; *Shielcrawt v Moffett*, 294 NY 180; *Matter of Storar*, 52 NY2d 363; *Matter of Fosmire v Nicoleau*, 75 NY2d 218.)

Eliot Spitzer, Attorney General, New York City (Jean Lin, Caitlin Halligan and Daniel Smirlock of counsel), for respondent. I. The plain language of the Health Care Decisions Act for Persons with Mental Retardation authorizes SCPA article 17-A guardians to make all health care decisions on behalf of their wards, regardless of when the guardians were appointed. (*McCluskey v Cromwell*, 11 NY 593; *New Amsterdam Cas. Co. v Stecker*, 3 NY2d 1; *Meltzer v Koenigsberg*, 302 NY 523; *Finger*

Lakes Racing Assn. v New York State Racing & Wagering Bd., 45 NY2d 471.) II. The legislative history of the Health Care Decisions Act for Persons with Mental Retardation confirms that the act is intended to cover SCPA article 17-A guardians appointed both before and after the effective date of the act. (*Matter of Storar*, 52 NY2d 363; *Matter of Fosmire v Nicoleau*, 75 NY2d 218; *Blouin ex rel. Estate of Pouliot v Spitzer*, 356 F3d 348.) III. The Appellate Division's decision contravenes both the plain meaning and purpose of the Health Care Decisions Act for Persons with Mental Retardation. (*Matter of Storar*, 52 NY2d 363.)

OPINION OF THE COURT

GRAFFEO, J.

Under the Health Care Decisions Act for Persons with Mental Retardation, a guardian can make health care decisions for a mentally retarded person, including the decision to terminate life-sustaining medical treatment, under carefully prescribed circumstances. The issue in this case—solely one of statutory interpretation—is whether the Act applies only to guardians appointed after its March 2003 effective date or whether it also affects the authority of persons already serving as guardians before March 2003. Based on the language and history of the Act, we conclude that the Legislature also granted existing guardians full health care decision-making authority, subject to the detailed procedures set forth in the statute.

Background

Under New York common law, a competent adult generally has the right to make health care decisions, including the right to refuse life-sustaining treatment (*see Matter of Fosmire v Nicoleau*, 75 NY2d 218 [1990]). If the individual suffers an illness or injury resulting in a loss of decision-making capacity, family and friends may obtain a court order authorizing the cessation of treatment if they can prove—by clear and convincing evidence of the patient's previously-expressed views—that the individual would have refused life-sustaining treatment if capable of making that decision (*id.* at 225).¹

1. In addition to the rights recognized under the common law, a competent adult can, of course, relieve family and friends of the burden of seeking such a court order by executing a health care proxy pursuant to Public Health Law § 2981 naming a surrogate health care decision-maker who can make binding decisions in the event the appointing adult loses the capacity to make such de-

(n. cont'd)

Although a guardian of a mentally retarded person was imbued under the common law with the authority to make a broad spectrum of health care decisions, this authority did not encompass the power to end life-sustaining medical treatment. Viewing the guardian's role as comparable to that of a parent—who could not deprive a child of lifesaving treatment—this Court concluded in *Matter of Storar* (52 NY2d 363 [1981], *cert denied* 454 US 858 [1981]) that the guardian of a 52-year-old mentally retarded man lacked the authority to order the cessation of blood transfusions. Predicating our analysis on principles developed under the common law, we indicated that the Legislature could establish procedures governing the discontinuance of life-sustaining treatment for incompetent individuals if it determined this was desirable or appropriate, noting that any “change should come from the Legislature” (*id.* at 383).

In the wake of *Storar*, a distinction arose between the common-law rights of competent adults, who could make their wishes concerning end-of-life care known to family and friends, and mentally retarded persons who had never been competent to make their own health care decisions and for whom life-sustaining treatment could not be refused. When these mentally retarded individuals became irreversibly, terminally ill they were, in effect, ineligible for hospice or other palliative care because their guardians were unable to refuse more intrusive, acute medical treatments aimed at extending life for as long as possible.

As a consequence of this disparity, family members, caregivers and advocacy groups for the mentally retarded sought relief from the Legislature. They shared the stories of mentally retarded patients forced to suffer painful, intrusive life-sustaining medical treatments after it was clear that they would never regain any quality of life because the requests of their guardians (usually parents or siblings) to end life-sustaining measures could not be honored. This was the situation the Legislature sought to remedy when it enacted the Health Care Decisions Act for Persons with Mental Retardation (HCDA) (*see* Bill Jacket, L 2002, ch 500).

cisions. A person can also express his or her wishes regarding life-sustaining treatment in what is known as a “living will.”

The Statutory Scheme

The HCDA was passed by both houses and signed by the Governor in the fall of 2002 but it did not become effective until 180 days later—March 16, 2003 (L 2002, ch 500, § 4). The legislation added a new subdivision to Surrogate’s Court Procedure Act § 1750, the provision that addresses the guardianship of mentally retarded persons. Before the enactment of the HCDA, section 1750 stated that, upon the certification of appropriate medical personnel that a mentally retarded person was “incapable to manage him or herself and/or his or her affairs by reason of mental retardation and that such condition is permanent in nature or likely to continue indefinitely,” a guardian “of the person or of the property or of both” could be appointed (SCPA 1750 [1]). A guardianship “of the person” was viewed as authorizing some degree of medical decision-making power, but the scope of this authority was unclear, particularly in the aftermath of *Storar*.

The new provision—SCPA 1750 (2)—imposes an additional certification requirement, clearly applicable to all future guardianship proceedings. Along with filing a certification from medical professionals that the mentally retarded person is incapable of managing his or her affairs, prospective guardians now must also file a “specific determination by such [medical personnel] as to whether the mentally retarded person has the capacity to make health care decisions, as defined by [Public Health Law § 2980 (3)], for himself or herself” (SCPA 1750 [2]). In the event the mentally retarded individual has the ability to make health care decisions, the HCDA allows a guardian to be appointed to make other types of decisions. If not, the guardian is granted full medical decision-making power. In the latter event, the HCDA removed any uncertainty concerning the scope of that authority, clarifying that health care decisions include “any decision to consent or refuse to consent to health care” (see SCPA 1750-b [1], cross-referencing Public Health Law § 2980 [6]). Thus, under the HCDA, a guardian can, under certain circumstances, order the cessation of life-sustaining medical treatment for a mentally retarded person who never had capacity to make such a decision.

The HCDA also amended article 17-A of the Surrogate’s Court Procedure Act by adding a new section 1750-b governing health care decision-making for mentally retarded persons. Section 1750-b establishes a “[d]ecision-making standard” requiring that guardians base all health care decisions “solely and

exclusively on the best interests of the mentally retarded person and, when reasonably known or ascertainable with reasonable diligence, on the mentally retarded person's wishes, including moral and religious beliefs" (SCPA 1750-b [2] [a]). This provision lists the factors that must be considered in determining the mentally retarded person's best interests, which include "the dignity and uniqueness" of the individual; "the preservation, improvement or restoration of the . . . person's health"; "the relief of the mentally retarded person's suffering by means of palliative care and pain management"; the effect of treatment, including artificial nutrition and hydration, on the mentally retarded person; and the patient's overall medical condition (SCPA 1750-b [2] [b]). A medical decision cannot be based on financial considerations or a failure to afford the mentally retarded individual the respect that would be afforded any other person in the same circumstances (SCPA 1750-b [2] [c]). In addition, the statute imposes on the guardian "the affirmative obligation to advocate for the full and efficacious provision of health care, including life-sustaining treatment" (SCPA 1750-b [4]), defined as "medical treatment which is sustaining life functions and without which, according to reasonable medical judgment, [the] patient will die within a relatively short time period" (*see* SCPA 1750-b [4], cross-referencing Mental Hygiene Law § 81.29 [e]).

In the event a guardian contemplates the withdrawal or withholding of life-sustaining treatment, SCPA 1750-b imposes a decision-making procedure that must be followed before the decision can be carried out. The threshold requirement is that the mentally retarded person's physician confirm to a reasonable degree of medical certainty, after consultation with another physician or a licensed psychologist, that the person currently lacks the capacity to make health care decisions (SCPA 1750-b [4] [a]). The attending physician and another concurring physician must further attest that the mentally retarded person has one of three types of conditions: a terminal condition, permanent unconsciousness or "a medical condition other than such person's mental retardation which requires life-sustaining treatment, is irreversible and which will continue indefinitely," and life-sustaining treatment imposes or would impose an extraordinary burden on the patient in light of the patient's medical condition and the expected outcome of the life-sustaining treatment (SCPA 1750-b [4] [b] [i], [ii]). In the case of the withdrawal or withholding of artificially provided nutrition or hydra-

tion, the two physicians must also confirm that “there is no reasonable hope of maintaining life” or that the artificial nutrition or hydration itself “poses an extraordinary burden” on the patient (SCPA 1750-b [4] [b] [iii]). These conclusions by medical professionals are a condition precedent to any valid decision to end life-sustaining treatment—without them, life-sustaining treatment must be afforded to the patient.

If the requisite medical conclusions are made, the next step is for the guardian to express a decision to end life-sustaining treatment either in writing, signed by a witness, or orally in the presence of the attending physician and another witness, and the decision must be included in the patient’s chart. The physician can then issue the appropriate medical orders or object to the guardian’s decision but, in either case, the decision to end life-sustaining treatment cannot be implemented for 48 hours (SCPA 1750-b [4] [e]). During that time, the physician must notify various parties including, in some circumstances, the mentally retarded person. The Act grants a number of persons and organizations automatic standing to lodge an objection—the mentally retarded person, a parent or adult sibling, the attending physician, any other health care practitioner providing services to the patient, the director of a residential facility that formerly cared for the patient, the Commissioner of the Office of Mental Retardation and Developmental Disabilities (OMRDD), and, if the patient was treated in a residential facility, the Mental Hygiene Legal Service (MHLS) (SCPA 1750-b [5]).

Upon objection, the guardian’s decision is suspended (unless the suspension would itself result in the death of the patient) while a judicial proceeding is conducted “with respect to any dispute arising under this section, including objecting to the withdrawal or withholding of life-sustaining treatment because such withdrawal or withholding is not in accord with the criteria set forth in this section” (SCPA 1750-b [6]). If at the conclusion of the 48-hour period there is no objection the guardian’s decision to withdraw or withhold life-sustaining treatment is put into effect, without judicial involvement.

Thus, the HCDA clarifies that guardians can make health care decisions for mentally retarded persons who themselves were never competent to make those decisions, including a decision to end life-sustaining treatment. But it imposes a series of procedural hurdles—intended to safeguard the interests of the patient and prevent an improvident decision by the guardian—

that must be satisfied prior to the implementation of such a decision.

The issue now presented to us is whether the Legislature intended to authorize guardians appointed prior to the effective date of the HCDA to make health care decisions for mentally retarded persons in accordance with the Act's strict decision-making structure without having to obtain, through a separate judicial proceeding, an amended guardianship order that specifically recognizes their authority as encompassing the power to end life-sustaining treatment. We conclude that the Legislature did intend that authorization.

Facts

M.B., a profoundly retarded 42-year-old man with Down's syndrome who never possessed the capacity to make health care decisions, lived with his mother until her death in December 2002. In January 2003, M.B.'s brother R.B. was appointed his guardian under article 17-A of the Surrogate's Court Procedure Act. At that time, the HCDA had been passed but was not yet effective. The guardianship decree therefore named R.B. as "guardian of the person" of M.B. but the court did not specifically address R.B.'s authority to make health care decisions for M.B.

After his mother's death, M.B. lived in a residential facility specializing in the care of mentally retarded persons. He later became seriously ill and was transferred to Staten Island University Hospital where he was diagnosed with pneumonia, hypertension and hypoxia. His physical condition steadily declined to the point that he lost consciousness and was placed on a respirator, with a nasal-gastric tube inserted for feeding and hydration. M.B.'s physicians concluded that his illness was terminal, his condition irreversible and that the life-sustaining treatment currently being provided imposed a substantial burden on him. Based on the physicians' opinions concerning M.B.'s medical condition and prognosis, on October 14, 2003 R.B. requested that the respirator be disconnected, with the understanding that this would soon result in M.B.'s death. As required by the HCDA, the hospital notified various parties of the decision, including OMRDD and MHLS. The next day, MHLS filed a written notice of objection, which resulted in suspension of R.B.'s order to discontinue life-sustaining treatment.

Uncertain of how to proceed, R.B. and his sister appeared pro se in Richmond County Surrogate's Court on October 17, 2003,

asking the Surrogate to authorize the hospital to honor R.B.'s request, but the matter was adjourned so that MHLS could initiate formal proceedings. By order to show cause and petition dated October 20, 2003, MHLS sought a declaration that R.B. lacked the authority to issue an order ending life-sustaining treatment because he was appointed guardian two months before the effective date of the HCDA. Having retained private counsel, R.B. opposed the objection. The New York Attorney General's office appeared on behalf of the Staten Island Developmental Disabilities Services Office (SIDDSO), a regional division of OMRDD.² Initially taking no position on the controversy, SIDDSO ultimately supported R.B.'s position.

At a proceeding three days later, MHLS asserted that it agreed with R.B.'s conclusion that the cessation of life-sustaining treatment would be in the best interests of M.B. and that it was satisfied that the guardian had complied with all of the procedural and substantive safeguards required under the HCDA. MHLS explained that its objection was not predicated on the facts of this particular case, but on its interpretation that the HCDA did not empower guardians appointed prior to March 16, 2003 to make decisions involving the cessation of life-sustaining treatment for mentally retarded persons. Rather, MHLS argued that these previously-appointed guardians could not exercise such authority unless they individually petitioned Surrogate's Court for an expansion of their guardianship power. As for the current dilemma facing M.B.'s guardian, MHLS contended that the proceeding could be converted into a guardianship expansion proceeding so that R.B. could be granted the authority to render end-of-life decisions for his brother.

R.B.'s attorney countered that it was evident from the plain language and history of the HCDA that the Legislature had intended to extend to all guardians, regardless of the date of appointment, the power to request the termination of life-sustaining treatment under the new procedures set forth in SCPA 1750-b. R.B. reasoned that, had the Legislature intended to require previously-appointed guardians to petition for new

2. SIDDSO is a division of the state Office of Mental Retardation and Developmental Disabilities. OMRDD operates 14 regional DDSOs in New York State, which coordinate and deliver services to mentally retarded and developmentally disabled individuals (and their families) whether they reside in state-operated facilities, group homes or family settings (OMRDD Information for Individuals and Families <http://www.omr.state.ny.us/hp_individuals.jsp> [last updated Feb. 14, 2006], cached at <http://www.courts.state.ny.us/reporter/webdocs/NYS-OMRDD_Families.htm>).

powers, it would surely have said so, rather than including language in the HCDA suggesting precisely the opposite.

Surrogate's Court rejected MHLS' objection, concluding that R.B. was empowered under the HCDA to order the cessation of life-sustaining treatment for his brother, even though R.B.'s guardianship order was issued before the effective date of the Act. Pursuant to the Surrogate's order, M.B. was removed from the respirator and died within hours.

Acknowledging that M.B.'s death mooted its objection, MHLS nonetheless pursued an appeal, contending that the case fell within the exception to the mootness doctrine as it was capable of repetition, likely to evade review and involved a substantial legal issue. Considering the appeal under the mootness exception, the Appellate Division reversed and granted MHLS' petition. Focusing on the legislative history of the HCDA, a majority of the Court held that the Legislature had not intended to extend to existing guardians the end-of-life decision-making powers now recognized in the HCDA. The majority was concerned that mentally retarded persons with guardians appointed prior to the effective date of the new legislation lacked an opportunity to have their capacity to make health care decisions specifically considered. If the legislation was interpreted to apply to all guardians, the majority believed that mentally retarded individuals who might be able to make such decisions for themselves would not be adequately protected. The Court therefore concluded that previously-appointed guardians must petition for enlargement of guardianship authority so that the capacity issue could be directly explored for each mentally retarded person. The dissent would have affirmed the order denying the objection, reasoning that the plain language of the HCDA indicated a legislative intent to authorize existing guardians to make all necessary health care decisions, including end-of-life decisions. The Appellate Division granted SIDDSO leave to appeal to this Court.³

After the Appellate Division ruling, both houses of the Legislature passed bills that, if enacted, would have altered the guardianship enlargement procedure envisioned by the Appellate Division majority (2005 NY Senate Bill S 5803; 2005 NY Assembly Bill A 8906). Both the Senate and Assembly sponsors of the new legislation stated that the legislative intent of the

3. In granting leave, the Appellate Division certified the question: "Was the opinion and order of this court dated June 13, 2005, properly made?"

HCDA had been to retroactively confer full health care decision-making authority on the tens of thousands of existing guardians without a requirement that they seek new guardianship orders from the courts (Mem in Support of Senator Hannon, Bill S 5803; Mem in Support of Assembly Member P. Rivera, Bill A 8906). Although he agreed with the sponsors' view of the scope of the HCDA, the Governor vetoed the legislation, concluding that the proposed amendment was premature in light of the pending appeal to this Court (Governor Pataki Veto Message No. 121 of 2005).

Analysis

Like the Appellate Division, we address this appeal under the exception to the mootness doctrine because the issue presented is substantial, likely to recur and involves a situation capable of evading review (*Matter of Hearst Corp. v Clyne*, 50 NY2d 707 [1980]). Both SIDDSO and MHLS emphasize that this case presents an issue of statutory interpretation. MHLS did not contend below and does not assert here that there is any constitutional impediment to interpreting the legislation in the manner urged by SIDDSO. As such, our task—as it is in every case involving statutory interpretation—is to ascertain the legislative intent and construe the pertinent statutes to effectuate that intent.

We begin with the statutory text, which is the clearest indicator of legislative purpose (*Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 583 [1998]). If the “language . . . is clear and unambiguous, courts must give effect to its plain meaning” (*State of New York v Patricia II.*, 6 NY3d 160, 162 [2006], quoting *Matter of Tall Trees Constr. Corp. v Zoning Bd. of Appeals of Town of Huntington*, 97 NY2d 86, 91 [2001]). When the terms of related statutes are involved, as is the case here, they must be analyzed in context and in a manner that “harmonize[s] the related provisions . . . [and] renders them compatible” (*Tall Trees*, 97 NY2d at 91).

In this case, SIDDSO relies on two provisions of the HCDA as evidence that the Legislature intended to grant existing guardians the right to make end-of-life decisions. First, SIDDSO points to the new subdivision added to SCPA 1750. After directing that guardianship proceedings include a certification by medical personnel concerning the mentally retarded person's capacity to make health care decisions, the Legislature provided: “The absence of this determination in the case of guardians ap-

pointed prior to the effective date of this subdivision shall not preclude such guardians from making health care decisions” (SCPA 1750 [2]). The Legislature thus explicitly exempted existing guardians from the new requirement that guardianship proceedings specifically address the mentally retarded person’s capacity to make health care decisions.

Second, SIDDSO cites the language in the first subdivision of the new SCPA 1750-b, entitled “Scope of authority,” which provides:

“Unless specifically prohibited by the court after consideration of the determination, if any, regarding a mentally retarded person’s capacity to make health care decisions, which is required by section [1750] of this article, the guardian of such person appointed pursuant to section [1750] of this article shall have the authority to make any and all health care decisions, as defined by [Public Health Law § 2980 (6)], on behalf of the mentally retarded person that such person could make if such person had capacity. Such decisions may include decisions to withhold or withdraw life-sustaining treatment, as defined in [Mental Hygiene Law § 81.29 (e)]. The provisions of this article are not intended to permit or promote suicide, assisted suicide or euthanasia; accordingly, nothing in this section shall be construed to permit a guardian to consent to any act or omission to which the mentally retarded person[] could not consent if such person had capacity” (SCPA 1750-b [1] [emphasis added]).

We agree with SIDDSO that the phrasing of the first sentence of section 1750-b (1) is telling—not only in what it says but also in what it does not say. The Legislature did not declare that a guardian has authority to make medical decisions only if the court has expressly authorized the guardian to do so—language one would expect to find if the Legislature had intended to require existing guardians to petition for enlargement of their power as MHLS maintains. Instead, the Legislature has provided that all guardians “*have the authority to make any and all health care decisions,*” “[u]nless specifically prohibited by the court” (SCPA 1750-b [1] [emphasis added]).

The phrase “if any” in the beginning of section 1750-b (1) further illuminates the legislative intent. Since guardians appointed after the effective date of the HCDA must include a cer-

tification concerning the mentally retarded person's health care decision-making capacity, this clause—which clarifies that health care decisions can be made even in the absence of such certification—can only be understood as referring to the authority of existing guardians who would not have obtained this certification. This interpretation of section 1750-b (1) is consistent with the clear statement in the newly-added section 1750 (2) exempting guardians appointed prior to the effective date of the HCDA from the specific health care decision-making competency certification requirement. Read together, sections 1750 (2) and 1750-b (1) reflect the intention of the Legislature to authorize guardians appointed prior to March 16, 2003 to make end-of-life decisions, provided those decisions are made pursuant to the exacting procedures specified in section 1750-b. The legislation does not indicate that existing guardians are to petition for new guardianship orders specifically expanding their health care decision-making authority.

The legislative history of the HCDA supports this construction. The Assembly sponsor stated that the purpose of the bill was to “allow the legally appointed guardians of mentally retarded individuals to have the authority to make medical decisions on behalf of such person, including decisions dealing with the withdrawal or withholding of life-sustaining treatment” (Mem in Support of Assembly Member Luster, 2002 NY Assembly Bill A 8466D [NY State Legis Retrieval Sys]). In his memorandum in support, the Senate sponsor repeatedly notes that the legislation was not viewed as a significant change in the law but was a clarification of the power the Legislature had always intended guardians of mentally retarded persons to possess under SCPA article 17-A. The sponsor stated: “This bill clarifies that guardians of persons with mental retardation have the authority to make health care decisions, including decisions regarding life-sustaining treatment under certain circumstances” (Mem of Senator Hannon in Support of NY Senate Bill S 4622B, 2002 NY Legis Ann, at 279). Echoing the language in the legislation, the Senate sponsor asserted that guardians “have the authority”—not that guardians must now seek to obtain health care decision-making authority. He described the purpose of the legislation as follows:

“In general, the bill reflects four overarching motives: (1) to clarify that decisions regarding life-sustaining treatment are part of the natural contin-

uum of all health care decisions, (2) to allow decisions to end life-sustaining treatment only where the need is clearest . . . , (3) to utilize existing legal standards wherever possible, and (4) *to maintain judicial oversight of close decisions*, with a statutory structure incorporating a workable standard for the court” (*id.* at 280 [emphasis added]).

Thus, the role of the courts is described as “oversight of close decisions” relating to medical treatment, a clear reference to the objection process and resulting judicial proceeding referenced in section 1750-b (5) and (6).

The Commission on Quality of Care for the Mentally Disabled likewise observed that the bill would “clarify that guardians can make medical decisions on behalf of persons with mental retardation based upon the best interests and reasonably known wishes of the person[s] . . . including, when appropriate, withdrawal of life-sustaining treatment” (Letter from Commn on Quality of Care for Mentally Disabled to Counsel to Governor, Bill Jacket, L 2002, ch 500, at 10). Nowhere in the extensive Bill Jacket is there any suggestion that the Legislature intended previously-appointed guardians to have to initiate new court proceedings in order to acquire such authority. Such an interpretation would be inconsistent with the Legislature’s repeatedly expressed view that it was clarifying the powers it vested in article 17-A guardians of mentally retarded persons, notwithstanding this Court’s holding in *Storar*.

To be sure, the HCDA imposes a new obligation on guardians appointed after its effective date that was not—and is not—applicable to previously-appointed guardians. In addition to the long-standing requirement that medical personnel certify that the mentally retarded person is “incapable to manage him or herself and/or his or her affairs” (SCPA 1750 [1])—a certification all previously-appointed guardians would have filed—the HCDA now requires that prospective guardians also file a certification by medical personnel specifically addressing the mentally retarded person’s capacity to make health care decisions (SCPA 1750 [2]). Previously-appointed guardians are expressly exempted from filing this health care capacity certification (SCPA 1750 [2]).

It does not follow—as MHLS argues—that the Act must be construed to require existing guardians to obtain new appointment orders because any other interpretation would be inconsistent with the Legislature’s overriding concern that the rights

of mentally retarded persons, including those capable of making health care decisions, be protected. This argument turns on the assumption that the Legislature's decision to add a health care capacity certification requirement to the guardianship appointment procedure going forward indicated a belief that the former procedure was inadequate. This assumption is not supported by the statutory scheme or the pertinent legislative history. After all, each existing guardian was appointed based on a certification that the mentally retarded person was "incapable to manage him or herself and/or his or her affairs" (SCPA 1750 [1]). And the history shows that the Legislature did not view the prior appointment procedure as flawed—it merely sought to clarify the decision-making powers of future guardians.

Critically, the HCDA does not exempt previously-appointed guardians from any of the strict SCPA 1750-b procedures governing specific health care decision-making, including end-of-life decision-making. If a guardian seeks to withhold or withdraw life-sustaining treatment, the threshold step in the statutory decision-making structure is the requirement that the patient's attending physician, in consultation with at least one other medical professional, confirm that the patient lacks the capacity to make health care decisions (SCPA 1750-b [4] [a]). Because it requires two health care professionals to assess the mentally retarded person's capacity to make health care decisions, this requirement mimics the health care capacity certification undertaken in new guardianship proceedings. Thus, newly-appointed guardians will have to address the health care capacity issue twice (when initially appointed and again when making end-of-life decisions) while previously-appointed guardians will do so only when making a specific decision to end life-sustaining treatment. But the fact remains that the capacity of each mentally retarded person to make health care decisions will be explored before any decision by any guardian to end life-sustaining treatment is implemented, no matter when the guardian was appointed. In every meaningful respect, the authority of existing and newly-appointed guardians is exercised in an identical fashion under the HCDA because all guardians must comply with each step of the decision-making structure in SCPA 1750-b.

MHLS reads the first clause in the new section 1750-b (1)— "[u]nless specifically prohibited by the court"—as preserving the court's supervisory role over medical decision-making by guardians. This is true. Going forward, under the health care

capacity certification process applicable to guardians appointed after the effective date of the HCDA, courts must consider the mentally retarded person's capacity to make health care decisions and, in appropriate cases, may limit the guardian's authority in that realm. Moreover, courts are clearly empowered to resolve disputes concerning particular health care decisions made by guardians. But, by choosing to phrase the power granted guardians expansively—stating that they have health care decision-making authority unless the court specifically states otherwise—the Legislature recognized that guardians already possess that authority.

MHLS attempts to limit the import of the phrase “if any” in section 1750-b (1), arguing that it means only that existing guardians—who it claims must petition the court to expand their powers—are relieved from filing the specific health care capacity certification that new guardians must file under SCPA 1750 (2). But this interpretation undercuts the primary premise of MHLS' argument—that the Legislature could not have intended to authorize all guardians, even those appointed prior to the HCDA, to make health care decisions in the absence of certifications specifically addressing health care decision-making capacity. If, as MHLS suggests, the Legislature meant for existing guardians to apply for expansion of their power to specifically encompass health care decision-making, why did it expressly exempt them from the central requirement of that procedure by dispensing with the certification process through which the capacity of the mentally retarded person is determined?

In essence, MHLS suggests that SIDDSO's interpretation of the HCDA cannot be effectuated because this would result in distinctions between the obligations of existing and future guardians. However, MHLS relies on a construction that also treats previously-appointed guardians differently from new guardians since MHLS recognizes that SCPA 1750 (2) relieves the former from the health care decision-making capacity certification requirement. Since both parties proffer interpretations that result in differences between the two classes of guardians, the presence of such distinctions does not itself provide us with a basis to resolve the controversy.

The Legislature made a policy decision that newly-appointed guardians need to meet a specific health care capacity certification requirement. Given the thousands of previously-appointed guardians, state lawmakers chose not to impose the new capac-

ity certification requirement on existing guardians or otherwise require them to commence court proceedings seeking expansion of guardianship authority. In light of the significant procedural protections afforded in SCPA 1750-b, the Legislature concluded that the rights of mentally retarded persons would be safeguarded absent such a requirement.

MHLS is certainly correct that the HCDA provides for judicial oversight of end-of-life decisions by guardians. But, in the case of previously-appointed guardians, such judicial oversight occurs when a guardian reaches an end-of-life decision, the necessary parties are notified, and someone objects to the decision. The Legislature determined that it would serve no significant purpose to require each previously-appointed guardian to commence proceedings for the expansion of health care decision-making authority (which would have to occur even if no issue concerning end-of-life decision-making is pending or even likely to arise) given the procedural steps all guardians must follow under SCPA 1750-b, which includes an inquiry into the mentally retarded person's capacity to make health care decisions.

MHLS responds that this inquiry is not equivalent to the initial guardianship certification process contemplated under the new SCPA 1750 (2) because it occurs after the mentally retarded person is in medical crisis and therefore fails to adequately account for the possibility that the patient might once have had the capacity to make health care decisions. But whether judicial intervention is sought in the context of a guardianship expansion proceeding or a SCPA 1750-b objection, the court must render a determination based on the present capacity of the mentally retarded person—not abilities the patient may have once possessed. MHLS' contrary view of the statute would, in effect, prevent any existing guardian from obtaining the power to withdraw life-sustaining treatment if the patient was already in a terminal medical crisis when the HCDA became effective, excluding a class of patients—ironically, those in immediate need of the rights afforded by the legislation—from the protections of the HCDA, a result not intended by the Legislature.⁴

4. In this case, MHLS took the position that R.B. could apply for enlarged guardianship powers under SCPA 1750 (2), thereby obtaining authority to make medical decisions for M.B. and to withdraw life-sustaining treatment, even though M.B. was already in medical crisis, urging the court to pursue

(n. cont'd)

Moreover, in circumstances where the mentally retarded person formerly had some capacity to make medical decisions, the guardian is nonetheless required to base medical decision-making “on the best interests of the mentally retarded person and, when reasonably known or ascertainable with reasonable diligence, on the mentally retarded person’s wishes, including moral and religious beliefs” (SCPA 1750-b [2] [a]). Thus, the wishes of a mentally retarded individual who once had capacity to make health care decisions are not disregarded under the new statutory scheme.

In sum, while MHLS and the Appellate Division are understandably concerned that the interests of mentally retarded individuals be scrupulously protected, the Legislature designed the statutory scheme to meet that important objective. First, SCPA 1755 authorizes any person (including a mentally retarded person) at any time to seek judicial review of the scope of a guardianship order and “request[] modification of such order in order to protect the mentally retarded . . . person’s . . . personal interests.” In other words, even prior to the enactment of the HCDA, the authority granted a guardian with respect to a particular mentally retarded person was subject to judicial review in the event of a concern regarding the guardian’s exercise of any aspect of that authority, including health care decision-making. The HCDA did not alter this procedure. As such, a mentally retarded individual who has health care decision-making capacity—or any party on his or her behalf, including MHLS—may petition the court for curtailment of the existing guardian’s power in that arena.

Second, as this case demonstrates, the notification and objection process in SCPA 1750-b provides substantial protection to mentally retarded patients. Guardians must base health care decisions on the advice of qualified medical professionals and must follow a multistep procedure before any end-of-life decision will be honored by a health care facility. In any case where a disagreement arises between the guardian and one of a host of other interested parties (family members, the patient’s medical caregivers, OMRDD, a residential director of a facility or MHLS), the statute mandates that the conflict be resolved by the courts. MHLS does not dispute the efficacy of this procedure, nor does it assail the Legislature’s choice not to require

this procedural route rather than the objection procedure set forth in SCPA 1750-b (5) and (6).

judicial approval of health care decisions in circumstances where all parties agree that the guardian is acting in the mentally retarded individual's best interests. Although the Legislature could have charted a different course, the decision not to require previously-appointed guardians to seek new appointment orders was for the Legislature to make and, absent constitutional challenge, it must be upheld by this Court.

Accordingly, the order of the Appellate Division should be reversed, without costs, and the order of Surrogate's Court reinstated. The certified question should not be answered upon the ground that it is unnecessary.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT, READ and R.S. SMITH concur.

Order reversed, etc.

[846 NE2d 806, 813 NYS2d 361]

In the Matter of the Judicial Settlement of the Final Account of the CHASE MANHATTAN BANK (Successor by Merger to the CHASE MANHATTAN BANK, N.A., Successor by Merger to CHASE LINCOLN FIRST BANK, N.A., Successor in Interest to LINCOLN FIRST BANK, N.A., Successor by Consolidation to LINCOLN FIRST BANK OF ROCHESTER), as Trustee under the Agreement Dated December 20, 1973 of A. CHARLES PIOCH, for the Benefit of KATHLEEN M. PIOCH, Respondent. CATHERINE H. HYMAN et al., Respondents; ST. JOHN FISHER COLLEGE et al., Appellants.

Argued February 14, 2006; decided March 30, 2006

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered July 1, 2005. The Appellate Division, with two Justices dissenting, affirmed an order of the Surrogate's Court, Monroe County (Edmund A. Calvaruso, S.; op 3 Misc 3d 823), which had dismissed the objections to the final account of Chase Manhattan Bank, granted the petition for judicial settlement of the final account, denied the request for attorneys' fees by counsel for the distributees of Kathleen Pioch, and dismissed the remaining petitions and cross petitions.

Matter of Chase Manhattan Bank, 21 AD3d 162, reversed.

HEADNOTE

Trusts — Accumulations — Payments Limited to Beneficiary's Needs — Distribution of Unexpended Funds upon Beneficiary's Death

The annuity payments from a charitable remainder annuity trust (CRAT) that were paid in quarterly installments to a lifetime trust (LTT) established by the settlor for the benefit of his daughter, but not used by her during her lifetime, should have been distributed to the beneficiaries of the CRAT, and not the daughter's estate. In the LTT the settlor limited the disbursement of income to his daughter, who had limited mental capacity, to a sum sufficient to cover her needs, instructed the trustee not to give her "any large sums of money," and did not vest her with a power of appointment over the trust assets. He therefore anticipated that the trustee might pay out less than all the income for his daughter's benefit, and authorized the trustee to accumulate any income not expended (*see* EPTL 9-2.1). Regardless of whether the quarterly annuity payments were classified as principal or income in the LTT, the terms of the LTT demonstrated the settlor's intent that any funds not expended on his daughter's behalf be distributed to the CRAT beneficiaries.

TOTAL CLIENT-SERVICE LIBRARY® REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Charities §§ 118, 119; AM JUR 2d, Trusts §§ 29, 549, 553.
CARMODY-WAIT 2d, Payment of Shares §§ 169:234, 169:235.
McKINNEY'S, EPTL 9-2.1.
NY JUR 2d, Decedents' Estates §§ 2383, 2384, 2389; NY JUR 2d, Estates, Powers, and Restraints on Alienation §§ 442, 448; NY JUR 2d, Trusts §§ 329, 471.

ANNOTATION REFERENCE

See ALR Index under Charities and Charitable Contributions; Trusts and Trustees.

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Database: NY-ORCS

Query: charitable /2 remainder /2 annuity /2 trust & estate & settlor /2 intent

POINTS OF COUNSEL

Harter, Secrest & Emery LLP, Rochester (A. Paul Britton, Robert G. Greene and Martin W. O'Toole of counsel), for appellants. I. The lower courts erred in approving the trustee's arbitrary designation of deposits into the lifetime trust as income. (*Matter of Grove*, 86 AD2d 302; *Mercury Bay Boating Club v San Diego Yacht Club*, 76 NY2d 256; *Matter of Fabbri*, 2 NY2d 236; *Hemingway v Hemingway Found.*, 193 AD2d 559; *Matter of Malasky*, 275 AD2d 500; *Matter of Manning v Glens Falls Natl. Bank & Trust Co.*, 265 AD2d 743; *Nau v Vulcan Rail & Constr. Co.*, 286 NY 188; *Matter of Gagliardi*, 55 NY2d 109; *Liberty Mgt. & Constr. v Fifth Ave. & Sixty-Sixth St. Corp.*, 208 AD2d 73; *Crabtree v Elizabeth Arden Sales Corp.*, 305 NY 48.) II. Even if the deposits from the charitable remainder annuity trust were properly deemed income, the lifetime trust included an implied directive that unexpended income be paid to the charities upon Kathleen Pioch's death. (*Matter of Friday*, 148 Misc 899; *Matter of Cheney*, 85 Misc 2d 66; *Matter of Outerbridge*, 91 Misc 2d 686; *Matter of Littman*, 165 Misc 285; *Matter of Dreicer*, 155 Misc 817.)

Woods Oviatt Gilman LLP, Rochester (William G. Bauer, Robert W. Croessman and Robert W. Kessler of counsel), for Chase Manhattan Bank, respondent. I. The funds received by the

lifetime trust for Kathleen Pioch's benefit should be classified as income. (*Matter of Grove*, 86 AD2d 302; *Mercury Bay Boating Club v San Diego Yacht Club*, 76 NY2d 256; *Matter of Gagliardi*, 55 NY2d 109; *Matter of Glaser*, 19 AD2d 354, 14 NY2d 895; *Matter of Herzog*, 301 NY 127; *Matter of Bird*, 69 Misc 2d 1015; *Matter of Vail*, 91 Misc 2d 398.) II. New York State law and the terms of the lifetime trust mandate that the undistributed income be paid to the estate of Kathleen Pioch. (*Matter of Friday*, 148 Misc 899; *Matter of Cheney*, 85 Misc 2d 66; *Matter of Hopkins*, 119 Misc 2d 218; *Matter of Saxton*, 219 AD2d 85.)

Wiedman, Vazzana, Corcoran & Volta, P.C., Rochester (*James G. Vazzana* and *Sandra E. Volta* of counsel), for Frank B. Iacovangelo, respondent. I. As affirmed by the Appellate Division, the Surrogate's Court properly determined that the funds received by the lifetime trust for Kathleen Pioch's benefit should be classified as income. (*Matter of Manning v Glens Falls Natl. Bank & Trust Co.*, 265 AD2d 743.) II. There is an important distinction between accrued income and accumulated income. (*Matter of Juilliard*, 238 NY 499; *Matter of Dexter*, 134 Misc 195; *Matter of Balsamo*, 136 Misc 113; *Matter of Cheney*, 85 Misc 2d 66.)

OPINION OF THE COURT

GRAFFEO, J.

In this proceeding by a trustee seeking judicial settlement of a final account, we are asked whether the trustee's distribution of trust assets comported with the settlor's intent. We conclude that it did not and therefore reverse the order of the Appellate Division.

In December 1973, A. Charles Pioch (Charles) established two trusts designed to benefit himself, his daughter Kathleen and two charitable institutions. The first, a charitable remainder annuity trust (the CRAT), was funded with assets valued at \$400,000. The second, a lifetime trust (the LTT), was created with assets worth approximately \$121,000. Petitioner Chase Manhattan Bank and its predecessors served as the trustee of both trusts.

The CRAT directed the Bank to pay to the LTT an annual amount equal to 6% of the initial value of the assets deposited—about \$24,000 per year paid in quarterly installments of \$6,000—for the benefit of Charles. Upon Charles's death, the CRAT instructed the Bank to continue making the quarterly payments to the LTT “for the benefit of [Charles's] daughter,

KATHLEEN PIOCH, during her lifetime.” After her death, the remainder of the CRAT would pass to St. John Fisher College.

The preamble of the LTT required the Bank to “hold, administer and distribute all of the aforesaid assets [i.e., the \$121,000] (together with all additions thereto and all reinvestments thereof) as the principal of a trust estate, for the benefit of the Grantor, in accordance with the terms and provisions hereinafter set out.” The Bank was to “pay or apply the net income to the use of [Charles] . . . during his life,” and was authorized to invade the principal for his support, welfare and comfort. The LTT provided that, upon Charles’s death, assuming Kathleen survived him,

“the [LTT] shall continue for the benefit of [Kathleen], and the Trustee shall apply the income and so much of the principal as in its discretion it shall deem necessary, for the support, maintenance and general welfare of [Kathleen], during her life. The Trustee shall pay, so far as possible, all specific bills for [Kathleen’s] living expenses, thus making certain that her rent, her utilities, her food, clothing and medical expenses are paid by the Trustee directly. [Kathleen] shall not be given any large sums of money, but only a small allowance by the Trustee every week to meet her personal needs.”

At the time of Kathleen’s death, the LTT directed the Bank to pay the remaining principal, together with any accrued income, to St. John Fisher College and the Lutheran Church of the Incarnate Word (collectively objectants).

Charles died in 1975 shortly after creating the trusts. In accordance with the terms of the LTT, the Bank began paying Kathleen’s living expenses. The record reveals that Kathleen had limited mental capacity and for the next 25 years, until her death, the Bank paid her bills directly and regularly deposited modest sums into a checking account for her personal needs. Despite these expenditures, when she died in July 2000 the LTT contained assets exceeding \$800,000. Of that amount, \$526,533 represented the accumulation of the quarterly payments from the CRAT that had not been used to pay Kathleen’s expenses during her life.

Treating the \$526,533 from the annuity payments as Kathleen’s income, the Bank distributed the full sum to her estate. Since Kathleen died without a will, the money passed through

intestacy to respondents Catherine Hyman, Arlene La Bounty, Lois Carr, Mary Salyer, Paul Hasert and Linda Hallen, all blood relatives of Charles who had not been named as beneficiaries of either trust. In August 2001, the Bank filed an accounting for the LTT and initiated this judicial settlement proceeding.

Objectants filed objections to the Bank's final account, asserting that Charles intended the charities to receive the remaining accumulated quarterly annuity payments—the \$526,533—upon Kathleen's death. Objectants argued that the quarterly payments from the CRAT to the LTT were more appropriately categorized as principal rather than income and, alternatively, even if the payments were considered income, the terms of the LTT manifested an intent by Charles that the charities receive any accumulation of such income. As a result, objectants requested the Surrogate to surcharge the Bank for \$526,533, plus interest. The Attorney General appeared on objectants' behalf and filed similar objections.

Surrogate's Court dismissed all of the objections and granted the petition for judicial settlement of the final account of the LTT, thereby approving the disbursements by the Bank. The Appellate Division, with two Justices dissenting, affirmed. The majority held that the Bank's characterization of the annuity payments as income to the LTT was consistent with the settlor's intent. The majority also rejected objectants' alternative argument that the LTT required the Bank to accumulate any excess income for their benefit. The dissenters, on the other hand, would have sustained the objections, reasoning that the annuity payments from the CRAT to the LTT constituted additions to the principal of the LTT rather than income. Objectants appeal as of right based on the two-Justice dissent.

In determining whether Kathleen's estate or objectants are entitled to the amount in dispute, Charles's intent is controlling (*see Mercury Bay Boating Club v San Diego Yacht Club*, 76 NY2d 256, 267 [1990]; *Matter of Gilbert*, 39 NY2d 663, 666 [1976]). It is well settled that “the trust instrument is to be construed as written and the settlor's intention determined solely from the unambiguous language of the instrument itself” (*Mercury Bay Boating Club*, 76 NY2d at 267; *see also Central Union Trust Co. v Trimble*, 255 NY 88, 93 [1930] [“We are to search, not for the probable intention of the settlor merely, but for the intention which the trust deed itself, either expressly or by implication, declares. We are to ascertain the intention from the words used and give effect to the legal consequences of that intention when ascertained”]).

Here, regardless of whether the quarterly annuity payments are classified as principal or income in the LTT, the terms of the LTT demonstrate Charles's intent that any funds not expended on Kathleen's behalf be distributed to objectants.¹ If we characterize the CRAT payments as principal, objectants would be entitled to the disputed funds because the LTT expressly directed the Bank to distribute any remaining principal to them. But even if we adopt the contrary position and determine that the CRAT payments constituted income, it is clear Charles intended that Kathleen receive income from the LTT sufficient to satisfy her personal needs and no more. The LTT expressly prescribed that monies provided for Kathleen's benefit during her lifetime be related to her "support, maintenance and general welfare." Charles did not require that the full amount of the quarterly funds transferred to the LTT be paid to Kathleen herself. This contrasts with the provision of the LTT that entitled Charles to all of the income, without limitation, while he was alive. Instead, after Charles's death, the Bank was to apply the income on Kathleen's behalf by paying her bills directly and giving her "only a small allowance" for her personal needs. In addition, Charles instructed the Bank not to give Kathleen "any large sums of money" and she was not vested with a power of appointment over the trust assets.

By limiting the disbursement of income to Kathleen to a sum sufficient to cover her needs, Charles anticipated that the Bank might pay out less than all the income for his daughter's benefit and therefore authorized the Bank to accumulate any income not expended (*see* EPTL 9-2.1; Turano, Practice Commentaries, McKinney's Cons Laws of NY, Book 17B, EPTL 9-2.1).² Generally, where a trust requires the trustee to apply only so much of the income as is necessary for the beneficiary's needs, any unexpended income accumulated by the trustee passes to the remainder beneficiaries (*see Matter of White*, NYLJ, Jan. 19, 2001, at 30, col 3 [Sur Ct, Nassau County]; *Matter of Cheney*, 85 Misc 2d 66, 69-70 [Sur Ct, Nassau County 1976]; 3A Fratcher, Scott on Trusts § 235A [4th ed]; *see generally* Annotation, *Disposition and rights in respect of surplus income from trust in*

1. We note that this proceeding is governed by the law applicable before the enactment of the New York Uniform Principal and Income Act (EPTL art 11-A), which became effective in 2002. We express no view regarding the application of that Act to the facts of this case.

2. Indeed, the Bank accumulated \$526,533 over a 25-year period.

*excess of amount directed to be paid to, or required for support of, beneficiaries during trust period, 157 ALR 668).*³

Such a result is appropriate in this case where Charles specified that Kathleen receive only income sufficient to satisfy her needs and granted her neither the power to control nor the power to alienate the trust's funds. Under these circumstances, it would be incongruous to hold that Kathleen's estate could dispose of \$526,533 upon her death when she had not been allocated such funds during her life and the settlor explicitly directed in the LTT that she not be given any substantial sums of money. We therefore conclude that the Bank should have distributed the disputed amount to objectants, not to Kathleen's estate.

Accordingly, the order of the Appellate Division should be reversed, with costs, the objections sustained and the matter remitted to Surrogate's Court for further proceedings in accordance with this opinion.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT, READ and R.S. SMITH concur.

Order reversed, etc.

3. The Appellate Division majority relied on *Matter of Hopkins* (119 Misc 2d 218 [Sur Ct, Nassau County 1983]) for the proposition that accumulated income in a "needs trust" belongs to the income beneficiary's estate upon his or her death. *Hopkins*, however, involved the interpretation of a trust under legal principles applicable before the Legislature largely eliminated the "rule against accumulations" (see L 1959, ch 454; L 1961, ch 866; see also EPTL 9-2.1). Under current New York law, a direction to accumulate income is valid if it "is to begin and terminate within the time allowed by the rule against perpetuities" (EPTL 9-2.1 [b]).

[847 NE2d 367, 814 NYS2d 70]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v MATTHEW WALDRON, Appellant.

Argued January 12, 2006; decided February 14, 2006

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the Fourth Judicial Department, from an order of that Court, entered December 30, 2004. The Appellate Division modified, as a matter of discretion in the interest of justice, a judgment of the Herkimer County Court (Patrick L. Kirk, J.), which had convicted defendant, upon a jury verdict, of sodomy in the first degree (three counts), promoting an obscene sexual performance by a child, use of a child in a sexual performance and possessing an obscene sexual performance by a child. The modification consisted of reducing the sentence imposed upon defendant.

People v Waldron, 13 AD3d 1074, affirmed.

HEADNOTES

Crimes — Right to Speedy Trial

1. Defendant was not denied his statutory right to a speedy trial (CPL 30.30 [1] [a]) as a result of preindictment delay occasioned by defense counsel's letter to the District Attorney containing an explicit waiver of defendant's speedy trial rights in order to complete ongoing plea negotiations. Defendant knew of and consented to his lawyer's strategy, and the delay worked in defendant's favor, as it resulted in a reduced sentence offer. Exclusion of this 142-day period from time chargeable to the People pursuant to CPL 30.30 (4) (b), along with 24 days for other proceedings involving the defendant, rendered timely the People's declaration of readiness. The People were not required to show a contemporaneous record of consent to the delay.

Crimes — Right to Speedy Trial

2. Defendant was not denied his constitutional right to a speedy trial as a result of preindictment delay occasioned by defense counsel's letter to the District Attorney containing an explicit waiver of defendant's speedy trial rights in order to complete ongoing plea negotiations. Although there was a delay of almost one year, the delay worked in defendant's favor, as it resulted in a reduced sentence offer. Defendant and his former lawyer were primarily responsible for the delay. The underlying charges were serious, involving the sexual abuse of minors, and the matter required delicate handling by the District Attorney, who sought to minimize further harm to the victims by making them testify. Although defendant was incarcerated prior to trial, he chose to extend this pretrial incarceration by agreeing to the waiver of his speedy trial rights. Finally, defendant was not impaired by reason of the delay because he received a better offer from the prosecutor as a result of waiting.

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AM JUR 2d, Criminal Law §§ 1030, 1031, 1042, 1043, 1052.
 CARMODY-WAIT 2d, Criminal Procedure §§ 172:2115,
 172:2209, 172:2212.
 LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 18.1–
 18.3.
 MCKINNEY'S, CPL 30.30 (1) (a); (4) (b).
 NY JUR 2d, Criminal Law §§ 1717–1721, 1728, 1729, 1739.

ANNOTATION REFERENCE

See ALR Index under Speedy Trial.

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Database: NY-ORCS

Query: speedy /2 trial /4 waiv! /s plea /3 negotiat! bargain!

POINTS OF COUNSEL

McNamee, Lochner, Titus & Williams, P.C., Albany (David J. Wukitsch of counsel), for appellant. I. Matthew Waldron's statutory and constitutional speedy trial rights were violated. (*Klopper v North Carolina*, 386 US 213; *People v Prosser*, 309 NY 353; *People v Cortes*, 80 NY2d 201; *People v Berkowitz*, 50 NY2d 333; *People v Soluri*, 300 AD2d 988; *People v Coxon*, 242 AD2d 962; *People v Correa*, 77 NY2d 930; *People v Liotta*, 79 NY2d 841; *People v Hamilton*, 46 NY2d 932; *People v Collins*, 82 NY2d 177.) II. Matthew Waldron was denied effective assistance of counsel when his trial counsel failed to object to the prosecutor's highly prejudicial opening statement and summation. (*People v Ellis*, 81 NY2d 854; *People v Rivera*, 71 NY2d 705; *People v Baldi*, 54 NY2d 137; *People v Kurtz*, 51 NY2d 380; *People v Benham*, 160 NY 402; *People v Levine*, 297 NY 144; *People v Bennett*, 29 NY2d 462; *People v Ashwal*, 39 NY2d 105; *People v Mayrant*, 43 NY2d 236; *People v Russell*, 307 AD2d 385.)

John H. Crandall, Sr., District Attorney, Herkimer (Jeffrey S. Carpenter of counsel), for respondent. I. Matthew Waldron's statutory and constitutional speedy trial rights were not violated. (*People v Hudson*, 167 AD2d 950; *People v Sharpe*, 115 AD2d 996; *People v Jenkins*, 302 AD2d 978; *People v Chevalier*, 226 AD2d 925; *People v Liotta*, 79 NY2d 841; *People v Smith*, 82 NY2d 676; *People v Cortes*, 80 NY2d 201; *People v Trepasso*, 197 AD2d 891; *People v Rodriguez*, 50 NY2d 553; *People v Taranov*–

ich, 37 NY2d 442.) II. Matthew Waldron was not denied effective assistance of counsel when his trial counsel failed to object to the prosecutor's opening statement and summation. (*People v Baldi*, 54 NY2d 137; *People v Garcia*, 75 NY2d 973; *People v Rivera*, 71 NY2d 705; *People v Kurtz*, 51 NY2d 380; *People v Dennee*, 291 AD2d 888; *People v Troy*, 209 AD2d 943; *People v Greene*, 151 AD2d 1033; *People v Cardenas*, 191 AD2d 231; *People v Powers*, 262 AD2d 713; *People v Ford*, 86 NY2d 397.)

OPINION OF THE COURT

G.B. SMITH, J.

The issue in this case is whether a preindictment delay from July 11, 2000 to November 30, 2000 was properly excluded from time charged against the People when defense counsel engaged in plea negotiations during that period and sent a letter expressly waiving defendant's speedy trial rights. We conclude that defendant waived his statutory speedy trial rights and that his constitutional speedy trial rights were not violated. The order of the Appellate Division should, therefore, be affirmed.

Defendant Matthew Waldron was arrested in the Village of Herkimer on January 23, 2000 after police obtained surveillance evidence showing he had engaged in several obscene acts with children. On February 1, 2000, the Herkimer Village Court ordered a psychiatric and competency exam pursuant to article 730 of the Criminal Procedure Law. The report was filed February 24, 2000.

On March 20, 2000, defendant's assigned counsel was replaced by retained counsel, George Aney, who soon thereafter initiated negotiations with the prosecutor. At the outset, the District Attorney, Michael Daley, told Aney that if the children had to testify at a grand jury proceeding, the minimum offer would be a 20-year determinate sentence. According to Aney, he then began a deliberate strategy of delay, hoping that the District Attorney's offer would improve with time, a tactic that Aney communicated to his client. Aney later testified that "[o]n more than one occasion," he had conversations with District Attorney Daley indicating that he wished to waive the statutory time period in order to reserve the possibility of negotiating a better sentence for his client. In a letter dated July 11, 2000, Aney wrote to the District Attorney:

"In connection with the above captioned matter, I have been meeting with the defendant and his

father for the past few months regarding a possible disposition of this case without the necessity of requiring the children to testify before the Grand Jury. . . .

“In light of these undertakings, I would request, therefore, on behalf of the defendant who joins in this request, that we schedule a dispositional hearing date on or before September 15, 2000, and the defendant does hereby waive any speedy trial or other rights that he may have by your concurring with this request.”

Between July and November, Daley and Aney spoke frequently and, eventually, the District Attorney reduced the offer by eight years.

Defendant Waldron, nevertheless, sought and paid for the legal advice of another inmate, and on November 30, 2000, filed a pro se speedy trial motion and discharged Aney. In his pro se motion, he contended that he had been in custody 317 days without the commencement of a trial, in violation of CPL 30.30 (1) (a).¹ Defendant was indicted on December 14, 2000 and arraigned on December 20, 2000, at which time the prosecutor announced his readiness for trial. The Herkimer County Court conducted a hearing on February 28, 2001 pursuant to the pro se CPL 30.30 motion. At the hearing, defendant contradicted Aney’s claims that he knew of the intentional delay strategy. The court denied defendant’s speedy trial motion.

On July 12, 2001, following a jury trial, defendant was convicted of sodomy in the first degree (three counts) (Penal Law former § 130.50 [3]), use of a child in a sexual performance (Penal Law § 263.05), promoting an obscene sexual performance by a child (Penal Law § 263.10) and possessing an obscene sexual performance by a child (Penal Law § 263.11). On August 30, 2001, he was sentenced to 17 years for each count of sodomy, with sentences to run consecutively. The sentence for promoting an obscene sexual performance by a child was 1¹/₃ to

1. CPL 30.30 (1) (a) states:

“1. Except as otherwise provided in subdivision three, a motion made pursuant to paragraph (e) of subdivision one of section 170.30 or paragraph (g) of subdivision one of section 210.20 must be granted where the people are not ready for trial within:

“(a) six months of the commencement of a criminal action wherein a defendant is accused of one or more offenses, at least one of which is a felony.”

4 years; for use of a child in a sexual performance, he received 3 to 9 years; and for possessing an obscene sexual performance by a child he received 1¹/₃ to 4 years, which were to run concurrently with each other, but consecutive to the sentences imposed on the sodomy convictions.²

The Appellate Division modified the sentence but affirmed the conviction. The Court reasoned that the sentence was unduly harsh and modified the judgment by ordering the determinate terms of 17 years imposed on the second and third counts of the indictment to run consecutively, but all of the other terms to run concurrently with one another (13 AD3d 1074 [2004]).

The Appellate Division declined, however, to dismiss the indictment for a violation of speedy trial rights. The Court reasoned that defendant was not denied his statutory or constitutional rights to a speedy trial because between July 11 and November 30, 2000, Aney explicitly requested that the prosecution postpone the presentation of defendant's case to the grand jury and expressly waived defendant's speedy trial rights, "all for the purpose of pursuing a favorable plea bargain for defendant" (*id.* at 1075). The Court reasoned that this 142-day period, along with the 24 days needed for the psychiatric examination, rendered timely the People's declaration of readiness. Additionally, the Court held Aney had the authority to bind defendant to the waiver, and the record established that defendant did consent to the delay. Two Justices dissented, reasoning that it was the People's burden to show defendant waived his rights and these periods were excludable under CPL 30.30 (4). Furthermore, the dissenting Justices stated there was no contemporaneous record made "and absent such a record, the delay is chargeable to the People and the purported waiver of defendant's speedy trial rights is ineffective" (*id.* at 1077). A Justice of the Appellate Division granted defendant permission to appeal. We now affirm.

[1] On this record, where defendant's counsel explicitly waived speedy trial rights in order to complete ongoing plea negotiations, such time is excludable. CPL 30.30 (1) (a) states that the People must be ready for trial within six months of the commencement of a criminal action, exclusive of the days chargeable to the defense. It is undisputed by both parties that the 24 days

2. The mandatory state surcharge of \$210 was also imposed, as well as defendant's entry into the sex offender registry and permanent orders of protection.

between February 1 and February 24, 2000 are excludable pursuant to CPL 30.30 (4) (a).³ The record shows that the delay worked in defendant's favor, as it resulted in a reduced sentence offer. It is also within the record that defendant knew of and consented to his lawyer's strategy. Defendant claims that, at most, the People established the excludable period requested in the letter ended September 15, the date Aney requested a dispositional hearing. We disagree. The July letter could have been clearer, and prosecutors would be well advised to obtain unambiguous written waivers in situations like these, but the letter, read in light of the negotiations that preceded and followed it, as described in Aney's testimony, was a waiver of the delay between July 11 and November 30 because that was the time used by the defendant to negotiate with the District Attorney. Although he did request a hearing for September 15, 2000, the record indicates that Aney and Daley remained in negotiations through November. Therefore, we hold that there was sufficient excludable time not chargeable to the People—the 24 days in February 2000 and the period between July 11 and November 30, 2000, the date defendant explicitly rejected Aney's strategy of delay.

Defendant maintains that the People should have shown a contemporaneous record of consent to the delay (citing CPL 30.30 [4] [b]).⁴ But CPL 30.30 (4) (b) speaks only to the question of when continuances granted by the court may be excluded

3. CPL 30.30 (4) (a) states:

"In computing the time within which the people must be ready for trial pursuant to subdivisions one and two, the following periods must be excluded:

"(a) a reasonable period of delay resulting from other proceedings concerning the defendant, including but not limited to: proceedings for the determination of competency and the period during which defendant is incompetent to stand trial; demand to produce; request for a bill of particulars; pre-trial motions; appeals; trial of other charges; and the period during which such matters are under consideration by the court."

4. CPL 30.30 (4) (b) states:

"In computing the time within which the people must be ready for trial pursuant to subdivisions one and two, the following periods must be excluded: . . .

"(b) the period of delay resulting from a continuance granted by the court at the request of, or with the consent of, the defendant or his counsel. The court must grant such a continuance only if it is satisfied that postponement is in the interest of justice, taking into account the public interest in the prompt dispositions of criminal charges. A defendant without counsel must not be

(n. cont'd)

from section 30.30's time limitations. It does not prevent a defendant from making, through a letter from his counsel, a valid waiver of his statutory speedy trial right, and there is no requirement that such a letter be filed contemporaneously at the courthouse.

[2] Finally, we hold there was no constitutional violation of defendant's right to a speedy trial. In *People v Taranovich* (37 NY2d 442 [1975]), this Court stated the following factors should be examined when a defendant claims there has been a denial of his right to a speedy trial: (1) the extent of the delay; (2) the reason for the delay; (3) the nature of the underlying charge; (4) whether or not there has been an extended period of pretrial incarceration; and (5) whether or not there is any indication that the defense has been impaired by reason of the delay.

Under the first factor, the extent or duration of the delay, we have a delay of almost a year. Although "the greater the delay the more probable it is that the accused will be harmed" (*id.* at 445), here it appears the delay helped defendant. Analysis of the second factor, the reason for the delay, shows defendant and his former lawyer were primarily responsible and also falls in the People's favor. The third factor, the nature of the underlying charge, also falls in the People's favor as the grand jury ultimately indicted defendant on seven felony counts involving the sexual abuse of minors. This matter required delicate handling by the District Attorney, who sought to minimize further harm to the victims by making them testify.

The fourth factor, whether or not there has been an extended period of pretrial incarceration, falls in the defendant's favor, although we note that he chose to extend this pretrial incarceration by agreeing to a waiver. Analysis of the fifth factor, whether or not there is any indication that the defense has been impaired by reason of the delay, again shows that defendant was not impaired because he received a better offer from the prosecutor as a result of waiting. Balancing these factors, we hold that defendant was not deprived of his constitutional right to a speedy trial.

Accordingly, the order of the Appellate Division should be affirmed.

deemed to have consented to a continuance unless he has been advised by the court of his rights under these rules and the effect of his consent."

Chief Judge KAYE and Judges CIPARICK, ROSENBLATT,
GRAFFEO, READ and R.S. SMITH concur.

Order affirmed.

[846 NE2d 1201, 813 NYS2d 691]

WIEN & MALKIN LLP et al., Respondents, v HELMSLEY-SPEAR,
INC., Appellant.

Argued January 5, 2006; decided February 21, 2006

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered October 14, 2004. The Appellate Division, upon remand from the United States Supreme Court (540 US 801 [2003]), (1) reversed, on the law, a judgment of the Supreme Court, New York County (Ira Gammerman, J.), which, insofar as appealed from, had granted defendant's motion to confirm an arbitration award dated March 30, 2001; (2) vacated that part of the award which declared that Helmsley-Spear, Inc. was the valid successor in interest to the former Helmsley-Spear Corporation; (3) declared Helmsley-Spear, Inc. to be a new entity; (4) declared the assignment of the property management agreements to be invalid; (5) remanded, for a vote, the matter of Helmsley-Spear, Inc.'s termination; and (6) declared academic the issue of whether Leona Helmsley was obligated to vote to terminate Helmsley-Spear, Inc. The following question was certified by the Appellate Division: "Was the order of this Court, which reversed the judgment of Supreme Court, properly made?" Following the affirmance of Supreme Court's judgment by the Appellate Division on the original appeal (300 AD2d 32 [2002]) and the denial by the Court of Appeals of a motion for leave to appeal (99 NY2d 511 [2003]), the United States Supreme Court vacated the "judgment" of the Appellate Division and remanded the case to the Appellate Division for further consideration in light of *Citizens Bank v Alafabco, Inc.* (539 US 52 [2003]).

Wien & Malkin LLP v Helmsley-Spear, Inc., 12 AD3d 65, reversed.

HEADNOTES

Arbitration — Judicial Review — Manifest Disregard of Law

1. In an arbitration proceeding arising out of an attempt by plaintiff, as the representative and designee of ownership interests in several properties, to oust defendant as managing agent of the properties, the arbitration panel did not manifestly disregard the law when it concluded that defendant was a valid successor in interest to the corporation that originally served as managing agent. There were several underlying contracts between the original manag-

ing agent, plaintiff, and their previous incarnations that would have led the panel to conclude that the parties contemplated an ongoing contractual relationship with successors of the original managing agent. The change in form between the original managing agent and its successor was not consequential. Moreover, even if the property management agreements constituted unassignable personal services, there was no showing that the arbitrators knew they were disregarding the law by naming defendant as a valid successor in interest.

Arbitration — Judicial Review — Manifest Disregard of Law

2. In an arbitration proceeding arising out of an attempt by plaintiff, as the representative and designee of ownership interests in several properties, to oust defendant as managing agent of the properties, the arbitration panel did not manifestly disregard the law by voiding the purported proxy vote conducted by plaintiff's chairperson to terminate defendant's services without cause at three of the properties. The arbitral award did not disregard any express and unambiguous terms of the contracts that would make vacatur appropriate on the basis of manifest disregard of a contract. In annulling the proxy vote, the arbitration panel found that the chairperson's solicitation of the proxies "was not preceded or accompanied by any disclosure at all" and that he failed to obtain "an informed vote of the general partners." It was within the panel's discretion to conclude that certain procedures needed to be put in place to ensure an informed vote.

Arbitration — Judicial Review — Manifest Disregard of Law

3. In an arbitration proceeding arising out of an attempt by plaintiff, as the representative and designee of ownership interests in several properties, to oust defendant as managing agent of the properties, the arbitration panel did not manifestly disregard the law by concluding that the actions of a principal of defendant's predecessor in granting defendant her irrevocable proxy to vote in favor of defendant's retention as managing agent of the properties did not constitute a transfer of her partnership interest in violation of state partnership law.

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By the Publisher's Editorial Staff

AM JUR 2d, Alternative Dispute Resolution §§ 243, 250, 254.

CARMODY-WAIT 2d, Arbitration §§ 141:220, 141:221, 141:231.

NY JUR 2d, Arbitration and Award §§ 196, 197, 207.

SIEGEL, NY PRAC § 602.

ANNOTATION REFERENCE

See ALR Index under Arbitration and Award.

FIND SIMILAR CASES ON WESTLAW®

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POINTS OF COUNSEL

*Dickstein Shapiro Morin & Oshinsky LLP, New York City
(Howard Graff, Deborah A. Skakel and Judith R. Cohen of*

counsel), for appellant. I. The award should not be vacated under the Federal Arbitration Act after it was properly confirmed under the CPLR. (*Matter of Sprinzen [Nomberg]*, 46 NY2d 623; *Matter of New York State Correctional Officers & Police Benevolent Assn. v State of New York*, 94 NY2d 321; *Matter of Silverman [Benmor Coats]*, 61 NY2d 299; *Matter of Dowleyne v New York City Tr. Auth.*, 3 NY3d 633; *Duferco Intl. Steel Trading v T. Klaveness Shipping A/S*, 333 F3d 383; *Wallace v Buttar*, 378 F3d 182; *Burchell v Marsh*, 17 How [58 US] 344; *Wilko v Swan*, 346 US 427; *Rodriguez de Quijas v Shearson/American Express, Inc.*, 490 US 477; *Saxis S.S. Co. v Multifacs Intl. Traders, Inc.*, 375 F2d 577.) II. The decision of the Appellate Division after remand misapplies the Second Circuit's manifest disregard standard. (*Wallace v Buttar*, 378 F3d 182; *Halligan v Piper Jaffray, Inc.*, 148 F3d 197; *Westerbeke Corp. v Daihatsu Motor Co., Ltd.*, 304 F3d 200; *Hoelt v MVL Group, Inc.*, 343 F3d 57; *Matter of Lipman [Haeuser Shellac Co.]*, 289 NY 76; *Matter of Vann v Kreindler, Relkin & Goldberg*, 78 AD2d 255, 54 NY2d 936; *Matter of Andros Cia. Maritima, S.A. [Marc Rich & Co., A.G.]*, 579 F2d 691; *Blue Tee Corp. v Koehring Co.*, 808 F Supp 343; *Maross Constr. v Central N.Y. Regional Transp. Auth.*, 66 NY2d 341; *Matter of Albany County Sheriff's Local 775 of Council 82, AFSCME, AFL-CIO [County of Albany]*, 63 NY2d 654.) III. The "well-settled legal principle" relied upon by the Appellate Division in finding manifest disregard is neither clear nor applicable. (*Wallace v Buttar*, 378 F3d 182; *Westerbeke Corp. v Daihatsu Motor Co., Ltd.*, 304 F3d 200; *Security Pac. Mtge. & Real Estate Servs., Inc. v Canadian Land Co. of Am., N.V.*, 690 F Supp 1214, 891 F2d 447; *Matter of Lovece [Local 32B, Bldg. Serv. Empls. Intl. Union, AFL-CIO]*, 37 Misc 2d 709; *Quinn v Whitney*, 204 NY 363; *New England Iron Co. v Gilbert [Metropolitan] El. R.R. Co.*, 91 NY 153; *Paige v Faure*, 229 NY 114; *Nassau Hotel Co. v Barnett & Barse Corp.*, 162 App Div 381, 212 NY 568; *Devlin v Mayor, Aldermen & Commonalty of City of N.Y.*, 63 NY 8; *Canister Co. v National Can Corp.*, 71 F Supp 45.) IV. The decision of the Appellate Division after remand reached and improperly reversed an issue abandoned by Wien & Malkin LLP: the propriety of the arbitration panel's remedy on partnership voting protocols. (*Matter of Sprinzen [Nomberg]*, 46 NY2d 623; *Matter of SCM Corp. [Fisher Park Lane Co.]*, 40 NY2d 788; *Lentine v Fundaro*, 29 NY2d 382; *Matter of Paver & Wildfoerster [Catholic High School Assn.]*, 38 NY2d 669; *Konkar Mar. Enters., S.A. v Compagnie Belge D'Affretement*, 668 F Supp 267; *Matter of Antique Rug Dealers Assn. [Hakimian]*, 210 AD2d

111; *Matter of Sims v Siegelson*, 246 AD2d 374; *Matter of Silverman [Benmor Coats]*, 61 NY2d 299; *Matter of Infosafe Sys. [International Dev. Partners]*, 228 AD2d 272; *Matter of Barzilay [Siegman]*, 161 AD2d 427.) V. The waiver of the Federal Arbitration Act (FAA) by Wien & Malkin LLP precluded its reliance on the FAA. (*Matter of Smith Barney Shearson v Sacharow*, 91 NY2d 39.) VI. The Federal Arbitration Act standards do not and should not preempt the CPLR. (*Volt Information Sciences, Inc. v Board of Trustees of Leland Stanford Junior Univ.*, 489 US 468; *Dean Witter Reynolds Inc. v Byrd*, 470 US 213; *Matter of Ball [SFX Broadcasting]*, 236 AD2d 158; *Matter of Smith Barney, Harris Upham & Co. v Luckie*, 85 NY2d 193; *New York Inst. of Tech. v State Div. of Human Rights*, 40 NY2d 316; *Matter of Sprinzen [Nomberg]*, 46 NY2d 623; *Local 1199, Drug, Hosp. & Health Care Empls. Union, RWDSU, AFL-CIO v Brooks Drug Co.*, 956 F2d 22; *Duferco Intl. Steel Trading v T. Klaveness Shipping A/S*, 333 F3d 383.)

Dewey Pegno & Kramarsky LLP, New York City (*Thomas E.L. Dewey* of counsel), and *Thelen Reid & Priest LLP* for respondents. I. The First Department correctly ruled that the arbitration panel's affirmance of the covert assignment of the management contract was in manifest disregard of the law. (*Security Pac. Mtge. & Real Estate Servs., Inc. v Canadian Land Co. of Am., N.V.*, 690 F Supp 1214, 891 F2d 447; *Government Guar. Fund v Hyatt Corp.*, 95 F3d 291; *Paige v Faure*, 229 NY 114; *Cristallina v Christie, Manson & Woods Intl.*, 117 AD2d 284; *Hardy v Walsh Manning Sec., L.L.C.*, 341 F3d 126; *Matter of Lovece [Local 32B, Bldg. Serv. Empls. Intl. Union, AFL-CIO]*, 37 Misc 2d 709; *Westerbeke Corp. v Daihatsu Motor Co., Ltd.*, 304 F3d 200; *Cargo Partner AG v Albatrans, Inc.*, 352 F3d 41; *Tripi v Prudential Sec., Inc.*, 303 F Supp 2d 349; *Matter of UBS Warburg [Auerbach, Pollack & Richardson]*, 294 AD2d 245.) II. The First Department correctly set aside the nullification of the without cause termination and the associated vote protocol. (*Winchell v Caron*, 260 AD2d 888; *In re Mid-Island Hosp., Inc.*, 276 F3d 123, 537 US 882; *Zolotar v New York Life Ins. Co.*, 172 AD2d 27; *Feinberg v Saks & Co.*, 56 NY2d 206; *Matter of Civil Serv. Empls. Assn., Steuben County Ch. v County of Steuben*, 50 AD2d 421; *Sweeney v Herman Mgt.*, 85 AD2d 34; *Matter of Oset v Can/Am Youth Servs.*, 212 AD2d 887; *Kings Park Classroom Teachers Assn. v Kings Park Cent. School Dist.*, 100 AD2d 929; *Inter-City Gas Corp. v Boise Cascade Corp.*, 845 F2d 184; *Schwartz v Fortune Mag.*, 89 F Supp 2d 429.) III. The Leona Helmsley voting agreement transferring management rights to

a nonpartner is unlawful. (*Rapoport v 55 Perry Co.*, 50 AD2d 54; *Kanarek v Gadlex Assoc.*, 115 AD2d 592; *Whalen v Gerzof*, 154 AD2d 843, 76 NY2d 914; *Matter of Hunsinger v Minns*, 197 AD2d 871; *Schwartz v Public Adm'r of County of Bronx*, 24 NY2d 65; *Color By Pergament v O'Henry's Film Works*, 278 AD2d 92; *Neary v Prudential Ins. Co.*, 63 F Supp 2d 208; *Asturiana De Zinc Mktg., Inc. v LaSalle Rolling Mills, Inc.*, 20 F Supp 2d 670.) IV. The First Department properly applied the Federal Arbitration Act to review of the award, and Helmsley-Spear, Inc. waived all arguments to the contrary. (*Citizens Bank v Alafabco, Inc.*, 539 US 52; *St. Lawrence Explosives Corp. v Worthy Bros. Pipeline Corp.*, 916 F Supp 187; *Matter of Diamond Waterproofing Sys., Inc. v 55 Liberty Owners Corp.*, 4 NY3d 247; *State of N.Y. Higher Educ. Servs. Corp. v Upshur*, 252 AD2d 333; *Bingham v New York City Tr. Auth.*, 99 NY2d 355; *S.E.B. Holding Corp. v State of New York*, 9 NY2d 235; *Matter of Ball [SFX Broadcasting]*, 236 AD2d 158; *Credit Suisse First Boston Corp. v Pitofsky*, 4 NY3d 149; *Allen & Co. v Shearson Loeb Rhoades*, 111 AD2d 122, 67 NY2d 709; *Halikias v Warburg Dillon Read*, 195 Misc 2d 447.)

OPINION OF THE COURT

G.B. SMITH, J.

In this appeal we review the Appellate Division's vacatur of an arbitration award after a remand from the Supreme Court of the United States with an instruction to reconsider in light of *Citizens Bank v Alafabco, Inc.* (539 US 52 [2003]). Since arbitral judgments are owed substantial deference and there was no showing that the arbitration panel manifestly disregarded the law, the award should be reinstated. The order of the Appellate Division should, therefore, be reversed.

In 1997, Wien & Malkin LLP (Wien & Malkin) attempted to oust Helmsley-Spear, Inc. (Helmsley-Spear) as managing agent of 11 New York City properties.¹ Wien & Malkin served as the representative and designee of ownership interests in these buildings, provided legal services such as drafting leases and performed administrative tasks. Helmsley-Spear was owned by

1. This case involves the operating entity tier of eight properties and three partnerships with single tiers which control three other properties within Manhattan. The buildings are the Empire State Building, the Lincoln Building at 60 East 42nd Street, the Fisk Building at 250 West 57th Street, the Toy Building at 200 Fifth Avenue and 1107 Broadway, 112 West 34th Street, 1333 Broadway, 1350 Broadway, 1359 Broadway, 1400 Broadway, and 501 Seventh Avenue. 500-512 Seventh Avenue was sold during the course of arbitration.

Irving Schneider and Alvin Schwartz, both former executives in the former Helmsley-Spear Corporation.² The partnerships began as a result of the late Harry Helmsley's efforts to find valuable properties and offer opportunities to others, like the late Lawrence A. Wien, to syndicate interests in the properties to passive investors.

In 1997, Peter Malkin, the current chairman of Wien & Malkin and son-in-law of the late Lawrence A. Wien, sent a request to the partners in 200 Fifth Avenue Associates (Toy Center Joint Venture), Fisk Building Associates, and Lincoln Building Associates asking that they authorize him to terminate Helmsley-Spear without cause and retain a new managing agent. In August 1997, three of the partnerships voted to remove Helmsley-Spear without cause by votes of 60% or more.³ Helmsley-Spear obtained a stay and on September 8, 1997, Supreme Court granted Helmsley-Spear's motion to compel arbitration.

Later in September 1997, Leona Helmsley entered into a series of agreements with Irving Schneider and Alvin Schwartz, who owned one-tenth percent (.1%) of Helmsley-Spear.⁴ Both Schneider and Schwartz held an option to purchase all of Helmsley-Spear's share from Helmsley Enterprises.⁵ Schneider and Schwartz formed a new corporation called "HS Acquisition Corporation" or "Newco" which purchased substantially all of the assets of the original Helmsley-Spear and renamed itself "Helmsley-Spear, Inc." Newco possessed the right to manage the 11 properties. Leona Helmsley granted the new corporation

2. Leona Helmsley was originally a party in this matter until December 1997 when she settled with Wien & Malkin. Mrs. Helmsley was a principal of Helmsley-Spear and the sole beneficiary of her husband's interests in the partnerships at issue. Alvin Schwartz died in 2001.

3. Partners representing a 69.16667% interest in the Toy Center Joint Venture, 60% interest in Fisk Building Associates, and 69.653417% interest in Lincoln Building Associates granted Mr. Malkin the authority to vote their interests and terminate Helmsley-Spear as managing agent.

4. At the time, Leona Helmsley's company, Helmsley Enterprises, owned 99.9% of Helmsley-Spear.

5. The option, originated in 1970, provided:

"This agreement shall be binding upon the heirs and legal representatives of the individual parties and upon the successors and assigns of HELMSLEY ENTERPRISES, INC. and HELMSLEY-SPEAR, INC. The rights of SCHWARTZ and SCHNEIDER hereunder are personal to each of them and to the survivor of them, and are not transferable by both or either by operation of law or otherwise."

her irrevocable proxy to vote in favor of Helmsley-Spear's retention as managing agent of the properties, as long as Messrs. Schneider and Schwartz remained as managers of Helmsley-Spear.

During arbitration, Wien & Malkin and Peter Malkin (collectively, Wien & Malkin) sought termination of Helmsley-Spear as managing agent on both "for cause" and "without cause" grounds.⁶ The matters were consolidated by the New York City office of the American Arbitration Association under its Commercial Arbitration Rules, and the panel was comprised of three distinguished arbitrators.⁷ The proceedings began in June 1998. Evidentiary hearings occurred between April 1999 and June 2000, during which the parties offered approximately 1,000 exhibits each. Over 50 witnesses testified during more than 60 days of hearings.

On March 30, 2001, the arbitration panel issued a 134-page decision that denied Wien & Malkin's request to remove Helmsley-Spear as managing agent for cause and without cause. Helmsley-Spear was declared the legal and valid successor in interest to the former Helmsley-Spear Corporation and to have validly exercised the option agreement of 1970; Wien & Malkin was enjoined from contesting the validity or in any way interfering with the voting agreement between Leona Helmsley and Helmsley-Spear; and Wien & Malkin was enjoined from calling or holding a partnership meeting for the purpose of removing Helmsley-Spear as managing agent unless it followed an outlined 11-step procedure.

Helmsley-Spear then moved to confirm the award while Wien & Malkin moved to vacate it, claiming that there were many areas in which the decision was "legally in error." Supreme Court disagreed and confirmed the award on July 23, 2001. The Appellate Division concluded that since the dispute involved buildings within New York City and did not have a substantial effect on interstate commerce, the Federal Arbitration Act did not ap-

6. Wien & Malkin originally commenced two separate arbitrations: one, on behalf of all 11 partnerships to terminate Helmsley-Spear as the exclusive managing and leasing agent for cause and two, on behalf of three partnerships (Lincoln Building Associates, Fisk Building Associates, and 200 Fifth Avenue Associates) to terminate Helmsley-Spear without cause. These actions were ultimately consolidated.

7. The arbitrators were Nicholas deB. Katzenbach, a former United States Attorney General and Under Secretary of State, William L.D. Barrett and John M. Wilkinson.

ply. It unanimously affirmed the confirmation under CPLR 7511 stating:

“[T]he award must stand unless shown to be utterly arbitrary or violative of public policy. We are not empowered to vacate an award merely for errors of law or fact committed by the arbitrators [W]e conclude that the arbitration panel’s findings . . . were not so arbitrary as to warrant vacatur” (300 AD2d 32, 33 [2002] [citations omitted]).

The United States Supreme Court granted certiorari and, on October 6, 2003, vacated the Appellate Division’s judgment and remanded the matter for further consideration in light of the Court’s holding in *Citizens Bank v Alafabco, Inc.* (539 US 52 [2003])⁸ (*Wien & Malkin LLP v Helmsley-Spear, Inc.*, 540 US 801 [2003]).

Upon remand, Wien & Malkin argued that the FAA was applicable to this matter; the award should be vacated because the panel incorrectly recognized the new Helmsley-Spear as a valid successor, and the voting agreement between Leona Helmsley and Messrs. Schwartz and Schneider was unenforceable. The Appellate Division reversed Supreme Court’s order and vacated the challenged portion of the arbitration award (12 AD3d 65 [2004]). The Court reasoned that under the FAA, the issue was whether the award exhibited a “manifest disregard of the law” such that vacatur was warranted (*id.* at 66, citing *Matter of Spear, Leeds & Kellogg v Bullseye Sec.*, 291 AD2d 255, 256 [1st Dept 2002]; *Halligan v Piper Jaffray, Inc.*, 148 F3d 197, 204 [2d Cir 1998], *cert denied* 526 US 1034 [1999]). The Appellate Division relied on its own jurisprudence in *Sawtelle v Waddell & Reed* (304 AD2d 103, 108 [2003]), and held that the arbitration

8. In *Citizens Bank v Alafabco, Inc.*, the Supreme Court held that the Federal Arbitration Act (FAA) encompasses a wider range of transactions than those actually “in commerce” (539 US at 56). The FAA states, in part:

“A written provision in any maritime transaction or contract evidencing a transaction involving commerce to settle by arbitration a controversy thereafter arising out of such contract or transaction, or the refusal to perform the whole or any part thereof, or an agreement in writing to submit to arbitration an existing controversy arising out of such a contract, transaction, or refusal, shall be valid, irrevocable, and enforceable, save upon such grounds as exist at law or in equity for the revocation of any contract.” (9 USC § 2.)

The Supreme Court’s remand, therefore, meant that if the subject matter of an arbitration merely affected interstate commerce, the FAA would apply.

panel committed clear legal error and manifestly disregarded both contract law and the applicable agreements. It reasoned that the “conduct of Leona Helmsley and defendant’s principals in entering an agreement assigning Helmsley-Spear’s personal services contracts to defendant was a clear violation of the well-settled legal principle that personal services contracts . . . may not be assigned without the consent of the principal” (12 AD3d at 71 [citations omitted]). It determined that the new Helmsley-Spear was not a mere “change of form” and that the panel “ignored the facts that Helmsley-Spear, Inc. had different officers, directors, shareholders, management personnel, financial structure and fewer properties under management than Helmsley-Spear” (*id.* at 72).

The Court also found that the arbitrators manifestly disregarded the applicable agreements by finding that Wien & Malkin was bound to retain Helmsley-Spear as managing agent due to defects in the proxy voting procedure. The Court reasoned that:

“Contrary to the findings of the arbitration panel, the partnership agreements did not provide for a particular method of solicitation of proxies for a vote to terminate the managing agents and did not establish a fiduciary duty to them. Nor was there any showing that Peter Malkin fraudulently induced the partners to give him their proxies” (*id.*).

Finally, the Court concluded that the arbitrators did not err by upholding Leona Helmsley’s voting agreement with the new Helmsley-Spear but noted that this issue was academic in light of its conclusions that the arbitrators erred in finding the proxy solicitation process defective.

The Appellate Division granted Helmsley-Spear leave to appeal to this Court, and certified the following question: “Was the order of this Court, which reversed the judgment of Supreme Court, properly made?” For the reasons that follow, we conclude that it was not.

It is well settled that judicial review of arbitration awards is extremely limited (*see Paperworkers v Misco, Inc.*, 484 US 29 [1987]). An arbitration award must be upheld when the arbitrator “offer[s] even a barely colorable justification for the outcome reached” (*Matter of Andros Cia. Maritima, S.A. [Marc Rich & Co., A.G.]*, 579 F2d 691, 704 [2d Cir 1978]). Indeed, we have stated time and again that an arbitrator’s award should not be vacated for errors of law and fact committed by the arbitrator

and the courts should not assume the role of overseers to mold the award to conform to their sense of justice (see *Matter of Sprinzen [Nomberg]*, 46 NY2d 623, 629 [1979]; *Matter of New York State Correctional Officers & Police Benevolent Assn. v State of New York*, 94 NY2d 321, 326 [1999] [“A court cannot examine the merits of an arbitration award and substitute its judgment for that of the arbitrator simply because it believes its interpretation would be the better one”]).

The FAA permits vacatur of an arbitration award on four grounds which all involve fraud, corruption or misconduct on the part of arbitrators, grounds which are inapplicable to the present matter.⁹ In addition to these four grounds, an award may be vacated under federal law if it exhibits a “manifest disregard of law” (*Duferco Intl. Steel Trading v T. Klaveness Shipping A/S*, 333 F3d 383, 388 [2d Cir 2003]; *Goldman v Architectural Iron Co.*, 306 F3d 1214, 1216 [2d Cir 2002], citing *DiRussa v Dean Witter Reynolds Inc.*, 121 F3d 818, 821 [2d Cir 1997]).¹⁰ But manifest disregard of law is a “severely limited” doctrine (*Matter of Arbitration No. AAA13-161-0511-85 Under Grain Arbitration Rules*, 867 F2d 130, 133 [2d Cir 1989]). It is a doctrine of last resort limited to the rare occurrences of apparent “egregious impropriety” on the part of the arbitrators, “where none of the provisions of the FAA apply” (*Duferco*, 333 F3d at

9. The FAA states, in part:

“In any of the following cases the United States court in and for the district wherein the award was made may make an order vacating the award upon the application of any party to the arbitration—

“(1) where the award was procured by corruption, fraud, or undue means;

“(2) where there was evident partiality or corruption in the arbitrators, or either of them;

“(3) where the arbitrators were guilty of misconduct in refusing to postpone the hearing, upon sufficient cause shown, or in refusing to hear evidence pertinent and material to the controversy; or of any other misbehavior by which the rights of any party have been prejudiced; or

“(4) where the arbitrators exceeded their powers, or so imperfectly executed them that a mutual, final, and definite award upon the subject matter submitted was not made” (9 USC § 10 [a]).

10. The term “manifest disregard of law” originated in dicta within *Wilko v Swan* (346 US 427, 436-437 [1953]), where Justice Reed wrote, “the interpretations of the law by the arbitrators in contrast to manifest disregard are not subject, in the federal courts, to judicial review for error in interpretation.”

389). The doctrine of manifest disregard, therefore, “gives extreme deference to arbitrators” (*DiRussa*, 121 F3d at 821).¹¹ The Second Circuit has also indicated that the doctrine requires “more than a simple error in law or a failure by the arbitrators to understand or apply it; and, it is more than an erroneous interpretation of the law” (*Duferco*, 333 F3d at 389). We agree with that premise. To modify or vacate an award on the ground of manifest disregard of the law, a court must find “both that (1) the arbitrators knew of a governing legal principle yet refused to apply it or ignored it altogether, and (2) the law ignored by the arbitrators was well defined, explicit, and clearly applicable to the case” (*Wallace v Buttar*, 378 F3d 182, 189 [2d Cir 2004], quoting *Banco de Seguros del Estado v Mutual Mar. Off., Inc.*, 344 F3d 255, 263 [2d Cir 2003]).

The Appellate Division considered three issues when it reviewed the 2001 panel award. Specifically, the Court considered whether the panel manifestly disregarded the law when it (1) concluded that Helmsley-Spear was a valid successor in interest to the former Helmsley-Spear by virtue of the 1997 agreements; (2) annulled the purported proxy vote taken by Peter Malkin to terminate Helmsley-Spear without cause at three of the buildings; and (3) upheld the voting agreement between Leona Helmsley and Messrs. Schneider and Schwartz. We address each issue in turn.

First, the Appellate Division found that the arbitrators manifestly disregarded the law in concluding that the new Helmsley-Spear should be the managing agent for the 11 properties. The arbitrators found that the new Helmsley-Spear was the valid successor in interest to the former Helmsley-Spear because it deemed Messrs. Schneider and Schwartz to have exercised the 1970 option agreement in 1997. The Appellate Division, however, found that Messrs. Schneider and Schwartz did not exercise the 1970 option agreement, and that under the

11. Vacatur on the ground of manifest disregard of law is rare (*see Duferco*, 333 F3d at 389 [stating that since 1960 the Second Circuit has vacated some part or all of an arbitral award for manifest disregard in only four out of 48 cases: *Halligan v Piper Jaffray, Inc.*, 148 F3d 197 (2d Cir 1998); *New York Tel. Co. v Communications Workers of Am. Local 1100, AFL-CIO Dist. One*, 256 F3d 89 (2d Cir 2001); *Fahnestock & Co., Inc. v Waltman*, 935 F2d 512 (2d Cir 1991); and *Perma-Line Corp. of Am. v Sign Pictorial & Display Union, Local 230, Intl. Bhd. of Painters & Allied Trades, AFL-CIO*, 639 F2d 890 (2d Cir 1981)]). These cases, excepting *Halligan*, all “involve[] . . . arbitral decision[s] that exceed[] the legal powers of the arbitrators” (*id.*), an issue not presented in the current case.

1997 transactions, the new Helmsley-Spear was not a successor, but an assignee.¹² Thus, the Appellate Division reasoned, the assignment of the 11 management contracts to the new Helmsley-Spear was invalid because those 11 contracts were contracts for personal services, which may not be assigned absent the principal's consent.

The Appellate Division is correct that personal services contracts generally may not be assigned absent the principal's consent (*see* 9 Corbin, Contracts § 865 [interim ed]; 3 Farnsworth, Contracts §§ 11.4, 11.10 [3d ed]).¹³ Unlike the Appellate Division, however, we do not believe that this rule is clearly applicable to the facts of this case.

In relevant part, the panel determined:

“The parties to the 1997 transaction cast it as a purchase of the assets of the existing Helmsley-Spear corporation rather than a purchase of its stock. We are persuaded this change was merely one of form, done for tax reasons having to do with certain ‘parked’ properties that are unrelated to the issues of this case. [Wien & Malkin has] not persuaded us that the change of form had any other consequence to the parties, to the partnerships or to Wien & Malkin.”

The Appellate Division stated that the panel “erroneously conclud[ed] that Helmsley-Spear[] was a mere ‘change of form’ ” and “ignored the facts that Helmsley-Spear[] had different officers, directors, shareholders, management personnel, financial structure and fewer properties under management

12. A successor in interest is “[o]ne who follows another in ownership or control of property” and “retains the same rights as the original owner, with no change in substance” (Black’s Law Dictionary 1446 [7th ed 1999]). An assignee is “[o]ne to whom property rights or powers are transferred by another” and “[c]ourts recognize the protean nature of the term and are therefore often forced to look to the intent of the assignor and assignee in making the assignment” (Black’s Law Dictionary 114 [7th ed 1999]).

13. Helmsley-Spear argues that these were not personal services contracts, and that even if they were, New York law provides an exception to that general rule where there are no words restraining assignment and “[t]he matter of the contract involved no personal relation or confidence between the parties, or exercise of personal skill or science, for the contractor was a corporation and its work was necessarily to be done through agents or servants” (*New England Iron Co. v Gilbert [Metropolitan] El. R.R. Co.*, 91 NY 153, 167 [1883]). Because we hold that the arbitration panel was justified in reaching its conclusion based on the grounds it stated, we do not need to reach this issue.

than [the former] Helmsley-Spear” (12 AD3d at 72). Manifest disregard of the facts is not a permissible ground for vacatur of an award (*Wallace v Buttar*, 378 F3d at 193; *Westerbeke Corp. v Daihatsu Motor Co., Ltd.*, 304 F3d 200, 213 [2002], citing *ConnTech Dev. Co. v University of Conn. Educ. Props., Inc.*, 102 F3d 677, 687 [2d Cir 1996] [“holding that an erroneous factual determination is not a ground for vacating an arbitration award”]).

Whether the 1970 option agreement was exercised was a factual determination by the panel and its findings should remain undisturbed. In *Paperworkers v Misco, Inc.*, the Supreme Court stated:

“[W]here it is contemplated that the arbitrator will determine remedies for contract violations that he finds, courts have no authority to disagree with his honest judgment in that respect. If the courts were free to intervene on these grounds, the speedy resolution of grievances by private mechanisms would be greatly undermined. . . . *But as long as the arbitrator is even arguably construing or applying the contract and acting within the scope of his authority, that a court is convinced he committed serious error does not suffice to overturn his decision*” (484 US 29, 38 [1987] [emphasis added]; see also *Matter of Dowleyne v New York City Tr. Auth.*, 3 NY3d 633, 634 [2004] [reversing the Appellate Division’s vacatur of an arbitration award “because it improperly substituted its factual finding for that of a majority of the arbitration panel”]).

[1] The arbitration panel did not manifestly disregard the law when it concluded that Helmsley-Spear remained the valid managing agent after the 1997 transaction. There were several underlying contracts between Helmsley-Spear, Wien & Malkin, and their previous incarnations that would understandably lead the panel to conclude that the parties contemplated an ongoing contractual relationship with successors of Helmsley-Spear.¹⁴ In addition, Wien & Malkin specifically contemplated that Messrs.

14. For example, the partnership agreement for the Empire State Building Company stated, “Helmsley-Spear, Inc. or its successor is named as the managing agent” and the 1960 modification agreement for 1359 Broadway Associates provided for voting to terminate Helmsley-Spear “in the event of the death of Harry B. Helmsley or his retirement from active participation in the conduct of the business of Helmsley-Spear, Inc. or its successors.”

Schneider and Schwartz would one day control Helmsley-Spear because the firm drafted the 1970 option. The 1997 acquisition agreement stated, “[t]he parties acknowledge and agree that they have entered into this Agreement in implementation of the exercise of the option granted in 1970 by Harry B. Helmsley to Schneider and Schwartz to acquire the balance of the outstanding shares of [Helmsley-Spear] upon his death.” While the Appellate Division indicated that the panel “ignored” the fact that the new Helmsley-Spear’s characteristics differed from the former Helmsley-Spear, the panel found that the change in the company’s form was merely a “technical matter” and that Wien & Malkin failed to prove that “the change of form had any other consequence to the parties.” In this regard, the Appellate Division improperly disturbed the panel’s finding that the change in form was not consequential (*see Wallace*, 378 F3d at 193; *Westerbeke*, 304 F3d at 213 [“Under the manifest disregard standard . . . the governing law must clearly apply to the facts of the case, *as those facts have been determined by the arbitrator*”])).

Accordingly, even if the property management agreements constituted unassignable personal services contracts, the arbitration panel did not manifestly disregard the law because its conclusion, that Helmsley-Spear remained the managing agent as the valid successor in interest to the former Helmsley-Spear, was more than “barely colorable” (*Wallace*, 378 F3d at 190 [emphasis deleted]).

Even if the law of assignment of personal services contracts was clearly applicable, there was no showing that the arbitrators knew they were disregarding the law by naming Helmsley-Spear a valid successor in interest. The Appellate Division did not address the other half of the manifest disregard standard: that “the arbitrators knew of a governing legal principle yet refused to apply it or ignored it altogether” (*Wallace*, 378 F3d at 189). “Explicit rejection of governing law provides the strongest evidentiary basis for a finding that the arbitrator acted with the requisite intent” (*Westerbeke*, 304 F3d at 217). There is no explicit evidence in the record that any of the arbitrators believed that contractual assignment law applied. Nor is there any deliberateness or willfulness exhibited within the award that shows the arbitrators’ intent to flout the law. The arbitrators’ reasoning—that the option agreement was exercised—does not “strain[] credulity” (*id.* at 218). Therefore, the panel’s conclusion regarding the 1997 transaction between

Leona Helmsley and Messrs. Schneider and Schwartz was not a manifest disregard of law. Thus, the Appellate Division erred in vacating that portion of the award.

Next, the Appellate Division held that the arbitration panel manifestly disregarded the law by voiding the purported proxy vote conducted by Peter Malkin to terminate Helmsley-Spear's services without cause at three of the partnerships. As the Appellate Division explained:

“Contrary to the findings of the arbitration panel, the partnership agreements did not provide for a particular method of solicitation of proxies for a vote to terminate the managing agents and did not establish a fiduciary duty to them. Nor was there any showing that Peter Malkin fraudulently induced the partners to give him their proxies” (12 AD3d at 72).

[2] In *Westerbeke*, the Second Circuit stated that vacatur on the basis of manifest disregard of a contract is appropriate only where “the arbitral award contradicts an express and unambiguous term of the contract or if the award so far departs from the terms of the agreement that it is not even arguably derived from the contract” (304 F3d at 222). Here, the arbitral award does not contradict any express and unambiguous terms of the contracts. The partnership agreements provided that the partners could terminate Helmsley-Spear without cause “by the written vote of parties representing at least [50% or 60%] of the ownership of the assets of the joint venture.” In annulling the proxy vote, the arbitration panel found that Malkin’s solicitation of the proxies “was not preceded or accompanied by any disclosure at all” and that he failed to obtain “an informed vote of the general partners.” It was within the panel’s discretion to conclude that certain procedures needed to be put in place to ensure an informed vote. The panel, therefore, did not manifestly disregard the law in annulling the proxy votes.

The final issue is whether the voting agreement between Leona Helmsley and Messrs. Schneider and Schwartz was valid. The Appellate Division reasoned that the voting agreement did not transfer Leona Helmsley’s partnership interest, “but merely made an agreement to vote for the retention of Newco as managing agent, a vote she was entitled to cast with or without the agreement” (12 AD3d at 73). Ultimately, the Appellate Division termed this issue “academic” (*id.*).

[3] Wien & Malkin argues that the transfer of a partner's management rights to a nonpartner is unlawful because it interferes with administration of the partnership (citing *Rapport v 55 Perry Co.*, 50 AD2d 54, 57 [1st Dept 1975]). Wien & Malkin posits that the clearly applicable laws are Partnership Law § 40 (7) and § 53 (1).¹⁵ While it is clear that the affairs of partners should be managed by partners, Leona Helmsley's agreement involved "a vote she was entitled to cast" in whatever manner she chose. Therefore, we agree with the lower court's reasoning that the arbitrators did not manifestly disregard the law by concluding Mrs. Helmsley's actions did not violate state partnership law. The panel reasoned that there was no claim that Helmsley-Spear sought to become a partner, only that a partner agreed to vote on a specific limited issue, and that invalidating the voting agreement would undermine the option agreement, which "further[ed] the interests of the partnership and the continuity of its business." This analysis shows no evidence of the panel's intent to disregard the law. Therefore, its award on this matter will also stand.

Accordingly, the order of the Appellate Division should be reversed, with costs, and the judgment of Supreme Court, New York County, reinstated. The certified question should not be answered upon the ground that it is unnecessary.

Judges CIPARICK, ROSENBLATT, GRAFFEO and R.S. SMITH concur; Chief Judge KAYE and Judge READ taking no part.

Order reversed, etc.

15. Partnership Law § 40 (7) states, "No person can become a member of a partnership without the consent of all the partners." Partnership Law § 53 (1) states:

"A conveyance by a partner of his interest in the partnership does not of itself dissolve the partnership, nor, as against the other partners in the absence of agreement, entitle the assignee, during the continuance of the partnership, to interfere in the management or administration of the partnership business or affairs, or to require any information or account of partnership transactions, or to inspect the partnership books; but it merely entitles the assignee to receive in accordance with his contract the profits to which the assigning partner would otherwise be entitled."

[846 NE2d 1211, 813 NYS2d 701]

JUAN ALEJANDRO SOTO, Respondent, v NEW YORK CITY TRANSIT
AUTHORITY, Appellant, et al., Defendant.

Argued February 9, 2006; decided March 23, 2006

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered June 20, 2005. The Appellate Division, with two Justices dissenting, modified, on the law and in the exercise of discretion, a judgment of the Supreme Court, Queens County (Patricia P. Satterfield, J.), which had awarded plaintiff the total sum of \$1,348,632.19 as against defendants upon a verdict finding defendants 25% at fault and plaintiff 75% at fault. The modification consisted of deleting the provision of the judgment in favor of plaintiff and against defendant Metropolitan Transportation Authority on the issue of liability and substituting therefor a provision dismissing the complaint insofar as asserted against that defendant. The Appellate Division affirmed the judgment as modified.

Soto v New York City Tr. Auth., 19 AD3d 579, affirmed.

HEADNOTES

Negligence — Proximate Cause — Reckless Conduct of Plaintiff

1. In an action to recover damages for injuries plaintiff sustained when he was struck by a subway train as he ran along the catwalk abutting the track after consuming several alcoholic beverages, plaintiff's conduct, although a substantial factor in causing the accident, was not so egregious or unforeseeable that it must have been deemed a superseding cause of the accident absolving defendant of liability. Although plaintiff substantially contributed to his injury, he did not engage in the type of dangerous criminal conduct that has been held to prohibit recovery. Nor was his conduct such as to vitiate the duty of reasonable care owed to him by the train operator to see what there was to be seen through the proper use of his senses and to bring the train to a safe stop.

Witnesses — Competency — Witness's Estimate of Own Running Speed

2. In an action to recover damages for injuries plaintiff sustained when he was struck by a subway train as he ran along the catwalk abutting the track after consuming several alcoholic beverages, plaintiff's estimate of his own running speed at the time of the accident was admissible and sufficient to lay a proper foundation for plaintiff's accident reconstruction expert to use in forming his opinion. Plaintiff's testimony that he had two years' experience running on a treadmill calibrated to measure miles per hour established a sufficient foundation demonstrating the basis of his knowledge.

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By the Publisher's Editorial Staff

AM JUR 2d, Expert and Opinion Evidence § 97; AM JUR 2d, Negligence §§ 558, 560–571, 582; AM JUR 2d, Railroads §§ 294, 342, 343, 347.

NY JUR 2d, Evidence and Witnesses §§ 660, 696; NY JUR 2d, Negligence §§ 46–50, 56, 61; NY JUR 2d, Rail Transportation §§ 133, 143.

NEW YORK PATTERN JURY INSTRUCTIONS—CIVIL, PJI 2:70–2:72

PROSSER AND KEETON, TORTS (5th ed) §§ 44, 61, 62.

ANNOTATION REFERENCE

See ALR Index under Expert and Opinion Evidence; Proximate Cause; Subways.

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Query: proximate /2 cause /s plaintiff /5 reckless & duty

POINTS OF COUNSEL

Lawrence Heisler, Brooklyn, and *Wallace D. Gossett* for appellant. I. Plaintiff's testimony that he'd been running seven miles per hour on the catwalk was not credible. The comparison between his jog on a treadmill did not provide a reliable comparison to his speed on the catwalk. Nor did plaintiff provide reliable evidence that the train operator could have spotted the group on the catwalk when the train was 150 feet away. (*Platto v Stier*, 282 App Div 242, 308 NY 699; *Weinstein v Daman*, 132 AD2d 547; *Hoover v Durkee*, 212 AD2d 839; *CNA Ins. Co. v Cacioppo Elec. Contrs.*, 206 AD2d 399; *People v Walker*, 274 AD2d 600; *Romano v Stanley*, 90 NY2d 444; *Franchini v Palmieri*, 1 NY3d 536; *Diaz v New York Downtown Hosp.*, 99 NY2d 542.) II. Plaintiff's reckless actions in entering the catwalk after a night of drinking, recklessness compounded by his decision to circle around the signal post as the train roared by, bar him from maintaining this suit. (*Barker v Kallash*, 63 NY2d 19; *Riggs v Palmer*, 115 NY 506; *Maddox v City of New York*, 66 NY2d 270; *Turcotte v Fell*, 68 NY2d 432; *Morgan v State of New York*, 90 NY2d 471; *Marciano v City of New York*, 99 NY2d 548; *Benitez v New York City Bd. of Educ.*, 73 NY2d 650; *Fintzi v New Jersey YMHA-YWHA Camps*, 97 NY2d 669; *Lionarons v General Elec. Co.*, 215 AD2d 851, 86 NY2d 832; *Olsen v Town of Richfield*, 81 NY2d 1024.)

Pollack, Pollack, Isaac & De Cicco, New York City (Brian J. Isaac and Julie T. Mark of counsel), and *Lipsig, Shapey, Manus & Moverman, P.C.*, Fulton (Alan M. Shapey of counsel), for respondent. I. Plaintiff's estimate of running speed was properly admitted into evidence and relied upon by plaintiff's expert in reconstructing the accident. (*Wragge v Lizza Asphalt Constr. Co.*, 17 NY2d 313; *Swensson v New York, Albany Despatch Co.*, 309 NY 497; *People v Olsen*, 22 NY2d 230; *People v Dusing*, 5 NY2d 126; *Senecal v Drollette*, 304 NY 446; *Salter v Utica & Black Riv. R.R. Co.*, 59 NY 631; *Swoboda v We Try Harder*, 128 AD2d 862; *Larsen v Vigliarolo Bros.*, 77 AD2d 562; *Pieniewski v Benbenek*, 56 AD2d 710; *Beechey v De Sorbo*, 53 AD2d 727.) II. The New York City Transit Authority's superseding cause argument is without merit. (*Coleman v New York City Tr. Auth.*, 37 NY2d 137; *Noseworthy v City of New York*, 298 NY 76; *Clarke v City of New York*, 295 NY 861; *Ellison v New York City Tr. Auth.*, 63 NY2d 1029; *Silva v Penn Cent. Transp. Co.*, 79 AD2d 632; *Matter of DES Mkt. Share Litig.*, 79 NY2d 299; *Matter of Sylvestri*, 44 NY2d 260; *Bichler v Eli Lilly & Co.*, 55 NY2d 571; *Knobloch v Royal Globe Ins. Co.*, 38 NY2d 471; *Up-Front Indus. v U.S. Indus.*, 63 NY2d 1004.)

OPINION OF THE COURT

CIPARICK, J.

The question presented by this appeal is whether plaintiff's reckless behavior was of such a nature as to constitute the sole legal cause of his injuries, vitiating the duty of care of a train operator. We conclude under the circumstances of this case that it was not, and that the evidence was sufficient to support the verdict. We further conclude that plaintiff's estimate of his own running speed at the time of the accident was admissible and sufficient to lay a proper foundation for plaintiff's accident reconstruction expert to use in forming his opinion.

Plaintiff—then 18 years old—and three of his friends spent the evening of January 24, 1997 in Manhattan and, over the course of about five hours, each consumed a quantity of alcohol. In the early hours of January 25, plaintiff and his friends attempted to return home to Queens. They waited some time for the number 7 train at Queensboro Plaza—an elevated subway station—where red tape indicating track work extended across the platform. The group eventually decided that the train was not running and walked along the “catwalk”—a three-foot wide path abutting the track—to the next station (33rd Street). They made it safely to 33rd Street and, after again waiting for a while,

decided to walk along the catwalk to the next station (40th Street). As they proceeded along the northbound route, the tracks were to the left of the catwalk and to the right was a short railing.

Before they reached the 40th Street station, the group became aware of a train approaching from behind and began running along the catwalk in an attempt to reach the station before the train. Their intent was to board the train to continue their trip home. The four teens ran in single file, with plaintiff third in line. The train struck plaintiff in the vicinity of a signal box located on the catwalk, resulting in bilateral below-the-knee amputation.¹ Plaintiff was the only one of the four hit by the train.

At trial, plaintiff was permitted to testify to an estimate of his running speed at the time of the accident.² Plaintiff established that he was familiar with his running speed because he had been a member of a gym for about two years prior to the accident and would frequently run on a treadmill calibrated in terms of miles per hour. He would usually run at seven or eight miles per hour and, based on that experience, estimated that he was running about seven or eight miles per hour at the time of the accident.

Plaintiff's expert then used that estimate in making his calculations. Computing the train's stopping distance assuming the train operator perceived the boys on the catwalk from 151.5 feet away—the distance allegedly illuminated by the train's headlights—and factoring in reaction time, the expert determined that the train could have stopped 51 feet before it reached plaintiff if he had been running eight miles per hour and 37 feet before it reached plaintiff if he had been running seven miles per hour.

1. New York City Transit Authority (NYCTA) argues that plaintiff was struck when he attempted to circumvent the signal box and came too close to the train. At trial, plaintiff testified that he did not recall whether he had passed any signal boxes between 33rd and 40th Streets, or his position in relation to the signal box when he was struck. However, the road car inspector from NYCTA testified that plaintiff was found “[u]p against the signal [box]” on the 33rd Street side—closer to the station he was coming from.

2. This was the second trial of this matter. The first trial resulted in a jury verdict in plaintiff's favor—finding defendant and the Metropolitan Transportation Authority (MTA) 100% liable—but was reversed by the Appellate Division (295 AD2d 419 [2002]). That Court granted a new trial, finding the jury's determination that plaintiff's conduct was not a proximate cause of the accident against the weight of the evidence, and that plaintiff's expert's opinion testimony about plaintiff's running speed at the time of the accident was speculative.

The train operator offered several inconsistent versions of his conduct at the time of the accident. The police report taken at the scene indicates that the train operator stated he did not see the boys “until he was passing them because they were hidden from his view by a signal device” and that the train stopped as a result of its own emergency devices before he was able to apply the brake. However, later that night, the train operator also filled out a report for NYCTA, this time stating that he saw an object behind the signal device and then placed the train into emergency mode. At trial he gave a third account, testifying that his first reports were inaccurate in that he saw a person on the catwalk in front of the signal box from about a train car’s length away. He also testified that he placed the train into emergency stopping mode when he saw the person. The road car inspector for NYCTA who examined the train at the scene, however, only found blood on the train’s “trip cock.” The trip cock hangs in front of the train’s wheels as an emergency device that automatically stops the train if it comes into contact with an obstruction.

At the close of plaintiff’s case, NYCTA moved to dismiss the complaint for plaintiff’s failure to establish a prima facie case of negligence. NYCTA also moved for a directed verdict on the issue of liability at the close of proof. The trial judge reserved decision on both motions. The jury returned a verdict finding NYCTA negligent, determining that its negligence was a substantial factor in causing the accident and assigning it 25% of the fault.³ The jury allocated the remaining 75% of liability to plaintiff. NYCTA moved to set aside the verdict and Supreme Court denied all motions.

A majority of the Appellate Division affirmed, finding legally sufficient evidence to support the jury verdict as against NYCTA. Two Justices dissented in part and voted to reverse. They would have dismissed the complaint for failure to establish a prima facie case because they believed “plaintiff’s own reckless conduct constituted an intervening and unforeseeable act which broke any causal connection between his injury and any alleged negligence” by NYCTA (19 AD3d at 581-582). The dissent also stated that plaintiff should not have been permitted to testify as to an estimate of his running speed, nor should the

3. The jury actually found both NYCTA and MTA liable, but the Appellate Division dismissed the complaint as against defendant MTA, finding that it could not be held liable for the conduct of NYCTA’s employees (19 AD3d 579, 581 [2005]). That finding is not challenged here.

accident reconstruction expert have been allowed to use plaintiff's testimony as a basis for his opinion, since no foundation was properly laid and thus the testimony was "pure speculation and conjecture" (19 AD3d at 582). NYCTA appeals as of right, and we affirm.

A jury verdict rests on legally insufficient evidence where there is "simply no valid line of reasoning and permissible inferences which could possibly lead rational [individuals] to the conclusion reached by the jury on the basis of the evidence presented at trial" (*Cohen v Hallmark Cards*, 45 NY2d 493, 499 [1978]). We have held that this inquiry is similar to that of a trial judge determining whether to direct a verdict (*see Cohen*, 45 NY2d at 499). If there is a question of fact and "it would not be utterly irrational for a jury to reach the result it has determined upon . . . the court may not conclude that the verdict is as a matter of law not supported by the evidence" (*Cohen*, 45 NY2d at 499; *Campbell v City of Elmira*, 84 NY2d 505, 510 [1994]).

NYCTA argues that plaintiff's own reckless conduct—entering the catwalk after consuming several alcoholic beverages and attempting to catch the train—was the sole proximate cause of his injuries. Significantly, NYCTA did not request any instruction that the jury consider whether plaintiff's conduct was the sole proximate cause of his injuries. Neither did defendant request a jury charge on superseding or intervening cause. Rather, the jury was instructed that plaintiff's "negligence was a substantial factor in causing the accident," and was asked to determine further whether NYCTA was also negligent, whether that negligence was a contributing factor to plaintiff's accident and the percentage of fault attributable to each party.

[1] Plaintiff's conduct was undeniably reckless, but the jury appropriately considered plaintiff's actions and determined that he bore a far greater share of the fault. This is in keeping with the doctrine of comparative negligence (*see* CPLR 1411). Contrary to NYCTA's argument and the dissent, plaintiff's conduct, although a substantial factor in causing the accident, was not so egregious or unforeseeable that it must be deemed a superseding cause of the accident absolving defendant of liability.

This case does not involve the type of dangerous, illegal conduct presented in *Barker v Kallash* (63 NY2d 19 [1984]) where the plaintiff was severely injured while constructing a pipe bomb. There, the Court denied plaintiff recovery for

injuries sustained as a direct result of a serious violation of law, “not because the plaintiff contributed to his injury, but because the public policy of this State generally denies judicial relief to those injured in the course of committing a serious criminal act” (*Barker*, 63 NY2d at 24). Here, plaintiff surely and very substantially contributed to his injury, but did not engage in the type of dangerous criminal conduct that prohibited recovery in *Barker*. Nor can it be said that his conduct was such as to vitiate the duty of reasonable care owed to him by the train operator to see what there was to be seen through the proper use of his senses and to bring the train to a safe stop.

We have held that a train operator may be found negligent if he or she sees a person on the tracks “from such a distance and under such other circumstances as to permit him [or her], in the exercise of reasonable care, to stop before striking the person” (*Coleman v New York City Tr. Auth.*, 37 NY2d 137, 140 [1975]; see *Noseworthy v City of New York*, 298 NY 76, 79 [1948]). The train operator’s duty certainly is not vitiated because plaintiff was voluntarily walking or running along the tracks or because of any reckless conduct on plaintiff’s part.

Thus, it was not irrational for the jury to find NYCTA negligent. There is a reasonable view of the evidence that the train operator failed to see the teenagers from a distance from which he should have seen them, and that he failed to employ emergency braking measures. The jury’s determination that the operator could have avoided this accident is an affirmed finding of fact with support in the record and is beyond our further review. Plaintiff’s conduct did not constitute such an unforeseeable or superseding event as to break the causal connection between his injury and defendant’s negligence.

[2] The trial court also properly permitted plaintiff to testify regarding an estimate of his running speed. Plaintiff established a sufficient foundation demonstrating the basis of his knowledge—two years’ experience running on a treadmill calibrated to measure miles per hour. In comparable situations, both police and civilian witnesses with an appropriate basis for knowledge have been permitted to give testimony estimating the speed of moving motor vehicles (see *People v Olsen*, 22 NY2d 230, 231-232 [1968]; *Senecal v Drollette*, 304 NY 446, 448 [1952]). The reliability of plaintiff’s testimony and the weight it should have been accorded were issues for the finders of fact. The jury, which was best able to observe plaintiff’s testimony and evaluate his credibility, resolved the question of reliability in plaintiff’s favor.

It cannot be said that the jury's conclusion was utterly irrational.

Additionally, the jury was entitled to credit the testimony of plaintiff's expert who used the estimated running speed in making his calculations. The expert did not express an opinion as to how fast plaintiff was running, but used plaintiff's own estimate to determine where the train could have come to rest if plaintiff was running at the speeds he asserted. As a result, it was not "pure speculation and conjecture," but admissible and reliable evidence from which the jury properly concluded that the train could have stopped before striking plaintiff.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

R.S. SMITH, J. (dissenting). Since the enactment of CPLR 1411 in 1975, it has been the general rule that plaintiff's own culpability will not bar his claim, but will only be grounds for apportioning fault. In several cases, however, we have recognized that a plaintiff's fault may be so egregious in comparison to the defendant's that it "supersede[s] defendants' conduct" (*Egan v A.J. Constr. Corp.*, 94 NY2d 839, 841 [1999]) and becomes the "sole legal cause" (*Olsen v Town of Richfield*, 81 NY2d 1024, 1026 [1993]) or "sole proximate cause" (*Howard v Poseidon Pools*, 72 NY2d 972, 975 [1988]) of the plaintiff's injuries. I believe the facts of this case bring it within the superseding cause doctrine.

Plaintiff here was reckless twice. It was, of course, very foolish for him and his companions to choose a narrow catwalk next to the subway tracks for pedestrian travel. But plaintiff would have escaped unharmed if he and the others, when they heard a train coming, had done what minimal common sense would require—stand still, as far as they could get from the tracks, and let the train pass by. Instead, they chose to race the train to the next station. On these facts, I think it is fair to say that plaintiff's injuries were entirely his own fault, even if a nonnegligent motorman might have been able to stop the train in time to avoid the accident.

While no two cases are identical, precedents support the view that this plaintiff's recklessness was serious enough to be a "superseding cause." In *Merino v New York City Tr. Auth.* (89 NY2d 824, 825 [1996]) we refused recovery to a plaintiff who had fallen onto the subway tracks as a result of his own intoxication, holding, as an alternative ground for dismissal, that

plaintiff “failed to show that the defendant’s alleged negligence was a substantial factor in causing his injury.” Several Appellate Division cases also deny recovery on superseding cause grounds to plaintiffs who put themselves in the paths of trains (e.g., *Wadhwa v Long Is. R.R.*, 13 AD3d 615 [2d Dept 2004]; *Lassalle v New York City Tr. Auth.*, 11 AD3d 661 [2d Dept 2004]; *Snyder v New York City Tr. Auth.*, 2 AD3d 162 [1st Dept 2003], *lv denied* 2 NY3d 707 [2004]; *Gao Yi Feng v Metropolitan Transp. Auth.*, 285 AD2d 447 [2d Dept 2001]). *Gao Yi Feng* is perhaps the closest to this case on its facts: the plaintiff there was struck while standing “directly adjacent to the train tracks with his back to oncoming trains” (285 AD2d at 447).

Cases denying recovery, even under a comparative negligence regime, to highly reckless plaintiffs speak of causation in defending their results, but in each case it is clear that the extraordinary degree of the plaintiff’s fault—not just the foreseeability of the plaintiff’s conduct—has been decisive. A pure foreseeability analysis does not explain the cases. For example, I would not hesitate to uphold an award if this plaintiff had been pushed by someone else into the path of the train, rather than recklessly placing himself there, though there is not much difference in the foreseeability of the two events.

The principle we have applied in previous cases, and should apply here, is that people whose failure to take care of themselves is extreme may not shift any of the consequences to others. Anyone of normal human compassion will sympathize with plaintiff; he is not the only 18 year old who ever acted recklessly, and he has paid a much higher price for it than most. But I do not think it consistent with law or wise policy to hold, as the majority does, that the New York City Transit Authority must compensate him in part for his loss. The Transit Authority moved, before the case was submitted to the jury, for a directed verdict, asserting that plaintiff’s reckless conduct was the sole legal cause of the accident. I think that motion should have been granted.

Chief Judge KAYE and Judges G.B. SMITH and READ concur with Judge CIPARICK; Judge R.S. SMITH dissents and votes to reverse in a separate opinion in which Judges ROSENBLATT and GRAFFEO concur.

Order affirmed, with costs.

[847 NE2d 1141, 814 NYS2d 567]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v CALVIN MOORE, Appellant.

Argued January 3, 2006; decided February 21, 2006

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered December 6, 2004. The Appellate Division affirmed a judgment of the Supreme Court, Kings County (Reynold N. Mason, J., at trial; Plummer E. Lott, J., at sentence), which had convicted defendant, upon a jury verdict, of criminal possession of a weapon in the second degree.

People v Moore, 13 AD3d 395, reversed.

HEADNOTE**Crimes — Unlawful Search and Seizure**

An anonymous tip cannot provide reasonable suspicion to justify a seizure, except where that tip contains predictive information—such as information suggestive of criminal behavior—so that the police can test the reliability of the tip. Accordingly, an anonymous tip reporting a dispute involving a man with a gun did not afford the police reasonable suspicion of criminal activity to support the gunpoint stop of defendant where police arrived on the scene within one minute of receiving the radio call and found an individual matching the description in the radio call but did not find a dispute in progress. The anonymous tip triggered only the police officers' common-law right of inquiry, which authorized the police to ask questions of defendant—and to follow defendant while attempting to engage him—but not to seize him in order to do so.

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AM JUR 2d, Searches and Seizures §§ 126–128, 267.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:99, 172:106, 172:320–172:325, 172:333.

LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) § 3.3.

NY JUR 2d, Criminal Law §§ 75, 88, 92, 125, 129, 137, 138.

ANNOTATION REFERENCE

See ALR Index under Anonymous Informers; Search and Seizure.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: anonymous /2 tip /p seiz! & predictive & inquiry

POINTS OF COUNSEL

Appellate Advocates, New York City (*Sarah J. Berger* and *Lynn W.L. Fahey*), for appellant. An anonymous tip describing appellant, together with appellant's walking away when the police approached the area, did not provide reasonable suspicion of criminal activity justifying a gunpoint seizure where the tip's allegation of criminal activity was wholly uncorroborated and appellant walked away before the police made any inquiry of appellant or made clear that they wanted to speak with him. (*Florida v J.L.*, 529 US 266; *People v William II*, 98 NY2d 93; *People v Holmes*, 81 NY2d 1056; *People v Bora*, 83 NY2d 531; *People v Martinez*, 80 NY2d 444; *People v Chestnut*, 51 NY2d 14; *People v De Bour*, 40 NY2d 210; *People v May*, 81 NY2d 725; *Illinois v Wardlow*, 528 US 119.)

Charles J. Hynes, District Attorney, Brooklyn (*Diana Villanueva* and *Leonard Joblove* of counsel), for respondent. The hearing court properly denied suppression of the gun because the police had reasonable suspicion to stop and frisk defendant. (*Maryland v Wilson*, 519 US 408; *People v Batista*, 88 NY2d 650; *People v De Bour*, 40 NY2d 210; *People v Cantor*, 36 NY2d 106; *People v Celaj*, 1 NY3d 588; *People v Pines*, 99 NY2d 525; *People v Oeller*, 82 NY2d 774; *Florida v J.L.*, 529 US 266; *Alabama v White*, 496 US 325; *People v Holmes*, 81 NY2d 1056.)

OPINION OF THE COURT

Chief Judge KAYE.

On November 12, 1997, at approximately 9:35 A.M., Police Officers Racioppo and Molinaro were on a routine patrol in their marked police car when they received a radio call of a dispute involving a male Black with a gun, described as approximately 18 years of age, wearing a gray jacket and red hat—information that came from an anonymous phone tip. The officers drove to the scene without their lights flashing and arrived within approximately one minute of receiving the radio call. No dispute was taking place. They did, however, see a male Black on the corner—defendant—wearing a gray jacket and red hat, with no similar individuals in the vicinity.

The officers exited their vehicle and walked toward defendant, who began to walk away. Without attempting any verbal inquiry, the officers immediately drew their guns and yelled “police, don’t move.” The defendant then turned and continued

to walk a short distance toward a closed gate before stopping. When the officers told defendant to put up his hands, he made a movement toward his waistband as he raised his arms. Officer Racioppo patted down defendant, felt a hard object in his left jacket pocket and recovered a gun.

Defendant was arrested and charged with criminal possession of a weapon. He moved to suppress the gun, and Supreme Court held a hearing at which Officer Racioppo was the sole witness. After the hearing, based on the foregoing description of the incident, Supreme Court denied defendant's motion to suppress. The Appellate Division affirmed, holding that

“[t]he detailed anonymous tip authorized the officers to exercise their common-law right of inquiry only and did not provide reasonable suspicion to stop and frisk the defendant. Nevertheless, a frisk was justified by the defendant's conduct thereafter. Specifically, upon finding his path blocked, the defendant reached toward his waistband, whereupon the officers possessed reasonable suspicion for the forceable stop and frisk that revealed the defendant's possession of a .25 caliber handgun” (*People v Moore*, 13 AD3d 395, 396-397 [2004] [citations omitted]).

Although we agree with the Appellate Division that the anonymous tip authorized only an inquiry, the police here failed to simply exercise their common-law right to inquire. Instead—in ordering him at gunpoint to remain where he was—the police forcibly stopped defendant as soon as they arrived on the scene. Because the officers did not possess reasonable suspicion until after defendant reached for his waistband, however—by which time defendant had already been unlawfully stopped—the gun should have been suppressed. Defendant's later conduct cannot validate an encounter that was not justified at its inception (see *People v De Bour*, 40 NY2d 210, 215 [1976]; *People v William II*, 98 NY2d 93, 98 [2002]).

In *De Bour*, we set forth a graduated four-level test for evaluating street encounters initiated by the police: level one permits a police officer to request information from an individual and merely requires that the request be supported by an objective, credible reason, not necessarily indicative of criminality; level two, the common-law right of inquiry, permits a somewhat greater intrusion and requires a founded suspicion that criminal activity is afoot; level three authorizes an officer to

forcibly stop and detain an individual, and requires a reasonable suspicion that the particular individual was involved in a felony or misdemeanor; level four, arrest, requires probable cause to believe that the person to be arrested has committed a crime (*De Bour*, 40 NY2d at 223; *see also People v Hollman*, 79 NY2d 181, 184-185 [1992]). The Court's purpose in *De Bour* was to provide clear guidance for police officers seeking to act lawfully in what may be fast-moving street encounters and a cohesive framework for courts reviewing the propriety of police conduct in these situations. Having been the basis for decisions in likely thousands of cases over the past 30 years, *De Bour* has become an integral part of our jurisprudence.

Here, the gunpoint stop unquestionably constituted a seizure of defendant's person—*De Bour*'s level three—and required reasonable suspicion (*see People v Chestnut*, 51 NY2d 14 [1980] [where police draw their firearms and order a suspect to “freeze,” this is a seizure, the propriety of which is measured by the reasonable suspicion standard]; *People v Townes*, 41 NY2d 97 [1976] [ordering a suspect to “freeze” with guns drawn amounts to a seizure of the suspect by police]).

An anonymous tip cannot provide reasonable suspicion to justify a seizure, except where that tip contains predictive information—such as information suggestive of criminal behavior—so that the police can test the reliability of the tip (*see Florida v J.L.*, 529 US 266 [2000]; *William II*, 98 NY2d at 99). Indeed, in *J.L.*, a unanimous United States Supreme Court held that an anonymous tip regarding a young Black male standing at a particular bus stop, wearing a plaid shirt and carrying a gun, was insufficient to provide the requisite reasonable suspicion to authorize a stop and frisk of the defendant.

The State argued in *J.L.* that the tip was sufficient to justify the police intrusion because the defendant matched the detailed description provided by the tipster. The Supreme Court held, however, that reasonable suspicion “requires that a tip be reliable in its assertion of illegality, not just in its tendency to identify a determinate person” (529 US at 272). The Court further explained that an anonymous tip could demonstrate the tipster's reliability and thus provide reasonable suspicion of criminal activity only if it predicted actions subsequently engaged in by the suspect.

Here, the tip did not provide any predictive information, nor did it accurately portray the alleged criminal activity. The tipster

reported a dispute involving a man with a gun, but when the police arrived within a minute of receiving the radio call, they did not find a dispute in progress. Under *J.L.* and *William II*, such a tip was insufficient to afford the police reasonable suspicion of criminal activity, and thus did not support the gunpoint stop.

That defendant began walking away from the scene when the police arrived does not render the gunpoint stop permissible. As the Appellate Division recognized, the anonymous tip triggered only the police officers' common-law right of inquiry. This right authorized the police to ask questions of defendant—and to follow defendant while attempting to engage him—but not to seize him in order to do so. Thus, defendant remained free to continue about his business without risk of forcible detention (*see People v May*, 81 NY2d 725, 728 [1992] [“The police may not forcibly detain civilians in order to question them . . . without a reasonable suspicion of criminal activity and once defendant indicated . . . that he did not wish to speak with the officers, they should not have forced him to stop without legal grounds to do so. Any other rule would permit police seizures solely if circumstances existed presenting a potential for danger” (citation omitted)]).

Indeed, the very right to be let alone—the right of citizens not to be stopped at gunpoint by police, based on anonymous tips—is the distinguishing factor between the level of intrusion permissible under the common-law right of inquiry and the right to stop forcibly. If merely walking away from the police were sufficient to raise the level of suspicion to reasonable suspicion—and a suspect who attempted to move could be required to remain in place at the risk of forcible detention—the common-law right of inquiry would be tantamount to the right to conduct a forcible stop and the suspect would be effectively seized whenever only a common-law right of inquiry was justified (*see People v Holmes*, 81 NY2d 1056, 1058 [1993] [“If these circumstances (observing defendant standing in an area known for drug trafficking with an unidentified bulge in his jacket pocket) could combine with flight to justify pursuit, then in essence the right to inquire would be tantamount to the right to seize, and there would, in fact, be no right to be let alone” (internal quotation marks omitted)]).

This simply is not the law. Under our settled *De Bour* jurisprudence, to elevate the right of inquiry to the right to forcibly stop and detain, the police must obtain additional information or make additional observations of suspicious conduct sufficient

to provide reasonable suspicion of criminal behavior. Had defendant, for example, reached for his waistband prior to the gunpoint stop or actively fled from the police, such conduct, when added to the anonymous tip, would have raised the level of suspicion.* However, “[w]e have frequently rejected the notion that behavior which is susceptible of innocent as well as culpable interpretation, will constitute probable cause. It is equally true that innocuous behavior alone will not generate a founded or reasonable suspicion that a crime is at hand” (*De Bour*, 40 NY2d at 216 [citations omitted]).

Finally, addressing the dissent, the Court’s decision today is wholly in line with our precedent: a forcible stop requires reasonable suspicion that the suspect has committed a crime, not merely the founded suspicion—triggering the officers’ common-law right of inquiry—present here. Surely the possibility that defendant had a gun merited investigation by the police, just not immediately at gunpoint.

Accordingly, the order of the Appellate Division should be reversed, defendant’s motion to suppress granted and the indictment dismissed.

R.S. SMITH, J. (dissenting). It is settled that neither an anonymous tip unconfirmed by subsequent events (*Florida v J.L.*, 529 US 266 [2000]; *People v William II*, 98 NY2d 93 [2002]) nor a person’s evident wish to avoid contact with the police (*People v May*, 81 NY2d 725 [1992]) is alone enough to justify “a reasonable suspicion that a particular person has committed, is committing or is about to commit a felony or misdemeanor,” and thus to permit “a forcible stop and detention of that person” (*People v De Bour*, 40 NY2d 210, 223 [1976]). Today, the Court goes a step further, holding that a combination of the two—an anonymous tip *and* avoidance of contact with the police—is not enough. I would not take this step, because I think it limits too strictly the ability of police officers to make the common sense, spur-of-the-moment judgments that street encounters demand and that are essential to achieving a proper balance between individual rights and law enforcement.

The rules that neither an anonymous tip nor the avoidance of police officers can alone create reasonable suspicion are not

* Although defendant reached a gate that prevented him from continuing to walk in the direction he had been walking, he could have continued to walk away from the officers in a different direction had he wanted to flee. Indeed, there was no finding that defendant’s conduct constituted flight.

intuitively self-evident. Indeed, they are a departure—justified, the courts have decided, by valid policy reasons—from a simple, commonsense interpretation of “reasonable suspicion.” In common sense, of course it is reasonable for a police officer to *suspect* that a person who an anonymous caller says is committing a crime may indeed be committing one; it would be unreasonable to conclude, or to assume, that the anonymous caller was telling the truth, but it is not unreasonable to want to look into the possibility. Equally clearly, any reasonable police officer will become suspicious when a person, on seeing the police officer, promptly decides to travel in the opposite direction; there are no doubt many perfectly legitimate reasons for wanting to shun contact with the police, but it is still reasonable to suspect the existence of a reason that is not legitimate.

Nevertheless, the courts do not allow police officers to detain someone with no more basis than an anonymous tip or avoidance of the police, and have artificially defined “reasonable suspicion” in a way that prohibits such detentions. I imply no criticism of the decisions that establish these rules. They are based on important interests that compete with society’s interest in efficient law enforcement. In the case of the anonymous tip, if reasonable suspicion could be founded on that alone, it “would enable any person seeking to harass another to set in motion an intrusive, embarrassing police search” or detention, while concealing his or her identity (*Florida v J.L.*, 529 US at 272). In the case of a person who avoids the police, to make that without more a basis for “reasonable suspicion” would unacceptably abridge that person’s “right ‘to be let alone’ and refuse to respond to police inquiry” (*People v Holmes*, 81 NY2d 1056, 1058 [1993] [citation omitted]).

While I accept the reasons that have led courts to hold that a police officer’s suspicion based on either of these two grounds is not reasonable, it does not logically follow that suspicion is unreasonable when both grounds exist together. At that point, it seems to me, the reasons to be suspicious are powerful enough that society’s interest in efficient law enforcement should prevail. Thus, in this case, when Officers Racioppo and Molinaro observed both that defendant matched the description the anonymous caller had given of a man with a gun, and that he began to walk away at the sight of the police, the possibility that he did indeed have a gun deserved to be investigated, even at the cost of a temporary interference with his liberty. It was possible, of course, based on what the officers knew, that defen-

dant was the innocent victim of a spiteful caller trying to harass him, and that he was also among those innocent people who prefer to exercise their “right to be let alone” rather than talk to the police, but I cannot bring myself to blame the officers for suspecting that the truth might be otherwise.

Accordingly, I would affirm the order of the Appellate Division.

Judges G.B. SMITH, CIPARICK, GRAFFEO and READ concur with Chief Judge KAYE; Judge R.S. SMITH dissents and votes to affirm in a separate opinion in which Judge ROSENBLATT concurs.

Order reversed, etc.

[847 NE2d 1149, 814 NYS2d 575]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v STEPHEN
M. PACER, Respondent.

Argued February 16, 2006; decided March 28, 2006

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered June 10, 2005. The Appellate Division modified, on the law, a judgment of the Ontario County Court (James R. Harvey, J.), which had convicted defendant, upon a jury verdict, of aggravated unlicensed operation of a motor vehicle in the first degree, misdemeanor driving while intoxicated (two counts), falsely reporting an incident in the third degree, and leaving the scene of an incident without reporting. The modification consisted of reversing that part of the judgment convicting defendant of aggravated unlicensed operation of a motor vehicle in the first degree and ordering a new trial on that count of the indictment. The Appellate Division affirmed the judgment as modified.

People v Pacer, 21 AD3d 192, affirmed.

HEADNOTES

Motor Vehicles — Aggravated Unlicensed Operation of Motor Vehicle — Admission into Evidence of “Affidavit of Regularity/Proof of Mailing” — Right of Confrontation

1. In the prosecution of defendant for aggravated unlicensed operation of a motor vehicle in the first degree (Vehicle and Traffic Law § 511 [3] [a]), his Sixth Amendment right to confront the witnesses against him was violated by the admission at trial of an “Affidavit of Regularity/Proof of Mailing” prepared by a Department of Motor Vehicles (DMV) official describing DMV’s revocation and mailing procedures, and averring that on information and belief they were satisfied. The affidavit, which was submitted in order to prove that defendant knew his driving privileges had been revoked and was thus guilty of an aggravated offense, was more like a testimonial statement than an ordinary business or public record. The government agent who swore out the affidavit was not a “neutral” officer, and the assertion of her “information and belief” that the ordinary mailing procedures were carried out in defendant’s case was a direct accusation of an essential element of the crime. As there was no other evidence that defendant knew or should have known of the revocation, the affiant was the closest the People came to having a “witness” to prove that element. Without an opportunity to cross-examine the affiant, defendant had no chance to inquire about the basis for the affiant’s “information and belief” that DMV mailed the notice.

Motor Vehicles — Aggravated Unlicensed Operation of Motor Vehicle — Request to Charge Unlicensed Operation of Motor Vehicle as Lesser Included Offense

2. In the prosecution of defendant for aggravated unlicensed operation of a motor vehicle in the first degree (Vehicle and Traffic Law § 511 [3] [a]), County

Court erred by failing to charge unlicensed operation of a motor vehicle (Vehicle and Traffic Law § 509 [1]) as a lesser included offense of aggravated unlicensed operation. Defendant admitted on the stand that he had no New York State driver's license when he committed the underlying acts for which he was prosecuted, but contended that he did not know his New York State driving privileges had been revoked. A reasonable juror could have found that defendant drove without a license yet lacked knowledge or a reason to know that his New York State license had been revoked.

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AM JUR 2d, Automobiles and Highway Traffic §§ 285, 1069;
AM JUR 2d, Criminal Law §§ 1170, 1180; AM JUR 2d, Evidence §§ 1294, 1295; AM JUR 2d, Trial §§ 1427, 1429.
CARMODY-WAIT 2d, Criminal Procedure §§ 172:3109–172:3111, 172:3119, 172:3751, 172:3753.
LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 24.4, 24.8.
MCKINNEY'S, Vehicle and Traffic Law § 509 (1); § 511 (3) (a).
NY JUR 2d, Automobiles and Other Vehicles §§ 501, 506, 580, 583–586, 868; NY JUR 2d, Criminal Law §§ 1967, 2070, 2494.

ANNOTATION REFERENCE

See ALR Index under Business Records; Confrontation of Witnesses; Drivers' Licenses; Instructions to Jury; Lesser Included Offenses.

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Database: NY-ORCS

Query: aggravated /2 unlicensed /2 operation & confront!
/p affidavit

POINTS OF COUNSEL

Richard A. Brown, District Attorney, Kew Gardens (Jennifer M. Hagan and John M. Castellano of counsel), and R. Michael Tantillo, District Attorney, Canandaigua, for appellant. I. The Appellate Division erred in holding that admission of the Vehicle and Traffic Law § 214 affidavit, which merely described matters within the routine operation of a public agency, violated the Confrontation Clause. (*Crawford v Washington*, 541 US 36; *Ohio v Roberts*, 448 US 56; *United States v Cervantes-Flores*, 421 F3d 825; *United States v Rueda-Rivera*, 396 F3d 678; *United States v Weiland*, 420 F3d 1062; *People v Durio*, 7 Misc 3d 729;

People v Rogers, 8 AD3d 888; *Gaines v Relf*, 12 How [53 US] 472; *Owings v Speed*, 5 Wheat [18 US] 420; *Evanston v Gunn*, 99 US 660.) II. The trial court properly declined to charge the lesser included offense of unlicensed operation of a motor vehicle because no reasonable view of the evidence supported the lesser offense but not the greater. (*People v Glover*, 57 NY2d 61; *People v Scarborough*, 49 NY2d 364; *People v Mussenden*, 308 NY 558; *Sanchez v State of New York*, 99 NY2d 247; *People v Demperio*, 86 NY2d 549; *Matter of Northland Transp. v Jackson*, 271 AD2d 846; *People ex rel. Price v Sheffield Farms-Slawson-Decker Co.*, 225 NY 25; *People v Kirksey*, 186 Misc 2d 514.)

John E. Tyo, Shortsville, for respondent. I. The Appellate Division, Fourth Department's determination that the receipt of the affidavit of regularity/proof of mailing violated defendant's right of confrontation correctly applies the rule enunciated in *Crawford v Washington* (541 US 36 [2004]). (*Ohio v Roberts*, 448 US 56; *Pointer v Texas*, 380 US 400; *White v Illinois*, 502 US 346; *People v Capellan*, 6 Misc 3d 809; *People v Niene*, 8 Misc 3d 649; *People v Woods*, 9 AD3d 293; *People v Douglas*, 4 NY3d 777; *People v Ryan*, 17 AD3d 1; *People v Rogers*, 8 AD3d 888; *People v Crimmins*, 36 NY2d 230.) II. The Appellate Division's decision that it was error for the court to have refused to charge down to unlicensed operation as a lesser included offense of aggravated unlicensed operation is correct and should be upheld. (*People v Gribben*, 164 AD2d 944; *People v Glover*, 57 NY2d 61; *People v Green*, 56 NY2d 427.)

Peter Lushing, New York City, and *Richard D. Willstatter*, White Plains, for New York State Association of Criminal Defense Lawyers and another, amici curiae. *Crawford v Washington* (541 US 36 [2004]) squarely bars official affidavits prepared specifically and solely for a given prosecution. (*Sandstrom v Montana*, 442 US 510; *People v Gabriel*, 164 Misc 2d 473; *People v Kirksey*, 186 Misc 2d 514; *People v Pabon*, 167 Misc 2d 214; *United States v Saget*, 377 F3d 223; *Dutton v Evans*, 400 US 74; *United States v Cervantes-Flores*, 421 F3d 825; *United States v Weiland*, 420 F3d 1062; *People v Hernandez*, 7 Misc 3d 568; *United States v Oates*, 560 F2d 45.)

Eliot Spitzer, Attorney General, New York City (*Daniel Smirlock* and *Robin A. Forshaw* of counsel), amicus curiae. The Department of Motor Vehicles records admitted at defendant's trial, as well as other official records reflecting routine operations of other governmental agencies, are not within the "core"

class of testimonial statements to which *Crawford v Washington* (541 US 36 [2004]) applies. (*United States v Cervantes-Flores*, 421 F3d 825; *People v Nisonoff*, 293 NY 597, 326 US 745; *People v Reese*, 258 NY 89; *People v Sanders*, 56 NY2d 51; *United States v Rueda-Rivera*, 396 F3d 678; *United States v Weiland*, 420 F3d 1062; *People v Smith*, 258 AD2d 245; *People v Kollore*, 151 Misc 2d 384; *People v Shanis*, 36 NY2d 697; *People v Casey*, 95 NY2d 354.)

OPINION OF THE COURT

ROSENBLATT, J.

The appeal before us presents a Confrontation Clause issue under *Crawford v Washington* (541 US 36 [2004]). Defendant was charged with aggravated unlicensed operation of a motor vehicle in the first degree (Vehicle and Traffic Law § 511 [3] [a]) and related offenses. At trial, to prove that defendant knew his driving privileges had been revoked and was thus guilty of an aggravated offense, the prosecution introduced an affidavit prepared by a Department of Motor Vehicles official in 2003 describing the agency's revocation and mailing procedures, and averring that on information and belief they were satisfied. The Appellate Division correctly ruled that, under *Crawford*, the trial court should not have admitted the affidavit.

I.

In 1987, as a teenager lacking a driver's license, defendant pleaded guilty in Wyoming County to driving under the influence of alcohol. He paid a fine and the Commissioner of Motor Vehicles revoked his "privilege of operating a motor vehicle in New York." Shortly thereafter, defendant moved to Georgia, where he successfully obtained a driver's license. On July 19, 2003, 16 years after the conviction, defendant drove in Ontario County, New York, after drinking heavily. He crashed his car, fled the scene and falsely told police that his car had been stolen. The revocation of his New York State driving privileges, however, remained in force.

The People charged defendant with aggravated unlicensed operation of a motor vehicle in the first degree (Vehicle and Traffic Law § 511 [3] [a]), two counts of operating a motor vehicle while under the influence of alcohol (Vehicle and Traffic Law § 1192 [2], [3]), falsely reporting an incident in the third degree (Penal Law § 240.50 [3]) and leaving the scene of an incident without reporting (Vehicle and Traffic Law § 600 [1])

[a]). After a County Court trial in which defendant testified that he had not known his New York State driving privileges had been revoked, a jury found him guilty on all counts.

The Appellate Division modified the judgment, reversed the conviction for aggravated unlicensed operation, ordered a new trial on that count and sustained the remaining counts (21 AD3d 192 [2005]). The Court held that the affidavit introduced by the People to prove defendant's knowledge that his license had been revoked violated his constitutional right to confront the witnesses against him. The Court also held that County Court erred by refusing to charge the lesser included offense of unlicensed operation of a motor vehicle (Vehicle and Traffic Law § 509 [1]). A Judge of this Court granted the People leave to appeal. We affirm.

II.

The felony offense of first-degree aggravated unlicensed operation has a mens rea element. To be convicted, a defendant must know or have reason to know that his driving privileges have been revoked, suspended or otherwise withdrawn by the Commissioner of Motor Vehicles.¹ Defendants who drive without a license but who neither know nor have reason to know that their driving privileges have been terminated commit a violation (Vehicle and Traffic Law § 509 [1]).

-
1. Vehicle and Traffic Law § 511 (3) provides

“(a) A person is guilty of the offense of aggravated unlicensed operation of a motor vehicle in the first degree when such person: (i) commits the offense of aggravated unlicensed operation of a motor vehicle in the second degree as provided in subparagraph (ii), (iii) or (iv) of paragraph (a) of subdivision two of this section and is operating a motor vehicle while under the influence of alcohol or a drug in violation of subdivision one, two, three, four or five of section eleven hundred ninety-two of this chapter”

The first two referenced subparagraphs of section 511 (2) (a) refer to license revocations or suspensions due to alcohol-related driving offenses. The mens rea element derives from the basic definition of aggravated unlicensed operation found in section 511 (1) (a):

“A person is guilty of the offense of aggravated unlicensed operation of a motor vehicle in the third degree when such person operates a motor vehicle upon a public highway while knowing or having reason to know that such person's license or privilege of operating such motor vehicle in this state or privilege of obtaining a license to operate such motor vehicle issued by the commissioner is suspended, revoked or otherwise withdrawn by the commissioner.”

Here, defendant testified he never learned that his New York State driving privileges had been revoked. The defense argued that his move to Georgia around the same time as the 1987 proceedings may have prevented notice from reaching him. As their sole proof that defendant knew or had reason to know his privileges were revoked, the People introduced an August 13, 2003 document titled “Affidavit of Regularity/Proof of Mailing” from a Department of Motor Vehicles official, purporting to explain the Department’s ordinary mailing procedures for revocation notices. The affidavit contained a statement, on the official’s “information and belief,” that the ordinary procedures described in the affidavit had been followed in defendant’s case.²

Defendant did not object to admission of the underlying certificate of revocation. He did, however, object on Sixth Amendment grounds to the admission of the affidavit.³ County Court overruled the objection.

The People concede that the affidavit is a sworn document prepared by a government official specifically for use by the prosecution at trial. They further concede that defendant never had a chance to cross-examine the affiant and that the prosecution produced no evidence that the affiant was unavailable to testify. The People argue, however, that the affidavit was admissible as a business record or public record, and thus outside the scope of the Confrontation Clause.

We begin our analysis with the Supreme Court’s discussion of the Confrontation Clause in *Crawford v Washington* (541 US 36

2. The affidavit was prepared under the statutory authorization in Vehicle and Traffic Law § 214, which provides:

“The production of a copy of a notice or order issued by the department, together with an electronically-generated record of entry of such order or notice upon the appropriate driver’s license or registration file of the department and an affidavit by an employee designated by the commissioner as having responsibility for the issuance of such order or notice issued by the department setting forth the procedure for the issuance and the mailing of such notice or order shall be presumptive evidence that such notice of suspension, revocation or order was produced and mailed in accordance with such procedures. The foregoing procedure shall not preclude the use of an affidavit of service by mail, a certificate of mailing or proof of certified or registered mail as proof of mailing of any such order or notice.”

3. The Sixth Amendment guarantees criminal defendants the right to be “confronted with the witnesses against [them].” This right is binding on the states through the Federal Constitution’s Fourteenth Amendment (see *Pointer v Texas*, 380 US 400, 403 [1965]). Defendant here has neither preserved nor argued any claim based on our State Constitution.

[2004]). There, the Court held that “testimonial” statements not previously subjected to cross-examination are inadmissible against a criminal defendant. The Court did not fully spell out what is “testimonial,” but offered some guidance. It referred to “[v]arious formulations” of the “core class of ‘testimonial’ statements,” including:

“ ‘*ex parte* in-court testimony or its functional equivalent that is, material such as affidavits, custodial examinations, prior testimony that the defendant was unable to cross-examine, or similar pretrial statements that declarants would reasonably expect to be used prosecutorially,’ . . . ‘extrajudicial statements . . . contained in formalized testimonial materials, such as affidavits, depositions, prior testimony, or confessions,’ [and] ‘statements that were made under circumstances which would lead an objective witness reasonably to believe that the statement would be available for use at a later trial.’ ” (*Crawford*, 541 US at 51-52 [citations omitted].)

Although *Crawford* repeatedly describes affidavits as typically being testimonial, not all affidavits are inadmissible. The *Crawford* court concluded that business records would not have been considered testimonial at the time the Confrontation Clause was adopted (541 US at 56).

Claiming that the challenged affidavit is not “accusatory,” the People argue that the affidavit is more like an ordinary business record or public record than a testimonial statement. To make their point, they cite 18th-century English cases showing that hearsay from accusers—like hearsay from direct victims of crime or other witnesses—was barred under English common law. It does not follow, however, that the challenged affidavit is admissible as nonaccusatory hearsay.

For one thing, and contrary to the People’s suggestion, the government agent who swore out the affidavit is not a “neutral” officer. The official’s assertion of her “information and belief” that the ordinary mailing procedures were carried out in defendant’s case is a direct accusation of an essential element of the crime, that defendant knew or should have known of the rev-

ocation.⁴ Moreover, because the People presented no other evidence to satisfy this element, the affiant is the closest the People come to having a “witness” to prove that defendant knew or should have known of the revocation.

The People also cite cases in which federal Courts of Appeals have held other types of affidavits not testimonial. These decisions, however, are distinguishable from the case before us.

In *United States v Cervantes-Flores* (421 F3d 825 [9th Cir 2005]), the Ninth Circuit ruled that an affidavit from an immigration officer certifying the *absence* of a record in the immigration agency’s files was admissible as nontestimonial under *Crawford*. The court reasoned that the record itself, if present, would have been admissible as one maintained in the ordinary course of agency business; its absence was similarly admissible. Here, in contrast, the challenged affidavit does not merely assert that the Department had a certificate showing that defendant’s license had been revoked. It goes well beyond that, and alleges that the agency took a specific action against defendant based on that revocation—namely, mailing the notice.

Similarly, in *United States v Rueda-Rivera* (396 F3d 678 [5th Cir 2005]), the Fifth Circuit held that a certificate of nonexistence of an immigration record was admissible as a nontestimonial business record, even though the certificate was sworn and created by a government agent for use at trial. In the case before us, however, the prosecution introduced the challenged affidavit to establish that the agency actually mailed out notice to defendant in 1987; it did not merely reveal the ongoing presence or absence of an agency record.

In *United States v Cantellano* (430 F3d 1142 [11th Cir 2005]), the Government sought to prove that the defendant had reentered the country after being deported. This required proof that he had actually left the country after the original deportation. An immigration enforcement agent submitted a “warrant

4. The accusatory sentence avers “[t]hat upon information and belief, the orders referenced [pertaining to this defendant] were processed, distributed and/or mailed from this department in the manner and form described in the regular course of the New York State Department of Motor Vehicles’ daily business.” We note that the “manner and form” of mailing procedures described in the earlier sections of the affidavit are written in the present tense and that the affidavit was sworn to on August 13, 2003. The defense has not challenged the affidavit’s relevance to procedures as they were in 1987, when defendant’s revocation notice would have been mailed, and we presume for purposes of this appeal that the affidavit may be interpreted as implying that the procedures have not changed.

of deportation” attesting that he saw Cantellano leave the United States. The court admitted the warrant without testimony from the agent. The 11th Circuit held the sworn declaration nontestimonial, and hence admissible under *Crawford*, because it was not prepared specifically for the prosecution, but rather was a contemporaneous document recorded as part of the routine duties of border agents who see deportees leave the country. Here, however, the challenged affidavit was admittedly prepared at the People’s request for use at trial.

United States v Bahena-Cardenas (411 F3d 1067, 1074 [9th Cir 2005]) also concerns a deportation warrant prepared at the time of deportation and admitted at the defendant’s later trial for reentry. Because it was prepared as part of the immigration agent’s routine duties and not in preparation for trial, the document differs from the affidavit before us.

[1] Here, the affiant’s sworn statement—that she had information causing her to believe that the Department actually mailed notice of revocation to defendant—was crucial to the People’s case.⁵ Faced with evidence of this type, defendants have no means of challenging the People’s proof on a critical element. Without an opportunity to cross-examine the affiant, defendant had no chance to inquire about the *basis* for the affiant’s “information and belief” that the Department mailed the notice. Defendant had no chance to inquire whether the Department sometimes makes mistakes in mailing revocation notices; whether there were other drivers in the Department’s database with the same name as defendant to whom the Department might have mailed the notice; to what address the affiant believed, based on her information, the Department had mailed the notice; whether the notice might have been returned undelivered; or whether the affiant could testify reliably about procedures as they existed 16 years earlier. In short, the lack of a live witness to confront eliminated defendant’s opportunity to contest a decisive piece of evidence against him. This is exactly the evil the Confrontation Clause was designed to prevent.

5. The People also argue that even if defendant lacked “knowledge” that his privileges had been revoked, he at least had “reason to know” of the revocation because it was an automatic consequence of his original 1987 conviction. The People presented no evidence of the specifics of that conviction and no record of the trial court’s explanation of the conviction’s direct consequences (if any). Indeed, the record lacks even an exact description of what statute defendant violated. On this record, we see nothing to support the People’s inference that defendant had “reason to know” of the license revocation.

[2] The Appellate Division further held that County Court erred by failing to charge unlicensed operation of a motor vehicle (Vehicle and Traffic Law § 509 [1]) as a lesser included offense of aggravated unlicensed operation. The People argue that the only reasonable view of the evidence is that defendant committed either the aggravated offense or nothing. We disagree. Defendant admitted on the stand that he had no New York State driver's license when he committed the underlying acts in this case but contended that he did not know his New York State driving privileges had been revoked. On this point of credibility, a reasonable juror could have found that defendant drove without a license yet lacked knowledge or a reason to know that his New York license had been revoked. Therefore, the lesser charge should have been given to the jury when defendant requested it.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, GRAFFEO, READ and R.S. SMITH concur.

Order affirmed.

[847 NE2d 1146, 814 NYS2d 572]

In the Matter of POUGHKEEPSIE PROFESSIONAL FIREFIGHTERS' ASSOCIATION, LOCAL 596, IAFF, AFL-CIO-CLC, et al., Appellants, v NEW YORK STATE PUBLIC EMPLOYMENT RELATIONS BOARD et al., Respondents.

Argued February 8, 2006; decided March 28, 2006

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered March 10, 2005. The Appellate Division (1) reversed, on the law, a judgment (denominated decision and order) of the Supreme Court, Albany County (Leslie E. Stein, J.), which, in a proceeding pursuant to CPLR article 78, had granted the petition to annul a determination of respondent New York State Public Employment Relations Board finding that certain proposed contract terms were not mandatory subjects of collective bargaining, and (2) dismissed the petition.

Matter of Poughkeepsie Professional Firefighters' Assn., Local 596, IAFF, AFL-CIO-CLC v New York State Pub. Empl. Relations Bd., 16 AD3d 797, affirmed.

HEADNOTE

Civil Service — Public Employees' Fair Employment Act — Mandatory Collective Bargaining — Demand for Review Procedure to Contest Municipality's Initial Determination of Firefighter's Eligibility for Disability Benefits

The determination of respondent New York State Public Employment Relations Board (PERB) that petitioner firefighters' association violated Public Employees' Fair Employment Act (Civil Service Law) § 209-a (2) (b) by demanding de novo arbitral review to resolve disputes over a firefighter's initial and continuing eligibility for General Municipal Law § 207-a disability benefits was rational. PERB, which is accorded deference in matters falling within its area of expertise, including the resolution of improper practice charges, decided respondent municipality's improper practice charge based upon a reasonable reading of petitioner's proposed contract language regarding the review of eligibility determinations. The proposed language called for the arbitrator to resolve the firefighter's claim, not review the City's initial determination, and to decide all allegations and defenses, including assertions regarding timeliness; contemplated trial-type evidentiary hearings with witnesses; and even assigned burdens of proof according to the type of determination at issue. Such demands set forth not a review procedure, but a redetermination procedure in derogation of respondent municipality's nondelegable statutory right to make initial determinations.

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AM JUR 2d, Civil Service § 6; AM JUR 2d, Labor and Labor Relations §§ 628, 629, 3435, 3442.
McKINNEY'S, Civil Service Law § 209-a (2) (b); General Municipal Law § 207-a.
NY JUR 2d, Civil Servants and Other Public Officers and Employees §§ 459, 466.

ANNOTATION REFERENCE

See ALR Index under Civil Service; Labor and Employment; Public Officers and Employees.

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POINTS OF COUNSEL

Gleason, Dunn, Walsh & O'Shea, Albany (Ronald G. Dunn of counsel), for appellants. I. Upon review, the Public Employment Relations Board's determination is not entitled to deference. (*Matter of Newark Val. Cent. School Dist. v Public Empl. Relations Bd.*, 83 NY2d 315; *Matter of Board of Educ. of City School Dist. of City of N.Y. v New York State Pub. Empl. Relations Bd.*, 75 NY2d 660; *Matter of Rosen v Public Empl. Relations Bd.*, 72 NY2d 42; *Matter of Schenectady Police Benevolent Assn. v New York State Pub. Empl. Relations Bd.*, 85 NY2d 480.) II. The Poughkeepsie Professional Firefighters' Association's proposal calling for arbitration to review the municipalities' initial General Municipal Law § 207-a determination is a mandatory subject of bargaining. (*Matter of City of Watertown v State of N.Y. Pub. Empl. Relations Bd.*, 263 AD2d 797, 95 NY2d 73; *Matter of Board of Educ. of City School Dist. of City of N.Y. v New York State Pub. Empl. Relations Bd.*, 75 NY2d 660; *Matter of Cohoes City School Dist. v Cohoes Teachers Assn.*, 40 NY2d 774; *Matter of Schenectady Police Benevolent Assn. v New York State Pub. Empl. Relations Bd.*, 85 NY2d 480; *Matter of Newark Val. Cent. School Dist. v Public Empl. Relations Bd.*, 83 NY2d 315; *Matter of City of Cohoes [Uniform Firefighters of Cohoes, Local 2562, IAFF, AFL-CIO]*, 94 NY2d 686; *Matter of Board of Educ. of Watertown City School Dist. [Watertown Educ. Assn.]*, 93 NY2d 132; *Matter of Acting Supt. of Schools of Liverpool Cent. School Dist. [United Liverpool Faculty Assn.]*, 42 NY2d 509;

Binghamton Civ. Serv. Forum v City of Binghamton, 44 NY2d 23.) III. The Public Employment Relations Board (PERB) decision was properly overturned as PERB is effectively legislating a standard of review in any negotiation of General Municipal Law § 207-a procedure in violation of General Municipal Law § 207-a and *Matter of City of Watertown v State of N.Y. Pub. Empl. Relations Bd.* (95 NY2d 73 [2000]). (*Matter of Auburn Police Local 195, Council 82, Am. Fedn. of State, County & Mun. Empls., AFL-CIO v Helsby*, 62 AD2d 12, 46 NY2d 1034; *Local 589, Intl. Assn. of Fire Fighters, AFL-CIO v City of Newburgh*, 116 AD2d 396.)

Robert A. DePaula, Albany, for New York State Public Employment Relations Board, respondent. I. The scope of judicial review of the Public Employment Relations Board's (PERB) negotiability determination is limited to whether PERB's determination was legally permissible or whether it breached a constitutional right or protection. (*Matter of Newark Val. Cent. School Dist. v Public Empl. Relations Bd.*, 83 NY2d 315.) II. The Appellate Division, Third Department did not err in affirming the Public Employment Relations Board's decision that the Poughkeepsie Professional Firefighters' Association's proposed procedure sought to obtain a redetermination, thereby rendering the demands nonmandatory. (*Matter of City of Watertown v State of N.Y. Pub. Empl. Relations Bd.*, 95 NY2d 73; *Matter of Schenectady Police Benevolent Assn. v New York State Pub. Empl. Relations Bd.*, 85 NY2d 480; *Matter of Brzostek v City of Syracuse*, 238 AD2d 947, 92 NY2d 1026, 266 AD2d 836; *Matter of Essex County v Zagata*, 91 NY2d 447.) III. Neither the Public Employment Relations Board's decision nor the decision of the Appellate Division, Third Department legislated a standard of review. (*Greystone Mgt. Corp. v Conciliation & Appeals Bd. of City of N.Y.*, 94 AD2d 614, 62 NY2d 763; *Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222; *Matter of Silverman [Benmor Coats]*, 61 NY2d 299.)

Stephen J. Wing, Corporation Counsel, Poughkeepsie, for City of Poughkeepsie, respondent. I. This Court's review is limited to whether the Public Employment Relations Board's determination was legally permissible or whether it breached a constitutional right or protection. (*Matter of West Irondequoit Teachers Assn. v Helsby*, 35 NY2d 46; *Matter of Incorporated Vil. of Lynbrook v New York State Pub. Empl. Relations Bd.*, 48 NY2d 398; *Matter of Uniform Firefighters of Cohoes, Local 2562, IAFF*,

AFL-CIO v Cuevas, 276 AD2d 184, 96 NY2d 711; *Matter of Newark Val. Cent. School Dist. v Public Empl. Relations Bd.*, 83 NY2d 315; *Matter of Newark Val. Cardinal Bus Drivers, Local 4360*, NYSUT, AFT, *AFL-CIO v New York State Pub. Empl. Relations Bd.*, 303 AD2d 888, 100 NY2d 504; *Matter of Town of Carmel Police Benevolent Assn. v Public Empl. Relations Bd. of State of N.Y.*, 267 AD2d 858.) II. The Appellate Division correctly decided that the specific language of appellant's proposed General Municipal Law § 207-a procedure undermined respondent's statutory right to make the initial determination. (*Matter of City of Watertown v State of N.Y. Pub. Empl. Relations Bd.*, 95 NY2d 849; *Matter of Cook v City of Utica*, 88 NY2d 833; *Matter of Schenectady Police Benevolent Assn. v New York State Pub. Empl. Relations Bd.*, 85 NY2d 480; *Matter of DePoalo v County of Schenectady*, 85 NY2d 527; *Matter of City of Syracuse v Public Empl. Relations Bd.*, 279 AD2d 98.)

Trevett, Lenweaver & Salzer, P.C., Rochester (Lawrence J. An dolina and Daniel P. DeBolt of counsel), for New York State Deputies Association, amicus curiae. I. The Public Employment Relations Board's decision is not entitled to deference. (*Matter of Webster Cent. School Dist. v Public Empl. Relations Bd. of State of N.Y.*, 75 NY2d 619; *Matter of Schenectady Police Benevolent Assn. v New York State Pub. Empl. Relations Bd.*, 85 NY2d 480; *Matter of Town of Carmel v Public Empl. Relations Bd. of State of N.Y.*, 246 AD2d 791; *Matter of City of Watertown v State of N.Y. Pub. Empl. Relations Bd.*, 95 NY2d 73; *Matter of White v County of Cortland*, 283 AD2d 826.) II. The decision below is inimical to the purpose of the Taylor Law and General Municipal Law §§ 207-a and 207-c. (*Matter of City of Watertown v State of N.Y. Pub. Empl. Relations Bd.*, 95 NY2d 73; *Matter of Board of Educ. of City School Dist. of City of N.Y. v New York State Pub. Empl. Relations Bd.*, 75 NY2d 660; *Matter of Cohoes City School Dist. v Cohoes Teachers Assn.*, 40 NY2d 774; *Matter of Schenectady Police Benevolent Assn. v New York State Pub. Empl. Relations Bd.*, 85 NY2d 480; *Matter of Board of Educ. of City School Dist. of City of N.Y. v New York State Pub. Empl. Relations Bd.*, 75 NY2d 660; *Board of Educ. of City School Dist. of City of Buffalo v Pisa*, 55 AD2d 128; *Pattern Makers v NLRB*, 473 US 95; *NLRB v Allis-Chalmers Mfg. Co.*, 388 US 175; *Matter of Webster Cent. School Dist. v Public Empl. Relations Bd. of State of N.Y.*, 75 NY2d 619; *Matter of City of Syracuse v Public Empl. Relations Bd.*, 279 AD2d 98.) III. The Third Department's decision is inconsistent with *Matter of City of Watertown v State of N.Y. Pub. Empl. Relations Bd.* (95 NY2d 73 [2000]). (*Matter*

of *Schenectady Police Benevolent Assn. v New York State Pub. Empl. Relations Bd.*, 85 NY2d 480; *Matter of Sutherland v Glennon*, 221 AD2d 893; *United States v Vasquez*, 389 F3d 65; *United States v Kostakis*, 364 F3d 45.) IV. The arbitration system proposed by the Poughkeepsie Professional Firefighters' Association does not take away from the City of Poughkeepsie's right to make initial determinations. (*Matter of County of Westchester v Westchester County Correction Officers Benevolent Assn.*, 278 AD2d 414; *Matter of City of Watertown v State of N.Y. Pub. Empl. Relations Bd.*, 95 NY2d 73; *Matter of Jamie R. v Consilvio*, 17 AD3d 52; *Gulf Ins. Co. v Transatlantic Reins. Co.*, 13 AD3d 278; *Matter of Dranov*, 14 AD3d 156; *Doe v HMO-CNY*, 14 AD3d 102; *Matter of Sherwin-Williams Co. v Tax Appeals Trib. of Dept. of Taxation & Fin. of State of N.Y.*, 12 AD3d 112.) V. Practical and equitable considerations favor mandatory negotiations regarding review of the City of Poughkeepsie's initial General Municipal Law § 207-a determinations.

Donna M.C. Giliberto, Albany, for New York State Conference of Mayors and Municipal Officials, amicus curiae. I. The Public Employment Relations Board was acting within the scope of its authority in deciding that the bargaining demand at issue in this litigation was not a mandatory subject of negotiation. Therefore, the Court should defer to the agency's determination. (*Matter of Incorporated Vil. of Lynbrook v New York State Pub. Empl. Relations Bd.*, 48 NY2d 398; *Matter of West Irondequoit Teachers Assn. v Helsby*, 35 NY2d 46.) II. The decision under review in this litigation is rational, not tainted by error, and not an abuse of discretion. (*Board of Educ. of Union Free School Dist. No. 3 of Town of Huntington v Associated Teachers of Huntington*, 30 NY2d 122; *County of Sullivan v Edward L. Nezelek, Inc.*, 42 NY2d 123; *Matter of Schlaifer v Sedlow*, 51 NY2d 181; *Matter of State Farm Ins. Co. v Smith*, 277 AD2d 390; *Matter of Anagnostopoulos v Union Turnpike Mgt. Corp.*, 300 AD2d 393.) III. The Public Employment Relations Board is not abandoning arbitration as a means of resolving contractual disputes. (*Matter of Board of Educ. of Watertown City School Dist. [Watertown Educ. Assn.]*, 93 NY2d 132; *Matter of Auburn Police Local 195, Council 82, Am. Fedn. of State, County & Mun. Empls., AFL-CIO v Helsby*, 46 NY2d 1034; *Matter of City of Mount Vernon v Cuevas*, 289 AD2d 674; *Matter of Rockland County Patrolmen's Benevolent Assn. v Town of Clarkstown*, 149 AD2d 516; *Matter of Nieves v Haera*, 165 AD2d 201; *Matter of City of New York v MacDonald*, 201 AD2d 258, 83 NY2d 759; *Matter of Town of Greenburgh [Police Assn. of Town of Green-*

burgh], 94 AD2d 771, 60 NY2d 551; *Matter of Patrolmen's Benevolent Assn. of City of N.Y., Inc. v New York State Pub. Empl. Relations Bd.*, 13 AD3d 879.)

Hinman Straub P.C., Albany (*John F. Black* and *David W. Novak* of counsel), for New York State Professional Fire Fighters Association, I.A.F.F., AFL-CIO, amicus curiae. The Appellate Division's reasoning is contrary to this Court's decision in *Matter of City of Watertown v State of N.Y. Pub. Empl. Relations Bd.* (95 NY2d 73 [2000]) and would unnecessarily and detrimentally affect existing interest awards and future collective bargaining with respect to firefighter locals. (*Matter of Schenectady Police Benevolent Assn. v New York State Pub. Empl. Relations Bd.*, 85 NY2d 480.)

Coughlin & Gerhart, L.L.P., Binghamton (*Mary Louise Conrow* and *Jeffrey Husisian* of counsel), for Hartsdale Fire District and others, amici curiae. I. The Appellate Division, Third Department was correct when it held that a demand allowing for a redetermination or "de novo" review of a municipal decision pursuant to General Municipal Law § 207-a was not a mandatory subject of bargaining. (*Matter of City of Watertown v State of N.Y. Pub. Empl. Relations Bd.*, 95 NY2d 73; *Matter of Schenectady Police Benevolent Assn. v New York State Pub. Empl. Relations Bd.*, 85 NY2d 480; *Matter of DePoalo v County of Schenectady*, 85 NY2d 527; *Matter of Theroux v Reilly*, 1 NY3d 232; *Matter of City of Schenectady v New York State Pub. Empl. Relations Bd.*, 132 AD2d 242; *Matter of Poster v Strough*, 299 AD2d 127; *Matter of Mandle v Brown*, 5 NY2d 51; *Matter of Newbrand v City of Yonkers*, 285 NY 164.) II. Allowing the Poughkeepsie Professional Firefighters' Association's demand to be a subject of mandatory bargaining may result in elimination of a municipality's management rights. (*Matter of Cassidy v Municipal Civ. Serv. Commn. of City of New Rochelle*, 37 NY2d 526; *Matter of Faliveno v City of Gloversville*, 228 AD2d 19; *Matter of Silverman [Benmor Coats]*, 61 NY2d 299; *Lentine v Fundaro*, 29 NY2d 382; *Matter of Town of Haverstraw [Rockland County Patrolmen's Benevolent Assn.]*, 65 NY2d 677; *Matter of Goldfinger v Lisker*, 68 NY2d 225; *Matter of Sprinzen [Nomberg]*, 46 NY2d 623; *Matter of Professional, Clerical, Tech. Empls. Assn. [Buffalo Bd. of Educ.]*, 90 NY2d 364; *Matter of Peckerman v D & D Assoc.*, 165 AD2d 289; *Matter of Matra Bldg. Corp. v Kucker*, 2 AD3d 732.) III. Allowing binding arbitration for other statutory proceedings is not dispositive of whether or not General Municipal Law § 207-a benefits should be subject to binding arbitration.

OPINION OF THE COURT

READ, J.

Section 207-a of the General Municipal Law mandates payment of the full amount of regular salary or wages to a paid firefighter “who is injured in the performance of his duties” or taken ill “as a result of the performance of his duties so as to necessitate medical or other lawful remedial treatment” (General Municipal Law § 207-a [1]). These payments continue until the disability ceases, or the disabled firefighter is granted a disability retirement. Payments stop if the firefighter either performs, or refuses to perform, light-duty work. The municipality is also liable for all medical treatment and hospital care necessitated by the illness or injury.

In their 1995-1998 collective bargaining agreement, the City of Poughkeepsie and the Poughkeepsie Professional Firefighters’ Association agreed to negotiate a procedure to implement section 207-a for the City’s firefighters. After negotiations proved fruitless, the Association concluded that impasse had been reached and petitioned the New York State Public Employment Relations Board (PERB or the Board) for compulsory interest arbitration. The City responded by filing an improper practice charge, alleging that the Association had violated Public Employees’ Fair Employment Act (Civil Service Law) § 209-a (2) (b), the Taylor Law. Specifically, the Association’s demands included proposals for de novo arbitral review to resolve disputes over a firefighter’s initial and continuing eligibility for General Municipal Law § 207-a benefits. The City insisted that these proposals were not mandatory subjects of bargaining.

PERB agreed. The Board viewed the Association’s proposals for de novo review as infringing upon the City’s exclusive statutory authority to make initial eligibility and termination decisions (see *Matter of City of Poughkeepsie [Poughkeepsie Professional Firefighters’ Assn., Local 596, I.A.F.F., AFL-CIO-CLC]*, 33 PERB ¶ 3029 [2000]). The Association had “misinterpreted the import” (*id.* at 3078) of *Matter of City of Watertown (Watertown Police Benevolent Assn.)* (30 PERB ¶ 3072 [1997]), where PERB decided that a demand for arbitration of disputes involving eligibility for the benefits conferred by General Municipal Law § 207-c—section 207-a’s counterpart for police officers—was a mandatory subject of negotiation. In *Watertown*, the union “merely requested” that any dispute over the City’s initial determination “be processed to arbitration pursuant to PERB’s Voluntary Dispute Resolution Procedure. There was no refer-

ence in the demand, either express or implied, that there would be a de novo review of the City's initial determination" (33 PERB ¶ 3029, at 3079). Accordingly, the demand in *Watertown* was for "a substitute appeal procedure in order to avoid commencing an Article 78 proceeding," and was found on this basis to be a mandatory subject of negotiations (*id.*).

After PERB's decision in *Poughkeepsie*, the Association reworked its proposal and the parties resumed collective bargaining. This time around, the Association omitted "de novo" from the text of its proposed section 207-a procedures, which called for an arbitrator to review a firefighter's eligibility for benefits, the termination of benefits and assignment to light duty. The proposal also recited that the City would have "exclusive authority to initially determine the applicant's eligibility."

Again, the parties were unable to negotiate an agreement, the Association petitioned PERB for compulsory interest arbitration and the City filed an improper practice charge in response. The City claimed that the modifications made by the Association to its previous demands were "cosmetic" only, and that its proposal still called for an arbitrator to make a decision on the merits of section 207-a claims. As a result, the demands "effectively wrest[ed] from the City the authority vested in it by GML § 207-a to make the initial determination," and were non-mandatory subjects of collective bargaining.

Once again, PERB sided with the City. PERB concluded that the Association's demands sought "review not of the City's determinations of eligibility, termination of benefits and light duty but of the employees' underlying claims," and therefore "infringe[d] upon authority vested exclusively within municipalities by the statute" (*Matter of City of Poughkeepsie [Poughkeepsie Professional Firefighters' Assn., Local 596, I.A.F.F., AFL-CIO, CLC]*, 36 PERB ¶ 3014, at 3042 [2003]). Accordingly, the Association's demands were nonmandatory subjects of negotiation, and its submission of them to interest arbitration was an improper practice in violation of section 209-a (2) (b) of the Taylor Law.

The Association commenced this CPLR article 78 proceeding, seeking annulment of PERB's determination. Supreme Court granted the Association's petition in its entirety. The Appellate Division subsequently reversed Supreme Court's judgment on the law, and dismissed the petition. We now affirm.

General Municipal Law § 207-a authorizes municipalities to make initial determinations about a firefighter's eligibility for benefits, and this authority is not a mandatory subject of collective bargaining (see *Matter of Schenectady Police Benevolent Assn. v New York State Pub. Empl. Relations Bd.*, 85 NY2d 480 [1995]). A demand for a review procedure to contest a municipality's initial determination is, however, mandatorily negotiable (see *Matter of City of Watertown v State of N.Y. Pub. Empl. Relations Bd.*, 95 NY2d 73 [2000]). After examining the language in the Association's proposal in light of these related, established principles, PERB concluded that the disputed demands afforded a firefighter de novo review—in effect, a fresh determination of the claim by an arbitrator—rather than arbitral review of the City's initial determination, using a procedure and standard of review tailored by the parties.

This appeal presents no question of statutory interpretation. Instead, the issue is whether PERB decided the City's improper practice charge based upon a reasonable reading of the Association's proposed contract language. PERB, as the agency charged with interpreting the Civil Service Law, is accorded deference in matters falling within its area of expertise, including the resolution of improper practice charges (see *Matter of County of Nassau [Nassau Community Coll.] v New York State Pub. Empl. Relations Bd.*, 76 NY2d 579, 585 [1990]). Because these matters are consigned to PERB's discretion, we may not disturb its determination unless irrational (*City of Watertown*, 95 NY2d at 81).

Here, the proposed language calls for the arbitrator to resolve the firefighter's claim, not review the City's initial determination, and to decide all allegations and defenses, including assertions regarding timeliness; contemplates trial-type evidentiary hearings with witnesses; and even assigns burdens of proof according to the type of determination at issue. We therefore find no irrationality in PERB's conclusion that the disputed demands set forth not a review procedure, but a redetermination procedure in derogation of the City's nondelegable statutory right to make initial determinations.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT, GRAFFEO and R.S. SMITH concur.

Order affirmed, with costs.

[847 NE2d 1158, 814 NYS2d 584]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v NAJIB
BOSIER, Appellant.

Argued February 15, 2006; decided April 4, 2006

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered May 9, 2005. The Appellate Division affirmed a judgment of the Supreme Court, Kings County (James G. Starkey, J.), which had convicted defendant, upon a jury verdict, of assault in the second degree and criminal possession of a weapon in the second degree.

People v Bosier, 18 AD3d 568, affirmed.

HEADNOTE

Crimes — Witnesses — Impeachment — Admissibility by Defendant of Grand Jury Testimony of Witness Whose Unavailability Procured by Defendant

In a prosecution where the complaining witness testified before two separate grand juries considering charges against defendant and his codefendant, but then refused to testify at the joint trial after receiving numerous threats, defendant was not deprived of his constitutional rights to a fair trial and to present a defense by the trial court's allowing the People's selective introduction of complainant's testimony from the second grand jury while denying defendant's request to introduce complainant's testimony from the first grand jury for purposes of impeachment. By his misconduct defendant forfeited his constitutional right of confrontation regarding the substance of complainant's grand jury testimony and the right to assert rules against the admission of complainant's hearsay statements. Although he did not forfeit his right to a fair trial, and a trial judge has discretion to permit impeachment by a defendant of a witness whose unavailability was procured by the defendant if it is possible that the jury will otherwise be misled into giving too much weight to the statement, such impeachment need not always be allowed. Where, as here, the inconsistency defendant relied on did not go to the heart of the prosecution's case and might well have been credibly explained if the witness had been present, it was not an abuse of discretion to exclude the impeaching evidence.

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AM JUR 2d, Criminal Law §§ 1180, 1258–1260; AM JUR 2d,
Grand Jury § 37; AM JUR 2d, Witnesses §§ 691, 692.
CARMODY-WAIT 2d, Criminal Procedure §§ 172:989,
172:3172, 172:3173.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 24.4.

NY JUR 2d, Criminal Law §§ 1042, 1874.5, 1924, 1926.

ANNOTATION REFERENCE

Admissibility or use in criminal trial of testimony given at preliminary proceeding by witness not available at trial. 38 ALR4th 378.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: use /s grand /2 jury /s testimony & unavailable /3 testify

POINTS OF COUNSEL

Bahn, Herzfeld & Multer, LLP, New York City (*Richard L. Herzfeld* of counsel), for appellant. I. By allowing the prosecution to selectively introduce the complainant's grand jury testimony and by denying the defense request to introduce the grand jury testimony which the prosecution elected not to introduce, the court deprived appellant of his due process right to a fair trial and his right to present a defense. (*People v Sime*, 254 AD2d 183; *People v Geraci*, 85 NY2d 359; *People v Cotto*, 92 NY2d 68; *People v Arroyo*, 54 NY2d 567; *People v Robinson*, 89 NY2d 648; *Cotto v Herbert*, 331 F3d 217.) II. The lineup identification of appellant by Winston was tainted by the police comments and appellant's distinctive appearance; the court erred in finding an independent basis where the description of the perpetrator was minimal and often inconsistent with appellant's appearance, Winston had never seen the perpetrator before and, initially, Winston could not even identify appellant as the perpetrator at the *Wade* hearing. (*People v Ortiz*, 90 NY2d 533; *People v Moore*, 143 AD2d 1056; *People v Carolina*, 184 AD2d 520; *People v Gaddy*, 115 AD2d 658; *People v Sapp*, 98 AD2d 784; *People v Harris*, 172 AD2d 560, 80 NY2d 796; *People v Elliot*, 283 AD2d 183.) III. The court's *Sandoval* ruling which permitted the prosecution to question appellant as to most of his prior convictions without any effort to balance the potential prejudice was an abuse of discretion as a matter of law. (*People v Briggs*, 166 AD2d 210; *People v Mitchell*, 209 AD2d 443.)

Charles J. Hynes, District Attorney, Brooklyn (*Jane S. Meyers*, *Leonard Joblove* and *Karol B. Mangum* of counsel), for respondent. I. Defendant has partially failed to preserve for appellate review his challenge to the trial court's ruling that, where the

grand jury testimony of the victim was admitted as evidence-in-chief because defendant's threats had caused the victim to be unavailable to testify, defendant could not enter into evidence, for impeachment purposes, either the victim's testimony at a separate grand jury proceeding or evidence about the victim's own criminal conduct. Moreover, the trial court's ruling was proper. (*People v Geraci*, 85 NY2d 359; *People v Angelo*, 88 NY2d 217; *People v Gonzalez*, 54 NY2d 729; *People v Qualls*, 55 NY2d 733; *People v Jackson*, 76 NY2d 908; *Pointer v Texas*, 380 US 400; *Davis v Alaska*, 415 US 308; *Lee v Illinois*, 476 US 530; *California v Green*, 399 US 149; *Perry v Leeke*, 488 US 272.) II. Defendant's claims that the hearing court erred in finding that defendant's lineup was not suggestive and that Winston had an independent basis for an in-court identification of defendant are beyond the scope of review of this Court and are entirely meritless. (*People v Robinson*, 88 NY2d 1001; *People v Jackson*, 76 NY2d 908; *People v Tutt*, 38 NY2d 1011; *People v Jackson*, 98 NY2d 555; *People v Evans*, 94 NY2d 499; *People v Owens*, 74 NY2d 677; *People v Malloy*, 55 NY2d 296; *People v Chipp*, 75 NY2d 327, 498 US 833; *Neil v Biggers*, 409 US 188; *Foster v California*, 394 US 440.) III. The trial court's *Sandoval* ruling is beyond the scope of this Court's review. The Appellate Division properly determined that the trial court's *Sandoval* ruling was not an abuse of discretion. (*People v Walker*, 83 NY2d 455; *People v Pollock*, 50 NY2d 547; *People v Hayes*, 97 NY2d 203; *People v Sandoval*, 34 NY2d 371; *People v Shields*, 46 NY2d 764; *People v Williams*, 56 NY2d 236; *People v Pavao*, 59 NY2d 282.)

OPINION OF THE COURT

G.B. SMITH, J.

Defendant was convicted of assault in the second degree and criminal possession of a weapon in the second degree. He challenges those convictions primarily on the ground that Supreme Court's rulings after a *Sirois* hearing,* allowing the People to introduce selective portions of the complaining witness's grand jury testimony but denying defendant's request to introduce additional grand jury testimony of that witness, deprived defendant of his constitutional rights to a fair trial and to present a defense. Supreme Court committed no error in making these rulings, and we affirm the Appellate Division order upholding the conviction.

* *Matter of Holtzman v Hellenbrand*, 92 AD2d 405, 415 (2d Dept 1983); *People v Sirois*, 92 AD2d 618 (2d Dept 1983).

I

On the evening of May 23, 2000, defendant, using a gun handed to him by his codefendant, shot complainant twice, wounding him. Two days after the shooting, defendant was arrested. Within a week of defendant's arrest, complainant testified before a Kings County grand jury that was considering charges against defendant. After complainant's testimony, defendant was indicted. On February 8, 2001, defendant's codefendant was arrested. Three weeks later, complainant testified before a grand jury that was considering charges against codefendant. After complainant's testimony, codefendant was separately indicted. The two indictments were consolidated for trial.

Prior to the joint trial, the People learned that complainant was not going to testify. The People moved for a *Sirois* hearing to determine whether defendant engaged in witness tampering by committing misconduct that caused complainant to fear for his safety and/or life if he testified at trial. At the hearing, the People presented evidence showing that defendant had conveyed numerous threats to complainant through complainant's family and friends. Defendant, in an effort to stop complainant from testifying, had attempted to enlist others to kill complainant, and defendant's brother and codefendant had conveyed a threat to complainant through complainant's grandmother. After considering this evidence and defendant's testimony, Supreme Court ruled that the People had established, by clear and convincing evidence, that defendant and codefendant had engaged in unlawful conduct that rendered complainant unavailable to testify at their joint trial.

After the hearing, Supreme Court granted the People's request to introduce, as evidence-in-chief, complainant's testimony before the second grand jury. Defendant argued that complainant's testimony from the second grand jury proceeding was inconsistent with the testimony he gave at the first proceeding. Therefore, defendant sought to introduce complainant's testimony from the first grand jury proceeding for the purpose of impeaching complainant's testimony from the second proceeding. The inconsistency cited in support of defendant's application was that in the first grand jury, complainant testified that he had seen defendant several times with codefendant, whereas in the second proceeding, complainant testified that he had never before seen defendant. Defendant further argued that, because the inconsistency in complainant's testimony might

amount to perjury, it would be unfair to allow the People to select the portions of complainant's grand jury testimony to introduce into evidence. Supreme Court denied the application.

Defendant was convicted of assault in the second degree and criminal possession of a weapon in the second degree. He was sentenced, as a persistent felony offender, to concurrent indeterminate terms of 20 years to life in prison. The Appellate Division affirmed, relying on *People v Geraci* (85 NY2d 359 [1995]). A Judge of this Court granted defendant leave to appeal and we now affirm.

II

Defendant neither challenges Supreme Court's finding that he procured the complainant's unavailability as a trial witness through threats, nor disputes Supreme Court's ruling that complainant's testimony from the second grand jury was admissible under *Geraci*. Defendant does, however, argue that by allowing the People to selectively introduce complainant's testimony from the second grand jury while denying defendant's request to introduce complainant's testimony from the first grand jury, Supreme Court deprived him of his constitutional rights to a fair trial and to present a defense (*see* US Const Amends VI, XIV, § 1; *Pointer v Texas*, 380 US 400, 406 [1965]; NY Const, art I, § 6).

Defendant's constitutional claims, as well as the other claims regarding Supreme Court's denial of defendant's application to introduce impeachment evidence from the first grand jury, are without merit under the "forfeiture by misconduct" principles set forth in *People v Geraci* (85 NY2d 359 [1995]).

In *Geraci*, we recognized two exceptions to the rule that grand jury testimony is generally inadmissible as evidence-in-chief at trial. Specifically, we held that out-of-court hearsay statements, including grand jury testimony, of a witness unavailable to testify at trial may be admitted as direct evidence against a defendant who has procured the defendant's unavailability through his or her misconduct. We also held that such a defendant forfeits the constitutional right of confrontation regarding the substance of those statements, and the right to assert rules against the admission of hearsay statements (*see People v Geraci*, 85 NY2d at 366-367).

These exceptions both protect the integrity of the adversary process by deterring a criminal defendant from engaging in

conduct that prevents a witness from offering testimony at trial and ensure that a defendant who engages in the type of misconduct that renders a witness unavailable for trial does not benefit from his or her wrongful conduct. In other words, these exceptions are justified “by the public policy of reducing the incentive to tamper with witnesses” (*id.* at 368).

Of course, as we recognized in *People v Cotto* (92 NY2d 68 [1998]), even a defendant who has tampered with a witness is entitled to a fair trial. For that reason, we do not hold that such a defendant should never be able to introduce the unavailable witness’s out-of-court statements for impeachment purposes. The trial judge has discretion to permit such impeachment where there is a possibility that, if it is not allowed, the jury will be misled into giving too much weight to the statement offered by the prosecution. But such impeachment need not always be allowed. Where impeachment is permitted, the defendant, in direct contravention of the most basic legal principles and the policy objectives of *Geraci*, may benefit from his or her own wrongful conduct because the prosecution will have no opportunity to rehabilitate the witness by clarifying any unclear or inconsistent testimony proffered by the defendant. Here, where the inconsistency defendant relied on did not go to the heart of the prosecution’s case and might well have been credibly explained if the witness had been present, it was not an abuse of discretion to exclude the impeaching evidence.

III

The cases that defendant relies on do not dictate a different result. *People v Arroyo* (54 NY2d 567 [1982]) and *People v Robinson* (89 NY2d 648 [1997]) involved the application of CPL 670.10 (1), which authorizes the admission of former testimony in certain circumstances not applicable here. In *People v Arroyo*, the preliminary hearing testimony of a missing victim was permitted as evidence at a trial. In *Robinson*, decided two years after *Geraci*, this Court, in the face of defendant’s claim of a violation of due process, allowed the admission of grand jury testimony by defendant’s estranged wife supporting his assertion that he had not sexually abused another woman. In this case, the People introduced the entirety of complainant’s June 2000 grand jury testimony. Defendant seeks to impeach that testimony by use of statements made on a separate occasion before another grand jury.

Similarly, *People v Cotto* and *Cotto v Herbert* (331 F3d 217 [2d Cir 2003]) are inapposite. Here, complainant never testified at

trial. The witness in *Cotto* did. In *Cotto*, the People's sole witness, who had identified defendant as the assailant to police a few days prior to defendant's trial, took the stand at trial and testified that he did not know the identity of the assailant. After a mid-trial *Sirois* hearing, the trial court found that defendant had engaged in misconduct that led the witness to refuse to identify defendant on the stand. Defendant was not permitted to cross-examine the witness at all. The People were allowed to introduce the witness's former statement identifying defendant. Defendant sought to introduce conflicting prior statements in which the witness stated that he did not know the identity of the assailant. Defendant's application was denied and he was convicted. Defendant appealed to this Court.

In *People v Cotto*, we held that defendant's claim regarding the scope of permissible cross-examination of a witness who testifies at trial, but does not identify the defendant out of fear for his safety, was unpreserved for appellate review. We also upheld the lower court's ruling that defendant threatened the witness, and, thus, forfeited his constitutional right of confrontation and his right to object to the admission of hearsay evidence.

Defendant applied for a federal writ of habeas corpus. In *Cotto v Herbert*, the Second Circuit granted defendant's application, finding that because the witness was "literally available," the ruling completely precluding defendant's right to cross-examine the witness was improper. By contrast, where the witness is unavailable, a ruling completely precluding defendant's right of cross-examination is proper. In any event, the Second Circuit ruled that defendant should have been able to cross-examine the witness regarding bias and motive to lie.

Based on the foregoing, *Arroyo*, *Robinson* and the *Cotto* decisions are clearly distinguishable from and inapplicable to the case at bar. Moreover, *Cotto v Herbert* actually supports the rulings made by Supreme Court, not defendant.

IV

Defendant's actions and the relief defendant sought do not comport with *Geraci*. Defendant has not cited any case or statutory law that would support his request to introduce any portion of complainant's grand jury testimony. Moreover, defendant has not met the foundational requirements for the introduction of former grand jury testimony at trial.

We have considered defendant's remaining contentions—that the court erred in ruling that a witness could make a courtroom

identification of the defendant and erred in ruling on defendant's *Sandoval* claim allowing the prosecutor to question defendant about prior bad acts—and conclude that they are without merit.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge KAYE and Judges CIPARICK, ROSENBLATT, GRAFFEO, READ and R.S. SMITH concur.

Order affirmed.

[847 NE2d 1154, 814 NYS2d 580]

TYMEIK WILLIAMS, an Infant, by His Mother and Natural Guardian, LEKESHA FOWLER, Appellant, v NASSAU COUNTY MEDICAL CENTER et al., Respondents.

Argued February 7, 2006; decided April 4, 2006

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered December 6, 2004. The Appellate Division (1) reversed, on the law and as a matter of discretion, so much of an order of the Supreme Court, Nassau County (Anthony L. Parga, J.), as had granted plaintiff's motion for leave to serve a late notice of claim, and (2) denied the motion.

Williams v Nassau County Med. Ctr., 13 AD3d 363, affirmed.

HEADNOTES

Municipal Corporations — Notice of Claim — Late Notice — Actual Knowledge

1. In a claim seeking damages for injuries the infant plaintiff allegedly sustained due to negligence on the part of defendant municipal medical center and its employees in connection with his birth 10 years earlier, the Appellate Division did not abuse its discretion in denying plaintiff leave to serve a late notice of claim pursuant to General Municipal Law § 50-e (5). One of the factors to be considered in determining whether to grant leave was whether defendant acquired "actual knowledge of the essential facts constituting the claim," and the relevant inquiry was whether defendant had actual knowledge of the facts—as opposed to the legal theory—underlying the claim. Merely having or creating hospital records, without more, did not establish defendant's actual knowledge of plaintiff's potential injury, as the records did not evince that the medical staff, by its acts or omissions, inflicted any injury on plaintiff during the birth process.

Municipal Corporations — Notice of Claim — Late Notice — Infancy

2. In a claim seeking damages for injuries the infant plaintiff allegedly sustained due to negligence on the part of defendant municipal medical center and its employees in connection with his birth 10 years earlier, the Appellate Division did not abuse its discretion in denying plaintiff leave to serve a late notice of claim pursuant to General Municipal Law § 50-e (5). The Appellate Division pointed out that the delay was not the product of plaintiff's infancy, but it did not require that plaintiff show a "nexus" between his infancy and the delay in service. A nexus, although not a requirement, is a statutory factor that a court should take into account, as a delay caused by infancy may justify an extension, while conversely the lack of a causative nexus may make the delay less excusable, but not fatally deficient.

Municipal Corporations — Notice of Claim — Late Notice — Substantial Prejudice

3. In a claim seeking damages for injuries the infant plaintiff allegedly sustained due to negligence on the part of defendant municipal medical center

and its employees in connection with his birth 10 years earlier, the Appellate Division did not abuse its discretion in denying plaintiff leave to serve a late notice of claim pursuant to General Municipal Law § 50-e (5). One of the factors to be considered in determining whether to grant leave was whether the delay in serving the notice of claim “substantially prejudiced” defendant. Although the length of the delay is not alone dispositive, it is influential, and here there was a 10-year delay. Moreover, there was no cause to disturb the Appellate Division’s determination that defendants did not have actual knowledge of the essential facts constituting the claim, another important factor in determining substantial prejudice.

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AM JUR 2d, Municipal Corporations, Counties, and Other Political Subdivisions §§ 640, 641, 720, 722.

CARMODY-WAIT 2d, Actions By and Against Public Bodies and Public Officers §§ 144:92–144:95, 144:102, 144:106–144:109.

McKINNEY’S, General Municipal Law § 50–e (5).

NY JUR 2d, Government Tort Liability §§ 403, 413, 417, 418, 423.

SIEGEL, NY PRAC § 32.

ANNOTATION REFERENCE

Actual notice or knowledge by governmental body or officer of injury or incident resulting in injury as constituting required claim or notice of claim for injury—modern status. 7 ALR4th 1063.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: late /3 notice /3 claim & actual /2 knowledge /s hospital /2 record

POINTS OF COUNSEL

Fitzgerald & Fitzgerald, P.C., Yonkers (John M. Daly, John E. Fitzgerald, Eugene S.R. Pagano, Mitchell L. Gittin and Christopher J. Lennon of counsel), for appellant. I. An infant claimant does not have to show a nexus between infancy and the delay in moving for leave to serve a late notice of claim. (*Matter of Beary v City of Rye*, 44 NY2d 398; *Giblin v Nassau County Med. Ctr.*, 61 NY2d 67; *Matter of Murray v City of New York*, 30 NY2d 113; *Sherman v Metropolitan Tr. Auth.*, 36 NY2d 776; *Matter of Ziecker v Town of Orchard Park*, 70 AD2d 422, 51 NY2d 957; *Matter of Kurz v New York City Health & Hosps. Corp.*, 174 AD2d 671;

Matter of Lannon v Town of Henrietta, 109 AD2d 1067; *Cohen v Pearl Riv. Union Free School Dist.*, 51 NY2d 256; *Matter of Matarrese v New York City Health & Hosps. Corp.*, 215 AD2d 7, 87 NY2d 810; *Ali v Bunny Realty Corp.*, 253 AD2d 356.) II. The hospital's records, which recorded the acts and omissions constituting medical malpractice, gave actual notice of the essential facts constituting plaintiff's claim. (*Matter of Beary v City of Rye*, 44 NY2d 398; *Ansaldo v City of New York*, 92 AD2d 557; *Kavanaugh v Memorial Hosp. & Nursing Home of Greene County*, 126 AD2d 930; *Matter of Quiroz v City of New York*, 154 AD2d 315; *Matter of Sica v Board of Educ. of City of N.Y.*, 226 AD2d 542; *Matter of Shapiro v County of Nassau*, 208 AD2d 545; *Moore v New York City Tr. Auth.*, 189 AD2d 862; *Thomann v City of Rochester*, 256 NY 165; *Matter of Hubbard v City School Dist. of Glen Cove*, 204 AD2d 721.) III. The Appellate Division improperly required claimant to disprove the County of Nassau's unsubstantiated assertion of prejudice. (*Matter of Matarrese v New York City Health & Hosps. Corp.*, 215 AD2d 7; *Matter of Louis Harris & Assoc. v de-Leon*, 84 NY2d 698; *Romanian Am. Interests v Scher*, 94 AD2d 549; *Noseworthy v City of New York*, 298 NY 76; *Shabazz v Sheltering Arms Children's Serv.*, 216 AD2d 230; *Medley v Cichon*, 305 AD2d 643; *Matter of McLaughlin v County of Albany*, 258 AD2d 778; *Matter of Diaz Chem. Corp. v New York State Div. of Human Rights*, 91 NY2d 932; *Love v Spector*, 215 AD2d 733; *Macon v Arnlie Realty Co.*, 207 AD2d 268.) IV. The Appellate Division exercised its discretion based upon errors of law which are reviewable by this Court; the Appellate Division also abused its discretion as a matter of law. (*Harvey v Mazal Am. Partners*, 79 NY2d 218; *Varkonyi v S.A. Empresa De Viacao Airea Rio Grandense [Varig]*, 22 NY2d 333; *Matter of Greatsinger*, 67 NY2d 177; *H & J Blits v Blits*, 65 NY2d 1014; *Fahey v County of Ontario*, 44 NY2d 934.) V. The Appellate Division's order is final for purposes of appealability. (*Spodek v Park Prop. Dev. Assoc.*, 96 NY2d 577; *Matter of Colonial Liq. Distribs. v O'Connell*, 295 NY 129; *Matter of Lewin v County of Suffolk*, 239 AD2d 345; *Matter of Lannon v Town of Henrietta*, 87 AD2d 980; *Matter of Daniel J. v New York City Health & Hosps. Corp.*, 77 NY2d 630; *Matter of Persi v Churchville-Chili Cent. School Dist.*, 52 NY2d 988; *Washington v City of New York*, 72 NY2d 881; *Zarrello v City of New York*, 61 NY2d 628; *Barnes v County of Onondaga*, 65 NY2d 664; *Silbernagel v City of New York*, 57 NY2d 691.)

Lorna B. Goodman, County Attorney, Mineola (David B. Gordin and Karen Hutson of counsel), for respondents. I. In

considering whether to grant leave to serve a late notice of claim, a court must consider all of the relevant facts and circumstances, including whether the claimant's infancy excuses the failure to file a timely notice. (*Giblin v Nassau County Med. Ctr.*, 61 NY2d 67; *Cohen v Pearl Riv. Union Free School Dist.*, 51 NY2d 256; *Matter of Wilson v City of Binghamton*, 248 AD2d 780; *Hilton v Town of Richland*, 216 AD2d 921; *Rodriguez v New York City Bd. of Educ.*, 190 AD2d 579, 81 NY2d 1041; *Matter of Sanna v Bethpage Pub. Schools Union Free School Dist.* 21, 193 AD2d 606; *Matter of Andrew T.B. v Brewster Cent. School Dist.*, 18 AD3d 745; *Matter of Matarrese v New York City Health & Hosps. Corp.*, 215 AD2d 7, 87 NY2d 810; *Matter of Gandia v New York City Hous. Auth.*, 173 AD2d 824; *Matter of Kurz v New York City Health & Hosps. Corp.*, 174 AD2d 671.) II. Mere possession of medical records does not necessarily show actual knowledge of the essential facts constituting a claim based on the course of treatment described therein. (*Mills v County of Monroe*, 59 NY2d 307, 464 US 1018; *Sandak v Tuxedo Union School Dist. No. 3*, 308 NY 226; *Matter of Aviles v New York City Health & Hosps. Corp.*, 172 AD2d 237; *Bullard v City of New York*, 118 AD2d 447; *Seymour v New York City Health & Hosps. Corp. [Kings County Hosp. Ctr.]*, 21 AD3d 1025; *Ocasio v New York City Health & Hosps. Corp. [Morrisania Neighborhood Family Care Ctr.]*, 14 AD3d 361; *Matter of Cotten v County of Nassau*, 307 AD2d 965, 1 NY3d 502; *Moise v County of Nassau*, 234 AD2d 275, 89 NY2d 811; *Matter of Caruso v County of Westchester*, 220 AD2d 746; *Matter of D'Anjou v New York City Health & Hosps. Corp.*, 196 AD2d 818, 83 NY2d 796.) III. The Appellate Division properly found that plaintiff had failed to establish that the County of Nassau would not be prejudiced by granting leave to serve a late notice of claim. (*Medley v Cichon*, 305 AD2d 643; *Matter of Micali v Union Free Val. Stream School Dist. #24*, 300 AD2d 661; *Harris v City of New York*, 297 AD2d 473, 99 NY2d 503; *Matter of Turner v Town of Oyster Bay*, 268 AD2d 526; *Matter of Perrault v New York City Tr. Auth.*, 234 AD2d 464; *Walker v New York City Tr. Auth.*, 266 AD2d 54; *Texas Dept. of Community Affairs v Burdine*, 450 US 248; *Matter of McHugh v City of New York*, 293 AD2d 478; *Matter of National Sur. Corp. v Town of Greenburgh*, 266 AD2d 550; *Matter of Bollerman v New York City School Constr. Auth.*, 247 AD2d 469.)

Michael A. Cardozo, Corporation Counsel, New York City (*Kristin M. Helmers* and *Janet L. Zaleon* of counsel), for New York City Health and Hospitals Corporation, amicus curiae. The

Appellate Division correctly determined, on the law and in its discretion, that plaintiff should not be granted leave to serve a late notice of claim upon defendant public hospital system. (*Cohen v Pearl Riv. Union Free School Dist.*, 51 NY2d 256; *Abbot v City of New York*, 271 AD2d 364; *Matter of Daniel J. v New York City Health & Hosps. Corp.*, 77 NY2d 630; *Breeden v Valentino*, 19 AD3d 527; *Woods v Geneva Hous. Auth.*, 210 AD2d 991; *Matter of Harwood v County of Albany*, 257 AD2d 747; *Ali v Bunny Realty Corp.*, 253 AD2d 356; *Ocasio v New York City Health & Hosps. Corp. [Morrisania Neighborhood Family Care Ctr.]*, 14 AD3d 361; *Matter of Greene v City of Middletown*, 5 AD3d 384; *Le Mieux v Alden High School*, 1 AD3d 995.)

OPINION OF THE COURT

ROSENBLATT, J.

In General Municipal Law § 50-e, the Legislature enacted a protocol for serving a notice of claim as a condition precedent to a suit against a public corporation. Section 50-e (1) requires that the notice be served within 90 days after the claim arises. The Legislature, however, gave courts discretion to extend the time and devised criteria for determining whether to grant extensions (see *Cohen v Pearl Riv. Union Free School Dist.*, 51 NY2d 256, 265-266 [1980]).

Section 50-e (5), the late-notice statute, directs the court to consider, in particular, whether within 90 days or a reasonable time thereafter the public corporation (or its attorney or insurance carrier) acquired actual knowledge of the facts underlying the claim. In deciding whether to grant an extension, the court must also consider a host of factors, including infancy and whether allowing late filing would result in substantial prejudice to the public corporation.¹

In the case before us, the infant plaintiff alleges that his epilepsy and developmental disabilities were the result of

1. Section 50-e (5) reads in pertinent part:

“Upon application, the court, in its discretion, may extend the time to serve a notice of claim specified in paragraph (a) of subdivision one. The extension shall not exceed the time limited for the commencement of an action by the claimant against the public corporation. In determining whether to grant the extension, the court shall consider, in particular, whether the public corporation or its attorney or its insurance carrier acquired actual knowledge of the essential facts constituting the claim within the time specified in subdivision one or within a reasonable time thereafter. The court shall also consider all other relevant facts and circumstances, including: whether the claimant was an

(n. cont'd)

negligence on the part of Nassau County Medical Center and its employees in connection with his birth in September 1993. The medical employees in attendance gave his mother Pitocin, a drug used to facilitate the birth. The delivery involved two attempts at vacuum extraction and, ultimately, the use of forceps. According to the hospital records, the mother's pelvis was adequate to accommodate the baby's head and the birth was without complication. The infant weighed 8 pounds, 3¹/₂ ounces. His Apgar score (an index to evaluate the condition of a newborn infant with 10 being a perfect score) was within satisfactory range: eight at one minute after birth and nine at five minutes after birth. The records also reveal that there were marks on his forehead from the forceps and his clavicle was broken.

In support of his motion for late service of a notice of claim, plaintiff submitted an affidavit from a physician who interpreted the hospital records and alleged that the hospital knew or should have known that complications would and did occur. He averred that the size of the mother's pelvis and signs of fetal distress argued against the use of Pitocin, and that after birth the baby was trembling and showed physical signs of trauma. The defendants argue that plaintiff's disability was not apparent until, at the age of one or two, he began to experience epileptic seizures and show delayed development.

The record reveals that in 1995 plaintiff had an electroencephalogram (EEG), a test to trace his brain waves. The results were normal, but EEGs in 1998 and 1999 showed signs of abnormality. On September 5, 2003, 10 years after plaintiff's birth, his counsel sent the hospital a notice of claim alleging, in essence, that plaintiff suffered brain damage resulting from the hospital's malpractice during his delivery.

Exercising its discretion, Supreme Court granted leave to serve the late notice. The Appellate Division, however, reversed

infant, or mentally or physically incapacitated, or died before the time limited for service of the notice of claim; whether the claimant failed to serve a timely notice of claim by reason of his justifiable reliance upon settlement representations made by an authorized representative of the public corporation or its insurance carrier; whether the claimant in serving a notice of claim made an excusable error concerning the identity of the public corporation against which the claim should be asserted; and whether the delay in serving the notice of claim substantially prejudiced the public corporation in maintaining its defense on the merits."

“on the law and as a matter of discretion” (13 AD3d 363, 363 [2d Dept 2004]). We affirm. We will treat the three relevant General Municipal Law § 50-e (5) criteria in their statutory order.

Actual Knowledge of the Essential Facts

[1] Plaintiff argues that the Appellate Division erred by requiring that the defendants have actual knowledge of the “specific claim.” In support, plaintiff emphasizes that section 50-e (5) contemplates “actual knowledge of the essential facts constituting the claim,” not knowledge of a specific legal theory. We agree, but do not read the Appellate Division’s decision as deviating from that principle.

The hospital’s records reveal that the delivery was difficult, but that when it was over there was scant reason to identify or predict any lasting harm to the child, let alone a developmental disorder or epilepsy. The infant’s Apgar scores were satisfactory, and even two years later his EEG was normal. Under these circumstances defendants could well have concluded that when plaintiff left the hospital there was nothing wrong with him beyond a broken clavicle.²

We disagree with plaintiff’s suggestion that because defendants have medical records, they necessarily have actual knowledge of the facts constituting the claim. Merely having or creating hospital records, without more, does not establish actual knowledge of a potential injury where the records do not evince that the medical staff, by its acts or omissions, inflicted any injury on plaintiff during the birth process.

The relevant inquiry is whether the hospital had actual knowledge of the facts—as opposed to the legal theory—underlying the claim. Where, as here, there is little to suggest injury attributable to malpractice during delivery, comprehending or recording the facts surrounding the delivery cannot equate to knowledge of facts underlying a claim.

Infancy

[2] As to this factor, plaintiff claims that the Appellate Division improperly required that he show a “nexus” between his infancy and the delay in service, or, put differently, that the

2. Cf. *Medley v Cichon*, 305 AD2d 643 (2d Dept 2003) (where hospital records indicated, among other things, that infant plaintiff required resuscitation and had an Apgar score of zero, actual knowledge of injury was established).

delay was a product of his infancy. The history of section 50-e (5) and the case law demonstrate that a nexus between infancy and delay, while not a requirement, remains a statutory factor that a court should take into account. The Appellate Division concluded that “the 10-year delay in moving, in effect, for leave to serve a late notice of claim was not the product of the plaintiff’s infancy” (13 AD3d at 364). Its holding does not treat the absence of a nexus as fatal to a plaintiff’s claim.

Before 1976, section 50-e (5) allowed late service, at the discretion of the court, “[w]here the claimant is an infant, or is mentally or physically incapacitated, *and by reason of such disability* fails to serve a notice of claim within the time specified” (emphasis supplied). Even then, this causation requirement was not inflexible. Analyzing the previous version of the statute, we stated in *Matter of Murray v City of New York* (30 NY2d 113 [1972]) that “[t]he impediment [to timely filing] may reasonably be presumed to attend infancy; there is no requirement that it be factually demonstrated” (*id.* at 120). Rather, the causative relationship between infancy and the delay was a matter committed to the court’s discretion, in view of the circumstances in a given case (*id.* at 119; *see also Sherman v Metropolitan Tr. Auth.*, 36 NY2d 776 [1975]).

The Legislature deleted the causation language and added a list of considerations that should come into play, including the simple fact of infancy. This change, however, does not preclude a court from examining whether infancy caused the delay in serving the notice. In deciding whether to allow late service of a notice of claim the court must consider “all other relevant facts and circumstances” (General Municipal Law § 50-e [5]). A delay of service caused by infancy would make a more compelling argument to justify an extension. Conversely, the lack of a causative nexus may make the delay less excusable, but not fatally deficient. It all goes into the mix. The Appellate Division, we conclude, did not exceed its discretion by pointing out that, among other reasons for denying an extension, the delay was not the product of plaintiff’s infancy.

Substantial Prejudice

Plaintiff also asks us to hold that the Appellate Division incorrectly burdened him with the responsibility of showing lack of substantial prejudice to the defendants as a result of late service of the notice of claim. Although the length of the delay is

not alone dispositive, it is influential.³ Here, there was a 10-year delay.

[3] On the theory that the hospital knew or should have known of the essential facts constituting his claim, plaintiff argues that the defendants were not substantially prejudiced. Like the length of the delay in service, proof that the defendant had actual knowledge is an important factor in determining whether the defendant is substantially prejudiced by such a delay.⁴ We have no cause to disturb the Appellate Division's determination that defendants did not have actual knowledge. Accordingly, that Court's finding of substantial prejudice was within its discretion.

In summary, the 1976 amendments to section 50-e (5) deemphasized the importance of a nexus between a plaintiff's infancy and the delay in service of a notice of claim. The statute now contains a nonexhaustive list of factors that the court should weigh, and compels consideration of all relevant facts and circumstances. This approach provides flexibility for the courts and requires them to exercise discretion. Under the pre-1976 version of the statute, we noted that "[w]here satisfied that the court has acted within the perimeters of reason, we have consistently affirmed the exercise of discretion whether it has been invoked to sustain or deny grants of permission for late filing" (*Matter of Murray*, 30 NY2d at 119). In line with that premise, we find no abuse of discretion by the Appellate Division.

Accordingly, the Appellate Division order should be affirmed, with costs.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, GRAFFEO, READ and R.S. SMITH concur.

Order affirmed, with costs.

3. In an analogous situation, commencing an action or special proceeding, late service is permissible under CPLR 306-b "upon good cause shown or in the interest of justice." We have noted, in that context, that lengthy delays in service can lead a court to infer substantial prejudice (*Leader v Maroney, Ponzini & Spencer*, 97 NY2d 95, 107 [2001]).

4. See e.g. *Matter of Andrew T.B. v Brewster Cent. School Dist.*, 18 AD3d 745, 748 (2d Dept 2005); *Bazer v Town of Walworth*, 277 AD2d 994, 995 (4th Dept 2000); *Matter of Battle v City of New York*, 261 AD2d 614, 615 (1st Dept 1999); *Matter of Hunt v County of Madison*, 261 AD2d 695, 696 (3d Dept 1999).

[847 NE2d 1166, 814 NYS2d 592]

In the Matter of CITY OF NEW YORK, Respondent, Relative to Acquiring Title to Certain Real Property for the Construction of the Third Water Tunnel, Shaft 30B. GRAND LAFAYETTE PROPERTIES LLC, Appellant.

Argued February 7, 2006; decided April 4, 2006

SUMMARY

APPEAL, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered May 24, 2005. The Appellate Division affirmed an order of the Supreme Court, New York County (Martin Schoenfeld, J.), which had granted the petition to acquire the subject property, dismissed the counterclaims as time-barred and directed that the amount of compensation to be made to the owners of the acquired property be determined by the court without a jury.

Matter of City of New York (Grand Lafayette Props. LLC), 18 AD3d 342, affirmed.

HEADNOTE**Eminent Domain — Public Use — Timeliness of Excessive Taking Claim**

In an EDPL article 4 vesting proceeding to acquire a parcel of real property for use in a public improvement project involving petitioner City's water system that was brought after petitioner, employing an alternate condemnation procedure authorized under EDPL 206 (C) instead of the hearing and findings procedures of EDPL 203 and 204, made a determination to condemn the property, the excessive taking claim asserted by respondent owner as an affirmative defense in its answer and a counterclaim in its amended answer was time-barred. Such claim should have been asserted in a CPLR article 78 proceeding to review whether the City Planning Commission (CPC) had approved an excessive taking. Although the EDPL is silent regarding the time period applicable to judicial review where a condemnor proceeds under a section 206 exemption, a person aggrieved by an administrative agency's determination, in general, must challenge that decision by initiating a timely article 78 proceeding in Supreme Court unless a statute specifies otherwise. Here, the CPC's decision could have been reviewed by the City Council if the Council had chosen to do so within a 20-day "call-up" period, and therefore the applicable four-month statute of limitations for commencing an article 78 proceeding challenging the CPC's decision began to run upon the expiration of the 20-day call-up period. Respondent's assertion of an excessive taking claim seven months after the call-up period expired was untimely.

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AM JUR 2d, Eminent Domain §§ 501, 794.

CARMODY-WAIT 2d, Eminent Domain §§ 108:11–108:14, 108:183.

McKINNEY'S, Eminent Domain Law § 206; art 4.

NY JUR 2d, Eminent Domain §§ 21, 30, 60, 356, 409.

ANNOTATION REFERENCE

Right to condemn property in excess of needs for a particular public purpose. 6 ALR3d 297.

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POINTS OF COUNSEL

Gibson, Dunn & Crutcher LLP, New York City (*Jack M. Weiss, Randy M. Mastro, Cynthia S. Arato and Megan A. Burns* of counsel), and *Blank Rome LLP* (*James G. Greilsheimer* of counsel) for appellant. I. The Appellate Division failed to recognize Grand Lafayette Properties LLC's right to a pretaking evidentiary hearing on the excessiveness of the City of New York's taking and erred in approving a taking that is prima facie excessive. (*Hallock v State of New York*, 32 NY2d 599; *Onondaga Water Serv. Corp. v Crown Mills*, 132 Misc 848; *Sixth Ave. R.R. Co. v Kerr*, 72 NY 330; *County of Onondaga v Sargent*, 92 AD2d 743; *Jafco Realty Corp. v State of New York*, 18 AD2d 74; *Embury v Conner*, 3 NY 511; *Washington Cemetery v Prospect Park & Coney Is. R.R. Co.*, 68 NY 591; *Matter of City of New York*, 74 App Div 197, 174 NY 26; *Matter of City of Syracuse*, 230 App Div 522; *Matter of Mayo v Windels*, 255 App Div 22, 281 NY 837.) II. The taking of the subject property deprived Grand Lafayette Properties LLC of substantive due process of law. (*DeBari v Town of Middleton*, 9 F Supp 2d 156; *Arlington Heights v Metropolitan Housing Development Corp.*, 429 US 252; *Town of Islip v Caviglia*, 141 AD2d 148; *Sharrock v Dell Buick-Cadillac*, 45 NY2d 152; *People v Singer*, 44 NY2d 241; *Natale v Town of Ridgefield*, 170 F3d 258; *County of Sacramento v Lewis*, 523 US 833; *Harlen Assoc. v Incorporated Vil. of Mineola*, 273 F3d 494; *Lubelle v City of Rochester*, 145 AD2d 954; *Deepwells Estates Inc. v Incorporated Vil. of Head of Harbor*, 973 F Supp 338.) III. This Court has the power to review questions of fact that are not supported by evidence on the record or that are based on defective legal standards or procedures. (*Stiles v Batavia Atomic Horseshoes*, 81 NY2d 950; *Schubtex, Inc. v Allen*

Snyder, Inc., 49 NY2d 1; *Allende v New York City Health & Hosps. Corp.*, 90 NY2d 333; *H & J Blits v Blits*, 65 NY2d 1014; *Matter of Rochester Urban Renewal Agency [Patchen Post]*, 45 NY2d 1.) IV. The Appellate Division erred in ruling that certain of Grand Lafayette Properties LLC's counterclaims and defenses were time-barred. (*Hallock v State of New York*, 32 NY2d 599; *Headley v Noto*, 22 NY2d 1; *Town Bd. of Town of Fallsburgh v National Sur. Corp.*, 53 Misc 2d 23.)

Michael A. Cardozo, Corporation Counsel, New York City (*Paul T. Rephen* and *Joseph Bavuso* of counsel), for respondent. I. Appellant is time-barred from challenging the City of New York's acquisition of the property by condemnation. (*Matter of East Thirteenth St. Community Assn. v New York State Urban Dev. Corp.*, 84 NY2d 287; *Matter of Jackson v New York State Urban Dev. Corp.*, 67 NY2d 400; *Matter of Binghamton Urban Renewal Agency v Manculich*, 67 NY2d 434; *City of Buffalo Urban Renewal Agency v Moreton*, 100 AD2d 20; *Town of Coxsackie v Dernier*, 105 AD2d 966; *Matter of City of New York*, 5 Misc 3d 1014[A]; *Matter of Douglaston & Little Neck Coalition v Sexton*, 145 AD2d 480; *Matter of Metropolitan Museum Historic Dist. Coalition v De Montebello*, 3 Misc 3d 1109[A], 20 AD3d 28; *Matter of Young v Board of Trustees of Vil. of Blasdell*, 89 NY2d 846.) II. Even assuming arguendo that appellant's challenge to the City of New York's acquisition is timely, the City has done all that the EDPL requires and is therefore entitled to the order of condemnation granted in this proceeding. (*Berman v Parker*, 348 US 26; *Matter of Jackson v New York State Urban Dev. Corp.*, 67 NY2d 400; *Hallock v State of New York*, 32 NY2d 599; *Kaskel v Impellitteri*, 306 NY 73, 347 US 934; *Matter of Waldo's, Inc. v Village of Johnson City*, 74 NY2d 718; *Matter of Gyrodyne Co. of Am., Inc. v State Univ. of N.Y. at Stony Brook*, 17 AD3d 675; *Matter of Bergen Swamp Preserv. Socy. v Village of Bergen*, 294 AD2d 827; *Matter of Fisher [New York State Urban Dev. Corp.]*, 287 AD2d 262; *Greenwich Assoc. v Metropolitan Transp. Auth.*, 152 AD2d 216, 75 NY2d 865; *Matter of Vaccaro v Jorling*, 151 AD2d 34.)

Kramer Levin Naftalis & Frankel LLP, New York City (*Jeffrey L. Braun* and *Kerri B. Folb* of counsel), for Real Estate Board of New York, Inc., amicus curiae. I. The owner here was deprived of an adequate opportunity to challenge the scope of the taking as excessive. (*Hallock v State of New York*, 32 NY2d 599; *Matter of Feeney v Town/Village of Harrison*, 4 AD3d 428; *Matter of Rafferty v Town of Colonie*, 300 AD2d 719; *Matter of City of Syr-*

acuse, 230 App Div 522; *Harlen Assoc. v Incorporated Vil. of Mineola*, 273 F3d 494; *Deepwells Estates Inc. v Incorporated Vil. of Head of Harbor*, 973 F Supp 338; *DeBari v Town of Middleton*, 9 F Supp 2d 156.) II. A permanent easement is an enforceable and adequate means for the government to take property. (*Hallock v State of New York*, 32 NY2d 599; *Dowd v Ahr*, 78 NY2d 469; *Missionary Socy. of Salesian Congregation v Evrotas*, 256 NY 86; *Palostrada v Modugno*, 168 AD2d 673; *Castelli v Department of Transp. of State of N.Y.*, 163 AD2d 450; *Smith v Orange & Rockland Util.*, 96 AD2d 901.)

OPINION OF THE COURT

GRAFFEO, J.

The City of New York brought this eminent domain vesting proceeding to acquire a parcel of real property for use in a public improvement project involving the City's water system. Because the landowner failed to timely challenge the taking in a CPLR article 78 proceeding, we conclude that its excessive taking claim is time-barred. We therefore affirm the grant of the petition permitting the City to take title.

Under the Eminent Domain Procedure Law (EDPL), a two-step process is required before a condemnor obtains title to property for public use. First, under EDPL article 2, the condemnor must make a determination to condemn the property either by using the hearing and findings procedures of EDPL 203 and 204 or by following an alternative procedure permitted by EDPL 206. Second, pursuant to EDPL article 4, the condemnor must seek the transfer of title to the property by commencing a judicial proceeding known as a vesting proceeding.

In September 2003, the City of New York's Department of Environmental Protection (DEP) and Department of Citywide Administrative Services (DCAS) (collectively the City) began the first step in the condemnation process by filing an application with the Department of City Planning to condemn real property located at 142 Grand Street. At that time, the parcel was owned by Gerald Cohen. Respondent Grand Lafayette Properties LLC (GLP) operated a 95-vehicle parking lot on the 12,500-square-foot lot. The City sought to acquire the property in order to drill a 512-foot-deep shaft that, upon completion, will carry water

from the Third Water Tunnel to the City's water mains.¹ The City proposed the construction of a large distribution chamber, three feet beneath the parcel's ground surface, for the purpose of regulating water pressure. The application indicated that construction would take approximately 44 months and that the property would be substantially returned to its original condition upon completion, although an air vent and two hatchways allowing access to the chamber for maintenance and inspection purposes would be visible at ground level.

Employing an alternate condemnation procedure authorized under EDPL 206 (C)—the City's Uniform Land Use Review Procedure (ULURP) (*see* NY City Charter §§ 197-c, 197-d)—the Department of City Planning certified the City's application as complete and ready to proceed. Community Board 2 adopted a resolution recommending approval of the City's application for acquisition, with the condition that the site be used ultimately for open space or a public park after project completion (*see* NY City Charter § 197-c [e]). The Manhattan Borough President approved the City's application with the same condition (*see* NY City Charter § 197-c [g]). Acting as lead agency, DEP issued a negative declaration under the State Environmental Quality Review Act (SEQRA) and City Environmental Quality Review (CEQR) procedures.

In March 2004, the City Planning Commission (CPC) held a public hearing to review the City's condemnation application (*see* NY City Charter § 197-c [h]). Cohen, the owner at the time, appeared at the hearing and voiced his opposition to the use of his parcel as a shaft site. GLP, the current owner of the realty (GLP later entered into a contract to purchase the property from Cohen in April 2004 and acquired title in June 2004), does not deny that it also received notice of the hearing.

On April 14, 2004, the CPC issued a resolution approving the City's request to acquire the property in its entirety, concluding that condemnation for construction of the shaft and related facilities was appropriate. The CPC's determination discussed the

1. The Third Water Tunnel is a massive public construction project, commenced in the 1970's, to build another water tunnel approximately 500 feet beneath the City. When completed (around 2020), it will enable the City to shut down temporarily the two existing water tunnels for inspection and repair. Shaft 30B—the shaft designed for the property at issue—is part of the “Manhattan Leg” of the Third Water Tunnel. The Manhattan Leg is projected to run about nine miles and to deliver water through 10 shafts by gravity-fed pressure.

public importance of the project and the planned use of the shaft, along with examining the City's compliance with SEQRA, CEQR and ULURP. The CPC also noted that, upon completion of the project, ownership of the site would revert to DCAS, while DEP would "retain a permanent easement of approximately 4,000 square feet for the area above the subsurface distribution chamber." The CPC's decision could have been reviewed by the City Council if the Council had chosen to do so within a 20-day "call-up" period (*see* NY City Charter § 197-d [b] [3]). In August 2004, the Office of the Mayor approved the acquisition. GLP did not commence an article 78 proceeding challenging the CPC's resolution.

With all governmental approvals secured, in November 2004 the City commenced step two of the procedure, the vesting proceeding under EDPL 402, to formally acquire title to GLP's property. Supreme Court ordered that GLP—who by this time had acquired ownership of the parcel—show cause why the City should not be granted permission to file an acquisition map and take title to the property in fee simple absolute. In response, GLP conceded that the City's plan to construct the shaft served a public use, but asserted as an affirmative defense in its answer that the City's taking of the entire premises in fee simple was excessive and therefore arbitrary and capricious. Relying on *Hallock v State of New York* (32 NY2d 599 [1973]), GLP claimed that the City could have achieved its objectives by less intrusive means, such as an easement or by acquisition of only a portion of the parcel. GLP later interposed similar allegations in a counterclaim in its amended answer.²

GLP also requested that Supreme Court conduct an evidentiary hearing regarding its excessive taking claim. The City replied that GLP's defenses and counterclaims were untimely and without merit. The court granted the City's petition and rejected GLP's excessiveness argument, determining that the City had adequately demonstrated its need for the entire premises. The court also dismissed GLP's remaining counterclaims as time-barred. The Appellate Division affirmed and GLP appeals to this Court as of right (*see* CPLR 5601 [b] [1]). We now affirm.

The City argues that the courts below should not have addressed the excessive taking issue because GLP failed to timely

2. The amended answer also contained a number of other counterclaims relating to the City's condemnation of the property. We agree with the courts below that these counterclaims are time-barred.

raise it. The City contends that GLP should have sought review of its claim in an article 78 proceeding commenced within four months after the CPC's April 2004 determination approving the condemnation became final. GLP counters that it validly raised the issue in its answer in this EDPL article 4 vesting proceeding. Before we resolve the appropriate procedure for judicial review of GLP's excessive taking claim, a brief review of the operation of New York's eminent domain law is helpful.

The Legislature enacted the EDPL "to supplant a mosaic of more than 150 scattered provisions with a uniform procedure" (*Matter of Jackson v New York State Urban Dev. Corp.*, 67 NY2d 400, 417 [1986]). The main purpose of article 2 of the EDPL is to ensure that an appropriate public purpose underlies any condemnation (*see id.* at 417-418). To achieve this determination, a condemnor is required to hold a public hearing before it may approve the acquisition (*see* EDPL 201, 202, 203). The condemnor's written determination must prescribe at least

"(1) the public use, benefit or purpose to be served by the proposed public project;

"(2) the approximate location for the proposed public project and the reasons for the selection of that location; [and]

"(3) the general effect of the proposed project on the environment and residents of the locality" (EDPL 204 [B]).

EDPL article 2 sets forth a judicial review procedure, which allows a condemnee only 30 days within which to commence a proceeding directly in the Appellate Division for review of the condemnor's section 204 determination (*see* EDPL 207). The scope of review is very limited—the Appellate Division must "either confirm or reject the condemnor's determination and findings," and its review is confined to whether (1) the proceeding was constitutionally sound; (2) the condemnor had the requisite authority; (3) its determination complied with SEQRA and EDPL article 2; and (4) the acquisition will serve a public use (EDPL 207 [C]).

Significantly, the Legislature provided that, under certain circumstances, a condemnor need not comply with the notice, hearing and determination requirements of EDPL article 2. A number of alternative procedures that a condemnor may undertake are outlined in EDPL 206, any one of which exempts

the condemnor from compliance with article 2. As relevant here, EDPL 206 (C) permits an exemption where

“pursuant to other law or regulation [the condemnor] undergoes or conducts or offers to conduct prior to an acquisition one or more public hearings upon notice to the public and owners of property to be acquired, and provided further that factors similar to those enumerated in [EDPL 204 (B)] herein may be considered at such public hearings.”

In this case, the City opted to proceed under EDPL 206 (C) by using its own land acquisition statute—the ULURP—which also requires public hearings to ensure valid public use.

Against this statutory backdrop, we examine the timeliness issue. Although EDPL 207 provides a 30-day statute of limitations, during which time period a condemnee must seek Appellate Division review of a section 204 determination, the EDPL is silent regarding the time period applicable to judicial review where a condemnor proceeds under a section 206 exemption. Generally, unless a statute specifies otherwise, a person aggrieved by an administrative agency’s determination must challenge that decision by initiating a timely article 78 proceeding in Supreme Court (*see* CPLR 7801). Here, pursuant to ULURP and EDPL 206 (C), the CPC—an administrative agency—issued a written resolution approving the City’s condemnation application in April 2004. It was therefore incumbent on GLP to timely bring an article 78 proceeding to review whether the CPC had approved an excessive taking.

An article 78 proceeding “must be commenced within four months after the determination to be reviewed becomes final and binding upon the petitioner” (CPLR 217 [1]). Here, the parties differ as to when the statute of limitations began to run. The City argues that GLP’s claim accrued either when the CPC issued its resolution in April 2004 or upon expiration of the 20-day call-up period within which the City Council could have further reviewed the matter. GLP contends that the statute of limitations did not commence until the Office of the Mayor approved the acquisition in August 2004.

We have articulated a two-part test to resolve the question of when a decision is final for purposes of commencing the four-month statute of limitations. “First, the agency must have reached a definitive position on the issue that inflicts actual, concrete injury and second, the injury inflicted may not be

prevented or significantly ameliorated by further administrative action or by steps available to the complaining party” (*Matter of Best Payphones, Inc. v Department of Info. Tech. & Telecom. of City of N.Y.*, 5 NY3d 30, 34 [2005], *rearg denied* 5 NY3d 824 [2005]).

Here, although the CPC issued its determination in April 2004, the decision did not become final at that time since it was subject to potential substantive review by the City Council within a 20-day call-up period (*see* NY City Charter § 197-d [b] [3]). Upon expiration of this call-up period, however, the CPC’s determination became final and binding upon GLP because, at that point, GLP suffered a concrete injury not amenable to further administrative review and corrective action (*see Best Payphones*, 5 NY3d at 34; *Matter of Throggs Neck Resident Council v Cahill*, 290 AD2d 324 [1st Dept 2002]). The four-month period within which GLP could assert its excessive taking claim therefore began in May 2004 when the City Council’s call-up period expired. As such, GLP’s related counterclaim—interposed in its December 2004 answer in this EDPL 402 proceeding—is untimely and we are unable to address the merits of the taking claim.

We reject GLP’s position that its claim did not accrue until the Office of the Mayor approved the project in August 2004. Such certificate, denominated in part as an “Approval of Capital Budget Proposal,” was not part of the ULURP review process and did not involve any substantive analysis of the CPC’s EDPL 204 (B)-type findings. Hence, it was not the determination by which GLP became aggrieved (*see Stop-The-Barge v Cahill*, 1 NY3d 218, 223-224 [2003]; *Matter of Long Is. Pine Barrens Socy. v Planning Bd. of Town of Brookhaven*, 78 NY2d 608, 613 [1991]; *Throggs Neck Resident Council*, 290 AD2d at 324).

We are also unpersuaded by GLP’s argument that the affirmative defenses in its answer and amended answer in this EDPL article 4 vesting proceeding were the proper vehicles to raise its excessive taking claim. According to the EDPL, after a condemnor follows a proper procedure—either by complying with EDPL article 2’s notice, hearing and determination requirements, or an EDPL 206 exemption procedure—it has three years to commence a vesting proceeding to acquire title to

the property (*see* EDPL 401, 402).³ If the court is satisfied that the condemnor has met all of the EDPL's procedural requirements, it must grant the petition, thereby directing the condemnor to file the acquisition map and take title (*see* EDPL 402 [B] [5]).

Although some courts have indicated that a condemnee may test a condemnor's procedural compliance with an exemption under EDPL 206 by way of its answer in the vesting proceeding (*see e.g. Matter of Rockland County Sewer Dist. No. 1 v J. & J. Dodge*, 213 AD2d 409, 410 [2d Dept 1995]), we need not address that question here since the issue is not whether the City followed a suitable exemption procedure. Rather, GLP seeks judicial review of the merits of the CPC's determination, asserting that acquisition of the entire parcel exceeds the City's needs. We conclude that any challenge to the merits underlying the CPC resolution must be raised within the article 78 context. To hold otherwise would permit a condemnee to untimely contest issues that are outside the limited scope of an EDPL article 4 vesting proceeding.⁴

We have examined GLP's remaining contentions and find them without merit.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT, READ and R.S. SMITH concur.

Order affirmed, with costs.

3. The condemnor's petition must set forth (a) a statement of compliance with EDPL article 2 or with an exemption pursuant to EDPL 206; (b) a copy of the acquisition map; (c) a description of the property; (d) the public use; and (e) "a request that the court direct entry of an order authorizing the filing of the acquisition map . . . and that upon such filing, title shall vest in the condemnor" (EDPL 402 [B] [3]).

4. Analogously, where a condemnor makes a determination to acquire property pursuant to EDPL 204, the condemnee must seek review directly in the Appellate Division pursuant to EDPL 207. The condemnee may not wait until the condemnor initiates a vesting proceeding to raise its claims (*see Matter of City of New Rochelle v O. Mueller, Inc.*, 191 AD2d 435, 436 [2d Dept 1993]; *Matter of Farmington Access Rd. of Town of Farmington*, 156 AD2d 936 [4th Dept 1989]).

[847 NE2d 1162, 814 NYS2d 589]

DOUGLAS ROBINSON, Appellant, v EAST MEDICAL CENTER, LP, et al., Defendants. HUEBER-BREUER CONSTRUCTION CO., INC., Third-Party Plaintiff, v BURNS BROS. CONTRACTORS, INC., Third-Party Defendant-Respondent.

Argued February 16, 2006; decided April 4, 2006

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered April 29, 2005. The Appellate Division, with two Justices dissenting, (1) reversed, on the law, so much of an order of the Supreme Court, Onondaga County (John V. Centra, J.), as had granted plaintiff's motion for partial summary judgment on liability under Labor Law § 240 (1) and denied so much of third-party defendant's cross motion for summary judgment as sought to dismiss the Labor Law § 240 (1) cause of action; (2) denied plaintiff's motion; (3) granted third-party defendant's cross motion in its entirety; and (4) dismissed the complaint.

Robinson v East Med. Ctr., LP, 17 AD3d 1027, affirmed.

HEADNOTE**Labor — Safe Place to Work — Proximate Cause**

Plaintiff's Labor Law § 240 (1) cause of action was properly dismissed in a personal injury action arising out of a workplace accident that occurred when plaintiff lost his balance while standing on the top cap of a six-foot ladder that was not tall enough for the particular task that he was carrying out when he was injured. Where a plaintiff's actions are the sole proximate cause of his injuries, liability under Labor Law § 240 (1) does not attach. Although there were adequate safety devices—eight-foot ladders—available for plaintiff's use at the job site, plaintiff's own negligent actions—choosing to use a six-foot ladder that he knew was too short for the work to be accomplished and then standing on the ladder's top cap in order to reach the work—were, as a matter of law, the sole proximate cause of his injuries.

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AM JUR 2d, Employment Relationship §§ 256–258, 269; AM JUR 2d, Negligence §§ 881, 884, 885.

McKINNEY'S, Labor Law § 240 (1).

NY JUR 2d, Employment Relations §§ 231, 235; NY JUR 2d, Negligence §§ 54, 60, 61.

ANNOTATION REFERENCE

See ALR Index under Ladders; Occupational Safety and Health; Proximate Cause.

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Database: NY-ORCS

Query: ladder /p plaintiff /s sole /2 proximate /s negligen!
& worker

POINTS OF COUNSEL

Amdursky, Pelky, Fennell & Wallen, P.C., Oswego (Timothy J. Fennell and Joseph E. Wallen of counsel), for appellant. I. Plaintiff established a prima facie claim under Labor Law § 240 (1). (*Abbatiello v Lancaster Studio Assoc.*, 3 NY3d 46; *Quigley v Thatcher*, 207 NY 66; *Blake v Neighborhood Hous. Servs. of N.Y. City*, 1 NY3d 280; *Ross v Curtis-Palmer Hydro-Elec. Co.*, 81 NY2d 494; *Gordon v Eastern Ry. Supply*, 82 NY2d 555; *Montalvo v J. Petrocelli Constr., Inc.*, 8 AD3d 173; *Bland v Manocherian*, 66 NY2d 452; *Rocovich v Consolidated Edison Co.*, 78 NY2d 509; *Narducci v Manhasset Bay Assoc.*, 96 NY2d 259; *Kelleher v Power Auth. of State of N.Y.*, 211 AD2d 918.) II. Defendants' violation of Labor Law § 240 (1) was the proximate cause of plaintiff's injury. (*Zimmer v Chemung County Performing Arts*, 65 NY2d 513; *Bland v Manocherian*, 66 NY2d 452; *Weininger v Hagedorn & Co.*, 91 NY2d 958; *Blake v Neighborhood Hous. Servs. of N.Y. City*, 1 NY3d 280; *Cahill v Triborough Bridge & Tunnel Auth.*, 4 NY3d 35; *Montgomery v Federal Express Corp.*, 4 NY3d 805.)

Costello, Cooney & Fearon, PLLC, Syracuse (Daniel P. Fletcher and Nicole M. Marlow of counsel), for third-party defendant-respondent. I. Plaintiff's Labor Law § 240 (1) claim was properly dismissed because the core objective of the statute was satisfied where plaintiff did not fall from or at a height. (*Blake v Neighborhood Hous. Servs. of N.Y. City*, 1 NY3d 280; *Bland v Manocherian*, 66 NY2d 452; *Abbatiello v Lancaster Studio Assoc.*, 3 NY3d 46; *Narducci v Manhasset Bay Assoc.*, 96 NY2d 259; *Striegel v Hillcrest Hgts. Dev. Corp.*, 100 NY2d 974; *Rocovich v Consolidated Edison Co.*, 78 NY2d 509; *Ross v Curtis-Palmer Hydro-Elec. Co.*, 81 NY2d 494; *Toefer v Long Is. R.R.*, 4 NY3d 399; *Nieves v Five Boro A.C. & Refrig. Corp.*, 93 NY2d 914; *Acosta v Bentley Apts.*, 298 AD2d 124.) II. The order of the Appellate Division should be affirmed because plaintiff's conduct in standing on the very top of the ladder was the sole proximate cause of his injuries. (*Zimmer v Chemung County Performing Arts*, 65 NY2d 513, 1054; *Blake v Neighborhood Hous. Servs. of N.Y. City*, 1 NY3d 280; *Duda v Rouse Constr. Corp.*, 32 NY2d 405; *Weininger v Hagedorn & Co.*, 91 NY2d 958, 92 NY2d 875;

Secord v Willow Ridge Stables, 179 Misc 2d 366; *Cahill v Triborough Bridge & Tunnel Auth.*, 4 NY3d 35; *Montgomery v Federal Express Corp.*, 4 NY3d 805; *Meade v Rock-McGraw, Inc.*, 307 AD2d 156; *Makaj v Metropolitan Transp. Auth.*, 18 AD3d 625.)

OPINION OF THE COURT

READ, J.

Plaintiff Douglas W. Robinson, a journeyman plumber, was injured on June 23, 1998 while working for Burns Brothers Contractors, Inc. at the construction site for a new medical condominium complex in Fayetteville, New York. Burns Brothers was a plumbing subcontractor on the project.

Plaintiff arrived at the job site at 7:00 A.M. that day, intending to continue to install pipe hanger systems, a task that he had been carrying out for about two weeks, using a six-foot wooden stepladder. In order to perform this work, plaintiff would cut rods to the desired length; mount the ladder to screw the rods into top beam clamps attached to overhead structural steel beams and tighten the clamps; and subsequently hang pipes from the rods. Burns Brothers stored its six- and eight-foot ladders, as well as other tools and blueprints, in a designated room on the first floor in the garage area at the construction site. Workers also cached ladders overnight at gathering points near their work locations so as to reduce trips to and from the central storage room.

Working alone and using a six-foot ladder, plaintiff installed rods in a hallway until roughly 9:00 A.M. After a 10-minute break some time between 9:00 A.M. and 9:30 A.M., he moved into an office suite where the steel beams were at a height of 12 to 13 feet from the floor, which was higher than in the hallway. Plaintiff, who is five feet, nine inches tall, was standing on the top cap of the six-foot ladder, using a wrench to tighten a clamp with his right hand and holding onto a rod with his left hand. When the wrench slipped, he lost his balance and the ladder moved. He held fast to the rod as he dropped about two feet, caught the tipping ladder under its uppermost step with his left foot and straightened it into an upright position, jerking or “twist[ing] up” his back in the process. Plaintiff descended the ladder, and spent the balance of the workday—from about 10:00 A.M. when the accident occurred until 3:30 P.M.—performing various tasks. He did not immediately seek out his foreman to report what had happened, but rather told him when they later “crossed paths,” perhaps at the noontime lunch break.

According to plaintiff, there was a box of “community tools” set up in front of the building, and he and other workers would congregate at this location at the beginning of the workday. Some time between 7:00 A.M. and 8:00 A.M. on June 23rd, he saw his foreman there and told him “by the way, I’m going to need an 8-foot ladder.” Plaintiff testified that the foreman replied, “I’ll see if I can get you one.” Plaintiff acknowledges that the foreman did not instruct him to finish installing pipe in the office suite before completing other work; that he knew there were eight-foot ladders on the job site and “knew what part of the garage [the eight-foot ladders] were in”; and that, prior to ascending the six-foot ladder in the office suite, he did not look in the garage for an eight-foot ladder, or follow up his request to the foreman, or seek out fellow workers who might have been using an eight-foot ladder to ask for the ladder when they were finished with it, as he had on prior occasions. When asked whether he had ever before gone to his foreman to request ladders or other tools, plaintiff replied “I don’t think I ever asked him for anything. I knew where the tools are located. It’s a practice of help yourself,” and “[y]ou just grab a ladder and do the job.”

On June 21, 2001, plaintiff sued the owner of the medical complex and the general contractor, alleging violations of Labor Law § 240 (1), § 200 (1) and § 241 (6). The owner cross-claimed against the contractor for indemnity; and the contractor brought a third-party action against Burns Brothers for indemnity and/or contribution.

Plaintiff moved for partial summary judgment on liability under Labor Law § 240 (1), arguing that because his foreman did not deliver an eight-foot ladder to him, he “was forced to complete his work with an unsafe six[-]foot ladder.” Plaintiff does not suggest that the six-foot ladder was defective, only that it was not tall enough for the particular task that he was carrying out when he was injured. Defendants opposed plaintiff’s motion and cross-moved for summary judgment on all the Labor Law causes of action. As relevant here, Burns Brothers moved to dismiss the cause of action under Labor Law § 240 (1) exclusively on the ground that plaintiff’s own actions were the sole proximate cause of his accident. Specifically, “[p]laintiff knew he needed a taller ladder” and “there were taller ladders on the job site,” but he “failed . . . to wait for one to be provided and failed to take any steps to secure a taller ladder other than allegedly to ask for one shortly before the accident” and instead, “stood on the top of the six[-]foot step ladder.”

Supreme Court granted plaintiff partial summary judgment on liability under Labor Law § 240 (1), and dismissed his causes of action under Labor Law §§ 200 and 241 (6). The Appellate Division subsequently reversed Supreme Court and dismissed the complaint in its entirety, with two Justices dissenting.* We now affirm.

Where a “plaintiff’s actions [are] the sole proximate cause of his injuries, . . . liability under Labor Law § 240 (1) [does] not attach” (*Weininger v Hagedorn & Co.*, 91 NY2d 958, 960 [1998]; see also *Cahill v Triborough Bridge & Tunnel Auth.*, 4 NY3d 35 [2004]; *Blake v Neighborhood Hous. Servs. of N.Y. City*, 1 NY3d 280 [2003]). Instead, the owner or contractor must breach the statutory duty under section 240 (1) to provide a worker with adequate safety devices, and this breach must proximately cause the worker’s injuries. These prerequisites do not exist if adequate safety devices are available at the job site, but the worker either does not use or misuses them.

In *Montgomery v Federal Express Corp.* (4 NY3d 805 [2005]), the plaintiff and another worker were assigned a task to be performed in an elevator “motor room,” which was located four feet above the roof level of a building. Arriving on the roof, they discovered that the stairs from the roof to the motor room had been removed. Ladders were available at the job site, albeit not in the immediate vicinity. Rather than fetch a ladder, however, the workers climbed to the motor room by standing on an overturned bucket. The plaintiff exited the motor room by jumping to the roof, and injured his knee when he landed. Citing *Blake*, we noted that “since ladders were readily available, plaintiff’s normal and logical response should have been to go get one. Plaintiff’s choice to use a bucket to get up, and then to jump down, was the sole cause of his injury, and he is therefore not entitled to recover under Labor Law § 240 (1)” (*Montgomery*, 4 NY3d at 806 [internal quotation marks omitted]).

Similarly, plaintiff knew that he needed an eight-foot ladder in order to screw the rods into the clamps once he left the hallway and entered the office suite. He acknowledges that there were eight-foot ladders on the job site, that he knew where they were stored, and that he routinely helped himself to whatever

* The majority in the Appellate Division concluded that plaintiff did not fall “from or at a height,” but rather avoided a fall and therefore “did not meet his initial burden of demonstrating his entitlement to recovery under [Labor Law § 240 (1)] as a matter of law” (17 AD3d 1027, 1028 [4th Dept [2005]). We need not and do not reach this issue.

tools he needed rather than requesting them from the foreman. While intimating that all the eight-foot ladders may have been in use at the time of his accident, plaintiff also conceded that his foreman had not directed him to finish the piping in the office suite before undertaking other tasks, and testified that there was sufficient other work to occupy him for the rest of the workday. He also testified that on prior occasions he had waited for a ladder to be freed up by other workers. He claims to have asked his foreman for an eight-foot ladder only an hour or two before he started to install the rods in the office suite. Yet he proceeded to stand on the top cap of a six-foot ladder, which he knew was not tall enough for this task, without talking to the foreman again, or looking for an eight-foot ladder beyond his immediate work location. In short, there were adequate safety devices—eight-foot ladders—available for plaintiff's use at the job site. Plaintiff's own negligent actions—choosing to use a six-foot ladder that he knew was too short for the work to be accomplished and then standing on the ladder's top cap in order to reach the work—were, as a matter of law, the sole proximate cause of his injuries.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT, GRAFFEO and R.S. SMITH concur.

Order affirmed, with costs.

[849 NE2d 258, 816 NYS2d 399]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v MIKEL
WARDLAW, Appellant.

Argued February 14, 2006; decided April 4, 2006

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered April 29, 2005. The Appellate Division affirmed a judgment of the Erie County Court (Michael L. D'Amico, J.), which had convicted defendant, upon a jury verdict, of rape in the first degree, sodomy in the first degree, incest (two counts), sexual abuse in the first degree and endangering the welfare of a child.

People v Wardlaw, 18 AD3d 106, affirmed.

HEADNOTE

Crimes — Harmless and Prejudicial Error — Violation of Right to Counsel at Pretrial Suppression Hearing

Where it was clear, beyond reasonable doubt, that the outcome of the suppression hearing at which the defendant's right to counsel was violated could not have affected the outcome of the trial, the error was harmless. The trial court's error in allowing defendant to proceed pro se at the *Huntley* hearing without making a "searching inquiry" to be sure that defendant knew and understood the perils of being unrepresented, irreparably tainted the suppression hearing. However, the proof of guilt apart from the statements challenged at the hearing, including DNA evidence that defendant's semen was present in the victim, was so overwhelming that suppression of the statements would not have affected the outcome of the trial. The Appellate Division correctly concluded that a new suppression hearing would be a pointless exercise.

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AM JUR 2d, Appellate Review § 232; AM JUR 2d, Criminal
Law §§ 1237–1241, 1246.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:1723,
172:1724, 172:1760, 172:1762.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 11.7.

NY JUR 2d, Criminal Law §§ 762, 795, 1480, 1485.

ANNOTATION REFERENCE

See ALR Index under Attorney or Assistance of Attorney;
Exclusion and Suppression of Evidence; Harmless and Prejudicial Error; Pro Se.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: suppression /2 hearing /s right /3 counsel /p harmless /3 error

POINTS OF COUNSEL

Legal Aid Bureau of Buffalo, Inc., Buffalo (*Mary Good, David C. Schopp* and *Barbara J. Davies* of counsel), for appellant. I. The Appellate Division's determination that appellant was denied his right to counsel under the Sixth Amendment to the United States Constitution and article I, § 6 of the New York Constitution was correct. It is, moreover, not reviewable by this Court since the People are not an appealing party. (*People v Sawyer*, 57 NY2d 12; *People v Slaughter*, 78 NY2d 485; *People v Providence*, 2 NY3d 579; *People v Arroyo*, 98 NY2d 101; *Faretta v California*, 422 US 806; *People v Carracedo*, 89 NY2d 1059; *People v Carpenito*, 80 NY2d 65.) II. The precedents of this Court suggest the appropriateness of a ruling that harmless error analysis should not be applied to pretrial proceedings, particularly pretrial suppression hearings, where there has been a violation of the right to counsel. (*People v Waterman*, 9 NY2d 561; *People v Donovan*, 13 NY2d 148; *People v Hobson*, 39 NY2d 479; *People v P.J. Video*, 68 NY2d 296; *United States v Wade*, 388 US 218; *People v Anderson*, 16 NY2d 282; *People v Hodge*, 53 NY2d 313; *Coleman v Alabama*, 399 US 1; *People v Wicks*, 76 NY2d 128; *People v Felder*, 47 NY2d 287.) III. The appropriate remedy is a new trial. (*People v Slaughter*, 78 NY2d 485; *People v Carracedo*, 89 NY2d 1059; *People v Hilliard*, 73 NY2d 584; *People v Felder*, 47 NY2d 287; *People v Favor*, 82 NY2d 254.) IV. The violation of appellant's state and federal constitutional right to counsel is not harmless beyond a reasonable doubt. (*People v Crimmins*, 36 NY2d 230; *Gideon v Wainwright*, 372 US 335; *Powell v Alabama*, 287 US 45; *People v Slaughter*, 78 NY2d 485.)

Frank J. Clark, District Attorney, Buffalo (*Susan C. Ministero* and *J. Michael Marion* of counsel), for respondent. Harmless error analysis applies to the denial of a defendant's right to counsel at a suppression hearing and the error was harmless beyond a reasonable doubt. (*People v Slaughter*, 78 NY2d 485; *People v Providence*, 2 NY3d 579; *People v Arroyo*, 98 NY2d 101; *Faretta v California*, 422 US 806; *People v McIntyre*, 36 NY2d 10; *People v Vivenzio*, 62 NY2d 775; *People v Settles*, 46 NY2d 154; *People v Crimmins*, 36 NY2d 230; *Chapman v California*, 386 US 18; *United States v Wade*, 388 US 218.)

OPINION OF THE COURT

R.S. SMITH, J.

People v Slaughter (78 NY2d 485 [1991]) and *People v Caracedo* (89 NY2d 1059 [1997]) establish that a violation of a defendant's right to counsel at a suppression hearing ordinarily entitles the defendant to a new suppression hearing, but not to automatic reversal of his conviction and a new trial. We now consider a case in which it is clear, beyond reasonable doubt, that the outcome of the suppression hearing at which the right to counsel was violated could not have affected the outcome of the trial. We hold that, under these circumstances, the error was harmless.

Facts and Procedural History

Defendant, accused of raping his nine-year-old niece, went voluntarily to the police station on the morning after the incident and spoke to two officers. He denied the child's accusation and signed two written statements containing his denials. After he signed the second statement, one of the officers told him that semen had been found in his niece's vagina. Defendant reacted to this information by saying: "I didn't do anything to her. I didn't force her to do anything." The officer asked: "What if the DNA comes back to you?" Defendant answered: "Well, I'd just have to take my punishment."

Defendant was prosecuted for rape, sodomy and several related crimes. He moved to suppress his statements to the police, and a *Huntley* hearing was scheduled. At the hearing, defendant asked to dismiss his lawyer and proceed pro se. In what the People now concede was an error, the trial court allowed him to do so, without making a "searching inquiry" to be sure that defendant knew and understood the perils of being unrepresented (*People v Sawyer*, 57 NY2d 12, 21 [1982]). After the hearing, defendant's motion to suppress his statements was denied.

The trial followed, at which defendant was represented by counsel. The People's witnesses included the victim, who testified to defendant's sexual assault of her; the victim's brother and mother, who testified that she reported the assault immediately; a nurse and a doctor, who testified that when they examined the victim the next day her vagina was red, her hymen appeared to have been widened, and there was semen in her vagina and anus; and a DNA expert, who testified that the semen was defendant's. The People also introduced defendant's statements. Defendant testified and denied any wrongdoing. He

offered no explanation for the presence of his semen in the victim.

Defendant was convicted, and appealed to the Appellate Division. That Court said that the error in allowing defendant to proceed pro se at the *Huntley* hearing “surely invalidated the hearing itself,” but concluded that, because the proof of guilt apart from the statements challenged at the hearing was “truly overwhelming,” suppression of the statements would not have affected the outcome of the trial (18 AD3d 106, 109, 113 [4th Dept 2005]). Finding that a new suppression hearing would be a “pointless exercise,” it held the error to be harmless, and affirmed defendant’s conviction (*id.* at 114). We agree with the Appellate Division’s analysis, and affirm.

Discussion

Under *Slaughter* and *Carracedo*, the normal remedy for a violation of the right to counsel at a suppression hearing is a new suppression hearing, with a new trial to follow if, after the new hearing, the evidence is suppressed. Here, however, it is clear beyond reasonable doubt that any new trial would have the same result, even if defendant’s statements were excluded from evidence. Thus, a new hearing would serve no purpose.

The Appellate Division was right in saying that the violation of defendant’s right to counsel irreparably tainted the suppression hearing, just as a similar violation at trial would have irreparably tainted the trial (*see People v Felder*, 47 NY2d 287, 291 [1979]). When a defendant has wrongly been denied counsel at a particular proceeding, we do not inquire whether the presence of counsel would have changed that proceeding’s result. In this sense, the denial of the right to counsel may not be treated as “harmless.” But the remedy to which a defendant is entitled ordinarily depends on what impact, if any, the tainted proceeding had on the case as a whole. Where it had none, the conviction will be affirmed notwithstanding the error—and in that sense, the harmless error rule does apply. (*Cf. People v Wicks*, 76 NY2d 128, 133 [1990] [“The denial of counsel at a preindictment preliminary hearing . . . does not necessarily invalidate the trial”].)

Slaughter and *Carracedo* both show that a violation of the right to counsel at a suppression hearing does not require reversal of a conviction if it did not affect the trial. In *Slaughter*, we held that an error in permitting a defendant to proceed pro se at a suppression hearing “was not harmless” (78 NY2d

at 493), but we did not nullify his conviction; we remitted the case for a new suppression hearing, ordering a new trial only “in the event that defendant prevails” in the new hearing (*id.*). Similarly, in *Carracedo* the Appellate Division had found a violation of the right to counsel at a suppression hearing and remanded for a new hearing. The new hearing was held, and the evidence was not suppressed; we held that defendant’s original conviction could stand (89 NY2d at 1061). Since *Slaughter* and *Carracedo* hold that an error that taints a hearing may be shown, after a new hearing, to have done no harm to the trial, the dissent is incorrect in saying that we have “never before today” applied harmless error analysis in a deprivation of counsel case (dissenting op at 562).

This case differs from *Slaughter* and *Carracedo* only in that no new hearing is necessary to prove that the flaw in the original hearing did not prejudice defendant at trial, and so was harmless. We assume, for purposes of our analysis, that if defendant had had a lawyer at the hearing he would have prevailed, and his statements would have been suppressed. In that event, the prosecution would still have had the victim’s testimony, the testimony about her prompt complaint, the medical evidence and the DNA evidence. But for the last of these, we might reach a different result, for defendant’s statements, though not confessions, are significant evidence of his guilt; but that guilt was proved conclusively anyway by the DNA. When a man’s semen is found in a nine-year-old girl’s vagina, the evidence that he raped her is, as the Appellate Division said, “truly overwhelming” (18 AD3d at 113). Defendant has not offered, either to the jury or to us, any theory that casts any doubt on his guilt. We therefore conclude that the error committed at the suppression hearing was harmless beyond a reasonable doubt (*Chapman v California*, 386 US 18, 24 [1967]; *People v Crimmins*, 36 NY2d 230, 237 [1975]).

We add a word of caution: Our holding does not imply that the harmless error rule can always be applied where the right to counsel has been violated. Special cases may call for special remedies. Thus in *People v Hilliard* (73 NY2d 584 [1989]), a judge had ordered the defendant’s counsel to have no contact with him for 30 days after his arraignment. This violation of the defendant’s right did not, as far as the *Hilliard* opinion shows, contribute to his conviction; presumably, the defendant had an opportunity to consult with counsel after the 30 days expired. Without inquiring into this question, we reversed the

defendant's conviction and ordered the indictment dismissed. *Hilliard* shows that, where a deprivation of the right to counsel was egregious, and where to leave it unremedied might invite future abuse, appellate courts may grant relief even though the defendant was not prejudiced by the error.

But we are not prepared to hold, as our dissenting colleagues apparently would, that every pretrial violation of the right to counsel, even if it did not affect the outcome of the case, must have some remedy. The right to counsel is indeed very important. But even deprivations of important constitutional rights do not require a remedy when it is clear beyond reasonable doubt that they did not contribute to a conviction (*People v Crimmins*, 36 NY2d at 237). There are rare exceptions, when a defendant has been denied "his fundamental right to a fair trial" (*id.* at 238), but a violation of the right to counsel at a pretrial hearing is not among them, as *Slaughter*, *Carracedo* and *Wicks* demonstrate.

The harmless error rule serves important interests. In this case, it serves the interest of a child who was raped, by protecting her against the risk of having to testify at a second trial, where her attacker's guilt was amply proved at the first one. And it serves the interests of society in punishing heinous crimes like this one with as much efficiency and promptness as possible without unfairness to defendants. There is no unfairness to this defendant, for he is entitled to no better result than the best he could have obtained if he had been represented by counsel at the *Huntley* hearing. Since that result—suppression of his statements to the police—could not have prevented defendant's conviction, the conviction stands.

Accordingly, the order of the Appellate Division should be affirmed.

CIPARICK, J. (dissenting). It is a sad day when the Court of Appeals deviates from its heretofore robust protection of the right to counsel as conceived under the State's Constitution solely because of the proof of guilt and the heinousness of the crimes alleged. Contrary to our jurisprudence, the majority has focused on indicia of "overwhelming" evidence of guilt in order to apply harmless error when a defendant was deprived of the right to counsel at a critical stage of the proceeding—a pretrial suppression hearing.

A defendant has a constitutionally protected right to counsel

at a pretrial suppression hearing equal to that at trial (*see Coleman v Alabama*, 399 US 1, 9-10 [1970]; *see also People v Anderson*, 16 NY2d 282, 287-288 [1965]). Deprivation of that right was never before today subject to a harmless error analysis in this state (*see People v Hilliard*, 73 NY2d 584, 587 [1989]).* Indeed, this Court's long-established jurisprudence has repeatedly recognized the fundamental importance of legal representation to protect the balance between an accused and the prosecutorial power of the State. Were the defendant deprived of counsel at trial itself, however overwhelming the proof of guilt—DNA evidence, confession, eyewitnesses—surely no one would argue that he was not entitled to a new trial. This is not because a new trial is necessary to establish guilt, but rather because the courts must protect the fairness and integrity of our criminal justice system.

Judges ROSENBLATT, GRAFFEO and READ concur with Judge R.S. SMITH; Judge CIPARICK dissents in a separate opinion in which Chief Judge KAYE and Judge G.B. SMITH concur.

Order affirmed.

* Contrary to the majority opinion, neither *People v Slaughter* (78 NY2d 485 [1991]) nor *People v Carracedo* (89 NY2d 1059 [1997]) hold otherwise. In *Slaughter*, we explicitly refrained from deciding whether harmless error analysis applies to deprivation of counsel at a suppression hearing (*see* 78 NY2d at 492 ["Assuming, without deciding, that harmless error analysis applies here, we hold that defendant's ineffective waiver of counsel was not harmless" (citation omitted)]). Likewise, our opinion in *Carracedo* does not discuss the subject of harmless error, but instead focuses on the proper remedy for a deprivation of counsel violation.

[848 NE2d 448, 815 NYS2d 1]

In the Matter of PATROLMEN'S BENEVOLENT ASSOCIATION OF THE
CITY OF NEW YORK, INC., Appellant, v NEW YORK STATE
PUBLIC EMPLOYMENT RELATIONS BOARD et al., Respondents.

In the Matter of TOWN OF ORANGETOWN et al., Respondents, v
ORANGETOWN POLICEMEN'S BENEVOLENT ASSOCIATION et al.,
Appellants.

Argued February 8, 2006; decided March 28, 2006

SUMMARY

APPEAL, in the first above-entitled proceeding, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered December 16, 2004. The Appellate Division affirmed a judgment of the Supreme Court, Albany County (Edward A. Sheridan, J.), which had dismissed the petition, in a proceeding pursuant to CPLR article 78, to review so much of a determination of respondent Public Employment Relations Board as found that certain proposed contract terms were not mandatory subjects of collective bargaining.

APPEAL, in the second above-entitled proceeding, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered May 31, 2005. The Appellate Division (1) affirmed a judgment of the Supreme Court, Rockland County (William E. Sherwood, J.), which had (a) granted the petition in a proceeding pursuant to CPLR article 75 to permanently stay arbitration of an employee disciplinary dispute and (b) permanently stayed the arbitration, and (2) dismissed an appeal from so much of an order of that Supreme Court as had denied respondents' cross motion to dismiss the petition upon the ground that the order was subsumed in the judgment.

Matter of Patrolmen's Benevolent Assn. of City of N.Y., Inc. v New York State Pub. Empl. Relations Bd., 13 AD3d 879, affirmed.

Matter of Town of Orangetown v Orangetown Policemen's Benevolent Assn., 18 AD3d 879, modified.

HEADNOTE

Civil Service — Public Employees' Fair Employment Act — Collective Bargaining — Discipline of Police

Police discipline may not be a subject of collective bargaining under the Taylor Law (Civil Service Law art 14) when the Legislature has expressly

committed disciplinary authority over a police department to local officials. In general, the procedures for disciplining public employees, including police officers, are governed by Civil Service Law §§ 75 and 76, which provide for a hearing and an appeal. Where Civil Service Law §§ 75 and 76 apply, police discipline may be the subject of collective bargaining. However, Civil Service Law § 76 (4) provides that sections 75 and 76 shall not “be construed to repeal or modify” preexisting laws, and among the laws thus grandfathered are several that provide expressly for the control of police discipline by local officials in certain communities, as in the municipalities involved here (*see* New York City Charter § 434 [a]; Administrative Code of City of NY § 14-115 [a]; L 1936, ch 526, § 7 [Rockland County Police Act]).

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AM JUR 2d, Civil Service §§ 73, 88; AM JUR 2d, Labor and Labor Relations § 3027; AM JUR 2d, Municipal Corporations, Counties, and Other Political Subdivisions §§ 264, 269.
 MCKINNEY'S, Civil Service Law art 14; §§ 75, 76 (4).
 NY JUR 2d, Civil Servants and Other Public Officers and Employees §§ 449, 451, 510, 511.

ANNOTATION REFERENCE

See ALR Index under Civil Service; Collective Bargaining; Discipline and Disciplinary Actions; Municipal Corporations; Police and Law Enforcement Officers.

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Database: NY-ORCS

Query: police /4 disciplin! /s collective /2 bargaining

POINTS OF COUNSEL

Kaye Scholer LLP, New York City (*Peter M. Fishbein, Jay W. Waks, John D. Geelan and Christine A. Neagle* of counsel), *Gleason, Dunn, Walsh & O'Shea*, Albany (*Ronald G. Dunn* of counsel), and *Office of the Patrolmen's Benevolent Association of City of New York, Inc. General Counsel*, New York City (*Michael T. Murray* of counsel), for appellant in the first above-entitled proceeding. I. The Taylor Law mandates that the City of New York must bargain over discipline. (*Parker v Borock*, 5 NY2d 156; *Matter of Uniform Firefighters of Cohoes, Local 2562, IAFF, AFL-CIO v Cuevas*, 276 AD2d 184; *Board of Educ. of Union Free School Dist. No. 3 of Town of Huntington v Associated Teachers of Huntington*, 30 NY2d 122; *Matter of Board of Educ. of City School Dist. of City of N.Y. v New York State Pub. Empl.*

Relations Bd., 75 NY2d 660.) II. There is no legislation that meets the rigorous and exacting standard necessary to convert discipline from a mandatory to a prohibited subject of bargaining. (*Binghamton Civ. Serv. Forum v City of Binghamton*, 44 NY2d 23; *Matter of Newark Val. Cent. School Dist. v Public Empl. Relations Bd.*, 83 NY2d 315; *Matter of City of Watertown v State of N.Y. Pub. Empl. Relations Bd.*, 95 NY2d 73; *Meringolo v Jacobson*, 256 AD2d 20; *Matter of Auburn Police Local 195, Council 82, Am. Fedn. of State, County & Mun. Empls., AFL-CIO v Helsby*, 62 AD2d 12, 46 NY2d 1034; *Matter of Board of Educ. of City School Dist. of City of N.Y. v New York State Pub. Empl. Relations Bd.*, 75 NY2d 660; *Board of Educ. of Union Free School Dist. No. 3 of Town of Huntington v Associated Teachers of Huntington*, 30 NY2d 122; *Matter of Astwood v Cohen*, 291 NY 484; *Procaccino v Board of Elections of City of N.Y.*, 73 Misc 2d 462; *Elliott v City of New York*, 95 NY2d 730.) III. New York City Charter § 434 and Administrative Code of the City of New York § 14-115 do not prohibit collective bargaining over discipline under the rigorous *Matter of City of Watertown v State of N.Y. Pub. Empl. Relations Bd.* (95 NY2d 73 [2000]) standard. (*Matter of Board of Educ. of City School Dist. of City of N.Y. v New York State Pub. Empl. Relations Bd.*, 75 NY2d 660; *Board of Educ. of Union Free School Dist. No. 3 of Town of Huntington v Associated Teachers of Huntington*, 30 NY2d 122; *Matter of City of New York v Lieutenants Benevolent Assn.*, 285 AD2d 329; *Matter of Town of Carmel v Public Empl. Relations Bd. of State of N.Y.*, 246 AD2d 791; *Matter of State of N.Y. [Div. of Military & Nav. Affairs] v New York State Pub. Empl. Relations Bd.*, 187 AD2d 78.) IV. Even if New York City Charter § 434 and Administrative Code of the City of New York § 14-115 could meet the *Matter of City of Watertown v State of N.Y. Pub. Empl. Relations Bd.* (95 NY2d 73 [2000]) standard, at most they preclude bargaining over the Police Commissioner's ultimate disciplinary determination, not over disciplinary procedures. (*Matter of City of Syracuse v Public Empl. Relations Bd.*, 279 AD2d 98.)

Sandra M. Nathan, Albany, and *William L. Busler* for New York State Public Employment Relations Board, respondent in the first above-entitled proceeding. The Court of Appeals should clarify whether or not the Patrolmen's Benevolent Association of the City of New York, Inc.'s collective bargaining demands involving the discipline of police officers employed by respondent City of New York are prohibited subjects of bargaining and, therefore, whether or not they are properly submitted to

interest arbitration. (*Matter of City of Mount Vernon v Cuevas*, 289 AD2d 674; *Matter of Town of Greenburgh [Police Assn. of Town of Greenburgh]*, 94 AD2d 771, 60 NY2d 551; *Matter of City of New York v MacDonald*, 201 AD2d 258, 83 NY2d 759; *Matter of Board of Educ. of City School Dist. of City of N.Y. v New York State Pub. Empl. Relations Bd.*, 75 NY2d 660; *Matter of Rockland County Patrolmen's Benevolent Assn. v Town of Clarkstown*, 149 AD2d 516; *Matter of Lynch v Giuliani*, 301 AD2d 351; *Syracuse Teachers Assn. v Board of Educ.*, *Syracuse City School Dist.*, 35 NY2d 743; *Matter of West Irondequoit Teachers Assn. v Helsby*, 35 NY2d 46; *Board of Educ. of Union Free School Dist. No. 3 of Town of Huntington v Associated Teachers of Huntington*, 30 NY2d 122; *Matter of Union Free School Dist. No. 2 of Town of Cheektowaga v Nyquist*, 38 NY2d 137.)

Michael A. Cardozo, *Corporation Counsel*, New York City (*Edward F.X. Hart*, *Leonard Koerner* and *Spencer Fisher* of counsel), for City of New York, respondent in the first above-entitled proceeding. The Appellate Division, Third Department, properly affirmed the judgment of the Supreme Court, which confirmed the Public Employment Relations Board's (PERB) determination that five Patrolmen's Benevolent Association of the City of New York, Inc. proposals involving police discipline are prohibited subjects of collective bargaining because the New York City Charter and Administrative Code of the City of New York have charged the Police Commissioner with exclusive discretion in implementation and imposition of police discipline. PERB's decision was rationally based and neither arbitrary nor capricious. (*Matter of Civil Serv. Empls. Assn., Local 1000, AFSCME, AFL-CIO, Ichabod Crane Cent. School Dist. CSEA Unit v New York State Pub. Empl. Relations Bd.*, 300 AD2d 929; *Matter of Benson v Cuevas*, 272 AD2d 764; *Matter of Schenectady Police Benevolent Assn. v New York State Pub. Empl. Relations Bd.*, 85 NY2d 480; *Matter of Board of Educ. of City School Dist. of City of N.Y. v New York State Pub. Empl. Relations Bd.*, 75 NY2d 660; *Matter of Webster Cent. School Dist. v Public Empl. Relations Bd. of State of N.Y.*, 75 NY2d 619; *Matter of City of Mount Vernon v Cuevas*, 289 AD2d 674, 97 NY2d 613; *Matter of West Irondequoit Teachers Assn. v Helsby*, 35 NY2d 46; *Matter of City of Watertown v State of N.Y. Pub. Empl. Relations Bd.*, 95 NY2d 73; *Matter of Incorporated Vil. of Lynbrook v New York State Pub. Empl. Relations Bd.*, 48 NY2d 398; *Matter of City of New York v MacDonald*, 201 AD2d 258, 83 NY2d 759.)

Donna M.C. Giliberto, Albany, for New York State Conference

of Mayors and Municipal Officials, amicus curiae in the first above-entitled proceeding. I. Terms and conditions of employment in New York's public sector differ from those in the private sector. II. The establishment of public sector bargaining rights created a tension with preexisting statutory or charter provisions addressing terms and conditions of employment. (*Board of Educ. of Union Free School Dist. No. 3 of Town of Huntington v Associated Teachers of Huntington*, 30 NY2d 122.) III. Resolving whether bargaining over an alternative to a statutory or municipal charter disciplinary provision should be required is a function of the State Legislature. (*Alweis v Evans*, 69 NY2d 199; *Iazzetti v City of New York*, 94 NY2d 183; *Matter of Auburn Police Local 195, Council 82, Am. Fedn. of State, County & Mun. Empls., AFL-CIO v Helsby*, 46 NY2d 1034.)

Patterson, Belknap, Webb & Tyler, LLP, New York City (*Anthony P. Coles* and *Walter M. Luers* of counsel), for Sergeants Benevolent Association of the City of New York, amicus curiae in the first above-entitled proceeding. I. New York City Charter § 434 and Administrative Code of the City of New York § 14-115 are not general laws. (*DJL Rest. Corp. v City of New York*, 96 NY2d 91; *City of Amsterdam v Helsby*, 37 NY2d 19; *Matter of Doyle v City of Troy*, 51 AD2d 845.) II. New York City Charter § 434 is a local law. (*Procaccino v Board of Elections of City of N.Y.*, 73 Misc 2d 462.) III. Administrative Code of the City of New York § 14-115 is a local law. IV. Because local laws that are inconsistent with the Taylor Law cannot stand, New York City Charter § 434 and Administrative Code of the City of New York § 14-115 are invalid. (*Matter of Doyle v City of Troy*, 51 AD2d 845; *DJL Rest. Corp. v City of New York*, 96 NY2d 91; *Davis Constr. Corp. v County of Suffolk*, 95 AD2d 819; *Cliff v Blydenberg*, 173 Misc 2d 366.) V. If New York City Charter § 434 and Administrative Code of the City of New York § 14-115 are special state laws, they are abrogated by the Taylor Law. (*Ling Ling Yung v County of Nassau*, 77 NY2d 568.)

Certilman Balin Adler & Hyman, LLP, East Meadow (*Wayne J. Schaefer* and *Michael C. Axelrod* of counsel), for Police Benevolent Association of the New York State Troopers, Inc. and another, amici curiae in the first above-entitled proceeding. I. The history of Civil Service Law § 76 (4) does not support an inference that the State Legislature, in addition to deciding not to replace general, special or local law or charter provisions with Civil Service Law disciplinary procedures, also intended to prohibit collective bargaining wherever such provisions are

found. (*Matter of City of Albany v Helsby*, 56 AD2d 976; *Matter of City of Watertown v State of N.Y. Pub. Empl. Relations Bd.*, 95 NY2d 73; *Board of Educ. of Union Free School Dist. No. 3 of Town of Huntington v Associated Teachers of Huntington*, 30 NY2d 122; *Syracuse Teachers Assn. v Board of Educ.*, *Syracuse City School Dist.*, 35 NY2d 743; *Matter of Board of Educ. of City School Dist. of City of N.Y. v New York State Pub. Empl. Relations Bd.*, 75 NY2d 660; *Matter of City of Schenectady v New York State Pub. Empl. Relations Bd.*, 135 Misc 2d 1088, 132 AD2d 242, 71 NY2d 803; *Matter of Montella v Bratton*, 93 NY2d 424; *Matter of Lynch v Giuliani*, 301 AD2d 351; *City of New York v MacDonald*, 201 AD2d 258; *Matter of Town of Greenburgh [Police Assn. of Town of Greenburgh]*, 94 AD2d 771, 60 NY2d 551.)

Bunyan & Baumgartner, LLP, Blauvelt (Joseph P. Baumgartner and Richard P. Bunyan of counsel), for appellants in the second above-entitled proceeding. I. The decision of the Appellate Division directly conflicts with prior decisions of this Court with respect to permissive and prohibited subjects of negotiations. (*Matter of Board of Educ. of City School Dist. of City of N.Y. v New York State Pub. Empl. Relations Bd.*, 75 NY2d 660; *Board of Educ. of Union Free School Dist. No. 3 of Town of Huntington v Associated Teachers of Huntington*, 30 NY2d 122; *Matter of City of Watertown v State of N.Y. Pub. Empl. Relations Bd.*, 95 NY2d 73; *Matter of Rockland County Patrolmen's Benevolent Assn. v Town of Clarkstown*, 149 AD2d 516; *Matter of Incorporated Vil. of Lynbrook v New York State Pub. Empl. Relations Bd.*, 48 NY2d 398.) II. Civil Service Law § 76 (4) does not prohibit bargaining alternatives to disciplinary procedures contained in special police acts. (*Matter of Town of Greenburgh [Police Assn. of Town of Greenburgh]*, 94 AD2d 771, 60 NY2d 551; *Matter of Rockland County Patrolmen's Benevolent Assn. v Town of Clarkstown*, 149 AD2d 516; *Matter of City of New York v MacDonald*, 201 AD2d 258, 83 NY2d 759; *Matter of City of Mount Vernon v Cuevas*, 289 AD2d 674, 97 NY2d 613; *Matter of Auburn Police Local 195, Council 82, Am. Fedn. of State, County & Mun. Empls.*, *AFL-CIO v Helsby*, 62 AD2d 12, 46 NY2d 1034; *Matter of City of Watertown v State of N.Y. Pub. Empl. Relations Bd.*, 95 NY2d 73; *Board of Educ. of Union Free School Dist. No. 3 of Town of Huntington v Associated Teachers of Huntington*, 30 NY2d 122; *Baker v Cawley*, 459 F Supp 1301, 607 F2d 994; *Matter of Coscette v Town of Wallkill*, 281 AD2d 479, 97 NY2d 602; *Meringolo v Jacobson*, 256 AD2d 20, 93 NY2d 948.) III. Even if Civil Service Law § 76 is relevant, it does not prohibit

negotiation of the disciplinary procedure contained in the collective bargaining agreement. (*Matter of City of Mount Vernon v Cuevas*, 289 AD2d 674; *Matter of City of New York v MacDonald*, 201 AD2d 258; *Matter of Montella v Bratton*, 93 NY2d 424.) IV. Assuming, arguendo, that article 15 of the collective bargaining agreement (CBA) is not enforceable as part of the CBA, it is still enforceable as a town resolution. (*Matter of Moran v LaGuardia*, 270 NY 450; *JEM Realty Co. v Town Bd. of Town of Southold*, 297 AD2d 278.)

Keane & Beane, P.C., White Plains (*Lance H. Klein* and *Edward J. Phillips* of counsel), for respondents in the second above-entitled proceeding. I. The area of police officer discipline is not subject to collective bargaining in Rockland County. (*Matter of Schenectady Police Benevolent Assn. v New York State Pub. Empl. Relations Bd.*, 85 NY2d 480; *Binghamton Civ. Serv. Forum v City of Binghamton*, 44 NY2d 23; *Matter of City of Wadertown v State of N.Y. Pub. Empl. Relations Bd.*, 95 NY2d 73; *Matter of Board of Educ. of City School Dist. of City of N.Y. v New York State Pub. Empl. Relations Bd.*, 75 NY2d 660; *Matter of Union Free School Dist. No. 2 of Town of Cheektowaga v Nyquist*, 38 NY2d 137; *Matter of Town of Mamaroneck PBA v New York State Pub. Empl. Relations Bd.*, 66 NY2d 722; *Matter of Cohoes City School Dist. v Cohoes Teachers Assn.*, 40 NY2d 774; *Matter of Port Jefferson Sta. Teachers Assn. v Brookhaven-Comsewogue Union Free School Dist.*, 45 NY2d 898; *People ex rel. Masterson v French*, 110 NY 494; *Matter of Roge v Valentine*, 280 NY 268.) II. Collective bargaining agreement article 15 is void as a matter of law. (*JEM Realty Co. v Town Bd. of Town of Southold*, 297 AD2d 278, 99 NY2d 504; *Matter of Union Free School Dist. No. 2 of Town of Cheektowaga v Nyquist*, 38 NY2d 137; *Matter of Cohoes City School Dist. v Cohoes Teachers Assn.*, 40 NY2d 774; *Matter of Rockland County Patrolmen's Benevolent Assn. v Town of Clarkstown*, 149 AD2d 516; *Matter of Town of Greenburgh [Police Assn. of Town of Greenburgh]*, 94 AD2d 771; *Philipstown Indus. Park v Town Bd. of Town of Philipstown*, 247 AD2d 525; *Matter of Llana v Town of Pittstown*, 245 AD2d 968, 91 NY2d 812.)

Donna M.C. Giliberto, Albany, for New York State Conference of Mayors and Municipal Officials, amicus curiae in the second above-entitled proceeding. I. Terms and conditions of employment in New York's public sector differ from those in the private sector. II. The establishment of public sector bargaining rights created a tension with preexisting statutory or charter provi-

sions addressing terms and conditions of employment. (*Board of Educ. of Union Free School Dist. No. 3 of Town of Huntington v Associated Teachers of Huntington*, 30 NY2d 122.) III. Whether bargaining over an alternative to a statutory or municipal charter disciplinary provision should be required is a function of the State Legislature. (*Alweis v Evans*, 69 NY2d 199; *Iazzetti v City of New York*, 94 NY2d 183; *Matter of Auburn Police Local 195, Council 82, Am. Fedn. of State, County & Mun. Empls., AFL-CIO v Helsby*, 46 NY2d 1034.)

OPINION OF THE COURT

R.S. SMITH, J.

We hold that police discipline may not be a subject of collective bargaining under the Taylor Law when the Legislature has expressly committed disciplinary authority over a police department to local officials.

Facts and Procedural History

Matter of Patrolmen's Benevolent Assn. of City of N.Y., Inc. v New York State Pub. Empl. Relations Bd.

The Patrolmen's Benevolent Association of the City of New York (NYCPBA) seeks to annul a decision by the Public Employment Relations Board (PERB) that the City need not bargain with the NYCPBA over five subjects, even though those subjects had been dealt with in an expired collective bargaining agreement. The expired agreement had provided: (1) that police officers being questioned in a departmental investigation would have up to four hours to confer with counsel; (2) that certain guidelines for interrogation of police officers would remain unchanged; (3) that a "joint subcommittee" would "develop procedures" to assure the timely resolution of disciplinary charges; (4) that a pilot program would be established to refer disciplinary matters to an agency outside the police department; and (5) that employees charged but not found guilty could petition to have the records of disciplinary proceedings expunged. PERB found that all these provisions concerned "prohibited subjects of bargaining."

Supreme Court upheld PERB's decision on the ground that the New York City Charter and Administrative Code, as interpreted in *Matter of City of New York v MacDonald* (201 AD2d 258, 259 [1st Dept 1994]), required that the discipline of New York City police officers be left to the discretion of the Police Commissioner. The Appellate Division affirmed, as do we.

Matter of Town of Orangetown v Orangetown Policemen's Benevolent Assn.

The Town of Orangetown and its Town Board brought this proceeding against the Orangetown Policemen's Benevolent Association (Orangetown PBA) and a police officer, seeking to stay arbitration of a dispute between the Town and the officer over a disciplinary issue. The Orangetown PBA and the officer had sought arbitration pursuant to article 15 of the collective bargaining agreement between the Town and the union, which prescribed detailed procedures, culminating in an arbitration, for any "dispute concerning the discipline or discharge" of an Orangetown police officer. Supreme Court granted the application to stay arbitration. Relying on *Matter of Rockland County Patrolmen's Benevolent Assn. v Town of Clarkstown* (149 AD2d 516 [2d Dept 1989]) and *Matter of Town of Greenburgh (Police Assn. of Town of Greenburgh)* (94 AD2d 771, 772 [2d Dept 1983]), Supreme Court held that article 15 is invalid under the Rockland County Police Act, because that act commits police discipline to the discretion of local authorities. The Appellate Division affirmed.

The specific issue that gave rise to this case is now moot, because the Town and the officer have settled their differences, but the Town and the Orangetown PBA continue to disagree about article 15's validity, and both sides have asked us to decide that question. We therefore convert the proceeding to a declaratory judgment action and declare that, as the courts below held, article 15 is invalid.

Discussion

We confront, not for the first time, a tension between the "strong and sweeping policy of the State to support collective bargaining under the Taylor Law" (*Matter of Cohoes City School Dist. v Cohoes Teachers Assn.*, 40 NY2d 774, 778 [1976]) and a competing policy—here, the policy favoring strong disciplinary authority for those in charge of police forces. We have held that the policy of the Taylor Law prevails, and collective bargaining is required, where no legislation specifically commits police discipline to the discretion of local officials (*Matter of Auburn Police Local 195, Council 82, Am. Fedn. of State, County & Mun. Empls., AFL-CIO v Helsby*, 46 NY2d 1034 [1979], *affg for reasons stated below* 62 AD2d 12 [3d Dept 1978]). Since *Auburn* was decided, however, the First, Second and Third departments of the Appellate Division have held that, where such legislation

is in force, the policy favoring control over the police prevails, and collective bargaining over disciplinary matters is prohibited (*MacDonald*, 201 AD2d at 259; *Rockland County Patrolmen's Benevolent Assn.*, 149 AD2d at 517; *Town of Greenburgh*, 94 AD2d at 771-772; *Matter of City of Mount Vernon v Cuevas*, 289 AD2d 674, 675-676 [3d Dept 2001]). We decide today that these Appellate Division holdings were correct.

The Taylor Law (Civil Service Law art 14) requires collective bargaining over all "terms and conditions of employment":

"Where an employee organization has been certified or recognized . . . the appropriate public employer shall be, and hereby is, required to negotiate collectively with such employee organization in the determination of, and administration of grievances arising under, the terms and conditions of employment of the public employees" (Civil Service Law § 204 [2]).

We have often stressed the importance of this policy, and have made clear that "the presumption . . . that all terms and conditions of employment are subject to mandatory bargaining" cannot easily be overcome (*Matter of City of Watertown v State of N.Y. Pub. Empl. Relations Bd.*, 95 NY2d 73, 79 [2000]; see also, e.g., *Matter of Board of Educ. of City School Dist. of City of N.Y. v New York State Pub. Empl. Relations Bd.*, 75 NY2d 660, 667-668 [1990]; *Board of Educ. of Union Free School Dist. No. 3 of Town of Huntington v Associated Teachers of Huntington*, 30 NY2d 122, 129 [1972]).

On the other hand, we have held that some subjects are excluded from collective bargaining as a matter of policy, even where no statute explicitly says so. Thus, we have held that local boards of education may not surrender, in collective bargaining agreements, their ultimate responsibility for deciding on teacher tenure (*Cohoes*, 40 NY2d at 778), or their right to inspect teachers' personnel files (*Board of Educ., Great Neck Union Free School Dist. v Areman*, 41 NY2d 527 [1977]). We have held that a police department may not be required to bargain over the imposition of certain requirements on officers receiving benefits following injuries in the line of duty (*Matter of Schenectady Police Benevolent Assn. v New York State Pub. Empl. Relations Bd.*, 85 NY2d 480, 483 [1995]), and that a city may not surrender, in collective bargaining, its statutory right to choose among police officers seeking promotion (*Matter of Buffalo Police Benevolent Assn. [City of Buffalo]*, 4 NY3d 660

[2005]). And we have held that public policy bars enforcement of a provision in a collective bargaining agreement that would limit the power of the New York City Department of Investigation to interrogate city employees in a criminal investigation (*Matter of City of New York v Uniformed Fire Officers Assn., Local 854, IAFF, AFL-CIO*, 95 NY2d 273 [2000]).

In none of these cases did a statute exclude a subject from collective bargaining in so many words. In each case, however, we found a public policy strong enough to warrant such an exclusion. As we explained in *Cohoes*, the scope of collective bargaining may be limited by “‘plain and clear, rather than express, prohibitions in the statute or decisional law’” or “‘in some instances[,] by ‘[p]ublic policy . . . whether explicit or implicit in statute or decisional law, or in neither’” (40 NY2d at 778, quoting *Syracuse Teachers Assn. v Board of Educ., Syracuse City School Dist.*, 35 NY2d 743, 744 [1974], and *Matter of Susquehanna Val. Cent. School Dist. at Conklin [Susquehanna Val. Teachers’ Assn.]*, 37 NY2d 614, 616-617 [1975]).

Is there a public policy strong enough to justify excluding police discipline from collective bargaining? It might be thought this question could be answered yes or no, but the relevant statutes and case law are not so simple. In general, the procedures for disciplining public employees, including police officers, are governed by Civil Service Law §§ 75 and 76, which provide for a hearing and an appeal. In *Auburn*, a case involving police discipline, the Appellate Division rejected the argument that these statutes should be interpreted to prohibit collective bargaining agreements “that would supplement, modify or replace” their provisions (62 AD2d at 15), and we adopted the Appellate Division’s opinion (46 NY2d at 1035-1036). Thus, where Civil Service Law §§ 75 and 76 apply, police discipline may be the subject of collective bargaining.

But Civil Service Law § 76 (4) says that sections 75 and 76 shall not “be construed to repeal or modify” preexisting laws, and among the laws thus grandfathered are several that, in contrast to sections 75 and 76, provide expressly for the control of police discipline by local officials in certain communities. Such laws are applicable in the City of New York and in the Town of Orangetown, and are at the center of these two cases.

Section 434 (a) of the New York City Charter provides: “The [police] commissioner shall have cognizance and control of the government, administration, disposition *and discipline* of the

department, and of the police force of the department” (emphasis added). New York City Administrative Code § 14-115 (a) provides that, in cases of police misconduct: “The commissioner shall have power, in his or her discretion, . . . to punish the offending party.” Though these two provisions are now New York City legislation, both were originally enacted as state statutes; the Charter provision was adopted by the State Legislature in 1897 (L 1897, ch 378, enacting NY City Charter § 271), and the Code provision in 1873 (L 1873, ch 335, §§ 41, 55). Thus, they reflect the policy of the State that police discipline in New York City is subject to the Commissioner’s authority.

The Legislature has provided similarly for the discipline of town and village police forces, including those in Rockland County, where Orangetown is located. Section 7 of the Rockland County Police Act (L 1936, ch 526), similar in its wording to more general statutes, Town Law § 155 and Village Law § 8-804, provides in part:

“The town board shall have the power and authority to adopt and make rules and regulations for the examination, hearing, investigation and determination of charges, made or preferred against any member or members of such police department. Except as otherwise provided by law, no member or members of such police department shall be fined, reprimanded, removed or dismissed until written charges shall have been examined, heard and investigated in such manner or by such procedure, practice, examination and investigation as the board, by rules and regulations from time to time, may prescribe.”

Thus, the Legislature has committed police discipline in Orangetown to the “power and authority” of the Orangetown Town Board.

Appellate Division cases—one of which we have referred to favorably—have consistently held that legislation of this kind overcomes the presumption in favor of collective bargaining where police discipline is concerned. Thus, in 1983 the Appellate Division, Second Department held that police discipline in the Town of Greenburgh was not subject to collective bargaining; it distinguished *Auburn* on the ground that discipline in Greenburgh was committed to the authority of the Town Board or Board of Police Commissioners by the Westchester County

Police Act (*Town of Greenburgh*, 94 AD2d at 771-772). In 1989, the same Court reached a similar conclusion under the Rockland County Police Act, one of the laws at issue here (*Rockland County Patrolmen's Benevolent Assn.*, 149 AD2d at 517). In 1994, the Appellate Division, First Department held that the other laws at issue here—section 434 of the New York City Charter and section 14-115 of the New York City Administrative Code—excluded police discipline in New York City from collective bargaining. The Court held that the legislation “discloses a legislative intent and public policy to leave the disciplining of police officers . . . to the discretion of the Police Commissioner” (*MacDonald*, 201 AD2d at 259). We quoted these words with approval in *Matter of Montella v Bratton* (93 NY2d 424, 430 [1999]) where we held, in a case not involving collective bargaining, that police discipline in New York City is not subject to the procedures prescribed in Civil Service Law §§ 75 and 76. Finally, in 2001, the Appellate Division, Third Department, endorsed the decisions of the First and Second Departments in *Town of Greenburgh*, *Rockland County Patrolmen's Benevolent Assn.* and *MacDonald*, holding that the Charter of the City of Mount Vernon, like the legislation involved in the other Appellate Division cases, removed police disciplinary procedures from the scope of collective bargaining (*Mount Vernon*, 289 AD2d at 675-676).

The NYCPBA and the Orangetown PBA argue that this line of Appellate Division cases is wrong. In this they are supported by PERB, which, although it is bound by and has followed the Appellate Division decisions, now urges us to reject them. This is not a case, however, in which we defer to PERB's judgment. The primary issue here is not the application of the Taylor Law to particular facts, an area in which PERB is entitled to deference (*Matter of Poughkeepsie Professional Firefighters' Assn., Local 596, IAFF, AFL-CIO-CLC v New York State Pub. Empl. Relations Bd.*, 6 NY3d 514 [2006] [decided today]; *Matter of West Irondequoit Teachers Assn. v Helsby*, 35 NY2d 46, 50-51 [1974]), but the relative weight to be given to competing policies, including those reflected in the New York City Charter, the New York City Administrative Code, and the Rockland County Police Act—legislation not within PERB's area of expertise (see *Schenectady Police Benevolent Assn.*, 85 NY2d at 485). We think the Appellate Division decisions evaluated these policies correctly.

While the Taylor Law policy favoring collective bargaining is a strong one, so is the policy favoring the authority of public of-

officials over the police. As long ago as 1888, we emphasized the quasi-military nature of a police force, and said that “a question pertaining solely to the general government and discipline of the force . . . must, from the nature of things, rest wholly in the discretion of the commissioners” (*People ex rel. Masterson v French*, 110 NY 494, 499 [1888]). This sweeping statement must be qualified today; as *Auburn* demonstrates, the need for authority over police officers will sometimes yield to the claims of collective bargaining. But the public interest in preserving official authority over the police remains powerful. It was the basis for our holding, only last June, that the statutory right of a police commissioner to select “an officer to fill a position important to the safety of the community” may not be surrendered in a collective bargaining agreement (*Buffalo Police Benevolent Assn.*, 4 NY3d at 664). The same policy has determined the result of other cases, including *Matter of Silverman v McGuire* (51 NY2d 228, 231-232 [1980]), where we rejected a resolution of a police disciplinary proceeding negotiated by a subordinate official, in light of “the sensitive nature of the work of the police department and the importance of maintaining both discipline and morale.”

The New York City Charter and Administrative Code, and the Rockland County Police Act, state the policy favoring management authority over police disciplinary matters in clear terms. In New York City, the police commissioner “shall have cognizance and control of the . . . discipline of the department” (NY City Charter § 434 [a]) and “shall have power, in his or her discretion[,] . . . to punish [an] offending party” (Administrative Code of City of NY § 14-115 [a]). In Rockland County, the town board “shall have the power and authority to adopt and make rules and regulations for the examination, hearing, investigation and determination of charges, made or preferred against any member or members of such police department” (Rockland County Police Act § 7). These legislative commands are to be obeyed even where the result is to limit the scope of collective bargaining. The issue is not, as the unions argue, whether these enactments were intended by their authors to create an exception to the Taylor Law; obviously they were not, since they were passed decades before the Taylor Law existed. The issue is whether these enactments express a policy so important that the policy favoring collective bargaining should give way, and we conclude that they do.

Accordingly, in *Matter of Patrolmen’s Benevolent Assn. of City of N.Y., Inc. v New York State Pub. Empl. Relations Bd.*, the or-

der of the Appellate Division should be affirmed, with costs. In *Matter of Town of Orangetown v Orangetown Policemen's Benevolent Assn.*, the proceeding should be converted to a declaratory judgment action, and the order of the Appellate Division modified to declare that article 15 of the collective bargaining agreement is invalid, and the order should otherwise be affirmed, with costs to the Town of Orangetown and the Town Board of the Town of Orangetown.

Judges G.B. SMITH, CIPARICK, ROSENBLATT, GRAFFEO and READ concur; Chief Judge KAYE taking no part.

In *Matter of Patrolmen's Benevolent Assn. of City of N.Y., Inc. v New York State Pub. Empl. Relations Bd.*: Order affirmed, with costs.

In *Matter of Town of Orangetown v Orangetown Policemen's Benevolent Assn.*: Order modified, etc.

[848 NE2d 460, 815 NYS2d 13]

In the Matter of CHARTER DEVELOPMENT COMPANY, L.L.C., Appellant, v CITY OF BUFFALO et al., Respondents.

Argued March 22, 2006; decided May 2, 2006

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered April 29, 2005. The Appellate Division affirmed a judgment (denominated order) of the Supreme Court, Erie County (Kevin M. Dillon, J.), entered in a proceeding pursuant to CPLR article 78 and Real Property Tax Law article 7, which, on respondents' motion to dismiss or for summary judgment, dismissed the petition to annul the denial of petitioner's application for exemption from real property taxes and for a refund of taxes paid.

Matter of Charter Dev. Co., L.L.C. v City of Buffalo, 17 AD3d 1120, affirmed.

HEADNOTE

Taxation — Exemptions — Private Property Leased to Charter School Not Exempt

Petitioner, the owner of real property leased to a charter school, was not entitled to the exemption from taxation for charter schools contained in Education Law § 2853 (1) (d). The statute provides that charter schools are the beneficiaries of the same tax exemptions afforded public schools. The public school exemption applies only to real property or buildings owned by a school district, and not property owned by a private landowner and leased to a public school (see RPTL 408). Although Education Law § 2853 (1) (d) does contain the phrase "property leased by the charter school," that phrase simply further defines the type of property that would be exempt to the same extent as other public schools, and does not create a separate exemption for property owned by other than the charter school.

TOTAL CLIENT-SERVICE LIBRARY® REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Schools § 3; AM JUR 2d, State and Local Taxation §§ 232, 296, 297, 300, 301, 317.

McKINNEY'S, Education Law § 2853 (1) (d); RPTL 408.

NY JUR 2d, Schools, Universities, and Colleges § 629; NY JUR 2d, Taxation and Assessment §§ 86, 110, 188.

NEW YORK REAL PROPERTY SERVICE § 60:20.

ANNOTATION REFERENCE

See ALR Index under Exemptions; Schools and Education; Taxes.

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Database: NY-ORCS

Query: tax /4 exemption & charter /2 school

POINTS OF COUNSEL

Hinman Straub P.C., Albany (James T. Potter and David W. Novak of counsel), for appellant. The denial of petitioner's application for an exemption from taxation was contrary to the plain language of Education Law § 2853 (1) (d) and should be annulled. (*Matter of Voicestream Wireless Corp. v Assessor of City of Troy*, 2 Misc 3d 723; *Matter of Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Tompkins v Hunter*, 149 NY 117; *Matter of Health Ins. Plan of Greater N.Y. v Sullivan*, 57 NY2d 802; *Matter of Trump-Equitable Fifth Ave. Co. v Gliedman*, 57 NY2d 588; *Kahal Bnei Emunim & Talmud Torah Bnei Simon Israel v Town of Fallsburg*, 78 NY2d 194; *Matter of Smathers*, 309 NY 487; *Board of Educ., Hewlett-Woodmere Union Free School Dist. v Board of Assessors of County of Nassau*, 54 AD2d 978, 41 NY2d 805; *Matter of Congregation Machne Chaim v Kwak*, 3 AD3d 708; *Matter of 1605 Book Ctr. v Tax Appeals Trib. of State of N.Y.*, 83 NY2d 240.)

Michael B. Risman, Corporation Counsel, Buffalo (Alan P. Gerstman of counsel), for respondents. I. A tax exemption can be created only by express and unambiguous language. Tax exemption statutes are read in favor of the taxing power. (*Matter of Mobil Oil Corp. v Finance Adm'r of City of N.Y.*, 58 NY2d 95; *Matter of Colt Indus. v New York City Dept. of Fin.*, 66 NY2d 466; *Matter of Grace v New York State Tax Commn.*, 37 NY2d 193; *Matter of D.S. Alamo Assoc. v Commissioner of Fin. of City of N.Y.*, 71 NY2d 340; *Matter of Pelham Masonic Historical Socy. of City Is. v Tax Commn. of City of N.Y.*, 266 AD2d 7; *Matter of Marble Masonic Historical Socy. v Tuckahoe Assessment Review Bd.*, 262 AD2d 487.) II. The plain language of the Education Law provides that charter schools shall have the same tax exemptions as those granted to public schools. (*Doctors Council v New York City Employees' Retirement Sys.*, 71 NY2d 669; *Bender v Jamaica Hosp.*, 40 NY2d 560.) III. Other public schools do not receive the tax exemption claimed by appellant. (*Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451.)

OPINION OF THE COURT

CIPARICK, J.

In 1998, the Legislature enacted the New York Charter Schools Act (L 1998, ch 4), codified in Education Law §§ 2850 to 2857, which authorized “a system of charter schools to provide [educational] opportunities for teachers, parents, and community members” (§ 2850 [2]). Education Law § 2853 (1) (d) provides in pertinent part that “[a] charter school shall be exempt to the same extent as other public schools from all taxation, fees, assessments or special ad valorem levies on its earnings and its property, including property leased by the charter school.” Petitioner asserts that as the owner of real property leased to a charter school it is entitled to the exemption contained in the statute. We disagree.

In 2003, petitioner, Charter Development Company, L.L.C. (CDC), a for-profit Michigan company in the business of acquiring and developing sites for charter schools, acquired certain property in the City of Buffalo, developed it, and leased it to an affiliated corporation, which in turn subleased to Buffalo United Charter School. The sublease was for the period from July 1, 2003 to June 30, 2004 with a right of renewal for subsequent one-year terms, and required Buffalo United Charter School to pay an annual rent of \$848,000 as well as “all taxes and special assessments . . . which shall be levied on or assessed against the Premises.” In November 2003, petitioner sought tax exemptions on its real property.¹

Pursuant to RPTL 420-a, CDC applied to the Assessor of the City of Buffalo for a real property tax exemption for the 2003-2004 tax year on the ground that its lease of the property to Buffalo United Charter School caused the property to be exempt from real property taxes in accordance with Education Law § 2853 (1) (d). The Assessor denied CDC’s application for tax exemption relying upon a State Board of Real Property Services (SBRPS) opinion which held that since the Education Law equated a charter school’s tax exempt status with that of a public school, and since neither the building nor the underlying land was owned by the school as required by Real Property Tax Law § 408, the premises leased by the charter school were not

1. Since the property was located in an Empire Zone, CDC was granted a tax exemption that had the effect of reducing the property’s taxable assessment from approximately \$1.7 million to \$150,000 which corresponded to a reduction of property taxes to approximately \$6,600 for the 2003-2004 tax year.

entitled to an exemption “solely on the basis of the lessee’s status” (11 Ops Counsel SBRPS No. 37 [2002]).² CDC then sought review of the Assessor’s determination by the Board of Assessment Review of the City of Buffalo which upheld the Assessor’s determination.

Thereafter, CDC commenced this combined CPLR article 78 and Real Property Tax Law article 7 proceeding, seeking to annul the decision of the Assessor denying its application for an exemption for the 2003-2004 tax year and for a judgment declaring that the property leased by the charter school is exempt from real property taxes pursuant to Education Law § 2853 (1) (d). In response to the petition, the City of Buffalo and its Assessor and Board of Assessment Review (City) moved to dismiss the petition. In an oral opinion, Supreme Court held that the statute provides charter schools with the same tax exemptions as public schools in regard to property they own and leased improvements made thereon, citing to the same SBRPS opinion. Supreme Court, in considering the full text of the statute, dismissed the petition and held that the Legislature did not intend to afford greater tax exempt status to charter schools than that of public schools by exempting real property leased by charter schools from taxation. The Appellate Division affirmed, holding that the statute clearly entitles a charter school to only those tax exemptions given to public schools, and concluding that public schools are exempt on real property that they own, not on real property that they lease. We now affirm.

Initially, “[w]here the language of a statute is clear and unambiguous, courts must give effect to its plain meaning” (*Matter of Tall Trees Constr. Corp. v Zoning Bd. of Appeals of Town of Huntington*, 97 NY2d 86, 91 [2001]). Additionally, “all parts of an act are to be read and construed together to determine the legislative intent” (McKinney’s Cons Laws of NY, Book 1, Statutes § 97).

2. RPTL 408 provides:

“Notwithstanding any limitation contained in section four hundred six of this chapter, *all real property owned by a school district or board of cooperative educational services and all improvements thereon leased by such a district or board* provided that such leased improvements are used for educational purposes and provided, further, that such lease provides that such district or board is liable for all taxation, special ad valorem levies and special assessments levied upon such improvements *shall be exempt from taxation* and exempt from special ad valorem levies and special assessments to the extent provided in section four hundred ninety of this chapter” (emphasis added).

Furthermore, in construing a tax exemption statute, the well-settled rule is that “[i]f ambiguity or uncertainty occurs, all doubt must be resolved against the exemption” (*People v Brooklyn Garden Apts.*, 283 NY 373, 380 [1940]). In *Matter of Mobil Oil Corp. v Finance Adm’r of City of N.Y.* (58 NY2d 95, 99 [1983]), we held that “[t]ax exclusions are never presumed or preferred and before [a] petitioner may have the benefit of them, the burden rests on it to establish that the item comes within the language of the exclusion.” Moreover, a statute authorizing a tax exemption will be construed against the taxpayer unless the taxpayer identifies a provision of law plainly creating the exemption (see *People ex rel. Savings Bank of New London v Coleman*, 135 NY 231, 234 [1892]; see also *Matter of Grace v New York State Tax Commn.*, 37 NY2d 193, 196 [1975]). Thus, the taxpayer’s interpretation of the statute must not simply be plausible, it must be “the only reasonable construction” (*Matter of Federal Deposit Ins. Corp. v Commissioner of Taxation & Fin.*, 83 NY2d 44, 49 [1993] [internal quotation marks and citation omitted]).

In determining whether CDC may take advantage of the tax exemption, it is first necessary to identify whom the Legislature intended to benefit from the tax exemption and determine whether the exemption may be applied to the property at issue. Education Law § 2853 (1) (d) contains a clear statement indicating that charter schools are the beneficiaries of the same tax exemptions afforded public schools. It is also clear that the next part of the sentence—“all taxation, fees, assessments or special ad valorem levies on its earnings and its property”—identifies the assets to which the exemption may be applied (Education Law § 2853 [1] [d]). The sentence concludes with the phrase—“including property leased by the charter school” (*id.*).

Giving a plain and logical meaning to the language of the statute, we conclude that “including property leased by the charter school” can neither be read in isolation from the words it modifies—“its property”—as CDC would have us read it, nor from the rest of the sentence, which states that a charter school is exempt from taxation to the same extent as other public schools.

CDC maintains that the plain language of the concluding phrase provides for a tax exemption regardless of whether the owner of the property is a charter school or a private feeholder. Interpreting the language of the statute as CDC would have us do results in a construction that does not give effect to the

other words in the statute. We thus conclude that Education Law § 2853 (1) (d) clearly indicates that the phrase “property leased by the charter school” simply further defines the type of property that would be exempt to the same extent as other public schools, and does not create a separate exemption for property owned by other than the charter school.

The same applies to property leased by a public (noncharter) school from a private landowner. It, too, would be subject to taxation as this exemption applies only to real property or buildings owned by a school district (*see* RPTL 408). The 1985 amendment to RPTL 408 which includes an additional exemption for “all improvements thereon leased by such a district” was limited to structures, e.g. portable classrooms, erected on property *owned* by the districts. There is nothing in the language of Education Law § 2853 (1) (d) to evince a legislative intent to create a separate and express exemption for property leased to charter schools other than the exemption already granted to other public schools by RPTL 408.

CDC has thus failed to sustain its burden of unequivocal entitlement to the exemption it seeks as it has not identified any provision in the Charter Schools Act plainly creating an exemption for private property leased to a charter school. Moreover, our interpretation provides charter schools with the same exemption status as accorded to public schools, and no more, as clearly contemplated by the Legislature.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges G.B. SMITH, ROSENBLATT, GRAFFEO, READ and R.S. SMITH concur.

Order affirmed, with costs.

[848 NE2d 454, 815 NYS2d 7]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v THOMAS
BURTON, Appellant.

Argued March 23, 2006; decided May 2, 2006

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered March 22, 2005. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Rena K. Uviller, J.), which had convicted defendant, upon his plea of guilty, of criminal possession of a controlled substance in the fourth degree.

People v Burton, 16 AD3d 241, reversed.

HEADNOTES**Crimes — Unlawful Search and Seizure — Standing — Sufficiency of Factual Allegations in Suppression Motion**

1. In the prosecution of defendant for criminal possession of a controlled substance in the fourth degree arising out of an incident wherein a police officer had approached defendant on the street and after searching him discovered a plastic bag containing crack cocaine in his front pocket, the statements in defendant's suppression motion papers that he was stopped and searched by the police without legal justification, and that the police claimed to have discovered drugs on defendant during the search, were sufficient to satisfy the factual allegation requirement of CPL 710.60 (1), and thereby established defendant's standing to seek suppression. CPL 710.60 (1) specifies that the allegations of fact in support of a motion to suppress may come from "the defendant or . . . another person or persons." Defendant met his evidentiary burden by supplementing the averments made in his motion to dismiss with the police officer's statement that the drugs were recovered from defendant's person, and was not required to personally admit possession of the drugs. Moreover, defendant placed the propriety of the search in dispute by claiming that he had been standing on the street doing nothing suspicious or illegal when the police detained him and searched his person. A hearing was needed to determine what, if any, conduct by defendant precipitated the search and whether that conduct rose to a level that constitutionally justified the intrusion.

Crimes — Unlawful Search and Seizure — Standing

2. To the extent *People v Brown* (256 AD2d 42 [1st Dept 1998], *lv denied* 93 NY2d 871 [1999]) indicates that, notwithstanding the People's factual allegations, a defendant charged with possessing contraband on his person must admit that he did, in fact, possess the seized item in order to have standing to seek suppression, it should not be followed.

TOTAL CLIENT-SERVICE LIBRARY® REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Evidence § 646; AM JUR 2d, Searches and
Seizures §§ 8, 237.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:2635, 172:2658.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 3.3, 3.5, 9.1, 9.2.

McKINNEY'S, CPL 710.60 (1).

NY JUR 2d, Criminal Law §§ 1465, 1474, 1480, 1485.

ANNOTATION REFERENCE

See ALR Index under Exclusion and Suppression of Evidence; Search and Seizure.

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Database: NY-ORCS

Query: standing /2 challenge /2 search /s suppress! /p
narcotic drug

POINTS OF COUNSEL

Legal Aid Society, Criminal Appeals Bureau, New York City (Laura Boyd and Laura R. Johnson of counsel), for appellant. The court erred in summarily denying appellant's motion to suppress the drugs where appellant, who was charged only with drug possession, alleged that he was walking alone on a street when, for no apparent lawful reason, the police stopped and searched him and, according to the officer, recovered crack cocaine from appellant's person. (*People v Mendoza*, 82 NY2d 415; *People v Brown*, 256 AD2d 42; *People v Coleman*, 82 NY2d 415; *People v Whitfield*, 81 NY2d 904; *Dunaway v New York*, 442 US 200; *Mapp v Ohio*, 367 US 643; *People v Gruden*, 42 NY2d 214; *People v Coleman*, 82 NY2d 415; *People v Sutton*, 91 AD2d 522; *People v Sierra*, 179 AD2d 601.)

Robert M. Morgenthau, District Attorney, New York City (Karen Schlossberg and Sandra E. Cavazos of counsel), for respondent. The court properly denied defendant's motion to suppress physical evidence without a hearing. (*People v Coleman*, 82 NY2d 415; *People v Ramirez-Portoreal*, 88 NY2d 99; *People v Brown*, 256 AD2d 42, 93 NY2d 871; *People v Reynolds*, 71 NY2d 552; *People v Gomez*, 67 NY2d 843; *People v Mendoza*, 82 NY2d 415; *People v Gruden*, 42 NY2d 214; *Rakas v Illinois*, 439 US 128; *United States v Salvucci*, 448 US 83; *People v Rodriguez*, 69 NY2d 159.)

OPINION OF THE COURT

GRAFFEO, J.

In this case, the People contend that defendant's motion to suppress physical evidence seized during a search of his person was properly denied without a hearing because he failed to proffer sufficient factual allegations demonstrating that he had standing to challenge the search. The People argue that defendant's motion was insufficient because he did not admit to possessing the drugs at the time of the search, instead relying on a police officer's assertion that narcotics were found in defendant's pocket. We hold that the statements in defendant's motion papers that he was stopped and searched by the police without legal justification, and that the police claimed to have discovered drugs on defendant during the search, were sufficient to satisfy the factual allegation requirement of CPL 710.60 (1) and thereby establish standing to seek suppression.

On the evening of January 16, 2001, a police officer approached defendant Thomas Burton on a Manhattan street. The officer proceeded to search him and, according to the felony complaint, discovered a plastic bag containing crack cocaine in a front pocket of the sweatpants defendant was wearing underneath his jeans. A grand jury subsequently returned an indictment charging him with one count of criminal possession of a controlled substance in the fourth degree.

In a motion seeking suppression of the drugs, defendant's attorney averred that defendant was walking alone on the street when he was stopped and searched "for no apparent lawful reason." Defense counsel noted that the police officer who searched defendant stated that "he recovered one bag containing crack/cocaine from the defendant's person." Counsel further alleged that "[n]o contraband was in plain view," defendant had not consented to the search, no warrant permitting the search had been issued, and the police officer did not have probable cause to instigate the search. The People opposed the application, arguing that defendant lacked standing to ask for suppression because he did not expressly acknowledge that he had, in fact, personally possessed the cocaine that was recovered from his person, and his reliance on the police officer's allegation in the felony complaint was inadequate to confer standing.

Supreme Court agreed with the People and denied the motion without a hearing. The court determined that defendant lacked standing to pursue suppression of the contraband in the absence of his personal affirmation that the drugs were recovered from

his person. Defendant later pleaded guilty to criminal possession of a controlled substance in the fourth degree and agreed to be sentenced as a second felony offender to a minimum indeterminate prison term of 3 to 6 years, with the understanding that if he complied with certain terms of the negotiated plea, he would be permitted to withdraw his plea in order to plead guilty to a lesser possession offense. Defendant, however, failed to abide by those requirements and was eventually sentenced to 3½ to 7 years of imprisonment.

Defendant appealed pursuant to CPL 710.70 (2), challenging the denial of his suppression application, and the Appellate Division affirmed, concluding that the motion was properly denied without a hearing because defendant failed to adequately allege standing to seek suppression. A Judge of this Court granted leave to appeal and we now reverse.

Article 710 of the Criminal Procedure Law delineates the substantive and procedural rules that govern a motion to suppress evidence. As relevant to this case, a pretrial suppression motion “must state the ground or grounds of the motion and must contain sworn allegations of fact, whether of the defendant or of another person or persons, supporting such grounds” (CPL 710.60 [1]). A trial court is required to grant a hearing if the defendant “raise[s] a factual dispute on a material point which must be resolved before the court can decide the legal issue” of whether evidence was obtained in a constitutionally permissible manner (*People v Gruden*, 42 NY2d 214, 215 [1977]). Because hearings on suppression motions “are not automatic or generally available for the asking by boilerplate allegations” (*People v Mendoza*, 82 NY2d 415, 422 [1993]), such a request may be summarily denied if the motion papers do not provide a sufficient legal basis for suppression (*see* CPL 710.60 [3] [a]) or where “[t]he sworn allegations of fact do not as a matter of law support the ground alleged” (CPL 710.60 [3] [b]).¹

There is no legal basis for suppression and, hence, no need for a hearing, unless the accused alleges facts that, if true, demonstrate standing to challenge the search or seizure (*see People v Rodriguez*, 69 NY2d 159, 161 [1987]). Standing exists where a defendant was aggrieved by a search of a place or object in which he or she had a legitimate expectation of privacy (*see People v*

1. The factual allegation requirement does not apply to motions to suppress allegedly involuntary statements made by a defendant or improper identifications (*see* CPL 710.60 [3] [b]; *People v Jones*, 95 NY2d 721, 725 n 2 [2001]).

Ramirez-Portoreal, 88 NY2d 99, 108 [1996]). This burden is satisfied if the accused subjectively manifested an expectation of privacy with respect to the location or item searched that society recognizes to be objectively reasonable under the circumstances (*see id.*).

[1] Defendant's motion papers, which averred that he was searched by a police officer without probable cause or other legal justification, adequately pleaded a legal basis for suppression as required by CPL 710.60 (1). Under the Fourth Amendment to the United States Constitution, individuals possess a legitimate expectation of privacy with regard to their persons (*see* US Const Amend IV ["(t)he right of the people to be secure in their persons . . . against unreasonable searches and seizures() shall not be violated"]; *People v Gonzalez*, 115 AD2d 73, 77 [1st Dept 1986], *affd* 68 NY2d 950 [1986]). Here, defendant undeniably had "a reasonable expectation of freedom from governmental intrusion" (*Mancusi v DeForte*, 392 US 364, 368 [1968]) in the place searched by the police—the pocket of his pants. He also subjectively manifested such an expectation since anything concealed in the pocket was in his sole possession and hidden from public view. Indeed, the People do not dispute that defendant had a protected privacy interest in the article of clothing that was searched. Instead, they argue that, because defendant did not specifically admit or acknowledge that he possessed the drugs, there were insufficient "sworn allegations of fact" to assert standing to challenge the legality of the police conduct and summary denial of his motion was therefore permitted under CPL 710.60 (3) (b).

This contention is inconsistent with the language of CPL 710.60 and our precedent. Subdivision (1) of the statute specifies that the allegations of fact in support of a motion to suppress may come from "the defendant or . . . *another person or persons*" (CPL 710.60 [1] [emphasis added]). Consistent with this text, we have repeatedly observed that, in assessing the adequacy of a motion to suppress tangible evidence, a defendant is entitled to rely on the People's proof to demonstrate standing (*see e.g. People v Ramirez-Portoreal*, 88 NY2d at 109; *People v Whitfield*, 81 NY2d 904, 906 [1993]; *People v Wesley*, 73 NY2d 351, 358 n 1 [1989]; *People v Gonzalez*, 68 NY2d at 951; *People v Gomez*, 67 NY2d 843, 844 [1986]). The necessary allegations of fact may be gleaned in part from statements made by law enforcement officials in an accusatory instrument (*see People v Gomez*, 67 NY2d at 844) or from testimonial statements elicited

by the prosecution (see *People v Gonzalez*, 68 NY2d at 951). Our decisions further point out that witnesses for the People—including police officers—are among the “[]other person[s]” (CPL 710.60 [1]) whose factual assertions may be used in a motion to suppress (see *People v Ramirez-Portoreal*, 88 NY2d at 105-106, 111-112; *People v Gonzalez*, 68 NY2d at 951). Based on this case law, defendant could meet his evidentiary burden by supplementing the averments made in his motion to dismiss with the police officer’s statement that the drugs were recovered from defendant’s person. Defendant was therefore not required to personally admit possession of the contraband in order to comply with the factual pleading requirement of CPL 710.60.²

Although defendant was allowed to utilize the People’s evidence to satisfy this standing threshold, that proof alone was not enough to require a hearing because the accusation that contraband was recovered from defendant did not create an issue of fact as to whether the search and seizure were the result of a Fourth Amendment violation. Whether the remaining assertions in the motion papers gave rise to a factual question on the standing issue is answered by *People v Mendoza* (82 NY2d 415 [1993]). In that case, we contrasted two hypothetical street-crime situations that frequently lead to arrests—a buy-and-bust operation and a police seizure premised on the suspicious or unlawful behavior of a suspect. Despite identical statements by both defendants that they were standing on a public street doing nothing wrong at the time of the seizure and search, the allegations necessary to entitle each defendant to a hearing differed due to the particular factual circumstances surrounding the arrests.

In a buy-and-bust scenario, probable cause is generally based upon an accused’s participation in a narcotics transaction. To raise an issue of fact that necessitates a hearing, a defendant has to “deny participating in the transaction or suggest some other grounds for suppression” (*id.* at 429). In the absence of such a denial, the motion court is left with the People’s uncontested averment that the accused participated in the sale or purchase—which is sufficient on its face to provide probable cause justifying an arrest and ensuing search. In such cases,

2. [2] To the extent *People v Brown* (256 AD2d 42 [1st Dept 1998], *lv denied* 93 NY2d 871 [1999]) indicates that, notwithstanding the People’s factual allegations, a defendant charged with possessing contraband on his person must admit that he did, in fact, possess the seized item in order to have standing to seek suppression, it should not be followed.

there may be no fact question pertaining to Fourth Amendment compliance that needs to be resolved by a hearing.

But where probable cause for a search is premised on the furtive behavior of a person, we have observed that an accused can “raise a factual issue simply by alleging that he or she was standing on the street doing nothing wrong when the police approached and searched” and discovered contraband in the process (*id.*). A claim of this nature questions whether police action was legally authorized at its inception, and in this situation a hearing is required to determine, as a factual matter, whether the defendant engaged in suspicious or unlawful conduct giving rise to probable cause justifying the search.

The facts of this case align with this latter example. Here, the police officer alleged that he approached and searched defendant, and that a quantity of cocaine was found in his pocket. Relying on the original accusatory instrument, defense counsel acknowledged that a search was conducted, and referenced the arresting police officer’s statement that one bag of crack cocaine was recovered from defendant’s person. Defense counsel also maintained that the search violated the Fourth Amendment because defendant had been standing on the street doing nothing suspicious or illegal when the police detained him and searched his person. The propriety of the search having been placed in dispute, a hearing was needed to determine what, if any, conduct by defendant precipitated the search and whether that conduct rose to a level that constitutionally justified the intrusion. On these facts, defendant’s failure to specifically admit possession of the cocaine that was allegedly seized from his pocket was not fatal to his suppression claim and the motion should not have been summarily denied for lack of standing.

Furthermore, our conclusion does not alter the existing evidentiary requirements for suppression motions. We therefore reject the People’s claim that a finding of standing on the facts presented in this case results in the resurrection of the “automatic standing” doctrine, which was abrogated by the Supreme Court in *United States v Salvucci* (448 US 83, 85 [1980]) and by this Court as a matter of state law in *People v Ponder* (54 NY2d 160, 165 [1981]).³ As we now clarify, standing

3. One “narrow exception” to the abandonment of the automatic standing doctrine has been recognized “[i]n cases where a defendant is charged with possession of a gun based on the statutory presumption found in Penal Law § 265.15 (3), which attributes possession of a gun to the passengers in an

(n. cont’d)

does not arise from a defense motion to suppress that merely states, as attested by police, that the arresting officer conducted a search of the accused's person and allegedly found narcotics in an article of clothing—this alone does not create an issue of fact as to whether a Fourth Amendment violation occurred. A defendant must additionally assert that the search was not legally justified and there must be sufficient factual allegations to support that contention (*see* CPL 710.60 [1]). Thus, a defendant's entitlement to seek suppression is not premised solely on the fact that he or she is charged with a possessory offense and, consequently, the automatic standing doctrine has no application in criminal prosecutions premised on the accused's personal possession of contraband.

Accordingly, the order of the Appellate Division should be reversed, the plea vacated and the case remitted to Supreme Court, New York County, for a suppression hearing.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT, READ and R.S. SMITH concur.

Order reversed, etc.

automobile simply by virtue of their presence in the car where the gun is found" (*People v Wesley*, 73 NY2d at 360; *see People v Millan*, 69 NY2d 514, 520 [1987]). We have held that a defendant in such a case "has a right to challenge the legality of the search regardless of whether he or she is otherwise able to assert a cognizable Fourth Amendment interest" (*People v Wesley*, 73 NY2d at 360).

[848 NE2d 463, 815 NYS2d 16]

LARRY BARD et al., Appellants, v REINHARDT JAHNKE, Individually and Doing Business as HEMLOCK VALLEY FARMS, Respondent, et al., Defendant.

Argued March 21, 2006; decided May 2, 2006

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered March 17, 2005. The Appellate Division affirmed an order of the Supreme Court, Otsego County (Patrick D. Monserrate, J.), which had granted defendants' motions for summary judgment and dismissed the complaint.

Bard v Jahnke, 16 AD3d 896, affirmed.

HEADNOTES

Animals — Knowledge of Vicious Propensity — Bull

1. Defendants were properly granted summary judgment in an action to recover damages for injuries plaintiff sustained when he was attacked by a bull while working in a dairy barn, as the evidence was insufficient to demonstrate that the bull's owners knew or should have known that the bull had vicious propensities. The bull had never attacked any farm animal or human being before attacking plaintiff, never acted in a way that put others at risk of harm, and had always moved unrestrained within the limits of the area of the barn in which plaintiff had been working, regularly coming into contact with other farm animals, farm workers, and members of the owner's family without incident or hint of hostility. Nor are bulls that are kept for breeding, as was the bull that attacked plaintiff, dangerous as a class.

Animals — Liability for Injuries

2. When harm is caused by a domestic animal, its owner's liability is determined solely by application of the rule articulated in *Collier v Zambito* (1 NY3d 444 [2004]): the owner of a domestic animal who either knows or should have known of that animal's vicious propensities will be held liable for the harm the animal causes as a result of those propensities. New York does not recognize a companion common-law cause of action for negligence in such circumstances.

TOTAL CLIENT-SERVICE LIBRARY® REFERENCES

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AM JUR 2d, Animals §§ 96–99.

NY JUR 2d, Animals §§ 148, 149, 153.

NEW YORK PATTERN JURY INSTRUCTIONS—CIVIL, PJI 2:220.

PROSSER AND KEETON, TORTS (5th ed) § 76.

ANNOTATION REFERENCE

See ALR Index under Animals; Bulls.

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Query: bull /p vicious /2 propensity % pit

POINTS OF COUNSEL

Law Firm of Scarzafava & Basdekis, Oneonta (*John Scarzafava* of counsel), for appellants. There are two separate and distinct causes of action which relate to injuries caused by domestic animals: strict liability and negligence. (*Loder v State of New York*, 200 AD2d 925; *Gaccione v State of New York*, 173 Misc 367; *Colarusso v Dunne*, 286 AD2d 37; *Hyland v Cobb*, 252 NY 325; *St. Germain v Dutchess County Agric. Socy.*, 274 AD2d 146; *Silva v Micelli*, 178 AD2d 521; *Stoop v Kurtz*, 121 AD2d 529; *Panzer v Harding*, 118 AD2d 842; *Kennet v Sosnitz*, 260 App Div 759.)

Hickey, Sheehan & Gates, P.C., Binghamton (*Thomas J. Hickey* of counsel), for respondent. I. There is one distinct cause of action for injuries caused by domestic animals in the State of New York: one based on strict liability. (*Collier v Zambito*, 1 NY3d 444; *Velazquez v Carns*, 244 AD2d 620; *Wilson v Whiteman*, 237 AD2d 814; *Shaw v Burgess*, 303 AD2d 857; *Schwartz v Armand Erpf Estate*, 255 AD2d 35; *Benoit v Troy & Lansingburgh R.R. Co.*, 154 NY 223; *Brown v Willard*, 303 NY 727; *Plennert v Abel*, 269 AD2d 796; *Lynch v Nacewicz*, 126 AD2d 708; *Smith v Farner*, 229 AD2d 1017.) II. There are no facts to support a claim that Reinhardt Jahnke owed Larry Bard an enhanced duty. (*Loder v State of New York*, 200 AD2d 925; *Shaw v Burgess*, 303 AD2d 857; *Smith v Farner*, 229 AD2d 1017; *Plennert v Abel*, 269 AD2d 796; *Schwartz v Armand Erpf Estate*, 255 AD2d 35; *St. Germain v Dutchess County Agric. Socy.*, 274 AD2d 146; *Williams v City of New York*, 306 AD2d 203; *Grubenmann v Wagner*, 300 AD2d 443.) III. Motion Term Judge Patrick D. Monserrate has already applied a situational analysis to the facts of this case and found no cause of action. (*Turcotte v Fell*, 68 NY2d 432; *Pulka v Edelman*, 40 NY2d 781.) IV. The expert's affidavit submitted on behalf of Larry Bard is not sufficient to create a question of fact. (*Wilson v Whiteman*, 237 AD2d 814; *Palleschi v Granger*, 13 AD3d 871.)

OPINION OF THE COURT

READ, J.

The accident underlying this litigation occurred on September

27, 2001 at Hemlock Valley Farms in Otsego County, a dairy farm owned and operated by defendant Reinhardt Jahnke and his wife in partnership with their two sons. At roughly 8:00 A.M., plaintiff Larry Bard, a self-employed carpenter, arrived at the farm to meet defendant John Timer, another self-employed carpenter. One of Jahnke's sons had asked Timer to repair ripped cow mattresses in a certain section—called the “low cow district”—of the farm's free-stall dairy barn. This large barn, which was divided into several sections, housed approximately 400 cows at the time, 130 of them in the low cow district. The repair work involved chiseling off the bolts fastening the damaged mattresses to the concrete base of a stall, stretching the mattresses and then refastening the bolts. Timer had asked Bard the day before if he would be interested in helping him carry out this task, and Bard had replied that he would.

Timer, who had performed carpentry and odd jobs on the farm for about four or five years, walked Bard through the dairy barn, pointing out some of the projects that he had completed and where the milking parlor was. Timer took Bard to the barn's low cow district, told him how to start the mattress repairs, and then left to complete another chore, planning to return shortly. Neither Timer nor Bard saw a bull; Bard testified that he saw no farm animals at all in the barn when he walked through it with Timer. From his previous work at the farm, Timer knew there was a bull at another barn about a quarter-mile distant from the dairy barn. Prior to Bard's accident, he did not know that at all times there was a bull present in the dairy barn's low cow district.

Bard retrieved some tools from his truck and started to work at about 8:30 A.M. He testified that a number of cows wandered into the area as he was working. Further, he was “familiar with working in and around cows,” which would “come up, drool on you, lick on you and everything else,” and that he didn't “usually pay much attention to them.” At about 9:00 A.M., as Bard was down on his knees removing bolts, he first noticed a bull “[w]hen he stepped in behind him” and “bellered” within a distance of two to three feet. Bard testified that he “slowly kind of looked around, and didn't know what to do at that point.” As he “went to stand up,” the bull “took [him] in the chest. [The bull] charged [him] then [and] proceeded to start slamming [him] into the pipes” in the stall. No one else was present in the low cow district at the time. Neither Jahnke nor anyone else associated with the farm knew ahead of time that Timer planned

to repair the mattresses that day, or that Bard would be working for Timer to carry out this task.

Bard pulled himself outdoors through an opening at the bottom of the barn, and crawled over to his truck, where he lay for “quite awhile to get some wind and establish what was going on.” He caught the attention of someone working in the field, whom he asked to call an ambulance. Bard’s injuries included fractured ribs, a lacerated liver and exacerbation of a preexisting cervical spine condition.

The hornless dairy bull who injured Bard was named Fred. He was about 1½ years old, and had been the resident “cleanup” bull at the farm for at least six months prior to September 27, 2001. The cows and heifers on the farm are bred by artificial insemination. Fred was housed and roamed freely in the low cow district of the dairy barn so that he might impregnate cows stabled there who had failed to conceive by artificial insemination. Before this accident, Fred had concededly never threatened or injured any other farm animal or human being. As was the case with all the dairy bulls ever owned by Jahnke, a longtime dairy farmer, Fred was never chained, caged or barricaded within the barn. Prior to September 27, 2001, none of the bulls on any of the farms worked on or owned by Jahnke had ever acted aggressively toward, or injured, another farm animal or human being.

Bard, with his wife suing derivatively, commenced an action against both Jahnke and Timer to recover damages for his personal injuries, alleging causes of action sounding in strict liability and negligence. Plaintiffs subsequently moved for summary judgment on liability, and defendants cross-moved for summary judgment dismissing the complaint. Ruling on defendant’s cross motion,¹ Supreme Court first observed that New York’s appellate courts had been “markedly consistent” in applying the common-law vicious propensity rule to decide whether owners of dogs and cats were liable for injuries caused by their animals. Citing Restatement (Second) of Torts § 518 and prior cases in the Appellate Division, however, the court concluded that a different rule applied to owners of domestic animals other than dogs and cats. According to Supreme Court, these owners are subject to “some duty of enhanced care” to restrain or confine the animal or to warn a human being who

1. Plaintiffs withdrew their motion for summary judgment at oral argument.

might come into contact with it. Applying this rule to the facts, Supreme Court granted defendants' motions for summary judgment because Jahnke did not know that Bard would be at his farm or working in the dairy barn, and Timer was unaware of the cleanup bull's presence in the barn.

The Appellate Division affirmed, but on a different basis altogether. Noting that a bull is a domestic animal as defined in Agriculture and Markets Law § 108 (7) and citing our recent decision in *Collier v Zambito* (1 NY3d 444 [2004]), the Court concluded that Jahnke was not liable for Bard's injuries unless he knew or should have known of the bull's vicious or violent propensities. The Court noted that the record contained no evidence of this, and "[t]o the contrary, it contains competent evidence establishing that, prior to [Bard's] accident, the subject bull had never injured another person or animal or behaved in a hostile or threatening manner" (16 AD3d 896, 897 [3d Dept 2005]).

Bard had submitted the affidavit of a professor of animal science, who opined that "bulls, in particular breeding bulls, are generally dangerous and vicious animals," and that therefore Jahnke should have restrained the bull or warned Bard of its presence (*id.*). The Court found this affidavit unavailing, especially in light of its "consistent[], and recently[] reiterated" view that "the particular type or breed of domestic animal alone is insufficient to raise a question of fact as to vicious propensities" (*id.* [internal quotation marks and citations omitted]).

Finally, with respect to Bard's negligence claim, the Appellate Division noted that it had "considered and decline[d] to adopt the enhanced duty rule espoused under certain limited circumstances by the First and Second Departments" (*id.* at 898). Bard subsequently sought to appeal so much of the Court's order as affirmed the grant of summary judgment to Jahnke. We granted him leave to appeal, and now affirm on the ground adduced by the Appellate Division.

Only two years ago, in *Collier*, we restated our long-standing rule

"that the owner of a domestic animal who either knows or should have known of that animal's vicious propensities will be held liable for the harm the animal causes as a result of those propensities. Vicious propensities include the propensity to do any act that might endanger the safety of the

persons and property of others in a given situation” (*Collier*, 1 NY3d at 446 [internal quotation marks and citations omitted]; see also NY PJI 2:220 [2006]).

Once this knowledge is established, the owner faces strict liability.² We made two additional points in *Collier*, which bear repeating.

First, while knowledge of vicious propensities “may of course be established by proof of prior acts of a similar kind of which the owner had notice,” a triable issue of fact as to whether the owner knew or should have known that its animal harbored vicious propensities may be raised by proof of something less (*Collier*, 1 NY3d at 446). In *Collier*, a case in which a dog bit a child, we gave the example of evidence that a dog had, for example, “been known to growl, snap or bare its teeth,” or that “the owner chose to restrain the dog, and the manner in which the dog was restrained” (*id.* at 447).

“In addition, an animal that behaves in a manner that would not necessarily be considered dangerous or ferocious, but nevertheless reflects a proclivity to act in a way that puts others at risk of harm, can be found to have vicious propensities—albeit only when such proclivity results in the injury giving rise to the lawsuit” (*id.*).

[1] Here, Fred had never attacked any farm animal or human being before September 27, 2001. He had always moved unrestrained within the limits of the barn’s low cow district, regularly coming into contact with other farm animals, farm workers and members of the Jahnke family without incident or hint of hostility. He had never acted in a way that put others at risk of harm. As a result, Bard cannot recover under our traditional rule.

Bard therefore argues alternatively that he can recover under a common-law cause of action for negligence, as expressed in Restatement (Second) of Torts § 518, Comments *g* and *h*. This common-law cause of action is, he claims, separate and apart from and in addition to our traditional rule.

2. Our rule is virtually identical to Restatement (Second) of Torts § 509 (1) (1977): “A possessor of a domestic animal that he knows or has reason to know has dangerous propensities abnormal to its class, is subject to liability for harm done by the animal to another, although he has exercised the utmost care to prevent it from doing the harm.”

Section 518 provides generally that the owner of a domestic animal, which the owner does not know or have reason to know to be abnormally dangerous, is nonetheless liable if he intentionally causes the animal to do harm, or is negligent in failing to prevent harm. Comment *g*, “*Knowledge of normal characteristics*” provides that

“[i]n determining the care that the keeper of a not abnormally dangerous domestic animal is required to exercise to keep it under control, the characteristics that are normal to its class are decisive, and one who keeps the animal is required to know the characteristics. Thus the keeper of a bull or stallion is required to take greater precautions to confine it to the land on which it is kept and to keep it under effective control when it is taken from the land than would be required of the keeper of a cow or gelding.”

Comment *h*, “*Animals dangerous under particular circumstances*” states that

“[o]ne who keeps a domestic animal that possesses only those dangerous propensities that are normal to its class is required to know its normal habits and tendencies. He is therefore required to realize that even ordinarily gentle animals are likely to be dangerous under particular circumstances and to exercise reasonable care to prevent foreseeable harm. Thus the keeper of even a gentle bull must take into account the tendencies of bulls as a class to attack moving objects and must exercise greater precautions to keep his bull under complete control if he drives it upon a public highway. So, too, the keeper of an ordinarily gentle bitch or cat is required to know that while caring for her puppies or kittens she is likely to attack other animals and human beings.”

Building on these provisions and their specific references to bulls, Bard contends that because Fred was not only a bull, but a breeding bull housed with the herd over whom he exercised dominance, Jahnke was negligent in failing to restrain Fred,³ or to warn non-farm personnel of his presence. But this is no dif-

3. Fred was, of course, restricted to the low cow district of the barn. He was not, in any sense, “loose”: he neither escaped nor was he taken from the

(n. cont'd)

ferent from arguing that Jahnke was negligent in that he *should have known* of Fred's vicious propensities because—as plaintiffs' expert put it—"bulls, in particular breeding bulls, are generally dangerous and vicious animals." (16 AD3d at 897.)

[2] As already noted, an animal's propensity to cause injury may be proven by something other than prior comparably vicious acts. As a result, a common shorthand name for our traditional rule—the "one-bite rule"—is a misnomer. We have never, however, held that particular breeds or kinds of domestic animals are dangerous, and therefore when an individual animal of the breed or kind causes harm, its owner is charged with knowledge of vicious propensities. Similarly, we have never held that male domestic animals kept for breeding or female domestic animals caring for their young are dangerous as a class. We decline to do so now, or otherwise to dilute our traditional rule under the guise of a companion common-law cause of action for negligence. In sum, when harm is caused by a domestic animal, its owner's liability is determined solely by application of the rule articulated in *Collier*.

Accordingly, the order of Appellate Division should be affirmed, with costs.

R.S. SMITH, J. (dissenting). Under the Restatement (Second) of Torts, the owner of a domestic animal who does not know or have reason to know that the animal is more dangerous than others of its class may still be liable for negligently failing to prevent the animal from inflicting an injury. This Court today becomes the first state court of last resort to reject the Restatement rule. I think that is a mistake. It leaves New York with an archaic, rigid rule, contrary to fairness and common sense, that will probably be eroded by ad hoc exceptions.

In this case, as the majority seems to recognize, a jury could have found Jahnke to be negligent, though he had no reason to think that Fred was any more dangerous than any other breeding bull. An expert's affidavit provides the unsurprising information that all breeding bulls are dangerous, because they "have high libido," and "will challenge or attack . . . unknown individuals, in order to establish dominance over the herd." Jahnke knew that Fred was in the low cow district of the dairy barn, and a jury could have found that he was negligent in fail-

confines within which he was normally kept, and he was not driven upon a public highway, the specific situations referenced in Comments *g* and *h*, respectively.

ing to impart this information to Timer; Jahnke knew that Timer worked in that barn from time to time, though he did not know that Timer had arranged for Bard to work there on the day of the accident. The record shows that, if Timer or Bard had known of Fred's presence, either of them could easily have erected a partition to exclude Fred from the area where Bard was working.

Thus, if ordinary negligence principles apply here, this case should not have been dismissed. The Restatement says that ordinary negligence principles do apply: With exceptions not relevant here, "one who possesses or harbors a domestic animal that he does not know or have reason to know to be abnormally dangerous, is subject to liability for harm done by the animal if, but only if . . . he is negligent in failing to prevent the harm" (Restatement [Second] of Torts § 518 [b] [1977]). The Comments to this Restatement section, quoted in the majority opinion (at 598), point out the application of this rule specifically to bulls: "the keeper of a bull or stallion is required to take greater precautions . . . than . . . the keeper of a cow or gelding" (Restatement [Second] of Torts § 518, Comment g); "the keeper of even a gentle bull must take into account the tendencies of bulls as a class to attack moving objects" (§ 518, Comment h).

Courts in at least 20 states appear to follow the Restatement rule (e.g. *White v Leeder*, 149 Wis 2d 948, 440 NW2d 557 [1989]; *Duren v Kunkel*, 814 SW2d 935 [Mo 1991] [en banc]; *Gardner v Koenig*, 188 Kan 135, 360 P2d 1107 [1961]; *Sybesma v Sybesma*, 534 NW2d 355 [SD 1995]).* The only court outside New York to have ruled otherwise, so far as I know, is the Georgia Court of Appeals (*Testamentary Trust of Moseley v Barnes*, 245 Ga App 817, 538 SE2d 873 [2000]). In New York, the departments of the

* Other cases include: *Baker v McIntosh* (132 SW3d 230 [Ky 2004]); *Savory v Hensick* (143 SW3d 712 [Mo Ct App 2004]); *Borns ex rel. Gannon v Voss* (70 P3d 262 [Wyo 2003]); *Gehrts v Batteen* (620 NW2d 775 [SD 2001]); *Moura v Randall* (119 Md App 632, 705 A2d 334 [1998]); *Jividen v Law* (194 W Va 705, 461 SE2d 451 [1995]); *Trager v Thor* (445 Mich 95, 516 NW2d 69 [1994]); *Dunnings v Castro* (881 SW2d 559 [Tex Ct App 1994]); *Ross v Lowe* (619 NE2d 911 [Ind 1993]); *Humphries v Rice* (600 So 2d 975 [Ala 1992]); *Andrade v Shiers* (564 So 2d 787 [La Ct App 1990]); *DeRobertis v Randazzo* (94 NJ 144, 462 A2d 1260 [1983]); *Rickrode v Wistinghausen* (128 Mich App 240, 340 NW2d 83 [1983]); *Medlyn v Armstrong* (49 Or App 829, 621 P2d 81 [1980]); *Arnold v Laird* (94 Wash 2d 867, 621 P2d 138 [1980]); *Griner v Smith* (43 NC App 400, 259 SE2d 383 [1979]); *Vigue v Noyes* (113 Ariz 237, 550 P2d 234 [1976]); *Huber v Timmons* (184 Neb 718, 171 NW2d 794 [1969]); and *Saldi v Brighton Stock Yard Co.* (344 Mass 89, 181 NE2d 687 [1962]).

Appellate Division are divided on this issue. The Second Department has allowed negligence recovery (*e.g. St. Germain v Dutchess County Agric. Socy.*, 274 AD2d 146 [2d Dept 2000]), as has the First Department in some circumstances (*e.g. Schwartz v Armand Erpf Estate*, 255 AD2d 35 [1st Dept 1999]). The Third and Fourth Departments have rejected negligence recovery (*Shaw v Burgess*, 303 AD2d 857 [3d Dept 2003]; *Smith v Farner*, 229 AD2d 1017 [4th Dept 1996]), though an earlier Third Department case had allowed it (*Leczmar v Sanford*, 265 AD2d 728 [3d Dept 1999]).

Before today, our Court's opinions were consistent with the Restatement rule. Our most recent case involving animal-inflicted injuries, *Collier v Zambito* (1 NY3d 444 [2004]), did not address the question of whether general negligence principles were applicable in such cases. *Collier* involved the rule, correctly stated by the majority here, that an owner who knows or has reason to know of an animal's dangerous propensities faces strict liability (majority op at 596-597; *accord* Restatement [Second] of Torts § 509 [1977]). The only issue in *Collier* was whether the defendant should have known of the dangerous propensities of her dog. Probably most cases involving cats and dogs will turn, as *Collier* did, on this issue; when the owner of a household pet has no reason to think the animal unusually aggressive, there will often be no basis for a finding of negligence. Our more relevant decisions are older ones, most of them involving bulls and horses.

No opinion of our Court before today announced the rule, now adopted by the majority, that the strict liability involved in *Collier* is the only kind of liability the owner of a domestic animal may face—that, in other words, there is no such thing as negligence liability where harm done by domestic animals is concerned. This rule was stated, before our Court existed, by the Supreme Court of Judicature in a case involving a horse gored by a bull: “If damage be done by any domestic animal, kept for use or convenience, the owner is not liable to action on the ground of negligence, without proof that he knew that the animal was accustomed to do mischief” (*Vrooman v Lawyer*, 13 Johns 339 [1816]). Cases after 1816, however, gave reason to doubt this statement was correct.

Thus in *Dickson v McCoy* (39 NY 400, 401 [1868]), a case involving a horse turned loose in a public street, Judge Dwight of our Court stated a rule like that of the Restatement: “It is not necessary that a horse should be vicious to

make the owner responsible for injury done by him through the owner's negligence." (See Restatement [Second] of Torts § 518, Comment *e.*) In *Benoit v Troy & Lansingburgh R.R. Co.* (154 NY 223, 227 [1897]), we rejected liability in a case where horses had run out of control in the street, but left open the possibility of recovery based on negligence in a proper case, saying that an owner who did not know his horses to be vicious could not be liable "in the absence of negligence." And in *Hyland v Cobb* (252 NY 325, 326-327 [1929]), though again ruling for the defendant, we cited *Dickson* for the proposition that "negligence by an owner, even without knowledge concerning a domestic animal's evil propensity, may create liability." Concededly, we later affirmed without opinion two Appellate Division cases that seem to stand for a narrower rule (*Kennet v Sossnitz*, 260 App Div 759 [1st Dept 1940], *affd* 286 NY 623 [1941]; *Brown v Willard*, 278 App Div 728 [3d Dept 1951], *affd* 303 NY 727 [1951]). Nevertheless, it is surprising to find today's Court rejecting the Restatement and the overwhelming weight of authority in other states, in favor of a rule stated 190 years ago that we have never otherwise endorsed.

For all the faults of modern tort law, and they are many, I do not think that this attempt to cling to the certainties of a distant era will work out well. The rule the majority adopts is contrary to simple fairness. Why should a person who is negligent in managing an automobile or a child be subject to liability, and not one who is negligent in managing a horse or bull? Why should a person hit by a subway train be able to recover and one hit by a breeding bull be left without a remedy? I think there are no good answers to these questions, and it is possible to imagine future cases that will put the rule adopted by the majority under strain. Suppose, for example, a variation on the facts of *Collier*: What if defendant there had encouraged a child to play not with a grown dog, but with a litter of puppies, thus predictably provoking an otherwise gentle mother dog to rage? Or suppose facts like those in *Duren v Kunkel* (814 SW2d 935 [Mo 1991] [Holstein, J.]), where a bull was stirred to attack because his owner negligently caused him to be driven through an area where fresh blood was on the ground? In such a case, we could either deny recovery to a deserving plaintiff, despite negligence more blatant than what Jahnke is accused of here, or we could invent a "mother dog" exception or a "fresh blood"

exception to the rule adopted in this case. I think it would be wiser to follow the Restatement rule, as has almost every other state that has considered the question.

Chief Judge KAYE and Judges CIPARICK and GRAFFEO concur with Judge READ; Judge R.S. SMITH dissents and votes to reverse in a separate opinion in which Judges G.B. SMITH and ROSENBLATT concur.

Order affirmed, with costs.

[848 NE2d 1264, 815 NYS2d 887]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v GERALD GARSON, Respondent.

Argued February 7, 2006; decided March 30, 2006

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered April 25, 2005. The Appellate Division order, insofar as appealed from, affirmed so much of an order of the Supreme Court, Kings County (Steven W. Fisher, J.; op 4 Misc 3d 258), as had granted defendant's motion to dismiss counts one through six of an indictment charging defendant with receiving reward for official misconduct in the second degree, and count three of a separate indictment charging the defendant with official misconduct, on the ground that the evidence presented to the grand jury was legally insufficient.

People v Garson, 17 AD3d 695, modified.

HEADNOTE

Crimes — Indictment — Sufficiency of Evidence before Grand Jury — Receiving Reward for Official Misconduct

Evidence that a judge accepted a benefit for violation of his duty as a public servant, as defined by the Rules of Judicial Conduct (22 NYCRR part 100 [Rules]), was legally sufficient to support six counts of receiving reward for official misconduct in the second degree (Penal Law § 200.25). The Rules set forth a constitutionally mandated duty upon the judiciary and, when combined with the additional factor of receiving a reward, a violation of that duty may serve as a basis for prosecution under Penal Law § 200.25. Here, the People set forth evidence that defendant, a Justice of the Supreme Court, engaged in substantive ex parte conversations with an attorney appearing in a case pending before him, in violation of the rule that prohibits a judge from engaging in unauthorized ex parte communications (22 NYCRR 100.3 [B] [6]). There was also evidence before the grand jury that defendant accepted "referral fees" from a lawyer in violation of the rule that prohibits a judge from lending "the prestige of judicial office to advance the private interests of the judge or others" (22 NYCRR 100.2 [C]).

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By the Publisher's Editorial Staff

AM JUR 2d, Indictments and Informations §§ 25, 26; AM
JUR 2d, Judges §§ 20, 102, 137.
CARMODY-WAIT 2d, Officers of Court §§ 3:87, 3:99, 3:104.

McKINNEY'S, Penal Law § 200.25.
22 NYCRR 100.2 (c); 100.3 (b) (6).
NY JUR 2d, Courts and Judges §§ 360, 362; NY JUR 2d,
Criminal Law §§ 1152, 4596–4601.

ANNOTATION REFERENCE

See ALR Index under Ex Parte Communications; Indictments and Informations; Judges.

FIND SIMILAR CASES ON WESTLAW®

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Query: judge /s reward /3 official /2 misconduct

POINTS OF COUNSEL

Charles J. Hynes, District Attorney, Brooklyn (Leonard Joblove, Seth M. Lieberman and Victor Barall of counsel), for appellant. I. The grand jury evidence establishing that on six occasions, defendant accepted a benefit from another person for having engaged in conduct that violated the Rules of Judicial Conduct was legally sufficient to support the six counts of receiving reward for official misconduct in the second degree. Moreover, there is no constitutional bar to prosecuting defendant for accepting a benefit from another person for having violated the rules. (*People v La Carrubba*, 46 NY2d 658; *People v Gilmour*, 98 NY2d 126; *People v Coe*, 71 NY2d 852; *Matter of VonderHeide [State Commn. on Jud. Conduct]*, 72 NY2d 658; *Matter of Mulroy*, 94 NY2d 652; *Matter of Levine*, 74 NY2d 294; *Wein v State of New York*, 39 NY2d 136; *People v Tremaine*, 252 NY 27; *Matter of Theroux v Reilly*, 1 NY3d 232; *People v Brancoccio*, 83 NY2d 638; *Matter of Albano v Kirby*, 36 NY2d 526.) II. The official misconduct count charging defendant with a violation of Penal Law § 195.00 (2) was not multiplicitous. Moreover, the evidence that defendant received a box of cigars as compensation for the advice that he had given to Paul Siminovsky about the Levi case was legally sufficient to support that count. (*People v Henson*, 263 AD2d 550; *People v Saunders*, 290 AD2d 461; *People v Cunningham*, 12 AD3d 1131; *People v Jackson*, 264 AD2d 857; *People v Kindlon*, 217 AD2d 793; *People v Nelson*, 266 AD2d 730; *People v Herlihy*, 66 App Div 534, 170 NY 584; *Matter of Johnson v Morgenthau*, 69 NY2d 148; *People v Hinton*, 40 NY2d 345; *People v Miernik*, 284 AD2d 919.)

White & White, New York City (Diarmuid White and Brendan White of counsel), and Ronald P. Fischetti for respondent. I. The

charges of receiving reward for official misconduct in the second degree were properly dismissed on insufficiency and vagueness grounds. (*Arteaga v State of New York*, 72 NY2d 212; *Gravel v United States*, 408 US 606; *Flushing Natl. Bank v Municipal Assistance Corp. for City of N.Y.*, 40 NY2d 731; *People v La Carubba*, 46 NY2d 658; *Matter of Beach v Shanley*, 62 NY2d 241; *Forti v New York State Ethics Commn.*, 75 NY2d 596; *People v Blanchard*, 288 NY 145; *People v Lynch*, 176 Misc 2d 430; *Matter of Mason [State Commn. on Jud. Conduct]*, 100 NY2d 56; *People v Carroll*, 95 NY2d 375.) II. A count charging official misconduct was properly dismissed. (*People v Sanchez*, 84 NY2d 440; *People v Keindl*, 68 NY2d 410; *People v Okafore*, 72 NY2d 81; *People v Gallagher*, 69 NY2d 525; *People v Herlihy*, 66 App Div 534; *People v Senisi*, 196 AD2d 376; *People v Saunders*, 290 AD2d 461; *People v Nelson*, 266 AD2d 730.)

OPINION OF THE COURT

CIPARICK, J.

We are asked to decide whether evidence presented to a grand jury that a judge accepted a benefit for violation of his duty as a public servant, as defined by the Rules of Judicial Conduct (22 NYCRR part 100), is legally sufficient to support six counts of receiving reward for official misconduct in the second degree (Penal Law § 200.25). We hold that the People's reliance on the Rules to support the allegation that defendant violated his official duties was not improper. The Rules set forth a constitutionally mandated duty upon the judiciary and, when combined with the additional factor of receiving a reward, a violation of that duty may serve as a basis for prosecution under Penal Law § 200.25. We conclude that the evidence presented to the grand jury was legally sufficient to support the six counts of receiving reward for official misconduct in the second degree. The additional count charging defendant with official misconduct (Penal Law § 195.00 [2]) was properly dismissed.

I.

Defendant was a justice of the Supreme Court of the State of New York who at the time of these events was assigned to a matrimonial part in Kings County. After investigation, the People presented evidence to the grand jury that, from October 2001 through March 2003, defendant engaged in a course of conduct where on numerous occasions he violated his duty as a public servant for which he received benefits of cash and other gratuities. The People presented evidence that defendant and

Paul Siminovsky, an attorney who regularly appeared before him, developed a relationship in 2000 wherein Siminovsky would buy defendant meals and give him gifts expecting and receiving preferential treatment in return. This relationship blossomed to the extent that by 2003, according to the testimony before the grand jury, Siminovsky was buying defendant lunch three to four times a week and drinks in the evening between three and five times a week.

In the first count under consideration here, the grand jury heard evidence that defendant conducted improper *ex parte* conversations about the “Levi case” with Siminovsky, for which defendant received a box of cigars as a reward. Specifically, Siminovsky represented Avraham Levi in a divorce proceeding which was pending before defendant (itself allegedly a circumvention of the random assignment system, facilitated by another Siminovsky client and defendant’s court clerk). The grand jury heard that while the Levi case was before defendant, the Kings County District Attorney’s office began to monitor defendant’s robing room by video and audio surveillance. Among the *ex parte* conversations captured was one where defendant is heard saying that Siminovsky would prevail in the Levi case even though he did not deserve it. Defendant also instructed Siminovsky to subpoena an expert witness who was unwilling to appear before the court and instructed him what questions to ask of the expert. Defendant told Siminovsky that he would not order the sale of the marital residence and that Mr. Levi would be entitled to its exclusive use.

Grand jury testimony revealed that shortly thereafter, Siminovsky was arrested and entered into a cooperation agreement with the District Attorney’s office. On March 4, 2003, while wearing a recording device but unaware of the video surveillance, Siminovsky brought defendant 27 Romeo and Juliet cigars—a box and two singles—at a cost of \$272.28. Siminovsky brought them to the robing room and gave defendant an individual cigar, kept one for himself, and then placed the box in the top left drawer of defendant’s desk. Siminovsky thanked defendant for helping him formulate a winning strategy in the Levi case. Shortly thereafter, Siminovsky again thanked defendant for the “little pointers” while defendant removed the box of cigars from his desk and inspected it. Before leaving, Siminovsky stated, “[n]ow you’re just going to tell me what to write in the memo” in reference to the closing memorandum of law required at the conclusion of the Levi trial. Defendant responded

that Siminovsky would have to charge extra for the memo and then went on to substantively detail what the memo should include.

The other five counts of receiving reward for official misconduct in the second degree allege that defendant accepted monies for referring clients, in his official capacity, to Siminovsky. The first of these referrals allegedly occurred in late 2001. Evidence before the grand jury showed that defendant told Siminovsky that defendant's wife, Robin Garson, referred a client to Siminovsky and that he should compensate her in return.¹ The client is alleged to have known that defendant was a judge and was seen visiting him in his robing room. Subsequently, Siminovsky, while in defendant's robing room, handed defendant \$750 in cash as a referral fee for Robin Garson.

Grand jury testimony showed that defendant, for a second time, referred a friend to Siminovsky with the direction that Siminovsky "should take care of Robin." In this instance, the individual knew defendant was a judge. They were seen together at a Brooklyn Bar Association function and were personal acquaintances. After Siminovsky was retained by this client, he wrote a check to Robin Garson for either \$1,000 or \$1,500.²

In a third instance, the People assert that defendant referred an employee of a restaurant he frequented to Siminovsky. The employee knew that defendant was a judge and he believed that the referral helped his case. He commented "[b]ecause I lived in Staten Island, what were the chances of Judge Garson getting the case?" Testimony also indicated that Siminovsky paid defendant \$1,000 or \$1,500 in cash for the referral by slipping it into his hand during a handshake in defendant's robing room.

In the fourth referral, as alleged by the People, evidence before the grand jury showed that defendant informed Siminovsky that another attorney would be calling him with a referral. As a result of the call, Siminovsky once again obtained a new client. This client knew defendant to be a judge from having met him at a country club. Siminovsky gave defendant \$500 in cash by placing it in an envelope and putting it in defendant's desk drawer in his robing room. Siminovsky gave a fee to defendant but not to the attorney who facilitated the referral.

1. Defendant's wife, Civil Court Judge Robin Garson, was in private practice at the time.

2. Siminovsky did not recall whether he gave the check to defendant or to Robin Garson.

In the fifth and sixth referrals as alleged, defendant, according to grand jury testimony, accepted a lump sum payment as a reward for two referrals. Both clients retained Siminovsky as their counsel and likewise are alleged to have known that defendant was a judge from professional and personal relationships with him. Siminovsky paid defendant \$1,000 for the referrals. At the time of the payment, March 10, 2003, Siminovsky was cooperating with the District Attorney's office. On that day, while wearing a recording device but unaware of the video surveillance, Siminovsky handed defendant \$1,000 in marked bills in defendant's robing room. As he handed the money to defendant, Siminovsky stated the money was for the referrals of "Aiello" and "Caputo" as well as a third person who did not retain him as counsel.

Evidence before the grand jury showed that shortly after defendant placed the money in his pocket, Siminovsky said "[m]ake sure it doesn't fall out of your pocket," to which defendant replied "[i]t's not going to fall out for at least an hour or two. Then it is gone." Siminovsky then left the robing room, at which point defendant took out the money, counted it, placed some of it in his pocket and placed the rest in an envelope in his desk drawer. Several minutes later, defendant called Siminovsky from his cell phone and left him a message asking him to return. Siminovsky returned 38 minutes later at which point defendant handed him the envelope with the money and suggested that Siminovsky make a check out to Robin Garson's campaign committee since she was experiencing a shortfall of \$25,000. Siminovsky returned the envelope to defendant and told him "[d]on't worry about it." Defendant took back the envelope and reiterated that Siminovsky should write a check out to the campaign committee. On March 12, 2003, defendant was arrested. The grand jury heard that at the time he had in his possession the 10 marked \$100 bills that Siminovsky had given him on March 10, 2003.

Two indictments were filed and later consolidated.³ As relevant to this appeal, defendant was indicted on six counts of

3. On May 21, 2003, defendant was charged in indictment No. 3515/2003 with six counts of receiving reward for official misconduct in the second degree (class E felonies), one count of official misconduct and one count of receiving unlawful gratuities (class A misdemeanors). On August 5, 2003, defendant was charged in indictment No. 5332/2003 with bribe receiving in the third degree (a class D felony) and three counts of official misconduct (one of which superseded the official misconduct count of the earlier indictment).

(n. cont'd)

receiving reward for official misconduct in the second degree in violation of Penal Law § 200.25.

Penal Law § 200.25 provides that a “public servant is guilty of receiving reward for official misconduct in the second degree when he solicits, accepts or agrees to accept any benefit from another person for having violated his duty as a public servant.” The first count of the indictment states:

“The defendant, on or about March 4, 2003, in the County of Kings, being a public servant, did solicit, accept and agree to accept a benefit, namely a box of cigars, from another person, namely Paul Siminovsky, for having violated his duty as a public servant.”

To support the first count, the People submit that defendant violated his duty as a public servant by failing to comply with 22 NYCRR 100.3 (B) (6), which provides in part that “[a] judge shall not initiate, permit, or consider ex parte communications.” The People asserted that defendant violated this rule when he engaged in numerous ex parte communications with Siminovsky concerning the Levi case—advising Siminovsky what witnesses to call, what arguments to make and how defendant intended to rule on key issues in the case. This violation of the rule in conjunction with his acceptance of a benefit—the cigars—is sufficient, the People contend, to satisfy the elements of Penal Law § 200.25.

The remaining five counts under Penal Law § 200.25 charge defendant as follows:

“The defendant, on or about [five different dates], in the County of Kings, being a public servant, did solicit, accept and agree to accept a benefit, namely a sum of United States currency, from another person, namely Paul Siminovsky, for having violated his duty as a public servant.”⁴

In support of these charges, the People turn to 22 NYCRR 100.2 (C), which provides in part that “[a] judge shall not lend the prestige of judicial office to advance the private interests of the

Supreme Court concluded there was legally sufficient evidence to support the charges of receiving unlawful gratuities (Penal Law § 200.35), bribe receiving in the third degree (Penal Law § 200.10) and one count of official misconduct (Penal Law § 195.00 [1]). A trial on those counts is pending.

4. Counts two through six of indictment No. 3515/2003 allege the dates on which defendant allegedly accepted a fee: October 9, 2001, October 31, 2001, September 5, 2002, November 15, 2002, and March 10, 2003.

judge or others.” The People contend that this section prohibits defendant, a judge, from making referrals by lending the prestige of his judicial office to advance his own interests or those of another, here, Siminovsky. The grand jury could have inferred based on the evidence presented that defendant made the referrals to help Siminovsky’s practice and, in turn, to gain monetary benefits in the form of “referral fees.” Thus, the People maintain that defendant lent the prestige of his judicial office to Siminovsky in order to benefit Siminovsky and himself in violation of rule 100.2. The People argue that this dereliction of duty when coupled with the acceptance of benefits—payments—is sufficient to establish every element of Penal Law § 200.25 in each of the five instances.

Supreme Court granted defendant’s motion to dismiss the indictment to the extent of dismissing the six counts of receiving reward for official misconduct on the ground that the “evidence presented to the grand jury that the defendant violated the Rules [of Judicial Conduct] is legally insufficient to establish that he violated a duty he had as a public servant within the meaning of the Penal Law.” (4 Misc 3d 258, 266-267 [2004].) The essence of the court’s analysis was that the People could not rely on the Rules to establish that defendant’s conduct was in dereliction of his duties as a judge. Supreme Court further dismissed two of three counts of official misconduct (Penal Law § 195.00). The court held that sufficient evidence existed to support one count only: that defendant received compensation in exchange for advice under Penal Law § 195.00 (1) in violation of Judiciary Law § 18. The Appellate Division affirmed. A Judge of this Court granted leave, and we now modify and reinstate the six counts charging defendant with receiving reward for official misconduct under Penal Law § 200.25.

II.

“Where the language of a statute is clear and unambiguous, courts must give effect to its plain meaning” (*Matter of Tall Trees Constr. Corp. v Zoning Bd. of Appeals of Town of Huntington*, 97 NY2d 86, 91 [2001]). In addition, legislative history can be useful to aid in interpreting statutory language (*see Riley v County of Broome*, 95 NY2d 455, 463 [2000]). The receiving reward offense, defined in Penal Law § 200.25, is part of Penal Law article 200, which addresses “Bribery Involving Public Servants and Related Offenses.” In enacting Penal Law article 200, the Legislature intended its coverage to be comprehensive to help prevent and prosecute abuses of power in government.

A “public servant” is

“(a) any public officer or employee of the state or of any political subdivision thereof or of any governmental instrumentality within the state, or (b) any person exercising the functions of any such public officer or employee. The term public servant includes a person who has been elected or designated to become a public servant” (Penal Law § 10.00 [15]).

Thus, “public servant” has been defined “broadly enough to include not only every category of government or public officer, but every employee of such officer or agency” (Donnino, Practice Commentary, McKinney’s Cons Laws of NY, Book 39, Penal Law art 200 [internal quotation marks omitted]). “Benefit” is also broadly defined to encompass “any gain or advantage to the beneficiary and includes any gain or advantage to a third person pursuant to the desire or consent of the beneficiary” (Penal Law § 10.00 [17]). The plain language of Penal Law § 200.25 is consistently broad in that it embraces any variation of reward for benefit, whether one “solicits, accepts or agrees” to such reward.

In enacting Penal Law § 200.25, the Legislature has specifically defined the terms “public servant” and “benefit” and left for factual resolution whether a public servant has “violated his duty.” The Legislature’s decision not to further define the duty element is understandable given the hundreds of different types of public officials and employees whose misconduct was intended to be covered under the statute. The duty of a Department of Motor Vehicles clerk is not the same as that of a Health Department inspector or, for that matter, a judge. It would therefore have been difficult if not impossible for the Legislature to construct a definition of “duty” that would have encompassed all the derelictions of duty it sought to proscribe. Instead, the Legislature has required that the People prove the duty violated in each case. Such proof can come in the form of live testimony from a lay witness or expert, reliance on an internal or formal body of rules, or other indicia of a defendant’s knowledge of wrongdoing.

The Legislature’s comprehensive approach finds its roots in the legislative history. Article 200 of the Penal Law sets forth various crimes addressing bribery and bribe receiving, all of which involve a benefit or reward for a future act by a public

servant. Prior to the enactment of Penal Law § 200.25, there was a void in the law that allowed for prosecution of bribery-like offenses where a benefit was given in contemplation of an act in the future (*see* Penal Law §§ 200.00, 200.10), but did not allow for prosecution when an improper act occurred and a benefit was later bestowed upon the public official for that act. Penal Law § 200.25, receiving reward for official misconduct, and its counterpart Penal Law § 200.20, rewarding official misconduct, are intended to fill that void (*see* Commission Staff Notes, reprinted following NY Cons Law Serv, Book 23B, Penal Law § 200.25; *see People v Alvino*, 71 NY2d 233, 244 [1987] [explaining that reward receiving, a lesser offense of bribe receiving, “involves accepting a reward for past official misconduct”]). Judges fall within the broad definition of “public servant.” And even prior to the enactment of Penal Law § 200.25, prosecution of “judicial officers” had been authorized under the bribery statutory scheme (*see* former Penal Law § 372).

Defendant urges us to interpret the statute to create a new void—the immunization of judges from criminal prosecution when they receive an illicit benefit after violating a rule of judicial conduct. Specifically, defendant claims that the term “violated his duty” lacks express legislative definition and cannot be proved by evidence that defendant violated his duty under the Rules. This claim lacks merit.

For an indictment to survive a motion to dismiss on sufficiency grounds, the evidence presented to the grand jury must set forth *prima facie* proof of the crimes charged (*see People v Bello*, 92 NY2d 523, 525-526 [1998]; CPL 70.10). Here, the evidence submitted before the grand jury satisfies this requirement to the extent that defendant is a public servant and that he accepted a benefit. Assuming for a moment that defendant was in violation of his duties as a public servant, it was also reasonable for the grand jury to infer that defendant received the benefits for having violated his judicial duties. Defendant urges us to interpret Penal Law § 200.25’s element that the public servant be in violation of his duty, to exempt judges because they are subject to what he deems the ethically-driven Rules of Judicial Conduct. We reject his contention.

The People set forth evidence that defendant offered *ex parte* advice to Siminovsky, an attorney appearing in a case pending before him. The evidence further showed that the advice conveyed was substantive in nature in that defendant informed

Siminovsky that his client would prevail even though the client did not deserve to win. It was reasonable for the grand jury to find that defendant violated his explicit duty not to “initiate, permit, or consider ex parte communications . . . concerning a pending or impending proceeding” (22 NYCRR 100.3 [B] [6]).

The same is true as to defendant’s referral of cases to Siminovsky. The evidence presented to the grand jury supports an inference that defendant, in referring potential clients to Siminovsky, was lending the prestige of his judicial office for the sake of advancing private interests—both his own and Siminovsky’s. The grand jury could rationally have found that defendant meant for the clients to be influenced by his judicial position when they selected the lawyer he recommended, and also that defendant expected to be compensated by Siminovsky for the referrals. We do not imply that a judge, acting in a purely private, unofficial capacity, may not refer a friend or acquaintance to a lawyer when the judge expects no benefit for doing so (*see* Advisory Comm on Jud Ethics Op 93-89 [1993]); but the grand jury could have concluded that that is not what happened here.

We are further governed by the principle that “we must interpret a statute so as to avoid an ‘unreasonable or absurd’ application of the law” (*People v Santi*, 3 NY3d 234, 244 [2004], quoting *Williams v Williams*, 23 NY2d 592, 599 [1969]; *see also People v Kramer*, 92 NY2d 529, 539 [1998] [a court may consider whether one reading of the statute “might produce absurd and fundamentally unfair results”]; *Matter of New York State Assn. of Criminal Defense Lawyers v Kaye*, 96 NY2d 512, 519 [2001] [“courts have repeatedly rejected statutory constructions that are unconscionable or antithetical to legislative objectives”]). “The law binds all men equally, the Judges no less than the judged” (*Matter of Stern v Morgenthau*, 62 NY2d 331, 339 [1984]; *see also Matter of Mason [State Commn. on Jud. Conduct]*, 100 NY2d 56, 60 [2003] [“Judges must be held to a higher standard of conduct than the public at large”]).

To hold otherwise, as urged by the dissent, would lead to the incongruous result of insulating judges from criminal liability under Penal Law § 200.25 because they have a formal body of rules governing their conduct while subjecting other public servants—whose duties are not defined in either Penal Law § 200.25 or any express code of conduct comparable to the Rules—to criminal liability for similar conduct. Such a result not only effectively immunizes judges but also runs counter to

the legislative objective of deterring public servants from, and prosecuting them for, abusing their positions (*cf. People v Jaehne*, 103 NY 182, 195 [1886] [“The crime of bribery . . . impairs public confidence in the integrity of official administration, a confidence most necessary to be maintained”])).

A comparison to prosecutions under Penal Law § 200.35 further exposes the flaw in the dissent’s position.⁵ Under that statute, a judge who accepts a benefit for *authorized* conduct can be prosecuted for receiving unlawful gratuities. However, if the conduct was *unauthorized*, as it is alleged here, defendant would be immunized from prosecution under the rationale set forth by the dissent since the People relied on the Rules of Judicial Conduct to establish the violations. We see no justification for such a perverse result—not in the plain language of the statute, not in the legislative history, and not in our precedents.

Thus we conclude that the People may rely on the Rules of Judicial Conduct to prove the element of a judge’s “duty as a public servant” within the meaning of Penal Law § 200.25. The Rules are a compendium of regulations that insures the integrity of the judiciary and the resultant confidence and impartiality that must repose in the justice system. Any other construction runs afoul of these goals. We hold the evidence presented to the grand jury is legally sufficient, in accordance with CPL 70.10, and supports every element of counts one through six of the indictment charging defendant with violating his duties as a public servant and then accepting benefits in exchange for those violations.

III.

In support of his position that the Rules cannot supply that necessary element, defendant, like the dissent, views our holding in *People v La Carrubba* (46 NY2d 658 [1979]) as a bar to prosecuting judges who violate an explicit code of conduct. In *La Carrubba*, a judge was charged with official misconduct under Penal Law § 195.00 (2) for improperly dismissing, for failure to prosecute, a simplified traffic information issued to a personal friend. In that prosecution, the People relied on Canons 2 and 3 of the Code of Judicial Conduct in support of the charges.

5. Penal Law § 200.35 reads: “A public servant is guilty of receiving unlawful gratuities when he solicits, accepts or agrees to accept any benefit for having engaged in official conduct which he was required or authorized to perform, and for which he was not entitled to any special or additional compensation.”

Unlike the Rules of Judicial Conduct in effect today that have been promulgated pursuant to the State Constitution and Judiciary Law § 212 (2) (d), the Code of Judicial Conduct that existed in 1974 was merely “a compilation of ethical objectives and exhortations” which were “[c]louched in the subjunctive mood” (46 NY2d at 663). The Code was promulgated by the American Bar Association, adopted by the New York State Bar Association and then subsequently incorporated by reference in the respective rules of the Appellate Divisions. Canon 2 of the Code suggests that “A Judge Should Avoid Impropriety and the Appearance of Impropriety in All of the Judge’s Activities” and Canon 3 likewise evokes the proposition that “A Judge Shall Perform the Duties of Judicial Office Impartially and Diligently.” We refused to permit a prosecution for official misconduct under Penal Law § 195.00 (2) based upon these violations of the ethical canons contained within the Code of Judicial Conduct. To hold otherwise, we said, would permit “a prosecutor [to] initiate and take charge of proceedings to enforce the Code of Judicial Conduct” (46 NY2d at 664).

Here, there are two significant distinctions from *La Carrubba*. First, the Rules of Judicial Conduct do not present the same notice and enforcement concerns that we faced with the Code of Judicial Conduct in *La Carrubba*. Whereas the Code encouraged judges to act with utmost ethical forethought—it was framed in suggestive terms and applicable only as adopted by the Appellate Divisions—the Rules of Judicial Conduct are rooted in a constitutional amendment of State Constitution, article VI, § 20 (b) which states that “[j]udges and justices of the courts . . . shall also be subject to such rules of conduct as may be promulgated by the chief administrator of the courts with the approval of the court of appeals” (emphasis added).⁶

After this constitutional amendment was adopted, the Legislature enacted Judiciary Law § 212 (2) (b), which directs the Chief Administrator of the Courts to “[p]romulgate rules of conduct for judges and justices of the unified court system with the approval of the court of appeals, in accordance with the provisions of section twenty of article six of the constitution.” Pursuant to the Constitution and the statute, the Chief Administrator of the Courts promulgated the Rules of Judicial Conduct which were then approved by the Court of Appeals. These Rules,

6. Article VI, § 20 of the State Constitution was amended in 1977 and was not applicable to defendant in *La Carrubba*.

including 22 NYCRR 100.2 and 100.3, affirmatively state that a judge “shall” comply with the rules of conduct and set out a basic standard of compliance (*see also* 22 NYCRR part 100 [preamble] [“The text of the rules is intended to govern conduct of judges . . . and to be binding upon them . . . The rules are intended . . . to state basic standards which should govern their conduct and to provide guidance to assist them in establishing and maintaining high standards of judicial and personal conduct”]).

The dissent relies on the preamble of the Rules which also states that “[t]hey are not designed or intended as a basis for civil liability or criminal prosecution” (*see* dissenting op at 631). However, preambles are not controlling of a statute or rule’s terms but are simply a useful aid for interpreting them when there is ambiguity (*cf.* McKinney’s Cons Laws of NY, Book 1, Statutes § 122). Moreover, our holding is not inconsistent with the preamble because the Rules themselves do not subject judges to criminal sanctions. Here, a breach of the Rules supplies proof that an official duty has been violated. It is the “receiving reward” aspect of defendant’s conduct that gives rise to the criminal prosecution, not just the existence or violation of the Rules.

The mandatory nature of the Rules and their constitutional source ameliorate the concerns we expressed in *La Carrubba*. The Rules provide a fundamental objective standard of how judges must conduct themselves. This addresses the concern that a prosecutor could use an advisory, aspirational code of ethics to help prove an element of a crime. It further diminishes any concern that a defendant would not have proper notice of the conduct prohibited, as the Rules and the Penal Law are clear as to their applicability.⁷

A second key difference is that in *La Carrubba* we were concerned with “the permissibility of the enforcement of the provisions of the Code of Judicial Conduct by resort to criminal prosecution” (*La Carrubba*, 46 NY2d at 662). There, the District Attorney was prosecuting the judge for refraining from perform-

7. To the extent that defendant raises a vagueness “as applied” challenge to Penal Law § 200.25, we are not persuaded. The failure to define each term in a criminal statute does not render the statute void for vagueness (*see People v Nelson*, 69 NY2d 302 [1987]). The statute at issue, as applied to these facts, is “sufficiently definite to give a person of ordinary intelligence fair notice that his contemplated conduct is forbidden by the statute” (*People v Stuart*, 100 NY2d 412, 420 [2003] [citations and internal quotation marks omitted]).

ing duties inherent to the nature of her office—the duties to avoid the appearance of impropriety and to act impartially. In essence, the Penal Law was being used as a vehicle to pursue claims of “ethical impropriet[ies]” which, contrary to the intent of the Legislature, effectively did nothing more than permit the prosecutor to “take charge of proceedings to enforce the Code of Judicial Conduct” (*La Carrubba*, 46 NY2d at 664).

In the present case, the criminal prosecution rests not on a violation of the Rules alone but on the acceptance of a benefit for violating an official duty defined by the Rules. Thus, a public servant who violates a tangible duty and further “solicits, accepts or agrees to accept” a benefit for the breach, is subject to prosecution under Penal Law § 200.25.⁸ Had the judge as a public servant violated ethical duties alone—without accepting a benefit for the violation—and had the action not otherwise been prohibited by the Penal Law, the public servant would be subject only to discipline in a proceeding brought by the Commission on Judicial Conduct. This critical distinction alleviates many of the concerns we had in *La Carrubba*, including the concern that to allow criminal prosecution of ethical violations under Penal Law § 195.00 (2) would create an “awkward and often unseemly” landscape where different groups would likely “jockey for prosecutorial priority or advantage” (46 NY2d at 665).⁹

We thus reject defendant’s argument that *La Carrubba* is controlling here. The People’s use of the Rules of Judicial Conduct to establish the duty element before the grand jury in this case did not render the proof insufficient or the indictment defective.

The People’s remaining claim as it relates to the dismissal of the charge of official misconduct in violation of Penal Law § 195.00 (2) is meritless.

Accordingly, the order of the Appellate Division should be modified by reinstating six counts charging defendant with receiving reward for official misconduct in the second degree and, as so modified, affirmed.

8. See e.g. *United States v Davis*, 183 F3d 231, 245 (3d Cir 1999); *Re-Source N.E. of Long Is., Inc. v Town of Babylon*, 80 F Supp 2d 52 (ED NY 2000); *People v Blumenthal*, 55 AD2d 13 (1st Dept 1976).

9. Certainly there are violations where the same conduct can form the basis of a criminal prosecution and an administrative proceeding. The burdens of proof are different, as are the penalties that may be imposed, and both can be prosecuted in tandem. Typically, the criminal prosecution goes forward first and the disciplinary proceeding is held in abeyance pending the outcome of the criminal prosecution.

G.B. SMITH, J. (dissenting in part). The primary issue here is whether the Rules of Judicial Conduct may be used as criminal statutes to prosecute a judge. I agree with the trial court and the Appellate Division that the Rules are not criminal statutes. Thus, the evidence before the grand jury was legally insufficient to sustain 8 of the 11 charges in the consolidated indictments (Nos. 3515/2003 and 5332/2003).

Facts

The People assert that there was an ongoing improper attorney-judge relationship between Paul Siminovsky and defendant over a period of three years, including lunches, drinks, money and cigars in exchange for ex parte advice on cases pending before the judge, client referrals, and favorable treatment in the courtroom.

From approximately October 1, 2002 to March 4, 2003, defendant had ex parte conversations with attorney Siminovsky about the Avraham Levi case, a divorce case pending before him. The conversations involved advice about how to proceed in the case, statements concerning how defendant would rule on the distribution of property between the parties, and suggestions about what questions Siminovsky should ask the witnesses. The People claim that these conversations violated 22 NYCRR 100.3 (B) (6).¹

On March 4, 2003, defendant accepted two boxes of cigars from Siminovsky for giving him advice in the Levi case. According to the People, defendant violated Judiciary Law § 18² when he accepted the cigars. The People claim that the defendant also

1. 22 NYCRR 100.3:

“A judge shall perform the duties of judicial office impartially and diligently. . . .

“(B) Adjudicative responsibilities. . . .

“(6) A judge shall accord to every person who has a legal interest in a proceeding, or that person’s lawyer, the right to be heard according to law. A judge shall not initiate, permit, or consider ex parte communications, or consider other communications made to the judge outside the presence of the parties or their lawyers concerning a pending or impending proceeding.”

2. Judiciary Law § 18 states: “A judge or other judicial officer shall not demand or receive a fee or other compensation for giving his advice in an action, claim, matter, motion or proceeding pending before him, or which he has reason to believe will be brought before him for decision.”

Count three of indictment No. 5332/2003 charged defendant with the crime of official misconduct in violation of Penal Law § 195.00 (2) committed on March 4, 2003 when defendant “refrained from performing a duty, pertaining

(n. cont’d)

accepted money for referring clients to Siminovsky on five separate dates, including October 9, 2001; October 31, 2001; September 5, 2002; November 15, 2002; and March 10, 2003. Client referrals from a judge to an attorney are alleged to be violations of 22 NYCRR 100.2 (C).³

Also from January 1, 2002 through March 12, 2003, defendant accepted lunches, beverages and cigars from Siminovsky in exchange for “assigning law guardianships, and giving *ex parte* advice to Siminovsky concerning cases that were pending before defendant.”

In February 2003, during the Avraham Levi divorce case, the Kings County District Attorney began a video and audio surveillance of the judge’s robing room. During that surveillance, defendant and Siminovsky discussed the following: subpoenaing an expert witness, the fact that the defendant was not going to order the sale of the house, that Levi would get exclusive use of the home and that Levi would win the case, even though he did not deserve it.

In early 2003, the District Attorney’s office arrested Siminovsky who agreed to cooperate with the prosecutor. On March 4, 2003, Siminovsky gave defendant two cigars which had been purchased by the District Attorney’s office. Unbeknownst to Siminovsky, the District Attorney continued to conduct video and audio surveillance of defendant’s robing room.

On March 10, 2003, Siminovsky, wearing a recording device, handed defendant 10 \$100 bills which had been given to him by

to his receipt of a box of cigars from Paul Siminovsky.” In responding to a demand in a bill of particulars to identify the duty that defendant refrained from performing, the People alleged, “The defendant refrained from performing the duty that was imposed upon him by Jud. L. § 18 to refuse the box of cigars as compensation for providing advice to Siminovsky about the Levi divorce case and to return such compensation.”

3. 22 NYCRR 100.2:

“A judge shall avoid impropriety and the appearance of impropriety in all of the judge’s activities.

“(A) A judge shall respect and comply with the law and shall act at all times in a manner that promotes public confidence in the integrity and impartiality of the judiciary.

“(B) A judge shall not allow family, social, political or other relationships to influence the judge’s judicial conduct or judgment.

“(C) A judge shall not lend the prestige of judicial office to advance the private interests of the judge or others; nor shall a judge convey or permit others to convey the impression that they are in a special position to influence the judge. A judge shall not testify voluntarily as a character witness.”

the Kings County District Attorney. Defendant placed the money in his pocket. However, shortly thereafter, he called Siminovsky on his cell phone and asked him to return. After conferring with the District Attorney, Siminovsky returned to defendant's chambers.

Defendant tried to return part of the money. Instead of the money, defendant asked that Siminovsky write a check for Robin Garson's (defendant's wife) judicial campaign which had experienced a shortfall. In the end, defendant kept the \$1,000, and Siminovsky agreed to write a check. Defendant was arrested on March 12, 2003. At the time of arrest, defendant had the \$1,000 in his pockets.

Indictment No. 3515/2003 charged defendant with one count of receiving reward for official misconduct in the second degree (Penal Law § 200.25)⁴ for accepting a box of cigars, five counts of receiving reward for official misconduct in the second degree (Penal Law § 200.25) for referral fees, one count of official misconduct (Penal Law § 195.00 [1]) pertaining to ex parte advice to Paul Siminovsky (Penal Law § 195.00 [1])⁵ and one count of receiving unlawful gratuities (Penal Law § 200.35).⁶

Indictment No. 5332/2003 charged defendant with one count of bribe receiving in the third degree (Penal Law § 200.10)⁷ for

4. Penal Law § 200.25:

"Receiving reward for official misconduct in the second degree.

"A public servant is guilty of receiving reward for official misconduct in the second degree when he solicits, accepts or agrees to accept any benefit from another person for having violated his duty as a public servant."

5. Penal Law § 195.00:

"Official misconduct

"A public servant is guilty of official misconduct when, with intent to obtain a benefit or deprive another person of a benefit:

"1. He commits an act relating to his office but constituting an unauthorized exercise of official functions, knowing that such act is unauthorized."

6. Penal Law § 200.35 states,

"A public servant is guilty of receiving unlawful gratuities when he solicits, accepts or agrees to accept any benefit for having engaged in official conduct which he was required or authorized to perform, and for which he was not entitled to any special or additional compensation."

7. Penal Law § 200.10, a class D felony, states,

"A public servant is guilty of bribe receiving in the third degree when he solicits, accepts or agrees to accept any benefit from another person upon an agreement or understanding that his vote,

(n. cont'd)

agreeing to provide favorable treatment to Siminovsky. For accepting the cigars concerning the advice on the Levi case, defendant was charged with two counts of official misconduct (Penal Law § 195.00 [1], [2]). By indictment No. 5332/2003, defendant was also charged with a third count of official misconduct (Penal Law § 195.00 [1]), “which superseded the count of official misconduct in indictment number 3515/03.”

On September 9, 2003, Supreme Court, Kings County consolidated indictment No. 3515/2003 with indictment No. 5332/2003 and dismissed as superceded the count of official misconduct charged in indictment No. 3515/2003.

Motion to Dismiss

On December 15, 2003, defendant moved to dismiss the indictments as based upon legally insufficient evidence. Defendant argued that judicial rules of conduct cannot serve as predicates for criminal charges. Also, defendant argued that receiving the box of cigars was not compensation within Judiciary Law § 18.

On April 29, 2004, Supreme Court, Kings County, dismissed six counts of receiving reward for official misconduct in the second degree (Penal Law § 200.25) finding:

“[I]n any prosecution for receiving reward for official misconduct, the evidence must identify a duty the defendant had as a public servant, and must establish that he or she violated that duty and thereafter solicited, accepted or agreed to accept a benefit for having done so. . . .

“In sum, although the Chief Administrator of the Courts has properly promulgated enforceable ethical standards, I hold that he has not discharged, nor has he attempted to discharge, the legislative responsibility of defining elements of crimes. Accordingly, evidence presented to the grand jury that the defendant violated the Rules of the Chief Administrator is legally insufficient to establish that he violated a duty he had as a public servant within the meaning of the Penal Law. The grand jury evidence, therefore, fails to establish an essential element of each of the counts charging the crime of receiving reward for official misconduct in the second degree.” (4 Misc 3d 258, 261-267 [2004].)

opinion, judgment, action, decision or exercise of discretion as a public servant will thereby be influenced.”

In reference to official misconduct (Penal Law § 195.00), there were three charges. Two were dismissed as based upon legally insufficient evidence and one was sustained as based on defendant's acceptance of a box of cigars "as compensation" for ex parte advice on the Avraham Levi divorce case pending before him. His acceptance of the box of cigars was in violation of his duty not to accept compensation for engaging in authorized or unauthorized conduct.

On the charge of receiving unlawful gratuities, the motion court wrote:

"A review of the testimony and exhibits presented to the grand jury reveals that the evidence was legally sufficient to support the count charging the defendant with the class A misdemeanor of receiving unlawful gratuities in that he allegedly accepted benefits from an attorney for having engaged in official conduct as a judge which he was authorized to perform, and for which he was not entitled to any special or additional compensation (Penal Law § 200.35)." (4 Misc 3d at 268.)

Supreme Court concluded, "The case will therefore proceed to trial on the top count of bribe receiving in the third degree, on one count of official misconduct, and on one count of receiving unlawful gratuities." (*Id.* at 277.)

On April 25, 2005, the Appellate Division, Second Department affirmed, writing:

"The court properly dismissed counts one through six of indictment No. 3515/03, charging the defendant with receiving reward for official misconduct in the second degree. An indictment in which the defendant's duty as a public servant, an essential element of the crime of receiving reward for official misconduct (Penal Law § 200.25), is defined solely by reference to the Rules of Judicial Conduct, specifically, 22 NYCRR 100.2 (C) and 100.3 (B) (6), is insufficient (*see People v La Carrubba*, 46 NY2d 658, 665 [1979]).

"The court also properly dismissed count three of indictment No. 5332/03, charging the defendant with official misconduct (Penal Law § 195.00 [2]), as multiplicitous, since there is no fact to be proven under that count that is not also required to be

proven under count two of the same indictment”
(17 AD3d 695 [2005] [citations omitted]).

On June 24, 2005, the Chief Judge of the Court of Appeals granted leave to appeal to the People. The People seek to reinstate six counts of receiving reward for official misconduct in the second degree (Penal Law § 200.25) and one count of official misconduct as defined by Penal Law § 195.00 (2).

Discussion

The New York State Constitution, the Rules of Judicial Conduct and the Penal Law do not authorize a prosecutor to charge a judge with crimes by alleging violations of the Rules of Judicial Conduct.

Constitution and Preamble of Rules of Judicial Conduct

Article III, § 1 of the New York State Constitution states, “The legislative power of this state shall be vested in the senate and assembly.”

“Th[e] legislative power cannot be passed on to others. What is legislative and what [is] administrative is not always easy to define, but the difficulty is not apparent here” (*see Darweger v Staats*, 267 NY 290, 305 [1935]). “Authority to make administrative rules is not a delegation of legislative power, and such rules do not become legislation because violations thereof are punished as public offenses” (*see id.* at 306). The clearest reading of 22 NYCRR part 100 is that it consists of rules governing judicial conduct, not criminal statutes passed by the Legislature, the only body in this state that can make conduct criminal.

The preamble of the Rules of Judicial Conduct makes clear that they were not intended to be criminal statutes:

“The rules governing judicial conduct are rules of reason. They should be applied consistently with constitutional requirements, statutes, other court rules and decisional law and in the context of all relevant circumstances. The rules are to be construed so as not to impinge on the essential independence of judges in making judicial decisions.

“The rules are designed to provide guidance to judges and candidates for elective judicial office and to provide a structure for regulating conduct through disciplinary agencies. They are not designed or intended as a basis for civil liability or criminal prosecution” (emphasis supplied).

The sections of the Rules of Judicial Conduct used in the criminal prosecution of this defendant are 22 NYCRR 100.2 (C) and 100.3 (B) (6). There is nothing in the preamble to suggest that criminal prosecution can result from any violation of the Rules. Further, the preamble explicitly states that criminal prosecution should not result from the Rules. Consequently, defendant was not on notice that the rules of conduct could result in criminal prosecution. Notice, of course, is an essential requirement prior to prosecution (*see La Carrubba*, 46 NY2d at 663, *supra*).

The prosecution has charged the defendant twice for the same crime. Defendant allegedly accepted the cigars for giving *ex parte* advice in the Levi case. The advice and the compensation were, however, all one offense. The People cannot charge official misconduct once for the advice and a second time for the compensation because the offense was receiving compensation for giving advice. Thus, only one count of official misconduct is warranted based upon Judiciary Law § 18 where the judge did “receive . . . compensation for giving his advice in an action . . . pending before him.”

Grand Jury Charges and Legally Sufficient Evidence

The prosecutor charged the grand jury as though the Rules of Judicial Conduct were criminal statutes. On May 20, 2003, the prosecutor charged the grand jury on the rules that govern judicial conduct, not on the criminal law, reciting, verbatim, two provisions of the Rules of Judicial Conduct. They were the following:

22 NYCRR 100.2, which is headed: “A Judge shall avoid impropriety and the appearance of impropriety in all of the judge’s activities.” Subdivision (C) states:

“A judge shall not lend the prestige of judicial office to advance the private interests of the judge or others; nor shall a judge convey or permit others to convey the impression that they are in a special position to influence the judge.”

22 NYCRR 100.3, which is headed: “A judge shall perform the duties of judicial office impartially and diligently.” Subdivision (B) (6) states:

“A judge shall accord to every person who has a legal interest in a proceeding, or that person’s lawyer, the right to be heard according to law. A

judge shall not initiate, permit, or consider *ex parte* communications, or consider other communications made to the judge outside the presence of the parties or their lawyers concerning a pending or impending proceeding, except: . . .

“*Ex parte* communications that are made for scheduling or administrative purposes that do not affect a substantial right of any party are authorized, provided the judge reasonably believes that no party will gain a procedural or tactical advantage as a result of the *ex parte* communication, and the judge, insofar as practical and appropriate, makes provision for prompt notification of other parties or their lawyers of the substance of the *ex parte* communication and allows an opportunity to respond. . . .

“A judge, with the consent of the parties, may confer separately with the parties and their lawyers on agreed-upon matters.”

Concerning indictment No. 3515/2003, the prosecutor instructed the grand jury that it could indict the defendant for violating the Rules of Judicial Conduct if it determined that defendant had accepted cigars, accepted money, referred persons to Paul Siminovsky or gave advice.

Pursuant to CPL 190.65, a grand jury indictment is authorized as follows:

“1. Subject to the rules prescribing the kinds of offenses which may be charged in an indictment, a grand jury may indict a person for an offense when (a) the evidence before it is legally sufficient to establish that such person committed such offense provided, however, such evidence is not legally sufficient when corroboration that would be required, as a matter of law, to sustain a conviction for such offense is absent, and (b) competent and admissible evidence before it provides reasonable cause to believe that such person committed such offense.”

Legally sufficient evidence is defined under CPL 70.10 (1) as “competent evidence which, if accepted as true, would establish every element of an offense charged and the defendant’s commission thereof.” Three crimes alleged in the consolidated indictment are authorized because they charge violations of the

Penal Law. The Rules of Judicial Conduct were not meant to serve as elements of criminal statutes or as criminal statutes. The charges given to the grand jury by the prosecutor indicate that the People are alleging both violations of the Penal Law and violations of the Rules of Judicial Conduct in prosecuting defendant.

The Rules of Judicial Conduct are rules of ethics and not criminal statutes or predicates for criminal statutes. There has been no legislative enactment allowing for their use in criminal prosecution and the Rules have not been subjected to any standards of proof. Further, the burden of proof for violations under the judicial rules of conduct is “preponderance of the evidence” whereas, for felonies, it is beyond a reasonable doubt (*see Matter of Collazo [State Commn. on Jud. Conduct]*, 91 NY2d 251, 253 [1998]).

In *Matter of Stern v Morgenthau* (62 NY2d 331, 333 [1984]), this Court determined that the grand jury’s purpose and investigations would not be thwarted if the prosecutor is not allowed to have access to “confidential records of the State Commission on Judicial Conduct” which developed as part of the Commission’s investigation into misconduct by two judges. Specifically, this Court held that the grand jury and the Commission “serve quite different purposes” (*see id.* at 334). The Court illuminated the difference with the following words:

“The Grand Jury is drawn from the population at large and charged with the duty of investigating and preferring charges against those suspected of criminal conduct while the Commission is composed of members appointed for fixed terms as defined in the Constitution and charged with the duty of investigating misconduct in the judicial branch of government and imposing discipline if misconduct is found. Thus, while the two bodies serve similar functions, they are separate and independent. One is responsible for investigating crime; the other for disciplining Judges.” (*Id.*)

The difference addressed in *Stern* between the grand jury and the Commission on Judicial Conduct is relevant to the case at bar. In order to prosecute defendant under the consolidated indictment, the People must show that defendant violated duties as a public servant defined in the Penal Law and separate and apart from the rules that govern judicial conduct. The indictment repeatedly makes reference to “being a public servant.”

However, except for the charge referred to in footnote 2 (at 619), there is no reference to what duties in the criminal statutes defendant violated.

The People argue that the Rules put judges on notice that if they engage in “official misconduct,” they will be held accountable for their actions through criminal prosecution. Further, failure to prosecute judges for engaging in illegitimate actions will have a negative effect on the public’s confidence in the judiciary. According to appellant, defendant failed not only in his duty as a public servant but also in not complying with both the judicial rules of conduct and the criminal statutes. Defendant asserts that there are no cases which hold that a judge can be criminally liable for failure to comply with the judicial rules of conduct. Defendant argues, “Simply put, that a judge has a duty to comply with the Rules does not mean that compliance with those Rules is enforceable under the Penal Law.”

There appear to be no statutes and no cases that hold that a judge can be held criminally liable for failure to comply with the Rules of Judicial Conduct. There is no question that the prosecutor has amassed a great deal of damning evidence against the defendant. However, what is at issue is whether or not Rules of Judicial Conduct (22 NYCRR part 100) can be used as a predicate for criminal prosecution, not whether or not there is enough evidence to prosecute the defendant.

One count of bribe receiving in the third degree (Penal Law § 200.10) for “accepting benefits from Siminovsky upon an agreement or understanding that defendant would provide Siminovsky with favorable treatment” is legally sufficient. Second, defendant allegedly accepted a box of cigars and two loose cigars for providing advice on the Levi divorce case which was pending before him. As a result of these actions, the charge that the judge violated Penal Law § 195.00 by accepting compensation for giving advice is appropriate (*see La Carrubba*, 46 NY2d 658, 664 [1979], *supra*). Thus, one charge of official misconduct is appropriate. Third, the evidence was legally sufficient to establish one count of receiving unlawful gratuities in violation of Penal Law § 200.35 because defendant accepted the cigars for advice concerning the Levi divorce case. However, the evidence was legally insufficient to sustain the other six charges pursuant to Penal Law § 200.25.

People v La Carrubba

Relying on *People v La Carrubba* (46 NY2d 658, 664-665 [1979]), both the Supreme Court and the Appellate Division found that the Code cannot be used in such a manner. In *La Carrubba*, this Court held:

“We find nothing in section 195.00 of the Penal Law which suggests that by the device of incorporation by reference a prosecutor may initiate and take charge of proceedings to enforce the Code of Judicial Conduct as such. To accept the proposition advanced by [appellant] District Attorney would be to countenance the institution of criminal proceedings for any alleged violation of the provisions of the code. We perceive no intention on the part of the Legislature to cloak the District Attorney with responsibility for compelling conformity with the Code of Judicial Conduct.” (46 NY2d 658, 664-665 [1979], *supra*.)

In *La Carrubba*, the issue was enforcement of Penal Law § 195.00 (2) for official misconduct by a judge. This Court determined that judges can be prosecuted for criminal acts but not on the basis of the judicial rules of conduct which were never meant to serve as part of the penal code (*see* 46 NY2d 658, 663 [1979], *supra*). In this case, judges are not put on notice that misconduct under the Rules of Judicial Conduct could serve as a basis for criminal prosecution (*see id.*). Thus, as the Supreme Court has found, the prosecution in the case at bar is precluded from imposing criminal penalties under Penal Law § 200.25 based upon 22 NYCRR 100.2 and 100.3. While the Rules of Judicial Conduct are meant to include sanctions which can include removal from the bench (*see Matter of Sims [State Commn. on Jud. Conduct]*, 61 NY2d 349, 356 [1984]; *Matter of VonderHeide [State Commn. on Jud. Conduct]*, 72 NY2d 658, 660-661 [1988]), there is no indication that the Rules were meant to be used as a predicate for criminal sanctions (*see La Carrubba*, 46 NY2d 658, 664-665 [1979], *supra*; *People v Stuart*, 100 NY2d 412, 419 [2003]). As a result, the six charges of receiving reward for official misconduct in the second degree, as outlined by the Supreme Court, were properly dismissed.

Finally, the majority refers to language in *La Carrubba* that “the Code of Judicial Conduct that existed in 1974 was merely ‘a compilation of ethical objectives and exhortations’ which were ‘[c]ouched in the subjunctive mood,’ ” adopted by the

American Bar Association, then the New York State Bar Association and then “incorporated by reference in the respective rules of the Appellate Divisions.” (Majority op at 616.) Thus, the Code consisted of rules adopted by the Appellate Divisions. Here, the Rules of Judicial Conduct were promulgated by the Chief Administrator of the Courts and designed to “provide guidance to judges and candidates for elective judicial office and to provide a structure for regulating conduct through disciplinary agencies.” (22 NYCRR part 100 [preamble].) The Legislature thus directed the Chief Administrator of the Courts to adopt rules of conduct, not criminal statutes.

New York State Constitution, Article VI, § 20 (b) and Judiciary Law § 212 (2) (b)

The overriding principle that governs in this instance is whether it was the legislative intent to make criminal judicial conduct based upon the Rules of Judicial Conduct. The principle in effect in this case, as has been true in other cases, is that “legislative intent is the great and controlling principle” (see *Matter of Theroux v Reilly*, 1 NY3d 232, 244 [2003]; *Matter of Sutka v Conners*, 73 NY2d 395, 403 [1989]; *Staats*, 267 NY 290, 306 [1935], *supra*). There is no evidence that the Rules of Judicial Conduct were meant as a predicate for criminal prosecution.

New York Constitution, article VI, § 20 (b) states in part, “Judges and justices of the courts specified in this subdivision shall also be subject to such rules of conduct as may be promulgated by the chief administrator of the courts with the approval of the court of appeals.” No evidence is submitted that indicates any Judge of this Court intended the Rules of Judicial Conduct to be a portion of any criminal statute without specific language from the Legislature designating such conduct a crime. Judiciary Law § 212 (2) (b) states that the Chief Administrator of the Courts shall “[p]romulgate rules of conduct for judges and justices of the unified court system with the approval of the court of appeals, in accordance with the provisions of section twenty of article six of the constitution.” Again, no evidence is submitted that any Judge of this Court determined that a vote for the Rules of Judicial Conduct was a vote for a criminal statute or part of a criminal statute. Moreover, no evidence is submitted that the Legislature intended that by referring to the constitutional provision permitting the Chief Administrator of the Courts to promulgate rules of judicial conduct, it was also making such rules, which were to be promulgated in the future, crimes for which a prosecutor could indict.

Vagueness

Defendant was not on notice that violations of the Rules of Judicial Conduct would result in violations of the criminal statute. Therefore, it would be a violation of defendant's due process rights if appellant's arguments were accepted and the prosecution proceeded, with proof of crimes based on the Rules of Judicial Conduct.

A statute is unconstitutionally vague when it does not give "fair notice to those to whom [it] is directed" that their behavior may subject them to criminal prosecution (*see American Communications Assn. v Douds*, 339 US 382, 412 [1950]; *People v Stuart*, 100 NY2d 412, 418 [2003]). In *People v Stuart*, this Court laid out a two part test for determining whether a statute is void for vagueness. First, a court must determine "whether the statute in question is 'sufficiently definite "to give a person of ordinary intelligence fair notice that his contemplated conduct is forbidden by the statute" ' " (*see* 100 NY2d 412, 420 [2003], *supra*, quoting *People v Nelson*, 69 NY2d 302, 307 [1987]). Second, the statute must be reviewed to determine "whether the enactment provides officials with clear standards for enforcement" (*see Stuart*, 100 NY2d at 420, *supra*). "As generally stated, the void-for-vagueness doctrine requires that a penal statute define the criminal offense with sufficient definiteness that ordinary people can understand what conduct is prohibited and in a manner that does not encourage arbitrary and discriminatory enforcement" (*see Kolender v Lawson*, 461 US 352, 357 [1983] [citations omitted]).

The Rules of Judicial Conduct state specifically, "They are not designed or intended as a basis for civil liability or criminal prosecution." (22 NYCRR part 100 [preamble].) The stated purpose of the Rules alone renders specific rules vague if used for criminal prosecution. There is nothing in the Rules themselves that remotely suggests criminal prosecution. In fact, the duties at issue are related to rules of conduct for the profession rather than criminal standards of official misconduct. Certainly, defendant was on notice that his conduct would violate sections of the Penal Law. He was also on notice that his conduct violated the Rules of Judicial Conduct which could lead to charges by the Commission on Judicial Conduct.

The words of the motion court that dismissed the charges on appeal here are entirely relevant:

"Section 20 (a) of article VI of New York's Constitu-

tion provides that ‘Judges . . . shall . . . be subject to such rules of conduct as may be promulgated by the chief administrator of the courts with the approval of the court of appeals.’ . . .

“Much like the Code of Judicial Conduct which it parallels, the Rules of Judicial Conduct part of the Rules of the Chief Administrator of the Courts (22 NYCRR part 100) is, in large measure, a compilation of ethical standards, goals, and aspirations that are stated in broad and general terms. Thus, for example, the rules provide that ‘[a] judge should participate in establishing, maintaining and enforcing high standards of conduct, and shall personally observe those standards so that the integrity and independence of the judiciary will be preserved’ (22 NYCRR 100.1), and that ‘[a] judge shall respect and comply with the law and shall act at all times in a manner that promotes public confidence in the integrity and impartiality of the judiciary’ (22 NYCRR 100.2 [A]), and that ‘[a] judge shall be patient, dignified and courteous to litigants, jurors, witnesses, lawyers and others with whom the judge deals in an official capacity, and shall require similar conduct of lawyers, and of staff, court officials and others subject to the judge’s direction and control’ (22 NYCRR 100.3 [B] [3]).

“The notion that rules like these can define an element of a crime is untenable. . . .

“In light of both their language and their application, the two rules at issue here are problematic when employed to define an element of a crime. And, significantly, they were never meant to be used for that purpose.” (4 Misc 3d 258, 263-265 [2004].)

The Majority Decision

First, the majority asserts that the preamble of the Rules of Judicial Conduct which states, “They are not designed or intended as a basis for civil liability or criminal prosecution,” is not controlling and cites McKinney’s Cons Laws of NY, Book 1, Statutes § 122 in support of its position. Section 122 does not support the majority and states:

“The preamble or preliminary recitals of a statute are no part of the statute and do not control or af-

fect its terms, although they may be considered as an aid to interpretation when the body of the act is not free from ambiguity.”

“However, a preamble frequently contains recitals which illuminate the purpose and intent of the enactment. In fact, it is said to be the key which opens the mind of the lawmakers as to the mischiefs which are intended to be remedied by the statute, and it may sometimes be considered in determining legislative intent. Accordingly, the language of a preliminary recital may be considered as an aid to interpretation when the body of the act is not free from ambiguity, and a legislative declaration concerning public conditions is entitled to great respect though it is not conclusive.” (Statutes § 122, Comment [emphasis added].)

The underscored portion indicates that a preamble may indicate the intent of the Legislature. While we are not dealing with a statute here, even if section 122 applies, it supports the fact that the Rules of Judicial Conduct are not criminal statutes. It does so by its explicit words.

The majority indicates that since the language of the rules is “mandatory” (majority op at 616) rather than precatory, a person of reasonable intelligence is on notice of possible criminal prosecution. There is not a single case that supports the majority’s assertion that defendant was on notice that the Rules of Judicial Conduct would serve as the basis for a criminal prosecution. As a result, whether the word “shall” or “may” is used does not suffice for purposes of notice in relation to criminal prosecution (*People v Stuart, supra* [words not sufficiently definite for purposes of criminal prosecution]).

Second, a criminal prosecutor becomes the judge of when and how a rule of judicial conduct becomes criminal. The majority does not define the duties that can lead to criminal prosecution as opposed to sanctions by the Commission on Judicial Conduct. Does a judge now risk criminal prosecution when he or she advises a relative or friend that a particular lawyer is well suited to handle a case? Is a judge improperly exercising his or her authority when a recommendation is given to a law school? What if a judge recommends one school over another? Suppose a judge is on a not-for-profit board of directors and his or her name inadvertently appears on a notice of a fundraiser, a matter forbidden by the Rules? Should

a judge refrain from all of these things because he or she lends the prestige of the office and promotes the interest of the judge or another person in violation of 22 NYCRR 100.2? Which rules subject a judge to criminal prosecution and which do not?

Third, the Commission on Judicial Conduct which is given constitutional authority in article VI, § 22 of the New York State Constitution to investigate and determine whether judicial conduct violates the Rules is now placed in a secondary position. Section 22 states in part:

“There shall be a commission on judicial conduct. The commission on judicial conduct shall receive, initiate, investigate and hear complaints with respect to the conduct, qualifications, fitness to perform or performance of official duties of any judge or justice of the unified court system, in the manner provided by law; and, in accordance with subdivision d of this section, may determine that a judge or justice be admonished, censured or removed from office for cause, including, but not limited to, misconduct in office, persistent failure to perform his or her duties, habitual intemperance, and conduct, on or off the bench, prejudicial to the administration of justice, or that a judge or justice be retired for mental or physical disability preventing the proper performance of his or her judicial duties.”

Does the Commission on Judicial Conduct now wait to see if there is going to be a criminal prosecution before it acts?

Conclusion

It is simply incorrect that judges are immune from the criminal law if the Rules of Judicial Conduct do not authorize a criminal action. This defendant, without reference to the Rules of Judicial Conduct, is being prosecuted for bribe receiving in the third degree (Penal Law § 200.10), official misconduct (Penal Law § 195.00 [2]) and receiving unlawful gratuities (Penal Law § 200.35).

For the foregoing reasons, I dissent in part and would affirm the dismissal of six counts of receiving reward for official misconduct in the second degree and one count of official misconduct.

Chief Judge KAYE and Judges ROSENBLATT, GRAFFEO, READ and R.S. SMITH concur with Judge CIPARICK; Judge G.B. SMITH dissents in part and votes to affirm in a separate opinion.

Order modified by reinstating six counts charging defendant with receiving reward for official misconduct in the second degree and, as so modified, affirmed.

[848 NE2d 1285, 815 NYS2d 908]

TIMOTHY J. HINLICKY, as Administrator of the Estate of MARIE M. HINLICKY, Deceased, and as Executor of WILLIAM P. HINLICKY, Deceased, Appellant, v DAVID C. DREYFUSS, M.D., et al., Respondents.

Argued March 28, 2006; decided May 2, 2006

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered March 17, 2005. The Appellate Division affirmed three judgments of the Supreme Court, Broome County (Walter J. Relihan, J.), entered upon jury verdicts in favor of defendants, which had dismissed the complaint.

Hinlicky v Dreyfuss, 18 AD3d 18, affirmed.

HEADNOTES

Evidence — Hearsay Evidence — Medical Malpractice — Admission into Evidence of Algorithm Used by Treating Physician to Evaluate Patient's Preoperative Need for Cardiac Evaluation

1. In a medical malpractice action arising from the death of plaintiff's decedent following cardiac surgery in which the primary issue was whether defendants were negligent in not obtaining a preoperative cardiac evaluation to insure that decedent's heart could tolerate the surgery, the trial court properly exercised its discretion in admitting into evidence a flow chart, or algorithm, that defendant anesthesiologist claimed to have followed in deciding to allow the surgery without the cardiac evaluation. While the algorithm, which was taken from a set of clinical guidelines published before decedent's surgery by the American Heart Association in association with the American College of Cardiology, was an extrajudicial statement, it was not offered to prove the truth of the matter asserted therein. Instead, it was admitted during defendant anesthesiologist's testimony as demonstrative evidence of the steps he had followed in clearing decedent for surgery. Although it may be that jurors could draw unsupported inferences from demonstrative evidence excerpted from clinical practice guidelines and reproduced as an exhibit, here the treating physician, a fact witness, testified about his own use of the algorithm, and plaintiff never requested a limiting instruction in order to clarify that the algorithm was being offered as demonstrative, not substantive, evidence.

Evidence — Hearsay Evidence — Medical Malpractice — Admission into Evidence of Chart Used by Expert Witness to Evaluate Patient's Preoperative Need for Cardiac Evaluation

2. In a medical malpractice action arising from the death of plaintiff's decedent following cardiac surgery in which the primary issue was whether defendants were negligent in not obtaining a preoperative cardiac evaluation to insure that decedent's heart could tolerate the surgery, the admission into

evidence during the testimony of an expert witness for the defense of a chart that was created after decedent's surgery for use by the expert's hospital in evaluating the need for preoperative cardiac evaluations may have been error on relevancy grounds, but such error was harmless.

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By the Publisher's Editorial Staff

AM JUR 2d, Evidence §§ 988, 995; AM JUR 2d, Expert and Opinion Evidence §§ 22, 28; AM JUR 2d, Physicians, Surgeons, and Other Healers §§ 314, 317–322, 330.
CARMODY-WAIT 2d, Presentation of the Case §§ 56:139, 56:140.
NY JUR 2d, Evidence and Witnesses §§ 437, 484, 645, 727, 729, 730; NY JUR 2d, Malpractice §§ 310, 313, 314.

ANNOTATION REFERENCE

See ALR Index under Expert and Opinion Evidence; Harmless and Prejudicial Error; Malpractice By Medical or Health Professions.

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POINTS OF COUNSEL

Powers & Santola, LLP, Albany (*Michael J. Hutter* of counsel), for appellant. I. The algorithm and table are not admissible per se as evidence of the appropriate standard of care but rather are subject to the admissibility requirements of New York's evidence rules. (*Elliott v City of New York*, 95 NY2d 730; *Spensieri v Lasky*, 94 NY2d 231; *Gruntz v Deepdale Gen. Hosp.*, 163 AD2d 564; *Amsler v Verrilli*, 119 AD2d 786; *Toth v Community Hosp. at Glen Cove*, 22 NY2d 255; *Fiore v Galang*, 64 NY2d 999; *Koehler v Schwartz*, 48 NY2d 807; *McDermott v Manhattan Eye, Ear & Throat Hosp.*, 15 NY2d 20; *Meiselman v Crown Hgts. Hosp.*, 285 NY 389; *Hammer v Rosen*, 7 NY2d 376.) II. The algorithm and table were erroneously admitted into evidence since, as offered into evidence and used at trial, they constituted hearsay and fell outside of any recognized hearsay exception. (*Spensieri v Lasky*, 94 NY2d 231; *Foggett v Fischer*, 23 App Div 207; *Matter of Morfesis v Sobol*, 172 AD2d 897, 78 NY2d 856; *People v Feldman*, 299 NY 153; *Mark v Colgate Univ.*, 53 AD2d 884; *Hastings v Chrysler Corp.*, 273 App Div 292; *People v*

Riccardi, 285 NY 21; *Hutchinson v Groskin*, 927 F2d 722; *United States v Tran Trong Cuong*, 18 F3d 1132; *Liuni v Haubert*, 289 AD2d 729.) III. The Cayuga Medical Center form was erroneously admitted into evidence since as offered and used at trial it was irrelevant and constituted hearsay and fell outside of any recognized hearsay exception. (*Garthe v Ruppert*, 264 NY 290; *Guldy v Pyramid Corp.*, 222 AD2d 815.) IV. Reversible error is present which warrants a new trial against all defendants. (*Pahl v Troy City Ry. Co.*, 81 App Div 308; *People v Riccardi*, 285 NY 21.)

Sugarman Law Firm, LLP, Syracuse (*Timothy J. Perry* of counsel), for *Riverside Associates in Anesthesia, P.C.*, respondent. I. The American Heart Association/American College of Cardiology algorithm was properly received into evidence. (*Flah's, Inc. v Rosette Elec.*, 155 AD2d 772; *Liuni v Haubert*, 289 AD2d 729; *Borden v Brady*, 92 AD2d 983; *Brown v County of Albany*, 271 AD2d 819; *Hornbrook v Peak Resorts*, 194 Misc 2d 273; *People v Sugden*, 35 NY2d 453; *Wagman v Bradshaw*, 292 AD2d 84; *Hambsch v New York City Tr. Auth.*, 63 NY2d 723; *Schou v Whiteley*, 9 AD3d 706; *Greene v Xerox Corp.*, 244 AD2d 877.) II. Any error in admission of the algorithm was harmless and does not require a new trial. (*Kaskoff v Anderson*, 18 AD2d 192, 13 NY2d 911; *Spadaccini v Dolan*, 63 AD2d 110; *Evans v Newark-Wayne Community Hosp.*, 35 AD2d 1071; *Lutwak v United States*, 344 US 604; *Nestorowich v Ricotta*, 97 NY2d 393; *Ferrantello v St. Charles Hosp. & Rehabilitation Ctr.*, 275 AD2d 387; *Hartmann v Ten Pin Enters.*, 252 AD2d 858; *Lolik v Big V Supermarkets*, 86 NY2d 744; *Schifelbine v Foster Wheeler Corp.*, 4 AD3d 736; *Barresi v Kapr*, 226 AD2d 1074, 88 NY2d 1005.)

Aswad & Ingraham, Binghamton (*Charles O. Ingraham* of counsel), for *David C. Dreyfuss*, respondent. I. The trial court did not abuse its discretion in allowing the algorithm used by one of defendant physicians into evidence. (*Spensieri v Lasky*, 94 NY2d 231; *Flah's, Inc. v Rosette Elec.*, 155 AD2d 772; *Archer v New York, New Haven & Hartford R.R. Co.*, 106 NY 589; *Liuni v Haubert*, 289 AD2d 729; *Hambsch v New York City Tr. Auth.*, 63 NY2d 723; *People v Sugden*, 35 NY2d 453; *Borden v Brady*, 92 AD2d 983.) II. The trial court did not abuse its discretion in allowing a form based on the algorithm to be placed in evidence.

Phelan, Phelan & Danek, LLP, Albany (*Timothy S. Brennan* and *John J. Phelan, III* of counsel), for *Robert O. Frank*, re-

spondent. I. Supreme Court did not err in admitting the algorithm. (*Spensieri v Lasky*, 94 NY2d 231; *People v Goldstein*, 6 NY3d 119; *Toth v Community Hosp. at Glen Cove*, 22 NY2d 255; *People v Wesley*, 83 NY2d 417; *Frye v United States*, 293 F 1013; *Saulpaugh v Krafte*, 5 AD3d 934; *Zafran v Zafran*, 191 Misc 2d 60; *Trimarco v Klein*, 56 NY2d 98; *Texas & Pacific R. Co. v Behymer*, 189 US 468; *Cassano v Hagstrom*, 5 NY2d 643.) II. Supreme Court did not err in allowing a form developed by Cayuga Medical Center, based upon the American Heart Association/American College of Cardiology algorithm, to be admitted into evidence. III. Any error in admitting the algorithm or the Cayuga Medical Center process was harmless.

OPINION OF THE COURT

Chief Judge KAYE.

In October 1996, decedent Marie Hinlicky, age 71, underwent an endarterectomy to remove plaque buildup in her carotid artery. Though the surgery was completed successfully, she suffered a heart attack and died 25 days later. Plaintiff, as administrator of her estate,¹ brought this medical malpractice action alleging negligence on the part of internist Robert O. Frank, surgeon David C. Dreyfuss and anesthesiologists Riverside Associates.

At the nine-day jury trial 16 witnesses testified: plaintiff and his brother; three nurses and a nonparty doctor who attended to Mrs. Hinlicky at the hospital; the three treating physicians; and seven medical expert witnesses. One question predominated: were defendants negligent in not obtaining a preoperative cardiac evaluation to insure that Mrs. Hinlicky's heart could tolerate the surgery? Dr. Gregory Ilioff, an anesthesiologist affiliated with Riverside, was the third of her physicians to testify as part of plaintiff's case-in-chief. During his cross-examination, Dr. Ilioff claimed he had followed a flow chart, or algorithm, in deciding to allow the surgery without the cardiac evaluation. The issue now before us is whether the trial court properly exercised its discretion in admitting the algorithm into evidence. We agree with the Appellate Division that it did.

A summary of the medical testimony which is most pertinent to the issue on appeal follows.

1. Plaintiff, Mrs. Hinlicky's son, is acting in his capacity as both the administrator of her estate and as executor of the estate of his father, William P. Hinlicky, who died during the course of this litigation.

Treating Doctors' Testimony

Dr. Frank, an internist engaged in family practice, testified that he saw Mrs. Hinlicky approximately once a year starting in September 1984, primarily for treating her high blood pressure. In 1993, she complained of shortness of breath, exhaustion and chest pain, which she believed began after shoveling heavy snow in her driveway. Dr. Frank ordered an electrocardiogram (EKG), which showed a benign condition resulting from her long-standing hypertension; he diagnosed and treated gastritis and gallstones, concluding that her heart was not at risk, and her symptoms improved. In 1995, he ordered a second EKG after she complained of discomfort in her left arm and chest. The result was similar to the earlier test, and Dr. Frank determined that her symptoms were not cardiac in nature. She reported that her symptoms cleared with hot soaks and Tylenol.

In August 1996, during a routine checkup, Mrs. Hinlicky reported that her sister recently had carotid artery surgery and her brother a heart bypass. Based on a physical examination, Dr. Frank testified that he grew concerned that she might have blockages in her carotid arteries, obstructing the blood-flow to her brain, and indeed an ultrasound test showed significant blockages in both. In a follow-up appointment, Dr. Frank concluded that occasional episodes of decreased vision in Mrs. Hinlicky's right eye were symptoms of a condition associated with the blocked carotid artery and he referred her to the larger, regional hospital for a surgical evaluation.

After his own examination and review of the ultrasound, Dr. Dreyfuss, a vascular surgeon, ordered a third EKG, a chest X-ray, blood tests and an angiogram revealing a 70%-to-75% blockage of the left carotid artery and more mild blockage of the right. He recommended an endarterectomy—an operation he had performed hundreds of times—and explained that without the surgery, she faced the possibility of a stroke. He testified that it was his practice to order invasive cardiology workups on patients who previously had heart attacks, open-heart surgery and episodes of congestive heart failure, but concluded that was unnecessary because Mrs. Hinlicky “had never had a heart attack, she was taking only a mild anti-[hyper]tensive medication, wasn't taking digoxin or medication to help her heart pump harder, didn't have . . . congestive heart failure, had a cardiogram that had been stable for a period of three years and didn't have any active chest pain.” Dr. Dreyfuss did not order a stress test or angioplasty because, he testified, they presented

risks that in her case had little likelihood of benefit or changing his prescribed therapy.

Dr. Ilioff, the anesthesiologist, testified that he reviewed Mrs. Hinlicky's medical history, her chart, the laboratory results, EKGs from 1995 and 1996, and two preoperative nursing assessments, and that he examined and interviewed her. Specifically, he questioned her regarding potential coronary ischemia (lack of blood-flow to the heart) and assigned her a value of "three" on the American Society of Anesthesiologists' scale for surgery—meaning she had a severe systemic disease which he described as a blockage in the vessel in her neck.² He explained that he decided not to send her for a preoperative cardiac evaluation based on the type of surgery involved, her history and her functional capacity.

After testifying at length concerning the steps leading to his decision not to refer Mrs. Hinlicky for preoperative cardiac testing, Dr. Ilioff noted that he had followed a set of clinical guidelines published in 1996 by the American Heart Association (AHA) in association with the American College of Cardiology (ACC). He testified without objection that he incorporated the guidelines into his practice shortly after they were published, because they helped physicians decide "which patient needs to go for a cardiac evaluation . . . and which patient can proceed to the operating room," and he identified proposed "Exhibit C" as the AHA/ACC "flow diagram that [he] used and continued to use to evaluate patients for pre-operative need for cardiac evaluation." (Neither of the physician defendants who testified before Dr. Ilioff, in describing the basis for their decision not to refer Mrs. Hinlicky for preoperative cardiac testing, mentioned the algorithm.)

When defense counsel asked Dr. Ilioff for background on the guidelines, plaintiff objected to any testimony that would "involve a discussion of what others have stated or what others have done. That is clearly hearsay." The trial court speculated as to whether "we need to get into the basis for the program he followed. It would involve other testimony by other experts and perhaps the objection is well founded in that regard." This colloquy ensued:

"[DEFENSE COUNSEL]: And that is true, I believe, your Honor, but inasmuch as Dr. Ilioff has indicated

2. "One" signified a normal patient without any medical problems, "six" a patient who was brain-dead and presenting for an organ transplant.

that he utilized these guidelines himself, I believe it would be pertinent at this time to review those with him and that's what I'm attempting to do, to lay the foundation with respect to those guidelines.

“THE COURT: Well, I think perhaps if he can tell us the prominence of the conclusion they reached rather than going in to what they did to reach the conclusion that would perhaps obviate the hearsay problems.

“[PLAINTIFF'S COUNSEL]: I don't have any problem if he wants to testify about his practice and how he conducts his practice. But it's improper to be testifying about what others have stated with respect to any of that.”

After an off-the-record sidebar, Dr. Ilioff testified without further objection that the algorithm was “a flow diagram. And it helps us in a decision making process. Helps us decide what patients to send to the operating room, what patients to send to the cardiologist.” According to the witness, the algorithm was commonly used by anesthesiologists but was also available to surgeons, internists and family physicians, and he would consult it for patients like Mrs. Hinlicky who were at risk for coronary artery disease to determine the need for cardiac evaluation. When defense counsel offered the algorithm into evidence, plaintiff objected on the ground that:

“this is a document taken from some other document. This is a chart taken from some other document. It's clearly hearsay in nature. And I believe that the witness can testify as to what guidelines he uses and how he uses them, but to use the chart, I think, is improper. As itself it is hearsay, that's my objection.

“THE COURT: Well, I think it probably is technically speaking hearsay, but I think it's a classic case for the use of the professional reliability exception to that rule. It is a document, as I understand it, which does not purport to resolve any crucial issue in the case. It's to be used only to explain an evaluation procedure [] which a treating doctor used, as merely one link in the chain [] which he relied upon to reach a conclusion. It is according to the testimony I've heard from the witness a material reasonably

relied upon by anesthesiologists and others who do pre-operative assessments of a patient who [is] at some risk for coronary artery disease, is that true?

“THE WITNESS: That’s correct.

“THE COURT: I’ll allow it under the professional [re]liability exception to the rule against hearsay.”³

Dr. Ilioff then testified that the chart provided a list of variables, the presence or absence of each variable pointing toward surgery or cardiac evaluation. The witness explained that he went through each step of the chart and, based on his assessment of the variables, concluded that there was no need for a cardiac evaluation. He did not consider factors that were not on the chart, because in his opinion, such factors do not “make a difference in the patient’s outcome.”

Plaintiff called three medical experts, and defendants four. While not disputing the reliability of the algorithm, six of the seven expert witnesses clashed over its significance as the standard of care.

Plaintiff’s Medical Experts

Plaintiff’s cardiology expert maintained that at “mandatory minimum” Mrs. Hinlicky should have had a preoperative stress test. In his view, it was the standard of care to deal with heart problems before undertaking carotid surgery “under all reasonable medical conditions.” On cross-examination, he acknowledged that the algorithm provided a general approach but a decision about treatment additionally requires consideration of the specifics of a patient’s case. The guidelines “were never intended to be the standard of practice because it’s too simplified, it’s a general summary of the general approach.” A vascular surgeon testified that “[t]he literature is abundant and was in 1996 that ruling out a critical coronary lesion or finding . . . [and] correcting it . . . greatly reduces the cardiac risk [in] subsequent vascular surgery.” He opined on cross-examination that guidelines “have some usefulness, but don’t take in to account all risk factors and all clinical situation[s], so every patient has to be individualized, not cookie-cuttered out.” It was not reasonable, in his view, for a surgeon to rely solely on guidelines.

3. The court permitted defense counsel to use another document (Exhibit E)—a table defining high, intermediate and low surgical risks—as part of his examination of Dr. Ilioff on the theory that the table was incorporated into the algorithm. References to the algorithm include the table.

Finally, a specialist in anesthesia and pain management agreed that Dr. Ilioff should not have permitted Mrs. Hinlicky to undergo surgery without further cardiac testing. While he was aware of the guidelines, he maintained on cross-examination that they were not published by a recognized anesthesia journal at the time and he had not incorporated them into his practice, as “[g]uidelines are guidelines.”

Defendants’ Medical Experts

A surgeon called on behalf of Dr. Dreyfuss was president and CEO for medical affairs at Cayuga Medical Center; he testified that he was familiar with the guidelines promulgated in 1996, and that in 1997 a committee at his hospital adapted them as a model for their own surgeons (Exhibit F). Plaintiff’s counsel objected on the ground that Exhibit F was created after Mrs. Hinlicky’s death by a different hospital, and might have been based on information that did not exist in 1996. The court nonetheless allowed Exhibit F into evidence, and using it as a guide, the surgeon explained that he would not have ordered a cardiac evaluation. Second, an anesthesiologist testifying for Riverside noted that he and his colleagues were aware of Exhibit C and embraced it as “an important kind of a breakthrough, an important tool for all of us to use . . . [a] common language we could use in a way to manage patients in very—both efficient and safe way[s].” Using both Exhibit C and Exhibit F the anesthesiologist concluded that there was no need for a cardiac evaluation. Third, a cardiologist described Exhibit C as “the most logical sequence” to follow in determining when to call in a cardiologist for a preoperative assessment. He opined that a physician relying on the guidelines in 1996 would be “practicing state of the art care.” Finally, an internist and specialist in geriatric medicine testified for Dr. Frank that his referral was appropriate and not a deviation from the standard of care; the witness was asked no questions about the guidelines.

Prior to charging the jury on the law, the trial court summarized the parties’ positions:

“The plaintiff’s position and contention is that [a cardiac evaluation] referral was required by the standards of care prevailing in 1996, given Marie Hinlicky’s physical condition and history. The defendants contend that the 1996 guidelines adopted by the American Heart Association and the College

of Cardiology were the standards of care in 1996 and were followed by the defendants in their care and treatment of Marie Hinlicky. And that, in accordance with the guidelines and their findings, a judgment was reached that no such referral was warranted.”

Only counsel for Dr. Frank raised an objection to the court’s instruction, eschewing reliance on the guidelines. Asked to determine whether each defendant was negligent for failing to secure a preoperative cardiac clearance, the jury unanimously found for defendants. The Appellate Division unanimously affirmed, holding that the trial court properly admitted the algorithm into evidence because it was offered not for its truth, and “not to establish a per se standard of care but for the non-hearsay purpose of illustrating a physician’s decision-making methodology” (18 AD3d 18, 21 [3d Dept 2005]). We now affirm.

Discussion

[1] Plaintiff urges that the admission of the algorithm into evidence was reversible error entitling him to a new trial. Like the Appellate Division, we conclude that in this case the algorithm was correctly admitted during Dr. Ilioff’s testimony as demonstrative evidence of the steps he had followed in clearing Mrs. Hinlicky for surgery.

In New York, scientific works generally are excluded as hearsay when offered for their truth (*see People v Riccardi*, 285 NY 21 [1941]).⁴ For well over a decade, commentators have debated whether clinical practice guidelines such as those engendering the algorithm should be admissible for their “truth” as evidence of the standard of care (*see e.g.*, Mello, *Of Swords and Shields: The Role of Clinical Practice Guidelines in Medical Malpractice Litigation*, 149 U Pa L Rev 645 [2001]; Williams, *Evidence-Based Medicine in the Law Beyond Clinical Practice Guidelines: What Effect Will EBM Have on the Standard of Care?*, 61 Wash & Lee L Rev 479 [2004]).⁵

While it is true that the algorithm is an extrajudicial statement, it would only be “classic” hearsay if offered to prove the

4. Clinical practice guidelines have been defined variously as “systematically developed statements to assist practitioner and patient decisions about appropriate health care for specific clinical circumstances,” and as “standardized specifications for care, either for using a procedure or for managing a particular clinical problem” (Rosoff, *The Role of Clinical Practice Guidelines in Health Care Reform*, 5 Health Matrix 369, 370 [1995]).

5. Courts have set some parameters for the use of clinical practice guidelines in medical malpractice cases. For example, in *Diaz v New York*

(n. cont’d)

truth of the matter asserted therein. Defense counsel, in cross-examining his client, sought to admit the algorithm on the ground that “as Dr. Ilioff has indicated that he utilized these guidelines himself, I believe it would be pertinent at this time to review those with him and that’s what I’m attempting to do, to lay the foundation with respect to those guidelines.” The witness testified that he used a “flow diagram” as an aid to determine which patients would be likely to benefit from a cardiac workup before surgery and which would not. He explained that “it helps us in a decision making process. Helps us decide what patients to send to the operating room, what patients to send to the cardiologist.” Without objection, he testified that the process he used was consistent with a set of “clinical guidelines” recommended by the AHA and the ACC, that the “flow diagram” had been published prior to the surgery and that he had incorporated the process into his practice.

Thus, counsel offered the algorithm as a demonstrative aid for the jury in understanding the process his client had followed. Indeed, the trial court stated that it was admitting the algorithm to illustrate Dr. Ilioff’s evaluation process:

“It is a document, as I understand it, which does not purport to resolve any crucial issue in the case. It’s to be used only to explain an evaluation procedure [] which a treating doctor used, as merely one link in the chain [] which he relied upon to reach a conclusion.”

Before us, plaintiff now argues that the most troubling aspect of this approach is that there was no meaningful distinction between offering the algorithm to prove its truth, and offering it

Downtown Hosp. (99 NY2d 542, 545 [2002]), we rejected the use of clinical practice guidelines by plaintiff’s expert to prove an accepted practice where the authoring body explicitly stated the guidelines were “not rules” and the expert failed to set forth a factual basis for her reliance on them. In *Levine v Rosen* (532 Pa 512, 520, 616 A2d 623, 628 [1992]), the Pennsylvania Supreme Court noted approvingly that the parties introduced conflicting recommendations of the American Cancer Society and the American College of Obstetricians and Gynecologists, and viewed the guidelines as “[u]nquestionably” establishing that two schools of thought existed in the medical community on a relevant issue. (See also *Frakes v Cardiology Consultants, PC.*, 1997 WL 536949, 1997 Tenn App LEXIS 597 [1997] [Koch, Jr., J., concurring] [noting that clinical practice guidelines have emerged as a response by the medical profession to perceived shortcomings in medical practice, and that such guidelines can materially assist jurors when properly authenticated, though they should not necessarily be viewed as conclusive evidence of the standard of care].)

to illustrate the decision-making process of a party who stated that he adopted it in his practice. It may be that jurors could draw unsupported inferences from demonstrative evidence excerpted from clinical practice guidelines and reproduced as an exhibit. Here, however, the treating physician, a fact witness, testified about his own use of Exhibit C (*see* Kaye et al., *The New Wigmore: Expert Evidence* § 4.5, at 148 [2004]) and plaintiff never requested a limiting instruction.

We reject plaintiff's contention that *Spensieri v Lasky* (94 NY2d 231 [1999]) mandates a different conclusion. In that case, the plaintiff sought to introduce the Physicians' Desk Reference (PDR) by itself to establish the standard of care. This Court rejected the contention that the PDR constituted prima facie evidence of a standard of care, observing that the PDR could have some significance in identifying a doctor's standard of care, but it could not be determinative. We reasoned that material in the PDR should be analyzed only in the context of a patient's medical condition, and thus expert testimony would be needed to interpret whether the treatment in question presented an acceptable risk for the patient. We concluded that the plaintiff was not barred from offering expert testimony partially based on reliance on the PDR; rather, she was prohibited from offering excerpts from the PDR as "stand alone proof" of a standard of care (*id.* at 239). In this case, of course, the algorithm was not admitted "by itself" to establish a standard of care, but was admitted to explain "one link in the chain" of Dr. Ilioff's evaluation process.

Once admitted for demonstrative purposes, however, clinical practice guidelines may raise the question whether, and in what way, courts should circumscribe their use substantively by medical experts. Indeed, here, experts on both sides were invited to opine on the algorithm's significance. Plaintiff's first expert acknowledged on cross-examination that the algorithm provided a general approach in the decision-making process, but that, in addition to the steps in the algorithm, a decision about treatment must be made by considering the specifics of the individual patient's case, such as the risks to the patient, the EKG, and the type of surgery to be performed. He also testified that he did not disagree with the guidelines so long as they were not utilized as a rule to be applied to all patients. Had plaintiff been concerned that the purpose for admitting the algorithm was changing from demonstrative to substantive evidence, he surely could and should have said so.

Defendants additionally maintain that the algorithm was properly admitted under the professional reliability exception to the hearsay rule, which enables an expert witness to provide opinion evidence based on otherwise inadmissible hearsay, provided it is demonstrated to be the type of material commonly relied on in the profession (see e.g., *Hambusch v New York City Tr. Auth.*, 63 NY2d 723, 726 [1984]; see also Prince, Richardson on Evidence § 7-311 [Farrell 11th ed]). Because the trial court's proper basis for admitting the algorithm was demonstrative and plaintiff made no request for clarification or limiting instructions, we need not reach this issue. We note only that whether evidence may become admissible solely because of its use as a basis for expert testimony remains an open question in New York (see *People v Goldstein*, 6 NY3d 119, 126-127 [2005] [concerning out-of-court *factual* statements]). While some jurisdictions allow otherwise inadmissible materials relied upon by an expert witness to reach the jury for nonhearsay purposes, we have acknowledged the need for limits on admitting the basis of an expert's opinion to avoid providing a "conduit for hearsay" (*id.* at 126).⁶ Absent timely objection by plaintiff, however, we need not decide whether in this instance the trial court applied proper limits in allowing the algorithm to be viewed by the jury to evaluate the experts' opinions or for some other nonhearsay purpose.

[2] Finally, plaintiff contends that the court erred in admitting Exhibit F during the testimony of a defense expert. Plaintiff timely objected to the chart on the ground that it was created a year after Mrs. Hinlicky's death by a different hospital, and might have been based on information that did not exist in 1996. Though admission of the chart may have been error on relevancy grounds, we conclude that such error was harmless.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Judges G.B. SMITH, CIPARICK, ROSENBLATT, GRAFFEO, READ and R.S. SMITH concur.

Order affirmed, with costs.

6. For example, rule 703 of the Federal Rules of Evidence ("Bases of Opinion Testimony by Experts") permits admission of "[f]acts or data that are otherwise inadmissible" when in its discretion the court determines the material has probative value in aiding the jury in evaluating the expert's opinion, substantially outweighing prejudicial effect.

[849 NE2d 262, 816 NYS2d 403]

In the Matter of JACOB HELLER, Deceased. SANDRA DAVIS, as
Attorney-in-Fact for BERTHA M. HELLER, Appellant; HER-
BERT M. MILLER et al., Respondents.

Argued March 22, 2006; decided May 4, 2006

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered August 15, 2005. The Appellate Division (1) affirmed so much of an order of the Surrogate's Court, Westchester County (Anthony A. Scarpino, Jr., S.), as had denied that branch of petitioner's motion which was for summary judgment annulling respondents' unitrust election pursuant to EPTL 11-2.4; (2) reversed, on the law, so much of the order as had granted those branches of petitioner's motion which were for summary judgment annulling the retroactive application of the unitrust election to January 1, 2002 and directing respondents to pay to the beneficiary the income that otherwise would have been paid to her but for the retroactive application of the unitrust election; and (3) denied those branches of petitioner's motion for summary judgment. The following question was certified by the Appellate Division: "Was the opinion and order of this court dated August 15, 2005, properly made?"

Matter of Heller, 23 AD3d 61, affirmed.

HEADNOTES

Trusts — Breach of Fiduciary Duty — Exercise of Unitrust Election by Interested Trustee

1. Respondents, who were trustees of a testamentary trust created under their father's will for the benefit of his wife, and who, along with their two sisters, were also remainder beneficiaries of the trust, were not barred as a matter of law from electing unitrust status, by which income would be calculated according to a fixed formula, even though such election significantly reduced the income distribution to decedent's wife while at the same time benefitting respondents as remainder beneficiaries. In enacting the optional unitrust provision, the Legislature did not mean to prohibit trustees who have a beneficial interest from electing unitrust treatment. Although the common law in New York contains an absolute prohibition against self-dealing, here the trustees owed fiduciary obligations not only to the trust's income beneficiary, but also to the other remainder beneficiaries. That those beneficiaries' interests happened to align with the trustees' did not relieve the trustees of their duties to them. In determining whether application of the optional unitrust provision was appropriate, however, it remained for Surrogate's Court to review the process and assure the fairness of the trustees' election, by applying relevant factors including those enumerated in EPTL 11-2.4 (e) (5) (A).

Trusts — Breach of Fiduciary Duty — Exercise of Unitrust Election by Interested Trustee — Retroactive Application of Statute

2. A trustee may elect unitrust status for a trust pursuant to EPTL 11-2.4, by which income is calculated according to a fixed formula, retroactively to January 1, 2002, the effective date of the statute. EPTL 11-2.4 provides that a trustee who elects unitrust status may specify the date on which the interest of a beneficiary begins, thereby vesting trustees with authority to determine the effective date of unitrust elections.

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AM JUR 2d, Trusts §§ 333, 344, 502, 507.
 CARMODY-WAIT 2d, Duties, Powers, and Liabilities of
 Fiduciaries §§ 157:143, 157:148, 157:150.
 MCKINNEY'S, EPTL 11-2.4.
 NY JUR 2d, Trusts § 400.9.

ANNOTATION REFERENCE

See ALR Index under Trusts and Trustees.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: trustee /s elect! /3 unitrust

POINTS OF COUNSEL

Greenfield Stein & Senior, LLP, New York City (*Gary B. Freidman* and *Jeffery H. Sheetz* of counsel), for appellant. I. The rule against fiduciary self-dealing is one of the most deeply ingrained principles of our common law; the Appellate Division's construction of the Legislature's silence on this issue as approval of such conduct is unsupported by the legislative history, contrary to established canons of statutory construction, and undermines the rule against undivided loyalty to which this Court has adhered for over 100 years. (*Meinhard v Salmon*, 249 NY 458; *Wendt v Fischer*, 243 NY 439; *Munson v Syracuse, Geneva & Corning R.R. Co.*, 103 NY 58; *Dutton v Willner*, 52 NY 312; *City Bank Farmers Trust Co. v Cannon*, 291 NY 125; *Matter of Durston*, 297 NY 64; *Birnbaum v Birnbaum*, 73 NY2d 461; *Matter of Ryan*, 291 NY 376; *Transit Commn. v Long Is. R.R. Co.*, 253 NY 345; *Fitzgerald v Quann*, 109 NY 441.) II. The Surrogate's Court properly determined that the trustees could not elect unitrust retroactive to January 1, 2002.

Thacher Proffitt & Wood LLP, White Plains (*Kevin J. Plunkett*, *Darius P. Chafizadeh* and *Stefanie A. Bashar* of counsel),

and *Greenberg Traurig, LLP*, New York City (*Linda B. Hirschson* of counsel), for respondents. I. The unitrust election is proper. (*Andre v Pomeroy*, 35 NY2d 361; *Menzel v Plotnick*, 202 AD2d 558; *Nicklas v Tedlen Realty Corp.*, 305 AD2d 385; *Strychalski v Mekus*, 54 AD2d 1068; *Sillman v Twentieth Century-Fox Film Corp.*, 3 NY2d 395; *Way v Grantling*, 289 AD2d 790; *People v White*, 73 NY2d 468; *Doctors Council v New York City Employees' Retirement Sys.*, 71 NY2d 669; *Riley v County of Broome*, 95 NY2d 455; *Matter of Sutka v Conners*, 73 NY2d 395.) II. The trustees correctly elected into the unitrust regime effective January 1, 2002. (*Matter of 1605 Book Ctr. v Tax Appeals Trib. of State of N.Y.*, 83 NY2d 240; *Matter of Elgut v County of Suffolk*, 1 AD3d 512; *Matter of Theroux v Reilly*, 1 NY3d 232; *Castro v United Container Mach. Group*, 96 NY2d 398; *People v Giordano*, 87 NY2d 441; *Sanders v Winship*, 57 NY2d 391; *Matter of Branford House v Michetti*, 81 NY2d 681; *Matter of Washington Post Co. v New York State Ins. Dept.*, 61 NY2d 557.)

OPINION OF THE COURT

ROSENBLATT, J.

In September 2001, New York enacted legislation that transformed the definition and treatment of trust accounting income. The Uniform Principal and Income Act (EPTL art 11-A) and related statutes (L 2001, ch 243), including the optional unitrust provision (EPTL 11-2.4), are designed to facilitate investment for total return on a portfolio. The appeal before us centers on the optional unitrust provision, which permits trustees to elect a regime in which income is calculated according to a fixed formula and based on the net fair market value of the trust assets. We hold that a trustee's status as a remainder beneficiary does not in itself invalidate a unitrust election made by that trustee, and that a trustee may elect unitrust status retroactively to January 1, 2002, the effective date of EPTL 11-2.4.

I.

In his will, after making certain other gifts of personal property and money, Jacob Heller created a trust to benefit his wife Bertha Heller (should she survive him) and his children. Heller provided that his entire residuary estate be held in trust during Bertha's life. He appointed his brother Frank Heller as trustee and designated his sons Herbert and Alan Heller as trustees on Frank's death. Every year Bertha was to receive the greater of \$40,000 or the total income of the trust. Heller named his

daughters (Suzanne Heller and Faith Willinger, each with a 30% share) and his sons and prospective trustees (Herbert and Alan Heller, each with a 20% share) as remainder beneficiaries.

Jacob Heller died in 1986, and his wife Bertha survives him. When Heller's brother Frank died in 1997, Herbert and Alan Heller became trustees. From that year until 2001, Bertha Heller received an average annual income from the trust of approximately \$190,000. In March 2003, the trustees elected to have the unitrust provision apply, pursuant to EPTL 11-2.4 (e) (1) (B) (I). As required by EPTL 11-2.4 (e) (1) (B) (III), they notified trust beneficiaries Bertha Heller, Suzanne Heller and Faith Willinger. The trustees sought to have unitrust treatment applied retroactively to January 1, 2002, the effective date of EPTL 11-2.4. As a result of that election, Bertha Heller's annual income was reduced to approximately \$70,000.

Appellant Sandra Davis commenced this proceeding, as attorney-in-fact for her mother Bertha Heller, and on August 1, 2003 moved for summary judgment, seeking, among other things, an order annulling the unitrust election and revoking the letters of trusteeship issued to Herbert and Alan Heller. She also sought a determination that the election could not be made retroactive to January 1, 2002. Surrogate's Court granted the branch of her summary judgment motion that sought to void the trustees' retroactive application of the unitrust election, but denied the branches of her motion seeking annulment of the unitrust election itself and other relief.

Davis appealed Surrogate's Court's order, and Herbert and Alan Heller cross-appealed. The Appellate Division affirmed the order to the extent that it denied Davis's summary judgment motion and reversed so much of the order as annulled the retroactive application of the unitrust election. It also granted leave to appeal and certified the following question to us: "Was the opinion and order of [the Appellate Division] dated August 15, 2005, properly made?" We conclude that it was and now affirm.

II.

The 2001 legislation that forms the subject of this appeal was designed to make it easier for trustees to comply with the

demands of the Prudent Investor Act of 1994.¹ In addition to enacting EPTL article 11-A (Uniform Principal and Income Act), the Legislature both added EPTL 11-2.3 (b) (5) to the Prudent Investor Act and included the optional unitrust provision, EPTL 11-2.4.

Under the former Principal and Income Act (EPTL 11-2.1),² a trustee was required to balance the interests of the income beneficiary against those of the remainder beneficiary (*see* EPTL 11-2.1 [a] [1]), and was constrained in making investments by the act's narrow definitions of income and principal (*see* EPTL 11-2.1 [b]). A trustee who invested in nonappreciating assets would ensure reasonable income for any income beneficiary, but would sacrifice growth opportunities for the trust funds, as inflation eroded their value; if the trustee invested for growth, remainder beneficiaries would enjoy an increase in the value of the trust at the expense of income beneficiaries.³ Moreover, the need to invest so as to produce what the former Principal and Income Act defined as income led to investment returns that failed to represent the benefits envisaged as appropriate by settlers.⁴

The Prudent Investor Act encourages investing for total return on a portfolio. Unless the governing instrument expressly provides otherwise, the act requires that trustees “pursue an *overall* investment strategy to enable the trustee to make appropriate present and future distributions to or for the benefit of the beneficiaries under the governing instrument, in accordance with risk and return objectives reasonably suited to the *entire* portfolio” (EPTL 11-2.3 [b] [3] [A] [*emphasis added*]).

The 2001 legislation allows trustees to pursue this strategy uninhibited by a constrained concept of trust accounting income. First, the Prudent Investor Act now authorizes trustees

“to adjust between principal and income to the

1. *See e.g.* Legis Mem in Support of 5th Report of EPTL-SCPA Legis Advisory Comm, 14 Warren's Heaton, Surrogates' Courts, Appendix 5.03, at App 5-171 (6th ed rev).

2. The former Principal and Income Act (EPTL 11-2.1) was superseded by the Uniform Principal and Income Act (EPTL art 11-A) enacted in 2001. The former act does not apply to receipts and expenses received or incurred after January 1, 2002 (EPTL 11-2.1 [m]).

3. *See* Turano, Practice Commentaries, McKinney's Cons Laws of NY, Book 17B, EPTL art 11-A, 2006 Pocket Part, at 82-83; *see also* 5th Report of EPTL-SCPA Legis Advisory Comm, 14 Warren's Heaton, Surrogates' Courts, Appendix 5.01, at App 5-4—5-13 (6th ed rev).

4. *See* 14 Warren's Heaton, Surrogates' Courts, at App 5-4—5-5.

extent the trustee considers advisable to enable the trustee to make appropriate present and future distributions in accordance with clause (b) (3) (A) if the trustee determines, after applying the rules in article 11-A, that such an adjustment would be fair and reasonable to all of the beneficiaries, so that current beneficiaries may be given such use of the trust property as is consistent with preservation of its value” (EPTL 11-2.3 [b] [5] [A]).

A trustee investing for a portfolio’s total return under the Prudent Investor Act may now adjust principal and income to compensate for the effects of the investment decisions on distribution to income beneficiaries (*see* 14 Warren’s Heaton, Surrogates’ Courts, at App 5-25—5-27). Alternatively, the optional unitrust provision lets trustees elect unitrust status for a trust (EPTL 11-2.4), by which income is calculated according to a fixed formula.

In a unitrust pursuant to EPTL 11-2.4, an income beneficiary receives an annual income distribution of “four percent of the net fair market values of the assets held in the trust on the first business day of the current valuation year” (EPTL 11-2.4 [b] [1]), for the first three years of unitrust treatment. This is true regardless of the actual income earned by the trust. Starting in the fourth year, the value of the trust assets is determined by calculating the average of three figures: the net fair market value on the first business day of the current valuation year and the net fair market values on the first business days of the prior two valuation years (*see* EPTL 11-2.4 [b] [2]). Income generated in excess of this amount is applied to principal.

Under the 2001 legislation, then, a trustee may invest in assets, such as equities, that outperform other types of investment in the long term but produce relatively low dividend yields for an income beneficiary, and still achieve impartial treatment of income and remainder beneficiaries. The trustee may accomplish this either by adjusting as between principal and income (*see* 14 Warren’s Heaton, Surrogates’ Courts, at App 5-25—5-27) or by electing unitrust status with the result that the income increases in proportion to the value of the principal (*id.* at App 5-14). If a trust’s assets are primarily interests in nonappreciating investments producing high yields for income beneficiaries, a unitrust election may initially result in a substantial decrease in the distribution to any income beneficiary, at least until the portfolio is diversified. This case presents such a scenario.

III.

Davis argues that the trustees are barred as a matter of law from electing unitrust status because they are themselves remainder beneficiaries, and that, in any case, they may not elect unitrust status retroactively to January 1, 2002. The Appellate Division held that the legislation does not impede unitrust election by an interested trustee, that such an election is not inconsistent, *per se*, with common-law limitations on the conduct of fiduciaries and that the statute permits trustees to select retroactive application. We agree.

[1] EPTL 11-2.3 (b) (5), the 2001 statute that gives trustees the power to adjust between principal and income, expressly prohibits a trustee from exercising this power if “the trustee is a current beneficiary or a presumptive remainderman of the trust” (EPTL 11-2.3 [b] [5] [C] [vii]) or if “the adjustment would benefit the trustee directly or indirectly” (EPTL 11-2.3 [b] [5] [C] [viii]). Tellingly, the Legislature included no such prohibition in the simultaneously enacted optional unitrust provision, EPTL 11-2.4. Moreover, in giving a list of factors to be considered by the courts in determining whether unitrust treatment should apply to a trust, the Legislature mentioned no absolute prohibitions (*see* EPTL 11-2.4 [e] [5] [A]), and created a presumption in favor of unitrust application (EPTL 11-2.4 [e] [5] [B]). We conclude that the Legislature did not mean to prohibit trustees who have a beneficial interest from electing unitrust treatment.

It is certainly true that the common law in New York contains an absolute prohibition against self-dealing, in that “a fiduciary owes a duty of undivided and undiluted loyalty to those whose interests the fiduciary is to protect” (*Birnbaum v Birnbaum*, 73 NY2d 461, 466 [1989]). “The trustee is under a duty to the beneficiary to administer the trust solely in the interest of the beneficiary” (Restatement [Second] of Trusts § 170 [1]). In this case, however, the trustees owe fiduciary obligations not only to the trust’s income beneficiary, Bertha Heller, but also to the other remainder beneficiaries, Suzanne Heller and Faith Willinger. That these beneficiaries’ interests happen to align with the trustees’ does not relieve the trustees of their duties to them. Here, we cannot conclude that the trustees are prohibited from electing unitrust treatment as a matter of common-law principle.

That the trustees are remainder beneficiaries does not, by itself, invalidate a unitrust election. Nevertheless, a unitrust

election from which a trustee benefits will be scrutinized by the courts with special care. In determining whether application of the optional unitrust provision is appropriate, it remains for the Surrogate to review the process and assure the fairness of the trustees' election, by applying relevant factors including those enumerated in EPTL 11-2.4 (e) (5) (A). Application of these factors here presents questions of fact precluding summary judgment.

IV.

[2] Davis seeks to reinstate Surrogate's Court's determination that the unitrust election could not be made retroactive to January 1, 2002. In our view, however, the Legislature structured EPTL 11-2.4 so that it could be applied retroactively. EPTL 11-2.4 (d) (1) provides that a trustee who elects unitrust status may specify the date on which the interest of a beneficiary begins. Thus, the statute vests trustees with authority to determine the effective date of unitrust elections.

Moreover, EPTL 11-2.4 (b) (6) instructs a trustee who elects unitrust treatment to "determine the unitrust amount properly payable for any *preceding* and current valuation year of the trust" (emphasis added), unless the election is "expressly made effective prospectively as permitted under clause (e) (4) (a)." The trustee is then required to pay to, or recover from, the current beneficiary the difference between the unitrust amount and any amount actually paid for any completed valuation year. (EPTL 11-2.4 [b] [6].) This provision envisages retroactive application of a unitrust regime. The required recomputation of preceding years' beneficial interests would serve no purpose if retroactive application were barred.

EPTL 11-2.4 (e) (4) (A), on which Surrogate's Court relied, is not to the contrary. This section provides that the optional unitrust provision

"shall apply to a trust . . . as of the first year of the trust in which assets first become subject to the trust, unless the governing instrument or the court in its decision provides otherwise, or unless the election in accordance with clause (e) (1) (B) is expressly made effective as of the first day of the first year of the trust commencing after the election is made."

On the most plausible interpretation of this less than lucid provision, EPTL 11-2.4 (e) (4) (A) actually contemplates retroactiv-

ity, insofar as it provides the initial funding of the trust as a default starting point for unitrust treatment of a trust created on or after January 1, 2002. Certainly, EPTL 11-2.4 (e) (4) (A) should not be read as taking away from trustees the authority given them by EPTL 11-2.4 (d) (1) to specify the effective date of a unitrust election.

We therefore hold that a trustee may elect unitrust status for a trust retroactively to January 1, 2002, the effective date of EPTL 11-2.4. Appellant's remaining contentions lack merit.

Accordingly, the order of the Appellate Division should be affirmed, with costs, and the certified question answered in the affirmative.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, GRAFFEO, READ and R.S. SMITH concur.

Order affirmed, etc.

[848 NE2d 1292, 815 NYS2d 915]

In the Matter of DIANE BALLARD, Appellant, v HSBC BANK USA
et al., Respondents.

Argued March 29, 2006; decided May 11, 2006

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered May 20, 2005, in a proceeding pursuant to Executive Law § 298 (transferred to the Appellate Division by order of the Supreme Court, Erie County [John P. Lane, J.; op 8 Misc 3d 521]). The Appellate Division granted a motion by respondent HSBC Bank USA to dismiss the petition for lack of subject matter jurisdiction.

HEADNOTES**Pleading — Petition — Failure to Include Return Date**

1. Petitioner's failure to include a return date in her notice of petition seeking review of a determination by respondent Acting Commissioner of the New York State Division of Human Rights, pursuant to Executive Law § 298, did not constitute a nonwaivable jurisdictional defect. The return date was left blank in the notice of petition served upon respondents as no justice had yet been assigned to the matter, and petitioner served respondents with a letter explaining that she would advise respondents of the return date when it was assigned. The competence of the Supreme Court, or, in certain instances, the Appellate Division, and its authority to hear the proceeding stem from the language of Executive Law § 298, which conveys subject matter jurisdiction upon the appropriate court to hear challenges by aggrieved parties to rulings made by the Commissioner of the State Division of Human Rights on unlawful discrimination claims. Any alleged technical defect as to the date on the petition invoked a claim of improper commencement or personal jurisdiction, at best.

Pleading — Petition — Failure to Include Return Date

2. To the extent that petitioner's commencement of a proceeding seeking review of a determination by respondent Acting Commissioner of the New York State Division of Human Rights, pursuant to Executive Law § 298, may have been defective for failure to include a return date on the notice of petition, respondent employer waived its right to challenge the defect by actively participating in the proceeding without timely objecting to the defect on personal jurisdiction grounds. Respondent raised no objections to the manner of commencement, and its verified cross petition specifically asserted that "[j]urisdiction is proper." Respondent should have either moved to dismiss the petition before filing its cross petition, or affirmatively raised the issue in an answer.

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AM JUR 2d, Appearance § 2; AM JUR 2d, Process §§ 63, 64,
80, 81, 83.

CARMODY-WAIT 2d, Commencement of Actions; Summons and Service of Process §§ 24:61, 24:317, 24:318; CARMODY-WAIT 2d, Appearances §§ 26:18, 26:19.

McKINNEY'S, Executive Law § 298.

NY JUR 2d, Actions § 94; NY JUR 2d, Process and Papers §§ 36, 37; NY JUR 2d, Real Property—Possessory and Related Actions §§ 175, 176.

SIEGEL, NY PRAC §§ 111, 574.

ANNOTATION REFERENCE

See ALR Index under Appearance; Process and Service of Process and Papers.

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POINTS OF COUNSEL

Offermann, Cassano, Greco, Slisz & Adams, LLP, Buffalo (*Josephine A. Greco* and *Kevin P. Wicka* of counsel), for appellant. I. The Appellate Division improperly dismissed this matter on the ground of lack of subject matter jurisdiction. (*Matter of Fry v Village of Tarrytown*, 89 NY2d 714; *Clarke v Davis*, 277 AD2d 902; *Matter of State Div. of Human Rights v Gillotte*, 41 AD2d 890; *Addesso v Shemtob*, 70 NY2d 689; *Matter of Radich v Council of City of Lackawanna*, 93 AD2d 559; *Deth v Castimore*, 245 App Div 156; *Matter of National Gypsum Co., Inc. v Assessor of Town of Tonawanda*, 4 NY3d 680.) II. The Appellate Division should not have dismissed the petition upon a motion since there were not exigent circumstances warranting dismissal on motion papers. (*Matter of Association of Bar of City of N.Y.*, 222 App Div 580; *Barkley v New York Cent. & H.R.R. Co.*, 42 App Div 597.)

Phillips Lytle LLP, Buffalo (*James R. Grasso* of counsel), for HSBC Bank USA, respondent. I. The Supreme Court lacks subject matter jurisdiction over complaints filed with the New York State Division of Human Rights. (*Matter of Fry v Village of Tarrytown*, 89 NY2d 714; *Sohn v Calderon*, 78 NY2d 755; *Thrasher v United States Liab. Ins. Co.*, 19 NY2d 159; *Kagen v Kagen*, 21 NY2d 532; *Matter of Seitz v Drogheo*, 21 NY2d 181; *Marine Midland Bank v New York State Div. of Human Rights*, 75 NY2d 240; *Scopelliti v Town of New Castle*, 210 AD2d 308; *Gad-Tadros v Bessemer Venture Partners*, 326 F Supp 2d 417;

York v Association of Bar of City of N.Y., 286 F3d 122; *Ganthier v North Shore-Long Is. Jewish Health Sys., Inc.*, 345 F Supp 2d 271.) II. The Supreme Court lacks subject matter jurisdiction over this proceeding because petitioner failed to include a return date in her notice of petition. (*Ling Ling Yung v County of Nassau*, 77 NY2d 568; *Matter of Niagara Mohawk Power Corp. v Town of Tonawanda Assessor*, 309 AD2d 1251, 1 NY3d 507, 3 NY3d 635; *Lyles v State of New York*, 3 NY3d 396; *Matter of One Beacon Ins. Co./CGU Ins. Co. v Daly*, 7 AD3d 717; *Rodriguez v State of New York*, 307 AD2d 657; *Sangiacomo v County of Albany*, 302 AD2d 769; *Matter of Nationwide Ins. Enter. [Denga]*, 302 AD2d 929; *Matter of Oates v Village of Watkins Glen*, 290 AD2d 758; *Matter of Figaro v New York State & Local Retirement Sys.*, 203 AD2d 678, 84 NY2d 801.) III. HSBC Bank USA's filing of a notice of cross petition and cross petition did not confer subject matter jurisdiction on the Supreme Court. (*Matter of Schor v St. Francis Hosp.*, 111 AD2d 852; *Matter of State Div. of Human Rights v Fairway Apts. Corp.*, 39 AD2d 761, 33 NY2d 754; *Matter of Gil v New York State Div. of Human Rights*, 17 AD3d 365; *Grinan v Santaella*, 89 AD2d 866; *Matter of Fry v Village of Tarrytown*, 89 NY2d 714.) IV. Should subject matter jurisdiction exist, the Appellate Division's order should nonetheless be affirmed because petitioner's failure to include a return date in her notice of petition resulted in a lack of personal jurisdiction over HSBC Bank USA and the petition being barred by the statute of limitations. (*Matter of Niagara Mohawk Power Corp. v Town of Tonawanda Assessor*, 309 AD2d 1251; *Matter of Nationwide Ins. Enter. [Denga]*, 302 AD2d 929; *Matter of Oates v Village of Watkins Glen*, 290 AD2d 758; *Matter of Gershel v Porr*, 89 NY2d 327; *Matter of Figaro v New York State & Local Retirement Sys.*, 203 AD2d 678.) V. HSBC Bank USA's filing of a notice of cross petition did not confer personal jurisdiction over it. (*Floyd v Salamon Bros.*, 249 AD2d 139, 92 NY2d 816.) VI. HSBC Bank USA did not waive its objection to personal jurisdiction. (*Matter of Fry v Village of Tarrytown*, 89 NY2d 714; *Harris v Niagara Falls Bd. of Educ.*, 6 NY3d 155; *Matter of Schor v St. Francis Hosp.*, 111 AD2d 852; *Cole v Mandell Food Stores*, 93 NY2d 34; *Clemens v Nealon*, 202 AD2d 747; *Matter of Wood v Glass*, 226 AD2d 387; *Morales v County of Nassau*, 94 NY2d 218; *Colbert v International Sec. Bur.*, 79 AD2d 448, 53 NY2d 608; *Matter of Fiedelman v New York State Dept. of Health*, 58 NY2d 80; *Al-Dohan v Kouyoumjian*, 93 AD2d 714.)

OPINION OF THE COURT

CIPARICK, J.

The issue before this Court is whether the failure of petitioner Diane Ballard to include a return date in a notice of petition constitutes a nonwaivable jurisdictional defect under Executive Law § 298. We hold that it does not and that respondent HSBC waived its right to challenge the alleged defect.

Following a determination by respondent Edward A. Friedland, Acting Commissioner of the New York State Division of Human Rights, petitioner Diane Ballard filed a petition in Supreme Court on July 23, 2004, seeking review, pursuant to Executive Law § 298, of that part of the order that was adverse to her.¹ Ballard's notice of petition left blank the return date as no justice had yet been assigned to the matter. Copies of the notice of petition and petition were served on respondents along with a letter from petitioner explaining that she would advise respondents of the return date when it was assigned. Two weeks later, on August 4, 2004, after a Supreme Court Justice was assigned to the matter, Ballard sent a letter to the Justice, copying the other parties, stating: "Based upon discussions with your Chambers, we would like to make this matter returnable before you on August 23, 2004, at 9:30 a.m."

The following day, August 5, 2004, respondent HSBC filed a cross petition specifying a return date of September 13, 2004 and stating that "[j]urisdiction is proper pursuant to Executive Law § 298."² On August 6, HSBC responded to Ballard's letter of August 4, stating in part:

"CPLR 403 requires that a notice of petition specify the time and place of the hearing and CPLR 7804 requires that the time be at least 20 days before the return date. As August 23 is less than 20 days from service of your letter the petition cannot be made returnable on that date. Moreover, HSBC's cross-petition is returnable on September 13, 2004, which is the next available return date . . . which is at

1. The Commissioner dismissed Ballard's claim that she was discriminated against when she was not promoted between 1985 and 1987 and her claim that she was unlawfully terminated based on retaliation. However, the Commissioner ordered HSBC to pay Ballard \$35,000 as compensatory damages for mental anguish and humiliation suffered as a result of race discrimination and \$5,000 as a result of disability discrimination.

2. HSBC never answered the petition.

least 20 days after the notice of cross-petition. . . .
Accordingly, I request that you adjourn the return
date of the petition to September 13.”

HSBC did not raise an objection based on any alleged jurisdictional defect at that time. It was not until August 18, after the filing of the cross petition, that HSBC moved in Supreme Court to dismiss Ballard’s petition for lack of jurisdiction and as barred by the statute of limitations, based on Ballard’s failure to include a return date in her notice of petition. Ballard cross-moved for an order extending her time to serve the notice of petition and petition or to deem her prior service good and sufficient. Respondent Friedland served an answer and moved to transfer the matter to the Appellate Division pursuant to Executive Law § 298. The motions and the underlying petitions were then adjourned to October 18, 2004.

In what amounts to an advisory opinion, dated March 25, 2005, Supreme Court found that the court lacked subject matter jurisdiction, opining that based on the language of Executive Law § 298, petitioner’s failure to include a return date on the notice of petition “implicates subject matter jurisdiction, not jurisdiction of the parties” (8 Misc 3d 521, 526 [2005]) and transferred the matter to the Appellate Division as required by Executive Law § 298. HSBC then moved before the Appellate Division to dismiss the petition for lack of subject matter jurisdiction and as barred by the statute of limitations. Ballard opposed the motion arguing that the objections sounded of personal jurisdiction and that any such claim was waived. Thereafter, HSBC filed a second motion to dismiss on personal jurisdiction and statute of limitations grounds. The Appellate Division subsequently granted HSBC’s motion stating only that the Court lacked subject matter jurisdiction. We granted Ballard’s motion for leave to appeal and now reverse the Appellate Division and reinstate the petition.³

Executive Law § 298 allows any “complainant, respondent or other person aggrieved by an order of the commissioner” to “obtain judicial review thereof” in a special proceeding “initiated by the filing of a notice of petition and petition” in Supreme Court. Executive Law § 298 further states that:

3. It should be noted that in response to Supreme Court’s inquiry concerning subject matter jurisdiction HSBC shifted its position and conceded that its notice of cross petition and cross petition were not timely filed and the court was without jurisdiction to hear it. The issue of the viability of the cross petition is not a subject of this appeal.

“Upon the filing of a notice of petition and petition, the court shall have jurisdiction of the proceeding and of the questions determined therein, except that where the order sought to be reviewed was made as a result of a public hearing . . . the court shall make an order directing that the proceeding be transferred for disposition to the appellate division” (emphasis added).

CPLR 403 (a) provides that “[a] notice of petition shall specify the time and place of the hearing on the petition and the supporting affidavits, if any, accompanying the petition.”

Respondent HSBC argues that because section 298 requires the filing of a notice of petition and section 403 (a) requires that a notice of petition must include a return date, petitioner’s failure to specify a return date was a defect in her commencement of the special proceeding implicating subject matter jurisdiction, and the proceeding should be dismissed. HSBC further argues that Executive Law § 298 conditions subject matter jurisdiction “[u]pon the filing of a notice of petition and petition” and such requirement is a condition precedent to the exercise of such jurisdiction.

Petitioner contends that her filing was not defective, and that even if it was, it would constitute only a personal jurisdiction defect as to which HSBC waived its objection. She further contends that such a defect does not undermine the court’s authority to hear the case.

“The question of subject matter jurisdiction is a question of judicial power: whether the court has the power, conferred by the Constitution or statute, to entertain the case before it” (*Matter of Fry v Village of Tarrytown*, 89 NY2d 714, 718 [1997]). We have routinely held that technical defects in filings do not fall under the umbrella of subject matter jurisdiction when they do not undermine the constitutional or statutory basis to hear a case (see *Matter of Fry*, 89 NY2d at 718-719; see generally *Matter of National Gypsum Co., Inc. v Assessor of Town of Tonawanda*, 4 NY3d 680 [2005]; *Harris v Niagara Falls Bd. of Educ.*, 6 NY3d 155 [2006]).

Last year, in *National Gypsum Co.*, we held that a notice of petition, in a special proceeding filed under RPTL article 7, was not “jurisdictionally defective” where “petitioner included a return date that was later changed by court personnel”—essentially “a ‘fictitious’ hearing date” (4 NY3d at 682, 683). We explained that because petitioner could not possibly include an

accurate return date before a judge had been assigned to the action, “[a]ny other interpretation of the statute would be patently unfair to a party attempting to commence such a proceeding” (*id.* at 684). Even more recently, in *Harris*, we held that “a defect in compliance with the commencement-by-filing system does not deprive a court of subject matter jurisdiction and, accordingly, is waived absent a timely objection by the responding party” (6 NY3d at 158, citing *Fry*, 89 NY2d at 718).

[1] Here, the competence of the court and its authority to hear the proceeding stem from the language of Executive Law § 298, which conveys subject matter jurisdiction upon the court to hear challenges by aggrieved parties to rulings made by the Commissioner of the State Division of Human Rights on unlawful discrimination claims. Any alleged technical defect as to the date on the notice of petition invokes a claim of improper commencement or personal jurisdiction, at best. This is not a case where a condition precedent implicates subject matter jurisdiction (*cf. Scantlebury v New York City Health & Hosps. Corp.*, 4 NY3d 606 [2005] [notice of intention to commence an action as required by section 7401 (2) of McKinney’s Unconsolidated Laws of New York (New York City Health and Hospitals Corporation [HHC] Act [L 1969, ch 1016, § 1, as amended] § 20 [2]) is a condition precedent to a suit against HHC]). Thus, the Appellate Division’s dismissal of the proceeding on the ground of lack of subject matter jurisdiction was improper.

[2] As to personal jurisdiction, to the extent that petitioner’s commencement of the action may have been defective, respondent HSBC waived its right to challenge the defect by actively participating in the proceeding without timely objecting to the defect on personal jurisdiction grounds. Raising no objections to the manner of commencement, HSBC’s verified cross petition specifically asserted that “[j]urisdiction is proper.” Neither the motion HSBC made in Supreme Court nor the second motion at the Appellate Division cured this defect as HSBC was required to either move to dismiss the petition before filing its cross petition or affirmatively raise the issue in an answer (*see* CPLR 404 [a]).⁴ Furthermore, HSBC’s initial motion at the Appellate Division did not seek dismissal on personal jurisdiction grounds (*see* CPLR 3211 [e]). As we stated in *Harris*, “defendants and

4. Respondent HSBC also answered petitioner’s letter setting forth a return date not with a claim that the action should be dismissed, but with a letter seeking an adjournment of that date to conform with the return date of the cross petition.

respondents are warned that if they want to capitalize on technicalities they must mind their own procedures” (6 NY3d at 159, quoting Siegel, NY Prac § 63, at 94 [4th ed]). As respondent failed to timely raise a challenge to personal jurisdiction, that claim was waived and the petition may go forward.

Accordingly, the order of the Appellate Division should be reversed, with costs, and the motion to dismiss the petition by respondent HSBC denied.

Chief Judge KAYE and Judges G.B. SMITH, ROSENBLATT, GRAFFEO, READ and R.S. SMITH concur.

Order reversed, etc.

[849 NE2d 926, 816 NYS2d 703]

JOHN S. ZUMPARO, Appellant, v JAMES F. QUINN, Individually
and as Assistant Pastor at St. Agnes Catholic School, et al.,
Respondents.

ESTATE OF BRENDAN BOYLE, Deceased, et al., Appellants, v JAMES
SMITH et al., Defendants, and OTTO GARCIA et al., Respon-
dents.

Argued January 3, 2006; decided February 21, 2006

SUMMARY

APPEAL, in the first above-entitled action, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered November 19, 2004. The Appellate Division affirmed an order of the Supreme Court, Oneida County (Norman I. Siegel, A.J.), which had granted defendants' motion to dismiss the complaint as time-barred.

APPEAL, in the second above-entitled action, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered February 7, 2005. The Appellate Division affirmed an order of the Supreme Court, Queens County (Janice A. Taylor, J.), which had granted a motion by defendants Otto Garcia, Thomas V. Daily and the Roman Catholic Diocese of Brooklyn to dismiss the complaint insofar as asserted against them as time-barred.

Zumpano v Quinn, 12 AD3d 1096, affirmed.

Estate of Boyle v Smith, 15 AD3d 338, affirmed.

HEADNOTES

Limitation of Actions — Estoppel to Plead Statute of Limitations — Clergy Sexual Abuse

1. The complaints were dismissed as time-barred in actions alleging the sexual abuse of plaintiffs by members of the clergy at times when plaintiffs were minor children. The doctrine of equitable estoppel was not available to toll the statutes of limitations for plaintiffs' claims. Equitable estoppel is applicable if the plaintiff was induced by fraud, misrepresentation or deception to refrain from filing a timely action, and if the plaintiff reasonably relied on the defendant's misrepresentations. Here, plaintiffs failed to establish that subsequent and specific actions by defendants kept them from timely bringing suit. Subsequent conduct by the defendant dioceses did not alter plaintiffs' early awareness of the essential facts and circumstances underlying their causes of action or their ability to timely bring their claims. Allegations that defendants were aware of the abuse and remained silent about it were insufficient to warrant application of the doctrine of equitable estoppel.

**Limitation of Actions — Estoppel to Plead Statute of Limitations —
Clergy Sexual Abuse — Fiduciary Relationship**

2. The complaint was dismissed as time-barred in an action alleging the sexual abuse of plaintiffs by members of the clergy at times when plaintiffs were minor children. Plaintiffs' claim that defendants breached a fiduciary duty owed to them by concealing their own actions in covering up the abuse did not equitably estop defendants from raising the defense of the statute of limitations. Even if a fiduciary relationship existed between the parties during plaintiffs' infancy and the diocesan defendants had a legal duty to disclose any knowledge of prior incidents of sexual abuse and breached that duty, plaintiffs failed to demonstrate how that breach prevented them from bringing a timely action. Plaintiffs were fully aware that they had been abused, and knew the identity of their abusers and that the abusers were employed by the Diocese. They failed to establish that any concealment by defendants changed their awareness of these facts or that defendants had a direct role in plaintiffs' failure to file suit within an appropriate time period. There was also no basis for a claim that any fiduciary duty continued after plaintiffs were adults.

**Limitation of Actions — Estoppel to Plead Statute of Limitations —
Insanity**

3. The complaint was dismissed as time-barred in an action alleging the sexual abuse of plaintiff by members of the clergy at times when plaintiff was a minor child. Defendants were not equitably estopped from asserting the statute of limitations as a defense on the ground that plaintiff suffered from a mental disability as a direct result of defendants' abuse and was consequently rendered incapable of protecting his legal rights. As a matter of law, the facts that the adult plaintiff held a full-time job for nine years and successfully prosecuted a personal injury action on his own behalf contradicted the assertion that he suffered from an ongoing mental disability and was unable to protect his own rights.

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By the Publisher's Editorial Staff

AM JUR 2d, Estoppel and Waiver §§ 27–32, 40, 43–47, 60, 80–86; AM JUR 2d, Limitation of Actions §§ 174, 175, 177, 380, 381, 383, 384, 387, 390, 399, 400.

CARMODY-WAIT 2d, Limitation of Actions §§ 13:481, 13:484–13:491.

NY JUR 2d, Estoppel, Ratification, and Waiver §§ 3, 4, 17, 19, 23, 24, 34, 40; NY JUR 2d, Limitations and Laches §§ 40–47, 268–270; NY JUR 2d, Religious Organizations §§ 11, 12, 56.

SIEGEL, NY PRAC §§ 50, 56.

ANNOTATION REFERENCE

Running of limitations against action for civil damages for sexual abuse of child. 9 ALR5th 321.

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POINTS OF COUNSEL

Frank Policelli, Utica, for appellant in the first above-entitled action. I. Defendants are equitably estopped from asserting the statute of limitations since defendants created John S. Zumpano's mental condition through their wrongful conduct, thus preventing him from pursuing, protecting or safeguarding his legal rights due to an overall inability to function in society. (*McCarthy v Volkswagen of Am.*, 55 NY2d 543; *Graboi v Kibel*, 432 F Supp 572.) II. The issue of whether defendants should be barred from asserting the statute of limitations under principles of equity could not be decided without a hearing or trial under CPLR 2218. (*General Stencils v Chiappa*, 18 NY2d 125; *Anonymous v Anonymous*, 154 Misc 2d 46; *Century Fed. Sav. & Loan Assn. of Long Is. v Net Realty Holding Trust*, 87 AD2d 858.) III. Because the conduct of defendant James F. Quinn and defendant Catholic Diocese of Syracuse, New York caused the mental condition that has rendered appellant John S. Zumpano incapable of bringing his lawsuit prior to this time, principles of equity mandate that defendants should not now be allowed to benefit from their wrongdoing. (*von Bulow by Auersperg v von Bulow*, 634 F Supp 1284; *General Stencils v Chiappa*, 18 NY2d 125; *Glus v Brooklyn Eastern Dist. Terminal*, 359 US 231.) IV. The doctrine of equitable estoppel is not limited to separate and subsequent acts of fraud and concealment under *General Stencils v Chiappa* (18 NY2d 125 [1966]), but rather includes any wrongdoing by defendant that produces the long delay between the accrual of the cause of action and the institution of the legal proceeding. (*Simcusi v Saeli*, 44 NY2d 442; *Steo v Cucuzza*, 213 AD2d 624; *Doe v Holy See [State of Vatican City]*, 6 AD3d 1228; *Glus v Brooklyn Eastern Dist. Terminal*, 359 US 231; *von Bulow by Auersperg v von Bulow*, 634 F Supp 1284; *Anonymous v Anonymous*, 154 Misc 2d 46; *Coopersmith v Gold*, 172 AD2d 982.) V. Plaintiff has the right to a jury trial on the issues to be decided at the hearing pursuant to CPLR 2218. (*Abraham v Kosinski*, 305 AD2d 1091; *Arbutina v Bahuleyan*, 75 AD2d 84; *Muhl v Vesta Fire Ins. Corp.*, 288 AD2d 108; *Cerrato v Thurcon Constr. Corp.*, 92 AD2d 89; *Grant v Guidotti*, 67 AD2d 736; *Marable v Robinson*, 102 Misc 2d 96, 114 Misc 2d 437; *Harrison v Malcolm*, 186 AD2d 502.)

Hancock & Estabrook, LLP, Syracuse (*Mark J. Schulte* and *Paul M. Hanrahan* of counsel), for respondents in the first

above-entitled action. I. The lower courts correctly granted the diocesan defendants' dismissal motion because all causes of action pleaded had been time-barred for more than two decades. (*Langford v Roman Catholic Diocese of Brooklyn*, 271 AD2d 494; *Sharon B. v Reverend S.*, 244 AD2d 878; *Doe v Holy See [State of Vatican City]*, 17 AD3d 793; *State of New York v Cortelle Corp.*, 38 NY2d 83; *Tserotas v Greek Orthodox Archdiocese of N. & S. Am.*, 251 AD2d 323; *Mars v Diocese of Rochester*, 6 AD3d 1120, 3 NY3d 608; *Bassile v Covenant House*, 152 Misc 2d 88, 191 AD2d 188, 82 NY2d 656; *Doe v Roe*, 192 AD2d 1089; *Coopersmith v Gold*, 172 AD2d 982; *Schmidt v Bishop*, 779 F Supp 321.) II. Plaintiff was foreclosed by statute from claiming a 33-year limitations toll on grounds of insanity. (*McCarthy v Volkswagen of Am.*, 55 NY2d 543; *Brown v Rochester Gen. Hosp.*, 292 AD2d 855; *Sanchez v Wolkoff*, 247 AD2d 529; *Steo v Cucuzza*, 213 AD2d 624; *Schmertz v Friedlander*, 36 AD2d 606; *Smith v Smith*, 830 F2d 11.) III. Plaintiff also failed to plead a factual basis for tolling the applicable statutes of limitations on equitable estoppel grounds. (*Smith v Smith*, 830 F2d 11; *Airco Alloys Div. v Niagara Mohawk Power Corp.*, 76 AD2d 68; *Simcusi v Saeli*, 44 NY2d 442; *Doe v Holy See [State of Vatican City]*, 17 AD3d 793; *Zoe G. v Frederick F.G.*, 208 AD2d 675; *Doe v Roe*, 192 AD2d 1089; *Hoffman v Hoffman*, 162 AD2d 249; *Davis v Smith Corp.*, 262 AD2d 752; *Doe v Holy See [State of Vatican City]*, 6 AD3d 1228; *Jordan v Ford Motor Co.*, 73 AD2d 422.) IV. There is no existing legal authority to support plaintiff's present attempt to combine the legal maxim "no man may benefit from his own wrong" with a barred insanity claim to create an entirely new tolling doctrine. (*General Stencils v Chiappa*, 18 NY2d 125; *Simcusi v Saeli*, 44 NY2d 442; *Matter of Steyer*, 70 NY2d 990; *Jordan v Ford Motor Co.*, 73 AD2d 422; *Coopersmith v Gold*, 172 AD2d 982; *von Bulow by Auersperg v von Bulow*, 634 F Supp 1284; *Anonymous v Anonymous*, 154 Misc 2d 46.) V. This Court's adoption of the expansive new tolling doctrine plaintiff advocates would operate in contravention of statute and erode other existing tolling doctrines. (*McCarthy v Volkswagen of Am.*, 55 NY2d 543; *Flanagan v Mount Eden Gen. Hosp.*, 24 NY2d 427; *Goldsmith v Howmedica, Inc.*, 67 NY2d 120; *Matter of Steinhardt v Johns-Manville Corp.*, 54 NY2d 1008; *Bassile v Covenant House*, 152 Misc 2d 88, 191 AD2d 188, 82 NY2d 656.)

Michael G. Dowd, New York City, and *Edward M. Shaw* for appellants in the second above-entitled action. I. Plaintiffs have far more than adequately alleged a longtime corrupt campaign

by the Roman Catholic Diocese of Brooklyn and bishops to create a specious statute of limitations defense by misrepresentations of fact and other active deceit, concealing their own knowing facilitation of the priests' abuse. On the detailed allegations of this complaint, the pleading of an estoppel did not require any allegation of diligent investigation. (*McIvor v Di Benedetto*, 121 AD2d 519; *Davis v Smith Corp.*, 262 AD2d 752; *Thoma v Town of Schodack*, 6 AD3d 957; *Campaign for Fiscal Equity v State of New York*, 86 NY2d 307; *Skarren v Household Fin. Corp.*, 296 AD2d 488.) II. The allegations of a fiduciary relationship between the Roman Catholic Diocese of Brooklyn and bishops and the child plaintiffs, and of a continuing breach of said duty thereafter by the diocese's and bishops' continuous concealment of their own wrongdoing in order to evade responsibility, constituted an independent basis for the legal sufficiency of the alleged estoppel. Just as in the case of the estoppel theory addressed in point I, pleading an estoppel in the context of a breached fiduciary duty did not require any allegation of diligent investigation. (*Penato v George*, 52 AD2d 939; *Martinelli v Bridgeport R.C. Diocesan Corp.*, 196 F3d 409; *Mars v Diocese of Rochester*, 6 AD3d 1120, 3 NY3d 608; *Doe v Holy See [State of Vatican City]*, 17 AD3d 793; *Zumpano v Quinn*, 12 AD3d 1096.)

Conway, Farrell, Curtin & Kelly, PC., New York City (*Joseph H. Farrell, Jonathan T. Uejio and Kristin G. Shea* of counsel), for respondents in the second above-entitled action. I. The judicial exception of equitable estoppel is inapplicable to nullify the legislative policy expressed in the statutes of limitations because plaintiffs' amended complaint failed to allege the elements of an estoppel. (*Werking v Amity Estates*, 2 NY2d 43; *Simcuski v Saeli*, 44 NY2d 442; *Knight v Brown Transp. Corp.*, 806 F2d 479; *East Midtown Plaza Hous. Co. v City of New York*, 218 AD2d 628; *Irwin v Department of Veterans Affairs*, 498 US 89; *Gleason v Spota*, 194 AD2d 764; *Nevling v Chrysler Corp.*, 206 AD2d 221; *Leon v Martinez*, 84 NY2d 83; *Maas v Cornell Univ.*, 94 NY2d 87; *Windsor Metal Fabrications v General Acc. Ins. Co. of Am.*, 94 NY2d 124.) II. Plaintiffs' amended complaint fails to allege facts sufficient to plead a fiduciary relationship between each plaintiff and the Roman Catholic Diocese of Brooklyn. (*EBC I, Inc. v Goldman, Sachs & Co.*, 5 NY3d 11; *Sonnenschein v Douglas Elliman-Gibbons & Ives*, 96 NY2d 369; *Northeast Gen. Corp. v Wellington Adv.*, 82 NY2d 158; *Wende C. v United Methodist Church, N.Y. W. Area*, 4 NY3d 293; *Langford v Roman Catholic Diocese of Brooklyn*, 271 AD2d 494; *Doe v*

Norwich R.C. Diocesan Corp., 268 F Supp 2d 139; *Martinelli v Bridgeport R.C. Diocesan Corp.*, 193 F3d 409; *First Presbyt. Church of Schenectady v United Presbyt. Church in U.S. of Am.*, 62 NY2d 110; *Serbian Eastern Orthodox Diocese for United States & Canada v Milivojevich*, 426 US 696; *Gonzalez v Roman Catholic Archbishop of Manila*, 280 US 1.)

Sidley Austin Brown & Wood LLP, New York City and Washington, DC (*Steven Bierman*, *Joseph R. Guerra* and *Eamon P. Joyce* of counsel), for American Tort Reform Association, amicus curiae in the second above-entitled action. I. Appellants seek a new form of equitable estoppel that would improperly override the legislative judgment embodied in the statute of limitations. (*Board of Regents of Univ. of State of N. Y. v Tomanio*, 446 US 478; *Flanagan v Mount Eden Gen. Hosp.*, 24 NY2d 427; *Duffy v Horton Mem. Hosp.*, 66 NY2d 473; *Ratka v St. Francis Hosp.*, 44 NY2d 604; *International Rys. of Cent. Am. v United Fruit Co.*, 373 F2d 408; *Johnson v Railway Express Agency, Inc.*, 421 US 454; *McCarthy v Volkswagen of Am.*, 55 NY2d 543; *Morales v County of Nassau*, 94 NY2d 218; *Rozell v Rozell*, 256 App Div 61, 281 NY 106; *Texas Industries, Inc. v Radcliff Materials, Inc.*, 451 US 630.)

OPINION OF THE COURT

CIPARICK, J.

In recent years, countless priests have been accused of impermissibly touching and sexually exploiting young people entrusted to their care, resulting in a plethora of claims seeking compensation for the injuries caused by these deplorable acts. Regrettably, many of these claims are time-barred, and absent relief from the Legislature will remain unredressed. Two such cases are before us today.

At the outset, we note that these cases present only the legal question whether equitable estoppel applies to toll the statutes of limitations for plaintiffs' claims. The merits of these claims are not before us and we have no occasion to pass upon the strength of the allegations. Plaintiffs, moreover, concede that the applicable statutes of limitations have expired. They assert, however, that defendants should be equitably estopped from invoking the statute of limitations as a defense. We conclude that the actions are time-barred.

Zumpano v Quinn

Zumpano commenced this action in 2003 against defendant Father Quinn, as well as both the Bishop and Catholic Diocese

of Syracuse, alleging an ongoing abusive relationship beginning in 1963—when he was 13 years old—and continuing until 1970. The complaint, brought 33 years later, alleges causes of action for sexual abuse, battery, breach of fiduciary duty and negligent retention and/or supervision.

Defendants moved to dismiss the complaint under CPLR 3211 (a) (5), alleging that Zumpano's claims were barred by the appropriate statutes of limitations. In response, Zumpano argued that the statute of limitations should be tolled by CPLR 208 because he suffered from a mental disability created by defendants' conduct, rendering him unable to function in society or to protect his own legal rights. Supreme Court granted the motion and determined that Zumpano's claim was not tolled by the insanity provisions of CPLR 208, and was time-barred. The court also rejected the argument that equitable estoppel should be applied to toll the statute of limitations. The Appellate Division affirmed, finding that Zumpano failed to allege any separate acts by defendants—subsequent to the alleged abuse—that resulted in his delay in bringing this action. We now affirm.

Estate of Boyle v Smith

Forty-two plaintiffs instituted this action in October 2002—likewise for clergy sexual abuse—against 13 individual priests, a monsignor and both the Bishop and the Roman Catholic Diocese of Brooklyn. The complaint alleges that each plaintiff was the victim of at least one sexually abusive act by a defendant priest. Most of the acts occurred while plaintiffs were minor children, between 1960 and 1985.¹ All plaintiffs apparently reached adulthood by 1990.

Plaintiffs asserted several causes of action, including intentional torts of sexual abuse and battery, and negligence causes of action such as failure to supervise, failure to warn and negligent retention. Plaintiffs also asserted a cause of action for breach of fiduciary duty. Specifically, plaintiffs alleged that the bishops and the Diocese were aware that the priests had abused children and that they engaged in a corrupt campaign and a pattern of concealment by failing to investigate and report the conduct to law enforcement authorities, transferring abusive priests to different parishes and making secret payments to victims and their families in return for their silence. As a result

1. Two plaintiffs allege that they were abused after the age of 18.

of this conduct, plaintiffs allege that they “were deprived of the knowledge of the essential factual elements which would have formed the basis of their rights to legal redress.”

Defendants moved to dismiss the complaint under CPLR 3211 arguing, among other things, that the action was barred by the statute of limitations. As in *Zumpano*, plaintiffs conceded that the applicable limitations period had run, but asserted that defendants should be equitably estopped from invoking the statute of limitations as a defense. Supreme Court granted defendants’ motion, finding that equitable estoppel did not apply because plaintiffs had adequate knowledge of the facts and circumstances underlying their claims and had sufficient time to inquire and discover the relevant facts before the statute of limitations expired. The court also found no fiduciary relationship between the parties.

The Appellate Division affirmed, concluding that plaintiffs had personal knowledge of the relevant facts yet failed to timely pursue their claims. Further, the Court noted that, even assuming the existence of a fiduciary relationship, equitable estoppel would not apply because they did not commence this action within a reasonable time after they reached the age of majority and were free from defendants’ supervision and control. We now affirm.

Equitable Estoppel

Although sometimes imposing hardship on a plaintiff with a meritorious claim, statutes of limitations “reflect the legislative judgment that individuals should be protected from stale claims” (*McCarthy v Volkswagen of Am.*, 55 NY2d 543, 548 [1982]). They cannot be deemed arbitrary or unreasonable solely on the basis of a harsh effect.

The doctrine of equitable estoppel applies where it would be unjust to allow a defendant to assert a statute of limitations defense.

“Our courts have long had the power, both at law and equity, to bar the assertion of the affirmative defense of the Statute of Limitations where it is the defendant’s affirmative wrongdoing . . . which produced the long delay between the accrual of the cause of action and the institution of the legal proceeding” (*General Stencils v Chiappa*, 18 NY2d 125, 128 [1966]).

Thus, this Court has held that equitable estoppel will apply “where plaintiff was induced by fraud, misrepresentations or deception to refrain from filing a timely action” (*Simcusi v Saeli*, 44 NY2d 442, 449 [1978]). Moreover, the plaintiff must demonstrate reasonable reliance on the defendant’s misrepresentations (*see Simcusi*, 44 NY2d at 449).

Citing *General Stencils*, plaintiffs argue that defendants cannot be permitted to benefit from their own wrongdoing. In *General Stencils*, defendant was plaintiff’s head bookkeeper who stole from her employer and concealed her theft for several years by misrepresenting the state of plaintiff’s finances. We held that defendant was equitably estopped from asserting a statute of limitations defense precisely because her affirmative conduct in concealing the crime prevented plaintiff from timely bringing its action (*see* 18 NY2d at 128). A defendant/wrongdoer cannot take affirmative steps to prevent a plaintiff from bringing a claim and then assert the statute of limitations as a defense. However, if the doctrine of equitable estoppel were to be applied as broadly as plaintiffs suggest, the statute of limitations would rarely be available as a defense. Plaintiffs’ proposed rule would revive any lapsed claim where the defendant inflicted some type of injury upon a knowing plaintiff but failed to come forward with further information about his or her wrongdoing.

[1] It is therefore fundamental to the application of equitable estoppel for plaintiffs to establish that subsequent and specific actions by defendants somehow kept them from timely bringing suit (*see Matter of Steyer*, 70 NY2d 990, 993 [1988]). Plaintiffs have failed to satisfy this burden. As observed by the lower courts, each plaintiff was aware of the sexual abuse he or she suffered at the hands of defendant priests. Certainly they had sufficient knowledge to bring an intentional tort cause of action against the individual priests. Plaintiffs were likewise aware that the priests were employees of the dioceses and could have brought actions against the dioceses, or at least investigated whether a basis for such actions existed. Plaintiffs do not allege they made timely complaints to the dioceses regarding clergy mistreatment. Subsequent conduct by the dioceses did not appear in any way to alter plaintiffs’ early awareness of the essential facts and circumstances underlying their causes of action or their ability to timely bring their claims.

It is not enough that plaintiffs alleged defendants were aware of the abuse and remained silent about it. The *Boyle* plaintiffs allege that defendants had knowledge of the ongoing problem

that children were being sexually abused by priests and failed to notify or warn plaintiffs of same. They also allege that, for over 40 years, defendants did not report abuse by priests to law enforcement officials; reassigned offending priests without disclosure of their offenses; and, when victims complained, made private payments to them so that the charges would not be publicized. Conduct like this might be morally questionable in any defendant, let alone a religious institution, but it is not fraudulent concealment as a matter of law. A wrongdoer is not legally obliged to make a public confession, or to alert people who may have claims against it, to get the benefit of a statute of limitations. Plaintiffs do not allege any specific misrepresentation to them by defendants, or any deceptive conduct sufficient to constitute a basis for equitable estoppel. Nor is there any indication that further discovery would yield such information. No new separate and subsequent acts of wrongdoing beyond the sexually abusive acts themselves are alleged, and equitable estoppel is therefore inapplicable to these cases.

Fiduciary Relationship

As a separate basis for equitable estoppel, the *Boyle* plaintiffs argue that defendants breached a fiduciary duty owed to them by concealing their own actions in covering up the abuse.² “Where concealment without actual misrepresentation is claimed to have prevented a plaintiff from commencing a timely action, the plaintiff must demonstrate a fiduciary relationship . . . which gave the defendant an obligation to inform him or her of facts underlying the claim” (*Gleason v Spota*, 194 AD2d 764, 765 [2d Dept 1993]). We recently left open the question whether a fiduciary relationship existed between a cleric and a congregant (see *Wende C. v United Methodist Church, N.Y. W. Area*, 4 NY3d 293, 299 [2005]). It is likewise unnecessary to answer that question here.

[2] Even if the Court were to assume that a fiduciary relationship existed between the parties during plaintiffs’ infancy and that the diocesan defendants had a legal duty to disclose any knowledge of prior incidents of sexual abuse and breached that duty, plaintiffs still failed to demonstrate how that breach

2. Plaintiffs in both cases have pleaded a separate breach of fiduciary duty cause of action premised on defendants’ knowledge, misrepresentation, concealment and failure to disclose information. In this section, we discuss only an alleged breach of fiduciary duty as it relates to pleading equitable estoppel.

prevented them from bringing a timely action. As noted above, defendants' concealment of their own actions and of the priests' conduct, postwrongdoing, does not alter the fact that plaintiffs were fully aware that they had been abused. Plaintiffs also knew the identity of their abusers and that the abusers were employed by the Diocese. They failed to establish that any concealment by defendants changed their awareness of these facts or that defendants had a direct role in plaintiffs' failure to file suit within an appropriate time period. Thus, plaintiffs did not demonstrate that defendants' failure to inform them of certain facts contributed to their delay in bringing this action. Plaintiffs possessed timely knowledge of the actual misconduct and the relationship between the priests and their respective dioceses to make inquiry and ascertain relevant facts prior to the running of the statute of limitations.

There is also no basis for a claim that any fiduciary duty continued after plaintiffs were adults—and all the plaintiffs reached adulthood in 1990 or earlier, more than a decade before bringing suit. Even assuming that a breach of fiduciary duty continued until then, and was sufficient to support a finding of equitable estoppel, plaintiffs were required to proceed with their lawsuit, or at least with an inquiry into the facts, within the statutory limitations period computed from the time “the conduct relied on [as a basis for equitable estoppel] ceases to be operational” (*Simcusi*, 44 NY2d at 450). Thus, the alleged breach of fiduciary duty cannot estop defendants from relying on the time that elapsed after the alleged fiduciary relationship no longer existed.

Insanity Toll

[3] Zumpano alone argues that he suffers from a mental disability as a direct result of defendants' abuse and that he was consequently rendered incapable of protecting his legal rights. He no longer argues that CPLR 208 tolls the statute of limitations,³ but contends that defendants should be equitably estopped from asserting the statute of limitations since their

3. “If a person entitled to commence an action is under a disability because of infancy or insanity at the time the cause of action accrues, . . . [t]he time within which the action must be commenced shall not be extended by this provision beyond ten years after the cause of action accrues, except . . . where the person was under a disability due to infancy” (CPLR 208).

misconduct caused his insanity. This argument also lacks merit as he fails to establish a continuing disability. The record reflects that, as an adult, Zumpano held a full-time job for nine years. He also successfully prosecuted a personal injury action on his own behalf in 1986. As a matter of law, these facts contradict the assertion that Zumpano suffered from an ongoing mental disability and was unable to protect his rights.

Finally, our holding here is in keeping with those in several other jurisdictions addressing similar issues (*see e.g. Baselice v Franciscan Friars Assumption BVM Province, Inc.*, 2005 PA Super 246, 879 A2d 270 [2005] [doctrine of fraudulent concealment inapplicable to toll the statute of limitations where plaintiff failed to allege any affirmative act of concealment causing him to delay bringing suit]; *Doe v Roman Catholic Archbishop of Archdiocese of Detroit*, 264 Mich App 632, 692 NW2d 398 [2004] [fraudulent concealment unavailable to toll the statute of limitations where plaintiff knew or should have known about his claims against defendants]; *Mark K. v Roman Catholic Archbishop of Los Angeles*, 67 Cal App 4th 603, 79 Cal Rptr 2d 73 [1998] [finding estoppel by concealment inapplicable to toll the statute of limitations because plaintiff was aware of his injury, the priest's identity and his connection with the church]; *Doe v Archdiocese of Washington*, 114 Md App 169, 689 A2d 634 [1997] [statute of limitations was not tolled by the fraudulent concealment doctrine where plaintiff did not allege any acts subsequent to the abuse that prevented him from being aware of his claims]; *compare Martinelli v Bridgeport R.C. Diocesan Corp.*, 196 F3d 409, 430 [2d Cir 1999] [finding evidence to support the jury's determination that there was a fiduciary relationship between Martinelli and the diocese and that the diocese owed him a duty to investigate and to warn him in order to prevent harm]).

We conclude as we began: however reprehensible the conduct alleged, these actions are subject to the time limits created by the Legislature. Any exception to be made to allow these types of claims to proceed outside of the applicable statutes of limitations would be for the Legislature, as other states have done.⁴

Accordingly, in each case, the order of the Appellate Division should be affirmed, with costs.

4. *See e.g.* Conn Gen Stat § 52-577d (extending the time period for minors to bring sexual abuse claims to 30 years from the age of majority); Cal Code Civ Proc § 340.1 (c) (creating a one-year window in 2003 for childhood sexual abuse actions where the applicable statute of limitations had expired).

G.B. SMITH, J. (dissenting in *Estate of Boyle v Smith*). The complaint alleges facts that arguably could result in the defendants being equitably estopped from asserting the bar of the statute of limitations. I conclude, however, that those allegations are not sufficiently specific to preclude the statute of limitations defense here. Thus, I join the disposition to the extent that the present complaint is dismissed. I would permit the plaintiffs to replead their claims.

On October 8, 2002, 42 plaintiffs filed a complaint against 13 priests, a monsignor, a bishop and the Roman Catholic Diocese of Brooklyn alleging sexual abuse. The plaintiffs attended religious services at parishes in Queens and Brooklyn, New York in the 1960s, 1970s, and the early 1980s. The abuse is alleged to have occurred in various locations in and around the State of New York. The complaint makes a number of tort claims, including sexual abuse and battery against both boys and girls, intentional infliction of emotional distress, failure to remove, failure to supervise, failure to investigate, failure to warn, failure to provide a safe environment, fraud and breach of fiduciary duty. On December 9, 2002, plaintiffs filed an amended complaint alleging fraudulent concealment of the abuse and secret payments to the victims to prevent them from disclosing the abuse.

In order to prevent the plaintiffs from publicizing the abuse, the plaintiffs allege that the defendants “engaged in a covert policy and practice to conceal the problem of the sexual abuse of children by parish clergy,” “engaged in the routine practice of transferring abusive priests to new parishes,” “made secret payments to victims in return for the victims’ silence, maintained secret church accounts to make such payments, intentionally failed to investigate complaints of sexual abuse . . . by defendant priests and others, did not attempt to ascertain if there were other victims of a particular offending priest once they received information that he had in fact sexually abused a child and intentionally failed to warn plaintiffs, their parents or other potential victims or parishioner parents of the danger posed by a known sexually abusive priest.”

All plaintiffs were adults by 1990. They allege that defendants are equitably estopped from raising the statute of limitations defense because of their fraud, misrepresentation, and concealment.

On November 18, 2002, defendants filed a motion to dismiss the complaint. Plaintiffs filed a memorandum of law in opposi-

tion. The CPLR 3211 (a) (5)¹ motion was heard on January 28, 2003.

On April 11, 2003, Supreme Court, Queens County granted the motion and determined:

“Inasmuch as all of the plaintiffs had reached the age of majority by 1990, they do not dispute that the Statute of Limitations for all the claims asserted herein expired prior to the commencement of this action (see, CPLR 208, 213, 214 and 215[c] [*sic*])

“Inasmuch as the plaintiffs were the objects of the sexual abuse alleged herein, and they were aware of what was happening to them when the incidents occurred, they clearly possessed personal knowledge of the facts giving rise to their intentional tort claims when those claims accrued, as well as sufficient time to ascertain the facts alleged in relation to their breach of fiduciary duty and negligence claims prior to the running of the limitations period” (citation omitted).

On February 7, 2005, Appellate Division, Second Department, affirmed the decision of the trial court and wrote:

“A defendant may be estopped from pleading the statute of limitations as a defense where, by fraud, misrepresentation, or deception, he or she has induced a plaintiff to refrain from filing a timely action. However, due diligence on the part of a plaintiff in bringing the action is an essential element of equitable estoppel. If a plaintiff possesses sufficient knowledge of the possible existence of a claim, he or she is under a duty to make inquiry and ascertain all the relevant facts before the statute of limitations expires.

“Here, the plaintiffs possessed personal knowledge

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1. “Motion to dismiss cause of action. A party may move for judgment dismissing one or more causes of action asserted against him on the ground that: . . .
“the cause of action may not be maintained because of arbitration and award, collateral estoppel, discharge in bankruptcy, infancy or other disability of the moving party, payment, release, res judicata, statute of limitations, or statute of frauds.” (CPLR 3211 [a] [5].)

of the facts underlying their intentional tort claims from the time of the offenses, and they also knew that the priests were employed by the Diocese. Despite this knowledge, the plaintiffs did not pursue their claims at an earlier time. Moreover, even assuming that the plaintiffs alleged sufficient facts to establish a fiduciary relationship between themselves and the Diocesan defendants, equitable estoppel is not applicable on this basis. As all of the plaintiffs reached the age of majority by 1990, their allegations failed to establish that they brought this action within a reasonable time after they became adults, when they were no longer subject to the supervision and influence of those defendants” (15 AD3d 338, 339-340 [2005] [citations omitted]).

On June 16, 2005, the Court of Appeals granted leave to appeal.

Arguments of the Parties

Plaintiffs do not argue that the statute was tolled pursuant to the exceptions in CPLR 208, 213, 214 or 215 (3). Rather, they maintain that defendants are equitably estopped from asserting the defense of the statute of limitations because defendants committed fraud, misrepresentation, and concealment which prevented plaintiffs from filing complaints against defendants for many years. Plaintiffs allege that the defendant priests were employed by the diocesan defendants and that defendants engaged in a campaign of deceit to prevent the plaintiffs from bringing a lawsuit against them. Because of the “assigning, transferring, suspending and removing of parish clergy,” plaintiffs claim that they were unable to get all the needed information to file charges against the church. Also, plaintiffs maintain that they did not have a due diligence requirement because defendants actively prevented them from pursuing their legal rights.

Plaintiffs also allege that the defendants stood in a fiduciary relationship to the plaintiffs and, thus, were responsible for ensuring a safe environment for religious instruction. Plaintiffs allege that this is an independent basis for pleading equitable estoppel and that because of defendants’ breach of fiduciary duty, there was no due diligence requirement in pursuing legal claims.

Defendants argue that plaintiffs’ failure to comply with the statute of limitations is fatal to their lawsuit. Defendants argue

that the courts have consistently adhered to statutes of limitations, and this case does not present facts to toll those statutes. According to defendants, plaintiffs cannot prevail on a claim of equitable estoppel because they have failed to demonstrate that the defendants made any representations which they relied on to their detriment. Plaintiffs, they argue, did not show due diligence in pursuing their claims against the defendants. Lastly, plaintiffs did not demonstrate that defendants had a duty to act on behalf of the plaintiffs. Rather, only an association, not a fiduciary duty, existed between plaintiffs and the defendants. According to defendants, such an association is not actionable.

The Motions for Summary Judgment

The motion court granted summary judgment to defendants pursuant to CPLR 3211 (a) (5). The motions were granted based upon a violation of the statute of limitations (*see* CPLR 3211 [a] [5]). In a CPLR 3211 motion, the facts in the pleadings must be construed in favor of the nonmovant (*see Leon v Martinez*, 84 NY2d 83, 87-88 [1994] [a court must “accord plaintiffs the benefit of every possible favorable inference, and determine only whether the facts as alleged fit within any cognizable legal theory”]).

“As a general proposition, it is upon injury that a legal right to relief arises in a tort action and the Statute of Limitations begins to run (*see*, CPLR 203 [a]; *see also*, *Aetna Life & Cas. Co. v Nelson*, 67 NY2d 169, 175)” (*see Ackerman v Price Waterhouse*, 84 NY2d 535, 541 [1994]).

In *Boyle*, plaintiffs allege abuse from 1960 until 1985. All of the plaintiffs were adults by 1990.² The statute of limitations for tort actions for negligence, breach of fiduciary duty, and

2. Plaintiffs allege in their complaint:

“118. DAILY, THE BISHOPS and the DIOCESE intentionally and fraudulently engaged in the routine practice of transferring abusive priests to new parishes, both within and outside the DIOCESE. To conceal the sexual abuse, DAILY, THE BISHOPS and the DIOCESE also maintained secret files regarding such priests, made secret payments to victims in return for the victims’ silence, maintained secret church accounts to make such payments, intentionally failed to investigate complaints of sexual abuse, did not disclose to plaintiffs, their families or other parishioners for that matter, the fact that they were aware of the problem of sexual abuse of children and aware of specific incidents of abuse by defendant priests and others, did not attempt to ascertain if there were other victims of a particular offending priest once they received information that he had in fact

(n. cont’d)

fraud allows up to six years after the event to file an action against the defendants (*see* CPLR 213 [1], [8]).³ Thus, while the cause of action for breach of fiduciary duty may have been time-barred, the time limitation for fraud, concealment, and misrepresentation would have run from the time that plaintiff or, in this case, a guardian discovered the fraud or could have discovered the fraud with reasonable diligence. Tolling occurs for infancy and insanity (*see* CPLR 208). In the case of infancy, plaintiffs may have up to, but no more than, three years beyond the end of the disability to file an action. At the outside limit, plaintiffs had until 1993 to file against the perpetrators. The *Boyle* action was not filed until 2002, and, thus, was time-barred on the statutory requirements (*see* CPLR 213 [8]).

Equitable Estoppel

There is no question that the *Boyle* plaintiffs knew that they had been sexually abused at the time of the incidents and that they knew the perpetrators. Further, each reached adulthood more than 10 years prior to the filing of the action. The *Boyle* plaintiffs do not claim a disability which would have interfered with the filing of the action; rather, they claim that defendants should be equitably estopped from asserting a statute of limitations defense because defendants interfered with plaintiffs filing their lawsuit by a “campaign” of deception, misrepresentation, and facilitation of the abuse by transferring and reassigning priests who committed abuse. Certainly, if such a campaign did in fact occur, there was an attempt to conceal wrongdoing which could have prevented plaintiffs from filing their lawsuit sooner. The allegations of sexual abuse are acts for which parents and child victims old enough to protest would normally seek some

sexually abused a child and intentionally failed to warn plaintiffs, their parents or other potential victims or parishioner parents of the danger posed by a known sexually abusive priest. . . .

“167. DAILY, THE BISHOPS and the DIOCESE intentionally, recklessly and negligently breached their fiduciary duty to the plaintiffs.”

3. CPLR 213 (1) and (8) read:

“The following actions must be commenced within six years:

“1. an action for which no limitation is specifically prescribed by law . . .

“8. an action based upon fraud; the time within which the action must be commenced shall be the greater of six years from the date the cause of action accrued or two years from the time the plaintiff or the person under whom the plaintiff claims discovered the fraud, or could with reasonable diligence have discovered it.”

form of redress. Nevertheless, they did not. The question is whether the actions of the defendants contributed to the plaintiffs' failure to timely seek redress.

The courts will not bar the assertion of equitable estoppel when plaintiff is unable to file a lawsuit because of "defendant's affirmative wrongdoing" (see *General Stencils v Chiappa*, 18 NY2d 125, 128 [1966]).

"Our courts have long had the power, both at law and equity, to bar the assertion of the affirmative defense of the Statute of Limitations where it is the defendant's affirmative wrongdoing—a carefully concealed crime here—which produced the long delay between the accrual of the cause of action and the institution of the legal proceeding" (*id.*).

The allegations of affirmative wrongdoing must be "sufficiently pleaded" by the plaintiffs in order for the court to find that plaintiffs fall within the protection of the rule of equitable estoppel (see *Simcusi v Saeli*, 44 NY2d 442, 449 [1978]). Further, plaintiffs must demonstrate that they relied on defendants' fraud, misrepresentation, and deception to their detriment (see *Securities Inv. Protection Corp. v BDO Seidman*, 95 NY2d 702, 709 [2001]; *People v Begole*, 27 NY2d 138, 148 [1970]).

The problem with the allegations in the amended complaint is that they do not go far enough. While the plaintiffs allege, generally, transfers and payments and efforts to dissuade persons from reporting criminal activities to appropriate bodies, the allegations are not attributable to the plaintiffs here. If the current plaintiffs had been the target of the allegations asserted and alleged specific instances, the door would be opened to permitting discovery to aid in the pursuit of the establishment of the claims alleged.

Due Diligence

When plaintiffs claim that defendants should be equitably estopped from asserting a statute of limitations bar, they must show "due diligence" in bringing the action (see *Simcusi*, 44 NY2d at 450, *supra*). By due diligence, the Court means that as soon as the plaintiff learns of the misrepresentation, plaintiff must seek to bring an action against defendant (see *id.*). In the case at bar, plaintiffs allege the misrepresentation and concealment was widespread and they still do not know the extent of the abuse perpetrated against children by priests at the Brooklyn Diocese. As a result, plaintiffs argue, due diligence

was also thwarted by the Diocese, a fact that lends further support to the claim that defendants should be equitably estopped from claiming a statute of limitations bar. Because of the summary judgment motion, plaintiffs have not had the opportunity to conduct discovery. Nevertheless, to proceed with their action, plaintiffs must make out a better case than made here of the efforts made to comply with the requirement of due diligence.

Purpose of Statutes of Limitations

Statutes of limitations not only limit the right but also the remedy (*see Ratka v St. Francis Hosp.*, 44 NY2d 604, 611 [1978], *overruled on other grounds by Burke v Crosson*, 85 NY2d 10 [1995]). Plaintiffs assert that had they had full knowledge of the sexual abuse, they would have been able to seek criminal actions against defendants.

Ordinarily, statutes of limitations function as statutes of repose (*see Flanagan v Mount Eden Gen. Hosp.*, 24 NY2d 427, 429-430 [1969]). Thus, time bars serve to “put to sleep” all claims that are not brought once all the facts and circumstances are known by the plaintiffs about the claim (*see Blanco v American Tel. & Tel. Co.*, 90 NY2d 757, 773-774 [1997]). Nevertheless, the policy considerations of repose, at issue in cases where the statute of limitations has run, do not outweigh the policy considerations of addressing affirmative wrongdoing (*see Wood v Carpenter*, 101 US 135, 139 [1879]).⁴

The Case for Repleading

The applicable principle in this case is that a defendant cannot benefit from his own wrongdoing (*see Chiappa, supra*). Unlike *Zumpano* (decided today), many perpetrators were involved in *Estate of Boyle* and the alleged abuse involved more than 40 plaintiffs over a 25-year period. Given the extent and breadth of the alleged abuse, defendants should not benefit from the running of the statute of limitations. Defendants allegedly retained a number of unscrupulous priests for a long period of time. The facts and circumstances alleged, if true, demonstrate affirmative wrongdoing.

4. “Statutes of limitation are vital to the welfare of society and are favored in the law. They are found and approved in all systems of enlightened jurisprudence. They promote repose by giving security and stability to human affairs. An important public policy lies at their foundation. They stimulate to activity and punish negligence. While time is constantly destroying the evidence of rights, they supply its place by a presumption which renders proof unnecessary. Mere delay, extending to the limit prescribed, is itself a conclusive bar. The bane and antidote go together.” (*Id.*)

While it is insufficient for the plaintiffs to make only general allegations of deception and misrepresentation, plaintiffs have asserted sufficient facts to permit another pleading that may permit this case to proceed.

First, in paragraph 115 of the amended complaint, plaintiffs quote Bishop Wilton D. Gregory, former President of the United States Conference of Catholic Bishops, who stated:

“We are the ones, whether through ignorance or lack of vigilance, or—God forbid—with knowledge, who allowed priest abusers to remain in ministry and reassigned them to communities where they continued to abuse. We are the ones who chose not to report the criminal actions of priests to the authorities, because the law did not require this. We are the ones who worried more about the possibility of scandal than in bringing about the kind of openness that helps prevent abuse. And we are the ones who, at times, responded to victims and their families as adversaries and not as suffering members of the Church.”

Second, the amended complaint alleges sexual abuse by specifically named priests and alleges that these priests were transferred from place to place to avoid detection that they were sexual abusers. Third, while the allegations of a secret fund and payments to persons to prevent their publicizing abuse are not specific as to names, enough has been shown to permit a further pleading and perhaps discovery concerning these issues.

Fourth, the claims of breach of a fiduciary duty cannot be ignored. Plaintiffs maintain that defendants had a fiduciary relationship with them and, thus, had a duty to protect them from sexual molestation (*see Wende C. v United Methodist Church, N.Y. W. Area*, 4 NY3d 293, 299 [G.B. Smith, J., dissenting in part, 2005]). The majority concludes that it is not necessary to determine that question here. It further concludes that even if such a fiduciary duty existed, it would not prevent plaintiffs from making timely claims against the defendants.

A claim of a breach of a fiduciary duty has been upheld against clergy persons in other jurisdictions (*F.G. v MacDonell*, 150 NJ 550, 555, 696 A2d 697, 700 [1997]; *Sanders v Casa View Baptist Church*, 134 F3d 331 [5th Cir (Tex) 1998]; *Destefano v Grabrian*, 763 P2d 275, 284 [Colo 1988]). These cases all involved adults. In a proper case, however, a claim of breach of a fiduciary duty

can be made against a person in a position of trust involving children.

The issue of the fiduciary relationship between plaintiffs and defendants is an issue of fact to be determined at trial (*see EBC I, Inc. v Goldman, Sachs & Co.*, 5 NY3d 11, 19 [2005]). “A fiduciary relationship ‘exists between two persons when one of them is under a duty to act for or to give advice for the benefit of another upon matters within the scope of the relation’ ” (*see id.*, quoting Restatement [Second] of Torts § 874, Comment *a*). Whether or not a fiduciary relationship existed, coupled with whether or not the defendants were actively concealing abuse, are central to determining whether or not plaintiffs are prevented from pursuing claims against defendants. Defendants were the keepers of all information on the priests and were in the best position to provide the plaintiffs with the facts relevant to the abuse of the children, and to act on the abuse. Plaintiffs should not be barred from pursuing their claims if defendants had a fiduciary relationship with the plaintiffs, and misrepresentations and concealment are shown to be the reason for the delay in pursuing their claims.

Finally, this is a case where anyone would wish the allegations did not exist. Since they have been made, the question is whether they are sufficient to permit the lawsuit to proceed. The allegations are sufficient to permit additional pleading.

For all of the above reasons and specifically because there is alleged evidence of wrongdoing which would equitably estop defendants from asserting the defense of the statute of limitations, plaintiffs should be allowed to replead to demonstrate that defendants engaged in a pattern of deception, fraud, and misrepresentation which prevented them from filing a complaint within the statute of limitations period.

Chief Judge KAYE and Judges G.B. SMITH, ROSENBLATT, GRAFFEO and R.S. SMITH concur; Judge READ taking no part.

In *Zumpano v Quinn*: Order affirmed, with costs.

Chief Judge KAYE and Judges ROSENBLATT, GRAFFEO and R.S. SMITH concur with Judge CIPARICK; Judge G.B. SMITH dissents in part in a separate opinion; Judge READ taking no part.

In *Estate of Boyle v Smith*: Order affirmed, with costs.

[849 NE2d 938, 816 NYS2d 715]

STEPHEN R. FRANK et al., Plaintiffs, v MEADOWLAKES DEVELOPMENT CORPORATION et al., Defendants. MEADOWLAKES DEVELOPMENT CORPORATION, Third-Party Plaintiff-Respondent, v HOME INSULATION AND SUPPLY, INC., Third-Party Defendant-Appellant.

Argued February 9, 2006; decided March 30, 2006

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered July 1, 2005. The Appellate Division, with two Justices dissenting, affirmed an order and judgment (one paper) of the Supreme Court, Erie County (John A. Michalek, J.), which had granted judgment in the amount of \$1,552,160 in favor of defendant and third-party plaintiff Meadowlakes Development Corporation and against third-party defendant Home Insulation and Supply, Inc.

Frank v Meadowlakes Dev. Corp., 20 AD3d 874, modified.

HEADNOTE

Indemnity — When Claim for Indemnification Available — Limitation on Amount of Recovery

Although CPLR article 16 does not limit the right to indemnification, it does limit the amount that can be recovered when liability is 50% or less. There is no irreconcilable conflict between CPLR 1602 (1), which provides, in part, that article 16 “shall apply to any claim for contribution or indemnification,” and CPLR 1602 (2) (ii), a savings provision intended to ensure that the courts do not read article 16 as altering or limiting the preexisting right of indemnification. Accordingly, in an action by plaintiff, who was injured while working at a home under construction, defendant, which was held liable as an owner pursuant to Labor Law § 240 (1), was not entitled to indemnification from third-party defendant, plaintiff’s employer, in the total amount of the settlement between defendant and plaintiffs. Though defendant retained its right to indemnification, third-party defendant, as a party found 10% liable, was limited to its proportionate share with respect to noneconomic damages.

TOTAL CLIENT-SERVICE LIBRARY® REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Indemnity §§ 20, 29.

McKINNEY’S, CPLR art 16; § 1602 (1), (2) (ii).

NY JUR 2d, Contribution, Indemnity, and Subrogation
§§ 79–81, 87–92, 98.

PROSSER AND KEETON, TORTS (5th ed) § 51.

ANNOTATION REFERENCE

See ALR Index under Indemnity.

FIND SIMILAR CASES ON WESTLAW®

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Query: indemnification /3 non-economic /p allocat!

POINTS OF COUNSEL

Herzfeld & Rubin, P.C., New York City (*David B. Hamm* of counsel), for third-party defendant-appellant. I. Home Insulation and Supply, Inc.'s motion to dismiss all claims against it should have been granted. No basis exists for the allocation of any fault to Home. (*Szczerbiak v Pilat*, 90 NY2d 553; *Buchholz v Trump 767 Fifth Ave., LLC*, 5 NY3d 1; *David v County of Suffolk*, 1 NY3d 525; *Diaz v New York Downtown Hosp.*, 99 NY2d 542; *Romano v Stanley*, 90 NY2d 444; *Amatulli v Delhi Constr. Corp.*, 77 NY2d 525; *Baehre v Sagamore Resort Hotel*, 4 AD3d 810; *Geddes v Crown Equip. Corp.*, 273 AD2d 904; *Canales v Hustler Mfg. Co.*, 12 AD3d 392; *Cornwell v Otis El. Co.*, 275 AD2d 649.) II. The Supreme Court erred in granting Meadowlakes Development Corporation's motion for complete common-law indemnification. That order violated basic principles governing indemnification and contravened the express language of CPLR article 16. (*Rogers v Dorchester Assoc.*, 32 NY2d 553; *Dole v Dow Chem. Co.*, 30 NY2d 143; *Kelly v Diesel Constr. Div. of Carl A. Morse, Inc.*, 35 NY2d 1; *Creamer v Amsterdam High School*, 277 AD2d 647; *Keegan v Swissotel N.Y.*, 262 AD2d 111; *Mas v Two Bridges Assoc.*, 75 NY2d 680; *Singh v Congregation Bais Avrohom K'Krula*, 300 AD2d 567; *Doherty v Palmyra-Macedon Cent. School Dist.*, 286 AD2d 950; *Dinino v D.A.T. Constr. Corp.*, 267 AD2d 148; *Freeman v National Audubon Socy.*, 243 AD2d 608.)

Law Offices of John Quackenbush, Buffalo (*John Wallace* and *Joseph A. Wilson* of counsel), for Meadowlakes Development Corporation, defendant and third-party plaintiff-respondent. I. The jury's determination that Home Insulation and Supply, Inc. was negligent, and that such negligence was a proximate cause of the accident, was supported by substantial evidence at trial. (*Cohen v Hallmark Cards*, 45 NY2d 493; *Schmidt v Turner*, 15 AD3d 835; *Blum v Fresh Grown Preserve Corp.*, 292 NY 241; *Adamy v Ziriakus*, 92 NY2d 396; *Sagorsky v Malyon*, 307 NY 584; *Sweeting v Board of Coop. Educ. Servs.*, 83 AD2d 103, 56 NY2d 503; *Pellescki v City of Rochester*, 198 AD2d 762, 83 NY2d

752; *Herman v Lancaster Homes*, 145 AD2d 926, 74 NY2d 601; *Berardi v Getty Ref. & Mktg. Co.*, 107 Misc 2d 451; *Landry v General Motors Corp., Cent. Foundry Div.*, 210 AD2d 898.) II. The Appellate Division properly affirmed the award of full indemnification to Meadowlakes Development Corporation from Home Insulation and Supply, Inc. (*Kelly v Diesel Constr. Div. of Carl A. Morse, Inc.*, 35 NY2d 1; *D'Ambrosio v City of New York*, 55 NY2d 454; *Chapel v Mitchell*, 84 NY2d 345; *Felker v Corning Inc.*, 90 NY2d 219; *Rogers v Dorchester Assoc.*, 32 NY2d 553; *Raquet v Braun*, 90 NY2d 177; *Glaser v Fortunoff of Westbury Corp.*, 71 NY2d 643; *17 Vista Fee Assoc. v Teachers Ins. & Annuity Assn. of Am.*, 259 AD2d 75; *Correia v Professional Data Mgt.*, 259 AD2d 60; *Singh v Congregation Bais Avrohom K'Krula*, 300 AD2d 567.) III. Article 16 of the CPLR does not affect Meadowlakes Development Corporation's right to full indemnification from Home Insulation and Supply, Inc. (*McDermott v City of New York*, 50 NY2d 211; *Rangolan v County of Nassau*, 96 NY2d 42; *Salamone v Wincaf Props.*, 9 AD3d 127; *Ryan v Beavers*, 170 AD2d 1045; *Marsala v Weinraub*, 208 AD2d 689; *Noble v Ambrosio*, 151 Misc 2d 276, 173 AD2d 801; *Chianese v Meier*, 98 NY2d 270; *Detrinca v De Fillippo*, 165 AD2d 505; *Whalen v Kawasaki Motors Corp., U.S.A.*, 242 AD2d 919, 92 NY2d 288; *Morales v County of Nassau*, 94 NY2d 218.) IV. Even if CPLR article 16 applied to Meadowlakes Development Corporation's indemnity claim against Home Insulation and Supply, Inc., Home's percentage of liability for noneconomic damages is 20%, not 10%. (*Schaefer v RCP Assoc.*, 232 AD2d 286; *Turisse v Dominick Milone, Inc.*, 262 AD2d 305; *Kendall v Venture Dev.*, 206 AD2d 797; *Bieber v Tower Bldr. & Contr. Corp.*, 216 AD2d 431; *LaFleur v Consolidated Edison Co. of N.Y.*, 245 AD2d 36; *Guiga v JLS Constr. Co.*, 255 AD2d 244; *Torrillo v Kiperman*, 183 AD2d 821; *Gordon v Eastern Ry. Supply*, 82 NY2d 555; *Zimmer v Chemung County Performing Arts*, 65 NY2d 513; *Telaro v Telaro*, 25 NY2d 433.)

OPINION OF THE COURT

G.B. SMITH, J.

The issue here is whether a tortfeasor whose liability is determined to be 50% or less can be found responsible for total indemnification of noneconomic loss despite CPLR article 16.*

* This action was commenced in 1992, before the 1996 amendment to Workers' Compensation Law § 11, and thus Meadowlakes' right to indemnification is not affected by the amendment.

We hold that a third-party defendant found to have only one ninth of the tortfeasors' total fault should be responsible for one ninth of the noneconomic loss. The order of the Appellate Division should, therefore, be reversed and remitted to Supreme Court for further proceedings to calculate the portion of the settlement properly allocated to noneconomic loss.

On April 12, 1991, Stephen Frank was working at a building site in Clarence, New York, on property owned by the Meadowlakes Development Corporation. Frank was attempting to carry a large bag of double insulation over his right shoulder up a staircase on the property. The left side of the staircase had no railing and Frank lost his balance and fell. As a result of the fall, Frank received several serious permanent injuries to his back and spine. Frank and his wife commenced an action for personal injury and loss of consortium against Meadowlakes and the general contractor, D.J.H. Enterprises, Inc. Meadowlakes, in turn, filed a related third-party action for indemnification against Home Insulation and Supply, Inc., Frank's employer. After a bifurcated trial, the jury apportioned fault in the amount of 10% to Frank, 10% to Home and 80% to D.J.H. The court also directed a verdict against Meadowlakes and D.J.H. based upon a violation of Labor Law § 240 (1).

On January 17, 2003, the Franks settled with D.J.H. for \$300,000. On January 24, 2003, the Franks settled with Meadowlakes for \$1,400,000. Supreme Court then granted Meadowlakes' motion for common-law indemnification against Home in the sum of \$1,552,160, which included interest on the Franks' settlement, accruing from January 31, 2003 until February 12, 2004.

Home appealed this judgment, arguing that Supreme Court erred (1) in denying its motion for a directed verdict to dismiss the third-party complaint against it because Home was not negligent and, thus, the jury's 10% allocation of fault to Home should not stand, and (2) in granting Meadowlakes complete indemnification against Home, even if the 10% of fault remained undisturbed, because it should be liable only for its proportionate share of negligence.

The Appellate Division held that Supreme Court properly denied the motion for a directed verdict dismissing the third-party complaint because Home's contention that there was no basis to allocate fault was without merit. The Court also disagreed with Home's argument that it should not be required to indemnify Meadowlakes for 100% of the settlement. The Court reasoned:

“It is well settled that ‘an owner or general contractor who is held strictly liable under Labor Law § 240 (1) is entitled to full indemnification from the party actually responsible for the incident’ (*Gillmore v Duke/Fluor Daniel*, 221 AD2d 938, 939 [1995]). The principles of common-law indemnification allow the party held vicariously liable to shift the entire burden of the loss to the actual wrongdoer. Contrary to Home’s contention, ‘CPLR article 16 does not limit the owner’s right of indemnification’ because of the savings provision for indemnification claims set forth in CPLR 1602 (2) (ii) (*Salamone v Wincaf Props.*, 9 AD3d 127, 129 [2004], *lv dismissed* 4 NY3d 794 [2005])” (20 AD3d 874, 875-876 [2005] [citations omitted]).

Two Justices dissented, concluding that Home’s liability should be limited to its proportionate share of fault. The Justices reasoned:

“Application here of the rule of joint and several liability results in precisely the ‘evil’ intended to be ‘suppress[ed]’ by the enactment of article 16 (McKinney’s Cons Laws of NY, Book 1, Statutes § 95)[,] a party whose equitable share of the fault has been adjudged to be but 10% liable is instead held liable for 100% of that loss. That is just the result that the Legislature sought to avoid by the enactment of article 16” (*id.* at 881).

We agree with the Appellate Division that there was sufficient evidence in the record to support the jury’s determination. Therefore the motion for a directed verdict was properly denied. We disagree, however, with the majority’s reasoning concerning complete indemnification. Although CPLR article 16 does not limit the right to indemnification, it does limit the amount that can be recovered when liability is 50% or less.

“A statute or legislative act is to be construed as a whole, and all parts of an act are to be read and construed together to determine the legislative intent” (McKinney’s Cons Laws of NY, Book 1, Statutes § 97). “Statutes will not be construed as to render them ineffective” (McKinney’s Cons Laws of NY, Book 1, Statutes § 144). CPLR 1602 (1) provides, in part, that article 16 “shall . . . apply to any claim for contribution or indemnification.” CPLR 1602 (2) (ii) states, “The limitations set forth in this article shall . . . not be construed to impair, alter, limit,

modify, enlarge, abrogate or restrict . . . any immunity or right of indemnification available to or conferred upon any defendant for any negligent or wrongful act or omission.”

In *Salamone v Wincaf Props.* (9 AD3d 127 [1st Dept 2004]), the First Department addressed a substantially similar issue of whether a vicariously liable owner was limited in the amount of indemnification he could recover from a party whose proportionate share of fault was 50% or less. The Court found the savings provision in CPLR 1602 (2) (ii) did not limit an owner’s right of indemnification against the partially liable party. The owner argued that CPLR 1602 (2) (ii) prevented its common-law right of indemnification from being limited or abrogated by CPLR article 16. The Court determined that the “plain meaning of the highlighted statutory language (quoting a portion of CPLR 1602 [2] [ii]) appears to be that [the owner’s] common-law right of indemnification against [third-party defendant] should operate just as it would have operated had CPLR article 16 never been enacted” (*id.* at 135). It further reasoned that “construing CPLR 1602 (2) (ii) to leave indemnification claims unaffected by the limitations of CPLR article 16 serves to shift liability from nonculpable to culpable parties, consistent with the general intent of the article as a whole, and, presumably, the specific intent behind CPLR 1602 (2) (ii)” (*id.* at 138). The *Salamone* court saw an inconsistency between the opening clause of CPLR 1602 (1) and CPLR 1602 (2) (ii). The Court viewed CPLR 1602 (2) (ii) as the Legislature’s paramount intention and CPLR 1602 (1) as a subordinate provision which furthered article 16’s purpose in no discernable way. The *Salamone* court and the Appellate Division here concluded that there was an irreconcilable conflict between CPLR 1602 (1) and 1602 (2) (ii).

“The legislative intent is to be ascertained from the words and language used, and the statutory language is generally construed according to its natural and most obvious sense, without resorting to an artificial or forced construction” (McKinney’s Cons Laws of NY, Book 1, Statutes § 94). It is clear that the Legislature wanted article 16’s protections to apply to indemnification actions (*see* CPLR 1602 [1]). The purpose of article 16 was to place the risk of a principally-at-fault but impecunious defendant on those seeking recovery and not on a low-fault, deep pocket defendant (*see Rangolan v County of Nassau*, 96 NY2d 42, 48 [2001] [“To construe 1602 (2) (iv) as an exception to apportionment would defeat the legislative goal of benefitting low-fault, ‘deep pocket’ defendants”]; *Insuring Our Future*, Report of the Governor’s Advisory Commission on Li-

ability Insurance, at 131 [Apr. 7, 1986] [“(I)t is fundamentally unfair to require a defendant to pay a greater share of an award than corresponds to that defendant’s adjudged share of the fault that caused the injury”]). The *Salamone* decision ignores the Legislature’s intent in enacting article 16 in response to the rising costs of liability insurance “to assure that no defendant who is assigned a minor degree of fault can be forced to pay an amount grossly out of proportion to that assignment” (Insuring Our Future, Report of the Governor’s Advisory Commission on Liability Insurance, at 132).

In our view, there is no irreconcilable conflict between CPLR 1602 (1) and 1602 (2) (ii). In *Rangolan v County of Nassau* (96 NY2d 42 [2001]), this Court held that CPLR 1602 (2) (iv) did not preclude apportionment when a defendant’s liability arose from a nondelegable duty because the subsection was a savings provision and not an exception. We stated that CPLR 1602 (2) (iv) “ensures that a defendant is liable to the same extent as its delegate or employee, and that CPLR article 16 is not construed to alter this liability” (*id.* at 47). CPLR 1602 (2) (ii) is, likewise, a savings provision intended to ensure the courts do not read article 16 as altering or limiting the preexisting right of indemnification. This does not, however, entitle a party to 100% recovery. Therefore, though Meadowlakes retained its right to indemnification, Home, as a party found 10% liable, was limited to its proportionate share with respect to noneconomic damages. To calculate Home’s share, we divide indemnity among potential indemnitors and exclude Frank’s 10% share of fault since he cannot be an indemnitor (*see* Weinstein-Korn-Miller, NY Civ Prac ¶ 1601.01). Home’s total indemnity to Meadowlakes will, therefore, be all economic loss and one ninth of noneconomic loss encompassed within the settlement, with interest.

Defendant’s remaining arguments are without merit.

Accordingly, the order of the Appellate Division should be modified, without costs, by remitting to Supreme Court for further proceedings in accordance with this opinion and, as so modified, affirmed.

Chief Judge KAYE and Judges CIPARICK, ROSENBLATT, GRAFFEO, READ and R.S. SMITH concur.

Order modified, etc.

